Water

SA Water Regulatory Determination 2024

FINAL Determination: Statement of reasons

June 2024

Enquiries concerning this Final Decision should be addressed to:

Essential Services Commission
GPO Box 2605
ADELAIDE SA 5001

Telephone: (08) 8463 4444
Freecall: 1800 633 592 (SA and mobiles only)
E-mail: escosa@escosa.sa.gov.au
Web: www.escosa.sa.gov.au

Table of contents

Glossary of terms ii
1 At a glance 1
2 Overview 7
Part A – Background and context 25
3 Introduction 26
4 SA Water's regulatory business 38
Part B – Consumer protection framework 54
5 Water Retail Code – Major Retailers 55
6 Service standards with performance targets 117
Part C – Form of regulation for water and sewerage retail services 149
7 Revenue caps and adjustment mechanisms for direct control retail services 150
8 Recycled water and excluded services 172
Part D – Determining revenue caps for direct control retail services 183
9 Approach to determining revenue cap for direct control retail services 184
10 Operating expenditure 189
11 Capital expenditure 243
12 Regulated Asset Base and depreciation 294
13 Regulatory rate of return 300
14 Tax allowance 331
15 Adjustments from SAWRD20 336
16 Determination of total revenue caps 346
17 Revenue caps outcome and comparison 352
Part E – Monitoring and evaluation 365
18 Monitoring, evaluation and reporting the outcomes achieved in SAWRD24 366
Appendices 382
Appendix 1 Process for making SAWRD24 383
Appendix 2 Legal requirements 388
Appendix 3 Submissions from stakeholders 395
Appendix 4 Cost impacts to SA Water from changes to the Water Retail Code 398

Glossary of terms

AER	Australian Energy Regulator
AGS	Australian Government Securities
ANCOLD	Australian National Committee on Large Dams
Atkins	AtkinsRealis (formerly WS Atkins International)
CAC	Consumer Advisory Committee
CCG	Customer Challenge Group
CAPM	Capital Asset Pricing Model
CIE	Centre for International Economics
Code	Water Retail Code – Major Retailers WRC-MR/03
Commission	Essential Services Commission, established under the *Essential Services Commission Act 2002*
COTA SA	Council of the Ageing South Australia
COVID-19	COVID-19 pandemic event
CPI	Consumer Price Index
CRM	Customer Relationship Management system
CSO	Community Service Obligation
CWMS	Community Wastewater Management System
DEW	Department for Environment and Water
DCWC	Donald Cant Watts Corke
Draft Determination	SA Water Draft Regulatory Determination 2024
EBA	Enterprise Bargaining Agreement
EPA	Environment Protection Authority
ERA	Economic Regulation Authority Western Australia
ESC Act	*Essential Services Commission Act 2002*
ESCV	Essential Services Commission of Victoria
EWOSA	Energy and Water Ombudsman South Australia

FTE	Full time equivalent positions
FTI	FTI Consulting
FWS	Uniting Communities Financial Wellbeing Services
Guidance Paper 1	Guidance Paper 1 – The regulatory business plan
Guidance Paper 2	Guidance Paper 2 – Stakeholder engagement for the regulatory business plan
Guidance Paper 3	Guidance Paper 3 – Assessing the regulatory business plan
Guideline 1	Water Industry Guideline No. 1 – Compliance Systems and Reporting – Major Retailers
Guideline 2	Water Industry Guideline No. 2 – Regulatory Information Requirements – Major Retailers
GSL	Guaranteed Service Level
ICT	Information Communications Technology
ICRC	Independent Competition and Regulatory Commission
Incenta	Incenta Economic Consulting
IPART	Independent Pricing and Regulatory Tribunal
Issues Paper	SA Water Regulatory Determination 2024 - Water Retail Code and Monitoring and Evaluating Performance Framework
LGA	Local government areas
LOTS	Land Ownership and Tenure System
LTO	Lands Titles Office
MECS	Monitoring, Evaluation and Compliance Strategy
MEPF	Monitoring and Evaluating Performance Framework
Minister	Minister for Housing Infrastructure
NAIS	Northern Adelaide Irrigation Scheme
NWI	National Water Initiative
OFW	Office for Women SA
OTTER	Office of the Tasmanian Economic Regulator
OTR	Office of the Technical Regulator
OEA	Oxford Economics Australia

PBEF	Peak Bodies Engagement Forum
PC Act	*Public Corporations Act 1993*
PPI	Producer Price Index
QCA	Queensland Competition Authority
RAB	Regulated Asset Base
Rate of return	Regulatory rate of return
RBA	Reserve Bank of Australia
RBP	SA Water's Regulatory Business Proposal
RDA	Regional Development Australia – Barossa, Gawler, Light and Adelaide Plains
RT Act	*Residential Tenancies Act 1995*
SA Water	South Australian Water Corporation
SACAT	South Australian Civil and Administrative Tribunal
SACOSS	South Australian Council of Social Service
SAFRRA	South Australian Federation of Residents and Ratepayers Associations Incorporated
Sapere	Sapere Research Group
SAPN	SA Power Networks
SAWRD13	SA Water Regulatory Determination 2013
SAWRD16	SA Water Regulatory Determination 2016
SAWRD20	SA Water Regulatory Determination 2020
SAWRD24	SA Water Regulatory Determination 2024
SAWRD28	SA Water Regulatory Determination 2028
SOCI	*Security of Critical Infrastructure Act 2018 (Cth)*
TCP	Thriving Communities Partnership
TI-18	Treasurer's Instruction 18
TTG	Tea Tree Gully
Treasurer	Treasurer for the South Australian Government
UDIA	Urban Development Institute of Australia

VTA	Verified trust and accountability
WACC	Weighted average cost of capital
WI Act	*Water Industry Act 2012*
WI Minister	Minister for Climate, Environment and Water
WI Regulations	*Water Industry Regulations 2012*
WPI	Wage Price Index
WSAA	Water Services Association of Australia
WTP	Willingness to pay
WWTP	Waste water treatment plant
ZFA	Zahra Foundation Australia

About this document

The 'At a Glance' summary is provided to assist in understanding the Commission's regulatory determination. The following section, 'Overview', sets out in summary form the decisions and positions which have informed all elements of the overall regulatory determination, and can be read in conjunction with this summary.

Neither the 'At a Glance' nor the 'Overview' form part of the Commission's statement of reasons for the decision.

The summary of the information on which the regulatory determination has been based and a statement of the reasons for the making of the regulatory are set out in Chapters 3 to 18 of this document, and relevant price determinations and instruments made by the Commission are explained by those matters.

1 At a glance

Following a detailed independent review, public engagement and consideration of submissions, the Commission has made a new regulatory determination to apply to SA Water for the coming four-year period 1 July 2024 to 30 June 2028: SA Water Regulatory Determination 2024 (SAWRD24).

SAWRD24 protects South Australian consumers' long-term interests with respect to the price, quality and reliability of SA Water's services. It does so by setting consumer protection measures, service standards, maximum revenue allowances and performance monitoring and reporting arrangements.

SA Water is a vertically-integrated, long-term, asset-intensive water and sewerage business, wholly owned by the South Australian Government. People, businesses and communities in South Australia use its water and sewerage services as an essential part of their everyday lives and operations and to support economic development and growth.

The essential nature of these services means that it is important that SA Water delivers, and is seen to deliver, value for money – now and into the future. The economic regulatory regime implemented by the Essential Services Commission requires SA Water to deliver those services at the lowest sustainable cost for the quality and reliability levels that customers value.

SA Water Regulatory Determination 2024

- Enhances the existing consumer protection framework, requiring SA Water to provide additional protections for tenants (as consumers), customers experiencing payment difficulties and customers affected by family violence.
- Sets, for water and sewerage retail services, maximum caps on the revenues that SA Water can recover from customers over the period 1 July 2024 to 30 June 2028:
  - a stand-alone $3,524 million ($Dec22) revenue cap for water retail services, and
  - a stand-alone $1,806 million ($Dec22) revenue cap for sewerage retail services,

  (an implied overall cap of $5,330 million ($Dec22)).

  The caps incorporate the recovery over time of $1,387 million of capital expenditure ($Dec22), which the South Australian Government requires SA Water to spend to deliver specific projects and programs during the period, including the Metropolitan Growth program and the Tea Tree Gully Sustainable Sewers program.

  That amount will not be recovered entirely within this four-year regulatory period but instead will be recovered over the life of the relevant assets (in some cases up to 100 years). The impact of this requirement during the regulatory period is slightly more than 2 percent for the overall cap.
- Sets a pricing principles, price disclosure, monitoring and dispute resolution determination in relation to the recycled water and end-user specific retail services provided by SA Water.

The Commission will monitor, report on and take compliance action, as required, in relation to SA Water's performance and delivery under the regulatory determination, focussing on SA Water's:

- consumer protection and service standard delivery
- maximum revenue cap compliance
- asset planning, delivery and maintenance performance and outcomes, and
- expenditure undertaken in accordance with South Australian Government directions.

This will facilitate greater public visibility and opportunities for scrutiny of SA Water's operational performance and delivery outcomes over the four-year period and into the future.

1.1 Context, roles and functions

1.1.1 Essential Services Commission of South Australia

The Commission's overall purpose and approach in regulating SA Water aims to encourage economically efficient behaviour that is in consumers' long-term interests. This supports a regulatory compact that provides SA Water with sufficient revenue to provide prudent, efficient, safe and reliable water and sewerage retail services to its customers.

The regulatory determination includes binding customer protection and service standard requirements, with associated maximum revenue caps. It does not approve or set SA Water's projects, programs, budget or prices – SA Water must manage its own business prudently and efficiently within the context of the requirements and caps.

The economic regulatory process exists within a broader policy and regulatory system. Regulatory determinations made by the Commission are informed by, and inform, decisions made by the South Australian Government and SA Water.

1.1.2 South Australian Government

The South Australian Government is the owner of SA Water, acting for and on behalf of the people of South Australia. As owner, the South Australian Government:

- makes decisions about SA Water's strategic objectives, operational arrangements, performance and financial targets, and community service obligations
- sets, with SA Water, customer prices so that SA Water recovers no more than the prudent and efficient total four-year revenue caps set by the Commission, and
- can direct SA Water to undertake specific projects and programs to deliver initiatives.

1.1.3 SA Water

SA Water owns, operates and delivers to customers water and sewerage retail services, using long-term assets, for the benefit of the customers and the State. It is responsible for managing its day-to-day operations, decisions and asset portfolio within the customer protection and service standard requirements and maximum revenue caps established by the revenue determination, and in accordance with other legal and regulatory obligations (such as South Australian Government directions). This involves:

- engaging with customers and stakeholders on the quality, reliability and timing of services
- determining its investment priorities and setting budgets for specific projects and programs that deliver the lowest sustainable lifecycle costs, and
- constantly reviewing and reprioritising its operational delivery and capital investment requirements and obligations, across regulatory periods, as circumstances change.

1.2 Protecting consumers

The Water Retail Code – Major Retailers sets the behavioural standards and minimum requirements that apply to SA Water for the sale and supply of retail services (water and sewerage) to customers and, in some instances, other consumers.

The Commission's decision is that the existing consumer protections contained in the Code remain appropriate for SAWRD24, subject to some amendments to enhance elements of its customer service

and delivery. Those include improved protections for tenants, certain customers experiencing payment difficulties and customers affected by family violence.

With regard to the service standards that SA Water must meet in the sale and supply of retail services, the existing 22 service standards will continue to apply during SAWRD24, with one performance target raised to reflect SA Water's performance over time.

1.3 Prudent and efficient maximum revenue caps

As required under the statutory framework and the Pricing Order, the Commission has established two separate maximum revenue caps that apply to SA Water's water and sewerage retail services provided to all customers:

- $3,524 million revenue cap for water retail services
- $1,806 million revenue cap for sewerage retail services

These maximum revenue caps provide SA Water with sufficient revenue to fund efficient operations (including the enhanced consumer protections), finance prudent investments on a long-term basis and meet all health, safety, environmental and customer service standards.

The caps encompass an amount of $1,387 million of capital expenditure ($Dec22), which the South Australia Government, SA Water's owner, requires it spend in the four-year period in relation to specific projects and programs. These include the Metropolitan Growth project ($1,070 million $Dec22) and the Tea Tree Gully Sustainable Sewers project ($293 million $Dec22). As this amount is fixed under a separate legal process, the Commission does not assess it through the regulatory determination process; however, as explained below, it will introduce additional public monitoring and reporting of SA Water's performance in delivering these requirements.

Once the caps are set, SA Water must set its prices during the period 2024 to 2028 such that it does not recover from South Australian customers more than those amounts. Of note, the South Australian Government may require or permit SA Water to spend more than the revenue caps – provided that additional expenditure comes from revenue sources other than SA Water's customers.

In setting the maximum revenue caps, the Commission has had regard to a wide range of evidence and information, including from customers and consumers, SA Water, industry and consumer representative groups, its own research and commissioned independent expert reports. As required by the statutory framework, in developing those maximum revenue caps it has considered and formed views on constituent 'building blocks' (such as capital and operating expenditure, the regulatory rate of return and depreciation).

Importantly, the Commission's positions on those 'building blocks' are not binding on SA Water – only the maximum revenue caps are binding. While in some instances the Commission has considered evidence and information in relation to a sample of SA Water's intended project and programs, the regulatory determination neither requires nor impedes their delivery. In the same way, the Commission's views on other elements of the building blocks, such as capital and operating expenditure, do not 'fix' those amounts such that SA Water must comply with them. Under the statutory framework, the Commission cannot do so.

Instead, SA Water is expected to manage and operate its business prudently and efficiently within the maximum revenue caps, continually assessing its customer service and expenditure mix and priorities as new information comes to light and circumstances change.

1.4 Recycled water and end-user specific retail services

Recycled water and other end-user specific retail services (such as the provision of new connections and trade waste services) are 'excluded' from the revenue caps and dealt with under a stand-alone pricing determination. This is on the basis that these services are provided to specific customers and their costs are recovered through specific charges to those customers (or potential customers) rather than being paid by all customers.

The previous stand-alone pricing determinations for these services established principles with which SA Water had to comply when setting prices. Those included National Water Initiative Pricing Principles and principles established by the Commission.

The Commission reviewed SA Water's recycled water and excluded services pricing and has not found evidence that SA Water is misusing its market power in setting prices. This suggests that a more prescriptive regulatory approach is not required. The Commission will therefore continue to regulate the sale and supply of these services under a pricing principles approach, and will do so on an ongoing basis (noting that it may change this position where evidence and circumstances require, in accordance with the statutory framework).

1.5 Transparent performance reporting

It is important that customers receive the levels of service required of SA Water under the regulatory determination, South Australian Government directions and other legal and regulatory obligations. SA Water must therefore manage, and be seen to manage, its network and its service delivery efficiently and effectively now and into the future. The Commission plays a role in this, through monitoring, analysing and publicly reporting on SA Water's performance, including under a Monitoring and Evaluating Performance Framework. SA Water is also responsible for reporting directly to customers on its performance.

The Commission considers that the existing framework remains appropriate for SAWRD24, subject to amendments that will:

- provide better assurance on particular areas of SA Water's performance, such as compliance obligations, governance of data and information, accountability for service standards and operational performance and delivery.
- expand the framework to enhance the monitoring, assessment and public reporting of SA Water's capital works program.

The reporting amendments for the capital works program have been introduced in recognition of:

- the large capital works program that SA Water has stated it will undertake over the coming four years, as well as the program of works (and associated expenditure) that the South Australian Government has directed SA Water to deliver
- the fact that SA Water did not spend as much on certain capital works projects as it had proposed over the past four years, and therefore did not deliver some projects and programs that it had claimed it would, and
- stakeholder calls for greater transparency over SA Water's capital works expenditure and delivery, to facilitate better understanding of the extent to which customers are receiving the outcomes promised by SA Water.

The Commission will require SA Water to keep books and records (in an auditable form) that correctly record and explain expenditure associated with Government directions, to distinguish it from other expenditure under the revenue cap.

To improve transparency over SA Water's excluded services pricing and support the move to an ongoing pricing principles regulatory approach, the Commission will maintain the current requirement for SA Water to provide the Commission with pricing information but will include additional detail on the manner and form of the data required. The Commission will continue to undertake compliance monitoring and enforcement on this matter through its general compliance framework.

1.6 About the regulatory determination

This regulatory determination has been made by the Commission in accordance with the provisions of the Water Industry Act 2012 and the Essential Services Commission Act 2002.

Consistent with its primary objective of protecting the long-term interests of consumers with respect to the price, quality and reliability of essential services, and with its past approach, SAWRD24 will challenge SA Water to continue to:

- deliver the protections and consumer benefits put in place over the last 10 years, since the economic regulation of SA Water commenced
- enhance protections for water users and provides incentives for SA Water to deliver additional financial and management efficiencies over the coming four years and beyond
- have and deliver against sound long-term asset management, operating and financing strategies, which support the provision of those services for present and future customers, and
- confirm the need for SA Water to provide regular, meaningful, transparent and public information on how it is responding to its customers and to explain its ongoing performance as a monopoly water utility.

Notably, the regulatory determination is not a determination by the Commission on a proposal put forward by SA Water, nor is it a process involving the Commission deciding between two competing cases (for example, SA Water and its customers). Under the statutory framework, the Commission makes an independent regulatory determination which it considers best meets statutory requirements in light of the information, evidence and data available to it at the time that the decision is made.

In that sense, while the Commission's decision is informed by all submissions and representations made to it, the regulatory determination is not a judgment on those matters: it is the Commission's considered position as to the appropriate form of consumer protections, service standards and price and revenue controls to be delivered and met by SA Water during the period 1 July 2024 to 30 June 2028.

1.7 Next steps

Following the release of the final regulatory determination, SA Water will set water and sewerage prices in accordance with maximum revenue caps and pricing requirements to apply from 1 July 2024.

Timing	Milestone
June 2024	Commission releases final regulatory determination
June 2024	SA Water and SA Government set prices
1 July 2024	SAWRD24 regulatory period commences

The Commission intends to conduct a post-project review to gather stakeholder views on the process used to undertake SAWRD24. The outcomes of this review will be published on the Commission's website, when available.

The Commission thanks those who made submissions to the SAWRD24 review and engaged with the Commission during the process to provide evidence and comment, all of which have been carefully considered and have provided valuable information and insights.

2 Overview

Following a detailed independent review and an opportunity for public submissions, the Essential Services Commission has revised the regulatory framework, including consumer protections, service standards and revenue caps, to apply to SA Water for the period 1 July 2024 to 30 June 2028.

The determination process included:

- reviewing and amending the consumer protections contained in industry codes
- reviewing the customer service and network reliability service standards with associated performance targets
- making regulatory determinations covering revenue caps for water and sewerage retail services and other pricing-related controls for recycled water services and other ('excluded') retail services, and
- reviewing and amending the monitoring, evaluating and performance framework.

This Chapter provides a summary of the key decisions and associated reasons within the new regulatory determination. It is intended to assist those wishing to understand the general nature and scope of the regulatory determination.

2.1 Water Retail Code – Major Retailers

The Water Retail Code – Major Retailers (Code) sets out the behavioural standards and minimum requirements that apply to SA Water for the sale and supply of retail services (water and sewerage) to customers and, in some instances, other consumers.

The Commission has considered and reached decisions on proposals for changes to the Code and Service Standards from SA Water, discussed further below.

The Commission's decision is that the existing consumer protections contained in the Code continue to remain appropriate for SAWRD24, subject to some limited amendments to enhance protections for consumers, customers experiencing payment difficulties and customers affected by family violence.

With regard to the service standards that SA Water must meet in the sale and supply of retail services to its customers, the Commission's decision is that the existing 22 service standards will continue to apply during SAWRD24, with one performance target lifted to reflect SA Water's historical performance.

2.1.1 Protections for customers and consumers

The Commission's final decision is that the existing protections contained in the Code remain appropriate for SAWRD24, subject to the following variations:

- Certain protections that currently apply only to customers, defined as owners of land to which a retail service is provided, will be extended to apply to all consumers, such as tenants and other occupants.
- New requirements will be established that require SA Water to publish information about how hardship provisions apply differently to customers, as owners of land, and other types of consumers, and what consumers can do if they dispute a bill.

- SA Water will be prohibited from restricting water flow in properties that SA Water believes or should reasonably believe, is tenanted.
- The current prohibition on SA Water charging customers for provision of paper bills will be removed. SA Water will have the discretion to charge for the provision of paper bills provided:
  - it has undertaken public consultation on the proposal and, following consultation, publicly explained its decision whether to proceed with the charge
  - an exemption scheme is established
  - the charge is clearly identified on bills
  - 12 months' notice has been provided before the charge is introduced, and
  - customers have the option to receive a bill free of charge via an alternative method (for example, electronically).
- The requirement for SA Water to undertake an actual meter read at a customer's property where a self-read has not been accepted will be removed. This requirement will be replaced with an obligation for SA Water to provide customers with the option of either resubmitting a compliant read or organising a time for a meter reader to have access to the meter.
- SA Water will be required to offer and apply flexible payment plans to both residential and certain types of non-residential customers who are experiencing payment difficulties (currently this protection is only required for residential customers) and protect both residential and non-residential customers from debt recovery and restriction of water services while adhering to the terms of an agreed payment plan.
- SA Water will be required to establish policies and processes for early identification of residential customers who may be experiencing payment difficulties and will be required to employ best endeavours to contact these customers to provide information about available assistance.
- New conduct and policy requirements will be introduced for SA Water in relation to providing protections for customers experiencing family violence.
- New provisions will establish the service standards that will apply when SA Water has been directed to take over the operations of another water industry entity on either a temporary or ongoing basis.
- SA Water will be required to include the industry Ombudsman's contact details on customer bills.

For further information, please refer to Chapter 5 – Water Retail Code – Major Retailers.

2.1.2 Best endeavours service standards with performance targets

The Commission's final decision is that the existing 22 best endeavours service standards will continue to apply to SA Water during SAWRD24. The service standards cover aspects of customer service, responsiveness to service issues, service restoration timeliness and timeliness of connections. There are separate service standards for the Adelaide metropolitan area and regional areas.

The Commission has not accepted SA Water's proposal to adjust the performance metrics for regional response service standards or the sewer overflow clean-up service standards, as it considers doing so may result in service reductions.

To improve transparency where SA Water does not meet a service standard performance target the best endeavours regime requires SA Water to provide public justification and evidence of why and how it considers that it employed best endeavours notwithstanding that the performance target was not

met. The Commission will consider SA Water's justification and evidence in assessing whether or not best endeavours were used. This regime provides greater transparency on SA Water's performance for its customers, while also aiding the Commission in undertaking a review of the reasonableness of any service standard targets that SA Water is unable to meet over SAWRD24 when setting performance targets for SAWRD28.

For SAWRD24, SA Water has proposed to maintain its service levels, and therefore proposed no increases to the service standard performance targets. However, as SA Water has consistently exceeded the performance target for the service standard relating to complaint escalation to the industry Ombudsman over SAWRD20, the Commission proposes to increase the target for SAWRD24 to reflect SA Water's current performance.

The Commission has also made a final decision that customers connected to the Tea Tree Gully (TTG) Community Wastewater Management System (CWMS) will not be included in the assessment of SA Water's overall performance against its service standards (except for customer service standards). SA Water will instead be required to separately report service performance of the TTG CWMS.

The Commission's final decision on service standards for SAWRD24 is to:

- Maintain current regional response time performance measures.
- Maintain current sewer overflow clean-up performance measures.
- Require SA Water to provide more detailed annual public reporting on missed service standard performance targets.
- Increase the performance target for service standard 5: complaint escalation to the industry Ombudsman from ≤15 percent to ≤10 percent.
- Maintain current public reporting requirements for water and sewer network reliability.
- Maintain current public reporting requirements for sewer overflows to the environment.
- Maintain current public reporting requirements for water quality improvement.

SA Water must continue to use its best endeavours to meet the 22 service standards and performance targets that will apply in SAWRD24. These are summarised in Box 2.1 at the end of this chapter.

For further information, please refer to Chapter 6 – Service standard with performance targets.

2.2 Price determination - Revenue caps

Water and sewerage retail services that are typically provided to all, or a broad class, of SA Water's customers, are regulated under a revenue cap approach.

Provision of these services requires the construction, maintenance and operation of infrastructure and includes activities such as asset refurbishment, preventative and corrective maintenance, management of water quality and the management of water reserves. It also includes the ongoing costs of serving customers, for example regular meter reading and issuing bills.

These 'direct control' retail services have historically been regulated through a regulatory determination that establishes separate revenue caps for water and sewerage retail services. The revenue caps fix SA Water's revenues for four years subject to mechanisms that allow for the pass-through of certain unforeseen costs and revenue changes due to variations in demand.

2.2.1 Form of regulation – Revenue caps

As a part of the SAWRD24 regulatory determination:

- The majority of SA Water's water and sewerage retail services are each subject to a four-year maximum total revenue cap, covering the period 1 July 2024 to 30 June 2028. (Pricing Order, clauses 4.1, 4.2 and 4.3)
- The revenue caps are based on the forecast efficient and prudent costs of providing water and sewerage retail services during the 2024-28 regulatory period, are prepared, and presented based on a building blocks cost model, are set in real (inflation-adjusted) terms, and are set at a fixed dollar amount, subject to the ancillary (adjustment) variation mechanisms specified in the Pricing Order as explained below. (Pricing Order, clauses 5.1 and 5.2)

The adjustment variation mechanisms:

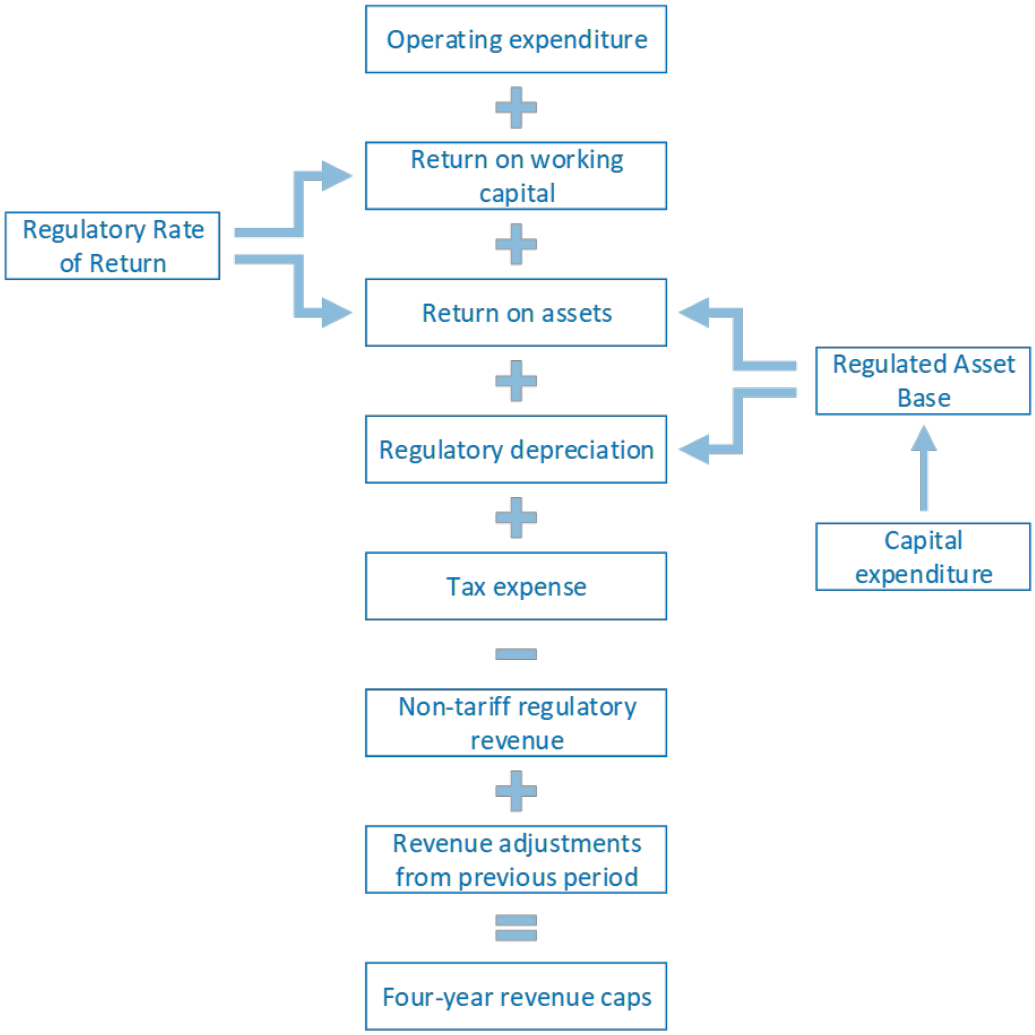
- A 'cost pass-through' mechanism is included, which permits adjustment of the revenue caps in the 2028-32 regulatory period where an event beyond the control of SA Water has, or will have, a material impact on SA Water's costs of providing water or sewerage retail services within the 2024-28 regulatory period. (Pricing Order, clause 4.6)
- A 'demand variation adjustment' mechanism is included, which permits adjustment of the revenue caps in the 2028-32 regulatory period to account for any material differences between forecast and actual water and sewerage retail service revenue earned, due to differences between forecast and actual water sales and sewerage connections. (Pricing Order, clause 4.5)
- A 'shared infrastructure' mechanism for water retail services which permits adjustment of the revenue caps in the 2028-32 regulatory period, by 10 percent of the difference between actual and forecast revenues from the 2024-28 period, for the provision of non-regulated services by SA Water that utilise water retail service infrastructure.
- A 'shared infrastructure' mechanism for sewerage retail services which permits adjustment of the revenue caps in the 2028-32 regulatory period, by 10 percent of the revenue earned by SA Water in the 2024-28 regulatory period, for the provision of non-regulated services by SA Water that utilise sewerage retail service infrastructure.
- A 'River Murray licence adjustment' mechanism will be included and will reduce revenue caps in the subsequent regulatory period to reflect income derived by SA Water from the sale of water allocations associated with River Murray water entitlements.

The building blocks cost model is a commonly accepted economic approach to estimating efficient costs. In this regard, it is effectively a build-up of the forecast efficient costs of the regulated firm.

As shown in Figure 2.1, the building blocks cost model will involve adding the forecast efficient operating expenditure, return on working capital, return on assets, regulatory depreciation and tax expense to determine the total efficient costs of providing each service. It will deduct revenue that SA Water receives from other sources that contribute towards those costs, such as Community Service Obligations (CSO) payments, to ensure that SA Water does not over-recover those efficient costs.

Adjustments will also be made to reflect outcomes from the current regulatory period that flow through to the next regulatory period, such as those under the demand variation adjustment mechanism, the shared infrastructure revenue adjustment mechanism and the River Murray water licence adjustment mechanism.

Figure 2.1: Building blocks cost model of water and sewerage services revenue



For further information, please refer to Chapter 7 – Form of regulation – Revenue caps and adjustment mechanisms for direct control retail services.

2.2.2 Determining prudent and efficient revenue caps

The Commission considered all relevant legislative requirements, objectives and factors in making its final decision regarding maximum revenue caps for water and sewerage retail services. The Commission considers the maximum revenue caps reflect an appropriate sustainable cost for providing those services at the determined service standards and in accordance with the obligations set by all regulators of SA Water.

During the regulatory determination process, the Commission reviews a sample of projects, programs and initiatives across SA Water's business. It also assesses the scope for efficiencies to be achieved across the business, based on issues identified with the reviewed sample that are likely to apply to the projects, programs and initiatives not reviewed in detail. Having done so, the Commission establishes forward-looking expenditure benchmarks at a level that should allow SA Water, acting as a prudent and efficient business, to meet known and identified obligations and agreed service outcomes.

In determining the forecast efficient and prudent costs of providing water and sewerage retail services for SAWRD24, the Commission has had regard to the constituent components of total efficient costs.

For some components, such as operating expenditure and capital expenditure, there can be inter-relationships. For example, a trade-off could involve choosing between replacing an ageing asset and therefore requiring less maintenance expenditure, compared with undertaking a higher-level ongoing maintenance and repairs instead of replacing the asset. Where possible, the Commission has considered potential trade-offs between capital expenditure and operating expenditure when determining the lowest sustainable total efficient costs of retail services for SAWRD24.

Regulating revenues to recover the lowest sustainable cost of supplying water and sewerage retail services allows SA Water sufficient revenue to efficiently deliver the services valued by customers, in the long term. The Commission is not seeking to deliver low prices in the short term at the expense of long-term service delivery. That would be inconsistent with the Commission's requirement to protect customers' long-term interests. Nor is the Commission setting revenues above the efficient cost of service delivery, as that would deliver inefficiently high prices to customers and potentially excessive profits to SA Water, which would also be inconsistent with the long-term interests of consumers.

In making its assessment, the Commission is not bound to simply accept a regulated entity's claims regarding expenditure requirements, without testing and assessing those claims (publicly, wherever possible) and, where it considers better information or evidence exists, then it may choose to adopt that better information and evidence.

Furthermore, the regulatory decision-making process can involve issues of discretion, judgement and degree (to the extent permitted under the ESC Act and the WI Act). In such cases, given the range of possible choices, the Commission recognises that different minds, acting reasonably, could make different choices on the same subject matter.

Therefore, the methodology applied by the Commission in determining maximum revenue caps for water and sewerage retail services, has been informed by all information, materials and submissions available to it at the time of making the draft, and subsequently, final decision. This includes information and submissions from industry and consumers, SA Water's consumer engagement, as well as public and private sources of data, and information contained in SA Water's RBP. The Commission has also sought and considered additional information and materials from SA Water, some of which is confidential and may not be reported in part or in full in the following chapters.

In addition, the Commission has undertaken its own enquiries to obtain further relevant information and advice to inform and assist it in determining the revenue caps for water and sewerage retail services. This includes obtaining the advice of expert engineering and economic consultants. Reports prepared for the Commission by consultants are publicly available for consideration and review as a part of the release of the final determination. The Commission has referenced this information and advice, where it relates to the Commission's determination of final revenue caps.

For further information, please refer to Part D – Determining revenue caps for direct control services.

2.2.3 Expenditure building block outcome and comparison

The following operating expenditure and capital expenditure benchmarks form part of the building block cost model, described above, to calculate maximum revenues for SA Water for the next four years (discussed in section 2.2.4). The benchmarks include:

- an assessment of the operating expenditure and capital expenditure required for SA Water to provide prudent, efficient, safe and reliable water and sewerage retail services to its customers (excluding section 6 directions), and
- operating expenditure and capital expenditure that SA Water has been directed to undertake pursuant to section 6 of the *Public Corporations Act 1993* (PC Act).

The Commission has had regard to and incorporated in its determination of total efficient and prudent expenditure for SAWRD24, the section 6 Ministerial directions issued by the Minister for Housing Infrastructure (Minister) under section 6 of the PC Act, including items A to O. Where the directions do not specify dollar values, the Commission has assessed and included efficient expenditure as required under Clause 4.8 of the Pricing Order. Section 6 Ministerial directions are expressed in nominal dollar terms. However, the figures have been converted into real (inflation-adjusted) terms ($Dec22) by the Commission for the purposes of the regulatory determination.

The benchmarks may not reflect SA Water's forecast costs, where those costs are not demonstrated as being prudent and/or efficient. The Commission does not, in any context, approve SA Water's individual projects, programs or initiatives.

2.2.3.1 Comparison against SA Water's regulatory business proposal

The expenditure benchmark amounts to be included in the calculation of the revenue caps are shown in Table 2.1.

Table 2.1: Expenditure benchmarks for SAWRD24 compared with SA Water's proposal ($Dec22)

	SA Water's proposal for SAWRD24 ($m)	Final Determination SAWRD24 ($m)	Variance ($m)	Variance (%)
Operating expenditure	2,385	2,349	-37 ↓	-2 ↓
Net capital expenditure	2,821	3,299	477 ↑	17 ↑
Total expenditure	**5,206**	**5,647**	**441 ↑**	8 ↑

2.2.3.2 Comparison against SAWRD20

The **expenditure benchmark** amounts to be included in the calculation of the revenue caps are shown in Table 2.2.

Table 2.2: Expenditure benchmarks for SAWRD24 compared with SAWRD20 ($Dec22)

	Final SAWRD20 ($m)	Final Determination SAWRD24 ($m)	Variance ($m)	Variance (%)
Operating expenditure	2,237	2,349	112 ↑	5 ↑
Net capital expenditure	1,885	3,299	1,414 ↑	75 ↑
Total expenditure	**4,122**	**5,647**	**1,525 ↑**	**37 ↑**

Of note, $1,387 of the $1,414 million (75 percent) increase in net capital expenditure benchmark compared to SAWRD20 is driven by directions issued by the Minister, refer Table 2.3.

Table 2.3: Section 6 Ministerial directions for SAWRD24

Section 6 Directions	Amounts, $m ($Dec22)	Nominal terms, over SAWRD24, $m (as in Direction)
Northern Adelaide Irrigation Scheme (NAIS)	8	9
Kangaroo Island Desalination Plant	15	16
Metropolitan Growth	1070	1192
Tea Tree Gully Sustainable Sewers	293	327
Total section 6 capital expenditure	**1,387**	**1,544**

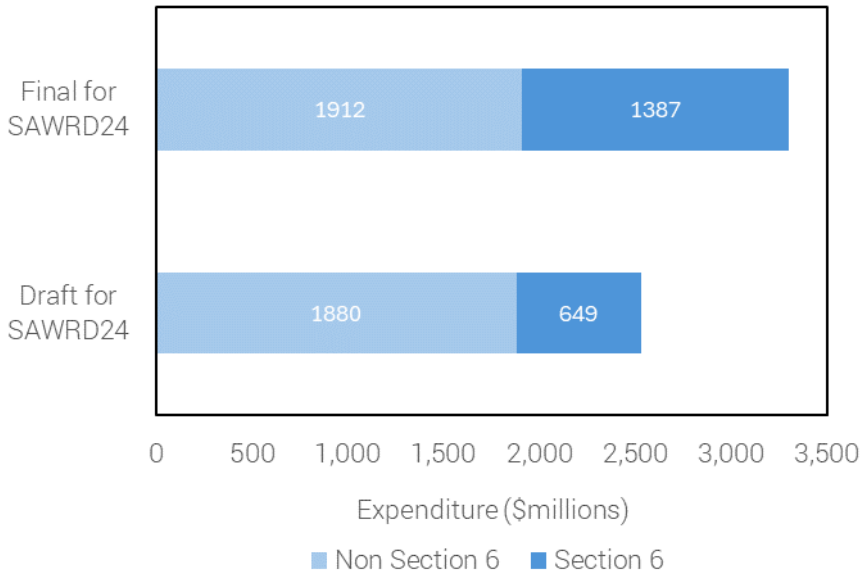
2.2.3.3 Comparison of expenditure directed under section 6 of the PC Act

Where the South Australian Government, as owner, considers it appropriate and in the public interest to do so, SA Water may be directed to provide certain services or undertake certain activities over the course of a regulatory period.

Such directions are made under section 6 of the PC Act and may specify on-going and new requirements that SA Water must deliver during a regulatory period, with associated cost-related requirements or specifications. This includes directions relating to both capital expenditure and operating expenditure.

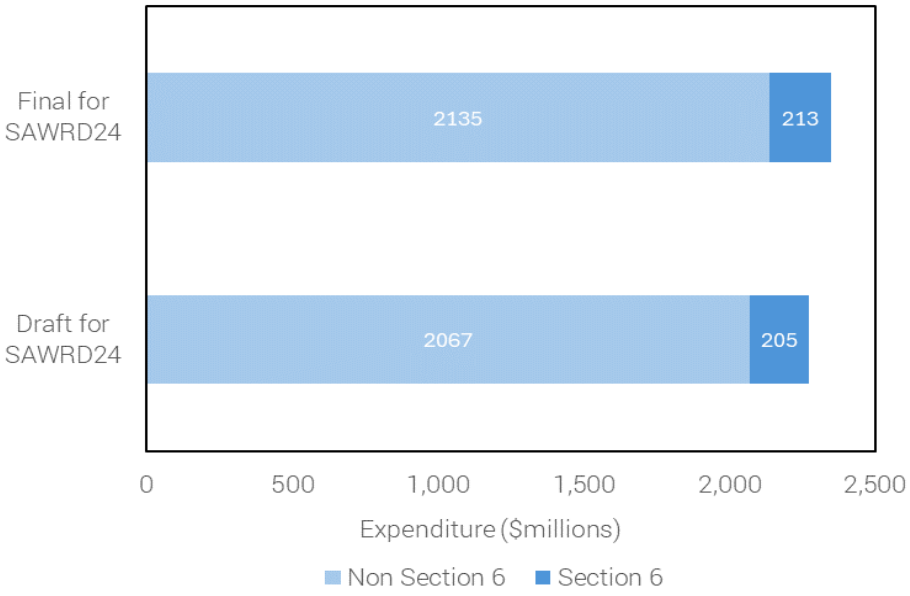
For capital expenditure, $1,387 million has been issued in Ministerial section 6 directions for SAWRD24. Figure 2.2 shows capital expenditure, apportioned between non-section 6 and section 6 spending.

Figure 2.2: Net capital expenditure, by period and process, split by section 6 directions ($Dec22)



For operating expenditure, $213 million has been issued in Ministerial section 6 directions for SAWRD24 as dollar values expressed in the direction. Figure 2.3 shows operating expenditure, apportioned between non-section 6 and section 6 spending. Note the operating expenditure chart includes estimates and several assumptions, and there are some section 6 direction activities, for example Fluoridation services, the purchase of renewable energy or carbon offsets and environmental water volume, that are not specified in the chart as section 6 expenditure.

Figure 2.3: Operating expenditure, by period and process, split by section 6 directions ($Dec22)



For further information, please refer to **Chapter 10 – Operating expenditure** and **Chapter 11 – Capital expenditure.**

2.2.4 Maximum revenue caps outcome and comparison

The Commission's final decision for the combined maximum revenue caps for water and sewerage retail services are less than 1 percent lower than that proposed by SA Water in its RBP, on a comparative basis.

The maximum revenue caps for SAWRD24 have been calculated as the forecast total efficient costs of providing water and sewerage retail services, based on current interest rates and forecasts of inflation and available observations of expenditure and revenue. The total efficient costs of providing water and sewerage retail services have been determined using the building blocks cost model. The maximum revenue caps factor in changes to the requirements that apply to SA Water as a result of updates to the Water Retail Code. The cost components have each been outlined in Chapters 10 through to 16. Cost components related to updates to the Water Retail Code are outlined in Chapter 5 and have been summarised in Appendix 4.

The final decision is that the maximum revenue caps for the four-year period commencing 1 July 2024, in present value terms, are:

- $3,524 million ($Dec22) for water retail services, and
- $1,806 million ($Dec22) for sewerage retail services.

The Commission's assessment is that the maximum revenue caps will provide SA Water with sufficient revenue to fund prudent and efficient operations and finance prudent and efficient investments on a long-term basis while meeting SA Water's applicable health, safety, environmental and customer service standards and obligations over SAWRD24. The revenue caps include an allowance for expenditure that the Minister has directed SA Water to undertake during the period. In order to deliver value for money on an ongoing basis, SA Water should ensure it has in place sound long-term asset management, operating and financing strategies. These strategies should support the provision of retail services for current and future customers.

2.2.4.1 SAWRD24 revenue requirements resulting from section 6 directions

Through submissions, stakeholders expressed interest in the impact that section 6 directions issued under the PC Act may have on SA Water's revenue requirements. In terms of prudent and efficient net capital expenditure, the Commission has undertaken an illustrative sensitivity analysis.

If the Commission adopted a net capital expenditure benchmark for SAWRD24 that *excluded* the section 6 directed expenditure, but held all else equal, it is estimated that in total it would lower revenue caps by slightly more than 2 percent for both water and sewerage retail services combined. (Note that in this scenario operating expenditure associated with the expected section 6 directions has not been included.)

It is important to emphasise that SA Water is a long-term, asset-intensive business. Water and sewerage assets that are installed during the next four years, may continue to service customers for over 100 years. Over the next four years, customers will pay a portion of the cost to build new water and sewerage assets (for example, funding four years of a 100-year asset). Customers in future periods will also to pay for the cost of those assets until those assets reach end of life.

Overall, the relatively modest reduction in maximum revenue caps (slightly more than 2 percent) in this scenario reflects that the proposed capital expenditure in water and sewerage assets will be recouped over the whole life of the assets. Therefore, the revenue effect in any four-year period can be relatively small compared to the total period of revenue recovery for long-life assets.

For further information, please refer to Chapter 16 –Determination of total revenue caps and Chapter 17 – Revenue caps outcomes and comparison.

2.2.4.2 Prices for water and sewerage retail services

SA Water has the flexibility to set prices from year to year as it sees fit, but for the majority of its retail services, is only allowed to recover revenues in accordance with the final four-year maximum revenue caps. The revenue caps set by the Commission are fixed, subject to any adjustment mechanisms in the following regulatory period.

SA Water must ensure its revenues do not exceed the caps, expressed as a present value at 1 July 2024, in dollars of December 2022. In setting the caps, the Commission's assessment of SA Water's prudent and efficient expenditure benchmark has been completed in real, December 2022 dollars. The expenditure forecasts also include allowances for growing demand and customer numbers over the regulated period. SA Water will set prices for water and sewerage retail services from time to time as actual current prices for customers, including the effects of inflation. It is therefore important to note that the likely percentage change in prices set by SA Water will not necessarily mirror the percentage change in revenue caps between regulatory periods.

While the revenue caps are set by the Commission in inflation-adjusted terms (real, December 2022 prices), SA Water will set prices for water and sewerage retail services in nominal terms (that is, they will be set in current prices for customers). It is therefore worth noting that the percentage change in the revenue caps between regulatory periods (for example, the increase in the caps for SAWRD24 relative to those set out in SAWRD20) may not necessarily translate into the same percentage increase in the nominal prices that are set by SA Water.

For further information on current tariffs and charges, please refer to SA Water's website (www.sawater.com.au) or contact SA Water directly on 1300 SA WATER (1300 729 283).

2.2.4.3 Comparison against SA Water's regulatory business proposal

Under this final determination, the revenue caps for SAWRD24 represent a:

- 1 percent decrease for water retail services compared with SA Water's proposal, and
- 2 percent increase for sewerage retail services compared SA Water's proposal.

Table 2.4 compares the final revenue caps for SAWRD24 with an adjusted version of SA Water's proposal.

Table 2.4: Final revenue caps for SAWRD24 compared with an adjusted version of SA Water's proposal, in present value terms ($Dec22)

	SA Water's proposal for SAWRD24 ($m)	Final Determination SAWRD24 ($m)	Variance ($m)	Variance (%)
Total Water	3,569	3,524	-46 ↓	-1% ↓
Total Sewerage	1,771	1,806	35 ↑	2% ↑

The Commission has, for the purposes of making a like-for-like comparison, adjusted SA Water's revenue proposal (including for the latest rate of return and the consumer price index (CPI) inflation roll-forward of the RAB), in order to estimate a comparison between the Commission's final determination and SA Water's proposal. Without making an adjustment, any comparisons of revenue caps may be, for example, significantly impacted by the timing of the assessments and the differing rate of return and other assumptions utilised.

2.2.4.4 Comparison against SAWRD20

The SAWRD24 determination is made in a different economic context to the previous regulatory determination, SA Water Regulatory Determination 2020 (SAWRD20), which occurred in a low interest rate environment. That environment has changed materially, with material uplifts in interest rates which directly flow through into the determination of the regulatory rate of return (rate of return).

During the four-year SAWRD20 period, lower financing costs meant SA Water was able to deliver the same level of water and sewerage retail services for less than was the case in previous regulatory periods. The cost savings in SAWRD20 were passed on to customers through lower bills. Current financing costs have increased operational costs compared to SAWRD20, returning to levels experienced previously. In addition, higher prices for energy and raw materials are adding to overall cost pressures.

Under this final determination, the revenue caps for SAWRD24 represent a:

- 21 percent increase for water retail services compared with those determined in SAWRD20, and
- 30 percent increase for sewerage retail services compared with those determined in SAWRD20.

While increased expenditure benchmarks have contributed to additional revenue requirements, the Commission's assessment is that the increases in the revenue caps, compared to SAWRD20, have been driven largely by the increase in the rate of return (refer Box 2.1).

Box 2.1: Key driver - Rate of return

Increased financing costs have resulted in a final decision to set SA Water's allowed average rate of return at 3.70 percent (real, post-tax), calculated as of 20 March 2024. By way of comparison, the average regulatory rate of return (real, post-tax) adopted in previous determinations was:

- 4.5 percent in 2013-16
- 4.17 percent in 2016-20, and
- a low of 2.68 percent in 2020-24.

In its Regulatory Business Proposal, SA Water calculated revenue requirements using an average regulatory rate of return (real, post-tax) of 3.23%, calculated in March 2023.

To illustrate the impact on the revenue caps from the higher rate of return, holding all things equal, if the rate of return used in SAWRD20 (2.68 percent) was applied for the purposes of the SAWRD24 determination, it would lead to the following revenue outcomes (refer Table 2.5).

Table 2.5: Comparison of revenue caps for SAWRD24 using SAWRD20 rate of return, in present value terms ($Dec22)

	Final Determination SAWRD24 – 3.70% Rate of Return ($m)	Final Determination SAWRD24 - 2.68% Rate of Return ($m)	Variance ($m)	Variance (%)
Water	3,524	3,162	-362 ↓	-10% ↓
Sewerage	1,806	1,626	-179 ↓	-10% ↓

In this scenario, the revenue caps would be 9 per cent and 17 percent higher than in SAWRD20 (compared to 21 percent and 30 percent respectively). This is 12 and 13 percentage points below the SAWRD24 final decision (refer Table 2.6).

Table 2.6: Comparison of percentage change in revenue caps for SAWRD24 compared to SAWRD20, using SAWRD24 and SAWRD20 rate of return ($Dec22)

	Final Determination SAWRD24 – 3.70% Rate of Return (%)	Final Determination SAWRD24 - 2.68% Rate of Return (%)	Variance (%)
Water	21%	9%	-12% ↓
Sewerage	30%	17%	-13% ↓

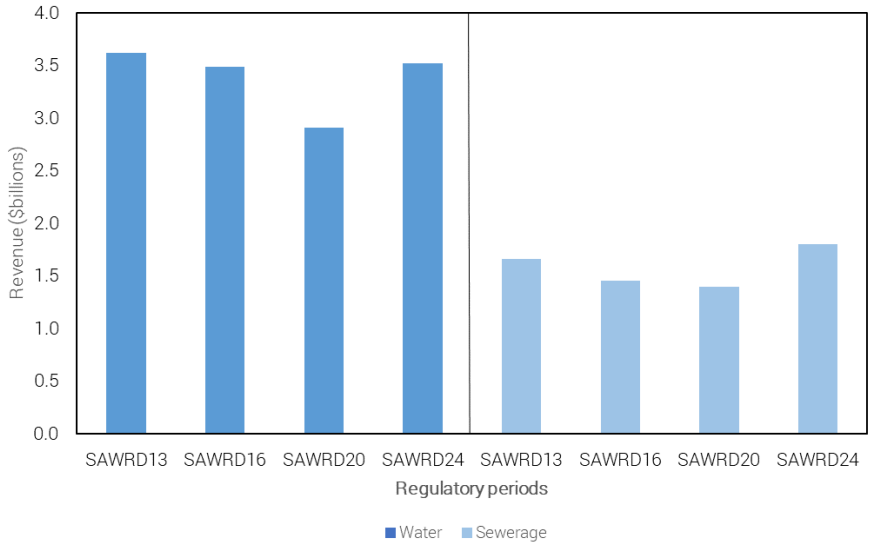
The conclusion may be drawn that the rate of return is the major contributing factor to the increase in the revenue caps.

2.2.4.5 Comparison against previous determinations

To put the SAWRD24 final determination into context, comparisons can be made against the revenue allowances set out in previous regulatory determinations.

A comparison against the SA Water Regulatory Determination 2013 (SAWRD13) highlights that the current SAWRD24 final determination is not out of the ordinary in terms of the total efficient costs for SA Water for the delivery of water and sewerage retail services (Figure 2.4). The SAWRD24 revenue caps for water and sewerage retail services are approximately 3 percent lower and 9 percent higher than the revenue amounts determined under SAWRD13.

Figure 2.4: Revenue amounts across SAWRD13, SAWRD16, SAWRD20 and SAWRD24, in present value terms ($Dec22)



2.3 Price determination – Excluded retail services and recycled water

Excluded retail services are retail services that are 'excluded' from the revenue caps.

In general, excluded retail services are provided to specific customers and the costs of such services are recovered through specific charges to those customers (or potential customers) rather than being paid by all customers. This includes the supply of recycled water, the provision of new connections and trade waste services.

Excluded retail services, including recycled water services, have historically been regulated under a regulatory determination that establishes principles that SA Water must apply when setting prices for

those services. Those include both National Water Initiative (NWI) Pricing Principles and principles established by the Commission.

The Commission has undertaken a review of SA Water's recycled water and excluded services pricing and has not found any evidence that SA Water is misusing its market power in setting prices. As such, current evidence does not indicate that a more prescriptive regulatory approach is required for SA Water's recycled water or excluded retail services.

The Commission's final decision is to continue to regulate the sale and supply of recycled water and excluded retail services under a pricing principles approach and to do so on an ongoing basis. To improve transparency over SA Water's excluded services pricing and support the move to an ongoing pricing principles regulatory approach, the Commission will maintain the current requirement for SA Water to provide the Commission with pricing information but will include more detail on the manner and form of the data required. The Commission will continue to undertake compliance monitoring and enforcement through its general compliance framework.

For further information, please refer to Chapter 8 – Form of regulation – Recycled water and other excluded services.

2.4 Monitoring and Evaluating Performance Framework

The Monitoring and Evaluating Performance Framework (MEPF) was introduced in SAWRD20 and outlines public reporting requirements and regulatory expectations that apply to SA Water. It requires SA Water to account for the long-term commitments made to customers, including under its RBP, and for delivering the outcomes as required under the consumer protections established by the Code.

Public reporting requirements were set based on four focus areas that stakeholders deemed most important: service standards and performance targets, expenditure and revenue outcomes, key investment areas, and long-term asset management and planning. Under the MEPF, the Commission verifies and provides assurance on SA Water's data collection and analysis through assurance statements, reviews and audits, as required.

The MEPF is based on the Commission's Verified Trust and Accountability (VTA) framework. Under the VTA, there is greater emphasis on licensee accountability and regulatory verification of performance outcomes and long-term trends. A licensee can gain and lose trust based on its own actions, and the Commission can intervene or take regulatory action as required to protect consumers' interests.

The Commission's final decision is to retain and strengthen the MEPF that applies to SA Water, for SAWRD24.

Proposed changes are to:

- embed SA Water's public reporting requirements in the Code
- introduce a new Code requirement for SA Water to report annually to the Commission and the public about how it has applied its best endeavours where it has not met a service standard performance target
- introduce a new Code requirement for SA Water to submit a Basis of Preparation, annually, for the financial and operational performance reporting metrics it submits to the Commission
- introduce a new Code requirement for SA Water to publicly communicate and explain any significant data revisions or errors in its published reports, and
- introduce a new obligation in SA Water's retail licence for it to have and adhere to a compliance system based on the Australian Standard on Compliance Programs, AS 37301:2023 (as amended from time to time).

The Water Regulatory Information Requirements - Major Retailers Water Industry Guideline No. 2 (Guideline 2) will be amended to include:

- the broad information to be covered in SA Water's public reports
- new hardship reporting indicators, including:
  - average amount of bill debt for residential customers upon entry into the financial hardship program as at the end of the quarter
  - average amount of bill debt for residential customers upon successfully exiting the financial hardship program as at the end of the quarter
  - number of residential customers who exited without successfully completing the financial hardship program during the quarter, and
  - average amount of bill debt for residential customers who exited without successfully completing the financial hardship program as at the end of the quarter.
- expectations in relation to the quality and accuracy of information in public reports
- requirements for SA Water's public reports to be reasonably accessible to the public and include timeseries datasets to enable public comparison and analysis of service standard performance, and
- definitions of 'bill debt' and 'successfully exiting the financial hardship program'.

In conjunction with these changes, the Commission intends to strengthen its communication on SA Water's performance both publicly and directly to SA Water.

For further information, please refer to Chapter 18 –Monitoring, evaluating and reporting the outcomes achieved in SAWRD24.

2.5 Background to SAWRD24

SA Water is a vertically-integrated water and sewerage business, wholly owned by the South Australian Government. SA Water provides water and sewerage services to approximately 1.7 million South Australians.

The retail services provided by SA Water are subject to economic regulation by the Commission under the *Essential Services Commission Act 2002* (ESC Act) and *the Water Industry Act 2012* (WI Act). The economic regulatory regime has two main elements:

- SA Water is licensed by the Commission under the WI Act to provide retail services, subject to conditions. While some matters are addressed through licence conditions alone, the Commission is able to make industry codes and rules that prescribe the rules of conduct and procedures that SA Water must follow in providing retail services. This relates in particular to the setting of service standards and the nature and scope of consumer protections that must be adhered to by SA Water.
- The Commission also has the discretion to make determinations relating to pricing for SA Water's retail services. Under the legislative settings of the regime, the Commission regulates the revenues that can be earned by SA Water for the provision of retail services (having regard to the service standard, consumer protection and other regulatory requirements), with SA Water being responsible for setting the specific prices that recover the relevant revenues.

The Commission's overall purpose and approach in regulating SA Water aims to encourage economically efficient behaviour that is in consumers' long-term interests. This supports a regulatory compact that provides SA Water with sufficient revenue to provide prudent, efficient, safe and reliable water and sewerage retail services to its customers.

The Commission undertakes its role as economic regulator within a broader legislative and policy framework. The South Australian Government develops and implements, through legislation, public policy in relation to public health, the environment, water supply and demand planning, technical standards, safety and social welfare, all of which impact on SA Water. The Commission and other regulators perform roles and functions assigned to them by the South Australian Government and Parliament under that policy and legislative framework.

SA Water is regulated by other bodies in relation to matters such as health, quality safety and environmental obligations. The Commission works closely with those bodies, and factors the efficient cost of meeting those obligations into revenue allowances, but is not responsible for those other regulatory requirements or outcomes.

Under the economic regulatory regime, the Commission brings the making of codes, rules, and price determinations into a single regulatory determination process. The regulatory determination will apply for the period 1 July 2024 to 30 June 2028. This is the fourth SA Water regulatory determination made by the Commission.

The Commission has considered all relevant legislative objectives and factors in making this final regulatory determination. The statement of reasons sets out the legal and policy framework for SAWRD24 and how the Commission has addressed the legal requirements.

This final regulatory determination sets out the Commission's considered position as to the most reasonable form and quantum of regulation and revenue control to be applied to SA Water during the 2024-2028 regulatory period. It considers that it best protects South Australian consumers' long-term interests with respect to the price, quality and reliability of the water and sewerage retail services provided by SA Water.

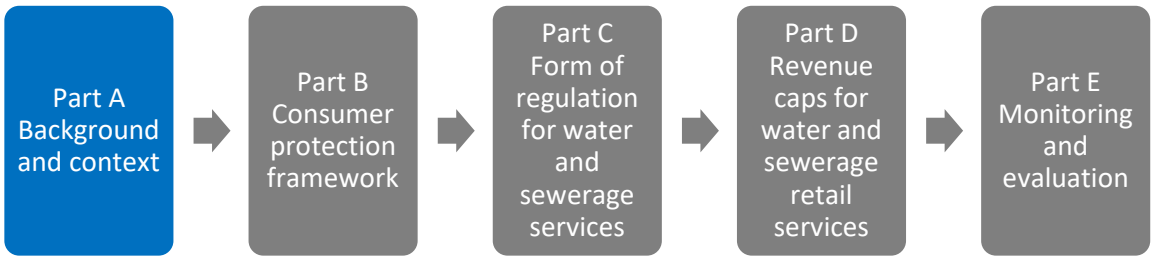
For further information, please refer to Chapter 3 – Introduction and Chapter 4 – SA Water's Regulatory Business.

Box 2.2: Summary of final decision on best endeavours service standards for SAWRD24

Service standards			SAWRD24 target
No.	Category	Standard and performance measure	
1.	Customer service	**Customer satisfaction**: Customers who are satisfied with recent service experience.	≥93%
2.	Customer service	**Telephone responsiveness**: Fault telephone calls answered within 50 seconds.	≥85%
3.	Customer service	**First contact resolution**: Account enquiry telephone calls resolved at first point of contact.	≥85%
4.	Customer service	**Complaint responsiveness**: Customer and community complaints responded to in 10 business days.	≥95%
5.	Connections	**Complaint escalation**: Percentage of customer and community complaints escalated to the ombudsman following dissatisfaction with SA Water response to a complaint. * Change from the current target	**≤10%***
6.	Connections	**Connection application responsiveness**: Network connection applications processed in the target timeframe of 20 business days.	≥95%
7.	Connections	**Water network connection timeliness**: Water network connections constructed in target timeframes.	≥95%
8.	Connections	**Sewer network connection timeliness**: Sewer network connections constructed in target timeframes.	≥94%
9.	Response (attendance)	**Water quality responsiveness – metropolitan Adelaide**: Water quality service requests assessed by field staff that have resolution or plan of action communicated with the customer in target timeframes.	≥97%
10.	Response (attendance)	**Water quality responsiveness – regional areas**: Water quality service requests assessed by field staff that have resolution or plan of action communicated with the customer in target timeframes.	≥99%
11.	Response (attendance)	**Water event responsiveness – high priority – metropolitan Adelaide**: Water network break and leak events with the greatest customer or community impact attended by field crews in target timeframes.	≥99%

12.	Response (attendance)	**Water event responsiveness – high priority – regional areas:** Water network break and leak events with the greatest customer or community impact attended by field crews in target timeframes.	≥99%
13.	Response (attendance)	**Water event responsiveness – low priority – metropolitan Adelaide:** Water break, leak and boundary events with low to medium customer or community impact attended by field crews in target timeframes.	≥83%
14.	Response (attendance)	**Water event responsiveness – low priority – regional areas**: Water break, leak and boundary events with low to medium customer or community impact attended by field crews in target timeframes.	≥97%
15.	Response (attendance)	**Sewer event responsiveness – metropolitan Adelaide:** Sewer events attended by field crews in target timeframes.	≥99%
16.	Response (attendance)	**Sewer event responsiveness – regional areas:** Sewer events attended by field crews in target timeframes.	≥99%
17.	Restoration	**Water service restoration timeliness – metropolitan Adelaide**: Unplanned interruptions to a water service restored in target timeframes.	≥98%
18.	Restoration	**Water service restoration timeliness – regional areas**: Unplanned interruptions to a water service restored in target timeframes.	≥98%
19.	Restoration	**Sewerage service restoration timeliness – metropolitan Adelaide:** Unplanned interruptions to a sewer service restored in target timeframes.	≥95%
20.	Restoration	**Sewerage service restoration timeliness – regional areas:** Unplanned interruptions to a sewer service restored in target timeframes.	≥99%
21.	Restoration	**Sewer overflow clean-up timeliness – metropolitan Adelaide:** Sewer overflow clean-ups completed in target timeframes.	≥98%
22.	Restoration	**Sewer overflow clean-up timeliness – regional areas:** Sewer overflow clean-ups completed in target timeframes.	≥99%

Part A – Background and context



Part A provides background and contextual information relevant to SAWRD24. It summarises:

- how SAWRD24 will operate within a broader policy framework
- why regulation of SA Water's retail services is required
- the making of the regulatory determination
- SA Water's regulatory business, and
- key themes raised in submissions.

3 Introduction

To protect the long-term interests of consumers with respect to the price, quality and reliability of SA Water's retail services, the intended outcomes from this regulatory determination are that SA Water:

- provides water and sewerage services at the lowest sustainable price for the quality and reliability levels valued by customers
- has in place sound long-term asset management, operating and financing strategies, which support the provision of those services for current and future customers, and
- transparently demonstrates and provides evidence of its performance to the people, businesses and communities in South Australia that use water and sewerage services as an essential part of their everyday lives.

SA Water is a vertically-integrated water and sewerage business, wholly owned by the South Australian Government.[1] SA Water provides water and sewerage services to approximately 1.7 million South Australians.

The retail services[2] provided by SA Water are subject to economic regulation by the Commission under the *Essential Services Commission Act 2002* (ESC Act) and *the Water Industry Act 2012* (WI Act). The economic regulatory regime has two main elements:

- SA Water is licensed by the Commission under the WI Act to provide retail services, subject to conditions.[3] While some matters are addressed through licence conditions alone, the Commission is able to make industry codes and rules that prescribe the rules of conduct and procedures that SA Water must follow in providing retail services.[4] This relates in particular to the setting of service standards and the nature and scope of consumer protections that must be adhered to by SA Water.
- The Commission also has the discretion to make determinations relating to pricing for SA Water's retail services.[5] Under the legislative framework, the Commission regulates the revenues that can be earned by SA Water for the provision of retail services (having regard to the service standard, consumer protection and other regulatory requirements), with SA Water responsible for setting the prices paid by customers.

The Commission's overall purpose and approach in regulating SA Water aims to encourage economically efficient behaviour that is in consumers' long-term interests.[6] This supports a regulatory

1 The South Australian Water Corporation is established under the *South Australian Water Corporation Act 1994*. It is a public corporation subject to the *Public Corporations Act 1993*. Not all of the functions undertaken by SA Water are subject to regulation by the Commission. Further information about SA Water's Regulatory Business is provided in Chapter 4.

2 Retail services are defined in section 4 of the WI Act. A retail service is: (a) the sale and supply of water to a person for use (and not for resale other than in prescribed circumstances (if any)) where the water is to be conveyed by a reticulated system; or (b) the sale and supply of sewerage services for the removal of sewage (even if the service is not actually used), but does not include any service, or any service of a class, excluded via regulations.

3 Refer section 25(1) of the WI Act. SA Water's licence is available at: www.escosa.sa.gov.au/industry/water/licensing/licence-register.

4 Section 28 of the ESC Act.

5 Section 25 of the ESC Act and section 35 of the WI Act.

6 Section 6 of the ESC Act.

compact that provides SA Water with sufficient revenue to provide prudent, efficient, safe and reliable water and sewerage retail services to its customers now and into the future.

Of note, and as explained further below, SA Water is regulated by other bodies in relation to matters such as health, quality safety and environmental obligations. The Commission works closely with those bodies, and factors the efficient cost of meeting those obligations into revenue allowances, but is not responsible for those other regulatory requirements or outcomes.

Under the economic regulatory regime, the Commission brings the making of codes, rules and price determinations into a single regulatory determination process. The regulatory determination will apply for the period 1 July 2024 to 30 June 2028 (SA Water Regulatory Determination 2024 or SAWRD24). This is the fourth SA Water regulatory determination made by the Commission.[7] The determination process includes:

- reviewing and amending the consumer protections contained in industry codes
- reviewing and setting customer service and network reliability service standards with associated performance targets
- making price determinations setting maximum revenue caps for 'direct control' water and sewerage retail services and pricing-related controls for recycled water services and other 'excluded' retail services,[8] and
- reviewing and amending the monitoring, evaluating and performance framework.

The release of this final regulatory determination concludes the Commission's decision-making process, following the gathering of a broad range of feedback, commentary and evidence from stakeholders which informed the review. In making this final regulatory determination, the Commission's primary objective is to protect the long-term interests of consumers with respect to the price, quality and reliability of essential services.

3.1 SAWRD24 will operate within a broader policy framework

SA Water is a government-owned provider of water and sewerage services. Its primary role is to source, treat, distribute and sell drinking water and non-drinking water, and to remove, treat and dispose of sewage from homes and businesses. Those essential services are highly regulated, including service level and revenue regulation by the Commission (referred to generally as 'economic regulation') as well as health, technical or environmental regulation by other agencies, as outlined below.

The Commission undertakes its role as economic regulator within a broader legislative and policy framework. The South Australian Government develops and implements, through legislation, public policy in relation to public health, the environment, water supply and demand planning, technical standards, safety and social welfare, all of which impact on SA Water. The Commission and other regulators perform roles and functions assigned to them by the South Australian Government and Parliament under that policy and legislative framework. A summary of the key entities involved in the regulation of SA Water is provided in Table 3.1 on the following page.

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7 Essential Services Commission of South Australia, *SA Water Regulatory Determination 2020*, June 2020, pp. 1-305, Essential Services Commission of South Australia, *SA Water Regulatory Determination 2016*, June 2016, pp. 1-146, and Essential Services Commission of South Australia, *SA Water Regulatory Determination 2013*, May 2013, pp. 1-192. Previous determinations (including statement of reasons and price determinations) are available on the Commission's website at https://www.escosa.sa.gov.au/industry/water/retail-pricing.

8 Refer to Chapter 4 – SA Water's Regulatory Business – for further information on the water and sewerage retail services provided by SA Water.

The Commission's role is limited, by legislation, to assessing the efficient costs of providing essential services; it does not extend to assessing affordability or an individual customer's capacity to pay for essential services. The South Australian Government makes decisions about social policy, including policies supporting customers to meet the costs of accessing essential services.

Table 3.1: Entities involved in the regulation of the water industry

Entity	Overview of role within the water industry	Relevant legislation
Minister for Climate Environment and Water (**WI Minister**)	Administers the *Water Industry Act 2012* and is responsible for non-regulatory instruments (eg schemes) and appointing water industry entities.	*Water Industry Act 2012*
Treasurer	Sets licence fees for water industry entities and issues Pricing Orders.	*Water Industry Act 2012*
Minister for Housing Infrastructure (**Minister**)	Administers the *South Australian Water Corporation Act 1994* and issues Ministerial directions pursuant to section 6 of the *Public Corporations Act 1993.*	*South Australian Water Corporation Act 1994* *Public Corporations Act 1993*
Essential Services Commission	Regulates customer service standards for the sale and supply of water and sewerage retail services. Establishes average customer service and reliability service standards for water and sewerage retail services and assesses the prudent and efficient costs for delivery of water and sewerage retail services. Regulator for the third-party access regime.	*Essential Services Commission Act 2002* *Water Industry Act 2012*
Environment Protection Authority	Regulates the environmental impact of water businesses.	*Environmental Protection Act 1993*
Department for Environment and Water	Regulates State water resources, and other natural resource management matters.	*Natural Resources Management Act 2003*
SA Health	Regulates public health requirements for providing drinking water supplies.	*Safe Drinking Water Act 2011*
Technical Regulator	Regulates safety and technical matters.	*Water Industry Act 2012*
Consumer and Business Services	Responsible for administration of the Australian Consumer Law (SA), covering consumer protection and fair trading, in South Australia. Regulates the relationship between landlords and tenants for the payment of rates and charges for water and sewerage services. Regulates the professional conduct of plumbing contractors.	*Competition and Consumer Act 2010 (Cth)* *Fair Trading Act 1978* *Residential Tenancies Act 1995* *Plumbers, Gasfitters and Electricians Act 1995*
Department of Human Services	Develops customer hardship and concession policies.	*Water Industry Act 2012*
Energy and Water Ombudsman SA	Resolves complaints from customers of water retailers that have joined the scheme.	*Water Industry Act 2012* *Corporations Act 2001*

In that context, through its regulatory determinations the Commission determines the efficient expenditure required by SA Water to meet its regulatory obligations for a defined four-year period. It does not decide whether South Australian Government policies that impact on water and sewerage prices are appropriate or correct. Nor does the Commission make decisions about the governance of SA Water: that is a matter for SA Water and its owner, the South Australian Government.
SA Water makes the day-to-day commercial decisions about the operations and investments required to deliver water and sewerage services that meet its regulatory obligations. SA Water and its owner, the South Australian Government, are responsible for setting the prices that apply to customers. The prices set by SA Water must be set to recover revenues at or within maximum caps set under the Commission's revenue determinations and comply with relevant pricing principles.[9]

Consumer and industry advocates have an important role to play in the economic regulation of SA Water, through understanding and representing or reflecting the views of their constituents in consultation and engagement processes (to both SA Water and the Commission). They may advocate for changes where their constituents' interests are not being met (for example, in relation to the price/service offerings being provided by SA Water).

The Commission has an established Consumer Advisory Committee (CAC), comprising consumer representatives, which advises the Commission on its regulatory functions, including the economic regulation of SA Water. Those consumer advocacy representatives and associated organisations help the Commission to understand consumer experiences and expectations, and also provide evidence to inform the Commission's regulatory decision-making process.[10]

3.2 Why regulation of SA Water's retail services is required

Consistent with its functions and powers under the WI Act and ESC Act, to protect the long-term interests of SA Water's consumers the Commission has decided to make a regulatory determination and to amend the current consumer protection regime that applies to the retail services provided by SA Water.[11]

The following propositions underpin that decision:

- SA Water is a monopoly service provider of to the majority of South Australians, and
- as a result, SA Water's consumers do not have the benefit of competition to drive economically efficient behaviour by SA Water, such as providing service levels that are valued by customers and seeking cost efficiency in the provision of retail services.

Having regard to the natural monopoly characteristics of SA Water and the potential for inefficient prices and/or service provision, the Commission considers it appropriate to regulate SA Water's retail services and to specify a consumer protection regime. Economic regulation, in the form of pricing[12] and service standards controls, can act to substitute for that lack of competition by providing drivers for efficiency, thereby ameliorating potential economic detriment to consumers (the costs of which may be materially greater than the costs of regulation) and protecting their long-term interests.

Economic regulation is most commonly used to address the market failures arising from the existence of a natural monopoly, where there is the potential for inefficient prices and/or service provision (e.g. through misuse of market power).

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9 Discussion of the maximum revenues and pricing principles is set out in Part D of this report.
10 As established by section 17 of the ESC Act and section 14 of the WI Act.
11 Further information on the Commission's powers to make codes, rules and price determinations is contained in Appendix 2 of this report.
12 For example, revenue controls and pricing principles.

The ESC Act allows the Commission to choose from a broad range of regulatory options. The Commission's decision on which of those options to apply must be made having regard to the Commission's statutory objectives and any requirements under industry Acts (such as Pricing Orders). In this case, the overall statutory regime requires the Commission's determination for the majority of water and sewerage retail services to take the form of a maximum revenue control; for other services, however, the Commission retains the discretion to choose the appropriate form of regulation.

In considering that matter, it is the Commission's position that the form of price regulation should be commensurate with the extent of the market failure which price regulation is intended to address. For example, for services where there is no scope for competition or bypass of the service, direct price controls may be appropriate (such as the maximum revenue control described above). Where market power exists but may be constrained due to the presence of limited competition, a lighter-handed form of regulation may be appropriate.

Ultimately, the decision on which form of regulation to apply should be based on maximising for consumers the net benefits of regulation.

The following sections of this statement of reasons sets out, in detail, why regulation of SA Water's retail services is required and the specific approach under which the Commission will regulate SA Water:

- Part B – Consumer protection framework
- Part C – Form of regulation for water and sewerage retail services
- Part D – Determining revenue caps for direct control retail services, and
- Part E – Monitoring and evaluation.

Decision

The Commission's final decision, pursuant to 25(1) of the *Essential Services Commission Act 2002* and 35(1) of *Water Industry Act 2012*, is that it will exercise its discretion to make two price determinations regulating prices, conditions relating to prices and price-fixing factors for the sale and supply of water retail services by SA Water (as defined in the *Water Industry Act 2012*):

- the first price determination will set revenue caps and adjustment mechanisms for direct control retail services, and
- the second price determination will set a pricing principles approach for recycled water and excluded retail services.

In addition, the Commission's final decision, pursuant to 28(2) of the *Essential Services Commission Act 2002*, is that it will exercise its discretion to vary the Water Retail Code – Major Retailers that relates to the conduct and operations of SA Water in the supply and sale of retail services.

3.3 Economic context of SAWRD24

The SAWRD24 determination is made in a different economic context to the previous regulatory determination, SA Water Regulatory Determination 2020 (SAWRD20), which occurred in a low interest rate environment. During the four-year SAWRD20 period, lower financing costs meant SA Water was able to deliver water and sewerage retail services for less than in previous regulatory periods. The cost savings in SAWRD20 were passed on to customers through lower bills. Current financing costs have increased the cost of doing business, compared to SAWRD20, returning these costs to levels experienced previously. In addition, issues affecting global supply chains have added cost pressures to expenditure requirements.

Higher interest rates have raised financing costs for companies, including those that provide essential services, such as SA Water. In general, a higher cost of equity and debt will result in a higher cost to deliver the same level of services.

The cost of materials and intermediate inputs (for example, energy-related prices such as oil and electricity, and raw commodity prices such as copper and aluminium) have also increased, in some cases, by amounts well above changes observed in Consumer Price Index (CPI) inflation.[13] In terms of SA Water, this cost pressure is a factor in determining the prudent and efficient expenditure associated with operating, renewing and expanding its water and sewerage network, to deliver the same level of retail services to customers.[14]

It is also noted that the South Australian economy has performed strongly over recent years[15] and, like all businesses, SA Water's ability to obtain resources and deliver effectively on its investment and operational plans can be impacted by economic circumstances. The unemployment rate in South Australia is currently low, at around 4 percent, and labour market conditions indicate that spare capacity may be low. At the same time, demand for new housing in South Australia is high, and the release by the South Australian Government of significant amounts of land for new residential dwellings will require SA Water to provide new connections and associated infrastructure.

In that context, the South Australian Auditor-General's Department has noted that there is currently a *'heated construction market',* and that the South Australian Government may face challenges delivering its state-wide capital program on time and on budget, given capacity constraints of key building materials and skilled labour and cost pressures.[16] Consistent with this, nationally, some surveys indicate skills shortages for engineers,[17] and the Reserve Bank of Australia (RBA) has stated that firms are reporting risks to the delivery of investment plans and challenges securing labour for construction and engineering projects.[18]

Looking ahead to economic conditions in the SAWRD24 period, higher interest rates are expected to continue to weigh on domestic demand growth. As a result, labour market tightness is expected to ease in South Australia, with a forecast increase in the unemployment rate and a slowing in employment growth.[19]

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[13] Department of Industry, Science and Resources, *Resources and Energy Quarterly*, September 2023, pp. 74-94, 110-122, available at https://www.industry.gov.au/sites/default/files/2023-10/resources-and-energy-quarterly-september-2023.pdf, and Reserve Bank of Australia, *Statement on Monetary Policy*, November 2023, p. 52, available at https://www.rba.gov.au/publications/smp/2023/nov/pdf/statement-on-monetary-policy-2023-11.pdf.

[14] The economic context and cost escalation theme has been discussed by Oxford Economics Australia; see Oxford Economics Australia, *Labour and materials cost escalation forecasts to 2027-28*, Final report prepared for the Essential Services Commission of South Australia, October 2023, pp. 1-49.

[15] Oxford Economics Australia, pp. 10-11.

[16] South Australian Auditor-General's Department, *Report 10 of 2023 – State finances and related matters*, Report of the Auditor-General, 14 November 2023, pp. 39-40.

[17] For example, see IPWEA, *Overseas engineers and Australia's skills*, 23 October 23, Insite community news by IPWEA, available at Overseas engineers and Australia's skills shortage | IPWEA.

[18] The RBA stated in August 2023 in the context of its business liaison program: 'Firms also report a number of risks to the timely delivery of their investment plans. Securing labour is still a challenge for construction and engineering projects and related delays are common….' See Reserve Bank of Australia, *Statement on Monetary Policy*, August 2023, p. 35, available at https://www.rba.gov.au/publications/smp/2023/aug/. In May 2024, the RBA noted the cost and availability of labour remains a challenge in the construction sector. See Reserve Bank of Australia, *Statement on Monetary Policy*, May 2024, p. 37, available at https://www.rba.gov.au/publications/smp/2024/may/.

[19] Oxford Economics Australia, pp. 10-11, and South Australian Department of Treasury and Finance, *2023-24 State Budget – Budget Paper 3*, p. 94, available at https://www.treasury.sa.gov.au/__data/assets/pdf_file/0009/914670/2023-24-Budget-Statement.pdf.

3.4 Stages in the SAWRD24 review process

The SAWRD24 process has had a strong focus on providing simple and frequent opportunities for stakeholders to raise issues and comment on proposals, well in advance of the Commission making this final regulatory determination. The stages of the process are summarised in Table 3.2 below. Further information regarding the process for SAWRD24 is available on the Commission's website.[20] The key stages of SAWRD24 are described in Appendix 1.

Table 3.2: Stages in the SAWRD24 review process

Date	SAWRD24 Milestone
Aug 2020	External review of SAWRD20 process with stakeholders to inform SAWRD24 Framework and Approach
Feb 2021	Draft Framework and Approach
Mar 2021	Consultation closes on draft Framework and Approach
Sept 2021	Final Framework and Approach
Dec 2021	Guidance Paper 1 – The regulatory business plan
April 2022	Guidance Paper 2 – Stakeholder engagement for the regulatory business plan
July 2022	Guidance Paper 3 – Assessing the regulatory business plan
Dec 2022	SA Water requests deferred lodgement of Regulatory Business Proposal (RBP) to 30 September 2023, due to River Murray flood response impacts on RBP preparation. Commission advises preference to retain the original due date or extend the current determination by six months, to preserve timeframes for consultation and assessment.
February 2023	SA Water requests deferred lodgement of RBP to 14 August 2023, due to River Murray flood response impacts on RBP preparation. Commission accepts SA Water's request on the basis SA Water undertook that it would provide information in advance of this date, including base year operating expenditure.[21]
May 2023	SA Water provides RBP Tranche 1 covering: • Customer and stakeholder engagement • Demand and customer growth, and • Service standards proposal.
June 2023	Issues Paper on Water Retail Code – Major Retailers, Service Standards and Framework for monitoring and evaluating performance SA Water provides RBP Tranche 2 covering: • 2020-24 performance outcomes.
July 2023	RBP submission deadline as specified in Framework and Approach (3 July 2023)

[20] Available at www.escosa.sa.gov.au/industry/water/retail-pricing/sa-water-regulatory-determination-2024.

[21] At that time, SA Water advised it would provide base year operating expenditure as part of Tranche 2 in May 2023. This did not occur and the information was instead provided in the complete RBP on 14 August 2024.

Date	SAWRD24 Milestone
July 2023	Consultation closes on Issues Paper (including YourSAy engagement)
Aug 2023	SA Water submits complete RBP on 14 August 2023 covering: • Integrated planning and decision-making • Capital expenditure • Operating expenditure • Regulated revenue requirements, and • Managing uncertainties.
Oct 2023	Consultation closes on SA Water's complete RBP
November 2023	SA Water completes requests for information to inform the draft regulatory determination.
Jan 2024	Draft Regulatory Determination
Feb 2024	Treasurer issues Pricing Order pursuant to section 35(4) of the *Water Industry Act 2012* applying to SAWRD24.
Mar 2024	Consultation closes on Draft Regulatory Determination (including YourSAy engagement)
April 2024	SA Water completes requests for information to inform the final regulatory determination.
June 2024	Minister for Housing Infrastructure issues directions to SA Water pursuant to section 6 of the *Public Corporations Act 1993*.[22]
June 2024	Final Regulatory Determination
June 2024	SA Water and South Australian Government develop prices
1 July 2024	SAWRD24 regulatory period commences

3.5 Making the regulatory determination

This final regulatory determination represents the independent review and determinations of the Commission, consistent with the underpinning statutory requirements and informed by its consideration and review of SA Water's Regulatory Business Proposal (**RBP**), public submissions (from SA Water and other stakeholders), independent consultant reports and its own research and analysis.

In setting regulated revenues that recover the lowest sustainable costs of providing retail services, the Commission assesses whether SA Water's proposed expenditure for the 2024-28 regulatory period is *prudent* and *efficient*.

Broadly speaking, expenditure on an activity will be considered prudent where there is a clear justification for that activity. Decisions on whether expenditure is prudent will be informed by the Commission's consideration of whether the expenditure is driven by:

[22] All Pricing Orders that have been issued under the WI Act are available at https://www.treasury.sa.gov.au/economy,-taxes-and-rebates/economic-regulation.

- a legislative or regulatory obligation, which SA Water must comply with
- an expectation that the activity will deliver benefits to customers that outweigh the costs
- a clear expectation from customers that an outcome should be achieved, and that they are willing to pay for that outcome.

Expenditure is likely to be considered efficient where it represents the lowest sustainable (or 'long-term') cost of achieving the intended outcome. The Commission will set revenues to recover efficient costs only, as this will help deliver the lowest sustainable prices to SA Water's customers.

The RBP comprises a series of documents and information, much of which is public but some of which is classified by SA Water as commercially sensitive and therefore confidential. Much of the detailed analysis conducted by the Commission relies on that commercially sensitive information. While the Commission's information gathering powers are broad, and do not limit its ability to collect and consider confidential information, it has preserved the confidentiality of commercially sensitive information in outlining its reasons for this final regulatory determination. It has sought to strike an appropriate balance between providing sufficient information to enable stakeholders to understand the basis of its positions, while ensuring that confidential information that could adversely affect SA Water's commercial or competitive position is not disclosed.

As noted above, this final regulatory determination sets out the Commission's decisions and the reasons for those decisions, on the following regulatory issues:

- the consumer protections contained in industry codes
- the customer service and network reliability service standards with associated performance targets
- a regulatory determination covering water retail services, sewerage retail services, recycled water services and other ('excluded') retail services, and
- the monitoring, evaluating and performance framework.

In reaching those decisions and reasons, the Commission has had regard to all relevant legislative factors and objectives framework (including any Pricing Order or statutory directions issued by the South Australian Government), the materials provided by, or discussed with, SA Water and the submissions, evidence and information provided by other stakeholders throughout the review process.

In doing so, it has given consideration to and acknowledges all of the evidence, arguments and submissions relevant to the issues under consideration in this regulatory determination and has given appropriate weight to those matters in the context of the principles and requirements set out in the ESC Act and WI Act. This approach is also consistent with the Commission's Charter of Consultation and Regulatory Practice whereby the Commission considers consultation and engagement an important part of its decision-making. This includes formal and informal opportunities for stakeholders to input and influence the shaping of options and ultimately, the decisions that the Commission makes.

While the Commission has not adopted all of the positions or arguments put or raised in the materials it has considered (or directly referenced it) in this final regulatory determination, the material has assisted it in considering each of the relevant issues under consideration and in understanding the competing viewpoints held.

Where appropriate, the Commission has, either by direct quotation or by reference to themes or arguments, mentioned certain evidence, arguments and submissions to explain the final decision that it has reached. The Commission has taken all arguments and submissions into account in its deliberations.

However, while this final regulatory determination is informed by all representations received, it is not a judgment on those representations. Rather, it is the Commission's considered position on the nature and scope of the economic regulatory regime to be applied to SA Water over the four-year regulatory period 2024-2028 that will protect South Australian consumers' long-term interests with respect of the price, quality and reliability of regulated services provided by SA Water, having regard to the requirements of the legal framework.[23]

3.6 How does this Regulatory Determination meet the legal requirements?

The Commission has considered all relevant legislative requirements, objectives and factors in making this final regulatory determination, including the provisions of the ESC Act and the WI Act (including Pricing Orders issued under the WI Act) as well as legislative instruments issued under the *Public Corporations Act 1993* (that is, section 6 Ministerial directions). This statement of reasons sets out the legal and policy framework for SAWRD24 in more detail in Appendix 2 and, where relevant, how the Commission has addressed legal requirements.

Regulating revenues to recover the lowest sustainable cost of supplying water and sewerage retail services in the long term, whether by revenue caps or a pricing principles approach, allows SA Water sufficient revenue to efficiently deliver the services valued by customers and to meet its regulatory obligations. The Commission is not seeking to deliver low prices in the short term at the expense of long-term service delivery. That would be inconsistent with the Commission's requirement to protect customers' long-term interests.[24] Nor is the Commission seeking to set revenues above the efficient cost of service delivery, as that would deliver excessive profits to SA Water and would also be inconsistent with the long-term interests of consumers. Supplementing that primary objective, the Commission must have regard to, amongst other matters, the need to prevent the misuse of monopoly power, promote economic efficiency, ensure consumers benefit from efficiency, and facilitate the maintenance of the financial viability of regulated industries.[25]

Overall, the final regulatory determination is consistent with the Commission's primary objective of protecting the long-term interests of South Australian consumers with respect to the price, quality and reliability of essential services (and supplementing factors) as it:

- sets service standards that are based on consumers' preferences, reflecting the service levels that customers are willing to pay for
- in accordance with the Pricing Order issued by the Treasurer under section 35(4) of the WI Act on 5 February 2024, fixes maximum water and sewerage revenues for retail services, which the Commission considers reflect an appropriate sustainable cost for providing those services at the determined standards and in accordance with the obligations set by all regulators of SA Water, and
- fixes a pricing principles approach for recycled water and other retail services that are provided to specific customers on a 'beneficiary pays' basis.

It is important to set service standards that are in line with consumer preferences to balance price and service levels, noting that preferences will vary between customers. A key element of this final regulatory determination has been to set service levels, having regard to all available evidence, including the diverse views expressed by consumers and other stakeholders. This has required the Commission

[23] This model is different to the propose-respond methodology required under national energy regulation. Under that approach, a regulated entity is required to provide the Australian Energy Regulator with a proposal, which it must either accept if it is considered reasonable, or substitute with its own proposal if it is considered unreasonable.

[24] See section 6(a) of the ESC Act.

[25] See section (6)(b) of the ESC Act.

to exercise careful judgement so that, wherever possible, the costs of regulation do not exceed the benefits.

However, it is also noted that many aspects of SA Water's services are regulated by other regulatory agencies and the Commission's role does not extend to determining the prudence of those regulatory requirements, nor the balance between those requirements and their costs. Accordingly, this final regulatory determination accepts the environmental, health, technical and social obligations that are imposed on SA Water by those agencies and seeks only to determine the efficient cost of meeting those requirements (refer Chapter 3 for further information).

Accordingly, the Commission has fulfilled its statutory role established under the WI Act and the ESC Act, in which it is required to:

- have regard to all relevant legislative requirements, objectives and factors (including the terms of Pricing Orders and directions issued to SA Water under the *Public Corporations Act 1993* – refer section 3.7 below)
- consider all relevant evidence available to it (including all submissions, data, information and representations provided and available to the Commission) and, thereafter
- make regulatory determinations which it considers best meets those legislative requirements, objectives and takes into account all of the evidence and information it has available to it.

In considering these matters, the Commission notes that there is not likely to be a single correct decision which arises from them, and that the decision-making process involves the exercise of discretion and judgement (to the extent permitted under the statutory framework). In such cases, given the range of possible outcomes, the Commission recognises that different minds, acting reasonably, could make different decisions on the same subject matter.[26]

Therefore, this final regulatory determination sets out the Commission's considered position as to the most reasonable (in the context of the nature and scope of the governing statutory regime and all the available evidence) form and quantum of regulation and revenue control to be applied to SA Water during the 2024-2028 regulatory period. It considers that it best protects South Australian consumers' long-term interests with respect to the price, quality and reliability of the water and sewerage retail services provided by SA Water.

As noted above, detailed information about the legal requirements for SAWRD24 can be found in Appendix 2 of this report.

3.7 Ministerial orders and directions

3.7.1 Pricing Orders under the *Water Industry Act 2012*

The Treasurer may issue a Pricing Order pursuant to section 35(4) of the WI Act, which forms part of the legislative framework that governs the making of this final regulatory determination. Issued Pricing Orders are available on the Department of Treasury and Finance website.[27]

At the time of publishing the Draft Determination, no Pricing Order had been issued in respect of the SAWRD24 regulatory period.

However, on 5 February 2024, the Treasurer issued a Pricing Order applying to the SAWRD24 regulatory period (1 July 2024 to 30 June 2028). The Commission has considered and complied with the

[26] Refer *Re GasNet Australia (Operations) Pty Ltd* [2003] ACompT 6 (23 December 2003) at paragraph 29.
[27] Available at www.treasury.sa.gov.au/economy,-taxes-and-rebates/economic-regulation.

requirements of the Pricing Order, with discussion of those matters contained in Part D of this statement of reasons (where applicable).

Please refer to Appendix 2 for further information on Pricing Orders.

3.7.2 Directions under section 6 of the *Public Corporations Act 1993*

The Minister for Housing Infrastructure (Minister) may issue directions to SA Water under the *Public Corporations Act 1993* (section 6 of that Act). Such directions may specify on-going and new requirements that SA Water must deliver during a regulatory period, with associated cost-related requirements or specifications.

The Commission takes into account the requirements of section 6 directions, with discussion of those matters contained in this final regulatory determination (where applicable).

At the time of publishing the Draft Determination, no section 6 directions had been issued to apply to the SAWRD24 regulatory period.

On 19 June 2024, the Minister issued a section 6 direction to apply to the SAWRD24 regulatory period (1 July 2024 to 30 June 2028). The Commission has taken that section 6 direction (and the associated expenditure amounts specified) into account in making this final regulatory determination in accordance with the applicable requirements of the Pricing Order.[28]

The Commission has also responded to specific submissions of SA Water in respect of the application of section 6 directions issued in previous regulatory periods in relevant chapters. In that regard, it is the Commission's position that, unless a section 6 direction expressly states so, the expenditure that SA Water is authorised to spend is not enduring past the expiry of the relevant regulatory period to which the direction applies. Accordingly, any underspent expenditure is not automatically carried over into future regulatory periods.

Please refer to Appendix 2 for further information on section 6 directions.

[28] See clause 4.8 of the Pricing Order issued on 5 February 2024, available at: www.treasury.sa.gov.au/economy,-taxes-and-rebates/economic-regulation.

4 SA Water's regulatory business

SA Water's water and sewerage service operations are subject to economic regulation by the Commission, which includes the making of a regulatory determination every four years. This chapter outlines:

- the services subject to a regulatory determination by the Commission,
- SA Water's regulatory business proposal, and
- stakeholder views on SA Water's regulatory business and the draft regulatory determination.

The *South Australian Water Corporation Act 1994* establishes SA Water as a statutory corporation, wholly owned by the South Australian Government. It is a public corporation subject to the *Public Corporations Act 1993*. SA Water's primary functions are to provide services for the:

- supply of water by means of reticulated systems
- storage, treatment and supply of bulk water, and
- removal and treatment of sewage by means of sewerage systems.

It also has other functions, including:

- carrying out research and works to improve water quality and sewage disposal and treatment methods
- commercial development and marketing of its products, processes and intellectual property produced or created in the course of its operations, and
- to encourage and facilitate private or public sector investment and participation, whether from within or outside the State, in the provision of water and sewerage services and facilities.

As a statutory corporation, wholly owned by the South Australian Government, SA Water must comply with various South Australian Government requirements. As a result, SA Water:

- has a Board that is accountable to the Minister and the Treasurer for the sound management and stewardship of SA Water and its assets for and on behalf of its owners
- must undertake its commercial operations in accordance with prudent commercial principles and use its best endeavours to achieve a level of profit consistent with its functions
- must undertake its non-commercial operations in an efficient and effective manner, consistent with the requirements of its charter, which are:
  - subject to a community service obligation (CSO) agreement between SA Water and a purchasing Minister
  - subject to a direction under section 6 of the *Public Corporations Act*[29]
  - related to the operational responsibility of water and wastewater facilities for identified Aboriginal communities, or
  - agreed by the Minister and the Treasurer to be non-commercial

[29] Pursuant to section 6 of the Public Corporations Act 1993 and sections 6 and 7(2)(f) of the South Australian Water Corporation Act 1994.

- must comply with South Australian Government policies and relevant Treasurer's Instructions on dividend and tax equivalent payments; including paying all rates, duties and taxes that would apply if SA Water were not a government-owned entity.[30]

4.1 SA Water's regulated and non-regulated services

The Commission undertakes economic regulation of SA Water's retail services through a regulatory determination (discussed further in chapters 7 and 8). The regulatory determination sets the maximum revenue SA Water can recover from its customers in respect of 'direct control' retail services, specifies service standards for the delivery of those services and provides a consumer protection framework in respect of SA Water's relationship with its customers. The regulatory determination also sets out pricing-related provisions in respect of recycled water and other 'excluded' retail services (as shown in Table 4.1 below).

Table 4.1 lists the retail services that are provided by SA Water (direct control and excluded) and provides examples of SA Water's services that are not retail services and are therefore not regulated by the Commission.

Table 4.1: SA Water's regulated and unregulated services

Regulated services		Non-regulated services
Direct control retail services	**Excluded retail services**	
▶ Sale and supply of water services ▶ Sale and supply of sewerage services	▶ Sale and supply of recycled water ▶ Standard and non-standard connection services (including developer services) ▶ Trade waste services ▶ Non-domestic hauled waste services ▶ Easement extinguishment and encumbrance services ▶ Hydrant and fire plug services ▶ Meter services ▶ Network analysis and audit services	▶ Availability charging (rating on abuttal) ▶ Laboratory services that are not retail services ▶ Project management services and consultancy services that are not retail services ▶ Water transportation services provided to third parties ▶ Operation and maintenance of the River Murray lock system and Salt Interception Schemes ▶ Soil and sand testing services ▶ Emergency functional services ▶ Metropolitan floodwaters drainage administration ▶ Beekeeping licences ▶ Fishing permits

[30] Refer sections 29 and 30 of the *Public Corporations Act 1993*.

4.1.1 Direct control retail services

Direct control retail services are typically provided to all, or a broad class, of SA Water's customers, and include the provision of water and sewerage retail services.

Provision of these services requires the construction, maintenance and operation of infrastructure and includes activities such as asset refurbishment, preventative and corrective maintenance, management of water quality and the management of water reserves. It also includes the ongoing costs of serving customers, for example regular meter reading and issuing bills.

Direct control retail services have historically been regulated through a regulatory determination that establishes separate revenue caps for water and sewerage retail services.[31] The revenue caps fix SA Water's revenues for four years subject to mechanisms that allow for the pass-through of certain unforeseen costs and revenue changes due to variations in demand.

4.1.2 Recycled water and other excluded retail services

Excluded retail services are retail services that are 'excluded' from the direct control revenue caps.

In general, excluded retail services are provided to specific customers and the costs of such services are recovered through specific charges to those customers (or potential customers) rather than being paid by all customers. This includes the supply of recycled water, the provision of new connections and trade waste services.

Excluded retail services, including recycled water services, have historically been regulated under a regulatory determination that establishes principles that SA Water must apply when setting prices for those services. Those include both National Water Initiative (NWI) Pricing Principles and principles established by the Commission.[32]

4.1.3 Non-regulated services

The Commission's functions and powers only extend to the regulation of retail services, as defined in the WI Act. Services that are not retail services are not regulated by the Commission and therefore do not form part of this regulatory determination.

This includes availability charging (also known as rating on abuttal) and services such as issuing permits and testing services (refer Table 4.1). SA Water's pricing schedule details its non-regulated services fees and charges.[33]

4.2 SA Water's regulatory business proposal

In August 2023, SA Water published generally and submitted to the Commission a Regulatory Business Proposal (RBP), titled 'Regulatory Business Plan 2024-28' (available on its website).[34]

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31 As specified in Pricing Orders issued by the Treasurer pursuant to section 35(4) of the Water Industry Act 2012, available at www.treasury.sa.gov.au/economy,-taxes-and-rebates/economic-regulation.

32 Available at www.dcceew.gov.au/water/policy/policy/nwi/pricing-principles.

33 SA Water, *2023-24 Pricing Schedule – Fees & Charges*, pp. 1-26, available at www.sawater.com.au/__data/assets/pdf_file/0009/732753/2023-24-Price-setting-fees-and-charges.pdf.

34 SA Water, *Regulatory Business Plan 2024-28*, August 2023, pp. 1-306, available at: www.sawater.com.au/about-us/how-we-operate/planning-for-2024-28.

The RBP set out SA Water's proposed customer service standards, revenues and indicative prices for water and sewerage services for the four-year regulatory period. In summary, SA Water proposed: [35]

- Investment of $462 million in water services and $245 million in wastewater services, on average, through each year of the regulatory period to maintain the current service standards. This is estimated to impact a residential customer's quarterly SA Water bill with typical water use and average property value by $10.20 (excluding inflation, or $17.80 where inflation of 2.5 per cent is assumed in 2024-25).
- Capital investments of $2.8 billion, largely be driven by work programs to maintain services to current customers (47 per cent), meet external obligations (26 per cent) and meet growth (22 per cent), with the balance spent on improving services.
- A flat 2 per cent capital efficiency and additional operating efficiencies in the next regulatory period.

The major initiatives proposed by SA Water include ($ real 2022-23):

- the Eyre Peninsula desalination project, following extended consultation that saw works deferred from the current regulatory period ($273.9m)
- continuing investment in the Tea Tree Gully (TTG) Sustainable Sewers program ($311.9m)
- investment in subsystem growth within the metropolitan north supply zone ($365.2m)
- continuing Mount Bold Dam safety upgrade works, which are being delivered over multiple regulatory periods ($110.0m), and
- starting work to replace SA Water's billing system ($22.4m), which is scheduled to occur over two regulatory periods to reduce costs to customers.

4.3 Engagement to inform the regulatory determination

4.3.1 SA Water's engagement program

SA Water stated that the RBP was informed by an extensive program of stakeholder engagement, set out in Chapter 4 of the RBP. It further stated that the foundation for the RBP's engagement program was SA Water's existing, ongoing engagement program comprising regular customer research, online engagement, use of advisory groups, and meetings with community, industry, and regulatory stakeholders.

SA Water stated that its RBP engagement program had three phases:

- Forming an engagement approach and direction

  This stage produced a ranked list of future potential actions, informed by a survey of 1500 customers that identified key customer priorities and areas for investigation, and a further prioritisation survey completed by 1400 residential and business customers. It involved focused engagement on some specific projects and proposed investments.

[35] SA Water, *Regulatory Business Plan 2024-28*, pp. 1-306, and SA Water, *Regulatory Business Plan 2024-28 Summary*, August 2023, pp. 1-12, available at: https://www.sawater.com.au/about-us/how-we-operate/planning-for-2024-28.

- Engaging on customer experience and value

  This stage involved deliberative engagement activities with two stakeholder groups, the Customer Challenge Group (**CCG**) and the Peak Bodies Engagement Forum (**PBEF**),[36] and a willingness-to-pay (**WTP**) survey of 1900 customers.[37,38]

  The CCG was comprised of community members and the PBEF was comprised of members from SA Water's existing Customer Advisory Group and the Commission's Consumer Advisory Committee (**CAC**). Each met regularly throughout 2022 to test specific business proposals and explore the trade-offs between different outcomes and levels of service delivery.[39]

- Prioritising investment decisions

  This stage involved presenting draft SAWRD24 proposals to the CCG and PBEF for feedback. In this stage, SA Water explained how it had used engagement alongside other evidence to develop proposals.[40] Affordability concerns raised by the CCG and PBEF were explored by prioritising which initiatives to progress during SAWRD24 while managing cost impacts.

4.3.2 Key themes raised in submissions to SA Water's regulatory business proposal

The Commission sought public submissions on SA Water's RBP. Twelve submissions were received (refer Appendix 3). Some of the key themes arising from submissions included:

- Support for prioritising affordability

  In later stages of the engagement process, SA Water decided not to progress several proposed initiatives in response to concerns from stakeholders about increasing cost of living pressures. Prioritisation of affordability was supported by submissions from the Council of the Ageing South Australia (**COTA SA**), South Australian Council of Social Service (**SACOSS**) and Uniting Communities.[41]

- Concern about the integrity of the regulatory process in relation to expenditure resulting from a Ministerial direction pursuant to section 6 of the *Public Corporations Act 1993*

  Significant expenditure is included in the RBP for metropolitan north subsystem growth and the Tea Tree Gully Sustainable Sewers program, which SA Water expects to be subject to a Ministerial direction. Some submissions asked for assurance that expenditure subject to section 6 directions would be subject to the same level of scrutiny as the rest of the RBP.

  COTA SA expressed concern that the increased use of Ministerial directions compromises the regulatory process.[42] SACOSS queried whether the expected section 6 direction distorted the aim of keeping costs down and resulted in other discretionary initiatives supported in engagement not being progressed.[43] The City of Playford and the City of Salisbury were of the opinion that

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36 SA Water, *Regulatory Business Plan 2024-28,* Appendix 4.3 - What we heard report: RD24 engagement – Phase 2, p. 2, available at https://www.sawater.com.au/__data/assets/pdf_file/0010/747064/Appendix-4.3-What-We-Heard-Report-Nov-2022.pdf.

37 SA Water, *Regulatory Business Plan 2024-28*, p. 99.

38 SA Water, *Regulatory Business Plan 2024-28,* Appendix 4.3, p. 25.

39 Ibid, p. 25.

40 Ibid, pp. 1-34.

41 COTA SA, *Submission to Regulatory Business Plan*, October 2023, pp. 2-3, available at www.escosa.sa.gov.au/projects-and-publications/projects/water/sa-water-regulatory-determination-2024, South Australian Council of Social Service, *Submission to Regulatory Business Plan*, pp. 1-27, and Uniting Communities, *Submission to Regulatory Business Plan*, October 2023, p. 5, available at www.escosa.sa.gov.au/projects-and-publications/projects/water/sa-water-regulatory-determination-2024.

42 COTA SA, pp. 2-3.

43 South Australian Council of Social Service, *Submission to Regulatory Business Plan*, pp. 7-15.

investment in water supply in northern Adelaide should be part of SA Water's core infrastructure program and not reliant on Ministerial direction.[44]

- Provision for urban growth

  The Energy and Water Ombudsman South Australia (**EWOSA**), City of Playford and City of Salisbury, Property Council of Australia and Villawood Homes all expressed concern about provision for urban growth in their submissions.[45]

  EWOSA requested that projections of water demand and customer growth be updated to reflect population projections published in mid to late-2023.[46] The City of Playford and City of Salisbury outlined their views that SAWRD24 needs to provide for critical infrastructure required to facilitate residential and employment growth in northern Adelaide.[47] The Property Council of Australia expressed concerns about the capacity for SA Water to service greenfield developments areas that do not currently have water or sewerage infrastructure and sought clarification about how growth will be funded for significant land release projects.[48]

- Regional water aesthetics

  Submissions from COTA SA, the Flinders Ranges Council and one private individual expressed concern that the RBP did not include expenditure for improving water aesthetics for the regional town of Quorn.[49] Submissions noted that the poor water aesthetics at Quorn mean few customers use it as drinking water, and that its hardness and salinity impact pipes, appliances and gardens.

  Expenditure for regional water aesthetic improvements was initially supported in SA Water's RBP engagement process but was removed in the later stages to prioritise affordability.[50] Expenditure to improve regional water aesthetics was also considered (and decided against) at RD20.[51]
  SA Water's multi-criteria assessment of regional water supplies identifies Quorn as a high-priority supply for improvement.[52]

- Consumer protections for tenants

  Submissions from EWOSA, SACOSS and Uniting Communities all expressed concerns with the protections available to tenants as water consumers, which arises from the lack of a direct

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44 City of Playford and City of Salisbury, *Submission to Regulatory Business Plan*, October 2023, pp. 1-2, available at www.escosa.sa.gov.au/projects-and-publications/projects/water/sa-water-regulatory-determination-2024.

45 City of Playford and City of Salisbury, pp.1-2, Property Council of Australia, *Submission to Regulatory Business Plan*, October 2023, pp. 1-4, available at www.escosa.sa.gov.au/projects-and-publications/projects/water/sa-water-regulatory-determination-2024, Energy and Water Ombudsman South Australia, *Submission to Regulatory Business Plan*, October 2023, pp. 1-4, available at www.escosa.sa.gov.au/projects-and-publications/projects/water/sa-water-regulatory-determination-2024, and Villawood Properties, *Submission to Regulatory Business Plan*, October 2023, p. 1, available at www.escosa.sa.gov.au/projects-and-publications/projects/water/sa-water-regulatory-determination-2024.

46 Energy and Water Ombudsman South Australia, *Submission to Regulatory Business Plan,* pp. 1-4.

47 City of Playford and City of Salisbury, pp.1-2.

48 Property Council of Australia, *Submission to Regulatory Business Plan,* pp. 1-4.

49 COTA, pp. 1-3, Bradley J, *Submission to Regulatory Business Plan*, October 2023, p. 1, available at www.escosa.sa.gov.au/projects-and-publications/projects/water/sa-water-regulatory-determination-2024, and Flinders Ranges Council, *Submission to Regulatory Business Plan*, October 2023, pp. 1-4, available at www.escosa.sa.gov.au/projects-and-publications/projects/water/sa-water-regulatory-determination-2024.

50 SA Water, *Regulatory Business Plan 2024-28,* Appendix 4.3, p. 26.

51 Essential Services Commission of South Australia, *SA Water Regulatory Determination 2020*, pp. 179-182.

52 SA Water, *Long-term plan for improving drinking water aesthetics*, May 2023, pp. 1-21, available at https://watertalks.sawater.com.au/long-term-planning-for-regional-drinking-water-supplies.

financial relationship with SA Water. Issues include access to bill information, hardship assistance and dispute resolution.[53]

Other matters raised in submissions included: the capacity and long-term security of Bordertown's water supply (Tatiara District Council),[54] the RBP's lack of connection to SA Water's Resilient Water Futures project (Uniting Communities),[55] the response of the RBP to regulatory requirements (Environment Protection Authority, Office of the Technical Regulator),[56] and views about initiatives that will not be progressed in SAWRD24 (smart meters – EWOSA, and further upgrade of non-drinking supplies – SACOSS).[57]

4.3.3 Key themes raised in submissions to the draft regulatory determination

The Commission sought public submissions on the draft regulatory determination. Seventeen submissions were received (refer Appendix 3). Key themes raised in submissions related to these matters:

- Operating expenditure

  SA Water[58] raised concerns regarding the amounts of operating expenditure included in the draft decision and pointed to the possibility of increased service risk. However, other stakeholder submissions had varying positions.

[53] South Australian Council of Social Service, *Submission to Regulatory Business Plan*, pp. 1-6, Uniting Communities, *Submission to Regulatory Business Plan*, pp. 1-5, and Energy and Water Ombudsman South Australia, *Submission to Regulatory Business Plan,* pp. 1-4.

[54] Tatiara District Council, *Submission to Regulatory Business Plan*, October 2023, p.1-4, available at www.escosa.sa.gov.au/projects-and-publications/projects/water/sa-water-regulatory-determination-2024.

[55] Uniting Communities, *Submission to Regulatory Business Plan,* p. 3.

[56] Environmental Protection Authority, *Submission to Regulatory Business Plan*, October 2023, pp. 1-10, available at www.escosa.sa.gov.au/projects-and-publications/projects/water/sa-water-regulatory-determination-2024, and Office the Technical Regulator, *Submission to Regulatory Business Plan*, October 2023, p. 1, available at www.escosa.sa.gov.au/projects-and-publications/projects/water/sa-water-regulatory-determination-2024.

[57] Energy and Water Ombudsman South Australia, *Submission to Regulatory Business Plan,* pp. 1-4, and South Australian Council of Social Service, pp. 1-6.

[58] SA Water, *SA Water's response to ESCOSA's Draft Determination*, pp. 50 – 107, available at: www.escosa.sa.gov.au/projects-and-publications/projects/water/sa-water-regulatory-determination-2024.

Several stakeholders (for example, CCG[59] and an individual submission from Vicky Samara[60]) expressed the view that operating expenditure should be higher, in part, to accommodate for network growth and contain service risk. Other submissions supported the operating expenditure in the draft determination and supported the Commission finding efficiencies. For example, the submission from SACOSS[61] emphasised, in response to SA Water's RBP, that the Commission should carefully examine all operating expenditure savings and trade-offs so that customers pay no more than is necessary. The South Australian Federation of Residents and Ratepayers Associations[62] (SAFRRA) supported both the operating expenditure work undertaken for the draft determination and the Commission's intended focus on more efficiencies for SAWRD28.

- Capital expenditure

SA Water submitted that the draft regulatory determination on capital expenditure was less than the prudent and efficient amount (on both an ex-ante and ex-post basis), drawing attention to the expenditure required for several individual projects.[63]

Adequate provision for urban growth was a key theme of submissions.[64] The Property Council submitted that the draft regulatory determination did not provide for SA Water to adequately service growth in greenfield areas.[65] The CCG and Regional Development Australia – Barossa, Gawler, Light and Adelaide Plains (RDA) raised specific concerns about infrastructure provisions in northern metropolitan Adelaide.[66] The Environment Protection Authority (EPA) noted, among other things, that growth will require sufficient investment to ensure adequate infrastructure.[67]

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59 Customer Challenge Group, *Submission to Draft Regulatory Determination*, March 2024, pp. 1-5, available at: https://www.escosa.sa.gov.au/projects-and-publications/projects/water/sa-water-regulatory-determination-2024.

60 Vicky Samara, *Submission to Draft Regulatory Determination*, March 2024, p. 1, available at: https://www.escosa.sa.gov.au/projects-and-publications/projects/water/sa-water-regulatory-determination-2024.

61 South Australian Council of Social Service, *Submission to Draft Regulatory Determination*, March 2024, pp. 1-37, available at https://www.escosa.sa.gov.au/projects-and-publications/projects/water/sa-water-regulatory-determination-2024.

62 South Australian Federation of Residents and Ratepayers Associations, *Submission to Draft Regulatory Determination,* March 2024, pp. 1-8, available at https://www.escosa.sa.gov.au/projects-and-publications/projects/water/sa-water-regulatory-determination-2024.

63 SA Water, *SA Water's response to ESCOSA's Draft Determination* , pp. 21-48.

64 See Submissions to the Draft Regulatory Determination from the Consumer Challenge Group, Property Council, Regional Development Australia – Barossa Gawler Light Adelaide Plains, and Vicky Samara, available at: https://www.escosa.sa.gov.au/projects-and-publications/projects/water/sa-water-regulatory-determination-2024

65 Property Council, *Submission to Draft Regulatory Determination*, March 2024, pp. 1 -2, available at: https://www.escosa.sa.gov.au/projects-and-publications/projects/water/sa-water-regulatory-determination-2024.

66 Consumer Challenge Group, p. 2, and Regional Development Australia – Barossa, Gawler, Light and Adelaide Plains, March 2024, *Submission to Draft Regulatory Determination, March 2024,* pp. 1-5, available at: https://www.escosa.sa.gov.au/projects-and-publications/projects/water/sa-water-regulatory-determination-2024.

67 Environment Protection Authority, *Submission to Draft Regulatory Determination*, March 2024, pp. 1 - 2, available at https://www.escosa.sa.gov.au/projects-and-publications/projects/water/sa-water-regulatory-determination-2024.

The OTR supported the inclusion of expenditure for the proposed Purified Recycled Water Demonstration Plant (which was also supported by the CCG) and the Mt Bold Dam upgrade.[68] Infrastructure SA provided commentary on the contingency allowances for the desalination plant proposed for the Eyre Peninsula.[69]

- Concern about the integrity of the regulatory process in relation to expenditure resulting from a Ministerial direction pursuant to section 6 of the *Public Corporations Act 1993*

  SACOSS expressed concern that expenditure directed under a Ministerial direction pursuant to section 6 of the *Public Corporations Act 1993* is not subject to the same level of scrutiny as other SA Water expenditure.[70]

  Regional Development Australia expressed concern about how capital expenditure to address growth requirements could be provided if the expected section 6 direction were not forthcoming.[71]

- Consumer protections

  EWOSA supported the proposal that the existing 22 best endeavours service standards would continue to apply in SAWRD24.[72] SA Water and the CCG did not support the Commission's proposal to not accept SA Water's proposal to amend the regional response time and sewer overflow clean up targets.[73] The OTR requested that the Commission consider introducing service standards for water and sewer reliability.[74]

  EWOSA, SACOSS and the OTR were supportive of the proposal to retain and strengthen the Monitoring and Evaluating Performance Framework, and EWOSA and SACOSS were supportive of the proposal to introduce new hardship reporting indicators.[75] SA Water supported the requirement to submit an annual Basis of Preparation to the Commission.[76]

  The draft decision proposed changes to consumer protections in the Water Retail Code in several areas:

[68] Office of the Technical Regulator, *Submission to Draft Regulatory Determination*, March 2024, p. 2, available at https://www.escosa.sa.gov.au/projects-and-publications/projects/water/sa-water-regulatory-determination-2024.

[69] Infrastructure SA, *Submission to Draft Regulatory Determination*, March 2024, p. 1, available at: https://www.escosa.sa.gov.au/projects-and-publications/projects/water/sa-water-regulatory-determination-2024.

[70] South Australian Council of Social Service, *Submission to Draft Regulatory Determination*, pp. 12-17.

[71] Regional Development Australia – Barossa, Gawler, Light and Adelaide Plains, p. 3.

[72] Energy and Water Ombudsman South Australia, *Submission to Draft Regulatory Determination*, p. 1, available at https://www.escosa.sa.gov.au/projects-and-publications/projects/water/sa-water-regulatory-determination-2024.

[73] SA Water, *SA Water's response to ESCOSA's Draft Determination*, p. 115.

[74] Office of the Technical Regulator, *Submission to Draft Regulatory Determination*, p. 2.

[75] Energy and Water Ombudsman South Australia, *Submission to Draft Regulatory Determination*, p. 2, South Australian Council of Social Service, *Submission to Draft Regulatory Determination*, pp. 28, 32, Office of the Technical Regulator, *Submission to Draft Regulatory Determination*, p. 2.

[76] Consumer Challenge Group, p. 4, and SA Water, *SA Water's response to ESCOSA's Draft Determination*, pp. 18-20.

- Requirements for SA Water to support customers experiencing family violence were supported by SACOSS, EWOSA, Anglicare, and SAFRRA.[77] They were not supported by the CCG, which acknowledged the importance of safeguards in this area but submitted that those are the responsibility of the South Australian Government, not SA Water.[78] Submissions from the CCG and SA Water noted operating and capital expenditure impacts.[79]

- Amendments to give SA Water the discretion to charge for paper bills (subject to several conditions) were supported by EWOSA and SA Water.[80] Anglicare, the CCG, and EWOSA highlighted the importance of ensuring that vulnerable customers are not adversely impacted by charging for paper bills.[81] SACOSS, SAFRRA, and Uniting Communities opposed the change.[82]

- Consumer protections for residential tenants have been a long-running concern for consumer advocates, and the proposal to extend certain provisions to residential tenants was supported by EWOSA, SACOSS, SA Water, SAFRRA and Uniting Communities.[83]

- Requirements for SA Water to develop policies and processes to identify customers experiencing payment difficulties were supported by Anglicare, EWOSA, SACOSS and Uniting Communities, and received conditional support from SA Water, noting ongoing operational expenditure impact.[84]

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77 Anglicare, *Submission to Draft Regulatory Determination,* March 2024, pp. 2-3, available at https://www.escosa.sa.gov.au/projects-and-publications/projects/water/sa-water-regulatory-determination-2024, Energy and Water Ombudsman South Australia, *Submission to Draft Regulatory Determination,* p. 2, South Australian Council of Social Service, *Submission to Draft Regulatory Determination,* p. 32, and South Australian Federation of Residents and Ratepayers Associations, p. 5.

78 Consumer Challenge Group, p. 4.

79 Consumer Challenge Group, p. 4, and SA Water, *Submission to Draft Water Retail Code,* March 2024, p. 9, available at https://www.escosa.sa.gov.au/projects-and-publications/projects/water/sa-water-regulatory-determination-2024.

80 Energy and Water Ombudsman South Australia, *Submission to Draft Regulatory Determination*, pp. 3-4, SA Water, *Submission to Draft Water Retail Code,* p. 5.

81 Anglicare, *Submission to Draft Regulatory Determination,* pp. 1-2, Consumer Challenge Group, p. 4, Energy and Water Ombudsman South Australia, *Submission to Draft Regulatory Determination,* pp. 3-4.

82 South Australian Council of Social Service, *Submission to Draft Regulatory Determination,* p. 28, South Australian Federation of Residents and Ratepayers Associations, p. 4, and Uniting Communities *Submission to Draft Regulatory Determination*, pp. 4-5.

83 Energy and Water Ombudsman South Australia, *Submission to Draft Regulatory Determination,* p. 2, SA Water, *Submission to Draft Water Retail Code,* p. 3, South Australian Council of Social Service, *Submission to Draft Regulatory Determination,* p. 26, South Australian Federation of Residents and Ratepayers Associations, pp. 4-5, and Uniting Communities *Submission to Draft Regulatory Determination,* pp. 3-4.

84 Anglicare, *Submission to Draft Regulatory Determination,* p. 2, Energy and Water Ombudsman South Australia, *Submission to Draft Regulatory Determination*, p. 2, SA Water, *Submission to Draft Water Retail Code,* p. 7, South Australian Council of Social Service, *Submission to Draft Regulatory Determination,* p. 28 and Uniting Communities, *Submission to Draft Regulatory Determination*, p. 5.

4.3.4 YourSAy engagement survey results

The Commission invited people to respond to the draft regulatory determination by completing a survey on the South Australian Government's engagement platform, YourSAy. The survey was open until 6 March 2024 and 17 responses were received. Some of the key themes arising from submissions included concerns about:

- costs to consumers of expenditure
- the dividend provided to the South Australian Government – some respondents thought that SA Water should not be operated to deliver a profit to its owner
- whether the regulatory determination provides for adequate and timely replacement of aging infrastructure
- difficulties faced by small consumers trying to understand and provide input to regulatory determinations
- water quality, in both regional and metropolitan areas, and
- use of property valuations as the basis for sewerage service and water availability charges.

4.4 Discussion of general matters raised in submissions

4.4.1 SA Water's engagement

SA Water's program of stakeholder engagement is aligned with expectations set by the Commission in Guidance Paper 2: Stakeholder engagement for the RBP (Guidance Paper 2).[85] Guidance Paper 2 was established after receiving feedback on SA Water's stakeholder engagement in establishing the SAWRD24 Framework and Approach.[86]

In Guidance Paper 2, the Commission set expectations in relation to stakeholder involvement. The Commission advised SA Water to demonstrate that, in preparing its RBP:

- it engaged in a meaningful and substantial way with an appropriately diverse range of stakeholders
- it used an appropriately diverse range of channels and methods to engage with stakeholders, and
- stakeholder views and feedback have been carefully considered and incorporated into project design and prioritisation.

SA Water outlined how it believes its engagement activities have met these expectations in Appendix 4.1 to its RBP. SA Water has also linked engagement with specific expenditure proposals throughout its RBP.

Commission staff have observed SA Water's engagement process since planning and inception and have reviewed materials and attended CCG and PBEF meetings.

In submissions to SA Water's RBP, stakeholders advised that they have been satisfied with the approaches used by SA Water. This is demonstrated in comments from the CCG and PBEF included in

[85] Essential Services Commission of South Australia, *SA Water Regulatory Determination 2024: Guidance Paper 2,* April 2022, pp. 1-11, available at https://www.escosa.sa.gov.au/ArticleDocuments/21810/20220407-Water-SAWRD24-GuidancePaper2-Stakeholder-engagement-for-RBP.pdf.aspx?Embed=Y.

[86] Essential Services Commission of South Australia, *SA Water Regulatory Determination 2024: Final Framework and approach,* September 2021, pp. 1-27, available at https://www.escosa.sa.gov.au/ArticleDocuments/21756/20210916-Water-SAWRD24-FrameworkAndApproach-FinalDecision.pdf.aspx?Embed=Y.

Appendix 4.3 to the RBP, and by the South Australian Council of Social Service (SACOSS) submission to the RBP:

> *'SACOSS would like to commend SA Water for actively addressing concerns raised by ESCOSA and other stakeholders from the previous regulatory determination. This has been evident in the engagement to date and in the presentation of RBP24. The level of detail presented in RBP24 is a vast improvement from RBP20, with greater transparency around how SA Water has arrived at its investment decisions.'*[87]

In the draft regulatory determination, the Commission acknowledged the work done by SA Water to improve its engagement approach for its SAWRD24 RBP. The Commission considered that SA Water had demonstrated that its engagement:

- was early, meaningful, transparent, and collaborative
- used methods and channels to maximise stakeholder opportunities to contribute
- facilitated obtaining diverse perspectives as early as possible, and
- met expectations regarding stakeholder engagement for SAWRD24.

The Commission further commented that the engagement process undertaken by SA Water for SAWRD24 reflected a significant improvement as compared to the engagement processes undertaken for SA Water's 2013, 2016 and 2020 regulatory business proposals.

As noted in Guidance Paper 2, stakeholder engagement to support preparation of the RBP should be integrated with its ongoing programs of stakeholder engagement. The Commission encourages SA Water to continue and build on the positive stakeholder engagement program it has established for SAWRD24 when planning future projects and programs. This includes considering further feedback received though the regulatory determination process.

In its submission to the draft regulatory determination, SACOSS provides the following comments on SA Water's customer engagement process generally:

> *Of concern to SACOSS and our members is that SA Water's engagement strategy is based on one off focus groups and a survey, which were then 'analysed' by SA Water and passed by a 'challenge group and stakeholder group'. SACOSS considers SA Water needs to undertake ongoing engagement with customers and informed customer advocates, and to check their analysis with customers, advocates and stakeholders by genuinely listening to alternative views. SA Water has provided limited detail about the range of consumer views on the specific details of key elements of their regulatory proposal.*
>
> *We observe that much of SA Water's engagement is about high-level customer priorities, from which SA Water draws detail, including costings, for their proposal. We see very limited reporting of any engagement on the detailed components of the regulatory proposal.*
>
> *[…]*
>
> *Of concern to SACOSS is the gap between customer priorities and SA Water performance, even considering that these are not precise measures.*

[87] South Australian Council of Social Service, *Submission to Regulatory Business Plan*, pp. 1-27.

Notably, the second highest priority for customers is listed as '(SA Water) provides fair and equitable access to water for all South Australians' with a substantial gap between importance for consumers and SA water performance. The principle 'considers community affordability when making decisions to keep costs low for customers,' has a very high gap between consumer importance and SA water performance. These priorities have been a focus of submissions from SACOSS and other community organisations for successive SA water regulatory processes, and we are concerned about the lack of progress in meeting these priorities.

SACOSS draws two observations, from the material presented in appendix 2.1 and broader application to the SA Water proposal:

- *We do not believe there has been sufficient effective interaction with consumers and consumer advocates in the development of specific aspects of the regulatory proposal for ESCOSA to conclude that there is robust consumer support for the SA water proposal for 2024-28. Extensive 'engagement' on broad themes does not necessarily translate into consumer support for specific expenditure proposals*
- *SA Water's performance in responding to affordability and equitable access to water remains poor and is not adequately addressed in their proposal for 2024-28.'*[88]

In light of this feedback, the Commission encourages SA Water to continually review the effectiveness of its engagement approach, ensuring that it is gathering a wide range of independent consumer views and meeting the Commission's general expectations as outlined above. The Commission will request further stakeholder feedback on SA Water's engagement, and any areas for improvement, as part of its consultation on the Framework and Approach for SAWRD28.

4.4.2 Incorporating stakeholder views

In its submission to the draft regulatory determination, SA Water has highlighted the following statement made by the Commission:

> *"The draft positions are consistent with stakeholders' submissions that some of the expenditure proposed by SA Water was neither justified nor consistent with customers' priority that prices should be kept as low as possible while delivering on the service levels valued by customers."*

SA Water stated it *'seeks clarity about which feedback the Commission is referring to as this does not align with the feedback received by SA Water or submitted to ESCOSA in public responses. In discussion with Peak Bodies Engagement Forum members on 8 February 2024, no examples of initiatives that were not supported were identified. This represents a transparency issue.'*

Through public submissions and discussions with the Commission's Consumer Advisory Committee, the Commission heard that stakeholders supported the Commission closely reviewing and scrutinising SA Water's Regulatory Business Proposal. Submissions to SA Water's RBP include the following:

> *'COTA SA acknowledges the efforts of SA Water to engage with the community to inform its plan. We trust that the diversity of older people has been adequately represented in the data used to inform SA Water's plan. We encourage ESCOSA to scrutinise this data to ensure SA Water's research and engagement approach is robust and the proposals reflect what is in the best interests of the South Australian community, as expressed by them.'*[89]

[88] Ibid, pp. 31-32.
[89] COTA SA, p. 2.

> *'Speaking broadly, SACOSS is calling for ESCOSA to closely examine all proposed capital expenditure in RBP24, to ensure it is properly categorised, that consumers are not paying twice for the same outcome, that opex / capex trade-offs are clearly identified, and that all expenditure is prudent and efficient, in the long-term interests of South Australian water consumers.'*[90]
>
> *'SACOSS is also calling for ESCOSA to carefully examine whether SA Water has identified all possible operating expenditure savings and trade-offs across expenditure categories to ensure that customers pay no more than is necessary for the safe and reliable delivery of water services. ESCOSA must be satisfied that SA Water has provided sufficient evidence to support the need for the proposed operating expenditure step changes. This is particularly important in the context of current and future affordability concerns, as the proposed increased operating expenditure will be fully recovered from consumers in the 2024-28 period.'*[91]

The Commission's statement related to SA Water's expenditure in totality and not to specific initiatives that may have been discussed by SA Water with the CCG or PBEF. This is in context of the Commission's role in setting a four-year revenue cap. The Commission does not, in any context, approve SA Water's individual projects, programs or initiatives.

The Commission acknowledges that the wording did not accurately convey that public submissions did not identify specific initiatives proposed by SA Water but instead called for SA Water's expenditure to be prudent and efficient and supported by sufficient evidence. For the avoidance of doubt, this wording has been updated in this final statement of reasons.

Further, SA Water states in its submission that '*the draft determination does not reflect the concerns of stakeholders as reported to SA Water and ESCOSA in the stakeholder engagement process.'* As noted in Guidance Paper 1, customer support is only one element of the Commission's cost-benefit assessment.

> *'It is important to note that customer support for a proposed expenditure will be taken into consideration by the Commission in making its determination, but does not guarantee approval. Ultimately, the outputs from SA Water's customer engagement feed into a wider cost-benefit analysis task. Seeking to quantify the value that customers put on a particular service improvement helps to inform the 'benefits' side of the equation; additional financial and economic analysis may be required to understand the costs and benefits of particular expenditure proposals.'*[92]

The Commission has carefully considered all submissions received and the matters raised, and the Commission's positions on those matters is discussed in the relevant chapters of this statement of reasons.

4.4.3 Willingness to pay

As noted in the draft regulatory determination, the Commission considers that an area for further focus for SAWRD28 is the use of Willingness to Pay (**WTP**) research to inform investment prioritisation. While the Commission considers that quantitative WTP research can be useful, it can have limitations, and be less important than broad, deep, and nuanced conversations with customers. Particular care is required in the methodology used for this type of research.

In its submission to the draft regulatory determination, SACOSS stated:

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90 South Australian Council of Social Service, *Submission to Regulatory Business Plan*, p. 23.

91 Ibid, p. 26.

92 Essential Services Commission of South Australia, *SA Water Regulatory Determination 2024: Guidance Paper 1*, December 2021, p 6, available at https://www.escosa.sa.gov.au/ArticleDocuments/21810/20211208-Water-SAWRD24-GuidancePaper1-RegulatoryBusinessPlan.pdf.aspx?Embed=Y

'The SA Water regulatory proposal includes the published results of a 'Willingness to Pay' survey as Appendix 4.4. SACOSS has commented previously about our views of the inadequacy of Willingness to Pay surveys, and we summarise our concerns by listing the following inadequacies:

- *Capacity to pay is not asked, nor measured.*
- *Willingness to pay questions are not tested against other household cost items, i.e. a question of the following nature is not asked: "If you had an extra $50, would you prefer to spend it on higher SA water Bills, medication for you [sic] children, a holiday etc? In other words, the willingness to pay for a specific SA Water expenditure increase is taken out of the context of household budgets, heavily skewing results.*
- *Results are generally taken as a (statistical) mean 'willingness to pay' across a sample, and then applied across the full breadth of the sample or even the population (e.g. SA Water customer base). There is no attempt to factor in distributional impacts into 'willingness to pay' analysis – this also skews results.*
- *Using the Daniel Kahneman 'Thinking fast – thinking slow' approach to decision making, 'willingness to pay' surveys seek 'thinking fast' responses, with inherent cognitive biases, and generally interpret results as 'thinking slow' meaning considered responses. This failure in 'willingness to pay' methodology also skews and, we suggest, dramatically overstates results.*

SACOSS continues to urge ESCOSA to be very cautious in its consideration of the applicability of 'willingness to pay' surveys and associated analysis.'[93]

The Tatiara District Council notes willingness to pay research in its submission:

> *'A recent academic paper published in Nature Water is worth noting in this context. The paper, Benefits, costs and enabling conditions to achieve 'water for all' in rural and remote Australia finds that Australian households would be willing to pay up to $33.2 billion (10-year) for water quality improvements, compared to costs of up to $1.3 billion.'*[94]

The Commission originally discussed its concerns regarding the use of WTP research in Guidance Paper 2,[95] partly in response comments from stakeholders about the use of WTP research in SAWRD20.[96] The Commission will carefully consider the feedback received and its position on the role of WTP research in stakeholder engagement ahead of SAWRD28.

4.4.4 Process matters and information requirements

In its submission to the draft regulatory determination, SA Water raised several matters related to process and information provision requirements. Other submissions have also raised concerns about the timeframe for submissions and consumer feedback on both the regulatory business proposal and draft determination.

The purpose of this statement of reasons is to provide the Commission's reasons for making a regulatory determination to apply to SA Water from 1 July 2024 to 30 June 2028. In that context, any potential improvements to process matters are unable to be applied at this late stage of the SAWRD24 process and can only be considered for future reviews.

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93 South Australian Council of Social Service, *Submission to Draft Regulatory Determination*, p. 32.

94 Tatiara District Council, *Submission to Draft Regulatory Determination*, p. 1.

95 Essential Services Commission of South Australia, *SA Water Regulatory Determination 2024: Guidance Paper 2,* p. 4.

96 South Australian Council of Social Service, *Submission to Framework and Approach*, March 2021, pp. 1-9, available at https://www.escosa.sa.gov.au/ArticleDocuments/21706/20210604-Water-SAWRD24FrameworkApproachSubmission-SACOSS.pdf.aspx?Embed=Y.

The Framework and Approach and Guidance Papers published by the Commission for SAWRD24 were high-level, not prescriptive, which provided SA Water flexibility in developing its proposal and providing information to evidence its positions. However, the Commission accepts that further guidance may be beneficial and is open to reviewing its approach for SAWRD28 to promote clarity in the determination process.

The Commission considers it is important for stakeholders to have the opportunity to comment on these matters, given the inherent information asymmetry that exist between the regulator and/or customers and the regulated monopoly service provider. It is improbable that the regulator and/or customers will have full access to the information held by the regulated entity – even if the regulated entity has co-operated in the provision of information. It is therefore important for stakeholders to have the opportunity to provide feedback on areas for examination.

In terms of timing of the final determination, in its submission to the draft determination SA Water stated:

> *'In its RD24 Framework and Approach the Commission states that it will release the final determination "by no later than May 2024,[177]" however in the Draft Determination this has moved to June 2024.*
>
> *SA Water emphasises the need to receive the Final Determination as early as possible to enable time for SA Water to work with Government to approve and communicate prices to customers before 1 July 2024.*
>
> *It is unreasonable for a customer-led Corporation to not know its future revenue, prices, or expenditure a few weeks from when they apply, and SA Water intends to discuss this with Commission staff in preparing for RD28.'*[97]

The Commission acknowledges SA Water's concern, but also notes that the Framework and Approach clearly stated that SA Water was to submit its regulatory business proposal to the Commission on 3 July 2023. SA Water submitted its RBP to the Commission on 16 August 2023, a 6-week delay to the previously agreed timeframe.

On this point, the Commission agrees that there are advantages to SA Water submitting its complete regulatory business proposal, including supporting evidence, earlier to enable additional time in the process for analysis, stakeholder consultation and for setting prices. In addition, this may allow the Commission to finalise the regulatory determination earlier without compromising the integrity of the review process.

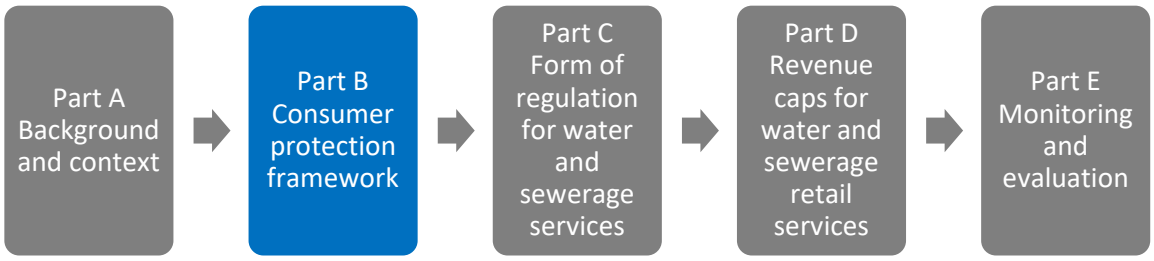
As noted in the draft regulatory determination, and on the Commission's website, SAWRD24 includes an external review of the SAWRD24 process with stakeholders to inform the SAWRD28 Framework and Approach. The Commission considers the appropriate time to reflect on the process matters raised in submissions, and allow other stakeholders to provide their views, is during the external review and Framework and Approach consultation.

The Commission acknowledges the comments made in submissions relating to process and information requirements. Where differing views exist, it will seek to clarify requirements as part of the Framework and Approach for SAWRD28. The Commission is committed to reviewing any areas where expectations are unclear, to ameliorate any confusion or misunderstanding about the Commission's approach or requirements.

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97 SA Water, *SA Water's response to ESCOSA's Draft Determination*, p. 119.

Part B – Consumer protection framework



Part B set outs the Commission's decisions on the consumer protection framework that it applies to SA Water, established by the Water Retail Code – Major Retailers (Code).

The Commission reviewed that consumer protection framework having regard to its primary objective, as set out in section 6 of the ESC Act: '*the protection of the long-term interests of South Australian consumers with respect to price, quality and reliability of essential services*'.[98]

In that context, the Commission considered whether or not the various consumer protections and service standards in the Code remained appropriate and should continue, be varied or revoked, and whether or not SA Water is providing retail services at the quality and reliability levels valued by customers.

As set out and explained in Chapters 5 and 6, the Commission has made a decision that it considers will enhance consumers' long-term interests and will result in amendments to the consumer protection framework and service standards set out in the Code.

[98] The Commission has a further obligation under section 28(8) of the ESC Act to keep the contents and operation of codes under review to ensure their continued operation and effectiveness.

5 Water Retail Code – Major Retailers

Final decision – Water Retail Code – Major Retailers

The Commission has determined that the existing protections contained in the Water Retail Code – Major Retailers remain appropriate for SAWRD24, subject to the following variations:

- Certain protections that currently apply only to customers, defined as owners of land to which a retail service is provided, will be extended to apply to all consumers, such as tenants and other occupants.
- New requirements will be established that require SA Water to publish information about how hardship provisions apply differently to customers, as owners of land, and other types of consumers, and what consumers can do if they dispute a bill.
- SA Water will be prohibited from restricting water flow in properties that SA Water believes or should reasonably believe is tenanted.
- The requirement for SA Water to provide paper bills free of charge will be removed; however, SA Water will not be permitted to charge for paper bills unless the following requirements are met:
  - it has undertaken public consultation on the proposal and, following consultation, publicly explained its decision whether to proceed to implement a charge
  - an exemption scheme has been established
  - the charge is clearly identified on bills
  - 12 months' notice has been provided before the charge is introduced, and
  - customers have the option to receive a bill free of charge via an alternative method (for example, electronically).
- The requirement for SA Water to undertake an actual meter read at a customer's property where a self-read has not been accepted will be removed.
- SA Water will be required to offer and apply flexible payment plans to both residential and certain types of non-residential customers who are experiencing payment difficulties (currently this protection is only required for residential customers) and protect both residential and non-residential customers from debt recovery and restriction of water services while adhering to the terms of an agreed payment plan.
- SA Water will be required to establish policies and processes for early identification of residential customers who may be experiencing payment difficulties and will be required to employ best endeavours to contact these customers to provide information about available assistance.
- New conduct and policy requirements will be introduced for SA Water in relation to providing protections for customers experiencing family violence.
- New provisions will establish the service standards that will apply when SA Water has been directed to take over the operations of another water industry entity on either a temporary or ongoing basis.
- SA Water will be required to include the Energy and Water Ombudsman SA's contact details on customer bills.

The Commission has factored the net costs to SA Water associated with changes to the Water Retail Code in the capital and operating revenue caps that will apply to SAWRD24. A summary of the costs and savings that have been incorporated is outlined in Appendix 4. Costs and savings arising from individual Water Retail Code changes are discussed in this chapter.

5.1 Introduction

The Water Retail Code – Major Retailers (**Code**) sets behavioural standards and minimum requirements that apply to SA Water for the sale and supply of retail services (water and sewerage). It includes requirements for SA Water to:

- have a customer charter that sets out the respective rights and obligations of SA Water and its customers[99]
- have a standard form customer sale contract, and have any amendments approved by the Commission[100]
- connect customers to its network in accordance with the terms of its connection and augmentation policies
- minimise supply interruptions, provide information to customers on interruptions and use its best endeavours to meet customer service and network reliability service standards[101]
- have enquiry, complaint and dispute resolution procedures that provide for escalation to an independent dispute resolution body[102]
- meet minimum billing requirements to ensure that customers receive accurate billing information in a timely manner, and make provision to resolve billing errors, undercharging, and overcharging
- meet minimum requirements around payment terms, methods and managing payment difficulties experienced by customers,[103] and
- limit disconnections and restrictions for non-payment to specific circumstances and fulfil certain obligations prior to restricting a customer.

SA Water is required to demonstrate to the Commission that it has adequate systems and processes in place to comply with the Code's requirements, and to report any material breaches of its obligations as soon as practicable (and non-material breaches within designated timeframes).[104]

The Commission's compliance framework focuses on ensuring that SA Water provides rectification or restitution to customers as a first priority, then identifies the root cause of any material breach of obligations and puts in place systems and processes to minimise future non-compliances. Enforcement action is taken where there is ongoing, wilful and/or material non-compliance. [105]

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99 SA Water, *Customer Charter*, September 2021, available at www.sawater.com.au/__data/assets/pdf_file/0006/508245/SA-Water-Charter-September-2021.pdf.

100 SA Water, *Standard Customer Contract*, accessed 9 October 2023, available at www.sawater.com.au/about-us/how-we-operate/policies/customer-contract.

101 Service and reliability standards are set out in Schedule 1 of the Code, available at www.escosa.sa.gov.au/ArticleDocuments/21489/20200701-Water-RetailCode-MajorRetailers-MR03.pdf.aspx?Embed=Y.

102 EWOSA is SA Water's approved independent dispute resolution body.

103 SA Water, *Hardship Policy for Residential Customers*, August 2018, available at www.sawater.com.au/__data/assets/pdf_file/0005/288977/hardshippolicy_0818.pdf.

104 Essential Services Commission of South Australia, *Water Industry Guideline No 1 – Compliance System and Reporting*, July 2022, available at: www.escosa.sa.gov.au/ArticleDocuments/616/20220728-Water-ComplianceSystemsReporting-MajorRetailers-WG1-06.pdf.aspx?Embed=Y.

105 Essential Services Commission of South Australia, *Enforcement Policy*, August 2021, available at www.escosa.sa.gov.au/ArticleDocuments/21734/20210811-Corporate-EnforcementPolicy-V2.6.pdf.aspx?Embed=Y.

5.2 Review process

The Commission has reviewed the protections contained in the Code as part of the SAWRD24 process.

The review process has involved stakeholder engagement and research by the Commission, including:

- public consultation on an Issues Paper[106]
- workshops with the Consumer Advisory Committee (CAC)
- a workshop with the Customer Challenge Group (CCG)
- meetings with stakeholders and other regulators of SA Water (including the Environment Protection Authority (EPA), Department for Environment and Water (DEW), Office of the Technical Regulator (OTR) and SA Health)
- a series of meetings with SA Water regarding communications, payment difficulty and hardship, metering, and protections for customers experiencing family violence
- a number of requests for information issued to SA Water
- a review of consumer protections in other jurisdictions
- analysis of complaints data held by the Commission and case data held by the Energy and Water Ombudsman South Australia (EWOSA)
- consideration of the findings and recommendations of various regulatory, compliance and audit reports, and
- public consultation on the Commission's draft decision.

5.3 Changes to protections

5.3.1 Protections for residential tenants

Most protections in the Code relate to customers, which are defined in the *Water Industry Act 2012* (WI Act) as an owner of land to which a retail service is provided. Under regulation 4 of the *Water Industry Regulations 2012* (WI Regulations) and section 25(1) of the WI Act, the definition of a customer includes a consumer (for example, tenant) in a number of defined circumstances (these circumstances are discussed further in section 5.3.1.2).

For example, the Code sets out the minimum payment options SA Water must offer to its *customers*. Other requirements for SA Water, such as requirements for dispute resolution processes, apply to both customers and consumers.

5.3.1.1 Consultation on the Issues Paper and SA Water's Regulatory Business Proposal

In consultation on the Issues Paper and SA Water's Regulatory Business Proposal (RBP), the South Australian Council of Social Service (SACOSS), Uniting Communities and EWOSA raised concerns about the different levels of protections that apply to tenants as SA Water consumers. These differences arise from the type of relationship SA Water has with tenants, who are not direct customers of SA Water.

[106] Essential Services Commission of South Australia, *SAWRD24 Water Retail Code and Monitoring and Evaluating Performance Framework Issues Paper,* June 2023, pp. 1-17, available at ESCOSA - Water retail code and monitoring and evaluating performance framework.

Both SACOSS and EWOSA have encouraged the Commission to investigate possible ways to make changes to the Code that would extend further protections to tenants.

A summary of the specific concerns raised are outlined below.

Legislative framework

Uniting Communities[107] and SACOSS[108] consider that tenants should be recognised as customers under the WI Act so they can benefit from all protections under the Code.

EWOSA[109] considers that a direct relationship between SA Water and the consumer would enable tenants to access the full range of protections. It noted that there may need to be changes to legislation, such as the WI Act and/or the *Residential Tenancies Act 1995* (**RT Act**), to make this possible.

Definition of customer

SACOSS suggested a change to the definition of 'residential customer' in the 'flexible payment and hardship' section of the Code to match the definition of 'residential customer' in section 37(5) of the WI Act. Section 37 of the WI Act establishes the requirement for the Minister for Climate, Environment and Water (**WI Minister**)[110] to develop a customer hardship policy, which water industries must adopt (with or without amendments approved by the Commission).

Extension of certain Code protections to consumers

SACOSS considered that the Code does not extend several protections to tenants even though the WI Act specifies those requirements apply to tenants in certain prescribed circumstances. This includes limitations on the grounds on which the supply of designated services for tenants may be discontinued or restricted, certain processes to be followed prior to the restriction to tenants, specified processes to be followed to resolve disputes between the water industry entity and the tenant, and access to the industry Ombudsman scheme.

Uniting Communities noted concerns about the lack of consensus on whether tenants are customers in 'prescribed circumstances' under the WI Act.

Hardship support

EWOSA and Uniting Communities both raised concerns about tenants being unable to access SA Water's hardship support and payment plans without landlord approval. Uniting Communities stated that this is a significant issue as the power imbalance between landlords and tenants discourages tenants from informing landlords about their financial situation. It considered that tenants should be able to access hardship programs directly through SA Water as bill paying consumers.

Dispute resolution

Both EWOSA and Uniting Communities noted concerns about the general lack of access for tenants to the independent dispute resolution services of EWOSA.

Uniting Communities noted that as the responsibility of tenants to pay for water charges is established under a tenancy agreement, the body responsible for resolving disputes relating to such agreements is

[107] Uniting Communities, *Submission to Regulatory Business Plan*, p. 4.
[108] South Australian Council of Social Service, *Submission on the Issues Paper*, August 2023, p. 2, available at www.escosa.sa.gov.au/projects-and-publications/projects/water/retail-code-and-monitoring-evaluating-performance-framework.
[109] Energy and Water Ombudsman South Australia, *Submission on the Issues Paper*, August 2023, p. 3, available at https://www.escosa.sa.gov.au/projects-and-publications/projects/water/retail-code-and-monitoring-evaluating-performance-framework.
[110] Minister for Climate Environment and Water, delegated to Minister for Human Services.

the South Australian Civil and Administrative Tribunal (SACAT). It further noted that "*tenants often report the SACAT process is time consuming, formal, expensive, and intimidating.*" In contrast, they considered EWOSA's service as "*…informal, low-cost, and timely*."

Bill visibility

Both Uniting Communities and EWOSA advised that many tenants do not have visibility over their water and sewerage costs due to not receiving or viewing bills. EWOSA noted that, without visibility over water consumption, there is the possibility of higher leakages.

Supply charges

Uniting Communities expressed concern about the requirement for tenants to pay water supply charges. It noted that South Australia is one of the only States where tenants are made to pay the supply charge. In other States, including New South Wales, Queensland, and Victoria, the supply charge can only be passed on to tenants if the property is individually metered and complies with minimum water efficiency requirements.

5.3.1.2 Commission analysis

SA Water services for tenants

SA Water currently provides a range of services for tenants, including:

- Tenant information can be added in the SA Water Customer Relationship Management system (CRM) and tenants can report faults and sign up for outage notifications.
- If a tenant has an account number, they can access the account balance and can pay the bill. If a property owner or managing agent provides authorisation, SA Water can discuss all aspects of a bill with the tenant.
- SA Water does not restrict services for non-payment where a property is known to be tenanted.
- Tenants can access the SA Water Customer Assist program, with permission from the property owner. The benefits of this program (including access to plumbing services and co-payments from SA Water) will be applied to the property's account and therefore rely on the property owner passing this on to the tenant.
- SA Water does property letter box drops when outages/maintenance are to occur to ensure residential tenants receive these directly.

SA Water explored the option of providing tenants with copies of bills as an investment project under its RBP and estimated that the project would require capital upgrades to SA Water systems and increased operating expenditure of approximately $20 million within the regulatory period. SA Water advised that the option was not pursued due to cost impacts on the broader customer base and the prospect of landlords being required to provide tenants with copies of the bill through proposed changes to the RT Act.[111]

Legislative framework

Section 18C of the *South Australian Water Corporation Act 1994* provides that an amount due to SA Water for provision of a water service under the WI Act is a first charge on the land in relation to which the

[111] Consumer and Business Services, *Review of SA's renting laws*, website accessed 30 November 2023, available at www.cbs.sa.gov.au/campaigns/review-of-sas-renting-laws#:~:text=Rent%20bidding%20has%20been%20banned,an%20offer%20for%20higher%20rent.

service has been provided. As a result, SA Water bills property owners, rather than occupants, for its water and wastewater services.

SA Water advised that it considers that the legislative mechanism that directs where debt for water and sewerage retail services resides is the key controlling factor in the relationship it can have with tenants. It advised that where the contract for services and debt is the responsibility of the property owner, and debt remains as a first charge on the land, it is necessary for the landowner to approve any decisions that impact their legal accountability for debt. This includes deferral of debt by a tenant where they are required to pay through their tenancy agreement.

The WI Act and associated WI Regulations define the nature of consumer protections that the Commission may establish, and where it may extend those to consumers. While most requirements of the WI Act relate to customers who are defined as landowners, the definition of customer is extended to consumers in some circumstances. The Commission cannot act beyond the scope of the powers given to it under that legislation.

DEW is aware of stakeholder concerns regarding protections for tenants and has committed to reviewing arrangements as part of the review of the WI Act.

Definitions of customer

In response to SACOSS's submission that the definition of residential customer in the Code is not consistent with the definition in the WI Act, the Commission reviewed the legislative framework to ensure its approach is consistent.

The definition of residential customer that is established by section 37(5) applies only for the purposes of that section of the WI Act. That is, only for the purposes of the WI Minister[112] developing and publishing a customer hardship policy and a water industry entity adopting that policy (with or without amendments approved by the Commission). Compliance with the hardship policy is required to be a condition of the water entities' licence.

The definition of residential customer that has been used in the Code is based on the definition established by a gazettal notice of 20 December 2012,[113] which designates classes of customers for relevant clauses of the WI Act, with which the Commission must comply. The designated customers under that gazettal notice are 'residential customers' and 'non-residential customers'.

The Commission is unable to update the definition of residential customers as suggested by SACOSS as this would be inconsistent with the requirements of the gazettal notice of 20 December 2012.

Extension of certain Code provisions to consumers

The WI Regulations extend the definition of customer to include consumers for the Commission to impose licence condition obligations (and separately for SA Water to provide consumers with a statement of the quantity of water supplied during a financial year) in the following circumstances:

- for the purposes of licence conditions requiring the water industry entity to comply with Code provisions under section 25(1)(b)(iii) and (iv) of the WI Act relating to limitations on the grounds on which the supply of designated services to customers may be discontinued or disconnected and processes to be followed before designated services are discontinued or disconnected

[112] Minister for Climate Environment and Water, delegated to Minister for Human Services.
[113] South Australian Government Gazette, No. 83, Thursday, 20 December 2012, p. 5708, available at www.governmentgazette.sa.gov.au/2012/December/2012_083.pdf.

- for the purposes of licence conditions determining a process to be followed to resolve disputes between a water industry entity and its customers in accordance with section 25(1)(g) of the WI Act, and
- for the purposes of an ombudsman scheme determined or approved by the Commission in accordance with licence conditions imposed through section 25(1)(h) of the WI Act.

The Code provisions around these matters apply to 'customers'. The Code definition of 'customers' refers back to the definition in the WI Act, which takes into account the WI Regulations and inclusion of consumers in these circumstances (for the purposes of the Commission imposing licence obligations on retailers relating to the above matters).

While these obligations legally apply to consumers, there are some barriers to full application of these provisions to consumers. Barriers include:

- *Prohibitions on water service flow restriction and processes to be followed before restriction* – Currently the Code requires SA Water to send a restriction warning notice to customers. The Code prohibits restriction of properties known to be tenanted where the tenant has provided evidence of their occupancy and payment of their component of the bill. As the requirement to send the notice applies to the customer rather than the supply address, there is a risk that the consumer may not be made aware of the impending restriction and therefore be unable to satisfy the notice requirements prior to being restricted. Options for addressing this risk include requiring a warning notice to be sent to a supply address as well as a customer or prohibiting restriction on properties known to be tenanted.
- *Processes to be followed to resolve disputes* – The Code requires that a retailer must have, publish, and inform customers on request of its customer enquiry, complaint, and dispute resolution procedures. Currently there is no requirement under the Code for these procedures to apply to consumers. There is opportunity for the Code to require SA Water to update its procedures to include clear information about how it can assist consumers.
- *Ombudsman scheme* – it is a condition of SA Water's licence that it participate in an industry Ombudsman scheme (EWOSA is that scheme). The Code then establishes certain circumstances where SA Water must inform customers of the option to lodge a dispute with the industry Ombudsman, including when sending billing reminder notices, restriction warning notices and on review of a bill. In practice, there are barriers to consumers accessing the services of the industry Ombudsman scheme, for example, EWOSA advises that it cannot assist consumers with complaints relating to billing and hardship – these are referred to SACAT. EWOSA advises that tenants can only have a complaint resolved by EWOSA if they are provided with an "Authority to Act" by their landlord or to lodge a complaint about a water leak on the SA Water side of their water meter.

Hardship support

Section 37 of the WI Act and its hardship policy obligations apply to 'residential customers' which includes tenants as a 'consumer who is supplied with retail services for use at residential premises.' Therefore, the hardship policy which the WI Minister has developed applies to tenants in addition to owners of land.

SA Water's hardship policy is based on the WI Minister's hardship policy (with minor amendments approved by the Commission) and applies to tenants since it applies to 'residential customers.'

The hardship policy establishes the following protections for residential customers experiencing financial hardship:

- option to pay using an interest and fee free payment plan, Centrepay or have more time to pay a bill

- if complying with the requirements of an agreed payment arrangement: waiver of restoration fees, protection from restrictions, debt recovery and legal action; and incentives for meeting payment obligations
- information on: government concessions, grants, rebates, and assistance programs; water efficiency measures; and option to redirect bills to a third party with their consent, and
- referral to financial and other counselling and support services.

While these protections technically apply to tenants, SA Water has advised there are some practical barriers to applying the protections established by the policy to tenants in their fullest form. For example, protections relating to billing, including access to payment plans, can only be extended to tenants with the landlord's consent due to impacts on the landlord's legal accountability for debt.

Research by SA Water and the social sector has identified that a key issue is the relationship tenants have with their landlords and their fear of seeking support from landlords when in hardship through fear of losing their tenancy. This research also indicated that tenants could make payment arrangements directly with managing agents/property owners; however, trust factors also inhibit these arrangements.

There are no known barriers to extending the information and referrals related to protections to consumers.

Dispute resolution

The Code provisions around dispute resolution and the industry Ombudsman scheme apply to 'customers'. The Code definition of customers refers back to the definition in the WI Act. However, as outlined above, for the purposes of the Commission imposing licence conditions regarding dispute resolution, the term customer includes consumers.

Nevertheless, there are some barriers to the practical application of these protections for consumers.

As stated above, EWOSA cannot assist consumers with complaints relating to billing and hardship – these are referred to SACAT.

Bill visibility

Section 73(3) of the RT Act recognises that a water bill will generally be issued to the landlord by the water supply authority and provides that the tenant is not required to pay if '*the landlord fails to request payment from the tenant within 3 months of the issue of the bill*' or the tenant has requested a copy of the account and '*the landlord has failed to provide the copy to the tenant within 30 days*'.

The South Australian Government is proposing to change the RT Act to require landlords to provide tenants with a copy of any water bill that the tenant is required to pay within 30 days of receiving the water bill.[114]

Supply charges

Pursuant to section 73 of the RT Act, water supply rates and charges are to be borne as agreed between the landlord and tenant. In the absence of an agreement, if the supply of water to the premises is separately metered, they are to be borne by the tenant and, if it is not metered, by the landlord.

The South Australian Government has indicated that it intends to propose a change to the RT Act to specify that, where there is no agreement between the landlord and tenant as to who pays the water supply fee, the water supply fee is paid by the landlord.

Other amendments being considered by the South Australian Government include a requirement that:

[114] Consumer and Business Services, *Review of SA's renting laws*, website accessed 30 November 2023.

- a tenant will not be required to pay water rates and charges if the landlord fails to provide a copy of the invoice within 30 days
- new or replacement fixtures in rental properties will be required to meet certain water saving standards, and
- the landlord will be responsible for excessive water use charges caused by a fault in water infrastructure, equipment or other appliances, fittings, or fixtures at or connected to the property if the tenant has notified the landlord of the fault as soon as practical.

5.3.1.3 Draft decision

In its draft decision, the Commission acknowledged the ongoing concerns of stakeholders about the lower level of protections that apply to consumers that are not SA Water customers. It noted that the differences in protections apply to around 30 percent of households supplied by SA Water.[115]

The Commission considered that there are limitations in the extent to which these matters can be resolved through the Code and that full resolution of the concerns expressed through submissions can only be achieved through legislative changes that enable consumers to be billed directly by SA Water for relevant services. The Commission noted that it explored the costs and benefits of SA Water billing end users in 2014.[116]

The Commission carefully considered which aspects of the protections established by the Code could be legally and practically extended to apply to consumers, within the existing legislative framework.

In its draft decision, the Commission's proposed to extend the following provisions in the Code, which currently apply only to residential customers, to consumers.

- Enquiries, complaints, and dispute resolution - clauses 3.1, 3.2 and 3.3

  These clauses require SA Water to have, review and inform customers about its enquiry, complaints and dispute management procedures. Currently, SA Water is only required to set out procedures in relation to residential customers. The draft decision was for these requirements to be broadened to cover consumers. Where there are limitations to how SA Water can assist consumers, compared with residential customers, these limitations must be clearly explained in its procedures.

- Accessible communications – clause 4.2

  This clause requires SA Water to provide access to its services using languages and means of communication that are common to its customer base. Currently, SA Water is only required to extend accessible communications to its customers. The draft decision was to require SA Water to extend accessible communications to consumers, where SA Water is required to communicate with consumers under the Code.

[115] Australian Institute of Health and Welfare, *Home ownership and housing tenure 5 April 2023*, available at www.aihw.gov.au/reports/australias-welfare/home-ownership-and-housing-tenure

[116] Essential Services Commission of South Australia, *Final inquiry report: inquiry into reform options for SA Water's drinking and sewerage prices*, Appendix 3, December 2014, pp. 1-15, available at: www.escosa.sa.gov.au/ArticleDocuments/436/20141214-Water-FinalInquiryReport-BillingConsumer3.pdf.aspx?Embed=Y.

- Customer hardship policy – clause 10.1

  This clause requires SA Water to publish its hardship policy on its website, display a copy in its retail offices and advise customers of the policy if they are experiencing financial hardship. The draft decision was to require SA Water to publish information about how its hardship policy applies in different circumstances, including any differences in how it applies to customers and consumers. SA Water will also be required to advise consumers about its hardship policy and how it applies where a consumer is experiencing financial hardship.

- Information for consumers – clause 20.4

  This was a proposed new clause which requires SA Water to provide information on its website, and on request, free of charge, about what a consumer can do if it disputes a bill.

- Notice to customers experiencing payment difficulties – clause 25.2

  This clause sets out requirements for SA Water to provide information to residential customers experiencing payment difficulties, including information about its hardship policy, government assistance programs and independent financial and other relevant counselling services. The draft decision was to extend these notification requirements to consumers.

- Prohibitions on water service flow restriction – clause 26.2

  This clause sets out the circumstances where SA Water is not permitted to restrict water flow and currently includes a prohibition on restriction where SA Water reasonably believes that the property is tenanted, and that tenant provides evidence that they have met the payment obligations for water under their tenancy agreement. The draft decision was to prohibit restriction of properties known to be tenanted in *all* circumstances. This is to address the risk that a tenant may not have been provided with adequate notice and/or time to respond with the required information prior to the restriction taking effect. There is also a risk that a property that is tenanted could be restricted even when they have met their payment obligations for water due to the landlord not passing on the payment to SA Water.

The Commission acknowledged and has had regard to the fact that there could be some minor costs for SA Water in extending protections to tenants, including costs associated with developing new information for the website and updating its policies and procedures. The Commission considered that there would be benefits for consumers from improved transparency and potentially reduced administrative costs associated with queries to both SA Water and EWOSA.

The Commission wrote to the Minister for Climate, Environment and Water (WI Minister) to advise of stakeholder concerns about protections for tenants and the limitations on the Commission's ability to resolve the issues. The Commission engaged with staff from DEW to support its review of the WI Act.

5.3.1.4 Consultation on draft decision

The Commission received five submissions on the draft decision relating to protections for residential tenants from EWOSA,[117] SACOSS,[118] SA Water,[119] South Australian Federation of Residents and Ratepayers Associations (SAFRRA)[120] and Uniting Communities.[121] All submissions indicated support for the Commission's proposals.

[117] Energy and Water Ombudsman South Australia, *Submission to Draft Regulatory Determination*, p. 2.
[118] South Australian Council of Social Service, *Submission to Draft Regulatory Determination*, p. 23.
[119] SA Water, *SA Water's response to ESCOSA's Draft Determination*, p. 3.

[120] South Australian Federation of Residents and Ratepayers Associations, p. 4.
[121] Uniting Communities, *Submission to Draft Regulatory Determination*, p. 3.

SA Water advised that amendments could be made to relevant policies and procedures (for example the Customer and Community Policy, the Hardship Policy, and the Enquiry, Complaints and Disputes Resolution Process) to ensure that any processes or exclusions specific to residential tenants are clearly articulated. It noted that key document reviews would each take around three months to complete.

SA Water noted that information about payment assistance is currently available on the SA Water website and via the recorded messages played to callers as they wait to be answered. It advised that these messages could be updated to include references to consumers.

SA Water noted that, in relation to notifying tenants about hardship assistance, it is constrained by the limited information it holds for consumers and relies on the property owner to verify that a tenant resides at the property. It noted that records of contact information for tenants are rare.

SA Water advised that the costs of implementing the new protections set out in the draft decision could be accommodated within the revenue cap, without the need for additional revenue allowance.

SACOSS raised concerns about the lack of progress on legislative changes to improve consumer protections for residential tenants. SACOSS considered that, in the absence of legislative change, SA Water should work with tenants, landlords and other key stakeholders to develop a strategy to address issues such as direct access to bills, payment options, water use savings advice, hardship support and not paying for leaks. SAFRRA and Uniting Communities similarly requested that SA Water work on a long-term strategy to better support residential tenants.

SACOSS also indicated it would like SA Water to add housing tenure as a 'field' for its customer records as part of populating its customer management system. It considers that this would assist SA Water to communicate with tenants more effectively.

Uniting Communities recommended that the Commission work with the South Australian Government to align the definitions of 'customer', 'consumer' and 'residential customer' so that residential tenants can be covered by the same consumer protections afforded to customers.

5.3.1.5 Final decision analysis

Customer records

In response to an information request from the Commission, SA Water advised that its CRM already has a dedicated field which indicates the contact's relationship with a property, including whether the contact is a tenant or occupant.

SA Water advised that it can currently only identify a property as being occupied by a tenant or occupant if this information is provided to it through phone, email, webchat, webform or similar means. This information may come from the owner or the tenant directly. SA Water may also identify that a property is being tenanted if a property has a managing agent on the account.

The definitions used for classifying an individual related to an account as either a 'tenant' or 'occupant' are outlined below:

> *Tenant: This status is used when a customer identifies as a tenant and provides proof of their tenancy. The tenant needs to provide proof they were a tenant for the period they are enquiring about.*
>
> *Occupant: This status is used if someone is living in a property but is not an owner or not able to provide proof of tenancy. Customers with this relationship to a property are not provided any information about the account (unless they satisfy additional privacy rules) and do not need to provide any proof that they are living in the property.*

SA Water advised that having a tenant or occupant flagged in the CRM enables only limited information to be provided to the tenant or occupant, for example information about water interruptions. Bills and notifications are sent in line with the details provided by or associated with the owner, which includes the billing address provided through Land Services SA.

Additional extensions of the Code

The Commission has identified a number of other areas of the Code that it considers can be practically and usefully extended to consumers:

- Direct written communications – clause 4.1

  The draft decision proposed a requirement for SA Water to provide information about how its hardship policy applied to consumers and to provide a copy of this information to consumers free of charge on request.

  Consequently, clause 4.1, which outlines requirements for provision of written information, should refer to both customers and consumers.

- Schedule of prices, fees, and charges – clause 5.1

  This clause establishes a requirement for SA Water to publish a schedule of prices, fees, and charges and to provide a copy to customers on request.

  As consumers may be legally responsible for aspects of a water bill, the requirement for SA Water to provide a copy the document on request should also be made apply to consumers.

5.3.1.6 Final decision

Following consideration of submissions and for the reasons stated above, the Commission confirms its position in respect to the draft decision. In addition, the Commission has decided to extend the following provisions in the Code, which currently apply only to residential customers, to consumers:

- Direct written communications – clause 4.1

  The draft decision proposed a requirement for SA Water to provide information about how its hardship policy applied to consumers and to provide a copy of this information to consumers free of charge on request.

  Consequently, clause 4.1, which outlines requirements for provision of written information, should refer to both customers and consumers.

- Schedule of prices, fees, and charges – clause 5.1

  This clause establishes a requirement for SA Water to publish a schedule of prices, fees, and charges and to provide a copy to customers on request.

  As consumers may be legally responsible for aspects of a water bill and may need this information for dispute resolution, the requirement for SA Water to provide a copy the document on request should also apply to consumers.

The Commission expects SA Water to comply with new requirements to extend these protections for consumers by 1 October 2024.

The Commission reiterates that the South Australian Government is responsible for considering whether to pursue legislative changes to enable consumers to be billed directly for water. The Commission would be pleased to work with stakeholders on further updates to the Code should legislative changes be enacted.

5.3.2 Individual metering

Clause 18.5.3 of the Code requires that, where more than one customer shares a single meter at the supply address, SA Water must apportion water use across the customers supplied through that meter on a basis approved by the Commission and provide separate bills to each individual customer on request.

5.3.2.1 Consultation on the Issues Paper and SA Water's Regulatory Business Proposal

At a workshop with the CAC on the Issues Paper, the Commission received feedback about reported inequities in attribution of water costs where a number of properties share a single meter. An example was given of a block of units, managed by a strata corporation, where water use is apportioned evenly between occupants. The CAC advised that, in some instances, occupants that have low water use are subsidising occupants with high water use. A member of the CAC suggested that there should be a strategy in place to increase the number of properties that are directly metered.

5.3.2.2 Draft decision analysis

Most properties[122] in South Australia have individual meters that measure the amount of water supplied. A meter reading is typically taken every three months and customers are billed for water used during that period. However, some dwellings on group sites (both residential and commercial) are supplied via a shared water meter and receive a bulk bill.

The Commission approved SA Water's basis for apportioning consumption for shared meters on 13 August 2013.

SA Water offers strata or community title corporation groups one of the following options:

- pay the total water use charges in one payment, or
- have SA Water divide water use charges between all owners and provide individual water and sewer accounts. The group will receive a notice every three months showing water use as well as a comparison of use over previous periods. Accounts will be posted to each owner every three months and there is no fee for this service.

In these instances, charges to an individual occupant may not reflect actual water use.

Consideration of strategies to increase the number of properties that are directly metered need to carefully weigh the costs and benefits.

The Commission undertook a review of the costs and benefits of individual metering in 2014.[123] This review found that mandating individual metering was not economically beneficial under any of the scenarios that were tested. In its draft decision, the Commission noted that the economic costs and benefits may have changed since this review.

It was not possible, within the timeframe to prepare the draft decision, to update the cost benefit analysis of individual metering for SAWRD24. The Commission indicated it would work with SA Water during the next regulatory period to update the analysis to inform regulatory settings for SAWRD28.

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[122] When the Commission last reviewed this matter in 2014, more than 80 per cent of properties had individual meters.

[123] Essential Services Commission of South Australia, *Final Inquiry Report: Inquiry into Reform Options for SA Water's Drinking Water and Sewerage Prices*, Appendix 5, December 2014, pp. 1-33, available at: www.escosa.sa.gov.au/ArticleDocuments/436/20141214-Water-FinalInquiryReport-Metering-CBAOth.pdf.aspx?Embed=Y.

5.3.2.3 Draft decision

The Commission committed to reviewing the cost and benefits of direct metering during SAWRD24 and considering the issue further for SAWRD28.

5.3.2.4 Consultation on draft decision

The Commission received one submission on its draft decision in relation to this matter, from SA Water.

SA Water acknowledged stakeholder concerns around shared metering and indicated that it looked forward to working with the Commission on a cost-benefit analysis.

5.3.2.5 Final decision analysis

As stakeholder submissions support the draft position, and no further evidence or information was submitted on this matter, the Commission considers that there is nothing to indicate that its draft position needs to change.

5.3.2.6 Final decision

For the reasons stated above, the Commission confirms its position in respect to the draft decision and is committed to reviewing the cost and benefits of direct metering during SAWRD24 to enable the issue to be considered further for SAWRD28.

5.3.3 Charging for paper bills

Clause 4.1.4 of the Code requires that, if a customer does not advise SA Water of a preferred form of communication, it must deliver any document, bill, or notice in hard copy to the supply address at no cost to the customer.

5.3.3.1 Consultation on Issues Paper and SA Water's Regulatory Business Proposal

In its submission to the Issues Paper,[124] SA Water asked the Commission to consider varying clause 4.1.4 to enable customers to be charged for paper bills.

SA Water proposed that certain groups of customers would be exempt from this fee, including those:

- on low income, customers on the customer assist program or receiving concessions
- with a disability or a serious or chronic illness, and
- who come from a remote area.

5.3.3.2 Draft decision analysis

In considering SA Water's request, the Commission reviewed the approaches to charging for paper bills in other jurisdictions and noted that, for the water industry, regulations in other jurisdictions are silent on whether paper bills need to be provided free of charge or whether a customer may be charged.

[124] SA Water, *Submission on the Issues Paper*, August 2023, p. 7, available at www.escosa.sa.gov.au/projects-and-publications/projects/water/retail-code-and-monitoring-evaluating-performance-framework.

Charging for paper bills has been prohibited by the New South Wales Government in certain circumstances.

For the energy industry, the Australian Energy Market Commission decided that the Australian Energy Regulator (AER) is *not allowed* to require retailers to provide paper bills free of charge for market offers.[125]

The Commonwealth Treasury reviewed the establishment of charges for paper bills in 2017. Treasury decided not to ban charges, recognising that customers who elect to receive digital bills would effectively subsidise those who do not.[126]

Charging for paper bills has become common in the banking, energy and telecommunications sectors, where companies charge between $1 and $3 per paper bill. Many of these companies provide exemptions to customers who qualify for concessions, live in remote communities or require special bill formats.

To better understand the potential costs and benefits of charging for paper bills the Commission sought further information from SA Water about the impact of the proposal. SA Water advised that:

- Approximately 473,000 customers receive paper bills while 314,000 customers receive their bills electronically.
- SA Water considers the benefits of e-billing to include:
  - improved customer engagement by capturing and maintaining up-to-date customer contact information
  - accurate contact information allowing better customer communication for faults and other notifications
  - customers receiving their bill earlier which provides additional time to pay the bill
  - potential for improved cash flow for SA Water as earlier receipt of a bill may lead to customers paying sooner, and
  - reduced environmental impact and cost savings relating to postage and printing. In 2022/23 operating expenditure for issuing of paper bills and related notices (for example, reminders, high water use alerts) was around $2.5m (postage $2.1m and printing $0.4m).
- SA Water estimated the direct costs associated with issuing a paper bill in 2023 to total $1.21 per bill, which includes printing, envelopes, inserting, formatting, archiving and postage.

The provision of bills in a digital format is a simpler, lower-cost and more environmentally friendly option for SA Water and may be a more convenient option for some customers. There may be other benefits for customers in moving to e-billing, such as electronic reminders or notifications, access to previous billing information and online changes to personal details. More timely data may also help customers better understand their usage and costs.

There is a risk that charging fees for paper bills could adversely affect older people, pensioners, people on low incomes, people with disabilities and other vulnerable members of the community. This includes

[125] Australian Energy Market Commission, *Rule Determination – Bill Contents and Billing Requirements*, 18 March 2021, available at www.aemc.gov.au/sites/default/files/2021-03/RRC0036%20Bill%20contents%20and%20billing%20requirements%20-%20Final%20determination_1.pdf.

[126] Hon Stuart Robert MP, *Government calls on business to exempt vulnerable consumers from paper billing fees*, media release, 28 November 2018, available at ministers.treasury.gov.au/ministers/stuart-robert-2018/media-releases/government-calls-business-exempt-vulnerable-consumers.

older Australians who are not familiar with, or confident in using the internet and who may need more assistance, as well as those who simply cannot afford access. The Australian Bureau of Statistics Snapshot of Australia data from 2022 indicates that around 8 percent of households have no access to the internet.

5.3.3.3 Draft decision

The Commission carefully weighed the potential risks and benefits of SA Water's proposal to remove the Code requirement to provide paper bills free of charge to enable it to charge for paper bills.

The Commission determined in its draft decision that the requirement to provide paper bills at no charge (at clause 4.1.4) be removed and proposed to establish a new clause 18.4 in the Code, which would allow SA Water to decide whether or not to charge customers for paper bills, if the following requirements were met:

- SA Water had undertaken public consultation on the proposal
- SA Water had obtained written approval from the Commission
- the customer has the option to receive bills via an alternative method that is free of charge (for example, an electronic bill)
- at least 12 months' notice had been provided before the charge was introduced for the first time
- an exemption scheme had been established, that exempts relevant customers from being charged for a paper bill. Relevant customers include customers that: are registered for a government concession, are experiencing financial hardship, do not have access to the internet, or require special bill formats, and
- for relevant customers, the charge for providing a paper bill is clearly identified and itemised on their bill.

SA Water would not be permitted to charge for other types of written communications, including reminder notices and high water use alerts.

The Commission indicated it would monitor any charges introduced by SA Water during SAWRD24, to ensure that it had complied with the new provisions of the Code and that the charge reflected the direct, efficient cost of issuing the paper bill.

The Commission indicated that it expected SA Water to make customers aware of the change prior to any charge being implemented (that is, at least 12 months' notice). The Commission also indicated it expected SA Water to take particular care to target communication to consumers who are likely to be eligible for exemptions.

The Commission expected that the application process and evidence requirements for the exemption program would not be onerous. Where possible, the Commission expected SA Water to automatically apply exemptions to eligible customers, for example, customers on its Customer Assist Program.

5.3.3.4 Consultation on draft decision

The Commission received seven submissions relating to this matter including from SA Water, EWOSA, Anglicare,[127] CCG,[128] SACOSS, SAFRRA and Uniting Communities, indicating a range of different views.

[127] Anglicare, p. 2.
[128] Customer Challenge Group, p. 4.

SA Water's submission supported the Commission's draft decision proposals. SA Water noted that subject to South Australian Government consultation and approval of the paper bill fee, it would seek the Commission's formal approval to implement the fee. Prior to seeking approval from the Commission, SA Water indicated it would:

- develop an exemption scheme complete with business process changes regarding identifying exempt customers, and
- undertake customer and stakeholder engagement and consultation regarding implementation of the fee and options for exemption.

EWOSA's submission stated that it supported the proposed change subject to the conditions proposed by the Commission in the draft decision being imposed.

Submissions from Anglicare and CCG did not explicitly support or oppose the proposals outlined in the draft decision. Both submissions noted the importance of vulnerable customers being appropriately protected from any cost increases associated with the proposed change.

Anglicare's submission noted that electronic documents and other forms of media are an important part of improving accessibility, but paper is still a required option. It submitted that people with a disability should not be penalised financially for needing to have information, including utility bills, provided in paper form. It considered that where paper invoices are the best option to help individuals receive and understand information, these should be freely available.

SACOSS, SAFRRA and Uniting Communities submissions stated that they did not support the Commission's draft decision.

Uniting Communities submission noted that many consumers do not or cannot access digital billing and other online facilities. It referred to 2020 data released by the Australian Bureau of Statistics (ABS) which found:

- 1.1 million people with disability did not use the internet, and
- 1.4 million older Australians did not use the internet.

Uniting Communities considered that older people, people with disability and people living in regional, rural, and remote regions of South Australia would be unfairly impacted by the proposed change. It noted that the groups that may be disadvantaged by the change may not know how to access or apply under an exemption scheme.

SAFRRA's submission similarly considered that the change would disadvantage elderly, aged pensioners, customers with a disability and customers who do not speak English at home.

SACOSS's submission raised concerns about the unknown cost of administering the exemption program and SA Water's ability to identify customers who would be eligible within its CRM system. SACOSS raised concerns about customers needing to apply for an exemption and potentially provide evidence.

SACOSS also noted that SA Water had already proposed expenditure for billing modernisation and CRM system migration. It indicated concern that some customers could be charged both for a paper bill and the embedded ICT charge to enable SA Water to bill other customers electronically. It also considered that the benefits of moving to electronic billing that were identified by SA Water were not sufficient to justify charging for paper bills.

5.3.3.5 Final decision analysis

Practicality of establishing an exemption program

In response to an information request from the Commission, SA Water advised that customer information is recorded in both the billing system, Customer Service Information System, and the CRM system. Both systems contain flags to show customers registered for a government concession, and customers in the Payment Assistance Program (hardship program). SA Water advised that these groups could be automatically exempted from paper bill fees.

Remote and regional communities could also be identified in the billing system and automatically exempted.

SA Water advised that it is currently implementing a system flag to identify customers requiring special bill formats and this could be expanded to include other aspects of the Wider World program and/or vulnerable customers. These groups could also be automatically exempted from paper bill fees.

SA Water advised that digitally excluded customers which could include people living in areas with limited internet access or people choosing not to have internet access would need to self-identify and be manually flagged as fee exempt in the billing system.

Based on this information, the Commission considers that it is practicable for SA Water to develop an exemption scheme and to automatically apply an exemption to most eligible customers.

Potential net benefit of allowing SA Water to charge for paper bills

The Commission has completed a cost-benefit analysis of charging for paper bills and found a potential net benefit of $1,132,000 across a four-year regulatory period if SA Water chooses to introduce charging for paper bills.

The main cost associated with charging customers for paper bills relates to the Commission's requirement that SA Water establish an exemption scheme to protect vulnerable customers. SA Water has advised that indicative costs associated with establishing an exemption scheme could include:

- System changes to the billing and Customer Relationship Management system: SA Water advised that the system requirements relating to introducing a paper bill fee would need to be scoped and costed. A high-level estimate for system changes of $300,000 was identified.
- Changes to policies and processes including:
  - Development of an exemption scheme with eligibility criteria and the business rules for applying and managing exemption.
  - Training for customer facing and billing staff to understand the exemption scheme and manage customer enquiries.
  - Developing a customer engagement strategy which could include targeted (individual letters) and broad (website) communications. If separate mail outs were provided for known exempt customers (for example customers on concessions or the financial hardship program) postage and printing costs of around $180,000 would be incurred. SA Water advised that, alternatively, individual letters could be included with the paper bills to minimise postage costs.

- An increased number of calls in the first six months and additional resources would be required to respond to calls and discuss / manage entry into the exemption program. SA Water calculate that based on 22,000 paper bills a week, additional resourcing of between 2 and 6 FTE could be required, at a monthly cost of between $18,000 to $54,000. It advised that an effective customer communication and awareness campaign would be critical in minimising the number of enquiries received.

These costs equate to up to $804,000, which the Commission understands would be once off, rather than ongoing. The Commission has not been provided with detailed business case information to analyse the efficiency of these costs. SA Water has advised that should it decide to proceed with the change, it is anticipated that the costs would be covered by the operating savings achieved by an increase in electronic bill uptake.

SACOSS has queried whether capital costs for billing modernisation and CRM system migration should also be considered in relation to the proposal; however the Commission notes that enabling electronic billing does not appear to be the primary driver for the proposed capital expenditure.

Charging for paper bills is likely to incentivise a greater number of customers to move from a paper bill to an electronic bill.

The aggregate benefits of charging for paper bills are between $484,000 per annum (if 100,000 customers transfer to e-billing) and $1,452,000 (if 300,000 customers transfer to e-billing). Using a cost recovery (user pays) model of charging, savings associated with moving to electronic billing would be received directly by the relevant customers electing to receive their bill electronically. Additional savings associated with other types of notices such as bill reminder notices and high-water usage alerts are also likely to be realised by SA Water but are not included in this analysis. Using the lowest estimate of aggregate benefits ($484,000 per annum), there is potential for a benefit of $1,920,000 across the four-year regulatory period.

Overall, this conservative analysis suggests that there is the potential for a $1,132,000 net benefit across a four-year period after taking account of costs associated with establishing an exemption scheme, if SA Water chooses to introduce charging for paper bills.

How costs and benefits accrue to individual customers

Moving to a cost recovery (user pays) approach of charging for paper bills would shift the distribution of how the costs of paper bills are borne by customers.

Based on information provided by SA Water, for 2023 the cost of providing a paper bill was $1.21 per customer. It advised that 473,000 customers were receiving paper bills and 314,000 customers had elected to receive their bill electronically.

Currently the costs of providing paper bills are spread across all customers equally (including those receiving the paper bills and those who are not). This equates to a cost per customer per quarterly bill cycle in 2023 of around $0.73.

If SA Water introduces cost-reflective charges for paper bills (for example, $1.21 per bill), the marginal benefit for customers who choose to receive their bills electronically would be -$0.73 per billing cycle. The marginal cost for customers who continue receiving paper bills and are not exempted from the paper bill fee would be approximately +$0.48 per billing cycle.

Other costs of introducing charging for paper bills and managing an exemption program (discussed above) would form part of SA Water's operating expenditure and be shared by all customers.

Decisions by regulators in other jurisdictions

Since the release of the Commission's draft decision, Western Australia's Economic Regulation Authority has made a final decision on changes to its Water Services Code of Conduct.[129] Its final decision is to amend its Code so that licensees are prohibited from charging vulnerable customers a fee for paper billing. Vulnerable customers include those on the preserved supply register (i.e. life support customers), affected by family violence, receiving a concession, or experiencing financial hardship. This decision provides water entities discretion whether to charge other types of customers for provision of paper bills.

5.3.3.6 Final decision

The Commission acknowledges that there are a range of stakeholder views on whether charging for paper bills should be permitted.

While SA Water has not yet undertaken a full cost-benefit analysis on its proposal, based on information currently available, the Commission considers that it is likely that there would be an overall positive cost-benefit associated with introducing cost-reflective charging for paper bills.

However, the Commission notes that an overall positive cost-benefit does not necessarily translate into benefits for all customers. While customers electing electronic billing could experience minor cost reductions, those receiving a paper bill (who are not eligible for an exemption to a paper bill fee) could experience minor cost increases.

After weighing the information and evidence available, including stakeholder submissions, the Commission confirms its position in respect to the draft decision. The decision removes the requirement in the Water Retail Code for SA Water to provide a paper bill free of charge; however, SA Water is not permitted to implement a charge for paper bills unless it has met specified conditions set out in the Code, including undertaking public consultation, establishment of an exemption scheme and providing customers the opportunity to receive a bill free of charge via an alternative method. SA Water must obtain written approval from the Commission prior to implementing a charge.

The Commission considers that the final decision appropriately balances an opportunity for SA Water to improve its efficiency while still ensuring protection for vulnerable customers against individualised cost increases.

The Commission reiterates the importance of SA Water consulting with its customers prior to the proposal being implemented as well as designing the exemption program to ensure vulnerable customers are not subject to cost increases associated with the change. The Commission acknowledges that SA Water appears to have mechanisms to automatically exempt most relevant customers from a paper bill fee. The Commission encourages SA Water to carefully consider how it engages with and gets information to customers who might not have access to the internet.

While noting that there is some uncertainty around whether SA Water will implement cost reflective charges for paper bills, the costs and savings that could be realised because of the Commission making changes to the Code have been factored into the revenue caps that will apply for SAWRD24 (see Appendix 4).

[129] Economic Regulation Authority, *2023 review of the Water Services Code*, final decision, Water Services Code of Conduct (Customer Service Standards) 2018, available at https://www.erawa.com.au/water/water-licensing/water-services-code-of-conduct-customer-service-standards-2018/2023-water-code-review.

5.3.4 Meter reads taken by customers

In SAWRD20, the Code was amended to allow meter reads taken by customers to be accepted as actual reads.

The Code provides SA Water with the discretion to accept or not accept customer reads as actual meter readings. Where the customer read does not align with a past meter reading, or is not considered reasonably accurate, the read may be rejected and will be shown as an estimate.

In these instances, clause 18.4.2 of the Code places a requirement on SA Water to advise the customer where a read is not accepted and to undertake an actual read at the customer's property. This is to provide certainty for customers on water consumption and the billed amount.

5.3.4.1 Consultation on Issues Paper and SA Water's Regulatory Business Proposal

SA Water's submission to the Issues Paper stated that the requirement to undertake an actual meter read at a customer's property where a self-read has not been accepted can be inefficient.[130] For example, it stated that where a regional or remote customer seeks to submit a meter read that is not accepted, the cost to SA Water of undertaking an out of sequence meter read for this single customer is considerable.

SA Water considers that an alternate response would be more appropriate. For example, a read that is not accepted as an actual read could be treated as an estimated read if SA Water has undertaken an actual read in the preceding 12-month period.

5.3.4.2 Draft decision analysis

SA Water advised that customers can provide reads over the phone, through submitting a webform or by email. Customer reads will be accepted as actual reads where a photo is provided of the meter that:

- provides a date of capture
- clearly shows the meter reading
- clearly shows the meter number that is consistent with the account, and
- is consistent with prior actual meter reads for the property.

Where these conditions are not met the read will show as an estimate. SA Water stated that around 5,000 meter reads are processed by customers each quarter, with just over half having met the criteria to be accepted as actual reads.

The Commission accepted SA Water's assertion that sending a field officer out to inspect a meter, outside of a regular meter reading cycle may be inefficient. This includes where a field officer is required to inspect a meter in a regional or remote location or where the field officer is not able to inspect a meter due to access issues.

There are two existing provisions in the Code that help to avoid long periods of estimated bills:

- clause 18.6.1 requires SA Water to use its best endeavours to ensure that there is an actual meter read of relevant meters by the retailer at a customer's supply address at least once every 12 months, and

[130] SA Water, *Submission on the Issues Paper*, p. 5.

- clause 18.6.2 requires that where a customer has denied access or fails to undertake an approved meter read, SA Water must give the customer the opportunity to provide alternative access to the meter.

5.3.4.3 Draft decision

The Commission accepted SA Water's proposal to remove the requirement at clause 18.5.2 (e) for it to undertake an actual meter read at a customer's property where a self-read has not been accepted.

To minimise the risk that customers would be over or under-charged because of SA Water relying on estimated data, consequential changes were proposed for clause 18.6.2, to require SA Water to provide customers with the option of either resubmitting a compliant read or organising a time for a meter reader to have access to the meter, where a self-read has not been accepted.

A new subclause was also proposed for clause 18.6.3, which allowed SA Water to provide an estimated bill where a customer fails to provide either a compliant read or access to the meter.

5.3.4.4 Consultation on draft decision

The Commission received three submissions relating to this matter, from EWOSA, SAFRRA and SA Water.

EWOSA stated that it supported the Commission's proposal. It requested that the Commission consider introducing a requirement for a meter reading window of three business days. It advised that EWOSA receives cases where the meter read can be up to a fortnight outside the scheduled period and considered that this is unacceptable for customers who need to provide access for SA Water to undertake the meter read.

EWOSA also stated that it considers the current requirement for SA Water to use its best endeavours to undertake an actual meter read at least once every 12 months to be inadequate. It suggested that the general requirement on the frequency of meter reads be increased to quarterly.

SAFRRA stated that it did not agree with the Commission's proposal. It considered that meter self-reading is difficult for customers, as evidenced by the high number of self-reads not accepted by SA Water.

SA Water requested that the Commission review the requirement for it to provide customers with the opportunity to make alternate arrangements for access to the meter when a meter self-read is not accepted.

SA Water advised that it has two key processes relating to an inability to access a customer's meter:

- Where no access is available, a card is left at the property informing the occupier that a meter read could not be obtained and providing instructions on how to read the meter and submit the reading to SA Water.
- To satisfy best endeavours for an actual read (every 12 months), SA Water writes to customers requesting they submit a meter read.

SA Water advised that neither of the two processes above currently include an option for the customer to make alternate access arrangements for reattendance by a meter reader. The exception to this is where a customer is unable to physically read their meter due to disability, ageing, or other mobility, vision, or comprehension challenges.

SA Water stated that meeting an obligation to offer reattendance to all customers would require additional resources and costs related to the administration tasks and property visits.

SA Water advised there are approximately 145,000 'no access' instances annually which could prompt a customer to request a meter read visit. It advised that this volume of visits could not be absorbed by the business and would require additional resources or to be outsourced at an estimated cost of approximately $3.6 million (based on current costs).

5.3.4.5 Final decision analysis

Cost savings associated with removing clause 18.5.2 (e)

The Commission's proposal to remove the requirement for SA Water to undertake an out of cycle meter reading where self-read has not been accepted, offers an opportunity for cost savings.

SA Water advises that there are over 2500 self-meter reads per quarter that are not accepted by SA Water. Removing the requirement for SA Water to undertake an out of cycle meter read for these customers would equate to just under $1 million in savings over the four-year regulatory period.

SA Water's existing obligations

Under clause 18.5.1 and 18.5.2 of the current Water Retail Code (MR/03) SA Water has the following obligations:

> *18.5.1: A retailer must use its best endeavours to ensure that there is an actual meter read of relevant meters by the retailer at a customer's supply address at least once every 12 months.*
>
> *18.5.2: Where a customer fails to provide meter reading access for an actual meter read under clause 18.5.1, or fails to undertake an approved actual meter read themselves, a retailer must:*
>
> *a) give the customer the opportunity to make reasonable alternative access arrangements (during business hours); and*
>
> *b) on each of the occasions access is denied, give the customer written notice requesting access to the meter or meters at the supply address.*

SA Water has asserted that the Commission's proposal to amend this clause represents an additional cost to the business of up to $3.6 million dollars annually.

The Commission considers this to be a misunderstanding of SA Water's existing obligations and, after consideration, does not accept these cost claims.

SA Water has an existing obligation to give the customer the opportunity to make reasonable alternative access arrangements where access is denied, or an approved self-read has not been undertaken. This requirement has been in the Code since 2016 and was introduced in response to SA Water being unable to access meters for some customers for an extended period.

Compliance with existing obligations

In response to an information request, SA Water stated that it implements two key processes to comply with the requirements of existing Code clause 18.5.2:

- Where unable to access a meter, a meter reader leaves a card at the property informing the inability to obtain a meter read, providing instructions on how to read the meter and submit the reading to SA Water. The card also includes a number to call and arrange an appointment should the customer have difficulty reading the meter.
- Where a meter reader has failed to access the property for three consecutive visits, SA Water writes to the customer requesting they submit a meter read. A phone number is provided should the customer wish to contact SA Water.

SA Water advised that, prior to COVID-19, these letters included a request for customers to call and arrange an appointment read. The customer response rate was around 30%. This practice changed during COVID-19 and, with the ability to accept a photo read as an actual read, SA Water now requests a photo of the meter reading which it validates for acceptance as an actual read.

SA Water advised that customers with estimated bills can contact the Customer Care Centre (CCC) to discuss their account. Where a reading is required the CCC will allocate the work to the Customer Technical Services team to visit the property.

The Commission notes that 'no access' meter reading visits occur for approximately 5% of SA Water's customer base each quarter.

The Commission's initial assessment indicates that SA Water is not currently complying with its obligations under Code clause 18.5.2. Accordingly, the Commission will review this matter further and consider enforcement action in accordance with the Commission's Enforcement Policy.[131]

Three-day meter-reading window

Clause 18.7 establishes minimum requirements for information that must be contained in bills. This includes information about the estimated date range of the next meter reading. There are currently no specific requirements for how long this date range can be.

In response to an information request, SA Water advised that, in its billing system, all meters within a local government area (LGA) are brought together into a meter reading group and a meter reading schedule with start and end read dates is created. The read window (number of days between the start and end dates) can be between 7 and 21 days, depending on the number of meters in the LGA. The scheduled start and end dates are shown on a customer's bill as the proposed next read dates.

The meter reading schedule must closely align with the billing schedule so that meter readings are available when bills are issued for that LGA.

Most meter reads are performed by contractors. SA Water provides the contractor with the meter reading schedule at a group level. There are currently 107 reading groups covering 722,000 meters to be read over 91 days.

Any maintenance of the reading schedule, such as updating the schedule to include new meters resulting from new land developments or subdivisions and/or resetting the schedule is a manual process.

SA Water advised that the current schedule design provides the contractor with flexibility in assigning resources to meter reading groups to allow the contractor to scale up and scale down to cover absences or slow reading due to adverse weather conditions. New meters can easily be sequenced into the reading groups with minimal disruption to the order of reading.

As a review and replacement of SA Water's billing system is planned for RD24 and RD28, SA Water suggested that the proposal to move to a 3-day meter reading window be considered as part of this review so that any resulting changes to the billing system and meter reading arrangements could occur in the same program.

SA Water advised that adopting 3-day attendance timelines would require a change so that a specific reading date is stored against each meter in the state. This could impact workloads in the following ways:

[131] Essential Services Commission of South Australia, *Enforcement Policy*, available at: https://www.escosa.sa.gov.au/approach/enforcement.

- the number of meter reading groups would likely need to increase to over 2,000
- the sequencing of new meters could result in reordering meters within groups and accommodating new groups, and
- with the addition of new meters and changing expectations, there will need to be a process and transition period to maintain meter reading dates from quarter to quarter while accommodating interruptions such as weather conditions.

Systems and processes would likely need to be reviewed and changed as follows:

- a change in planning to identify the number of meters that can be read per person per day
- strategies and responses to interruptions including weather conditions, meter reader availability
- determination of the cost (and pricing) implications of requiring meter reads to be completed in a smaller timeframe. The present timeframe allows a degree of flexibility and buffer to accommodate service interruptions. A smaller timeframe may mean additional resources need to be allocated to counter unplanned absenteeism and other unforeseen events.
- increased workload (for both contractor and SA Water) associated with:
  - Manually transferring the increased number of groups.
  - Sequencing of new meters could result in the reordering of meters within groups /addition of new groups.
  - Maintaining meter reading dates from quarter to quarter as they can change depending on weather conditions, addition of new meters.
- redesigning the billing system to reflect daily read schedules and storing of read dates at a meter level so that the information can be reflected on the bill
- automating processes to assist with the changed (and increased) workload of meter readers
- defining a process to change meter read dates while preserving the integrity of data flowing to the bill. As read dates provided on the bill are provided three months in advance of attendance, these can be impacted by unforeseen reading conditions or unplanned resource absences, and
- reviewing and potentially renegotiating contractual arrangements and terms with external contractors.

Meter reading practices in other industries

Within the national electricity market there are no formal requirements to undertake meter reading within a particular window of time.

In South Australia, basic meters (i.e. electricity meters that are not digital / smart meters) are read by the electricity distributor, SA Power Networks, which provides customers with an estimated day that their meter will be read. SA Power Networks website[132] advises that the actual meter read may be two business days prior to this date or one day afterwards. It also advises that there might be times where the dates vary due to bad weather, injury, and other unforeseen events. Customers are given the opportunity to sign up for reminders about when their meter will be read.

[132] Information available at https://www.sapowernetworks.com.au/your-power/billing/meter-reading/.

At a meeting to further discuss EWOSA's proposal, SA Water advised that it understood that SA Power Networks' meter reading system uses a cyclical schedule, which is different to the approach used by SA Water.

5.3.4.6 Final decision

After weighing the views of stakeholders and additional information provided by SA Water, the Commission confirms its position in respect of this component of the draft decision. The Commission has updated the provisions in the Code to provide improved clarity for SA Water on its obligations. The cost savings associated with making this change have been factored into the revenue caps that will apply for SAWRD24 (see Appendix 4).

The Commission considers that the opportunity for customers to organise alternative access to a meter or submit a self-read provides important protections against the likelihood of long periods of estimated meter reads. The Commission considers that these clauses are particularly important given SA Water's current practices of providing an up to 21-day notification period for meter reads and EWOSA's advice about cases where readings have occurred up to a fortnight outside this notified period.

The Commission considers that customers would be better served by SA Water adopting a shorter meter reading window. This would allow customers a more reasonable opportunity to plan for access such as restraining pets or unlocking gates.

The Commission acknowledges SA Water's advice that moving to a shorter meter reading window would require changes in business practices and possible additional costs.

While the Commission accepts SA Water's suggestion that new meter reading requirements may better be considered with upgrade of SA Water's billing system (scheduled between 2024 and 2032), the Commission encourages SA Water to consider whether there are any cost-effective short-term opportunities to reduce the meter reading window and provide customers with electronic reminders.

The Commission intends to consider this matter further for SAWRD28 and encourages SA Water to undertake further analysis on the impacts, costs and system changes that might be required and consider opportunities to engage with customers on this issue.

The Commission has not changed SA Water's existing obligation for it to use its best endeavours to undertake an actual meter read every 12 months. The Commission notes SA Water already attempts to undertake actual meter reads on a quarterly basis. The Commission considers that this practice, in conjunction with the opportunity for customers to undertake self-reads and the requirement for SA Water to offer customers opportunity to organise alternative meter reading access in certain circumstances helps to protect against long periods of estimated meter reads.

5.3.5 Flexible payment plans for all types of customers

The Code establishes a range of protections for customers experiencing payment difficulty, in particular, the opportunity to access flexible payment plans and be protected from debt recovery and restriction when adhering to the terms of that payment plan. Currently these protections only apply to residential customers.

5.3.5.1 Consultation on Issues Paper and SA Water's Regulatory Business Proposal

At a workshop on the Code, a CAC member suggested that the Commission review the protections that apply to businesses to ensure they are getting access to appropriate levels of hardship support.

5.3.5.2 Draft decision analysis

The Commission reviewed the protections that apply to non-residential customers in other jurisdictions. In Western Australia, Tasmania and Victoria payment plans are available to any type of customer, and any type of customer that is adhering to the terms of an agreed payment plan is protected from debt recovery. The Victorian Water Industry Standard also requires water entities to have a customer support policy that covers both residential customers and small business customers that are experiencing financial hardship.

SA Water advised the Commission that, for business customers facing financial challenges, it can offer support in the following ways:

- Extend the payment due date out to the date of the next bill due date.
- Offer a payment arrangement for up to six months, with set dates for incremental payments. This ensures that no further collection activity or fees are applied if the customer is meeting the agreed payments.

Extending the requirement to offer payment plans to all customers is likely to have some minor costs for SA Water associated with additional administrative costs for setting up the payment plans, possible delayed recovery of debt, and fees and charges that are not recoverable. These costs are likely to be outweighed by the benefits including potential for increased debt recovery and reduced costs associated with third party debt recovery practices and/or legal proceedings. There are also likely to be benefits for SA Water in terms of customer satisfaction and benefits for the participating customers in being able to manage payments in a way that suits their individual circumstances. The Commission notes that these costs and benefits are already accruing to SA Water, given its existing practice of offering flexible payment arrangements to non-residential customers on request.

5.3.5.3 Draft decision

Consistent with SA Water's current practices, the Commission's proposal in the draft decision was to amend clause 25.1 of the Code to require SA Water to offer and apply flexible payment plans to all types of customers who are experiencing payment difficulties. Consequential amendments were proposed for clauses 24.2 and 26.2.2, to protect non-residential customers from debt recovery and restriction of water services while adhering to the terms of an agreed payment plan.

5.3.5.4 Consultation on draft decision

The Commission received three submissions relating to this matter from SA Water, EWOSA and SAFRRA. All submissions supported the draft decision.

SA Water's submission noted that the proposal was aligned with current practice.

5.3.5.5 Final decision analysis

The Commission has further considered the set of customers for whom flexible payment plans should be available.

The Commission considers it important for small business customers, who are likely to be covered by standard terms and conditions for retail services (as referred to under section 36 of the *Water Industry Act 2012)*, to be extended the offer of flexible payment plans.

The Commission notes that non-residential customers on individual contracts (for example larger businesses) are more likely to have the ability and incentive to negotiate tariffs and payment arrangements on commercial terms, and hence less in need of mandatory consumer protections.

5.3.5.6 Final decision

The Commission's final decision is to amend clause 25.1 to require SA Water to offer and apply flexible payment plans for all customers who are covered by SA Water's standard terms and conditions for retail services. Consequential amendments will be made for clauses 24.2 and 26.2.2, to protect customers from debt recovery and restriction of water services while adhering to the terms of an agreed payment plan.

Given SA Water is already offering flexible payment plans to business customers, compliance with these requirements of the Code will apply from the start of the regulatory period of 1 July 2024.

5.3.6 Early identification of residential customers experiencing payment difficulty

Section 37 of the WI Act requires that the WI Minister's hardship policy set out processes to identify residential customers experiencing payment difficulties due to hardship, including identification by a water industry entity and self-identification by a residential customer.[133] The WI Act requires that SA Water adopt that policy or adopt it with modifications with the approval of the Commission.[134]

SA Water's policy states that:

> *'A residential customer experiencing financial hardship is someone who is identified by themselves, by us, by an accredited financial counsellor, or by a welfare agency as having the intention, but not the financial capacity, to make required payments in accordance with our payment terms'.*

SA Water's policy does not outline specific processes for early identification of residential customers experiencing payment difficulty.

5.3.6.1 Consultation on Issues Paper and SA Water's Regulatory Business Proposal

No matters were raised in consultation on the Issues Paper or SA Water's RBP on this issue.

5.3.6.2 Draft decision analysis

Since the Commission began collecting data on hardship in quarter one of 2014 -15, the number of customers in the hardship program has decreased in both metro and regional areas. At the same time, the average amount of bill debt for customers on the hardship program has increased (See Figures 5.1 and 5.2).

[133] Department for Human Services, *Hardship Policy for Residential Customers*, February 2013, available at: hardship-policy-for-customers-of-water-industry-entities.pdf (dhs.sa.gov.au).

[134] SA Water, *Hardship Policy for Residential Customers,* August 2018, available at hardshippolicy_0818.pdf (sawater.com.au).

Figure 5.1: Financial hardship indicators – metropolitan Adelaide

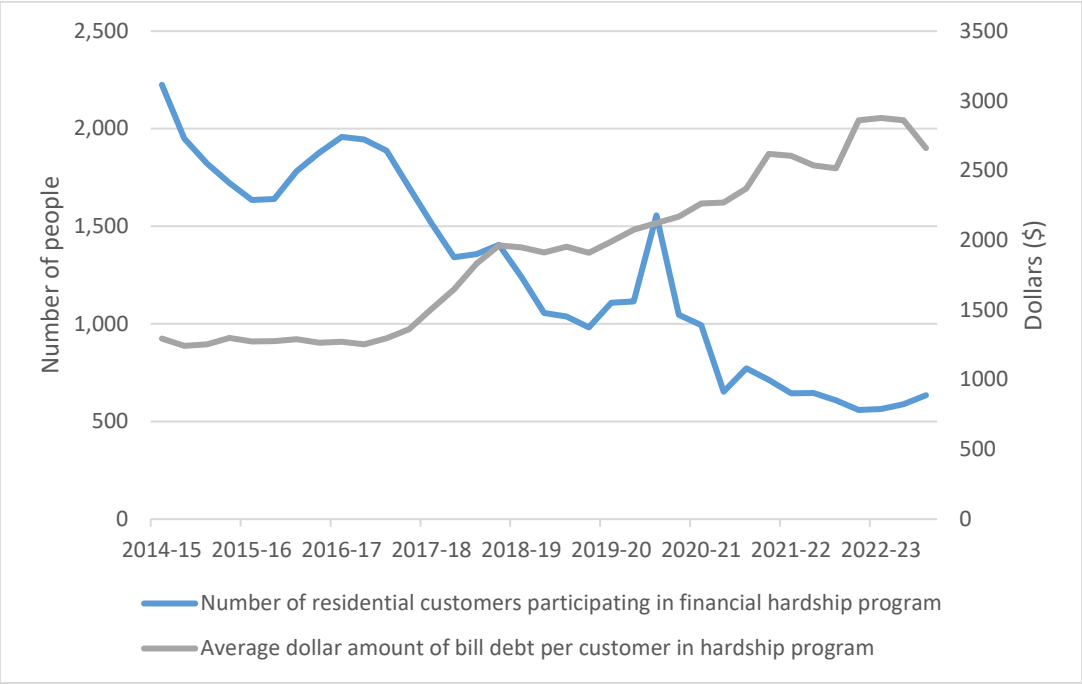
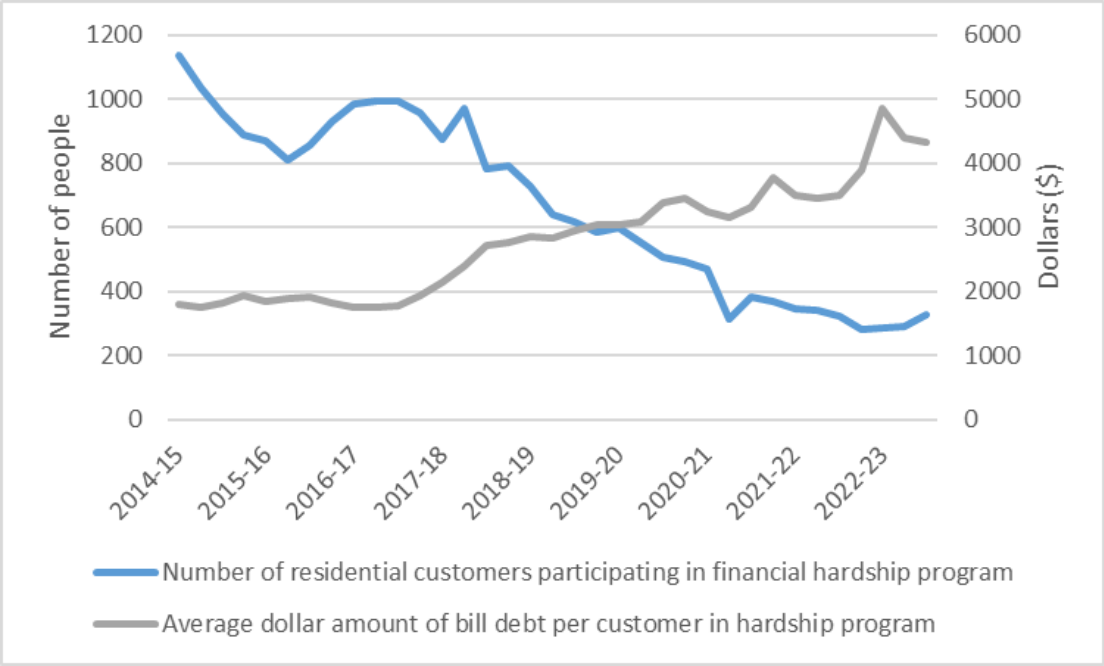


Figure 5.2: Financial hardship indicators – regional South Australia



The Commission sought further information from SA Water to better understand and consider the causes and drivers of increasing levels of average debt and decreasing participation in the hardship program. SA Water advised:

- In May 2020, it paused the process of restricting customers' water supply due to non-payment of outstanding debt. This saw a reduction in customers making proactive contact to talk through payment options to enable re-connection. This has tended to result in the customers most in hardship being entered into SA Water's hardship program. It has also been a contributing factor to the reduction in the number of customers participating in the Customer Assist Program.

- It ran a temporary Covid-19 assistance program in 2020-21, which attracted a number of customers with lower debt levels who might have otherwise entered the Customer Assist Program. These customers have not been included in reporting on average levels of bill debt for customers on the hardship program. Had they been included this would have lowered the average debt in the program.

To better understand SA Water's approach to the early identification of customers that might be experiencing payment difficulties, the Commission sought information from SA Water about policies and processes in relation to missed bill payments.

SA Water advised that it follows a recovery cycle for missed bill payments with the aim of engaging with the customer through several channels including mail, email, SMS, phone calls and site visits. If contact is made, it seeks to understand the customer's situation and offer assistance with an appropriate solution specifically tailored to their circumstances.

SA Water also provides information about payment assistance information on all bills and on its website.

SA Water has developed a predictive model tool using billing, payment, and other aggregated demographic data to identify residential customers who may be at increased risk of financial hardship. This allows tailoring the messaging for people depending on the level of financial hardship they may be experiencing.

SA Water advised that it commenced a new campaign in October 2023 to communicate with customers about the support available should they need help paying their bills through updated information on bills and social media advertisements.

The Commission reviewed the approaches of other jurisdictions in identifying customers who may be experiencing payment difficulties. For the water industry, economic regulators in Victoria, Western Australia and Tasmania require water entities to have policies and processes in place for early identification of customers experiencing payment difficulty or financial hardship.

For the energy industry, the Victorian economic regulator has introduced specific requirements on retailers to contact customers who have arrears of more than $55 to provide information about the payment and hardship assistance.[135] A review of those requirements was completed in 2022 and it was found that introduction of the requirements has led to more customers receiving appropriate assistance and fewer disconnections for non-payment.[136] The AER is reviewing implementation of the requirements that have been introduced in Victoria to decide whether to introduce a payment difficulty framework in the National Energy Customer Framework.[137]

Introducing new requirements around early identification of payment difficulty is likely to create some costs for SA Water in developing and implementing new procedures, including customer service costs associated with contacting customers that may be experiencing payment difficulties. These costs need to be weighed against the benefits, including the potential for improved debt recovery by SA Water. Affected customers are expected to benefit from being more aware of assistance available and improved ability to access payment arrangements that suit their individual circumstances.

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[135] Essential Services Commission of Victoria, *Energy Retail Code of Practice*, pp. 1-161, available at www.esc.vic.gov.au/electricity-and-gas/codes-guidelines-and-policies/energy-retail-code-practice.

[136] Essential Services Commission of Victoria, *Payment Difficulty Framework Implementation Review 2021*, available at www.esc.vic.gov.au/electricity-and-gas/inquiries-studies-and-reviews/payment-difficulty-framework-implementation-review-2021.

[137] Australian Energy Regulator, *Towards energy equity – a strategy for an inclusive energy market*, 20 October 2022, available at www.aer.gov.au/industry/registers/resources/reviews/towards-energy-equity-strategy-inclusive-energy-market.

5.3.6.3 Draft decision

The Commission noted its concerns that the current hardship arrangements do not appear to be preventing debt escalation. The Commission outlined its view that earlier intervention to establish manageable payment arrangements when a customer has a low level of debt is likely to provide better outcomes for both the customer and SA Water.

The Commission's proposal in the draft decision was to require SA Water to establish policies and processes for early identification of residential customers who may be experiencing payment difficulties and a requirement for it to employ best endeavours to contact these customers to provide information about the available assistance.

5.3.6.4 Consultation on draft decision

The Commission received six submissions relating to this matter from EWOSA, SAFRRA, Anglicare, SACOSS, Uniting Communities and SA Water.

The Commission's proposals were supported by EWOSA, SAFRRA, Anglicare, SACOSS and Uniting Communities. SA Water's submission indicated that it conditionally supported the proposals and noted ongoing operational costs associated with the proposal.

SA Water advised that its current process is to mail reminder notices once an account reaches 29 days without payment and is over $74.20 in arrears. This is followed by a demand notice for accounts still in arrears on day 51. Both notices include information on SA Water's Payment Assistance Program alongside the request for payment. For customers where SA Water has a registered mobile number, proactive SMS notifications are also sent on day 30 to accounts in arrears over $50.

SA Water advised that current staff resources only enable limited contact with customers with older and larger outstanding debt. An additional 3.8 FTE at an annual operating cost of approximately $317,000 would enable SA Water to proactively contact customers with between $50-$150 of debt outstanding, currently approximately 6900 customers per quarter.

SA Water advised that analytics to understand customer hardship has enabled better messaging including tailored information tiles on customer bills, targeted digital advertising, social media and website information, brochures, face to face engagement and collaboration with stakeholders who connect with at-risk communities. The MySAWater customer portal now allows customers to set up payment arrangements online, with a path to personalised help via phone call or webform. SA Water advised that evaluation of these activities was still underway but early analysis indicates a significant increase in customer awareness of payment support options, and more customers seeking support with the SA Water Payment Assistance program compared with the same period last year.

SACOSS stated that it considered SA Water should be able to identify customers in the early stages of payment difficulty through an analysis of debt and late bill payment patterns. It considered that this requirement aligned with the requirements of clause 25.1.1 of the Code:

> *'A retailer must offer and apply flexible payment plans in accordance with this clause, as soon as is reasonably practicable, for residential customers experiencing payment difficulties if the customer informs the retailer in writing, by telephone or in person by attending the retailer's office that the customer is experiencing payment difficulties* ***or the retailer otherwise believes the residential customer is experiencing repeated difficulties in paying the customer's bill or requires payment assistance****.'* [emphasis added]

Uniting Communities considered it was not clear whether or how the obligation would apply to all consumers, including residential tenants. It considered that the process would benefit many tenants experiencing financial hardship, however it would be imperative that SA Water communicate directly with the "consumer" to address their needs and to provide the necessary support.

Anglicare noted that people with a disability are twice as likely to be unemployed compared to those without a disability. It noted that people who are able to work are often underemployed and may need to take more time off due to their disability. It noted that for those individuals caring for a person with a disability, this can have a significant impact on their ability to engage in paid employment, or their ability to work full time hours is severely compromised. Anglicare requested that SA Water specifically consider these two types of customers in their policy development.

5.3.6.5 Final decision analysis

Scope of requirement

Uniting Communities has sought clarity on to whom the requirement is intended to apply.

The Commission intends for this requirement to apply to 'customers' rather than 'consumers'. As outlined in section 5.3.1, SA Water bills property owners (customers), rather than occupants (consumers) for its water and wastewater services. Therefore, any interaction SA Water might initiate relating to payment difficulty would be with the customer.

Costs for SA Water

The Commission accepts SA Water's advice that implementing the new requirement will require additional staff resources. The cost estimates provided by SA Water appear reasonable given the number of customers in bill debt each quarter.

The Commission notes that these costs may be offset by improved debt recovery; however, acknowledges that the extent of improved debt recovery is difficult to estimate at this time.

5.3.6.6 Final decision

Following consideration of submissions received and for the reasons stated above, the Commission confirms its position in respect of this component of the draft decision to require SA Water to establish policies and processes for early identification of residential customers who may be experiencing payment difficulties and for it to employ best endeavours to contact these customers to provide information about the available assistance.

Compliance with the Code requirements for this matter is required by 1 January 2025.

Costs associated with implementing this new provision have been factored into the revenue caps that will apply for SAWRD24 (see Appendix 4).

5.3.7 Expanded use of SMS messages

SA Water's engagement demonstrated strong demand from customers for SA Water to communicate by SMS.[138] This is recognised by SA Water, which uses a digital preference management system to allow customers to opt-in to receiving a range of communications by SMS and email.

Where a customer has opted in, SA Water will use SMS to acknowledge requests (such as fault reports), to communicate about supply outages (including notification of outages and restoration both to customers and other consumers including tenants), for billing and payment reminders (including for overdue payments, payment plan instalments, and demand notices), to advise when communications sent by email have failed, and for some functions related to its digital customer interface MySAWater (including multi-factor identification and confirmation of change of details).

[138] SA Water, *Regulatory Business Plan 2024-28,* Appendix 4.3, p. 6, available at: Appendix-4.2-RD24-Engagement-Phase-1-Report_Final.pdf (sawater.com.au).

Current Code provisions enable use of SMS for direct written communications. Clause 4.1 compels SA Water to use the customer's reasonable preferred form of communication, if one has been nominated, to send a document, bill, or notice, to other forms of direct written communication.

5.3.7.1 Matters raised in consultation

SA Water's engagement demonstrated the strong demand for SA Water to communicate by SMS, particularly for time-critical matters such as supply outages and overdue bills.

SA Water's research found that customers are interested in setting bill reminders, being able to control contact preferences and want to be contacted by SMS for most communications from SA Water.[139] SA Water's service standard review customer research found that expanding use of SMS communications is an area of opportunity for improving the customer experience. It suggested proactive communications to acknowledge requests, select appointment times, and provide regular updates.[140]

SA Water did not propose changes to the Code to support expanded use of SMS messaging, or specific service standards for SMS messages. It has not put forward any specific operating expenditure for expanding use of SMS communications, although it does include proposed expenditure for migrating the CRM to a new platform.[141] Functions of the CRM include recording customer contact details and communication preferences and generating customer notifications.

5.3.7.2 Draft decision analysis

SA Water's research demonstrates that there is potential to expand use of SMS to improve customer satisfaction. There is the potential to use SMS as an alternative channel for receiving notices, and to use it to communicate more often and more effectively. For example, proactive use of SMS messages during a service interruption may negate the need for a customer to call the faults and emergencies phone line and build trust that SA Water is managing the issue. There is the potential to use SMS to improve communications with consumers that are not customers (including tenants).

One barrier to expanding use of SMS is that SA Water only has mobile phone numbers or email addresses for one-third of its residential customers. Mobile phone numbers are not included with the customer (property owner) information SA Water receives from the South Australian Integrated Land Information System. SA Water obtains mobile numbers by asking customers to provide them when they contact the call centre or when they register with MySAWater. There are privacy limitations around the potential to use public information like Sensis databases to obtain mobile numbers.

A further consideration in expanding use of SMS messages is cost. Use of SMS has the potential to reduce operating costs by avoiding the need to print and post hard copy communications and reduce the number of calls made to the contact centre. Use of SMS may also improve customer's understanding about their SA Water services and account, and so avoid the cost of future misunderstandings or disputes.

SA Water has advised that, while SMS can reduce operating costs, this is not always the case. For example, SMS unplanned outage notifications provide direct communication to customers which would not have been proactively communicated to customers previously. In this instance, customers would access this information through the SA Water website or the interactive voice response system in the call centre. Providing SMS notifications involves an additional incremental cost to what SA Water would normally incur in making changes to the website and interactive voice response system.

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[139] SA Water, *Regulatory Business Plan 2024-28*, Appendix 4.2, p. 6.
[140] McGregor T, *SA Water Service Standards Review*, Report prepared for SA Water, January 2022, pp. 1-116.
[141] SA Water, *Regulatory Business Plan 2024-28*, pp. 184-185.

5.3.7.3 Draft decision

SA Water understands the importance and potential of SMS messaging and is working to expand its use. In recognition of the work currently being undertaken by SA Water to expand use of SMS communications, the Commission's draft decision was not to establish minimum requirements in relation to SMS communication through the Code. The Commission encouraged SA Water to continue expanding uptake and usage within its operating expenditure determination.

The Commission determined to make a minor change to the Code at clause 16.3.1 to recognise and support use of SMS messages when providing information about interruptions.

- Information about interruptions not limited to 24-hour phone service – clause 16.3.1

  Currently, this clause requires SA Water to provide a 24-hour emergency telephone service for providing information about interruptions and for notification of faults and emergencies. The draft decision was to change this clause to 'a communications system that includes but is not limited to a 24-hour emergency telephone system'. This recognises that SA Water already uses other methods of communication to provide information about interruptions including updates on its website and SMS notifications.

5.3.7.4 Consultation on draft decision

The Commission received two submissions that addressed the use of SMS, from SA Water and Anglicare.

SA Water's submission claimed that its ability to extend use of SMS during SAWRD24 will be limited by the operational expenditure efficiencies set out in the Commission's draft regulatory determination.[142]

SA Water requested a minor wording change to clause 16.3.1 of the Code (information about interruptions).[143]

Anglicare's submission noted the importance of having multiple communication channels, including paper and electronic options, for improving accessibility.[144]

5.3.7.5 Final decision analysis

Use of SMS for emergency communications alongside 24-hour emergency telephone service

The current Code requires SA Water to provide a 24-hour emergency telephone service to enable customers to access information about interruptions and for notification of emergencies and faults (at clause 16.3.1).

The proposal in the draft decision was to expand this to require SA Water to 'provide a communications system that includes, but is not limited to,' a 24-hour emergency telephone service to enable customers to access information about interruptions and for notification of emergencies and faults (at clause 16.3.1). This reflects SA Water's current practice of using a number of different communication channels, including SMS and its website, for providing and receiving information about interruptions. As discussed in section 5.3.1.6, the requirements in clause 16.3.1 have been updated to ensure that this service is available to consumers as well as customers.

SA Water suggested a further change to this clause, to require SA Water to provide a '24-hour emergency communications system that includes but is not limited to a telephone service'.[145] This

[142] SA Water, *Submission to Draft Water Retail Code*, pp. 8-9.
[143] Ibid, p. 9.
[144] Anglicare, *Submission to Draft Regulatory Determination,* p. 2.
[145] SA Water, *Submission to Draft Water Retail Code*, p. 9.

change moves the requirement about 24-hour provision from the telephone service to the overall communication system.

It is critical for SA Water to provide and receive information about interruptions 24-hours a day, through a range of communication channels. In relation to faults and emergencies, telephone remains the only communication option for customers with low mobile phone or internet literacy or who do not have access to the internet. Further, customers who usually have access to and use the internet may not do so during an emergency.

The Commission does not accept SA Water's suggestion to replace the reference to a '24-hour telephone service' with a '24-hour emergency communications system that includes but is not limited to a telephone service'. The Commission requires SA Water to provide a 24-hour telephone service; SA Water's suggestion would make this requirement less clear.

5.3.7.6 Final decision

Following consideration of submissions and for the reasons stated above, the Commission confirms its position in respect of this component of the draft decision.

The Commission encourages SA Water to identify opportunities to extend use of SMS during SAWRD24 whilst staying within its operating expenditure determination.

5.3.8 Protections for people experiencing family violence

Family violence[146] refers to any behaviour that is violent, threatening, controlling, or intended to make someone or their family feel scared and unsafe.[147] Family violence is prevalent in Australia with national statistics showing that one in four women experience violence by an intimate partner or family member, while for men it is one in 14.[148]

Perpetrators of family violence may exploit essential services to control victim-survivors, affect their financial security, perpetuate psychological abuse, and potentially cause injury or death. Common examples of the ways perpetrators can use essential services to cause harm include:

- insisting an account is in a victim-survivor's name and refusing to contribute to the cost, resulting in victim-survivors being forced to bear the financial cost of utilities to ensure ongoing access to services
- putting a service in the name of the victim-survivor without their knowledge or consent
- holding a joint account with the victim-survivor and refusing to contribute to the cost, and

[146] The *Intervention Orders (Prevention of Abuse) Act 2009* defines abuse (domestic and non-domestic) as taking many forms including physical, sexual, emotional, psychological, or economic abuse. This includes physical injury, emotional or psychological harm, and unreasonable and non-consensual denial of financial, social, or personal autonomy.

[147] Domestic and family violence can occur in a range of relationships, including between current and former partners or spouses, parent/carer-child relationships, and relationships between siblings and extended family members. Services Australia, *What is family and domestic violence*, available at https://www.servicesaustralia.gov.au/what-family-and-domestic-violence?context=60033, and Safe and Equal, *Guidelines for Better Practice Responses to Family Violence for the Essential Services Commission and essential service providers*, May 2022, pp. 1-14, available at: www.esc.vic.gov.au/sites/default/files/documents/Part%20B%20-%20Guidelines%20for%20Better%20Practice%20Responses%20to%20Victim%20Survivors%20of%20Family%20Violence.pdf.

[148] Australian Bureau of Statistics, *Personal Safety statistics 2021-22*, available at Personal Safety, Australia, 2021-22 financial year | Australian Bureau of Statistics (abs.gov.au).

- threatening the victim-survivor's personal safety by accessing their personal information held by the essential services provider. [149]

For SAWRD20, the Commission's final decision was not to introduce new protections but instead encourage SA Water to adopt a family violence policy with similar features to those employed by regulated entities in other jurisdictions.

The Commission has reviewed its position on this matter as part of the draft decision for SAWRD24. The Commission published an Issues Paper in June 2023 seeking feedback on whether new protections should be implemented for those experiencing family violence to ensure that they are able to continue to access water retail services and the potential costs and benefits. [150]

In the paper, the Commission provided examples of protections implemented in other jurisdictions, including requiring essential services providers to:

- develop, implement, and regularly review a family violence policy for customers and staff
- provide training to customer service staff to help them detect and assist impacted customers
- adopt processes that avoid impacted customers from repeat disclosures of family violence or providing evidence
- securely handle customer information and prioritise the safety of impacted customers
- specify their approach to debt management and recovery, and
- provide information on external family violence services that can be accessed for support.

5.3.8.1 Consultation on Issues Paper and SA Water's Regulatory Business Proposal

Five written submissions to the Issues Paper were received from EWOSA, SACOSS, SA Water, Zahra Foundation Australia (ZFA) and the South Australian Federation of Residents and Ratepayers Associations (SAFRRA). The CAC, Uniting Communities Financial Wellbeing Services (FWS), and the Office for Women SA (OFW) provided verbal feedback.

Consultation indicated strong stakeholder support for introducing new family violence protections, with stakeholders considering that the benefits outweigh the potential costs. In its submission, EWOSA noted that the benefits to affected customers would be substantial and potentially lifesaving.

Staff training

Stakeholders supported ongoing training for SA Water staff. Stakeholders noted that customer outcomes are currently inconsistent. Uniting Communities FWS in consultation recommended that having caseworkers trained and experienced in supporting victim-survivors of family violence would improve consistency, reduce trauma, and provide affected customers with better support. It noted that if a retailer presents to a customer in an assertive manner, it could trigger the customer and cause them more anxiety.

[149] Victorian Government, *Royal Commission into Family Violence Summary and Recommendations,* 2016, p. 104, available at www.google.com/url?sa=t&rct=j&q=&esrc=s&source=web&cd=&cad=rja&uact=8&ved=2ahUKEwirr5HagbD-AhW17zgGHQHYDcYQFnoECA8QAQ&url=http%3A%2F%2Frcfv.archive.royalcommission.vic.gov.au%2FReport-Recommendations.html&usg=AOvVaw3IipSO7Jvt14oEfOx2nRAu.

[150] Essential Services Commission of South Australia, *Water retail code and monitoring and evaluating performance framework Issues Paper*, pp. 1-17.

The OFW noted the risk of further victimisation and causing harm to the customer if staff do not receive specialist domestic and family violence training. Untrained staff may also experience vicarious trauma, which refers to the impact caused by engaging with survivors of traumatic incidents. The OFW encouraged the uptake of already established family violence training, such as the Women's Safety Services SA disclosure training, which helps people navigate conversations in scenarios where the customer discloses family violence and where the employee notices family violence, but the customer does not disclose it.[151]

Referrals

ZFA supported family violence referrals being provided to impacted customers. It noted that customers are often unaware of the support available to them, and SA Water staff may detect impacted customers before the customer has recognised it themselves. Hence, early identification and the provision of relevant, timely information about referral services can help customers seek support.

The OFW supported SA Water publishing contact numbers of the national and state family violence helplines, men's referral service, and information about the escaping violence payment.

Debt management

Stakeholders supported SA Water identifying options to manage and recover debt and acknowledged that debt management processes should not create a barrier to support for victim-survivors.

ZFA and the OFW noted that some women do not leave violent relationships and households due to the fear of being unable to cope financially. ZFA highlighted the significant benefits its clients have experienced from receiving assistance from essential services providers to manage or waive debt. These benefits include reduced distress and financial hardship and restored financial control and well-being.

The OFW noted that debt management options should give victim-survivors the best opportunity to recover, heal and thrive. Given that victim-survivors face significant financial burdens to re-establish themselves, secure housing, and care for children after escaping a violent home, a utility's debt management response should not further financially disadvantage them.

Confidentiality

Uniting Communities FWS flagged confidentiality as a key issue and noted that its clients fear perpetrators being sent letters and correspondence by mistake, data being leaked, or retailers knowing about their experience.

The OFW noted SA Water should consider that some victim-survivors may not feel comfortable or safe sharing their details over the phone. It noted that SA Water should be prepared to communicate with customers in situations where their phone calls and emails could be monitored. It noted that in cases where the victim-survivor is in the family home and the perpetrator has left, it can be challenging to have the perpetrator's name removed from the account. If the victim-survivor has left the family home, it can be difficult to get their name removed from the account and prohibit the perpetrator's access to their details. The OFW supported processes that allow joint accountholders to easily request amending or removing their details.

[151] Training provided by Women's Safety Services SA includes training on conversations on family violence, responding to disclosures in the workplace, risk assessment and safety management, work-related stress, and vicarious trauma, understanding coercive control, and strangulation awareness and response training. More information available at: https://womenssafetyservices.com.au/training/.

Other matters

Stakeholders including ZFA, OFW, and Uniting Communities FWS recommended the Code recognise family violence as an explicit eligibility criterion for hardship support. Stakeholders supported SA Water establishing a specific phone number and email for customers experiencing family violence to access support. The OFW noted timeliness of response as a critical consideration, noting that some victim-survivors may call the utility when the perpetrator has left the home for short periods of time, such as running errands or attending work. In this case, they wouldn't be able to wait for extended periods on the phone to speak to the utility. The OFW recommended that SA Water's website should publish information on financial abuse, signs of abuse and where people can access help, dispute resolution options, and concessions.

Regulators in other jurisdictions noted concerns about some electricity retailers falsely advising customers to use their domestic and family violence government grants or payments to pay their debt. SACOSS recommended the Commission introduce appropriate monitoring and reporting requirements to ensure compliance.

5.3.8.2 Draft decision analysis

Currently, SA Water offers payment arrangements and entry into the Customer Assist Program, if needed, upon disclosing family violence. This provides a referral to Financial Counselling services along with protection from further debt collection activities.

To protect privacy, a customer can apply for name suppression, which suppresses their details from the results of a name search carried out on Land Titles Office (LTO) land information systems and any 'downstream' systems which contain data from the Land Ownership and Tenure System (LOTS).

In consultation with Commission staff, SA Water advised that, once a request is granted, SA Water can see a name suppression flag on the account and will apply a four-point identification requirement. The Commission notes that screening questions to confirm identification should be carefully designed to ensure that persons close to the victim-survivor cannot bypass the screening. For example, a domestic partner may know basic personal information such as date of birth, email address and mother's maiden name.

SA Water advised that if the person is unable to confirm their identity, they can provide their name suppression ID as verification. SA Water may confirm the ID with the LTO before engaging with the person.

SA Water noted that it does not collect or maintain data on the number of customers experiencing family violence and that its hardship customer data is broad. If the account holder consents, it can make general notes on the account to notify customer service staff, which could minimise repeat disclosures.

SA Water also advised that a joint account holder can update their personal details on the account without the other person knowing. However, bills and notices are sent to the advised nominated address and not to two separate addresses.

SA Water noted in its submission that it has a family violence leave policy for staff, and it undertook staff training in 2019 and 2020 to support this. It noted that its role as a founding partner of the Thriving Communities Partnership (a nationwide cross-sector collaboration) provides access to extensive documentation and expert knowledge on family violence.

Feedback received from Uniting Communities FWS and ZFA highlight the need for consistent outcomes for customers experiencing family violence. Uniting Communities FWS in discussions noted that SA Water is usually respectful of its assessments in relation to the customer's experience of family violence.

ZFA provided a case study about a client, who was fleeing family violence and returned to a debt with SA Water. A ZFA financial counsellor emailed SA Water but did not receive a response. The impacted customer continued receiving phone calls from SA Water requesting payment. ZFA noted that, '*she explained her situation to SA Water and whilst they were supportive, '…they did not truly listen' and continued to demand payment.*'[152] The counsellor was eventually able to set up a payment plan to repay the debt.

Experiences in other jurisdictions

Economic regulators in other jurisdictions have advised the Commission that family violence provisions are working effectively to assist impacted customers access essential services.

A recent review[153] into the implementation of the Water Industry Standards family violence provisions by the Essential Services Commission of Victoria (**ESCV**) found that, overall, customers have benefitted from family violence protections. Stakeholders shared a number of examples of good customer experiences, and reflections on positive and supportive responses from water business staff.[154] The review found that family violence provisions remain appropriate and set a consistent minimum standard of protection for all customers and encourage businesses to develop their own flexible responses to meet individual customer needs.

Feedback from retailers on protections proposed in other jurisdictions noted practical issues in relation to protecting customer information and ensuring regional and remote customers could safely access family violence protections. Some utilities noted potential challenges with ensuring customers could access a single point of entry considering employee planned/unplanned leave and about navigating software changes.

Potential costs and considerations

The Commission considers the costs of SA Water implementing family violence provisions may include:

- ongoing training costs
- costs of improving systems and processes to improve account security
- costs of administering hardship support
- costs associated with sending separate or additional copies of bills to joint account holders, and
- costs of managing and recovering debt.

SA Water advised of potential challenges in managing debt for joint accounts and legal considerations.

Economic regulators in other jurisdictions have advised that cost was not raised as a concern or barrier to implementation for the entities they regulate. They considered the range of costs for utilities not acting, including potential dispute resolution costs. It was noted that the cost of implementing family violence provisions for retailers is minor compared to the cost of complying with other regulatory obligations.

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[152] Zahra Foundation Australia, *Submission on the Issues Paper*, August 2023, p. 2, available at: www.escosa.sa.gov.au/ArticleDocuments/21971/20230807-Water-SAWRD24-RetailCodeMEPF-IssuesPaperSubmisison-ZAHRA.pdf.aspx?Embed=Y.

[153] The review examined the effectiveness of the family violence provisions five years after they took effect on 1 July 2017. See Essential Services Commission of Victoria, *Water Industry Standards Family Violence Provisions Review,* July 2023, pp. 1-73, available at https://www.esc.vic.gov.au/sites/default/files/documents/Water%20Industry%20Standards%20Family%20Violence%20Review%20Findings%20Report%2020%20July%202023.pdf.

To support with early implementation, economic regulators promoted low-cost family violence training providers and hosted forums to help businesses engage with service providers to better understand family violence impacts.

Monitoring, evaluation, and compliance

Economic regulators in other jurisdictions have adopted a flexible approach to enforcing compliance during early implementation. This included providing a lead-in time of six to 12 months, taking stricter compliance action following that period. During the lead time, economic regulators consulted with retailers to resolve any operational or practical difficulties.

Economic regulators did not create mandatory reporting metrics or indicators at the time of implementation. Breaches were highlighted through the economic regulators' enquiries line, reports from the industry Ombudsman, the media, and high-level audits of family violence Code requirements. More recently, economic regulators have been developing reporting requirements to strengthen entities' obligations to self-report non-compliance.

Most notably, the AER sought feedback on proposed new reporting metrics, such as the total number of customers who identify as affected by family violence, total number of customers identified as being affected by family violence during the reporting period and the total number of customers identified as no longer affected by family violence during the reporting period.[155]

5.3.8.3 Draft decision

The Commission considers that essential service providers have a responsibility to assist consumers to continue to access services while experiencing family violence. Family violence protections are aligned with that responsibility and are backed by community expectations.

The Commissions' proposal in the draft decision was to introduce new clauses in the Code that create conduct and policy requirements for SA Water in relation to:

- having and implementing a family violence policy for customers, with provisions for periodic review
- ensuring training is provided to relevant staff to help them detect and assist impacted customers
- adopting processes that avoid impacted customers from repeat disclosures of family violence or providing evidence
- ensuring confidential information of the impacted customer is securely handled and account security processes prioritise the safety of impacted customers
- specifying its approach to debt management and recovery, and
- providing information on external family violence services that can be accessed for support.

To provide sufficient time for SA Water to establish systems and processes for implementation, the Commission proposed a family violence policy that covers each of the matters outlined above must be in place by 30 June 2025. It further recommended that SA Water should consult widely in the preparation of the policy.

[155] Australian Energy Regulator, *Retail performance reporting procedures and guidelines (2024 update)*, July 2023, available at www.aer.gov.au/retail-markets/guidelines-reviews/retail-performance-reporting-procedures-and-guidelines-2023-update.

Implementation support

To support SA Water's early implementation of the new Code requirements, the Commission indicated it intended to offer to coordinate an information session for relevant SA Water staff. The session would include presentations from victim-survivor advocates, regulators, and utilities from other jurisdictions to share learnings and best practice approaches. The Commission would also identify and share information on resources that SA Water could utilise.

The Commission would also offer an information session to inform relevant stakeholders (financial counselling organisations, family violence service providers, and EWOSA) about the application of new family violence protections and work with them to stay informed about customers' concerns and issues.

Monitoring, evaluation, and compliance

From 1 July 2025, family violence obligations were proposed to be treated as a Type 1 regulatory obligation in the Water Industry Guideline No 1 Compliance Systems and Reporting – Major Retailers (Guideline 1). Type 1 obligations are identified as being of such importance that a breach of one give rise to an immediate requirement to provide to the Commission a Material Breach Compliance Report in accordance with clause 3.2 of Guideline 1.

The Commission indicated its intention to undertake a compliance review after the first 12 months of implementation, to assess whether SA Water has established processes and a policy to assist impacted customers. The Commission would also work with stakeholders such as financial counselling organisations and EWOSA to understand any concerns or complaints.

The Commission decided not to establish reporting indicators in the Code or the Water Industry Guideline No. 2 Regulatory Information Requirements – Major Retailers (Guideline 2) at this time. Given the sensitive nature of family violence, the Commission decided to improve its understanding of the safest and most useful approach to collecting data on family violence before introducing mandatory reporting indicators. The Commission indicated it would work closely with stakeholders, SA Water and other regulators during SAWRD24 to understand and determine the best approach to collecting and using family violence data.

5.3.8.4 Consultation on draft decision

The Commission received seven submissions on this matter from EWOSA, SACOSS, SAFRRA, Anglicare, Uniting Communities, the Customer Challenge Group (CCG) and SA Water.

EWOSA, SACOSS, SAFRRA, Anglicare and Uniting Communities expressed strong support for the proposed family violence protections.

EWOSA suggested a timeframe of nine months for SA Water to implement protections.[156]

Uniting Communities noted that it was unclear how protections would be applied to tenants.

The CCG did not consider that the initiative fits within SA Water's remit. It considered that there are South Australian Government departments better suited to developing an overarching Government approach and advising SA Water on how it could comply.

SA Water stated that it welcomed additional protections for customers experiencing family violence. It noted it has commenced work to understand best practice via peers in other jurisdictions, such as the Water Services Association of Australia (WSAA) and the Thriving Communities Partnership (TCP). It

[156] Energy and Water Ombudsman South Australia, *Submission to Draft Regulatory Determination*, p. 3.

acknowledged an opportunity to partner with the TCP on the 'One Stop One Story Hub', which enables cross-sector referrals for customers experiencing vulnerability.

SA Water indicated that, based on the experience of entities in other jurisdictions, providing protections to customers who both have and have not disclosed family violence would be a key focus.

SA Water advised of several technology projects that would support it to implement the family violence protections. These include:

- Customer Data Assess and Remedy – this project seeks to identify the locations of sensitive customer data across all SA Water systems and reporting platforms and provide recommendations on how to improve the management of customer data. Delivery was scheduled for April 2024.
- Data Management Program – this project will introduce a data platform to improve reporting and analytics outcomes, as well as improving data governance practices. The initial stage of this program to implement this platform will run to June 2024, with subsequent phases running into the next regulatory period.
- Multi Factor Authentication – this project will improve the security of customer access to the SA Water online portal, with delivery anticipated for June 2024.
- Records Management System Implementation – this involves the implementation of software to automatically detect and classify sensitive data within SA Water documents. It will also assist with the management and disposal process for sensitive customer documents and will run to October 2024.

SA Water provided a high-level assessment of the cost and timeframes for policy development, risk assessment, process and system change and staff training as summarised below.

- Policy development (draft policy by 1 July 2025; staged process design by 2027): $360,000 operating expenditure (once off)
- System changes (implemented by 2026-27): $1.9 million capital expenditure (once off) and $100,000 operating expenditure (ongoing)
- Resourcing of 3.0 FTE: $324,300 operating expenditure (ongoing)
- Training (delivered by 1 July 2025): $170,000 operating expenditure (once off) and $30,000 operating expenditure (ongoing).

SA Water advised that it need to undertake significant analysis to understand the policy, process, system, and people changes necessary to implement protections. It advised that it cannot deliver the required system changes by July 2025 and suggested that implementation dates be removed from the Code. SA Water noted it would like to discuss public information about the specific circumstances where debt will be suspended or waived.

5.3.8.5 Final decision analysis

Implementation costs

SA Water provided high-level information about estimated costs of system changes, noting that it needs to undertake a detailed scoping process to determine actual costs. SA Water proposed establishment costs of $1.9 million and ongoing costs of $100,000.

SA Water advised that these are additional costs to deliver system changes to implement protections, such as limiting access to sensitive information and securing accounts. It advised that, in some cases, it can build changes into systems that are due for replacement later in the regulatory period. It advised

that there would be cost savings if implementation was delayed until the replacement of core systems, which is scheduled to be delivered by 2032.

The Commission acknowledges and has had regard to the fact that there may be costs associated with the system changes to secure customer information. Based on the level of information available, the Commission has not been able to undertake an efficiency assessment on SA Water's estimates for system costs.

The Commission considers that many of the system changes identified are likely to enable improved account security for all customers, not just customers experiencing family violence. As such the marginal cost to implement family violence requirements are not likely to be large.

It is noted that Hunter Water in New South Wales has advised that, in its experience, the costs of system upgrades related to family violence provisions have been incremental compared to larger costs for upgrades to improve overall customer experience.[157] The Commission is unclear to what extent SA Water's planned system changes for all customers can assist in implementing account security provisions.

Regarding staff resourcing, SA Water has proposed 3.0 FTE additional resources at an ongoing cost of $324,300.

This estimate appears high in comparison to the Commissions' understanding of experiences of water entities in other jurisdictions. Hunter Water advised that it has a 3.6 FTE customer assistance team that manages all customer support, including debt management, assistance for different types of vulnerability, hardship assistance and family violence assistance.[158]

Sydney Water, which has a larger customer base than SA Water, advised that its customer care team of eight staff manage all aspects of customer service, including hardship assistance and family violence.[159] Sydney Water advised the Commission that on average, it provides family violence related assistance to 10-12 customers per month.[160]

Based on the experiences of these two entities, the Commission does not accept SA Water's estimated ongoing resource needs and considers costs for an additional 1 FTE to be efficient and/or required to implement and maintain the proposed Code obligations.

Technological and system changes to enable account security

SA Water advised that it is working on ways to secure customer data more broadly, including locking down accounts.[161]

SA Water advised that it has multiple systems containing customer data. While several of these systems are integrated, some are not. SA Water advised it would need to consider the factors related to system changes, such as flagging and limiting access to customer records and integration of flags across downstream locations. The Commission notes that submission but also notes SA Water's submission in relation to its Wider World program, in which it suggested that it could apply flags to customer data within its existing systems.

[157] Information provided by Hunter Water staff during a discussion held on 5 April 2024.
[158] Ibid.
[159] Information provided by Sydney Water staff during a discussion held on 4 April 2024.
[160] Ibid.
[161] Information provided by SA Water during a meeting with Commission staff held on 4 April 2024.

Public information on debt management

In its submission, SA Water noted that it would like to discuss the Commission's expectations regarding the public information SA Water provides about the specific circumstances where debt will be suspended of waived.

The Commission's intention with the draft decision was for SA Water to internally consider and specify its approach to debt management and recovery.

In relation to information publicly available, SA Water is expected to publish information on support available to customers and how customers can access this support. SA Water can discuss specific debt management solutions with customers on a case-by-case basis.

Implementation timeframe

SA Water advised in its submission that it could not implement protections by 1 July 2025 and may need up to two additional years to complete system changes. This would equate to a total implementation timeframe of up to three years. In contrast, EWOSA suggested a shorter implementation timeframe than that proposed by the Commission, of 9 months.

SA Water advised that current technology projects, due to be completed in October 2024, would deliver outcomes that support elements of the proposed family violence provisions and customer protections generally, but would not address the broader process, people and system changes required to implement the provisions.

Regulators in other jurisdictions have provided between 12 and 15 months for implementation.

For example, the ESCV announced the new family violence obligations for water retailers in July 2017, with the expectation for businesses to fully implement the provision from late June 2018. The ESCV provided energy retailers seven months for implementation. The AEMC also provided electricity retailers with a seven-month timeframe for implementation.

The ERA in Western Australia released its final decision on family violence obligations for electricity retailers in December 2022, with the new obligations coming into effect from February 2023. The Commission understands that affected regulated entities have been able to comply with these timeframes.

The Commission considers that SA Water has access to a range of best practice resources through WSAA and TCP that should assist it in implementing the family violence protections. Drawing on these resources may help SA Water to shorten its flagged implementation timeframes.

The Commission notes that it encouraged SA Water to explore ways to provide family violence support in the final decision for SAWRD20 and flagged the development of protections in June 2023, which was intended to provide time for SA Water to scope potential costs and changes required.

Delaying implementation of the provisions for an additional two years, as proposed by SA Water, could result in a longer gap in support for customers experiencing family violence. The Commission considers that there is a risk of adverse outcomes for affected customers in the absence of these protections, including a risk of some customers being unable to safely access water retail services during this period.

Broader Government approach to prescribing family violence requirements

The CCG stated that that South Australian Government departments may be better suited to developing an overarching protection related to family violence.

The Commission sought information from Consumer and Business Services and the Office for Women on this matter. These entities advised that an overarching Government approach has not yet been developed, noting that the South Australian Government recently initiated a Royal Commission on family violence, which is due to report by 1 July 2025.

The terms of reference for that Royal Commission include advice on how government agencies, non-government organisations and communities can better integrate and coordinate efforts across the spectrum of prevention, early intervention, response, and recovery, including through whole of system approaches and information and data sharing systems. There will be opportunity to review the provisions of the Code for SAWRD28 should adjustments need to be made to align with a whole-of-government approach.

The terms of reference for the Royal Commission also explicitly acknowledge that preventing and responding to family, domestic and sexual violence is a shared responsibility across government, media, business, community organisations, communities, families, and individuals. This supports an argument that protections should be introduced for SA Water customers in advance of any broader government approach that might be implemented.

5.3.8.6 Final decision

Following consideration of submissions and the matters outlined above, the Commission confirms its final position on all aspects of the draft decision related to family violence provisions, with the exception of the implementation timeframe.

In relation to the implementation timeframe, SA Water will be required to apply its best endeavours to progressively implement the provisions from the start of the regulatory period of 1 July 2024. SA Water will be obliged to develop and submit a plan to the Commission on how it will implement the provisions by 1 October 2024, with full implementation of the provisions required by 1 January 2026.

The Commission expects the systems, processes and controls needed to implement the provisions to be fully tested, verified and operational by 1 January 2026. From this date, family violence obligations will be categorised as a Type 1 regulatory obligation in the Water Industry Guideline No 1 Compliance Systems and Reporting – Major Retailers (Guideline 1).

The Commission has updated the drafting in the Water Retail Code to clarify its expectations regarding SA Water's family violence policy and public information.

The Commission acknowledges and has had regard to the fact that there are likely to be costs for SA Water in implementing the new requirements. Costs for SA Water associated with introducing the new requirements have been provided for in the revenue caps for SAWRD24 (see Appendix 4).

The Commission notes that a Royal Commission on family violence is scheduled to commence on 1 July 2024. The Commission will engage with the Royal Commission to advise it of this final decision.

5.3.9 Service standards after take-over of operations

In some instances, an essential service provider is no longer willing or able to provide services to its customers. In these cases, SA Water may be directed to take over operations (or a specified part of the water industry entity's operations) of another water retailer.

SA Water may be directed to take over operations by the Minister under clause 6 of the *Public Corporations Act 1993*, or SA Water can be appointed as an operator following a proclamation by the Governor in accordance with clauses 38 and 39 of the WI Act.

For example, in 2020 SA Water was directed to take over provision of sewerage services to properties serviced by the Tea Tree Gully (TTG) Community Wastewater Management System (CWMS) (previously operated by the City of Tea Tree Gully) on an ongoing basis.[162]

By way of further example, in 2023, SA Water was directed to use its best endeavours to obtain the agreement of Cape Jaffa Anchorage Essential Services to continue its temporary take-over of the operation of non-drinking water and sewerage services at Cape Jaffa, to ensure continued operation to customers until 30 June 2024. [163] This direction followed Cape Jaffa Anchorage Essential Services surrendering its water retail licence on 31 October 2022.[164]

Operations which are taken over are typically minor or intermediate retailers. These retailers have standards of service which are different to SA Water. The Water Retail Code – Minor and Intermediate Retailers,[165] and individual licence conditions have general obligations about maintaining service. Some operators are required to include specific service metrics in their annual performance reporting. This contrasts with the obligations that apply to SA Water, which include both general obligations about maintaining service and quantitative performance targets for specific areas of service which it is obliged to use its best endeavours to achieve.

Requiring different standards of service for minor and intermediate retailers is appropriate because service levels are affected by the location and scale of operations, the age and condition of infrastructure, and operational practices.

5.3.9.1 Consultation on Issues Paper and SA Water's Regulatory Business Proposal

As part of its review of the WI Act, DEW is consulting on the power to take over operations made by provisions in clauses 38 and 39. The Department has asked the Commission to consider if SA Water's service standards should apply to operations which SA Water has been directed to take over.

5.3.9.2 Draft analysis decision

SA Water's service standards apply either to its whole customer group, to all regional customers, or all metropolitan customers. Under the current framework, operations which SA Water has taken over would not be expected to meet the service standard performance targets in isolation. Instead, the performance of those operations would be incorporated into SA Water's overall performance.

There are two reasons why it may not be necessary to exclude operations which SA Water has taken over in assessing SA Water's performance. Firstly, if the operation which SA Water has taken over has a relatively small group of customers, the service those customers receive is unlikely to affect SA Water's overall performance. Secondly, in the event that the service those customers receive did affect SA Water's overall performance and it missed a performance target, the service standard may still be satisfied so long as SA Water can explain how it applied its best endeavours.

However, there are several reasons why a different approach may be warranted. Firstly, it may be important to understand the service delivered to customers of operations SA Water has taken over. If the previous entity experienced asset management, technical or financial issues prior to takeover, there may be service issues which need to be understood and addressed. Secondly, the costs and benefits

[162] South Australian Government Gazette, No. 50 – Thursday, 11 June 2020, p. 3381, available at www.governmentgazette.sa.gov.au/2020/June/2020_050.pdf.

[163] South Australian Government Gazette, No. 69 - Thursday, 7 September 2023, p. 3226, available at governmentgazette.sa.gov.au/2023/September/2023_069.pdf.

[164] Essential Services Commission of South Australia, *Cape Jaffa Anchorage Essential Services Pty Ltd – surrender of licence/issuing of temporary exemption*, November 2022, available at ESCOSA - Cape Jaffa Anchorage Essential Services Pty Ltd – surrender of licence / issuing of temporary exemption.

[165] Essential Services Commission of South Australia, *Water Retail Code – Minor and Intermediate Retailers*, March 2015, pp. 1-109, available at 20150311-Water-WaterRetailCode-MIR-02.pdf.aspx (escosa.sa.gov.au).

for SA Water to improve service levels for a small group of customers require careful consideration. If considered worthwhile, a transition period may be needed while SA Water makes necessary changes.

5.3.9.3 Draft decision

The Commission's proposal in the draft decision was to establish a new provision in the Code at clause 17.2 which sets out SA Water's service standard obligations where it has been directed to take over the operations of another water industry entity.

- Service standards after temporary takeover of operations – clause 17.2.1

  This clause sets out SA Water's service obligations when it temporarily takes over the operations of another water industry entity.

  The Commission's draft decision was that when SA Water has been directed to temporarily take over operations of another water industry entity, it must use its best endeavours to maintain historical performance in relation to customer service, connections, response, and restoration (the four areas service standards relate to) for those operations. SA Water must report annually on its performance using available metrics but is not required to establish new measurement or reporting practices. SA Water will not be required to include customers of these operations in determining its performance against the service standard targets set out in Schedule 1 of the Code.

- Service standards after ongoing takeover of operations – clause 17.2.2

  This clause sets out SA Water's service obligations when it takes over the operations of another water industry entity on an ongoing basis. Note that the Commission's decision for customers of the TTG CWMS is set out separately below.

  The Commission's draft decision was that when SA Water has been directed to take over operations of another water industry entity on an ongoing basis it must, for the remainder of that regulatory period, use its best endeavours to maintain historical performance in relation to customer service, connections, response, and restoration for those operations. It must also start measuring the performance of those operations using the service standard metrics set out in Schedule 1 of the Code, and report annually on that performance.

  In the regulatory period that SA Water takes over operations, it will not be required to include customers of these operations in determining its performance against the service standard targets set out in Schedule 1 of the Code.

  In subsequent regulatory periods, SA Water must comply with the Commission's decision (included in its regulatory determination) on performance in relation to the service standards in Schedule 1 of the Code. The Commission's decision will address whether customers of those operations must be included in determining its performance against the service standard targets, or whether a transition period or alternative service standard targets will apply.

The Commission indicated it would consider service standards for TTG CWMS customers as part of SAWRD24 (as discussed in the following section).

From SAWRD28, the Commission indicated it expected SA Water's RBP to include information about any operations it has been directed to take over, the service standards it proposes to apply, and the costs and benefits associated with complying with the proposed service standards (and other options explored).

5.3.9.4 Consultation on draft decision

The Commission received one submission on this matter from SA Water.

SA Water asked for clarification on whether it would be held to account for its performance in relation to an entity it has temporarily taken over: *'although SA Water is to use best endeavours to maintain performance the Code is not clear on whether SA Water will be held to account for targets for the temporary entity'.*[166]

Further, SA Water's submission questioned whether reporting systems for an entity that has been taken over would be enough to produce a report: *'SA Water cannot guarantee that reporting systems will be available to produce a report, noting the establishment of new measurements or reporting practices will not be required.'*[167] It further notes that: *'Additional revenue would be required by SA Water to cover the cost of any significant changes required to systems to provide the reporting required by the Commission should SA Water takeover ongoing operational responsibility on behalf of another water entity.'*[168]

DEW provided informal feedback on the Code provisions for ongoing takeover of operations. It asked for it to be clear that in an ongoing takeover, service standards could remain the same as those for the original minor and intermediate retailer. That is, that there is no requirement for SA Water to improve services, noting that in some cases this could be expensive and not necessarily needed.

5.3.9.5 Final decision analysis

Temporary takeover of operations (clause 17.2.1)

SA Water's submission asked for clarification about whether it will be 'held to account' for its performance managing temporarily taken over entities.[169] The draft decision analysis stated that SA Water will not be required to include customers of temporarily taken over operations in determining its performance against the service standard targets set out in Schedule 1 of the Code.

The Commission has decided to ensure this is clearly reflected in the Code by adding clause 17.2.1(c) which states that SA Water is not required to include customers of these operations in determining its performance against the service standard targets set out in Schedule 1. As required by clause 17.2.1(a), SA Water will be accountable for using its best endeavours to maintain historical performance as measured using available metrics.

SA Water's submission questioned whether it would need to upgrade reporting systems for temporarily taken over entities.[170] The draft decision analysis stated that for temporary taken over entities SA Water would be required to report annually on its performance using available metrics and that it was not required to establish new measurement or reporting practices.

The Commission has decided to ensure this is clearly reflected in the Code by amending clause 17.2.1(a) to state that performance must be measured using available metrics and adding clause 17.2.1(b) to reflect that SA Water is not required to establish new measurement or reporting practices to measure performance.

Ongoing takeover of operations – initial regulatory period

Some initial provisions for ongoing takeover of operations are the same as the provisions for temporary takeover of operations.

Therefore, for reasons discussed above, the Commission has decided to amend clause 17.2.2(a)(i) to clarify that performance must be measured using available metrics, and to add clause 17.2.2(a)(ii) to

[166] SA Water, *Submission to Draft Water Retail Code*, pp. 14-15.
[167] Ibid, p. 14.
[168] Ibid, p. 14.
[169] Ibid, pp. 14-15.
[170] Ibid, pp. 14-15.

reflect that SA Water is not required to establish new measurement or reporting practices to measure performance.

Unlike the provisions for temporary takeover of operations, in the new Code provisions for an ongoing takeover of operations, the Commission requires SA Water to have measurement and reporting practices to measure and report on performance against the applicable service standards set out in Schedule 1. This reporting would inform the Commission's decision about whether to require compliance with the service standards in subsequent regulatory periods. As noted by SA Water, there may be costs to establish these measurement and reporting practices, and practical barriers to doing so.

To recognise that there may be instances where establishing measurement and reporting practices does not represent good value for consumers, the Commission has decided to amend the proposed clause 17.2.2(a)(iii) to give the Commission the discretion to vary its reporting requirements for entities that have been taken over.

Ongoing takeover of operations (clause 17.2.2(b)) – subsequent regulatory periods

In discussions with the Commission, DEW asked for clarification about whether, in an ongoing takeover, the Commission would consider the option of service standards remaining at the level of the original minor and intermediate retailer (before operations were taken over by SA Water).

The proposal in the draft decision was that, after the initial regulatory period in which take over occurred, SA Water would be required to include customers in assessing its compliance with service standards set out in Schedule 1 (unless otherwise directed by the Commission in writing). By giving the Commission the power to direct otherwise, the Code provided the option for service standards remaining at the level of the original minor and intermediate retailer.

The final decision is to amend clause 17.2.2(b) to require SA Water to comply with the Commission's decision on performance in relation to services standards, with the Commission's decision being set out in the regulatory determination.

Varying definitions so customers are correctly reflected in assessment of service standards

To ensure that customers of operations that have been taken over are correctly reflected in assessment of service standards, two definitions in the Code will be varied.

The definitions of 'Adelaide metropolitan area' and 'regional areas of South Australia' will be varied to 'exclude customers supplied with retail services through operations which have been taken over (subject to the provisions made under clause 17.2).

This allows customers of operations that have been taken over to be excluded from assessment of performance against service standards. The Commission may set out a different requirement for the takeover of ongoing operations after the initial regulatory period (at clause 17.2.2(b)).

5.3.9.6 Final decision

Following consideration of submissions and for the reasons stated above, the Commission confirms its position in respect of this component of the draft decision, with a number of Code amendments to ensure requirements are fully and clearly described.

In terms of service standards after a temporary takeover of operations, the Commission has determined to adopt the proposed clause 17.2.1, with amendments to clarify that SA Water:

- must maintain historical performance as measured using existing metrics
- is not required to establish new measurement or reporting practices, and

- is not required to include customers of these operations in determining performance against service standard targets.

In terms of service standards after an ongoing takeover of operations in the initial regulatory period, the Commission has determined to adopt the proposed clause 17.2.2, with amendments to clarify that SA Water:

- must maintain historical performance as measured using existing metrics
- is required to measure and report on the performance using the metrics in the applicable service standard metrics set out in Schedule 1, which may require establishment of new measurement or reporting practices (unless otherwise directed by the Commission in writing), and
- is not required to include customers of these operations in determining performance against service standard targets.

In terms of service standards after an ongoing takeover of operations in subsequent regulatory periods, the Commission has determined to adopt the proposed clause 17.2.2(b), with amendments to clarify that SA Water:

- must comply with the Commission's decision on performance in relation to applicable service standards, with the Commission's decision being set out in the regulatory determination.

The definitions of 'Adelaide metropolitan area' and 'regional areas of South Australia' will be varied to operationalise these provisions.

5.3.9.7 Service standards for Tea Tree Gully CWMS customers

In 2020, SA Water was directed to take over sewerage services for properties serviced by the TTG CWMS on an ongoing basis.[171] The transfer of assets occurred on 1 July 2022, with SA Water taking full responsibility for operating the CWMS network from October 2023.

Since 2021, SA Water has been progressively upgrading sewerage services by moving customers from the CWMS to the SA Water sewerage network.

Upgrades involve installation of new sewer infrastructure and decommissioning of existing CWMS infrastructure, with some works occurring on customer's private property. SA Water is prioritising upgrades using criteria including proximity to the existing network, performance of existing infrastructure, other planned development works and community engagement.

By June 2023, SA Water had completed upgrades for 281 customers. The number of CWMS customers had fallen from 4,728 at the end of 2020-21 to 4,447 at the end of 2022-23.[172,173] SA Water plans to move all CWMS customers to the SA Water sewerage network by the early part of SAWRD28.

Since the transfer of assets was completed in October 2022, SA Water has been responsible for providing sewerage services to TTG CWMS customers. The Commission's expectation has been that SA Water maintain services and use its best endeavours to minimise interruptions and respond when issues arise.

However, the Commission has not required customers connected to the TTG CWMS to be included in assessing SA Water's overall performance against its service standards. Instead, the Commission has

[171] South Australian Government Gazette, No. 50 - Thursday, 11 June 2020, p. 3381, available at: www.governmentgazette.sa.gov.au/2020/June/2020_050.pdf

[172] SA Water, *Tea Tree Gully CWMS Annual Return 2022-23*, 2023 submitted to Essential Services Commission of South Australia.

[173] Tea Tree Gully, *2021-22 Annual Compliance Reporting to the Commission*, Proforma AR2, 2022, submitted to Essential Services Commission of South Australia.

required SA Water to report on the TTG CWMS as part of its annual performance reporting, in a manner aligned with that required for other small-scale water providers regulated by the Commission. This reporting includes information on customer numbers, customer complaints, sewer network reliability and sewer overflows.

5.3.9.8 Draft decision

- Vary the Code definition of the Adelaide metropolitan area to exclude customers connected to the TTG CWMS

  The Commission's proposal in the draft decision for SAWRD24 was that customers connected to the TTG CWMS will not be included in assessing SA Water's overall performance against its service standards. This is achieved by varying the definition of the Adelaide metropolitan area in the Code to exclude customers connected to the TTG CWMS. However, once transferred to the SA Water sewerage network, former TTG CWMS customers must be included in assessing SA Water's overall performance against service standards.

  For the avoidance of doubt all other Code requirements continue to apply to customers connected to the CWMS and therefore, pursuant to clause 16.1 of the Code, it was expected that SA Water will:

  - use its best endeavours to minimise interruptions or limitations to supply and to restore supply as soon as practicable following an interruption or limitation to supply.
  - have in place and adhere to policies, practices or procedures dealing with minimising the impact of:
    - unplanned interruptions to retail services, including the prompt attendance and actions required to restore the retail services as soon as practicable; and
  - planned interruptions to retail services caused by carrying out maintenance or repair to the network or connecting a supply address to the network.

- Separate reporting requirements for customers connected to the TTG CWMS

  The Commission's proposal in the draft decision was that SA Water would not be expected to report on service standard performance metrics for CWMS as specified in the general requirements of Guideline No. 2.[174] Instead, SA Water must report on the performance of the TTG CWMS using the specific proforma in Guideline No. 2.

5.3.9.9 Consultation on draft decision

The Commission received two submissions on this matter from OTR and SA Water.

The OTR noted that performance reporting for the TTG CWMS is not publicly available, and that it *'would welcome greater transparency on performance reporting to demonstrate improvement of performance across customer complaints, sewer network reliability and sewer overflows as the network is upgraded'.*[175]

In its submission, SA Water supported the proposal for the performance of the TTG CWMS to be excluded from consideration of SA Water's performance against its service standards, and for operational reporting to be managed separately, noting '*This approach is consistent with the premise that*

[174] The Commission's Water Industry Guideline No. 2 - Regulatory Information Requirements for Major Retailers specifies SA Water's reporting requirements and the manner and form of that reporting.
[175] Office of the Technical Regulator, *Submission to Draft Regulatory Determination*, p. 2.

it would be unreasonable for SA Water to be held to a level of service standard for assets it has taken over, but for which it was not involved in the maintenance or management'. [176]

5.3.9.10 Final decision analysis

Public reporting

SA Water's public reports provide stakeholders with insight into its performance and operations. The Commission requires (in clause 33 of the Code) that SA Water report directly to the public on its performance against applicable service standards.

Requiring SA Water to report publicly on its performance in relation to the TTG CWMS would promote accountability and transparency. Public reporting helps to inform customers still connected to the TTG CWMS about the service they are receiving and assist SA Water with its engagement with those customers.

SA Water may choose to incorporate this reporting with its other public reporting requirements. Alternatively, SA Water may choose to prepare this public reporting in a format that is designed for engagement with its TTG CWMS customers.

Either approach would have a small marginal cost impact, given SA Water will be adjusting its public reporting ahead of SAWRD24, and that it has an existing engagement program for TTG CWMS customers.

Excluding TTG CWMS customers from assessment of service standards

In reviewing the reporting requirements that will apply in SAWRD24 (set out in Guideline 2), the Commission sought further information from SA Water about the practicality of excluding TTG CWMS customers from reporting on service standards. In response, SA Water advised that in relation to:

- Customer satisfaction - TTG CWMS customers are not readily identifiable in measurement of the customer satisfaction service standard and cannot be excluded from analysis
- Telephone responsiveness – the current reporting system does not have the capacity to exclude TTG CWMS customers from measurement of telephone responsiveness performance
- First contact resolution– the current reporting system does not have the capacity to exclude TTG CWMS customers from measurement of first contact resolution, and
- Complaint responsiveness and escalation – complaints from TTG CWMS customers can be categorised in the CRM, and these can be excluded from reporting if required.
- Connection responsiveness – it is relevant to exclude TTG CWMS customers from reporting on sewer network connection timeliness, but not relevant to exclude TTG CWMS customers from reporting on connection application responsiveness or water network connection timeliness.

SA Water's response indicates that it is not necessary or practical to separate TTG CWMS customers from assessing performance against the five customer service standards, and two of the three connection service standards. Further, the Commission considers that it is reasonable to expect SA Water to deliver the same level of customer service to TTG CWMS customers, as providing that customer service does not depend on the condition or maintenance of the CWMS.

[176] SA Water, *SA Water's response to ESCOSA's Draft Determination*, p. 20.

5.3.9.11 Final decision

The Commission confirms its position in respect of this component of the draft decision with two exceptions.

First, the Commission will require that SA Water publicly report on its performance in relation to the TTG CWMS. That reporting must include the contents of the TTG CWMS proforma in Guideline No. 2. This requirement is made by the addition of clause 33.1.1(f).

Second, the Commission will not require TTG CWMS customers to be excluded from measurement and reporting of the five customer service standards and two of the three connection service standards, given that this is not necessary or practical. Requiring system changes to exclude these customers is not justified given the decommissioning of the TTG CWMS. This change will be clarified in Guideline 2.

These requirements will apply from the start of the regulatory period of 1 July 2024.

5.3.10 Protections for people living with disability

People living with disability may have specific requirements related to accessing and using SA Water's services.

In SAWRD20, changes were made to the Code to better support the needs of people living with disability. These included requiring SA Water to use each customer's preferred form of communication, where reasonable, for direct written communications (at clause 4.1). They also included requiring bills, notices, and other documents to be provided in alternative formats for customers with specific needs, including needs related to disability (at clause 4.2).

At that time, the Commission considered, but did not implement, requirements for SA Water to provide a longer minimum notice period ahead of planned water interruptions and to establish a critical needs register.[177]

In deciding against such changes, the Commission noted that SA Water planned to expand the functionality of its CRM to register the critical needs of people living with disability during SAWRD20 and saw registering these critical needs as the first step in providing extra support.

5.3.10.1 Consultation on Issues Paper and SA Water's Regulatory Business Proposal

The Commission's Issues Paper on the Review of the Water Retail Code and MEPF explained that, as part of the SAWRD24 regulatory determination, the Commission would review SA Water's progress on registering critical needs in its CRM, and progress on its Wider World Initiative more broadly.[178] SA Water's Wider World Initiative is its program for improving accessibility of its services for all customers including those with access and interaction barriers; it informed SA Water's Disability and Access Inclusion Plan.[179]

SA Water has further considered the needs of customers living with disability.[180] It has engaged with the Wider World Advisory Group, which includes people living with a range of disabilities, and has conducted specific research with customers about accessible services.[181]

[177] Essential Services Commission of South Australia, *SA Water Regulatory Determination 2020*, pp. 63-64.
[178] Essential Services Commission of South Australia, *Water retail code and monitoring and evaluating performance framework Issues Paper*, p. 8.
[179] SA Water, *SA Water Disability Access and Inclusion Plan 2020-2022*, pp. 1-20, available at https://www.sawater.com.au/__data/assets/pdf_file/0006/519288/DAIP-2020-22_pages.pdf.
[180] SA Water, *Regulatory Business Plan 2024-28*, p. 32.
[181] Ibid, pp. 89 and 99.

During the SAWRD24 period, SA Water plans to continue with parts of its Wider World Initiative that can be delivered within current operating expenditure. SA Water has assured the Commission that this will involve continuing to: ensure new contact centre employees have disability awareness training; develop additional Easy Read documents; improve website accessibility; engage through the Wider World advisory group; trial accessible water meters; create accessibility guides for public spaces including reservoirs; and ensure capital delivery contractors are mindful of accessibility needs and communicate with impacted community members.

SA Water consulted on expanding the Wider World Initiative. It presented a case to the Customer Challenge Group (CCG) in January 2022 which sought feedback on additional expenditure to deliver alternative bill formats, further improve digital channel accessibility, improve work site set up processes and equipment, improve accessibility to SA Water's public spaces, and improve access to SA Water staff.

In consulting on expansion of the Wider World Initiative, SA Water also sought feedback on additional expenditure to deliver priority services to identified customers. It shared a list of examples of priority services which included:

- additional updates and support during supply interruptions and additional notice of planned interruptions
- verification of SA Water staff attending customer properties and access to approved plumbers
- affordable smart meters to track water usage and detect leaks, and assistance finding water saving devices and appliances
- additional bill reminders when a bill is overdue, easy access to flexible payment options, and a bill allowance for those using large amounts of water due to a medical condition
- addition of secondary account contacts, and
- provision of information on worksites to help with journey planning.[182]

The CCG and PBEF supported expansion of the Wider World Initiative but recognised that it would be costly to deliver. The cost of the expansion presented to the CCG and PBEF was $20 million across SAWRD24.[183] The CCG and PBEF suggested that parts of the initiative may be incorporated in business-as-usual operations, and provided for within the existing revenue cap. It was also suggested that SA Water may usefully collaborate with other utilities or the National Disability Insurance Scheme to leverage off existing work on other priority services registers.[184]

Ultimately, the cost impact and competing priorities lead to expansion of the Wider World Initiative being listed as an initiative not to be progressed during SAWRD24.[185]

Other submissions to the Issues Paper and RBP did not address accessibility of services by people living with disability, or specific initiatives for people living with disability.

[182] SA Water, *Presentation to Customer Challenge Group*, January 2022. See also SA Water, *Regulatory Business Plan 2024-28*, p. 240.
[183] SA Water, *Regulatory Business Plan 2024-28*, pp. 240-241.
[184] Ibid, pp. 240-241.
[185] Ibid, p. 240.

5.3.10.2 Draft decision analysis

SA Water understands the importance of considering the needs of people living with disability and has made progress in improving the accessibility of its services. It has provided the Commission with a status report for actions related to the Wider World Initiative.[186]

In SAWRD20, progress on SA Water's Wider World Initiative has included developing seven easy read documents,[187] providing in-person front counter support (including with language aide boards), and additional telephone support to provide bill information. [188] Contact centre teams have received training on disability awareness, which is part of induction for new employees.

It has also increased the involvement of people living with disability in customer research and engagement activities, delivered training guides for considering people living with disability when planning works in public spaces, and trialled different types of water meters.

SA Water has engaged widely with customers and has included those living with disability in its engagement and prioritisation of initiatives for SAWRD24.

Expansion of the Wider World Initiative would benefit people living with disability. In particular, and as identified in the Commission's SAWRD20 regulatory determination, people living with disability would benefit from the delivery of some targeted, priority services. Registering the critical needs of people living with disability is a necessary pre-requisite to delivering priority services.

By mid-2024, SA Water will develop:

- an online form for customers to register for additional assistance
- a screen in the CRM where that information is visible and can be edited and a banner on relevant customer records to alert employees to check the customer's needs, and
- the function in the CRM to deliver particular services in response to registered needs (for example, printing bills in an alternative format).

However, SA Water has advised that it will not implement the online form or amendments to the CRM until it can deliver services to meet the needs registered by customers.[189] SA Water plans to identify, design and pilot opportunities to provide accessible and alternative services to registered customers during SAWRD24 but has not proposed new expenditure for delivering priority services.

5.3.10.3 Draft decision

The Commission noted SA Water's proposal not to increase expenditure on the Wider World Initiative in SAWRD24 is based on engagement with customers about how to prioritise expenditure.

However, the Commission indicated that it expected SA Water to continue with Wider World Initiative actions within its existing operating expenditure. In particular, the Commission encouraged SA Water to identify lower-cost priority services that can be progressed within the revenue cap, such as using a particular mode of communication that is required by a customer, and roll-out of changes to its CRM to allow those services to be delivered to relevant customers.

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[186] SA Water's 2020-22 Disability and Access Inclusion Plan was extended to December 2023. In 2024, SA Water plans to publish a close-out report for the current Disability and Access Inclusion Plan, as well as a revised Disability and Access Inclusion Plan.

[187] SA Water, *Accessibility statement*, 2023, available at www.sawater.com.au/about-us/how-we-operate/policies/accessibility-statement.

[188] SA Water, *Submission on Issues Paper*, p. 4.

[189] Ibid, p. 4, and additional information provided by SA Water.

The Commission encouraged SA Water to continue its work to understand and meet the needs of people living with disability, noting that this is likely to improve the experience of all customers. The Commission indicated that it intended to review what SA Water has done to meet the needs of people living with disability in the lead up to SAWRD28 to inform its regulatory settings for that period.

5.3.10.4 Consultation on draft decision

The Commission received three submissions on this matter from SA Water, the CCG and Anglicare.

In its submission, SA Water claimed that the reduction in operating expenditure proposed by the Commission would significantly hamper the rate of progress on the Wider World Initiative.[190]

Anglicare's submission noted the importance of having multiple communication channels, including paper and electronic options, for improving accessibility. It noted concern that charging for paper bills might disproportionately affect people living with disability, and that people living with disability are over-represented amongst customers experiencing family violence and experiencing payment difficulties.[191] The CCG also noted concern that charging for paper bills might disproportionately affect people living with disability. [192]

5.3.10.5 Final decision analysis

Apart from considering the need to exempt vulnerable customers from being charged for paper bills (as discussed separately in section 5.3.3), the Commission did not undertake any further analysis on this matter for the final decision.

5.3.10.6 Final decision

Following consideration of the submissions received and for the reasons stated above, the Commission confirms its position in respect of this component of the draft decision.

5.3.11 Water industry Ombudsman contact details on bills

Clause 18.7 (new clause 18.8) of the Code sets out the minimum requirements for information that must be contained in bills. These requirements currently include matters relating to:

- water usage
- metering information
- payment options
- contact details for billing and payment enquiries
- contact details for report of faults or emergencies
- availability of government concessions and rebates, and
- advice in languages common to the customer base on access to interpreter services.

There is currently no requirement to provide information on contact details for complaints or ability for customers to escalate unresolved disputes to the industry Ombudsman.

[190] SA Water, *Submission to Draft Water Retail Code*, pp. 15-16.
[191] Anglicare, *Submission to Draft Regulatory Determination*, p. 2.
[192] Customer Challenge Group, p. 4.

5.3.11.1 Consultation on draft decision

In its submission to the draft decision, EWOSA requested that the Commission establish a requirement for SA Water to include EWOSA's telephone number in an appropriate position on its customer bills.

This matter was not previously raised by the Commission in the draft decision.

5.3.11.2 Final decision analysis

Information already available from SA Water on the role of the industry Ombudsman

Information about the industry Ombudsman scheme is currently provided to customers in SA Water's 'Customer Charter' and in its 'Customer enquiry, Complaint and Dispute Resolution Process' documents. General information about dispute resolution is also contained in SA Water's customer contract. These documents do not appear to be accessible from SA Water's home page and may be difficult for customers to find. This may adversely affect customer awareness of the industry Ombudsman scheme.

Under the Code, SA Water is obliged to tell customers about the availability of the industry Ombudsman scheme in defined circumstances including:

- On billing reminder notices
- Upon review of a customer's bill, and
- In a water restriction warning notice.

In response to an information request, SA Water advised that EWOSA's contact details are not currently included on quarterly bills but are included on overdue and demand notices.

Better Bills Guideline – National Electricity Market

Compliance with the Better Bills Guideline became mandatory for energy retailers that supply residential customers under the National Energy Retail Rules from 30 September 2023. In addition to other matters, the Better Bills Guideline requires energy retailers to provide the industry Ombudsman's contact information on bills.

In its submission, EWOSA noted that since the Guideline's introduction, there has been significant increase in the proportion of customers contacting EWOSA about complaints reporting that they heard about EWOSA from their energy invoice or bill, from 3% in June 2023 to 21% in December 2023. EWOSA also noted a 47% increase in complaints received in the September 2023 quarter.

Information to be included on bills

Staff from EWOSA have advised that in addition to the industry Ombudsman's telephone number on the bill, it would be important to include the words "If you have an unresolved dispute with your retailer, you can call EWOSA." This would make it clear that the industry Ombudsman should be contacted after a customer has gone directly to the business to resolve the dispute.

Costs associated with changing bills

In response to an information request from the Commission, SA Water advised that the costs associated with adding new bill information include:

- design changes to bill artwork: SA Water advised that it expected adding EWOSA contact details would be a minor change to the bill. Design changes could be performed internally, using SA Water resources – comprising around a half day of work

- IT changes for system/bill technical specifications: SA Water advised that this would require external IT resources to re-specify bill locations for the bill items and internal IT and business resources for testing – comprising around one day of work, and
- account Printing service provider change bill print set up: SA Water advised that this would include set up costs, update settings and testing – comprising around half a day of work.

SA Water advised that the total cost of implementing these changes would be around $5,000.

SA Water noted that the current bill has limited free space and adding additional information may require removing current information contained in the notice section of the bill or reducing the font size.

Information currently included in the notice section, is in response to legislative requirements (Valuation of Land Regulations), Water Retail Code (Concessions, Customer Charter) and information deemed important to customer needs (Interpreter service, payment assistance, address updates).

SA Water advised that it undertook significant customer research and design testing with customers in 2019 to design the current bill format and content. Accessibility in terms of congestion of information and font size were two key considerations in this design.

SA Water considers that it would be good practice that any changes to content and design of the bill consider the views of customers. These costs would be in addition to those associated with the design work.

5.3.11.3 Final decision

The Commission considers that the costs associated with including the industry Ombudsman's contact information on bills are modest and the change would be likely to significantly increase in awareness of the industry Ombudsman scheme.

Given the above, the Commission will update the provisions of the Code by a requirement for SA Water to include the industry Ombudsman's contact detail on customer bills. Compliance with this requirement of the Code will be required by 1 January 2025.

5.3.12 Other issues

Information on protections

In a workshop on the Water Retail Code with the CAC, members noted that it was difficult to find information about the protections available to customers and consumers on SA Water's website. They considered that people might not be aware of what SA Water is required to do under the Code. It was suggested that SA Water better communicate its protections and rights to customers and explain how customers can exercise those protections and rights.

The Commission has reviewed the public information available on protections and notes that there is a range of information published on the Commission's website,[193] including information about customer contracts, pricing, restrictions, disconnections and restriction of supply, rating on abuttal, requirements on SA Water for certain policies and procedures, and customer information obligations.

The Commission notes that SA Water's website also includes a range of information on protections including information on help with paying a bill (hardship provisions), a copy of hardship policy and a copy of its complaints resolution policy.

[193] Essential Services Commission of South Australia, *Water customers*, available at www.escosa.sa.gov.au/consumers/water/consumer-water-information.

The Commission encourages SA Water to continue to look at ways to improve its communication on the protections that it offers. The Commission will do the same.

Discounts to water charges for greening

SAFRRA's submission to the Issues Paper[194] made a suggestion that ratepayers be provided with an allowance or discount to their water prices to enable them to water their gardens and green space around their home.

The Commission notes that adopting this proposal would have an impact on the bills of other customers, who would need to cross-subsidise the cost of the scheme. The scheme might also disproportionately benefit customers with larger properties, who on average might have greater ability to pay for water.

The Commission considers that this proposal is better considered by the State or local government in relation to incentives for supporting greening in the community.

The Commission's role in responding to complaints

SA Water's submission to the Issues Paper stated its view that the process and expectations for making complaints to the Commission are not clear.[195] SA Water requested that the Commission more clearly articulate its process for managing complaints and its requirements as part of its regulatory determination.

The Commission notes that it already provides clear information on its website on its role in relation to responding to complaints.[196]

The Commission does not resolve general disputes between SA Water and its customers. SA Water is required to have complaint and dispute resolution procedures in place. This must include the ability for a customers' complaint to be escalated within the business and ultimately include referral to the EWOSA for independent dispute resolution.

The ESC Act states one of the Commission's functions is '*to monitor and enforce compliance with and promote improvement in standards and conditions of service and supply under relevant industry regulation Acts.'* In performing that function the Commission will investigate and seek information on complaints that may be systemic or where the complaint raises concern about SA Water's performance against regulatory obligations. The Commission is guided by its Enforcement Policy[197] when investigating potential compliance issues.

Investigation of SA Water's payment plan obligations

SACOSS's submission to the Issues Paper asked the Commission to consider investigating SA Water's compliance with payment plan obligations under the Code and MEPF.

The Commission uses a risk-based approach to determine areas of regulatory concern that require further investigation and potential compliance action.

The Commission has not been made aware of any potential breaches by SA Water in relation to its payment plan obligations, either by stakeholders or customers. The Commission has reviewed complainant case information from EWOSA and has not identified any concerns that have been raised.

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[194] South Australian Federation of Residents and Ratepayers Associations, p. 3.
[195] SA Water, *Submission on the Issues Paper,* p. 5.
[196] Essential Services Commission of South Australia, *Feedback and dispute resolution*, available at www.escosa.sa.gov.au/engage/feedback-and-dispute-resolution.
[197] Essential Services Commission of South Australia, *Enforcement*, available at www.escosa.sa.gov.au/approach/enforcement.

The Commission will continue to assess any allegations of non-compliance when raised and will take action consistent with its Enforcement Policy.

Record keeping

To ensure SA Water can demonstrate its current and historical compliance with the requirements of the Code, the Code now requires SA Water to create and maintain evidential records for a period of five years. These records, and associated information storage procedures, must be made available to the Commission on request.

This new requirement does not add material regulatory burden, as compliance with the Code is already a requirement of SA Water's licence. The new clauses simply articulate the evidence requirements.

In its submission to the Draft Decision,[198] SA Water noted its existing requirements under the *State Records Act 1997* and queried the value of including a clause in the Code. It sought clarification about whether the requirement was intended to impose additional requirements to that of the State Records Act, and if so, requested the clause be made more prescriptive.

The Commission accepts SA Water's feedback and has made amendments to clause 1.8 of the Code to clarify that records should be maintained in accordance with the requirements of the State Records Act. These records should be of sufficient quality to enable an auditor to review and easily come to a conclusion about SA Water's compliance with the Code's obligations.

Addressing errors, omissions, and data variations in information submitted to the Commission

The guidance that addresses the process SA Water must follow when reporting errors, omissions, and data variations has been moved from Guideline 2 to the Code. This guidance applies to any information SA Water submits to the Commission under the Code and any Guidelines issued by the Commission.

5.3.13 Minor amendments

The Commission has made several other minor amendments to the Code, which are described in Table 5.2. Unless otherwise noted, no issues were raised in consultation regarding these minor amendments.

Minor amendments include:

- The definition of consumer has been amended to have the same meaning as it has in the WI Act.
- A definition of financial hardship has been added, consistent with the Commission's approach to definitions for other industry codes.
- The requirement for SA Water to report on any rebates paid or credited to customers for failure to meet applicable service standards has been removed as this is not applicable.
- A clause has been added which requires SA Water's estimation of the usage of retail services to be determined in accordance with an estimation system approved by the Commission. This clause was inadvertently deleted from the Code between SA Water Regulatory Determination 2016 (SAWRD16) and SAWRD20.

[198] SA Water, *SA Water's response to ESCOSA's Draft Determination*, p. 16.

- A new clause has been added which requires SA Water to include the telephone number for billing, payment enquiries and flexible payment options; and information about help that is available if the customer is experiencing difficulties in paying on bill reminder notices. This is already being done by SA Water in practice and has been added to ensure its customers are alerted to financial hardship support in reminder notices.
- An amendment has been made at the request of SA Water to give it discretion as to whether it charges a customer in advance for checking the meter reading, metering data or for testing the meter. EWOSA's submission to the draft decision indicated that it supported this change.
- A new clause has been added at the request of SACOSS to prohibit SA Water installing a water flow restriction device where the residential customer continues to adhere to the terms of a flexible payment plan or other agreed payment arrangement. This additional provision is in line with the other protections that have been established under the Code for customers complying with the terms of a flexible payment plan such as restrictions on debt recovery.
- An amendment has been made to this clause to clarify that the ability for SA Water to restrict water services for non-payment of a bill only relates to the supply address to which the bill relates.

In addition to these amendments, a new part F has been added to the Code to set out public reporting requirements for SA Water. These amendments are discussed further in chapter 18 of this draft determination.

Table 5.2: Summary of other minor amendments to the Code

Clause and description of change	Discussion
1.8.1 The definition of consumer has been amended to have the same meaning as it has in the *Water Industry Act 2012*.	The purpose of the amendment is to ensure consistency with the *Water Industry Act 2012*.
1.8.1 A new definition of financial hardship has been added.	Inclusion is consistent with the Commission's approach to definitions for other industry codes.
17.2.2 (b) The requirement for SA Water to report on any rebates paid or credited to customers for failure to meet applicable service standards has been removed.	There are no Code requirements for SA Water to pay a rebate or payment to customers for failure to meet a service standard.
18.5.1 (c) A new clause has been added which requires SA Water's estimation of the usage of retail services to be determined in accordance with an estimation system approved by the Commission.	This clause was inadvertently deleted from the Code between SAWRD16 and SAWRD20.
18.11.2 (e) A new clause has been added which requires SA Water to include the telephone number for billing, payment enquiries and flexible payment options; and information about help that is available if the customer is experiencing difficulties in paying on bill reminder notices.	This is already being done by SA Water in practice and has been added to ensure its customers are alerted to financial hardship support in reminder notices. EWOSA's submission to the draft decision stated that it supported this change.
20.2.2 An amendment has been made to give SA Water discretion as to whether it charges a customer in advance for checking the meter reading, metering data or for testing the meter.	The clause originally stated that SA Water must charge customers in advance for these services. SA Water has advised that in practice, it charges customers in arrears to avoid needing to refund the payment, should the meter be found to be faulty. The amendment provides SA Water with discretion as to whether to charge in advance or in

Clause and description of change	Discussion
	arrears, without reducing the level of protections provided to customers.
26.2.1 (g) A new clause has been added to prohibit SA Water installing a water flow restriction device where the residential customer continues to adhere to the terms of a flexible payment plan or other agreed payment arrangement.	This additional provision is in line with the other protections that have been established under the Code for customers complying with the terms of a flexible payment plan such as restrictions on debt recovery.
26.3.1 An amendment has been made to this clause to clarify that the ability for SA Water to restrict water services for non-payment of a bill only relates to the supply address to which the bill relates.	This clarification has been made to ensure SA Water is not permitted to restrict water services at other properties the customer may have that do not relate to the property affected by the non-payment of the bill.

6 Service standards with performance targets

Final decision – Best endeavours service standards with performance targets

The Commission's final decision is that the existing 22 best endeavours service standards will continue to apply to SA Water during SAWRD24. The service standards cover aspects of customer service, responsiveness to service issues, service restoration timeliness and timeliness of connections. There are separate service standards for the Adelaide metropolitan area and regional areas.

The Commission has considered, but ultimately not adopted SA Water's proposal to adjust the performance metrics for regional response service standards or the sewer overflow clean-up service standards, as it considers doing so may result in service reductions.

To improve transparency where SA Water does not meet a service standard performance target, the best endeavours regime requires SA Water to provide public justification and evidence of why and how it considers that it employed best endeavours notwithstanding that the performance target was not met. The Commission will consider SA Water's justification and evidence in assessing whether or not best endeavours were used. This regime provides greater transparency on SA Water's performance for its customers, while also aiding the Commission in undertaking a review of the reasonableness of any service standard targets that SA Water is unable to meet over SAWRD24 when setting performance targets for SAWRD28.

For SAWRD24, SA Water has proposed to maintain its service levels, and therefore proposed no increases to the service standard performance targets. However, as SA Water has consistently exceeded the performance target for the service standard relating to complaint escalation to the industry Ombudsman over SAWRD20, the Commission's final decision is that this target will be increased for SAWRD24 to reflect SA Water's current performance.

The Commission has also made a final decision that customers connected to the Tea Tree Gully (TTG) Community Wastewater Management System (CWMS) will not be included in the assessment of SA Water's overall performance against its service standards (except for customer service standards). SA Water will instead be required to separately report service performance of the TTG CWMS, as explained in Chapter 5.

The Commission's final decision on service standards for SAWRD24 is to:

- Maintain current regional response time performance measures.
- Maintain current sewer overflow clean-up performance measures.
- Require SA Water to provide more detailed annual public reporting on missed service standard performance targets.
- Increase the performance target for service standard 5: complaint escalation to the industry Ombudsman from ≤15 percent to ≤10 percent.
- Maintain current public reporting requirements for water and sewer network reliability.
- Maintain current public reporting requirements for sewer overflows to the environment.
- Maintain current public reporting requirements for water quality improvement.

SA Water must continue to use its best endeavours to meet the 22 service standards and performance targets that will apply in SAWRD24. These are summarised in Table 6.1.

Table 6.1: Summary of final decision on best endeavours service standards for SAWRD24

Service standards			SAWRD20 target	SAWRD20 average performance[199]	Draft SAWRD24 target	Change to current framework?
No.	Category	Standard and performance measure				
1.	Customer service	**Customer satisfaction**: Customers who are satisfied with recent service experience.	≥93%	95%	≥93%	No
2.	Customer service	**Telephone responsiveness**: Fault telephone calls answered within 50 seconds.	≥85%	86%	≥85%	No
3.	Customer service	**First contact resolution**: Account enquiry telephone calls resolved at first point of contact.	≥85%	99%	≥85%	No
4.	Customer service	**Complaint responsiveness**: Customer and community complaints responded to within 10 business days.	≥95%	98%	≥95%	No
5.	Customer service	**Complaint escalation**: Percentage of customer and community complaints escalated to the ombudsman following dissatisfaction with SA Water response to a complaint.	≤15%	7%	**≤10%**	Yes
6.	Connections	**Connection application responsiveness**: Network connection applications processed within the target timeframe of 20 business days.	≥95%	97%	≥95%	No
7.	Connections	**Water network connection timeliness**: Water network connections constructed within target timeframes.	≥95%	96%	≥95%	No

[199] SAWRD20 average performance includes all quarters of performance for 2020-23 and Q1 and Q2 of 2023-24.

Service standards			SAWRD20 target	SAWRD20 average performance[199]	Draft SAWRD24 target	Change to current framework?
8.	Connections	**Sewer network connection timeliness**: Sewer network connections constructed within target timeframes.	≥94%	96%	≥94%	No
9.	Response (attendance)	**Water quality responsiveness – Adelaide metropolitan area:** Water quality service requests assessed by field staff that have resolution or plan of action communicated with the customer within target timeframes.	≥97%	99%	≥97%	No
10.	Response (attendance)	**Water quality responsiveness – regional areas**: Water quality service requests assessed by field staff that have resolution or plan of action communicated with the customer within target timeframes.	≥99%	100%	≥99%	No
11.	Response (attendance)	**Water event responsiveness – high priority – Adelaide metropolitan area:** Water network break and leak events with the greatest customer or community impact attended by field crews within target timeframes.	≥99%	100%	≥99%	No
12.	Response (attendance)	**Water event responsiveness – high priority – regional areas:** Water network break and leak events with the greatest customer or community impact attended by field crews within target timeframes.	≥99%	99%	≥99%	No
13.	Response (attendance)	**Water event responsiveness – low priority – Adelaide metropolitan area:** Water break, leak, and boundary events with low to medium customer or community impact attended by field crews within target timeframes.	≥83%	88%	≥83%	No
14.	Response (attendance)	**Water event responsiveness – low priority – regional areas**: Water break, leak, and boundary events with low to medium customer or community impact attended by field crews within target timeframes.	≥97%	99%	≥97%	No

Service standards			SAWRD20 target	SAWRD20 average performance[199]	Draft SAWRD24 target	Change to current framework?
15.	Response (attendance)	**Sewer event responsiveness – Adelaide metropolitan area:** Sewer events attended by field crews within target timeframes.	≥99%	100%	≥99%	No
16.	Response (attendance)	**Sewer event responsiveness – regional areas:** Sewer events attended by field crews within target timeframes.	≥99%	100%	≥99%	No
17.	Restoration[200]	**Water service restoration timeliness – Adelaide metropolitan area**: Unplanned interruptions to a water service restored within target timeframes.	≥98%	99%	≥98%	No
18.	Restoration	**Water service restoration timeliness – regional areas**: Unplanned interruptions to a water service restored within target timeframes.	≥98%	98%	≥98%	No
19.	Restoration	**Sewerage service restoration timeliness – Adelaide metropolitan area:** Unplanned interruptions to a sewer service restored within target timeframes.	≥95%	97%	≥95%	No
20.	Restoration	**Sewerage service restoration timeliness – regional areas:** Unplanned interruptions to a sewer service restored within target timeframes.	≥99%	100%	≥99%	No
21.	Restoration	**Sewer overflow clean-up timeliness – Adelaide metropolitan area:** Sewer overflow clean-ups completed within target timeframes.	≥98%	96%	≥98%	No
22.	Restoration	**Sewer overflow clean-up timeliness – regional areas:** Sewer overflow clean-ups completed within target timeframes.	≥99%	99%	≥99%	No

[200] Minor administrative amendments to the wording of performance measures in the 'Restoration' category have been made to improve clarity. These amendments do not change the requirements of the performance measures.

6.1 Introduction

The Water Retail Code – Major Retailers (**Code**) sets out behavioural standards and minimum requirements that SA Water must meet in the sale and supply of retail services to its customers. Its obligations include a requirement to use its best endeavours to meet service standards.[201] 'Best endeavours' has the meaning given to it in clause 1.8 of the Code; '*act in good faith and use all reasonable efforts, skill and resources*.' Code compliance is a condition of SA Water's retail licence.[202]

Service standards describe what customers can expect from SA Water and are intended to reflect the quality and reliability levels valued by customers, now and in the long term. The standards, and the level they are set at, influence the cost of service delivery, and are an important reference point in defining lowest sustainable prices.

The Commission's expectation is that service standards should:

- cover the elements of service that matter to customers[203]
- draw on genuine and thorough customer engagement[204]
- not duplicate other regulatory requirements (such as those relating to health, environmental protection, and safety and technical requirements), unless there is evidence that customers value a service level beyond those minimums, and
- reflect what customers are willing to pay for, as consideration of the inherent trade-offs between prices and service levels (quality and reliability) is a central concern in establishing efficient service standards.

In competitive markets, these trade-offs are resolved through competition between alternative providers. In the case of SA Water, a monopoly provider operating with no competitive constraint in the relevant market, service levels need to be carefully considered and established by the Commission. In doing so, the Commission has engaged with stakeholders and SA Water, obtained relevant information, and then considered whether customers are willing to pay for improvements to current service levels, or would prefer lower service levels in exchange for lower prices.

6.2 Current service standard framework

The SAWRD20 final determination contained 22 service standards, set out in Schedule 1 of the Code.[205] These included three new service standards to address gaps in customer service that were identified as important to customers.[206]

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[201] Current service and reliability standards are set out in Schedule 1 of the Code, available at https://www.escosa.sa.gov.au/ArticleDocuments/21489/20200701-Water-RetailCode-MajorRetailers-MR03.pdf.aspx?Embed=Y.

[202] Clause 6.3 of SA Water's licence requires it to comply with applicable service standards determined by the Commission. SA Water's current and past applicable service standards and performance targets are available at www.escosa.sa.gov.au/industry/water/codes-and-guidelines/service-standards.

[203] Essential Services Commission of South Australia, *SA Water Regulatory Determination 2020: Guidance Paper 2*, p. 4, available at www.escosa.sa.gov.au/ArticleDocuments/1200/20181101-Water-SAWRD20-GuidancePaper3-ServiceStandards.pdf.aspx?Embed=Y.

[204] Ibid, p. 5.

[205] Essential Services Commission of South Australia, *Schedule 1: Service Standards*, pp. 1-7, available at www.escosa.sa.gov.au/ArticleDocuments/21489/20200701-Water-ServiceStandardsSchedule-July2020-30June2024.pdf.aspx?Embed=Y.

[206] The three new service standards introduced for SAWRD20 were: customer satisfaction, first contact resolution (for account enquiry calls), and complaints handled in-house without escalation to EWOSA.

The SAWRD20 service standards address customer service, connections, responsiveness (attendance) and restoration. There are separate responsiveness and restoration service standards for the Adelaide metropolitan area and regional areas. Performance targets for each service standard were set using historical average performance over the longest possible period.[207]

SA Water is required to use its best endeavours to meet the performance target for each service standard.[208] Performance in individual years may vary from the target. The Code requires that SA Water use its best endeavours to achieve all applicable service standards.[209] Where SA Water misses a performance target but has used its best endeavours to meet the target, and can demonstrate this with reliable supporting information, it may still satisfy the overall service standard, and avoid a Code contravention and a potential adverse compliance response from the Commission.

In general, SA Water's overall service standard performance over SAWRD20 has been consistent with historical performance.

However, for one service standard, clean-up of sewer overflow events in the Adelaide metropolitan area, SA Water failed to meet the performance target for three consecutive years. This has been identified as an area of systemic concern by the Commission (see section 6.3.4.3 below for further analysis).

SA Water also failed to meet the performance target in one year during SAWRD20 for clean-up of sewer overflow events in regional areas, and water event responsiveness for low priority events in the Adelaide metropolitan area. Unlike sewer overflow clean-ups in the Adelaide metropolitan area, the Commission does not consider SA Water's performance against these two service standards to be at risk of ongoing concern. The Commission has recommended that SA Water review its ongoing performance in these areas.

6.2.1 Monitoring and reporting on SA Water performance

The Commission analyses detailed SA Water service standard performance data on a quarterly basis and publishes summary performance reviews and exception reports on its website.[210] In accordance with the Monitoring, Evaluation and Performance Framework (MEPF) established for SAWRD20,[211] SA Water must also publish performance data on its website quarterly, as well as provide an annual self-assessment of its performance.[212]

More information on the MEPF, SA Water's SAWRD20 performance reporting obligations and the final decision on its SAWRD24 public reporting obligations is contained at chapter 18 of this Final Determination.

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[207] When determining performance targets for service standards that aim to maintain current service levels, the Commission uses the longest possible range of performance data to smooth the effect of year-to-year variation. The advantage of smoothing variation is that, sometimes, variation in performance is due to factors in SA Water's operating environment over which it has limited control. Smoothing the data helps to adjust for these performance outliers.

[208] Essential Services Commission of South Australia, *Water Retail Code – Major Retailers*, 1 July 2020, clause 17.1, available at www.escosa.sa.gov.au/ArticleDocuments/21489/20200701-Water-RetailCode-MajorRetailers-MR03.pdf.aspx?Embed=Y.

[209] Ibid, clause 17.

[210] Essential Services Commission of South Australia, *SA Water's regulatory performance*, available at www.escosa.sa.gov.au/industry/water/regulatory-performance/sa-water/sa-water-regulatory-performance.

[211] Essential Services Commission of South Australia, *SA Water Regulatory Determination 2020: Monitoring and evaluating performance,* Implementing the final decisions, January 2021, pp. 1-25, available at www.escosa.sa.gov.au/ArticleDocuments/21627/20210122-Water-SAWRD20-24-MonitoringEvaluationFramework-FinalReport.pdf.aspx?Embed=Y.

[212] SA Water, *Our performance*, available at www.sawater.com.au/about-us/our-publications/our-reports/our-performance-scorecard.

6.3 Service standards for SAWRD24

This section details SA Water's proposal and the Commission's final decision for each group of service standards (customer service, connections, response, and restoration) following consideration of SA Water's proposal.

6.3.1 Customer service standards

SA Water currently has five customer service standards. They relate to telephone responsiveness, complaint responsiveness and three service standards that focus on quality of customer service: customer satisfaction, first contact resolution, and complaints handled by SA Water without escalation to EWOSA.

- Telephone responsiveness

  This was an existing standard from SAWRD16 that was modified for SAWRD20. In SAWRD16, the performance measure required SA Water to answer customer account enquiry and fault calls within 30 seconds. Based on customer research, this service standard performance measure was modified in SAWRD20 to limit its application to customer fault calls only and extend the response time to 50 seconds. The cost saving from these changes allowed SA Water to introduce a first contact resolution service standard in SAWRD20.

- Complaint responsiveness

  This was an existing standard from SAWRD16 that was modified for SAWRD20. In SAWRD16, the performance measure required SA Water to respond to 95 percent of written complaints (received by mail, fax, email, or other means) within 10 business days if complaints do not require investigation, and within 30 business days if investigation is needed. In SAWRD20, the performance target for this standard has required SA Water to respond to all complaints, regardless of whether or not investigation is required, in 10 business days, and applies to all complaints, regardless of whether they are made in writing, by phone, or through another channel. These changes were proposed by SA Water for SAWRD20 and reflected the fact that less than half of all complaints to SA Water are made in writing.[213]

- Customer satisfaction

  This was a new standard introduced in SAWRD20. The performance measure is 'customers who are satisfied with recent service experience', with a target of 93 percent. Customer satisfaction relates to satisfaction with experience in asking a question, reporting a fault, or applying for a new connection, as reported to SA Water by customers.

- First contact resolution

  This was a new standard introduced in SAWRD20. The performance measure is the number of account enquiry telephone calls being resolved at the 'first point of contact' (that is, during the first telephone call), with a target of 85 percent. The service standard was introduced based on findings arising from customer engagement which indicated that customers want to speak with front line staff who are capable of resolving their query without referring them to a different person, and without the customer needing to contact SA Water again.

[213] Reporting to the Commission showed that in 2017-18, 678 written complaints and 1,763 total complaints were received.

- Complaints handled in-house without escalation to EWOSA

  This was a new standard introduced in SAWRD20. It requires that less than 15 percent of customer complaints are escalated to Energy and Water Ombudsman South Australia (EWOSA) (driving a focus on SA Water's first contact and internal dispute resolution processes) and was introduced as proposed by SA Water in SAWRD20.

6.3.1.1 SA Water proposal

SA Water did not propose any changes to the customer service standards or the related performance targets.

6.3.1.2 Consultation on SA Water's proposal

SA Water's targeted engagement on its service standards, undertaken by McGregor Tan,[214] indicated that satisfaction with its customer service was higher for those who had a service experience with it than those who had not.[215] In general, a key observation from SA Water's targeted engagement on customer experience was a focus on improved proactive communications from SA Water. This included the use of an SMS system to acknowledge customer requests, communicate expected timeframes, select an appointment time, and provide regular updates to customers.[216]

The Commission notes that most of the customers surveyed by McGregor Tan on behalf of SA Water for its targeted customer research on service standards identified the SAWRD20 performance target for customer service standard 'First contact resolution' of 85 percent as 'very underwhelming'.[217] Customers in this survey indicated that '*general enquiries should be easy to handle, and 100 percent of the queries should be resolved when the first contact is made*.'[218]

In its submission to the Issues Paper, and its submission to the Regulatory Business Proposal (RBP), EWOSA proposed that the target for complaint escalation be reduced from ≤15 percent to ≤10 percent. EWOSA made this proposal based on SA Water's performance against this target over SAWRD20 (seven percent, six percent, and seven percent), and its view that a tighter target would 'provide greater assurance to customers that their complaints are likely to be dealt with fairly and efficiently by SA Water.'[219]

6.3.1.3 Draft decision analysis

SA Water has performed well across all customer service standards over SAWRD20. In particular, SA Water has exceeded the following two service standard performance targets:

- 'First contact resolution'

  SA Water reported an average performance rate of 99 percent across the three and a half years of SAWRD20 so far. However, the Commission identified uncertainties regarding SA Water's methodological approach to its performance reporting on this service standard. In reporting its performance, SA Water uses the Customer Care Agent's perspective to determine whether a customer account query has been resolved, rather than a customer perspective. Although SA Water does survey customers to ask if their query has been resolved, it notes that this survey can only be

[214] McGregor, pp. 1-116.
[215] SA Water, *Regulatory Business Plan 2024-28,* Appendix 4.2, p. 8.
[216] McGregor, p.7, 52.
[217] Ibid, p. 7, 51.
[218] Ibid, p. 7, 51.
[219] Energy and Water Ombudsman South Australia, *Submission on the Issues Paper*, p. 2, and Energy and Water Ombudsman South Australia, *Submission to Regulatory Business Plan*, p. 4.

sent to callers who used a mobile phone. For 2022-23, SA Water stated the results of its customer survey on the question of 'Was your query resolved during your call?' were:

- Yes = 88.7 percent
- No = 2.5 percent
- Too soon to tell = 8.8 percent.[220]

Although these survey results only reflect a sample of customer experience (that is, do not include customers using a landline, or those who choose not to respond to the survey), they are different from SA Water's reported performance of 100 percent first contact resolution in 2022-23.

While the Commission considered increasing the performance target for SAWRD24 to reflect historical performance, before doing so the Commission will work with SA Water to better understand its reporting methodology and the extent to which it is reflective of actual customer experience. Accordingly, the Commission will retain the existing performance target for SAWRD24 and review it for SAWRD28.

- 'Complaint escalation'

  SA Water has achieved an average performance rate of 7 percent escalation across the three and a half years of SAWRD20 so far. This significantly exceeds the SAWRD20 target of ≤15 percent.

6.3.1.4 Draft decision

The Commission's draft decision was to:

- Maintain the current performance target for customer service standard 'First contact resolution' and update Guideline 2 to outline the Commission's expectation that reporting is reflective of actual customer experience.
- Strengthen the performance target for customer service standard 'Complaint escalation' to ≤10 percent of customer complaints escalated to EWOSA. The Commission decided not to set the target at seven percent, the outturn performance during SAWRD20, in recognition of the limited number of years of data. The Commission proposed to review this target again for SAWRD28 and may adjust the target at that time (dependent on obtaining and considering additional information). The Commission expects SA Water to at least maintain existing levels of performance, which would meet the revised target without any additional costs for customers.

6.3.1.5 Consultation on draft decision

The Commission received three submissions on customer service standards, from SA Water, EWOSA and South Australian Federation of Residents and Ratepayers Associations (SAFRRA).

In relation to the 'First contact resolution' service standard, SA Water stated that it would work with the Commission to implement an approach to reporting on this service standard that is more reflective of customer experience during RD24, for implementation in RD28.[221]

SA Water, EWOSA and SAFRRA supported the Commission's draft decision to lift the 'Complaint escalation' target to ≤10 percent of customer complaints escalated to EWOSA.

[220] Information provided to the Commission, 13 October 2023.
[221] SA Water, *SA Water's response to ESCOSA's Draft Determination*, p. 20.

6.3.1.6 Final decision analysis

As stakeholder submissions support the draft decision, and no further evidence or information has been submitted on this matter, the Commission considers that there is nothing to indicate its draft position needs to change.

6.3.1.7 Final decision

For the reasons stated above, the Commission confirms its position in respect of this component of the draft decision.

6.3.2 Connection service standards

SA Water currently has three service standards that relate to water and sewer network service connections.

- Connection application responsiveness

  The performance measure for this service standard is that SA Water will process 95 percent of network connection applications within a target timeframe of 20 business days. This applies to both water and sewer connections. This was an existing standard from SAWRD16 that was not modified for SAWRD20.

- Water network connection timeliness

  The current service standard is that SA Water will construct 95 percent of water network connections within target timeframes of 25 business days for standard installations, or 35 business days for non-standard installations. This was an existing standard from SAWRD16 that was not modified for SAWRD20.

- Sewer network connection timeliness

  The current service standard is that SA Water will construct 94 percent of sewer network connections within target timeframes of 30 business days for standard installations, or 50 business days for non-standard installations. This was an existing standard from SAWRD16 that was not modified for SAWRD20.

6.3.2.1 SA Water proposal

SA Water did not propose any changes to the connection service standards or the related performance targets.

6.3.2.2 Consultation on SA Water's proposal

No matters were raised in consultation on SA Water's connection service standards.

SA Water's targeted engagement on the existing service standards revealed that, while at least one in two customers desired improvement in the connection performance targets, less than one in 10 were willing to pay for any improvement.[222]

6.3.2.3 Draft decision analysis

SA Water's performance against its three connection service standards in the first three and a half of years of SAWRD20 has been consistent with its historical performance, as such it appears reasonable

[222] McGregor, pp. 59-60.

to continue to monitor SA Water's performance in this area in line with current practice. The Commission audited SA Water's performance on connection services in 2017.

6.3.2.4 Draft decision

The Commission did not propose any changes to the connection service standards or related performance targets for SAWRD24.

6.3.2.5 Consultation on draft decision

The Commission received and considered two submissions on connection service standards from EWOSA and SA Water. These submissions supported the Commission's draft decision to maintain the existing service standards and associated performance targets where SA Water's current performance was satisfactory.

6.3.2.6 Final decision analysis

As stakeholder submissions support the draft decision, and no further evidence or information has been submitted on this matter, the Commission considers that there is nothing to indicate its draft position needs to change.

6.3.2.7 Final decision

For the reasons stated above, the Commission confirms its position in respect of this component of the draft decision.

6.3.3 Response service standards

SA Water currently has eight service standards that relate to response (attendance). Two are for response to water quality complaints (metropolitan and regional), two are for attendance at water events (network breaks, leaks, and bursts) – high priority (metropolitan and regional), two are for attendance at water events (network breaks, leaks, and bursts) – low priority (metropolitan and regional), and two are for attendance at sewerage network overflows (metropolitan and regional).

- Water quality complaints (metropolitan and regional)

  These were existing standards from SAWRD16 that were modified for SAWRD20.[223] The current service standards are that SA Water will respond to 97 percent of water quality complaints in the Adelaide metropolitan area, and 99 percent of water quality complaints within regional areas, within target timeframes. The definitions of water quality event priorities and associated response timeframes are:

  - Priority 1, where the request indicates potential risk to human health – one hour.
  - Priority 2, where the request indicates taste and odour issues or contaminated/dirty water – two hours.
  - Priority 3, all other water quality reports, for example milky/cloudy water – 48 hours.

[223] The definition of priority one events was made broader than the SAWRD16 definition to capture all complaints that indicate a potential risk to human health.

- Water network event responsiveness – high priority (metropolitan and regional)

  These were existing standards from SAWRD16 that were modified slightly for SAWRD20.[224] The performance measures for these service standards in SAWRD20 are that SA Water must respond to 99 percent of water network breaks, leaks and bursts in the Adelaide metropolitan area, and 99 percent of water network breaks, leaks, and bursts in regional areas, within required timeframes, as shown in Table 6.2 below.

- Water network event responsiveness – low priority (metropolitan and regional)

  These were new service standards introduced in SAWRD20. The performance measures for these standards are that SA Water must respond to 83 percent of events in the Adelaide metropolitan area and 99 percent of events in regional areas within the required timeframes. Low priority water network events include leaking or noisy meters, and minor issues that have a limited customer or community impact. 'Low' priority events are defined as priority 3 and priority 4 events. See Table 6.2 below for priority definitions and associated response timeframes for water network events.

Table 6.2: Priority definitions for water network event responsiveness

Priority	Definition
Priority 1	Water network break and leak events with the greatest customer or community impact. For example, total loss of supply to a customer, major loss of water, events that cause major or significant damage to property, events that pose an immediate danger to people or the environment. Timeframe: 1 hour
Priority 2	Any other water network break or leak event with potential for high impact to customers or the community. Timeframe: 5 hours
Priority 3	Water network break, leak and boundary events with medium customer or community impact, usually at the boundary, for example, a leaking meter. Timeframe: 7 days
Priority 4	Water network break, leak and boundary events with low customer or community impact, usually at the boundary, for example, a meter that cannot be located or read, or a noisy meter. Timeframe: 15 days

- Sewerage network overflows (metropolitan and regional): These were existing service standards from SAWRD16 that were not modified for SAWRD20. The performance measures for the standards are that SA Water will attend 98 percent of sewer network overflows in the Adelaide metropolitan area, and 99 percent of sewer network overflows within regional areas, within the required timeframes. The definitions of sewer network overflow event priorities and associated response timeframes are:
  - Priority 1, where the overflow is inside a customer's building – one hour.
  - Priority 2, where the overflow is outside a building on customer's property – two hours.
  - Priority 3, where the overflow is external to a customer's property – four hours.

[224] Priority 1 events were changed to clarify that such events are those that cause 'major or significant' damage, as previously Priority 1 events may have captured those where there is very minor damage.

6.3.3.1 SA Water proposal

SA Water proposed that the measurement of service standard responsiveness metrics in regional areas be amended to accommodate the travel time required to reach the event by deducting travel time from its overall response time.[225] This would affect service standards 10, 12, 14 and 16.

SA Water stated that, due to the remoteness of some areas of the state, long travel times may be required for field crews to attend incidents, which can make it impossible for SA Water to meet the required response timeframes.[226] For example, where there is a regional response event with a priority 1 timeframe of one hour, travel time can exceed this target response time.

SA Water also noted its concerns that travel time performance measures have the potential to result in unsafe behaviour from its staff in attempting to meet the target timeframes.[227] SA Water considered establishing additional workshops to reduce travel times to regional areas but concluded that this would be '*an unreasonable additional capital and operating expense for the Corporation's customers*.'[228]

6.3.3.2 Consultation on SA Water's proposal

In its engagement with the Customer Challenge Group (CCG), SA Water discussed its proposed change to response times for regional response service standards. SA Water notes that that CCG '*agreed that maintaining a regional service standard the same as a metropolitan standard in these instances may create an incentive to drive unsafely to attend an event in time to meet the standard. As such, measuring response times to allow for travel time was considered acceptable*.'[229]

After further clarification was sought from CCG members on the measurement of the service standards, SA Water asked the CCG members for explicit feedback on the following proposal: 'that when measuring attendance service standards in regional areas, the travel time should be deducted from response time.' [230] SA Water stated that '*the CCG indicated strong support for this adjustment*.'[231]

SA Water stated that it provided an overview of existing service standards and performance along with the proposal to deduct travel time from regional response times in its deliberative engagement program with the Peak Bodies Engagement Forum (PBEF). SA Water stated that the PBEF '*expressed support to retain the current set of service standards with potential tweaks to recording performance*.'[232]

The Commission sought specific feedback on SA Water's proposal in its meeting with the Consumer Advisory Committee (CAC), on 29 June 2023. CAC members raised the following key points on SA Water's proposal to deduct travel time from response times for regional response service standards:

- If the service standard response timeframes already include provision for travel time, the current approach to setting service standards seems reasonable.
- It is not clear why SA Water need the response times changed when it is meeting the existing performance targets.

On this basis, CAC members put the view that further information was needed from SA Water on why travel time should be deducted from regional response service standard timeframes.

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[225] SA Water, *Regulatory Business Plan 2024-28*, p. 126.
[226] Ibid, p. 125.
[227] Ibid, p. 125.
[228] Ibid, p. 125.
[229] Ibid, p. 124.
[230] Ibid, p. 124.
[231] Ibid, p. 124.
[232] Ibid, p. 125.

In its submission to the Issues Paper and its submission on SA Water's RBP, EWOSA suggested a 'remote' category for regional response service standards with a different performance target than existing regional response service standards. EWOSA proposed that this new category would provide:

> '*SA Water with a greater ability to meet the targets in a way that was still safe to their workers, the impacted customers and the broader community, without requiring unreasonable additional capital and operating expenses that would raise water and sewerage prices for all customers*.'[233]

In its submission on the SA Water RBP, the Environment Protection Authority (EPA) stated that the proposed regional response service standard target timeframes are acceptable but in instances where the response time is not met, due to factors outside SA Water's control, this should be reflected in SA Water's performance reporting.[234]

6.3.3.3 Draft decision analysis

The regional response performance targets are an *average* of SA Water's historical performance. The average performance targets account for the fact that travel time, or some other factor outside SA Water's control, is likely to prevent it achieving 100 percent performance on these service standards.

Over the SAWRD20 period, SA Water has consistently met all regional response performance targets. This demonstrates that SA Water is maintaining its performance against its historical levels.

SA Water has provided detailed data on the number of regional response events it has attended in relation to service standards 10, 12, 14 and 16, and the number of those events it attended on time.

This data illustrates that during SAWRD20 so far, where a response event (water quality request, water event, or sewer event) occurred in a regional area:

- SA Water attended 1,451out of 1,513 priority 1 events within the required one-hour response timeframe (that is, 96 percent achievement against target timeframe)
- SA Water attended 937 out of 939 priority 2 events within the required two-hour response timeframe (that is, 100 percent achievement against target timeframe)
- SA Water attended 13,016 out of 13,034 priority 2 and 3 events within the required four or five-hour response timeframe (that is, 100 percent achievement against target timeframes)
- SA Water attended 26,553 out of 26,837 priority 3 or 4 events within the required timeframe of 48 hours (that is, 99 percent achievement against target timeframe).

SA Water's detailed performance on regional response service standards is reflected in Table 6.3 below, which demonstrates that SA Water is meeting, or exceeding, its performance targets for regional responsiveness.

[233] Energy and Water Ombudsman South Australia, *Submission on the Issues Paper,* p. 2, and Energy and Water Ombudsman South Australia, *Submission to Regulatory Business Plan*, pp. 1-3.
[234] Environment Protection Authority, *Submission to Regulatory Business Plan*, p. 5.

Table 6.3: SA Water performance on regional response service standards over SAWRD20

Service standards – Regional response	SAWRD20 target	Average RD20	2023-24 YTD (Q1 & Q2)	2022-23	2021-22	2020-21
10. Water quality responsiveness	99%	100%	100%	100%	100%	100%
12. Water event responsiveness – high priority	99%	99%	99%	100%	99%	99%
14. Water event responsiveness – low priority	97%	99%	99%	99%	99%	99%
16. Sewer event responsiveness.	99%	100%	100%	99%	100%	100%

Evidence from SA Water on missed priority 1 events from 2020-22,[235] suggests:

- 25 percent of the missed priority 1 events were within 25km of an SA Water facility, and
- 70 percent of the missed priority 1 events are located between 25km and 50km from an SA Water facility.

This suggests at least one quarter of missed priority 1 regional response events are more likely to be related to SA Water performance rather than travel time.

The Commission considered the following options in relation to the performance targets to reflect the matters raised above, in addition to maintaining the targets at their current level.

- SA Water proposal to deduct travel time from regional response times

  Deducting travel time automatically from the response time target, without increasing the target, may incentivise a reduction in the level of service currently experienced by customers.

  The performance targets have been set at a level that already accounts for instances where a one-hour response timeframe is not achievable for SA Water. SA Water is not expected, or obligated, to attend 100 percent of regional response events within target timeframes, so this allows for circumstances where SA Water is prevented from meeting response time targets. Additionally, the requirement to apply best endeavours involves consideration of external factors beyond SA Water's reasonable control that prevent it from meeting targets.

- Average or median response times

  In Victoria, average response timeframe targets are used for regional response metrics.[236] If an average response time was used for priority 1 regional response events, the target timeframes would need to be reset. The Commission would need to assess SA Water's historical response time data to set an average response time target for regional response performance targets. An average response time would provide greater flexibility to SA Water in achieving the performance target than a hard one-hour response time. However, the Commission considers that the current best endeavours standard also provides flexibility by allowing SA Water to provide evidence of how it has used its best endeavours to meet the performance target but has not, due to factors outside its control (such as long travel times).

[235] Noting that the direct line distance used does not consider traffic congestion, speed limits and road conditions.
[236] Essential Service Commission of Victoria, *Water Industry Standard – Urban Customer Service,* Clause 18.2, July 2023, pp. 1-86, available at www.esc.vic.gov.au/sites/default/files/documents/Water%20Industry%20Standard%20-%20Urban%20Customer%20Service%20-%20version%202%2020230701.pdf.

- Remote response times

  In its submission to the Commission's Issues Paper and its submission on SA Water's RBP, EWOSA suggested:

  > *For Service Standard 22: Sewer Overflow Clean-up Timeliness – Regional Areas, that the target be split into regional and remote areas, with different performance targets applying to both.*[237]

  The Commission considers this proposal equally applicable to the regional response service standards. The Commission could establish a separate 'remote' category for 'response' service standards that would provide SA Water with additional time to attend events farther than a specified distance from a manned SA Water facility. Although this proposal may result in SA Water missing fewer target response times for regional areas, it would do so at the cost of potentially requiring customers who are moved into a 'remote' class to wait longer for SA Water attendance. Accordingly, the Commission considers that the addition of extra travel time for 'remote' events may result in a lower standard of service for these customers.

6.3.3.4 Draft decision

The Commission's draft decision after considering the above matters, was to retain the performance measures for regional response service standards for SAWRD24 as they are currently set for SAWRD20.

The Commission noted that this service standard target is based on average historical performance, which allows for the target to be met despite instances where travel constitutes a significant portion of, or exceeds, the response time for particular events. In that context, the Commission does not consider that individual instances where the travel time exceeds the response time should create a risk of unsafe driving practices for SA Water staff.

The Commission expect SA Water to be identifying, managing, and mitigating any identified work, health, and safety risks as part of its obligation to provide safe systems of work under the *Work Health and Safety Act 2012* and to implement and enforce processes so that SA Water staff comply with all relevant road traffic laws. This includes communicating to workers that the average service standard performance targets do not require attendance at every event within the target timeframe.

SA Water has confirmed to the Commission that it has safe travel procedures in place and a review of SA Water driver incidents does not indicate concerns in this regard. However, if SA Water remains of the view that unsafe driving practices are a risk of occurring within its business, it may wish to review its systems, processes and controls related to regional travel to ensure they are effective.

Where SA Water does not meet a performance target due to factors outside its control, such as long travel times, the Commission expects it to undertake, and publish, a best endeavours assessment that identifies these instances and explains the relevant factors with appropriate supporting information.

[237] Energy and Water Ombudsman South Australia *Submission on the Issues Paper* , pp. 1-5.

6.3.3.5 Consultation on draft decision

The Commission received and considered four submissions on response time service standards from EWOSA, SAFRRA, SA Water and the CCG.

EWOSA and SAFRRA supported the Commission's draft decision not to accept SA Water's proposal to remove travel time from the regional response target timeframes.[238]

However, SA Water and the CCG did not support the Commission's draft decision.

SA Water stated that:

> *'The Commission's logic is flawed, however, as the intended effect of SA Water's proposed amendments is to continue to deliver the expected level of service standards but to merely remove clear aberrations in performance that are due to circumstances beyond SA Water's control which affect the measurement of adherence to the standards.'*[239]

In addition, SA Water stated that it:

> *'Should not be held to standards that cannot physically or safely be achieved (in the case of regional travel times and site access), or where they are counter to customer wishes.'*[240]

The CCG stated that the Commission's draft decision not to accept SA Water's proposal to adjust the regional response service standard does not reflect a best practice performance approach. Instead, it considered that the Commission's current approach establishes *'indicators that can never be achieved and relies instead on 'excuses' or explanation to rationalise/clarify data.'*[241]

6.3.3.6 Final decision analysis

While SA Water and the CCG did not agree with the Commission's draft decision, they did not present any further evidence in support of changes to these targets.

The Commission emphasises that the obligation to apply best endeavours to meet average annual targets, does not, and cannot, compel SA Water to meet a response time for *a specific event* if this would place workers at risk and/or involve breaching any other legal requirements (if there are no reasonably practicable measures available to address these risks). Further, the Commission confirms that legal requirements to have safe systems of work are mitigating factors that the Commission will consider when assessing SA Water's compliance with average annual service standards.

As no further evidence or information has been submitted on this matter, the Commission considers that there is nothing to indicate that its draft position needs to change.

6.3.3.7 Final decision

The Commission does not consider that instances where the travel time exceeds the response time should create a risk of unsafe driving practices for SA Water staff, as the service standard – being an annual average – does not have to be met for every response instance.

The Commission confirms its position in respect of this component of the draft decision, to retain the performance measures for regional response service standards for SAWRD24 as they were set for SAWRD20.

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[238] Energy and Water Ombudsman South Australia, *Submission to Draft Regulatory Determination*, p. 1, and South Australian Federation of Residents and Ratepayers Associations, p. 4.
[239] SA Water, *SA Water's response to ESCOSA's Draft Determination*, p. 18.
[240] Ibid, p. 18.
[241] Customer Challenge Group, p.4.

6.3.4 Restoration service standards

SA Water currently has six service standards that relate to timeframes for restoration. Two are for water network service restoration (metropolitan and regional), two are for sewerage network service restorations (metropolitan and regional), and two are for sewerage network overflow clean-ups (metropolitan and regional).

- Water network service restoration (metropolitan and regional)

  These are existing service standards from SAWRD16 that were modified slightly for SAWRD20 to reflect historic performance.[242] The performance measure for these standards is that SA Water will restore 98 percent of unplanned water service interruption in the Adelaide metropolitan area and 98 percent of unplanned water service interruptions in regional areas within the required timeframes. The category timeframes and definitions are:

  - Category 1, where the interruption could be life-threatening or otherwise have serious consequences, such as impacting critical needs customers, hospitals, schools, residential care facilities, childcare centres, prisons, youth detention facilities or other correctional facilities – 5 hours.
  - Category 2, where the interruption causes a disruption to a customer's business activities – 8 hours.
  - Category 3, all other cases – 12 hours.

- Sewerage network service restorations (metropolitan and regional)

  These are existing service standards from SAWRD16 that were not modified for SAWRD20. The current service standards are that SA Water will perform 95 percent of sewerage network service restorations in target timeframes for metropolitan areas and perform 99 percent in target timeframes for regional areas. The category timeframes and definitions are:

  - Category 1, where the interruption could be life-threatening or otherwise have serious consequences, such as impacting critical needs customers, hospitals, schools, residential care facilities, childcare centres, prisons, youth detention facilities or other correctional facilities – 5 hours.
  - Category 2, where the interruption causes a disruption to a customer's business activities – 5 hours.
  - Category 3, all other full loss of service events – 12 hours.
  - Category 4, all partial loss events where a customer has a sewerage service, but it is draining slowly – 18 hours.

- Sewerage network overflow clean-ups (metropolitan and regional)

  These are existing service standards from SAWRD16 that were not modified for SAWRD20. The current service standards are that SA Water will perform 98 percent of sewer overflow clean-ups in target timeframes for metropolitan areas and perform 99 percent in target timeframes for regional areas. The category timeframes and definitions are:

[242] For SAWRD20 the Commission used SA Water's historical performance data to set a target for SAWRD20 that was one percent lower than the SAWRD16 target. Additionally, 'prisons, youth detention facilities or other correctional facilities' were added to the list of examples in the Category 1 definition in the Code's service standard schedule, to align it with the list of examples in the Commission's Water Industry Guideline Number 2, which already includes these facilities.

- Category 1, where a sewer overflows inside a customer's building – 4 hours.
- Category 2, where a sewer overflows outside a building on a customer's property – 6 hours.
- Category 3, where a sewer overflows, external to customer's property – 8 hours.

6.3.4.1 SA Water proposal

SA Water proposed a measurement variation to the metropolitan and regional sewer overflow clean-up service standard performance targets to account for unavoidable or agreed delays.

SA Water identified three drivers of underperformance that it considers outside of its control in relation to performance against sewer overflow clean-up in both metropolitan and regional areas:

- Customer requested delays

  SA Water stated that customers often request a delay to sewer overflow clean-ups, which leads to the target response times being missed.[243] SA Water's reasons for these delays include the customer leaving the property, wanting to avoiding noise disturbance at night-time, and customers needing time to remove personal property prior to clean-up.[244] SA Water also noted that customer-requested delays make up the majority of the missed events, and that agreeing to an alternative time upon a customer's request improves customer outcomes.

- Safety risks

  SA Water put the view that, where safety issues arise in the course of cleaning up sewer overflows, completing the work in the required response time could put SA Water workers, or the community, at risk.[245]

- Access issues

  SA Water reported that sewerage overflow events sometimes occur in areas that it is unable to gain access to, such as behind locked gates, which impacts its ability to meet the response timeframes.[246]

6.3.4.2 Consultation on SA Water's proposal

In SA Water's targeted customer research on service standards, the majority of SA Water customers stated they '*were happy with the standards for responding to sewer overflows inside or outside the customer's property.*'[247] While SA Water's willingness to pay research suggested its customers were willing to pay to reduce the number of sewer overflows onto customer properties and to the environment, the amount they were willing to pay was less than the cost to deliver the proposed investment.[248]

In its engagement with the PBEF, SA Water stated that it provided an overview of existing service standards and performance along with the proposed change to the metropolitan sewer overflow clean-up performance measure. SA Water put the view that the PBEF '*expressed support to retain the current set of service standards with potential tweaks to recording performance.*'[249]

[243] SA Water, *Regulatory Business Plan 2024-28*, p. 121.
[244] Ibid, p. 123.
[245] Ibid, p. 123.
[246] Ibid, p. 123.
[247] McGregor, p, 46.
[248] SA Water, *Regulatory Business Plan 2024-28*, p. 102.
[249] Ibid, p. 125.

The Commission sought specific feedback on SA Water's proposal in its meeting with the CAC on 29 June 2023. CAC members raised the following key points on SA Water's proposal to remove factors outside its control in its calculation of performance against the metropolitan sewer overflow clean-up service standard:

- It makes sense that service standard performance targets take into account a customer's request for a delay.
- Some of SA Water's concerns could be addressed through reporting. If SA Water is not meeting a standard, it needs to provide a reason why.
- Customer experience scores can be tested on service types – for example satisfaction scores for people who have experienced an overflow.

This feedback has been considered in the draft decision below.

In its submission to the Issues Paper, EWOSA proposed that, where a performance target is not achieved and the best endeavours standard is not met, or there is otherwise a potential compliance issue, the Commission should undertake an independent assessment of the situation and provide a public statement.[250] EWOSA considers that this would provide stakeholders with an assurance that SA Water's performance is being monitored, and compliance measures are implemented where needed.

The Commission notes that, although it does undertake monitoring and analysis of SA Water's service standard performance[251] and has a Significant Performance Event reporting framework,[252] improved reporting on missed performance targets was a theme raised by other stakeholders, including SA Council of Social Services (SACOSS) and the CAC. The Commission will address this issue with changes to SA Water's public reporting requirements on missed performance targets and improved communication from the Commission on SA Water's performance, explained in the draft decision below, and more generally in chapter 18.

In its submission on the RBP, the EPA stated that the proposed service standards are acceptable, however in instances where the response time is not met due to factors outside SA Water's control, this should be reflected in SA Water's performance reporting.[253]

In its submission on the RBP, the Office of the Technical Regulator (OTR) noted that additional information is needed from SA Water to support the proposed change to service standard 21, including:

- An explanation of why there has been a consistent decrease in meeting the clean-up time target over the last four years. The reasons for customer requested delays stated are reasonable, but there is no explanation as to why an increase of requests has occurred.
- A breakdown of the delays which were beyond SA Water's control (that is, safety and access issues vs customer requested delays).[254]

[250] Energy and Water Ombudsman South Australia, *Submission on the Issues Paper,* p. 2.
[251] Essential Services Commission of South Australia, *SA Water's regulatory performance*, available at www.escosa.sa.gov.au/industry/water/regulatory-performance/sa-water/sa-water-regulatory-performance.
[252] Essential Services Commission of South Australia, *Significant performance event reporting framework*, available at www.escosa.sa.gov.au/industry/water/regulatory-reporting/significant-performance-event-reporting-framework.
[253] Environment Protection Authority, *Submission to Regulatory Business Plan*, p. 5.
[254] Office of the Technical Regulator, *Submission to Regulatory Business Plan*, p. 1.

6.3.4.3 Draft decision analysis

SA Water stated that removing instances where it does not meet the target clean-up timeframes due to factors outside its control would enable it to meet the performance target for service standard 21 and 22 '*without the need for best endeavours to be considered.*'[255]

Currently, for instances where target timeframes are not met due to these issues, SA Water must provide information and evidence to demonstrate that it has nevertheless used its best endeavours.

SA Water has met the performance target for service standard 22 in two and a half years of SAWRD20 so far and missed the target in one year. However, it has consistently failed to meet the performance target for service standard 21 so far in SAWRD20. SA Water has stated that it considers that, where it missed the performance targets, it met the targets on a best endeavours basis.[256]

The Commission noted that the performance targets are an average of SA Water's historical performance, which includes historical instances where target timeframes were not met due to factors outside SA Water's control. The Commission expects some variability in performance against these targets. However, SA Water's failure to have thus far met the performance target for service standard 21 in SAWRD20 may indicate an underlying performance issue as SA Water is no longer maintaining its historical performance against this service standard.[257]

Table 6.4: Sewer overflow clean-up timeliness SAWRD20 performance so far

Service standard	SAWRD20 target	SA Water performance			
		2023-24 YTD (Q1 & Q2)	2022-23	2021-22	2020-21
21. Sewer overflow clean-up timeliness – metro Sewer overflow clean-ups resolved within the target timeframes.	98%	96%	95%	97%	96%
22. Sewer overflow clean-up timeliness – regional Sewer overflow clean-ups resolved within the target timeframes.	99%	100%	99%	98%	99%

The Commission noted that National Performance Reporting data for urban water utilities in 2021-22 indicates that SA Water leads the major water utilities on the number of property sewer breaks and chokes per 1,000 properties.[258] For 2021-22, SA Water had 35 property sewer breaks or chokes per 1,000 properties, against a median number of four breaks or chokes per 1,000 properties for other major water utility providers.[259] This is an increase on the previous four years, where SA Water

[255] SA Water, *Regulatory Business Plan 2024-28*, p. 125.
[256] SA Water, *Regulatory Business Plan 2024-28*, p. 122.
[257] The Commission has raised this issue with the South Australian Department of Health as to whether extended periods of not meeting the service standard could present an increased risk to human health and the environment though the discharge of pathogens and pollutants. Staff from the Department of Health have confirmed that they are generally comfortable with SA Water's response to sewer overflows and note that they normally do not see delays in clean-up for major spills.
[258] Bureau of Meteorology, *National Performance Reports: Urban Water Utilities 2021-22*, Section 7: Assets, 201-22, p. 61, available at www.bom.gov.au/water/npr/.
[259] Ibid, p. 61.

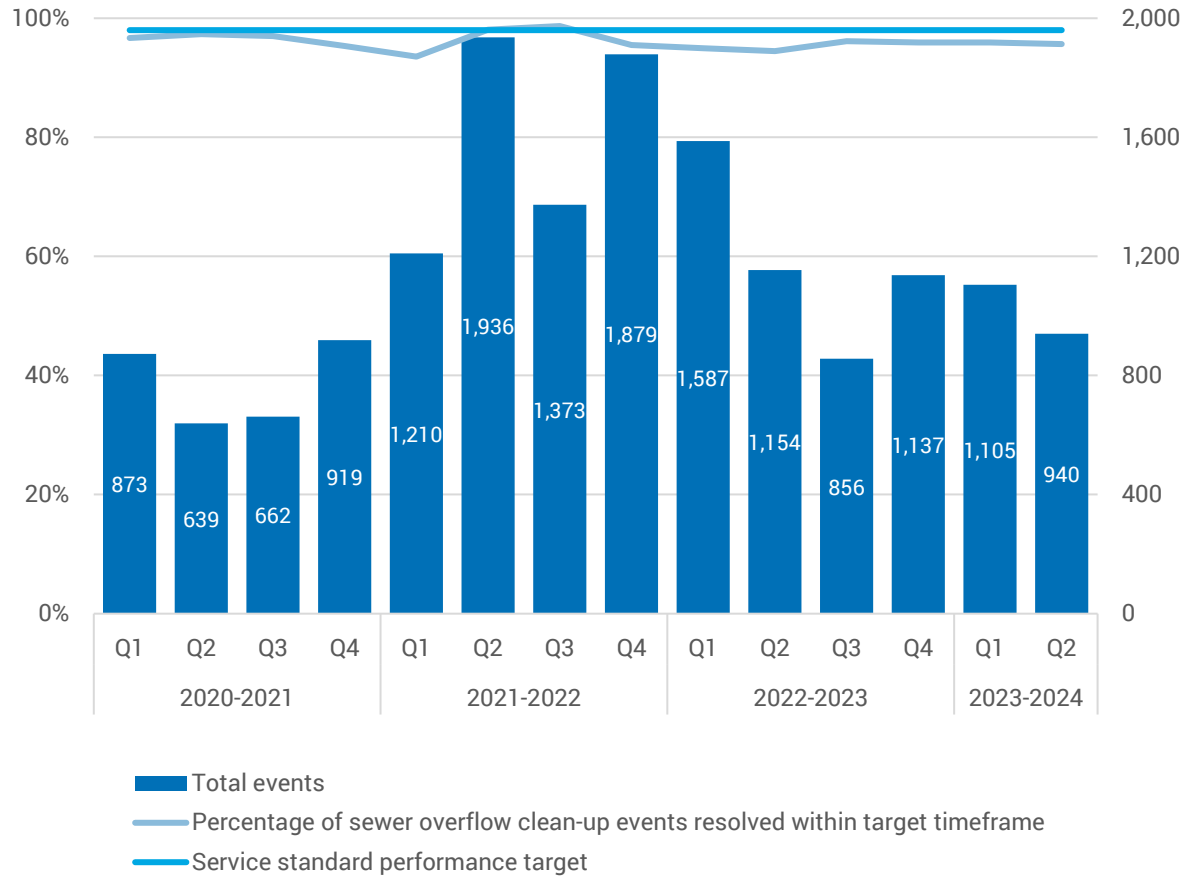
averaged 27 sewer breaks or chokes per 1,000 properties,[260] and is possibly reflected in the significant increase in sewer overflow clean-up events that occurred in 2021-22 as illustrated below in Figure 16.1.

SA Water has reported to the Commission that the increase in sewer overflow clean-up events in 2021-22 is due to multiple factors, including COVID-19 leading to more people working at home '*to report overflows / blockages and an increase in blockages requiring clean-ups caused by items that should not have been disposed of in the sewer network such as wet wipes, fat, and other foreign objects*.'[261]

SA Water has undertaken a social media campaign to educate its customers about what items can and cannot be flushed into the sewer system to help address this problem.[262]

Figure 6.1 below demonstrates that on a quarterly basis, in particular Q2 2021-2022, SA Water can meet the performance target even where total clean-up events are at record highs.

Figure 6.1: SAWRD20 quarterly performance against service standard 21 - sewer overflow clean-up timeliness – Adelaide Metropolitan



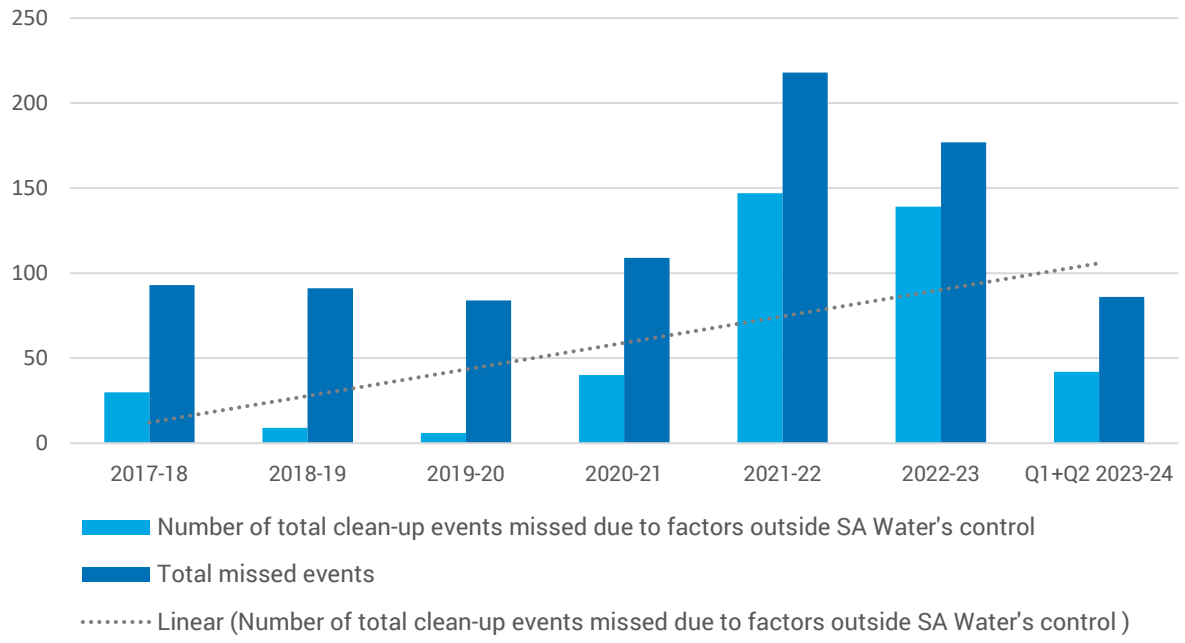
The Commission has been closely monitoring SA Water's performance against service standard 21 over the four-year SAWRD20 period. Of particular concern to the Commission is SA Water's continued

[260] Ibid, p. 64.
[261] Information provided to the Commission by SA Water in its 2021-22 regulatory performance report, 30 September 2022.
[262] SA Water, *Bad flushing habits getting rinsed by South Australians*, available at www.sawater.com.au/news/bad-flushing-habits-getting-rinsed-by-south-australians.

decline in category 1 response performance – where a sewer overflows inside a customer's building, which dropped to 80 percent in Q3 and 81 percent in Q4 2022-23.[263]

SA Water has provided six years of data on the number of missed events that it states are due to factors outside its control. As the data in Figure 6.2 below shows, the number of events claimed to be missed due to factors outside its control has substantially increased, as a percentage of total missed events, from an average of 16 percent in the three years prior to SAWRD20 to an average of 58 percent in SAWRD20 so far.

Figure 6.2: Total missed events and missed events outside SA Water's control for service standard 21 - sewer overflow clean-up – Adelaide metropolitan area



The Commission sought to understand why the claimed number of sewer clean-up events that are impacted by factors outside SA Water's control has increased substantially, and what measures SA Water is taking to maintain its historical performance levels. SA Water has noted that '*If customer requested delays, safety concerns, and access issues were [taken into consideration], our performance for most quarters would be in-line with historical performance*'.

This response fails to acknowledge that its historical performance – the baseline for the targets – *includes* these factors outside its control.

The Commission noted that SA Water engaged a new service contractor, Lendlease, in the Adelaide metropolitan region on 1 July 2020. In response to a request from the Commission on how it authenticates customer requested delays reported by its contractor, SA Water explained that its process involves the contractor self-reviewing every incidence of a failure to meet the performance target. SA Water stated that it is common for customer delay requests to follow late night sewer restorations or completion of a partial clean-up. In those instances, SA Water's cleaning subcontractor arranges to return to the customer's residence in the morning to complete the clean-up. An SA Water technical team then reviews each instance of a failure to meet the performance target to determine

[263] SA Water achieved an average of 99 percent performance on category 1 events during SAWRD16. However, its performance on category 1 events has continued to decline over SAWRD20: in 2020-21 it was 94 percent, in 2021-22 it was 89 percent and in 2022-23 it was 87 percent.

whether performance by the contractor and cleaning subcontractor was acceptable. SA Water requests further information from the contractor about missed events as required. [264]

The Commission understands that SA Water's process for monitoring customer satisfaction with sewer overflow clean-ups to be that issues raised by dissatisfied customers are handled one-on-one, and an overall satisfaction level is not recorded or monitored.[265]

Following consideration of the matters above, the Commission does not consider that adjusting the performance measure for service standard 21 to enable SA Water to remove factors outside its control prior to it assessing its performance is appropriate. The Commission has three primary concerns with this proposal:

- Best endeavours test

  SA Water's proposal was to adjust the performance metric to enable it to remove factors outside its control prior to calculating its performance. SA Water stated that the purpose of its proposal is to enable it to meet the performance targets for service standard 21 and 22 '*without the need for best endeavours to be considered.*'[266] This means that in instances where SA Water does not meet the performance target due to factors it considers outside of its control, it would not have to provide any evidence that it has accurately determined and categorised the excluded events. As such, adjusting the performance metric as proposed by SA Water would, in effect, enable it to conduct a silent assessment of whether it had employed its best endeavours in meeting the target without any oversight by the Commission or the public.

  This contrasts with expectations the Commission has established around performance reporting and transparency through the SAWRD20 final determination, which required SA Water to:

  > '*…complete performance self-assessments for each service standard during SAWRD20, to demonstrate its understanding of performance outcomes and its response to those outcomes, and to share successes and approach issues openly*'.[267]

  The Commission acknowledged that if the performance target for service standard 21 is no longer attainable by SA Water on a long-term basis due to factors outside SA Water's control, it may need to be reassessed. If that were case, the Commission would use SA Water's performance data over SAWRD24 to determine the reasonableness of the current performance target for SAWRD28 and, if required, set a new target that reflects the level of service that customers value. The Commission would expect clear evidence from SA Water to substantiate claims of factors outside of its control, for example, evidence of customer-initiated requests for delays (for example, evidence of consent).

- Increasing number of events beyond SA Water control

  The Commission indicated it was concerned by the increasing proportion of missed events that are categorised as caused by factors beyond SA Water's control. In the three years prior to SAWRD20, for service standard 21, an average of 16 percent of all missed events were categorised as due to a factor outside SA Water's control. During SAWRD20, this average has increased to 58 percent. As evidence is still being sought from SA Water on what is driving this increase, the Commission does not consider it appropriate to allow SA Water to exclude these instances from its performance reporting without further review.

- Historical performance

  SA Water's performance targets for its service standards are based on its historical performance. This historical performance includes missed events due to factors outside SA Water's control.

[264] Information provided to the Commission by SA Water on 3 May 2023.
[265] Information provided to the Commission by SA Water 15 September 2023.
[266] SA Water, *Regulatory Business Plan 2024-28*, p. 125.
[267] Essential Services Commission of South Australia, *SA Water Regulatory Determination 2020*, p. 99.

Allowing SA Water to report against the target after these missed events have been removed from its performance will in effect lower the service standard performance target.

6.3.4.4 Draft decision

Following consideration of all of the above, the Commission's draft decision was to retain the current performance targets for service standards 21 and 22 for SAWRD24 and require SA Water to provide more, and more detailed, annual performance reporting where it misses service standard targets. This will assist consumers by improving transparency on service levels delivered and should drive increased performance accountability from SA Water.

To implement this proposal, the Commission drafted a clause in the Code that requires SA Water to provide a public, transparent best endeavours assessment of any missed annual service standard performance targets and has provided a proforma in Water Industry Guideline No. 2 Regulatory Information Requirements – Major Retailers (Guideline 2) for this purpose. The proforma will require SA Water to report publicly on how it has met the best endeavours standard for any missed service standard targets in a manner that details its performance gross of the factors outside its control, and net of those factors.

This will clearly illustrate for the Commission and the public where SA Water's performance is significantly affected by factors outside its control. It will also provide a public record of such instances and inform future assessment of the reasonableness, or otherwise, of performance targets. The draft decision also acknowledged feedback from stakeholders that more detailed information on SA Water's performance against its service standards, particularly where it misses performance targets, should be included in its performance reporting.[268]

6.3.4.5 Consultation on draft decision

The Commission received four submissions on sewer overflow clean-up service standards from EWOSA, SAFRRA, SA Water and the CCG.

EWOSA and SAFRRA supported the Commission's draft decision not to accept SA Water's proposal to remove missed events outside SA Water's control from the sewer overflow clean-up target timeframes.[269]

However, SA Water and the CCG did not support the Commission's draft decision.

SA Water stated that:

> *'The Commission's logic is flawed, however, as the intended effect of SA Water's proposed amendments is to continue to deliver the expected level of service standards but to merely remove clear aberrations in performance that are due to circumstances beyond SA Water's control which affect the measurement of adherence to the standards.'*[270]
>
> And that:
>
> *'It should not be held to standards that cannot physically or safely be achieved (in the case of regional travel times and site access), or where they are counter to customer wishes…* [and that] *an*

[268] CAC meeting 29 June 2023, and South Australian Council of Social Service, *Submission on the Issues Paper*.
[269] Energy and Water Ombudsman South Australia, *Submission to Draft Regulatory Determination*, p. 1, and South Australian Federation of Residents and Ratepayers Associations, p. 4.
[270] SA Water, *SA Water's response to ESCOSA's Draft Determination*, p. 18, available at: https://www.escosa.sa.gov.au/projects-and-publications/projects/water/sa-water-regulatory-determination-2024

upfront consideration of these matters would be more efficient than continual reporting and assessment."[271]

SA Water also submitted that it considers best endeavours assessments require independence and objectivity and, as such, the Commission should be undertaking these assessments of SA Water's performance rather requiring SA Water to self-assess its performance.[272]

The CCG stated that the Commission's draft decision not to accept SA Water's proposal to adjust the regional response service standard does not reflect a best practice performance approach. Instead, it considered that the Commission's current approach establishes *'indicators that can never be achieved and relies instead on 'excuses' or explanation to rationalise/clarify data.'*[273]

6.3.4.6 Final decision analysis

While SA Water and the CCG did not agree with the Commission's draft decision, they did not present any further evidence in support of a change to the performance targets.

The Commission expects SA Water to be using its best endeavours, at all times, in planning for, managing and responding to service standard events - this is the fundamental principle of a best endeavours standard. In doing so, SA Water should be able to demonstrate to all stakeholders that it is meeting this standard though an effective culture, systems, processes, and controls.

SA Water's compliance system should not rely on the Commission making public statements or best endeavours assessments about SA Water's performance for it to verify that it is meeting its regulatory requirements. Instead, and in line with the Commission's compliance framework, SA Water should be providing assurance that it is meeting its regulatory obligations under the Act, its licence, and the Code.

To ensure data integrity in SA Water's public reporting on best endeavours, the Commission sought further information from SA Water on the processes it uses to confirm the number of sewer overflow clean up events that are missed (missed events) due to factors outside its control.

SA Water provided evidence that it has developed a self-assessment process to determine whether the cause of the missed event was outside the control of the cleaning contractor. The process includes:

- information on each missed event provided by the contractor to SA Water
- a review of, and investigation into, each missed event by SA Water, which may include a review of photos, recorded phone calls and a review by a technical team
- a monthly meeting of relevant parties to discuss missed events in further detail, and
- the approval, or otherwise, of missed events by the General Manager and two Senior Managers.

This process is managed through an SA Water procedure that specifically requires the consideration of whether best endeavours to meet the target timeframe was employed by the cleaning contractor.

Based on this evidence, the Commission is satisfied that SA Water has processes in place to undertake best endeavours self-assessments in relation to missed performance targets for sewer overflow clean-ups and provide accurate public reporting on these instances. These processes should assist SA Water in communicating to the Commission and the public on how it has employed its best endeavours where a service standard performance target has been missed.

[271] Ibid, p. 18.
[272] Ibid, p. 19.
[273] Customer Challenge Group, p. 4.

6.3.4.7 Final decision

For the reasons stated above, the Commission confirms its position in respect of this component of the draft decision, to retain the current performance targets for service standards 21 and 22 for SAWRD24 and to require SA Water to provide more detailed annual performance reporting where it misses service standard targets.

6.3.5 Consideration of new service standards

6.3.5.1 SA Water proposal

SA Water has not proposed any new service standards for SAWRD24.

6.3.5.2 Consultation on SA Water's proposal

No stakeholders have proposed any new service standards for SA Water over the SAWRD24 period.

6.3.5.3 Draft decision analysis

In SAWRD20, the Commission determined that SA Water would have a regulatory obligation to improve water and sewer network reliability and metropolitan drinking water quality. That was based on SA Water's significant program of capital expenditure across SAWRD20 to renew water and sewer network service infrastructure and improve drinking water quality for metropolitan Adelaide customers.[274] However, rather than setting service standards to reflect these proposed improvements, the Commission required SA Water to set and commit to achieving performance measures and targets and to undertake an annual public self-assessment on its performance against those measures.[275]

The purpose of this reporting, as outlined in the MEPF,[276] was to require SA Water to demonstrate a clear 'line of sight' between service objectives, inputs, and outputs by publicly reporting on its progress in achieving outcomes it committed to deliver in SAWRD20.

In accordance with this requirement over the SAWRD20 period, SA Water set performance measures in the form of customer service level targets for its network service reliability and water quality and published a self-assessment of its performance against these targets annually.[277]

The Commission considered that the self-assessment approach has allowed a more holistic understanding of SA Water's performance and has provided greater transparency on the relationship between SA Water's customer levels of service, the management of various risks in providing that service and the expenditure required to achieve those service outcomes. For instance, in its RBP, SA Water has explained how its asset management objectives incorporate these service levels and how the service levels are informed through customer engagement.[278] Specifically, it notes how 'willingness to pay' feedback, which did not indicate support for increased levels of service reliability, informed

[274] Section 6 direction requiring SA Water invest $155.5 million in renewal of water and wastewater mains to improve service reliability. See South Australian Government Gazette, 11 June 2020, available at: www.governmentgazette.sa.gov.au/2020/June/2020_050.pdf and the proposed Metropolitan Adelaide water quality program included $80.1 million for SAWRD20 in Essential Services Commission of South Australia, *SA Water Regulatory Determination 2020*, p. 174.

[275] Essential Services Commission of South Australia, *SA Water Regulatory Determination 2020*, p.260-261.

[276] Essential Services Commission of South Australia, *SA Water Regulatory Determination 2020: Monitoring, Evaluation and Performance Framework* established for RD20, pp. 1-25.

[277] SA Water's self-assessments on its performance improving water and sewer network reliability for its customers are located on its website in its annual 'Key Investments areas' reports, available at: www.sawater.com.au/about-us/our-publications/our-reports/our-performance-scorecard.

[278] SA Water, *Submission to Regulatory Business Plan*, p. 131.

SA Water's proposed expenditure initiatives and the resulting level of service for water interruptions in SAWRD24.[279]

As such, the Commission proposed that SA Water's self-assessment approach on water and sewer network reliability and water quality should continue for SAWRD24 as set out below.

- Water and sewer network reliability

  In SAWRD20, SA Water set a range of customer service level targets for water and sewer network service reliability that were an improvement on its previous service levels. For SAWRD24, SA Water has proposed to 'maintain' its existing customer service level targets for water and sewer network reliability.

  Based on the amount of planned capital expenditure that is still to be invested by SA Water to improve water and sewer network reliability for the remainder of SAWRD20, the Commission anticipates SA Water will either maintain, or continue to improve, its network service reliability. Considering it has already exceeded its SAWRD20 customer service level targets for water reliability, the Commission suggested that SA Water review whether these customer service level targets are reasonable, or if they could be increased to match its current performance trajectory.

  The Commission's draft decision was that SA Water should continue to provide public reporting on its current customer service levels and performance measures for water and sewer network reliability. These customer service levels, and SA Water's performance across SAWRD20 in achieving them, are set out in Table 6.5 below.

Table 6.5: Waste and sewer network reliability performance metrics and targets[280]

Service	Service level	SAWRD20 target	2020-21 result	2021-22 result	2022-23 result	SAWRD24 target
Water	Number of unplanned interruptions per 1,000 properties per year	<153	169.4	145.7	188.7	<153
Water	Number of customers with three or more unplanned interruptions	<1,750	2,073	1,482	1,848	<1,750
Sewer	Number of customers that have had an internal overflow in the past 12 months	<191	212	296	235	<191
Sewer	Number of customers experiencing more than one sewer internal overflow in five years	<21	34	34	48	<21
Sewer	Type 1 and 2 environmental overflow events reported to the Environment Protection Authority (five-year annual average)	<135	120	128	131	<135

[279] Ibid, p. 100, 161.

[280] Data obtained from SA Water's annual 'Key Investments areas' reports, available at www.sawater.com.au/about-us/our-publications/our-reports/our-performance-scorecard.

As set out in chapter 18, the Commission has decided to codify SA Water's public reporting requirements. Accordingly, the Commission has included annual public reporting requirements for these key investment areas in the Code and in Water Industry Guideline No. 2.[281]

The Commission may consider the establishment of service standards for water and sewer network reliability in SAWRD28, when the relevant significant capital expenditure programs approved for implementation over SAWRD20 are complete, and SA Water has sufficient historical performance data for meaningful targets to be set.

- Monitoring and reporting on water aesthetics

For the SAWRD20 period, the Commission decided that SA Water should monitor and self-report on improvements in metropolitan Adelaide water quality delivered through significant increased expenditure planned for the four-year regulatory period. While these improvements in water quality were driven by SA Water's statutory obligation under section 24 of the *Safe Drinking Water Act 2011*, to ensure that the water supplied to customers is safe to drink, water quality improvements were also anticipated. As is the case for the water and sewer network reliability measures described above, the Commission required SA Water to set performance measures and provide annual public reports on its progress.

SA Water set a performance measure at the beginning of the SAWRD20 period and provided public self-assessments against this measure in its annual Key Investments Areas reports.[282]

In its RBP, SA Water proposed a program of works for SAWRD24 that 'maintain' its existing customer service level for water quality.[283] This customer service level, and SA Water's performance across SAWRD20 in achieving it, is set out in Table 6.6 below.[284]

Table 6.6: Metropolitan water quality improvement performance in SAWRD20 (and SAWRD24 target)

Performance measure	SAWRD20 target	2020-21 performance	2021-22 performance	2022-23 performance	SAWRD24 target
Customer perception of overall quality of water	80%	84%	78%	79%	80%

Similar to the water and sewer network reliability improvements, SA Water's incurred capital expenditure as part of its program for metropolitan Adelaide water quality improvements has been below its initial plans as part of SAWRD20[285]. SA Water has proposed significant capital expenditure over SAWRD24 to continue to improve metropolitan water quality over SAWRD24.[286] As discussed in Chapter 11, there are expected to be challenges in delivering the profile of capital expenditure for water quality improvements over SAWRD24. Accordingly, on this basis, the

[281] See chapter 18 for more details.

[282] SA Water's self-assessments on its performance improving water aesthetics are located on its website in its annual '*Key Investments areas*' reports, available at: www.sawater.com.au/about-us/our-publications/our-reports/our-performance-scorecard

[283] The customer service measure 'Customer perception of overall quality of water' is monitored through SA Water's quarterly brand health surveys, which sample 300 residents and 100 small to medium-sized businesses online and over the phone. 75 per cent of customers are metropolitan, the balance regional.

[284] SA Wate, *Submission to Regulatory Business Plan*, p. 203.

[285] For example, for SA Water's Metro Water Quality Improvement project, this has reflected, in part, challenges associated with implementing the technology, and there were impacts on customer perceptions of water quality and there were skin rash complaints and impacts on aquatic pets.

[286] SA Water, *Submission to Regulatory Business Plan*, p. 203.

Commission anticipates a maintained, or improved, level of customer perception of water quality over SAWRD24.

The Commission's draft decision was that SA Water continue to provide public reporting on the current performance metric for metropolitan water quality improvement.

As the Commission has decided to codify SA Water's public reporting obligations, it has included annual reporting requirements for key investment areas in the Code and Guideline 2.[287] The Commission may consider the establishment of a service standard for customer perceived water quality in SAWRD28, when the relevant significant capital expenditure programs approved for implementation over SAWRD20 are complete, and SA Water has sufficient historical performance data for a meaningful target to be set.

6.3.5.4 Draft decision

The Commission made a draft decision not to adopt any new service standards for SAWRD24. Instead, the Commission's draft decision was that SA Water continue to provide public reporting on the current performance metrics for water and sewer network service reliability and metropolitan water quality improvement.

6.3.5.5 Consultation on draft decision

The Commission received and considered submissions on this matter from SA Water and OTR.

In its response to the Commission's draft decision, SA Water supported the Commission's draft decision not to establish new service standards for SAWRD24.[288]

In its submission, the OTR stated that it supports the Commission's draft decision to consider the establishment of service standards for water and sewer network reliability in SAWRD28 when the relevant significant capital expenditure programs approved for implementation in RD20 are complete and SA Water has sufficient historical performance data for meaningful targets to be set.[289]

6.3.5.6 Final decision analysis

As stakeholder submissions supported the draft decision and no further evidence or information was submitted on this matter, the Commission considers that there is nothing to indicate that its draft position needs to change.

With regards to water and sewerage infrastructure reliability, the Commission currently monitors this through reporting obligations contained in Water Regulatory Information Requirements – Major Retailers (Water Industry Guideline No.2). These existing reliability reporting obligations include quarterly reporting on the number of unplanned water and sewerage service interruptions and annual reporting on the:

- number of customers with three or more unplanned service interruptions
- average duration of unplanned service interruptions (minutes)
- average frequency of unplanned service interruptions, and
- the number of water main breaks, and sewer main breaks and chokes (per 100km of main).

SA Water's water and sewer network reliability is also published in the National performance report for urban water utilities prepared by the Bureau of Meteorology.

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[287] See chapter 18 for more details.
[288] SA Water, *SA Water's response to ESCOSA's Draft Determination*, p. 19.
[289] Office of the Technical Regulator, *Submission to Draft Regulatory Determination*, p. 2.

The Commission will continue monitoring these reliability indictors, as well as SA Water's Key investment area self-reporting on water and sewer network reliability published on its website, across SAWRD24.

6.3.5.7 Final decision

For the reasons stated above, the Commission confirms its position in respect of this component of the draft decision.

6.4 Guaranteed Service Level scheme

A Guaranteed Service Level (GSL) scheme is a system for making defined payments to individual customers who experience certain types of poor service. Typically, GSL scheme payments do not compensate customers for any losses they experience because of poor service; they simply provide a customer service gesture.

In making its final determination for SAWRD20, the Commission considered and decided not to introduce a GSL scheme during SAWRD20.[290]

Although it does not have a GSL scheme, SA Water makes some service gesture payments to customers in its discretion on a case-by-case basis. For example, when a billing error has been made, or where property is damaged by water or sewerage and SA Water is responsible. Occasionally, SA Water makes service gesture payments to a large group of customers. For example, SA Water has indicated it will make service gesture payments equivalent to the quarterly supply charge to approximately 5,000 customers affected by the 25-26 October 2023 water interruptions in Adelaide's southern suburbs.[291]

SA Water also sometimes makes payments to assist customers to manage high water use or leakage that occurs on the customer's side of the meter. The Commission considers service gesture, high water use and leakage payments to be a reasonable part of SA Water's customer service program.

The Commission's SAWRD20 final determination included a decision to require reporting, at an aggregate level, on SA Water's service gesture, high water use and leakage payments. This was not implemented in the July 2020 update to Guideline 2 but will be incorporated in the version of Guideline 2 that will apply from 1 July 2024. The Commission will consult with SA Water on categories for reporting.

The purpose of this reporting is not to discourage SA Water from making payments of this nature but to ensure that expenditure on these payments is transparent and informs any future consideration of a more formalised scheme of customer payments.

6.4.1.1 Draft decision

The Commission proposed to require reporting to the Commission on SA Water service gesture, high water use and leakage payment, in accordance with the SAWRD20 final determination.

6.4.1.2 Consultation on draft decision

The Commission received one submission on this matter from SA Water.

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[290] Essential Services Commission of South Australia, *SA Water Regulatory Determination 2020*, p. 110.

[291] Australian Broadcasting Corporation, *SA Water to compensate thousands of residents who were left without water for days*, available at SA Water to compensate thousands of residents who were left without water for days - ABC News.

SA Water noted that any new reporting requirements may require additional time, resources, and system changes to implement the proposed reporting, and may not be able to be implemented from 1 July 2024.[292] SA Water noted that any costs to comply would need to be considered in the Final Determination.

In its later response to Guideline 2 and in response to a specific information request on reporting costs, SA Water did not identify any specific costs associated with implementing reporting on GSL payments.

6.4.1.3 Final decision analysis

The Commission requested further information on the additional time, resources and system changes that would be needed to implement the proposed reporting, however no specific costs were identified by SA Water.

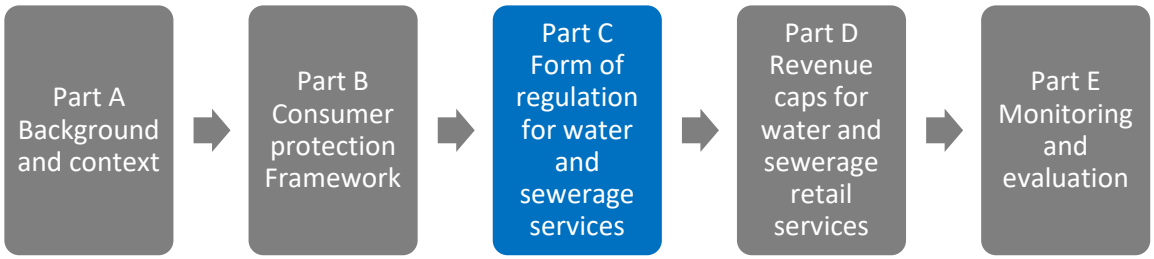
Accordingly, as no further evidence or information has been submitted on this matter, the Commission considers that there is nothing to indicate that its draft position needs to change.

6.4.1.4 Final decision

For the reasons stated above, the Commission confirms its position in respect of this component of the draft decision.

[292] SA Water, *SA Water's response to ESCOSA's Draft Determination*, p. 20.

Part C – Form of regulation for water and sewerage retail services



Part C covers the proposed forms of price regulation to apply to SA Water's water and sewerage retail services, as defined in the *Water Industry Act 2012*.

This includes the form of regulation for 'direct control' water and sewerage retail and related adjustment mechanisms. These are regulated through a price determination that establishes separate revenue caps for each service. The revenue caps fix SA Water's revenues for four years subject to mechanisms that allow for the pass-through of certain unforeseen costs and revenue changes due to variations in demand. This approach is consistent with the requirements of the Pricing Order that applies to the SAWRD24 regulatory period.

In addition, Part C covers the form of regulation for retail services that are not covered by the 'direct control' revenue caps described above. This includes retail services such as the supply of recycled water, the provision of new connections and trade waste services. These are regulated under a separate price determination that establishes pricing principles that SA Water must take into account when setting prices for those services.

7 Revenue caps and adjustment mechanisms for direct control retail services

Form of regulation for direct control retail services

As a part of the SAWRD24 regulatory determination:

- SA Water's direct control water and sewerage retail services are each subject to a four-year maximum total revenue cap, covering the period 1 July 2024 to 30 June 2028. (Pricing Order, clauses 4.1, 4.2 and 4.3)
- The revenue caps are based on the forecast efficient and prudent costs of providing water and sewerage retail services during the 2024-28 regulatory period, are prepared, and presented based on a building blocks cost model, are set in real (inflation-adjusted) terms, and are set at a fixed dollar amount, subject to the ancillary (adjustment) variation mechanisms specified in the Pricing Order as explained below. (Pricing Order, clauses 5.1 and 5.2)

The adjustment variation mechanisms:

- A 'cost pass-through' mechanism is included, which permits adjustment of the revenue caps in the 2028-32 regulatory period where an event beyond the control of SA Water has, or will have, a material impact on SA Water's costs of providing water or sewerage retail services within the 2024-28 regulatory period. (Pricing Order, clause 4.6)
- A 'demand variation adjustment' mechanism is included, which permits adjustment of the revenue caps in the 2028-32 regulatory period to account for any material differences between forecast and actual water and sewerage retail service revenue earned, due to differences between forecast and actual water sales and sewerage connections. (Pricing Order, clause 4.5)
- A 'shared infrastructure' mechanism for water retail services which permits adjustment of the revenue caps in the 2028-32 regulatory period, by 10 percent of the difference between actual and forecast revenues from the 2024-28 period, for the provision of non-regulated services by SA Water that utilise water retail service infrastructure.
- A 'shared infrastructure' mechanism for sewerage retail services which permits adjustment of the revenue caps in the 2028-32 regulatory period, by 10 percent of the revenue earned by SA Water in the 2024-28 regulatory period, for the provision of non-regulated services by SA Water that utilise sewerage retail service infrastructure.
- A 'River Murray licence adjustment' mechanism will be included and will reduce revenue caps in the subsequent regulatory period to reflect income derived by SA Water from the sale of water allocations associated with River Murray water entitlements.

7.1 Introduction

7.1.1 Incentive-based regulation

As noted in Chapter 3, having regard to the natural monopoly characteristics of SA Water and the potential for inefficient prices and/or service provision, the Commission considers it appropriate to regulate SA Water's retail services. That form of regulation, as explained in the rest of this chapter, operates under an incentive-based regulatory framework.

The practice of economic regulation of water utilities in Australia and around the world typically operates under incentive-based schemes. Incentive-based regulation for infrastructure service providers (such as water utilities) is often implemented in a way that provides a regulated utility with incentives to incur costs lower than maximum revenues or prices set by the regulator.

Key aspects of incentive-based price regulation include:

- The presence of clear, binding service standards, along with expectations that the regulated utility will undertake appropriate long-term asset maintenance, renewal, and planning. An effective service standard framework and asset management focus is critical for the success of economic regulation, as it allows services that are valued by customers to not be compromised by the incentive for the business to improve, innovate and reduce costs.
- The regulator making a forecast of the prudent and efficient costs that are likely to be incurred by the regulated utility over the regulatory period, based on the best available evidence and information, and formally determining the overall revenues or prices that allow for the recovery of efficient costs during the period.
- The revenues or prices being fixed for the period and generally only permitted to change under very limited and specified circumstances (for example, where an event occurs outside the regulated utility's control that leads to a material change in costs).
- By keeping revenues or prices generally fixed, the regulated utility is provided with an incentive to incur costs below the regulatory forecasts, as it is able to retain the amount of underspend for the remainder of the regulatory period (or a longer period, depending on the incentive mechanisms established by the regulator), provided that it maintains service and quality levels, and undertakes appropriate asset maintenance, renewal, and planning. This provides an incentive for the regulated utility to become more efficient over time.
- There is an expectation that efficiency improvements within the regulatory period will benefit customers in the subsequent period. This is generally achieved through the efficient cost forecasts for the next regulatory period being informed by the efficiency gains made in the previous period (potentially reducing revenues or prices set for that period, all else being equal).

Importantly, under this approach the regulator does not (and, in the case of the Commission's regulation of SA Water cannot) dictate how or when specific expenditure should be incurred. Nor does the regulator set the permitted levels of capital and operating expenditure; rather, the regulatory process sets an overall revenue outcome (for this determination, that is also mandated in the Pricing Order). While the forecasts of overall revenue, and assessments of forecast capital and operating expenses, may incorporate evidence and information (often gained through sampling approaches) about certain projects, programs or initiatives, there is no requirement for the regulated utility to undertake those, provided that it operates prudently and efficiently and achieves the regulatory obligations and service standards set by the regulator, as well appropriate asset maintenance, renewal, and planning.

As such, the regulator's decision relates to overall revenue amounts rather than specific operating capital and operating expenditure budgets, projects, programs, or initiatives. It is not a budget approval for projects, programs or initiatives and nor is it an endorsement (or otherwise) of the same. It is the regulated utility's responsibility to run its business efficiently and effectively within the overall revenue amount, continuously assessing and balancing risk and resource availability with performance and delivery requirements.

7.1.2 Form of regulation for SAWRD24 and the Pricing Order

The Commission is authorised under the *Essential Services Commission Act 2002* (**ESC Act**) and the *Water Industry Act 2012* (**WI Act**) to make price determinations in respect of SA Water's regulated direct control services (water and sewerage retail services). Accordingly, the Commission is responsible for determining the appropriate form of economic regulation to apply to these services for SAWRD24.

In determining the form of regulation to apply for SAWRD24, the Commission must meet any requirements specified in Pricing Orders issued by the Treasurer pursuant to section 35(4) of the WI Act. [293] A Pricing Order was issued on 5 February 2024 in respect of the SAWRD24 regulatory period. [294]

7.2 SA Water's proposal

In its Regulatory Business Proposal (**RBP**), SA Water proposed four-year maximum revenue caps for water and sewerage retail services for SAWRD24, calculated under a building blocks cost model. [295]

SA Water also proposed the continued use of the following SAWRD20 revenue adjustments: [296]

- a cost pass-through mechanism
- a demand variation adjustment mechanism, subject to amendment, and
- an intra-period project review mechanism, subject to amendment.

In the RBP, SA Water proposed amendments of the demand variation adjustment mechanism and intra-period review mechanism, as outlined below.

- Demand variation adjustment mechanism

  SA Water proposed that the current form of the demand variation adjustment mechanism be amended, such that for SAWRD24 the adjustment be calculated based on variations between actual and forecast demand. In practice, this was a proposal that the methodology return to that set out in SAWRD16.

  SA Water's position was informed by research prepared for the Commission by consulting firm, Sapere Research Group (**Sapere**). [297] Sapere's research indicated that the SAWRD16 methodology for the demand variation adjustment mechanism complied more closely with the requirements of the previous Pricing Order, as it captured more of the revenue variation due to demand variation. In contrast, the SAWRD20 methodology for the demand variation adjustment mechanism was designed based on variations between actual and forecast prices. [298]

- Intra-period review mechanism

  SA Water proposed that the current form of intra-period project review mechanism be amended to make it more accessible for SA Water. It proposed that the deadline for stage one (which in SAWRD20 was set at six months after the regulatory period commenced) and that the whole process be consolidated into one stage (rather than utilising a two-stage process).

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[293] For a discussion of the legal requirements for SAWRD24, please see Appendix 2.
[294] Pricing Orders are available at https://www.treasury.sa.gov.au/economy,-taxes-and-rebates/economic-regulation.
[295] SA Water, *Regulatory Business Plan 2024-28*, pp. 260-272.
[296] Ibid, pp. 283-287.
[297] Ibid, p. 284.
[298] Sapere Research Group, *Demand Variation Adjustment Mechanism Review*, Report for the Essential Services Commission of South Australia, July 2022, pp. 1-42.

SA Water considered that the 31 December 2020 deadline for submission of projects under stage one of the mechanism was not practical, as in its view not all new non-discretionary initiatives were known by this date, or where driven by a contingent action, that action may not have eventuated.[299]

SA Water also stated that, due to the timing consideration for SA Water when reacting to unexpected events, implementing a one stage process would make the mechanism more efficient.

In the lead up the draft determination, SA Water advised that it has one known project that it may seek to put forward under the intra-period review mechanism during SAWRD24. It advised that additional projects may emerge over the next regulatory period if external factors change.[300]

In other submissions provided to the Commission during SAWRD20, SA Water sought additional guidance in how to utilise the intra-period project review mechanism, including in relation to criteria, appropriate trigger events, and process steps and information requirements.[301] In its submission to Guidance Paper 3: Assessing the regulatory business plan (**Guidance Paper 3**), SA Water suggested that further work to be undertaken to improve the process for the intra-period project review mechanism and to consider how the mechanism could allow for unanticipated property development growth.[302]

7.3 Consultation on SA Water's proposal

Submissions on the RBP did not comment directly on the form of economic regulation for direct control services to apply to SA Water's water and sewerage retail services.

The Energy and Water Ombudsman South Australia (**EWOSA**) supported the continued use of a demand variation adjustment mechanism (although it noted limitations in SA Water's demand projections for SAWRD24).[303]

In its submission on the RBP, the Property Council of Australia queried how, and to what extent, regulatory mechanisms currently operate to address growth in SA Water's network to accommodate for water and sewerage retail services for greenfield property developments.[304] In its submission on the RBP, it stated that a longer regulatory period (more than four years) would more adequately meet the growth ambitions of the South Australian Government. It further argued that the regulatory framework should be 'more agile' to better respond to changes in housing demand, particularly if they are 'rapid and sudden'.[305] The City of Playford and City of Salisbury raised concerns regarding insufficient focus on infrastructure needs for demand growth in northern metropolitan areas and also 'prohibitive SA Water charges'.[306] Villawood Properties queried a perceived lack of information relating to, and funding for, infrastructure in SA Water's RBP to service demand growth at the urban fringe.[307]

[299] SA Water, *Regulatory Business Plan 2024-28*, pp. 286-287.
[300] Based on correspondence between the Commission and SA Water.
[301] SA Water, *RD24 Framework and Approach*, March 2021, p. 14, 16, available at https://www.escosa.sa.gov.au/ArticleDocuments/21706/20210604-Water-SAWRD24FrameworkApproachSubmission-SAWater.pdf.aspx?Embed=Y.
[302] SA Water, SA Water's *submission to SA Water Regulatory Determination 2024: Guidance paper 3*, August 2022, p. 1, available at https://www.escosa.sa.gov.au/ArticleDocuments/21810/20220810-Water-SAWRD24-GuidancePaper3Submission-SAWater.pdf.aspx?Embed=Y.
[303] Energy and Water Ombudsman South Australia, *Submission to Regulatory Business Plan,* pp. 1-2.
[304] Property Council of Australia, *Submission to Regulatory Business Plan*, pp. 1-4.
[305] Ibid, p. 4.
[306] City of Playford and City of Salisbury, pp.1-2.
[307] Villawood Properties, p. 1.

7.4 Analysis

The following analysis was undertaken for the draft determination and informed the Commission's draft decision and position in respect of the form of regulation.

7.4.1 Four-year revenue caps for direct control services

The Commission's draft decision was to establish separate, fixed dollar amount, four-year maximum revenue caps for water and sewerage retail services to apply for SAWRD24. The revenue cap was proposed to be set with respect to the maximum amount of revenue allowed to be earned over the regulatory period, subject to any adjustment mechanisms (discussed further below).

Under incentive-based regulation, the use of a maximum revenue cap is designed to incentivise efficient behaviour by encouraging SA Water to incur lower expenditure than that reflected in the maximum revenue caps, while still achieving its statutory obligations.

The establishment of a revenue cap for the draft decision aimed to achieve the goals of incentive regulation in several ways.

- The revenue cap would be set with regard to the forecast *real* (inflation-adjusted) costs that would be incurred by a prudent and efficient standalone benchmark entity with the obligations and risks of SA Water, not necessarily SA Water's actual or expected costs.[308]
- The revenue cap would be set as fixed dollar amounts for water and sewerage retail services, not to be adjusted during the course of the regulatory period, apart from specified adjustment mechanisms. In general, changes to SA Water's actual real costs relative to the efficient costs underpinning the maximum revenues would not be passed through to revenues or prices during that period. This incentive-based regulation framework means that SA Water incurs the cost of any overspend and it retains the benefit of any underspend relative to the real, efficient expenditure allowance that was made at the commencement of the regulatory period. If SA Water's realised real costs during the period are below forecasts of efficient costs, then those realised lower costs will likely be reflected in the revenue caps in the subsequent regulatory period. Any costs incurred that are above the efficient amounts used to set revenues are only taken into account if the expenditure is prudent and efficient.[309]
- The draft determination set out that the Commission would monitor, report, and enforce compliance against service obligations to ensure that customer service levels are maintained at the required standards. This was designed to protect consumers against the incentive that SA Water might have (absent relevant competition in the market) to lower service levels in order to reduce realised costs during the regulatory period.

A submission to the RBP from the Property Council of Australia advocated for a regulatory period of longer than four years.[310] The Commission noted in the draft determination that four-year periods have been mandated by the South Australian Government through past Pricing Orders[311] and that, while a longer regulatory period may provide additional certainty, it could raise its own set of risks, including increased forecast risk that could be borne by customers and SA Water. The Commission expects SA Water – as part of its long-term asset management – to work closely with industry, other utilities,

[308] The revenue determination is set in real, not nominal, terms. SA Water receives inflation compensation through the periodic indexation of the regulated asset base.

[309] Any assessment of the efficient and prudent expenditure in the subsequent regulatory period will consider temporary and one-off movements in real costs, and any trends in actual real expenditure in the previous period, and it will consider all available information about the outlook for expenditure over the period.

[310] Property Council of Australia, *Submission to Regulatory Business Plan*, p. 4.

[311] Pricing Orders are available at https://www.treasury.sa.gov.au/economy,-taxes-and-rebates/economic-regulation.

local governments and the South Australian Government on long-term planning and responsiveness to changes in demand. This should mitigate the risk of 'unanticipated' growth and the need for a regulatory period longer than four years.

7.4.2 Building blocks cost model

The Commission's draft position was that the revenue caps for SAWRD24 would be prepared and presented based on a building blocks cost model. The Commission's draft revenue determination proposed to allow SA Water to recover the efficient cost of providing water and sewerage retail services to customers. The draft position set out that the revenue caps would, on an ex-post basis, be subject to various revenue adjustment mechanisms; for example, to allow for the pass-through of certain unforeseen costs and revenue changes due to variations in demand. The revenue caps for water and sewerage services were set out to apply on a State-wide basis.

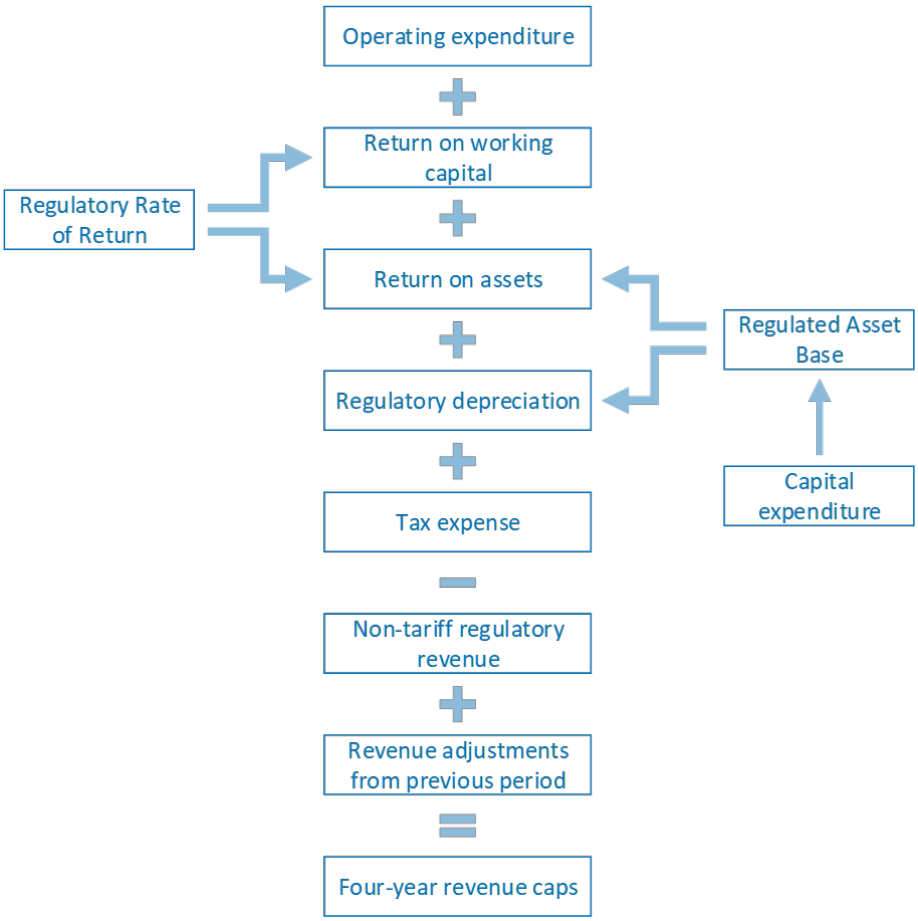
The Commission noted that the building blocks cost model is a commonly accepted economic approach to estimating efficient costs; it is effectively a build-up of the forecast efficient costs of the regulated firm. This approach to setting revenues aligns with the NWI Pricing Principles and the legal framework within which the Commission operates. As it is based on standard and generally accepted (within Australia and internationally) regulatory methodologies,[312] the Commission noted that the approach promoted consistency in regulation with other jurisdictions (refer ESC Act, section 6(b)(vii)).

The Commission highlighted that the efficient costs need not be the costs the regulated business is actually incurring, and it is for the regulated business to demonstrate that its actual costs represent an efficient cost base.

As shown in Figure 7.1, the building blocks cost model involves adding the forecast efficient operating expenditure, return on working capital, return on assets, regulatory depreciation, and tax expense to determine the total efficient costs of providing each service. It deducts revenue that SA Water receives from other sources that contribute towards those costs, such as Community Service Obligations (CSO) payments, to ensure that SA Water does not over-recover those efficient costs.

[312] Petersen et al, *Access Regulation in Australia*, Thomson Reuters (Professional) Australia Ltd, 2016, pp. 69-100; and Decker, *Modern Economic Regulation – An introduction to theory and practice*, Cambridge University Press, 2015, pp. 103-139.

Figure 7.1: Building blocks cost model of water and sewerage services revenue



Adjustments are made to reflect outcomes from the current regulatory period that flow through to the next regulatory period, such as those under the demand variation adjustment mechanism, the shared infrastructure revenue adjustment mechanism and the River Murray water licence adjustment mechanism.

The Commission noted that its revenue determinations exclude any costs associated with services that are not direct control retail services. In some cases, infrastructure may be used to provide direct control retail services, excluded retail services and/or non-regulated services, and those infrastructure costs are apportioned between the services based on relevant cost drivers.[313] SA Water's cost allocation methodology as proposed for SAWRD24 was generally consistent with that applied in previous regulatory periods (although there was an updated realignment in its methodology for SAWRD24).[314]

7.4.3 Cost pass-through adjustment mechanism

The Commission's draft position was to include a cost pass-through mechanism in SAWRD24 in the current form, as:

[313] For a description of SA Water's direct control retail services, its excluded retail services, and its non-regulated services, please see Chapter 4. It is noted that availability charging (also known as rating on abuttal) is a non-regulated service.

[314] SA Water, *Regulatory Business Plan 2024-28*, pp. 214-215.

- it provides a form of flexibility for a revenue-regulated business, without which it may not be able to account for cost impacts of an unexpected, unpreventable, and external event that would cause material disruption
- it carried forward the approach adopted in SAWRD20
- it was supported by SA Water in its RBP, and
- stakeholders did not raise any concerns about it in submissions to the RBP.

The Commission noted it is common practice for economic regulators to use cost pass-through mechanisms in conjunction with either revenue or price controls. The draft determination included a pass-through mechanism that allows maximum revenues to change if there was a change in legal obligation or an extraordinary event, which was exogenous, unavoidable, and materially impacts SA Water's costs of providing water and sewerage retail services. The draft determination did not fix a materiality threshold for a pass-through event. Rather, SA Water can propose if an event is material, having regard to the specific circumstances of the event and its financial impact.[315] Any approved pass-through amount (which could be positive or negative) would be passed through to revenues in the following regulatory period.

Notwithstanding three events highlighted by SA Water, which included COVID-19 related disruptions, bottlenecks in the supply of commodities, freight, and goods, and impacts from the 2022-23 River Murray floods, SA Water did not submit in its RBP any cost pass-through applications for the current period.[316]

7.4.4 Demand variation adjustment mechanism

7.4.4.1 Demand risk and the role of mechanism

The adoption of a maximum revenue cap approach, as specified in the draft determination, can have several important implications for the distribution of demand (volume) risk between SA Water and its consumers.

In theory, and assuming full information and no regulatory lags, under a total fixed revenue cap a regulated firm, such as SA Water, is not exposed to volume risk. This reflects that a firm could adjust prices in response to changes in demand to keep revenue constant and within the fixed revenue cap.[317]

[315] The current mechanism in the SAWRD20 Price Determination states that a purported pass-through event will be material if it satisfies one or more of the following factors: (a) the total cost/expense of the event meets or exceeds $10 million, and (b) the total cost/expense of the event does not meet or exceed $10 million, but the Commission considers that, in the specific circumstances, the passthrough event is of such significance so as to justify the classification of the event as being material having regard to the: (i) impact of the event on SA Water and/or its customers, and/or (ii) practical consequences of the event not being classified as a passthrough event.

[316] SA Water, *Regulatory Business Plan 2024-28*, p. 285.

[317] Decker, p. 123, and Queensland Competition Authority, *Risk and the Form of Regulation*, Discussion paper, November 2012, pp. 13-14, available at https://www.qca.org.au/wp-content/uploads/2019/05/1850_X-QCA-DiscussionPaper-RiskandtheFormofRegulation-1112-2.pdf.

In practice, however, this may not necessarily be the case, as water sales volumes can fluctuate significantly on an annual basis from time to time[318] and the presence of regulatory lags can impact pricing.[319] Furthermore, insofar as the South Australian Government has a preference for price stability within the regulatory period, then this may limit frequent and/or large adjustments in water and sewerage retail prices to keep revenue constant.

In relation to demand risk, the Pricing Order for SAWRD24 requires that the determination:

> '*…must include a mechanism which allows for the adjustment of the total revenue which may be derived where the Commission determines there to be a relevant and material variation between forecast and actual rates of water consumption or sewerage connections. The adjustment mechanism must operate on the basis of efficient costs associated with variations in demand, and so as to promote a stable price path for retail services'.*[320]

7.4.4.2 Approach for SAWRD24

The Commission's draft position was to continue the use of a demand variation adjustment mechanism for water and sewerage retail services, but to:

- adopt the SAWRD16 methodology
- set out a 50-50 sharing percentage between customers and SA Water, and
- exclude the use of a materiality threshold.

The Commission's position was informed by research by Sapere.[321] Sapere was commissioned to review the current form of the demand adjustment mechanism, with the intention to allow the Commission to consider the overall framework and the incentives for the regulated utility.

Sapere reported that the SAWRD16 mechanism was designed to be calculated based on variations between actual and forecast demand, whereas the SAWRD20 methodology was designed based on variations between actual and forecast prices. Consequently, the SAWRD16 methodology complied more closely with the requirements of the previous Pricing Order from SAWRD20, as it captures more of the revenue variation due to demand variation.[322] Further, it has the added advantage of being simpler to implement.[323, 324]

A key design issue relates to how much of the revenue variation is passed through to customers. Ultimately, the appropriate sharing percentage is a matter of judgement for the Commission. While there is a case to consider an approach that a 100 percent pass-through, in which revenue variation is passed fully through to customers, can reduce SA Water's incentives for seeking out business opportunities, and it can contribute to additional volatility between regulatory periods.[325] Further, in

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[318] See Figure 5-10 in SA Water, *Regulatory Business Plan 2024-28*, p. 115.

[319] The presence of regulatory lags can mean that, even if actual volume deviates from forecast, adjustments to prices typically occur with a lag. As such, a regulated firm can experience some deviation from its expected revenues in the interim period (that is, prior to any adjustment). Queensland Competition Authority, *Risk and the Form of Regulation,* pp. 13-14.

[320] Pricing Orders are available at https://www.treasury.sa.gov.au/economy,-taxes-and-rebates/economic-regulation.

[321] Sapere Research Group, *Demand Variation Adjustment Mechanism Review*, pp. 30-31.

[322] Ibid, p. 1, 26 and pp. 30-31.

[323] Ibid, pp. 30-31.

[324] Sapere's research suggested that the usefulness of a demand adjustment mechanism for sewerage connections may be limited, given that sewerage connection growth is relatively predictable (Sapere Research Group, *Demand Variation Adjustment Mechanism Review*, p. i, 4). However, the Commission notes that excluding sewerage from the mechanism would not be in line with the previous Pricing Orders.

[325] Ibid, p. ii, pp. 15-30.

SAWRD16, the Commission considered that a 100 percent pass-through may be at risk of breaching the Pricing Order in place at that time which required the application of a total revenue cap.[326]

On balance, in the draft determination, the Commission proposed to maintain a 50-50 sharing percentage between customers and SA Water for SAWRD24 under the demand variation adjustment mechanism. This was consistent with the risk-sharing percentage adopted in the past two regulatory determinations. The benefits of the 50-50 pass-through are, generally speaking, shared between consumers and SA Water; consumers are compensated for any breach in the revenue cap due to demand, while SA Water has incentives to seek out commercial opportunities that can generate more sales.[327]

Another design issue, albeit one that was considered by the Commission in the draft determination to be more marginal, related to whether or not a materiality threshold should be adopted. The adjustment calculation must be undertaken in any event. Consequently, there is, in the Commission's view, no need for the inclusion of a definition of a minimum materiality threshold in the design of the mechanism (as without a threshold it would allow all revenue variations in line with variations in demand, irrespective of the size of the movements in demand).[328] The draft decision was to remove the materiality threshold calculation in the mechanism.

In terms of other design issues, Sapere's research suggested that the demand adjustment mechanism method could be improved by updating it to account for variation in demand by pricing tiers and variation net of (efficient) variable costs.[329] However, in the Commission's view these two proposals have practical limitations that make them unsuitable for implementation in SAWRD24.[330]

SA Water proposed the following demand forecasts.[331] The Commission interpreted these forecasts as being those submitted for the purposes of the demand variation adjustment mechanism (Table 7.1).

Table 7.1: SA Water's forecasts for SAWRD24

	2024-25	2025-26	2026-27	2027-28
Water (GL)	203.7	204.7	205.6	206.6
Sewerage customer accounts (no.)	647,530	653,842	660,216	666,653

EWOSA's submission to the RBP noted that the demand projections should be updated to incorporate updated population projections when these are published by the Australian Bureau of Statistics in late 2023. The Commission's position for the purposes of the draft determination was that the current set of forecasts are not unreasonable and are broadly in line with recent outcomes and historical averages.

[326] The adoption of a 100 percent pass-through was considered to result in characteristics that were closer to an average revenue cap rather than a total revenue cap.

[327] For example, at one extreme end, the 100 percent may not be in line with the application of a total revenue cap (it may be closer in line with an average revenue cap, which was what was argued in SAWRD16). At the other extreme end, without any adjustment for the sharing of demand a total fixed revenue can reduce SA Water's incentives to engage in business activities that can increase demand. Given those two extreme positions, the 50-50 pass through aims to allocate demand (volume) risks between consumers and SA Water.

[328] Sapere Research Group, *Demand Variation Adjustment Mechanism Review*, p. ii, pp. 30-31.

[329] Ibid, p. ii, pp. 15-28, 30-31

[330] For example, it is the Commission's understanding that SA Water does not forecast demand by pricing tariff band. Further, an ex-post assessment of the variable costs incurred due to demand variation during the regulatory period is made difficult because different sources of water supply (for example, reservoirs, Adelaide Desalination Plant, River Murray) can have significantly different costs.

[331] SA Water, *Regulatory Business Plan 2024-28*, p. 115, 118.

The Commission noted in the draft determination that it would provide an updated position on demand for the final determination.

In general, the Commission noted that SA Water's modelling approach for water has various limitations, which have previously been outlined to SA Water.[332] An improved modelling approach will be an area for further investigation for future regulatory determinations.

In terms of demand growth, in its submission to the RBP the Property Council of Australia queried how, and to what extent, regulatory mechanisms currently operate to address growth in SA Water's network to accommodate for water and sewerage retail services for greenfield property developments.[333] The City of Playford and City of Salisbury also raised concerns about the cost and lack of infrastructure to support demand growth in northern metropolitan areas.[334]

The demand variation adjustment mechanism allows for water sales and sewerage connections and therefore provides a mechanism to allow for demand risk. The mechanism does not, however, explicitly adjust for capital expenditure requirements relating to unexpected large greenfield developments.

Capital expenditure requirements for planned growth are allowed for under the determination; the Commission does not specify individual demand-related capital projects. As a large infrastructure asset manager, SA Water is allowed a total capital allowance that it manages.[335]

The Commission noted in its draft determination that the regulatory framework allows for several pathways to accommodate unanticipated growth, including for SA Water to re-prioritise within its capital allowance, or to proceed with the project (using borrowings or re-investment of earnings, if needed) and to seek compensation through an ex-post review of efficient and prudent expenditure, and/or to utilise the contingent project mechanism (insofar as the project and circumstance meets the necessary criteria as discussed in detail below).

There can understandably be unanticipated growth challenges, including those relating to shifts in consumer preferences and behaviours, changes in government policy, and macroeconomic drivers, which can impact on long-term growth plans and network extension.[336] However, SA Water has processes and augmentation and developer charger policies in place to manage greenfield and infill growth.[337]

The Commission expects SA Water – as part of its long-term asset management – to work closely with industry, other utilities, local governments and the South Australian Government on long-term planning and responsiveness to changes in demand. This should mitigate the risk of 'unanticipated' growth.

By way of background, Chapter 8 discusses excluded services, which includes developer contributions, and briefly highlights SA Water's existing developer contribution framework (which includes a

[332] The limitations relate to model specification (for example, price is excluded from the modelling and periods of strict water restrictions are not necessarily appropriately accounted for); inputs to the modelling are limited (it appears that low population growth projections are used, which was also highlighted in EWOSA's submission); the model's forecast accuracy has not been appropriately evaluated (forecasting practice is known to involve regular and systematic evaluation of forecast errors, and the consideration of (and introduction of, where possible) mechanisms to reduce forecast error); and, finally, the assumption used to account for non-revenue water is not well justified, yet projections for water sales are sensitive to this assumption.

[333] Property Council of Australia, *Submission to Regulatory Business Plan*, pp. 1-4.

[334] City of Playford and City of Salisbury, pp. 1-2.

[335] For a discussion regarding capital expenditure, see Chapter 11.

[336] SA Water, *Regulatory Business Plan 2024-28*, p. 55.

[337] SA Water highlighted in its RBP that it dedicates time and effort to consulting with developers and to assessing and planning for system augmentation or installation of infrastructure to ensure sufficient capacity of the system. Ultimately, SA Water reportedly aims to have infrastructure in place to support growth when needed, and it undertakes dynamic planning, adjusting plans over time to respond to changes in network conditions, customer requirements and standards. See SA Water, *Regulatory Business Plan 2024-28*, pp. 54-55.

framework for various types of developer contributions such as connections, extensions, and augmentations).

7.4.5 Shared infrastructure mechanism

The Commission's draft position was to continue to include the shared infrastructure mechanism and to utilise the current methodology.

Water and sewerage customers should derive benefit (via, for example, a share of profit) for SA Water's use of regulated water and sewerage infrastructure assets for the provision of non-regulated services.

The Commission assessed that 10 percent of relevant non-regulated revenues can be used as proxy for a gross profit margin. The Commission balanced a trade-off in setting this percentage; a higher percentage may lessen SA Water's incentive to pursue commercial opportunities, while a lower percentage may not allow customers to sufficiently benefit from the infrastructure that they have paid for.

SA Water's approach to pricing for direct control water retail services already takes into account a forecast of 10 percent of relevant non-regulated revenues.[338] SA Water's current forecast for the SAWRD24 period for water retail services is approximately $3.6 million ($Dec22).

Given SA Water's pricing for water retail services already accounts for the forecast of 10 percent of relevant non-regulated revenues, the Commission's shared infrastructure mechanism simply makes an adjustment to account for the difference between actual and forecast revenues at the end of the regulatory period. The calculation of the adjustment for water retail services SAWRD20 is outlined in Chapter 15. The unders/overs methodology was introduced in SAWRD20 with the aim that the revenue adjustment for non-regulated revenues would, over time, reflect actual revenue, not forecast revenue.

For sewerage retail services, the mechanism allows for 10 percent of the revenue amounts earned during SAWRD24, through the use of SA Water's regulated infrastructure required to provide sewerage retail services but which are not attributable to the provision of sewerage retail services, to be deducted from the revenue cap for sewerage retail services in the subsequent regulatory period.

7.4.6 River Murray water licence adjustment mechanism

The Commission's draft position was to continue to include the River Murray water licence adjustment mechanism and to utilise the current methodology. The mechanism allows water retail services customers to recoup income that has been derived by SA Water from the sale of water allocations associated with River Murray water entitlements which have been paid for by customers.[339] The income from the sale of water allocations should be returned to customers, taking into account any prudent and efficient costs incurred as a result of selling those allocations, insofar as customers have paid for those water entitlements.

In its RBP, SA Water reported approximately $1.8 million ($Dec22) of revenue from the sale of water allocations (see Chapter 15).[340]

[338] When setting its prices, SA Water removes from the maximum revenue caps 10 percent of relevant non-regulated revenue. The Commission assesses this on an ex-post basis through its assessment of the revenues collected relative the revenue cap, under the demand adjustment mechanism.

[339] Essential Services Commission of South Australia, *SA Water Regulatory Determination 2016*, p. 71.

[340] SA Water, *Regulatory Business Plan 2024-28*, p. 285.

7.4.7 Intra-period project review mechanism

7.4.7.1 Role of mechanism

In principle, an intra-period review mechanism, as proposed in the Commission's draft determination, provides an avenue for dealing with projects that have been fully scoped but have a contingency affecting when, or if, the project might go ahead. It benefits customers by not requiring them to pay for these projects in advance of the contingency being resolved, while also providing a level of certainty of investment for SA Water and the government. Allowing for future revenue caps to reflect the efficient costs of a major capital project or program under this mechanism is also intended to mitigate the risk that SA Water will inappropriately or inefficiently delay investment due to a lack of certainty about how the Commission might treat the expenditure.

Regulators in other jurisdictions have also established mechanisms for dealing with uncertain projects. For example, rules for the treatment of contingent projects are included in the National Electricity Rules,[341] the Essential Services Commission of Victoria (ESCV) has an 'Uncertain and Unforeseen Events Mechanism,'[342] and the New South Wales Independent Pricing and Regulatory Tribunal offers to undertake targeted reviews of projects proposed within a regulatory period and provide letters of comfort or advice about how proposed spending is likely to be perceived.[343]

7.4.7.2 Implementation of the mechanism in SAWRD20

The intra-period review mechanism was used to a limited extent during the SAWRD20 regulatory period, with SA Water submitting six proposals for stage one pre-approval. Three proposals received stage one pre-approval.[344] In its RBP, SA Water indicated that it did not plan to submit any proposals for stage two approval of revenue allowance.

The Commission's review of the SAWRD20 mechanism, which was outlined in the draft determination, identified some design and implementation issues which impacted its efficiency and effectiveness.

- There were different perspectives between the Commission and SA Water on the scope and application of the mechanism, particularly with regards to the type of projects that would be eligible, and the level of information required to support project applications.
- Confidentiality concerns from SA Water meant that only limited information about stage one proposals and the Commission's assessment were made publicly available – this impacted transparency for stakeholders.
- There is some level of repetition in the application and assessment requirements for stage one and two under the mechanism, which could affect resourcing impost and efficiency.

7.4.7.3 Approach for SAWRD24

In its RBP, SA Water proposed that the mechanism be retained for SAWRD24 but amended by removing the deadline for using the mechanism and consolidating it into a one-stage process. It was

[341] Australian Energy Market Commission, *National Electricity Rules*, available at: www.aemc.gov.au/regulation/energy-rules/national-electricity-rules.

[342] Essential Services Commission of Victoria, *Water Pricing Framework and Approach: Implementing PREMO from 2018*, October 2016, pp. 40-43, available at: www.esc.vic.gov.au/sites/default/files/documents/Water-Pricing-Framework-and-Approach-Final-Paper-Oct-2016.pdf.

[343] Independent Pricing and Regulatory Tribunal, *Water Regulation Handbook*, April 2023, p. 58, available at: www.ipart.nsw.gov.au/sites/default/files/cm9_documents/Handbook-Water-regulation-April-2023.PDF.

[344] The pre-approved proposals are the South Road Torrens to Darlington project extension, Gawler Railway Electrification project and Upper Spencer Gulf supply augmentation project.

suggested that moving to a one-stage process would reduce complexity and resourcing impost for both SA Water and the Commission.

However, in the draft determination, the Commission noted that allowing SA Water to submit project proposals at any time could act as a dis-incentive to effective long-term planning. The underlying intention of this type of mechanism was for it only to apply to contingent projects that were already known to SA Water. Contingent projects expected to commence within the regulatory period should be known at the time SA Water submits its RBP.

In the draft determination the Commission outlined that, if new projects arise during the regulatory period that have not been identified at the outset of the regulatory period, SA Water could use a range of other options for progressing the expenditure, including:

- deferring or reprioritising other planned expenditure and redirect revenue to the new proposal
- proceeding with the proposal during the current regulatory period and proposing a cost pass-through, if the project meets the required cost pass-through criteria
- proceeding with the project in the current regulatory period with the Commission then assessing if the project was prudent and efficient in its ex-post review of capital expenditure at the end of the regulatory period (noting that if the capital expenditure on a project was found not be prudent and efficient then it would not be added to the regulated asset base (RAB))
- not proceeding with the project during the current regulatory period and propose the project in its regulatory business proposal for the next regulatory period, or
- proposing to the Commission that the revenue determination is varied (noting this would be subject to any requirements of a Pricing Order issued pursuant to section 35 of the WI Act).

Having considered the costs and benefits of the intra-period project review mechanism, on balance, the Commission considered that on balance there was benefit in retaining the mechanism for SAWRD24, with amendments to clarify its scope and improve its efficiency. The Commission outlined that the mechanism would provide for regulatory approvals to be given to projects that are known at the time of SA Water's RBP but lack certainty on a key parameter (for example, timing of demand). The Commission's view was that consumers should not have to pay for these types of projects until that uncertainty has been resolved.

The Commission accepted SA Water's proposal to move to a one-stage assessment process, noting that this will improve the mechanism's efficiency. SA Water would still be required to notify the Commission of proposed contingent projects in the lead up to the commencement of the regulatory period; however, the Commission would not assess the project until the contingency has been resolved.

The Commission did not accept SA Water's proposal that it should be able to submit projects at any time during the regulatory period as it considered that this would act as a disincentive to effective long-term planning. The Commission's view was that the mechanism should only be available to projects that have been well scoped and approved by SA Water's Board as part of its RBP.

As a transition period, for SAWRD24, the Commission stated that SA Water would be permitted to provide a list of contingent projects and supporting evidence to the Commission by 30 September 2024. For future regulatory periods, SA Water would be required to include information on contingent projects as part of its RBP submission – no submissions would be accepted after that time.

The Commission's draft decision was to rename the mechanism, so it was known as the 'contingent project mechanism' to assist in providing clarity to SA Water and stakeholders on the purpose and eligibility requirements of the mechanism. The contingent project mechanism would retain the SAWRD20 form of the intra-period review mechanism but would have the following amendments.

- Eligibility would be restricted to contingent capital projects only. Projects associated with unforeseen events will no longer be eligible; these can be undertaken by re-prioritising expenditure or proposed under the cost pass-through mechanism.
- An initial list of potential contingent capital projects would be provided to the Commission by no later than 30 September 2024 for SAWRD24 and by 30 June in the calendar year prior to the commencement of the regulatory period for SAWRD28 onwards (for example, by 30 June 2027 for SAWRD28).
- Only contingent projects that have a projected capital value that exceeds $50 million would be eligible.
- All proposals from SA Water and decisions by the Commission would be made publicly available (with confidential information omitted or redacted as required).
- A measurable contingency trigger would need to be defined for each project (for example, a certain level of growth in customer demand, which requires investment in supply augmentation).
- Additional specificity about the type and level of information required to support an application.
- The application and assessment processes would be streamlined to reduce resourcing impost, this includes removing the Commission's assessment of the proposed contingent projects at stage one of the mechanism. Instead, a detailed assessment would be undertaken once the contingency associated with the project is removed, or occurs, and SA Water can provide evidence that it is committed and can deliver the project in the regulatory period.

7.5 Draft decision

The Commission's draft decision was that:

- SA Water's direct control water and sewerage retail services would be subject to separate, fixed dollar amount, four-year maximum revenue caps.
- The revenue caps would be calculated as the forecast efficient and prudent costs of providing water and sewerage retail services, prepared, and presented based on a building blocks cost model, set in real (inflation-adjusted) terms, and set at a fixed dollar amount subject to ancillary (adjustment) variation mechanisms.

The Commission's draft positions in relation to adjustment mechanisms were that:

- A 'cost pass-through' mechanism that would enable the revenue caps to be adjusted in the subsequent regulatory period where an event beyond the control of SA Water has, or will have, a material impact on SA Water's costs of providing water or sewerage retail services
- A 'demand variation adjustment' mechanism that would adjust the revenue caps in the subsequent regulatory period to account for any material differences between forecast and actual water and sewerage revenue earned, due to differences between forecast and actual water sales and sewerage connections
- A 'shared infrastructure' mechanism for water retail services which permits adjustment of the revenue caps in the 2028-32 regulatory period, by 10 percent of the difference between actual and forecast revenues from the 2024-28 period, for the provision of non-regulated services by SA Water that utilise water retail service infrastructure.

- A 'shared infrastructure' mechanism for sewerage retail services which permits adjustment of the revenue caps in the 2028-32 regulatory period, by 10 percent of the revenue earned by SA Water in the 2024-28 regulatory period, for the provision of non-regulated services by SA Water that utilise sewerage retail service infrastructure.
- A 'River Murray licence adjustment' mechanism that would reduce revenue caps in the subsequent regulatory period to reflect income derived by SA Water from the sale of water allocations associated with River Murray water entitlements.
- A 'contingent project' mechanism that may allow for the recovery of efficient costs associated with a pre-determined major capital project, where the costs were not incorporated into the revenue caps because of a contingency. The contingent project mechanism would retain the SAWRD20 form of the intra-period review mechanism, but with a range of amendments.

7.6 Consultation on draft decision

SA Water's submission to the draft determination:[345]

- expressed support for the application of the cost building blocks methodology
- expressed support for the methodology outlined for the demand adjustment mechanism for SAWRD24, but suggested the method should be net of incremental costs and transparent regarding the planned calculations
- expressed the view that revenue cap compliance should be assessed at the end of the period using March-to-March CPI inflation rather than December-to-December CPI inflation, and
- expressed the view that the contingent project mechanism should be modified such that the mechanism has a single step, and projects can be submitted at any time during the regulatory period.

In addition, several stakeholders made submissions on the regulatory framework and unanticipated growth in the network.[346]

For instance, the Property Council of Australia submitted that the current regulatory framework may not be fit for purpose in an environment in which demand increases rapidly. It stated:[347]

> *'The conundrum is that ESCOSA regulates SA Water with a view to ensuring it is being "prudent and efficient" as a business, but this lens may somewhat lend itself to disregarding the role SA Water has in also providing a public service and as a key enabler of development – most pertinently for housing.'*

It further added:

> *'Whilst SA Water is permitted to spend more funds for infrastructure – it must use means outside cost recovery. Much can be said of the system that drives coordination of land release and funding infrastructure provision to manage growth. Suffice to say that the Property Council holds grave concerns about the agility of the current system to serve the community whilst housing is the greatest social issue facing the nation.'*

[345] SA Water, *SA Water's response to ESCOSA's Draft Determination*, pp. 112-114.
[346] Urban Development Institute of Australia, *Submission to Draft Regulatory Determination,* pp. 4-5, Regional Development Australia – Barossa, Gawler, Light and Adelaide Plains, pp. 1-4, Customer Challenge Group, pp. 2-5, and Property Council of Australia, *Submission to Draft Regulatory Determination*, pp. 1-3.
[347] Property Council of Australia, *Submission to Draft Regulatory Determination*, pp. 2-3.

The Urban Development Institute of Australia (**UDIA**) submitted that the regulatory framework should be agile and responsive to the growth needs of South Australia. UDIA expressed the view that funding pathways for the regulated utility, such as debt and equity, have not been applied by SA Water in the context of capital expenditure.[348]

Regional Development Australia – Barossa, Gawler, Light and Adelaide Plains (**RDA**) expressed the view that the regulatory framework should support government in fulfilling its objectives and plans for growth, allow flexibility to accommodate for unanticipated growth, and allow for land use and coordination across government and stakeholders.[349]

The Customer Challenge Group (**CCG**) submitted that the framework should have better account for growth and have regard to the 'state and national strategic context' (including growth plans and housing initiatives, water security needs and climate change goals).[350]

7.7 Further analysis

7.7.1 Pricing Order issued on 5 February 2024

A Pricing Order was issued on 5 February 2024 in respect of the SAWRD24 regulatory period.[351] The form of economic regulation specified in the Pricing Order is consistent with general regulatory practice applied when price regulating monopoly utilities providing essential services.

The Pricing Order specifies that:[352]

- a fixed, real-terms (inflation-adjusted), four-year maximum revenue cap for water and sewerage services is to be applied (with separate revenue caps to be applied for each retail service)
- a building blocks cost model is to be applied to prepare and present the maximum revenue caps
- adjustment mechanism/s are to be included that allow for ex-post adjustments to the maximum revenue caps relating to variations in demand and cost pass-through events, and
- National Water Initiative (**NWI**) Pricing Principles are to be adopted or applied (other than the Principles for Recovering the Costs of Water Planning and Management Activities).

The Pricing Order precludes maximum revenue caps from applying on the basis of customer class or location.[353]

7.7.2 Four-year revenue caps for direct control services

The Commission has decided, for the reasons outlined in this statement of reasons, that it will exercise its discretion under section 21(1) of the ESC Act (as authorised by section 35(1) of the WI Act), to make a price determination in relation to the sale and supply of direct control water and sewerage retail services by SA Water.

In line with the Pricing Order, the Commission's has formally determined separate, fixed dollar amount four-year maximum revenue caps for water and sewerage retail services to apply for SAWRD24. The revenue caps set the maximum amount of revenue allowed to be earned over an agreed period, subject to any adjustment mechanisms.

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348 Urban Development Institute of Australia, pp. 4-5.
349 Regional Development Australia – Barossa, Gawler, Light and Adelaide Plains, pp. 1-4.
350 Customer Challenge Group, pp. 2-5.
351 Pricing Orders are available at https://www.treasury.sa.gov.au/economy,-taxes-and-rebates/economic-regulation.
352 Ibid.
353 Ibid.

7.7.3 Building blocks cost model

In line with the Pricing Order,[354] and consistent with SA Water's support of the use of cost building blocks model,[355] the Commission has prepared and presented separate, fixed four-year maximum revenue caps on the basis of a building blocks cost model. The revenue caps have been set in real (inflation-adjusted) terms to reflect the forecast efficient and prudent costs of providing water and sewerage retail services, at a fixed dollar amount and subject to the following ancillary (adjustment) variation mechanisms.

7.7.4 Cost pass-through adjustment mechanism

No submissions commented directly on the Commission's position on this component and no further relevant information has been identified by the Commission relating to its position. For the reasons stated earlier in this chapter, the Commission confirms its position in respect of this component of the draft position.

7.7.5 Shared infrastructure mechanism

No submissions commented directly on the Commission's position on this component and no further relevant information has been identified by the Commission relating to its position. For the reasons stated earlier in this chapter, the Commission confirms its position in respect of this component of the draft position.

7.7.6 River Murray water licence adjustment mechanism

No submissions commented directly on the Commission's position on this component and no further relevant information has been identified by the Commission relating to its position. For the reasons stated earlier in this chapter, the Commission confirms its position in respect of this component of the draft position.

7.7.7 Demand variation adjustment mechanism

In its submission to the draft determination, SA Water supported the demand adjustment mechanism methodology – including as it relates to the use of the SAWRD16 methodology, the use of a 50-50 sharing percentage and the exclusion of a materiality threshold; however, it proposed that the methodology should be net of incremental costs and transparent regarding the planned calculations.[356]

For the reasons stated earlier in this chapter, the Commission confirms its position in respect of the use of the SAWRD16 methodology, the use of a 50-50 sharing percentage and the exclusion of a materiality threshold.

SA Water's proposal, as included in its submission to the draft determination, is that variation in demand should be calculated net of variable costs, as is consistent with Sapere's research[357] and the Pricing Order.[358]

The Commission's position in respect of this component is that it will calculate the demand adjustment mechanism for SAWRD24 having regard to the efficient costs associated with variations in demand. The Commission notes, however, that an ex-post assessment of the variable costs incurred due to

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354 Ibid.
355 SA Water, *SA Water's response to ESCOSA's Draft Determination*, pp. 113-114.
356 Ibid, pp. 113-114.
357 Sapere Research Group, *Demand Variation Adjustment Mechanism Review*, p. ii, pp. 30-31.
358 Pricing Orders are available at https://www.treasury.sa.gov.au/economy,-taxes-and-rebates/economic-regulation.

demand variation during the regulatory period is difficult, as different sources of water supply (for example, reservoirs, Adelade Desalination Plant, River Murray) can have significantly different costs.

In response to SA Water's suggestion that the methodology could be more transparent, the Commission will calculate the demand adjustment mechanism for SAWRD24 having regard to the fact that SA Water's approach to pricing for direct control water retail services already takes into account a forecast of 10 percent of relevant non-regulated revenues (as discussed earlier).[359] Furthermore, the Commission's methodology will assess revenue and demand on the basis of direct control retail services. For example, in SAWRD20, SA Water submitted revenues to the Commission which included revenues earned from availability charging (also known as rating on abuttal). However, availability charging is not a retail service. In the absence of SA Water submitting revenues earned from retail services, the Commission must, where it considers appropriate, determine the revenue collected from retail services.

In its submission to the draft determination, SA Water suggested that, for compliance purposes and to aid its price-setting, the actual revenue earned should be compared with the maximum revenue at the end of the period on the basis of an annual CPI inflation calculated over the year to March (as a proxy for December).[360] This approach is consistent with the SAWRD20 price determination, which stated that revenues were to be deflated to dollars of December 2018 using the change in March-to-March CPI.

For the SAWRD24 draft price determination, the Commission proposed a change whereby revenues would be deflated to dollars of December 2022 using the change in December-to-December CPI. Using published December inflation values would be consistent with the inflation index applied in the revenue model (which recognises that December is the middle of the regulatory year) and would align with the price basis of revenues (set in December 2022 dollars).

While both alternatives have merits, the Commission will revert to the method used in SAWRD20, which deflates revenues using March-to-March CPI (noting that the price basis will remain as December 2022). SA Water has the flexibility to set its prices as it sees fit under the regulatory framework within the bounds of the maximum revenue cap and the final determination. In practice however, it sets its prices in June where the most recently available CPI data is from March. This does not prohibit a December-to-December approach from being adopted – for example, SA Water could forecast inflation nine months forward when setting prices. Nevertheless, the benefit of aligning the inflation index of the demand variation adjustment mechanism with the revenue model and the price basis of revenues may not exceed the administrative activities involved. Accordingly, for the purposes of the ex post assessment at the end of the period only, revenues will continue to be deflated using the change in March-to-March CPI.

In its submission to the RBP, EWOSA noted that SA Water's demand projections could be updated to incorporate updated population projections. The Commission has considered the latest population projections[361] as well as SA Water's proposed sales and connections for SAWRD24. On balance, for the purposes of the demand adjustment mechanism for SAWRD24, the Commission's final position is that it considers the water volume and sewerage connection projections from SA Water (in Table 7.1) to be reasonable , as they are in line with recent historical outcomes.[362] For SAWRD28, it would be good

[359] Given SA Water's pricing for water retail services already accounts for the forecast of 10 percent of relevant non-regulated revenues, the Commission's shared infrastructure mechanism simply makes an adjustment to account for the difference between actual and forecast revenues at the end of the regulatory period. Then when assessing maximum revenue caps the Commission needs to adjust for the forecast of non-regulated revenue.

[360] SA Water, *SA Water's response to ESCOSA's Draft Determination*, pp. 112-113.

[361] For example, data projections from Plan SA and the Australian Bureau of Statistics are available at https://plan.sa.gov.au/state_snapshot/population/population-projections and https://www.abs.gov.au/statistics/people/population/population-projections-australia/latest-release.

[362] As highlighted earlier, there is a range of limitations in SA Water's water demand model which can make it inappropriate to, on a mechanical basis, simply apply the latest population projections by rote to the model for the purposes of a final position. For example, if the latest population projections were applied it suggests water sales volumes for SAWRD24 could be the highest observed since the early 2000s.

practice for SA Water to consider and present the results of multiple forecast approaches to demand and connections, including those from any models it uses as well as those from forecasts based on recent outcomes, and provide a transparent explanation for why one set of forecasts is selected over another.

7.7.8 Unanticipated demand and the regulatory framework

The current regulatory framework permits SA Water to undertake prudent and efficient projects and programs to support network growth. The expectation is that SA Water is co-ordinating with government and the private sector to identify the pipeline of work to support anticipated growth in the short, medium, and long term. SA Water can then develop robust business cases that identify the most prudent and efficient solutions to meet growth requirements, with essential expenditure then included in the revenue caps.

While several stakeholders have suggested the 'regulatory framework' may not be fit for purpose or may need to allow more flexibility,[363] the matters raised by those stakeholders do not appear to relate to the economic regulatory framework prescribed by the ESC Act and WI Act. Rather, those concerns appear to relate to matters of long-term planning and co-ordination across SA Water, government, and the private sector – for example, the provision of water and sewer connections to align with land release for property development. This may also relate to the application of SA Water's augmentation and developer charger policies, which sets the framework for funding network expansion between SA Water and industry.

As outlined in the draft determination, the regulatory framework allows flexibility for SA Water to manage its capital expenditure requirements in order to meet unanticipated demand. SA Water has three options to fund unanticipated expenditure during a regulatory period:

- reprioritisation of spending
- increased use of debt (within prudent bounds) and/or
- increased use of equity.

For instance, while a total benchmark capital expenditure amount is set when determining the maximum revenue cap, SA Water can, if needed, re-prioritise expenditure activities to meet any unanticipated demand. The framework allows for the subsequent ex-post assessment of prudent and efficient capital expenditure, allowing that expenditure to be included in SA Water's future revenue caps to be recovered from customers.

In addition, SA Water is able to use South Australian Government equity to fund unanticipated capital expenditure requirements.[364] SA Water is also able to increase its use of debt within prudent bounds. For instance, under the regulatory framework, SA Water can increase nominal debt to support cash flow,[365] and there is nothing precluding SA Water from using efficient amounts of debt to manage its business and deal with unanticipated economic changes.

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[363] Urban Development Institute of Australia, pp. 4-5, Regional Development Australia – Barossa, Gawler, Light and Adelaide Plains, pp. 1-4, and Property Council of Australia, *Submission to Draft Regulatory Determination*, pp. 1-3.

[364] SA Water's dividends to the South Australian Government (its shareholder) were, on average, approximately $211 million (in nominal terms) between 2013-14 and 2019-20 and averaged $58 million annually across 2020-21 and 2021-22. Bureau of Meteorology, *National Performance Report 2021-22: Urban Water Utilities*.

[365] The repayment of debt will involve a nominal interest rate applied to a non-indexed principal, whereas under the real regulatory framework applied to SA Water, it will receive revenues based on a real rate of return applied to a real asset value. Because inflation indexation increases the value of the nominal asset base, a benchmark efficient firm (SA Water) can increase debt under the regulatory framework while maintaining the fixed 60 percent gearing ratio. The increase in debt generates cash flow that is equivalent to a nominal return. This can

Stakeholder submissions did not provide supporting information and evidence to suggest that the regulatory framework does not allow SA Water the flexibility to accommodate for any unanticipated growth over the period. Further, despite highlighting the importance of addressing growth, few of those same stakeholder submissions recognised the role that developer contributions could make in providing some funding for that growth. Indeed, many submissions did not discuss or address the risk that existing customers may be asked to pay too much (that is, pay inefficient amounts of capital expenditure, which should otherwise be paid for through, for example, appropriate developer contributions).[366]

As noted in the draft determination, SA Water has processes and augmentation and developer charger policies in place to manage greenfield and infill growth, and the Commission expects SA Water – as part of its long-term asset management – to work closely with industry, other utilities, local governments and the South Australian Government on long-term planning and responsiveness to changes in demand. This should help to mitigate the risk of 'unanticipated' growth.

7.7.9 Intra-period review mechanism

SA Water has stated that it does not accept that contingent projects expected to commence within the regulatory period should be known at the time it submits its RBP. SA Water considers that changes in external obligations or other environmental factors impacting its investments may not be known four years before they occur.

The Commission considers that the regulatory framework, outside of the proposed contingent project mechanism, already includes flexibility for unforeseen projects that might be necessary due to changes in regulatory requirements or extraordinary events through the cost-pass through adjustment mechanism.

The underlying intention of the contingent project mechanism, when introduced in 2020, was for it to only apply to contingent projects that were already known to SA Water at the time of preparing its RBP. In terms of contingency, the intent was that the mechanism might capture expenditure which was known but in respect of which there remained a key contingency. For example, the timing of the project may be contingent on gaining an easement and it would not be appropriate given that uncertainty for customers to incur associated costs until that contingency had been resolved. If it were resolved during the period, the mechanism could reflect that fact and permit associated costs to be recovered in the next regulatory period. If it were not resolved, customers would not be required to pay.

Given that limited purpose, the mechanism was not intended to permit continuous variability and reopening of the overall revenue cap process. The Commission considers that effective long-term asset management and planning should mean that, as a rule, there would be very few contingent projects of that nature and, to the extent that there were any, those would be identified well prior to the commencement of a regulatory period.

Given there are a range of existing options under the regulatory framework already available to SA Water, and SA Water has submitted that it does not support the contingent project mechanism as

insulate against cash flow issues and is a known feature of the real rate of return approach used by regulators in Australia and New Zealand.

366 The submission from the South Australian Council of Social Service queried the amount and transparency of developer contributions for projects slated for northern Adelaide. South Australian Council of Social Service, *Submission to Draft Regulatory Determination*, p. 14. Also, as discussed in Chapter 8, RDA supported the Commission's decision to improve transparency on developer and augmentation charges, which are a form of excluded retail services. Regional Development Australia – Barossa, Gawler, Light and Adelaide Plains, pp. 1-4. In its submission to the draft determination, SA Water stated that it could improve transparency for customers by adding information into its excluded retail services pricing policy statement. SA Water, *SA Water's response to ESCOSA's Draft Determination*, p. 119.

proposed in the draft determination, the Commission's final position for the determination is that the contingent project mechanism ***will not*** be available for the SAWRD24 period. The Commission notes in reaching this position that such a mechanism was not available in SAWRD13 or SAWRD16 and, while available in SAWRD20, was not used by SA Water.

The Commission also notes that the Pricing Order requires a cost-pass through mechanism to be included in the price determination. This mechanism, discussed earlier in this chapter, allows for the adjustment of SA Water's total revenue as a result of the occurrence of an event beyond their control which has, or will have, a material impact on the cost of provision of a water retail service or a sewerage retail service during the regulatory period. In this context, the form of regulation includes an intra-period mechanism to mitigate SA Water's risk where events may have a material impact on the provision of retail services.

7.8 Final decision

As a part of the SAWRD24 regulatory determination:

- SA Water's direct control water and sewerage retail services are each subject to a four-year maximum total revenue cap, covering the period 1 July 2024 to 30 June 2028. (Pricing Order, clauses 4.1, 4.2 and 4.3)
- The revenue caps are based on the forecast efficient and prudent costs of providing water and sewerage retail services during the 2024-28 regulatory period, are prepared, and presented based on a building blocks cost model, are set in real (inflation-adjusted) terms, and are set at a fixed dollar amount, subject to the ancillary (adjustment) variation mechanisms specified in the Pricing Order as explained below. (Pricing Order, clauses 5.1 and 5.2)

The adjustment variation mechanisms:

- A 'cost pass-through' mechanism is included, which permits adjustment of the revenue caps in the 2028-32 regulatory period where an event beyond the control of SA Water has, or will have, a material impact on SA Water's costs of providing water or sewerage retail services within the 2024-28 regulatory period. (Pricing Order, clause 4.6)
- A 'demand variation adjustment' mechanism is included, which permits adjustment of the revenue caps in the 2028-32 regulatory period to account for any material differences between forecast and actual water and sewerage retail service revenue earned, due to differences between forecast and actual water sales and sewerage connections. (Pricing Order, clause 4.5)
- A 'shared infrastructure' mechanism for water retail services which permits adjustment of the revenue caps in the 2028-32 regulatory period, by 10 percent of the difference between actual and forecast revenues from the 2024-28 period, for the provision of non-regulated services by SA Water that utilise water retail service infrastructure.
- A 'shared infrastructure' mechanism for sewerage retail services which permits adjustment of the revenue caps in the 2028-32 regulatory period, by 10 percent of the revenue earned by SA Water in the 2024-28 regulatory period, for the provision of non-regulated services by SA Water that utilise sewerage retail service infrastructure.
- A 'River Murray licence adjustment' mechanism will be included and will reduce revenue caps in the subsequent regulatory period to reflect income derived by SA Water from the sale of water allocations associated with River Murray water entitlements.

8 Recycled water and excluded services

Final decision – Form of regulation for recycled water and excluded retail services

As a part of the SAWRD24 regulatory determination, the Commission will continue to regulate the sale and supply of recycled water and excluded retail services under a pricing principles approach. To provide transparency over SA Water's excluded services pricing, the Commission will maintain the current requirement for SA Water to provide the Commission and the public with pricing information.

The Commission will continue to undertake compliance monitoring and, in the event of any non-compliance, undertake appropriate public reporting and enforcement action through its statutory compliance functions and powers. The Commission notes that it may make a more direct regulatory intervention in the area of developer charges, potentially during the SAWRD24 period, should circumstances indicate that it is appropriate to do so.

8.1 Introduction

8.1.1 Form of regulation

SA Water provides certain services for which the costs are not recovered through the water and sewerage revenue caps but are instead charged separately to customers who request those services.

The relevant services are recycled water and excluded services, with the latter defined to be retail services provided to individual customers, or a distinct class of customers, where they are the direct beneficiaries of those services. These services can involve primary producers, businesses and government sourcing recycled water, and households and businesses seeking excluded retail services such as non-standard connections, and the disposal of trade waste. The cost of those services can be more easily attributed to the customers who benefit from them compared to the water and sewerage retail services covered by the revenue caps, which are provided to customers at large. These classes of service are explained in more detail below.

The Commission is authorised under the *Essential Services Commission Act 2002* (ESC Act) and the *Water Industry Act 2012* (WI Act) to make price determinations in respect of SA Water's recycled water and excluded retail services. The Commission is therefore responsible for determining the appropriate form of economic regulation to apply for these particular services in SAWRD24.

The Commission's current approach of regulating the price of SA Water's recycled water and excluded retail services involves setting pricing principles that SA Water must apply when it determines its prices for recycled water and excluded services.[367] These prices are subject to compliance monitoring and reporting by the Commission. This approach imposes limited administrative and compliance costs on SA Water.

The pricing principles approach provides SA Water with the flexibility to set appropriate prices for recycled water and excluded services based on the efficient cost of each service, on a beneficiary-pays approach. In setting those prices, it is required to demonstrate (with transparent and appropriate supporting evidence) that the prices comply with the relevant pricing principles.

Revenue from recycled water and excluded services is approximately three percent of SA Water's total retail services revenue (an average of $43 million per year out of a total average revenue of $1.3 billion per year).[368]

[367] Refer to Chapter 4 for further information on recycled water and excluded retail services.

[368] Five-year average 2017-18 to 2021-22. Chapter 4 of SA Water's Regulatory Business Proposal provides further information on the retail services provided by SA Water that are regulated by the Commission.

The Commission has applied a pricing principles approach to regulating SA Water's pricing for excluded services and recycled water since the initial regulatory determination in 2013. To ensure the continuing relevance and appropriate of that approach, the Commission has reviewed it at the beginning of each regulatory period.

8.1.2 Form of regulation in SAWRD20

8.1.2.1 Recycled water

SA Water is required to publish a pricing schedule and a 'pricing policy statement', to demonstrate how it has applied the National Water Initiative (NWI) Pricing Principles in determining its prices for recycled water and provide a copy of these documents to customers on request. The Commission monitors the prices set by SA Water and can publish information on price changes and SA Water's compliance with the relevant NWI Pricing Principles.

It is noted that, while the price of recycled water is currently regulated under a pricing principles approach, the cost for the relevant infrastructure to provide recycled water schemes is recovered through revenue caps, where SA Water can demonstrate (with transparent and appropriate supporting evidence) that the particular scheme:

- is a prudent and efficient means of addressing environmental (sewerage discharge) obligations and forms part of a least cost mix of diversified water sources needed to achieve required security of supply, or
- is driven by the need to trial new technologies, with the aim of achieving more efficient ways to deliver a secure supply of water.

SA Water's existing recycled water schemes primarily exist as the least-cost method of sewerage disposal and their costs are therefore recovered through sewerage charges (under the revenue caps). However, to ensure that SA Water does not over-recover the costs of recycled water schemes, any revenues derived directly from the provision of recycled water must be offset against the costs of providing those schemes and recovered under the revenue cap.

8.1.2.2 Excluded services

SA Water provides certain retail services to individual customers, or a distinct class of customers, where they are the direct beneficiaries of those services. These are called 'excluded retail services', and consist of:

- standard and non-standard connection services (including developer services,[369] see Box 8.1 below for more information)
- trade waste services
- non-domestic hauled waste services
- easement extinguishment and encumbrance services
- hydrant and fire plug services
- meter services, and
- network analysis and audit services.

[369] Developer services are connection and related services provided by SA Water to property developers.

The pricing principles that currently apply to excluded services are based on the relevant NWI Pricing Principles, as well as additional principles developed by the Commission (from time to time) (see Box 8.2 at the end of this chapter).

Box 8.1: SA Water's developer contribution framework

Several submissions to the RBP and the draft determination commented on growth, the regulatory mechanisms in place to address growth and the price and funding to accommodate growth.[370]

Developer contributions are a form of SA Water's excluded retail services. Developer charges are levied by the utility on the developer. These levies/charges reflect the investment in both the new and existing assets required to serve a new development.

SA Water has a developer contribution framework in place. That framework states that the prices for developer contributions and augmentation charges should comply with NWI Pricing Principles.[371] Consistent with a beneficiary pays approach, the application of the principles should consider the boundary of the development, the share of capacity to serve the development and any beneficiaries.

Consistent with NWI Pricing Principles, SA Water's efficient capital expenditure is rolled into the regulated asset base (RAB), net of customer contributions (including developer contributions and augmentation charges). In this respect, the RAB excludes capital recovered via developer or augmentation charges, which avoids over-recovery. This approach is consistent with full cost recovery. Forecast capital contributions for SAWRD24 are discussed in Chapter 11.

The Commission expects SA Water to operate in a transparent manner, implement its pricing in line with NWI Pricing Principles, and provide information to stakeholders regarding its methodology and how charges have been formulated. In that context, the Commission notes that it may make a more direct regulatory intervention in this area, potentially during the SAWRD24 period, should circumstances indicate that it is appropriate to do so.

8.2 SA Water's proposal

SA Water did not propose any changes to the form of economic regulation applying to recycled water and excluded retail services. Nor did it propose changes to the specific pricing principles that apply.[372]

8.3 Consultation on SA Water's proposal

There were no submissions that provided comment on the form of regulation for recycled water and excluded retail services.

8.4 Analysis

The following analysis was undertaken for the draft determination and informed the Commission's draft decision in respect of the form of regulation for recycled water and excluded retail services.

[370] For instance, see submissions on SA Water's Regulatory Business Proposal from Property Council of Australia, *Submission to Regulatory Business Plan,* p. 4, City of Playford and City of Salisbury, pp.1-2, and Villawood Properties, p. 1, Urban Development Institute of Australia, pp. 4-5, Regional Development Australia – Barossa, Gawler, Light and Adelaide Plains, pp. 1-4; and Property Council of Australia, *Submission to Draft Regulatory Determination*, pp. 1-3.

[371] For more details, see SA Water's website at https://www.sawater.com.au/building,-developing-and-plumbing/developments/developer-contributions.

[372] SA Water, *Regulatory Business Plan 2024-28*, pp. 305-306.

SA Water's recycled water and excluded retail services have natural monopoly characteristics. At face value, this can indicate that SA Water may, in some instances, have an incentive and ability to exercise market power. As such, some form of price determination pursuant to the ESC Act and the WI Act provides protection to customers' seeking these services which the Commission can monitor through reporting and compliance checking.

A form of price determination can help to promote efficiency, competition, and innovation in the water industry, and promote the economically efficient use and operation of, and investment in, significant infrastructure so as to promote effective competition in relevant upstream and downstream markets.

The current form of regulation has several key advantages.

- Where markets may not be competitive, a pricing principles approach provides guidance to SA Water to set prices based on efficient costs, while at the same time providing a regulatory deterrent and allowing for compliance, monitoring, and enforcement through the Commission's general compliance framework. The current approach is less intrusive and less costly to administer and comply with.
- The pricing principles require price transparency on the part of SA Water in relation to recycled water prices and excluded retail services prices. Transparency can help stakeholders to gain a better understanding of how charges are calculated and applied and can assist customers in negotiations with SA Water.
- Recycled water services are generally a substitute for water retail services. The price of recycled water may be constrained by water retail prices. This can reduce the ability of SA Water to exercise market power.
- SA Water is required to publish its recycled water prices and excluded services retail prices and demonstrate that those prices comply with the relevant NWI Pricing Principles.
- The use of NWI Pricing Principles for the purposes of regulating SA Water's recycled water and excluded retail services is consistent with their use in regulating SA Water's direct control services. Moreover, NWI Pricing Principles are accepted in regulatory matters at both a state and national level.

Nonetheless, the current form of regulation has some potential limitations.

- The effectiveness of a pricing principles approach can depend on the nature, type and level of compliance and monitoring activity.
- Where published pricing and policy statements do not provide sufficient transparency, this can reduce the effectiveness of the pricing principles approach. It is noted that SA Water's pricing policy statements on excluded services have recently included less information than they previously did.
- The Commission's current pricing principles approach does not involve it stating publicly its views regarding whether price movements of recycled water and excluded retail services have been efficient (or not).[373]

For the purposes of the draft decision, the Commission put the view that, while there are a range of potential regulatory options available that could be introduced, based on evidence then available the cost of applying more prescriptive approaches to a group of services which account for a small share of revenue may not be economically efficient.

[373] While an approach that involves price monitoring and public statements on the efficiency of SA Water's prices could be adopted instead of only adopting pricing principles, the diverse range of services covered under recycled and excluded services, which can exhibit varying rates of growth in costs, limits the benefits of a public price monitoring approach.

8.4.1 Recycled water

For the purposes of the draft decision, the Commission was not aware of any issues or concerns regarding the existing regulatory approach for recycled water. As such, and in accordance with the Commission's risk-based approach to regulation, a detailed review of SA Water's compliance with its obligations under the *SA Water's water and sewerage retail services: 1 July 2020 – 30 June 2024 Price Determination* in relation to recycled water pricing was not undertaken.

However, SA Water's compliance with its recycled water pricing obligations will continue to be monitored in accordance with the Commission's general compliance framework.

8.4.2 Excluded services

The Commission analysed four key areas relating to SA Water's provision of excluded services to make its draft decision. The aim of this analysis was to determine whether SA Water's current approach to setting prices for excluded services complies with the pricing principles as required under the Price Determination. The Commission found:

- Pricing for excluded services

  Since 2013-14, totalised excluded services prices have, on average, [374] moved in line with the national and Adelaide Consumer Price Index (**CPI**) and Producer Price Index (**PPI**) (Final demand). A dip in the nominal price of totalised excluded services occurred in 2020-2021, which mirrors the price reductions made for water and sewerage retail services during that period.

  SA Water has provided to the Commission estimated costs for excluded services for the period July 2020 to June 2023.[375] On average, these services increased in cost by 9 percent over the period, consistent with increases in the national CPI of 11.6 percent and the PPI of 9.7 percent. The Commission has not undertaken a detailed assessment of the efficiency of SA Water's costs.

- Rate of return applied to excluded services

  SA Water's pricing policy for excluded services for 2023-24 states it has used a cost-plus approach to determine prices.[376] SA Water states that this approach aims to recover incremental capital expenditure and direct and indirect operating costs, while providing for a reasonable rate of return.[377] SA Water confirmed to the Commission that during SAWRD20 it had applied a post-tax nominal weighted average cost of capital (**WACC**) of 4.75 percent as a rate of return to its excluded services fees and charges. This rate of return was consistent with the Commission's regulated rate of return for the SAWRD20 period.

- The proportion of total income from excluded services

  A simple average of the percentage of SA Water's income from excluded services for the last three regulatory determination periods showed that income had risen, on average, less than a percentage point since 2013. Based on the Commission's understanding that SA Water has been moving toward full cost recovery on excluded services since SAWRD16, and that there has been a decrease

[374] The totalised excluded services price data used was a simple average based on 44 excluded services that have retained the same name since 2013-2014.

[375] These costs relate to services that are high volume and low cost with little variation and SA Water can apply a standard charge based on the average cost of those services. Where the service is low volume and high cost with a high degree of variation, SA Water develops a non-standard charge based on specific needs.

[376] Available at www.sawater.com.au/__data/assets/pdf_file/0010/733843/SA-Water-2023-24-Excluded-Services-Pricing-Policy-Statement.pdf.

[377] Information provided to the Commission on 8 August 2023.

in total regulated revenue over recent years, this increase does not appear to be indicative of monopoly pricing.

- SA Water's excluded services operating surplus ratio

  An analysis of SA Water's excluded services income and operating costs showed an average annual surplus ratio of approximately 11 percent over the period 2017-18 to 2022-23. This annual average operating surplus is not, at face value, suggestive of excessive profit. Nevertheless, while financial indicators can, in some cases, reveal matters relating to excessive profit and/or the misuse of market power, a regulated operator's net operating margin may not necessarily be indicative (or otherwise) of efficient costs and prices.[378]

Based on these findings, the Commission considered that SA Water's approach to pricing excluded services met the requirements of the applicable pricing principles.

For the purposes of the draft decision, current evidence did not suggest monopoly pricing, and the proposed regulatory approach provides guidance to SA Water when setting prices. The administrative costs to SA Water of imposing pricing principles are likely to be relatively small. Moreover, there is unlikely to be any impact on SA Water's investment incentives under this regulatory approach, given the broad nature of the pricing principles being imposed.

On that basis, and the absence of compliance concerns being identified, the Commission indicated its intent to continue the pricing principles approach in an ongoing manner. Compliance monitoring, and enforcement, of SA Water's application of the pricing principles will continue to be addressed through the Commission's general compliance framework.

To support the Commission's decision to set its regulatory approach to excluded services on an ongoing basis, Water Industry Guideline No. 2 - Regulatory Information Requirements – Major Retailers (Guideline 2), would require SA Water to provide information on its pricing approach, including data on, where a service is high volume/low cost with little variation between individual jobs, the standard charge per service based on the average cost of the service.

The Commission indicated it would use this information to monitor excluded services pricing changes during regulatory periods.

In regard to improving public transparency over excluded services pricing, the Commission reiterated that the Price Determination requires that SA Water must publish a pricing policy statement that '*demonstrates the manner in which the prices that SA Water will charge customers for the sale and supply of excluded retail services for that regulatory year meet the requirements'* of the pricing principles.[379]

The Commission considered SA Water's pricing policy statement from 2016-17[380] to be more effective at meeting this requirement than its recent pricing policy statements.[381] The Commission stated that it expected SA Water to improve its performance in this area and would closely monitor outcomes over SAWRD24. If SA Water's performance is not seen to improve, the Commission indicated it could consider additional regulation or reporting for SAWRD28.

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[378] For example, if a regulated operator were to have inefficient operating costs, but earned a small margin on these costs, then in this example prices may still be set at inefficient levels.

[379] Essential Services Commission of South Australia, *SA Water's water and sewerage retail services – 1 July 2020 to 30 June 2024*, Price Determination, 1 July 2020, Clause 4.2.1 (a).

[380] Available at www.sawater.com.au/__data/assets/pdf_file/0009/83907/Excluded-Services-Pricing-Policy-Statement-2016-17.pdf.

[381] Available at www.sawater.com.au/__data/assets/pdf_file/0010/733843/SA-Water-2023-24-Excluded-Services-Pricing-Policy-Statement.pdf.

8.5 Draft decision

The Commission's draft decision was to regulate the sale and supply of recycled water and excluded retail services under a pricing principles approach on an ongoing basis with compliance monitoring and enforcement to be addressed through the Commission's general compliance framework. The Commission indicated it would revisit this approach if material concerns were identified or there were material changes in the market for recycled water and excluded retail services.

The Commission proposed that SA Water would be required to provide pricing information directly to the Commission on an annual basis, or at such further times as required where any concerns are identified.

The Commission stated that it would require SA Water's future pricing policy statements to provide a more comprehensive level of detail that demonstrates how its excluded services pricing approach meets the requirements of the pricing principles for recycled water and excluded services.

To promote SA Water's continued adherence with this approach, the Commission indicated that it would undertake compliance monitoring of SA Water's application of the pricing principles through its general compliance framework throughout each regulatory period.

8.6 Consultation on draft

The Commission received a submission on transparency around charges and when differential and non-differential pricing is applied to excluded services, and in particular developer charges, from Regional Development Australia – Barossa, Gawler, Light and Adelaide Plains (**RDA**) and a submission from SA Water.

RDA supported the Commission's decision to improve transparency on developer and augmentation charges, which are a form of excluded retail services. In particular, RDA supported the decision to require SA Water to publish a pricing policy statement that '*demonstrates the manner in which the prices that SA Water will charge customers for the sale and supply of excluded retail services for that regulatory year meet the requirements of the pricing principles*'.[382] RDA also noted that SA Water should charge differentiated prices that reflect the efficient cost of the service provided except where the cost to do so outweighs the benefits. This reflects the current pricing principles approach.[383]

In its submission to the draft determination, SA Water stated that it could add additional information back into the excluded services pricing policy statement to improve transparency for customers and the Commission. SA Water also sought more detail on what reporting information on excluded services would be required.[384]

Several stakeholders made submissions on the regulatory framework and unanticipated growth in the network.

For instance, the Property Council of Australia submitted that the current regulatory framework may not be fit for purpose in an environment in which demand increases rapidly.[385]

The Urban Development Institute of Australia (**UDIA**) submitted that the regulatory framework should be agile and responsive to the growth needs of South Australia. UDIA expressed the view that funding pathways for the regulated operator, such as debt and equity, have not been applied by SA Water in the context capital expenditure.[386]

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[382] Regional Development Australia – Barossa, Gawler, Light and Adelaide Plains, pp. 2-3.
[383] Ibid, pp. 2-3.
[384] SA Water, *SA Water's response to ESCOSA's Draft Determination*, p. 119.
[385] Property Council of Australia, *Submission to Draft Regulatory Determination*, pp. 1-3.
[386] Urban Development Institute of Australia, pp. 1-5.

RDA expressed the view that the regulatory framework should support government in fulfilling its objectives and plans for growth, allow flexibility to accommodate for unanticipated growth, and allow for land use and coordination across government and stakeholders.[387]

The Customer Challenge Group (CCG) submitted that the framework should have better account for growth and have regard to the 'state and national strategic context' (including growth plans and housing initiatives, water security needs and climate change goals).[388]

8.7 Further analysis

No submissions commented directly on the Commission's draft decision to continue to regulate the sale and supply of recycled water and excluded retail services under a pricing principles approach and to do so on an ongoing basis, and no further relevant information has been identified by the Commission that would alter its position.

In relation to stakeholder submissions on growth, the Commission expects SA Water to operate in a transparent manner, implement its pricing in line with pricing principles, and provide information to stakeholders regarding its methodology and how charges have been formulated. The Commission notes, earlier versions of the excluded services pricing policy developed by SA Water provided more detailed information on how it determined both excluded services and developer contribution requirements.[389]

Despite several stakeholder submissions highlighting the importance of addressing growth, few recognised the role that developer contributions could make in providing funding for that growth. The South Australia Council of Social Service (SACOSS) did, however, raise the importance of capital contributions for major growth capital expenditure.[390] In this respect, SACOSS has highlighted the importance that existing customers should not bear inefficient costs.

Where growth is unanticipated during the regulatory period, the regulatory framework allows for several pathways to fund infrastructure. In addition to the use of developer charges (noted above), SA Water can re-prioritise spending, or proceed with the project (using funding from increased debt within prudent bounds or South Australian Government equity, if needed) and seek compensation through an ex-post review of efficient and prudent expenditure.

There can understandably be unanticipated growth challenges, including those relating to shifts in consumer preferences and behaviours, changes in government policy, and macroeconomic drivers, which can impact on long-term growth plans and network extension. However, SA Water has processes, and as described above, augmentation and developer charges policies in place to manage greenfield and infill growth.[391] A key issue for the Commission is the effectiveness (or otherwise) of SA Water's implementation of the existing policy, and whether the existing framework is fit-for-purpose in allowing for the efficient funding of water and sewerage infrastructure. As mentioned in the draft determination, the Commission notes that it may make a more direct regulatory intervention in this area, potentially during the SAWRD24 period, should circumstances indicate that it is appropriate to do so.

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[387] Regional Development Australia – Barossa, Gawler, Light and Adelaide Plains, pp. 1-4.
[388] Customer Challenge Group, pp. 2-5.
[389] For example, the 2017-2018 SA Water Excluded Services Pricing Policy.
[390] South Australian Council of Social Service, *Submission to Draft Regulatory Determination*, p. 14.
[391] SA Water noted in its RBP that it dedicates time and effort to consulting with developers and to assessing and planning for system augmentation or installation of infrastructure to support sufficient capacity of the system. Ultimately, SA Water reportedly aims to have infrastructure in place to support growth when needed, and it undertakes dynamic planning, adjusting plans over time to respond to changes in network conditions, customer requirements and standards. See SA Water, *Regulatory Business Plan 2024-28*, pp. 54-55.

Finally, it is noted that SA Water, as a manager of long-life water and sewerage assets, should have long-term strategies and plans, relating to asset management, delivery, and financing, in place. As explained in Chapter 11, SA Water's capital expenditure decision-making should be ongoing and frequently reviewed, clearly linked to long-term goals, and, as a regulated entity, its strategies should support them. This long-term planning should involve frequent and regular reviews of growth projections, including the use of multiple sources of modelling and projections, and assessments on how projections have transpired compared with actual outcomes.

8.8 Final decision

For the reasons stated earlier in the chapter, the Commission confirms its position in respect of the draft decision. The Commission will make an ongoing Excluded and Recycled Water Retail Services – Price Determination that regulates SA Water's approach to the sale and supply of recycled water and excluded retail services through a pricing principles approach. Compliance monitoring and enforcement of SA Water's adherence to the price determination will be undertaken in accordance with the Commission's general compliance framework.

On 1 March 2024, the Commission provided to SA Water a draft of the revised Guideline 2, which included a proforma for reporting on excluded retail services pricing. The Commission expects SA Water to use this proforma to provide a pricing schedule, setting out the prices which SA Water will charge customers for the sale and supply of excluded retail services for that regulatory year, as required by section 3.2.1 of the Excluded and Recycled Water Retail Services – Price Determination.

Box 8.2: Pricing Principles for recycled water and excluded retail services

NWI Pricing Principles for SA Water's recycled water and stormwater use

Principle 1: Flexible regulation

Light handed and flexible regulation (including use of pricing principles) is preferable, as it is generally more cost efficient than more prescriptive regulation. However, more prescriptive regulation (for example, establishing maximum prices and revenue caps to address problems arising from market power) should be employed where it will improve economic efficiency.

Principle 2: Cost allocation

When allocating costs, a beneficiary-pays approach — typically including direct user pay contributions — should be the starting point, with specific costs shared across beneficiaries based on the scheme's drivers (and other characteristics of the recycled water/stormwater reuse scheme).

Principle 3: Water usage charge

Prices to contain a water usage (that is, volumetric) charge.

Principle 4: Substitutes

Regard to the price of substitutes (potable water and raw water) may be necessary when setting the upper bound of a price band.

Principle 5: Differential pricing

Pricing structures should be able to reflect differentiation in the quality or reliability of water supply.

Principle 6: Integrated water resource planning

Where appropriate, pricing should reflect the role of recycled water as part of an integrated water resource planning system.

Principle 7: Cost recovery

Prices should recover efficient, full direct costs — with system wide incremental costs (adjusted for avoided costs and externalities) as the lower limit, and the lesser of stand-alone costs and willingness to pay as the upper limit. Any full cost recovery gap should be recovered with reference to all beneficiaries of the avoided costs and externalities. Subsidies and CSO payments should be reviewed periodically and, where appropriate, reduced over time.

Note: Direct costs include any joint/common costs that a scheme imposes, as well as separable capital, operating and administrative costs. This definition of direct costs does not include externalities and avoided costs.

Principle 8: Transparency

Prices should be transparent, understandable to users and published to assist efficient choices.

Principle 9: Gradual approach

Prices should be appropriate for adopting a strategy of 'gradualism' to allow for consumer education and time for the community to adapt.

Pricing principles relevant to SA Water's excluded services

NWI Pricing Principles

Setting developer charges (Principles for Urban Water Tariffs: Principle 8)

Developer charges should reflect the investment in both new and existing assets required to serve a new development and have regard to the manner in which ongoing water usage and service availability charges are set.

Note: Where there are benefits beyond the boundary of the development, the developer charge should have regard to the share of capacity required to serve the development.

Capping developer charges (Principles for Urban Water Tariffs: Principle 9)

Developer charges should not exceed the costs of serving new developments, which includes investment in both new and existing assets required to serve a new development.

Revenue from developer charges (Principles for Urban Water Tariffs: Principle 10)

To avoid over recovery, revenue from developer charges should be offset against the total revenue requirement, either by excluding or deducting the contributed assets from the RAB, or by offsetting the revenue recovered using other mechanisms.

Cost recovery for new capital expenditure (Principles for Recovery of Capital Expenditure: Principle 1)

For new or replacement assets, charges will be set to achieve full cost recovery of capital expenditures (net of transparent deductions/offsets for contributed assets and developer charges and transparent CSOs) through either:

- a return of capital (depreciation of the RAB) and return on capital (generally calculated as rate of return on the depreciated RAB), or
- renewals annuity and a return on capital (calculated as a rate of return on an undepreciated asset base (Optimised Replacement Cost).

Differential water charges (Principles for Urban Water Tariffs: Principle 7)

Water charges should be differentiated by the cost of servicing different customers (for example, on the basis of location and service standards) where there are benefits in doing so and where it can be shown that these benefits outweigh the costs of identifying differences and the equity advantages of alternatives.

Note: Differential pricing may be achieved by upfront contributions, including developer charges.

Commission's additional Pricing Principles

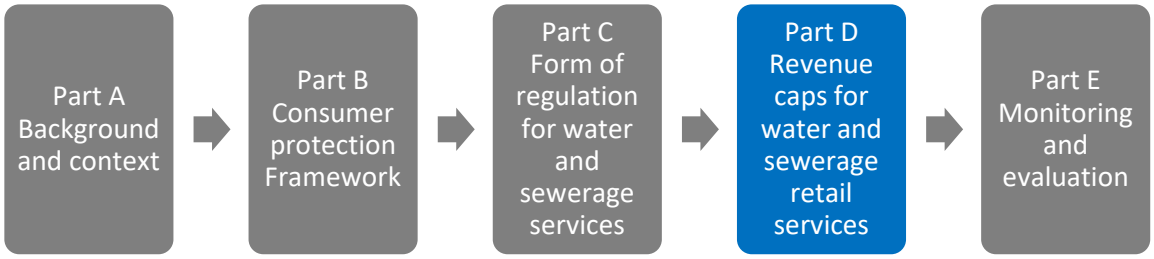
Principle 1: Where a service is provided for the sole benefit of the recipient, the beneficiary should pay the full efficient cost of the service, and other consumers should not be required to contribute to the cost of the service.

Principle 2: Where a service is provided to a distinct group of customers (for example, trade waste audits are provided to trade waste customers only), prices to a customer should reflect the incremental cost of supplying the service to that customer, and a reasonable allocation of the fixed costs of providing the service, where relevant.

Principle 3: Prices should reflect the efficient cost of the particular service provided, although in circumstances where the cost of implementing differentiated prices to different customers is likely to outweigh the benefits, non-differentiated prices can be implemented.

Principle 4: SA Water must be able to provide transparent information to customers on how the costs for these services have been calculated, or are to be applied, and must be able to support its position in the event of a dispute.

Part D – Determining revenue caps for direct control retail services



Part D sets out the context and methodology for assessing the prudent and efficient expenditure and benchmark cost components of the revenue determination, for the four-year period commencing 1 July 2024. The revenue cap is set with regard to the forecast *real* (inflation-adjusted) costs that would be incurred by a prudent and efficient standalone benchmark entity with the obligations and risks of SA Water, not necessarily SA Water's actual or expected costs.

In determining revenue caps, the cost components that the Commission has considered are:

- operating expenditure
- capital expenditure
- return of capital (depreciation)
- return on regulated asset base
- return on working capital
- tax allowance
- adjustments from previous determination, and
- non-tariff revenue.

9 Approach to determining revenue cap for direct control retail services

This chapter provides a general overview of the Commission's approach to determining revenue caps for direct control water and sewerage retail services.

Detail on each building blocks cost model component can be found in Chapters 10 through to 17.

9.1 Building block approach

As discussed in detail in Chapter 7, as a part of the SAWRD24 regulatory determination:

- SA Water's direct control water and sewerage retail services are each subject to a four-year maximum total revenue cap, covering the period 1 July 2024 to 30 June 2028. (Pricing Order, clauses 4.1, 4.2 and 4.3).
- The revenue caps are based on the forecast efficient and prudent costs of providing water and sewerage retail services during the 2024-28 regulatory period, are prepared and presented based on a building blocks cost model, are set in real (inflation-adjusted) terms, and are set at a fixed dollar amount, subject to the ancillary (adjustment) variation mechanisms specified in the Pricing Order as explained below. (Pricing Order, clauses 5.1 and 5.2).

The regulatory determination includes the following adjustment variation mechanisms:

- A 'cost pass-through' mechanism, which permits adjustment of the revenue caps in the 2028-32 regulatory period where an event beyond the control of SA Water has, or will have, a material impact on SA Water's costs of providing water or sewerage retail services within the 2024-28 regulatory period. (Pricing Order, clause 4.6)
- A 'demand variation adjustment' mechanism, which permits adjustment of the revenue caps in the 2028-32 regulatory period to account for any material differences between forecast and actual water and sewerage retail service revenue earned, due to differences between forecast and actual water sales and sewerage connections. (Pricing Order, clause 4.5)
- A 'shared infrastructure' mechanism for water retail services, which permits adjustment of the revenue caps in the 2028-32 regulatory period, by 10 percent of the difference between actual and forecast revenues from the 2024-28 period, for the provision of non-regulated services by SA Water that utilise water retail service infrastructure.
- A 'shared infrastructure' mechanism for sewerage retail services, which permits adjustment of the revenue caps in the 2028-32 regulatory period, by 10 percent of the revenue earned by SA Water in the 2024-28 regulatory period, for the provision of non-regulated services by SA Water that utilise sewerage retail service infrastructure.
- A 'River Murray licence adjustment' mechanism, which will reduce revenue caps in the subsequent regulatory period to reflect income derived by SA Water from the sale of water allocations associated with River Murray water entitlements.

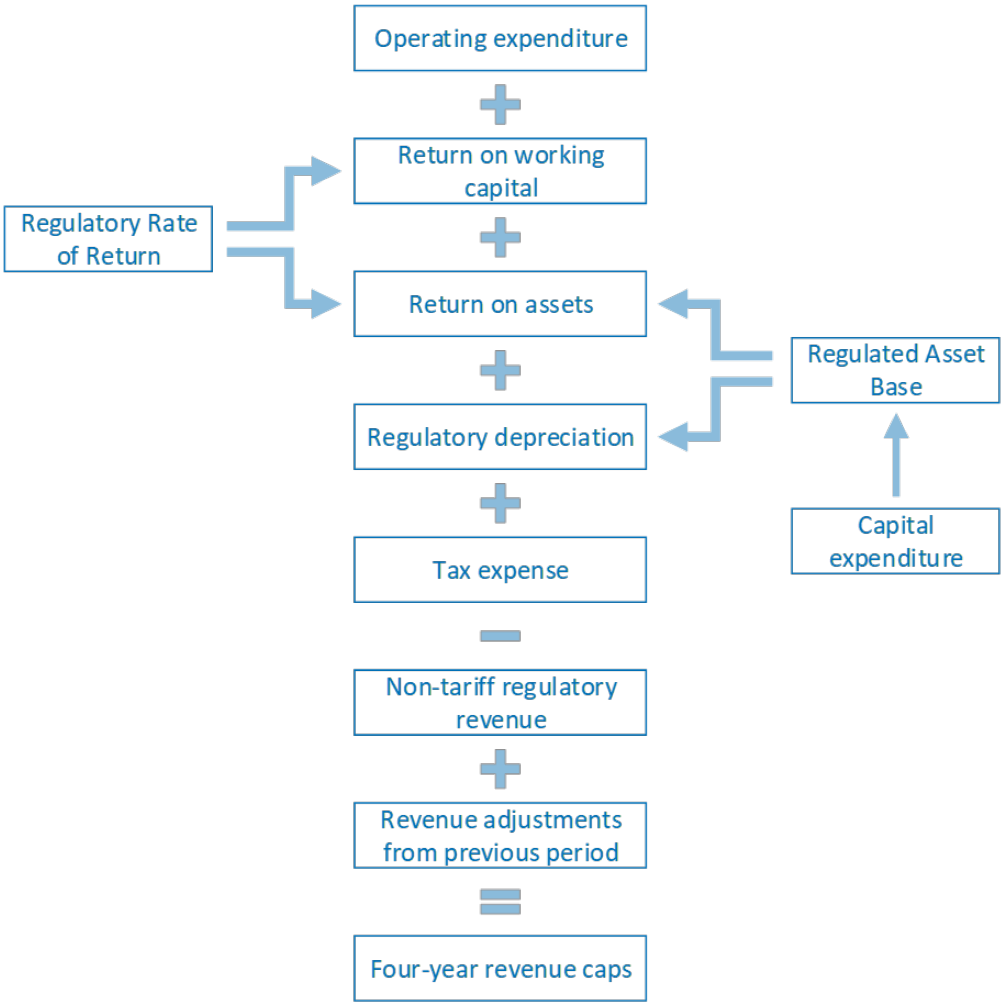
The building blocks cost model is a commonly accepted economic approach to estimating efficient costs. In this regard, it is effectively a build-up of the forecast efficient costs of the regulated firm.

As shown in Figure 9.1, the building blocks cost model will involve adding the forecast efficient operating expenditure, return on working capital, return on assets, regulatory depreciation and tax expense to determine the total efficient costs of providing each service. It will deduct revenue that

SA Water receives from other sources that contribute towards those costs, such as Community Service Obligation (CSO) payments, to ensure that SA Water does not over-recover those efficient costs.

Adjustments will also be made to reflect outcomes from the current regulatory period that flow through to the next regulatory period, such as those under the demand variation adjustment mechanism, the shared infrastructure revenue adjustment mechanism and the River Murray water licence adjustment mechanism. The cost building blocks and adjustments for SAWRD24 are determined in Chapters 10 to 17.

Figure 9.1: Building blocks cost model of water and sewerage services revenue



9.2 General methodological approach for determining revenue caps

The Commission considered all relevant legislative requirements, objectives and factors[392] in making its final decision regarding maximum revenue caps for direct control water and sewerage retail services. The Commission considers the maximum revenue caps reflect an appropriate sustainable cost for providing those services at the determined service standards and in accordance with the obligations set by all regulators of SA Water.

[392] Refer to Chapter 3 – Introduction, and Appendix 2 - Legal Requirements, for further information on the legal framework applying to SAWRD24.

In determining the forecast efficient and prudent costs of providing water and sewerage retail services for SAWRD24, the Commission has had regard to the constituent components of total efficient costs. For some components, such as operating expenditure and capital expenditure, there can be inter-relationships. For example, a trade-off could involve choosing between replacing an ageing asset and therefore requiring less maintenance expenditure, compared with undertaking a higher-level ongoing maintenance and repairs instead of replacing the asset. Where possible, the Commission has considered potential trade-offs between capital expenditure and operating expenditure when considering the lowest sustainable total efficient costs of direct control retail services for SAWRD24.

Regulating revenues to recover the lowest sustainable cost of supplying water and sewerage retail services allows SA Water sufficient revenue to efficiently deliver the services valued by customers, in the long term. The Commission is not seeking to deliver low prices in the short term at the expense of long-term service delivery. That would be inconsistent with the Commission's requirement to protect customers' long-term interests.[393] Nor is the Commission setting revenues above the efficient cost of service delivery, as that would deliver inefficiently high prices to customers and potentially excessive profits to SA Water, which would also be inconsistent with the long-term interests of consumers.

As a matter of general practice, the Commission's expectation is that a prudent and efficient water utility, which manages long-life water and sewerage assets, should be able and willing to provide supporting evidence to justify all elements of its expenditure proposals. For regulated water utilities such as SA Water, this is as set out in its Regulatory Business Proposal (RBP).

However, a RBP cannot be divorced from the long-term operating context of an asset-intensive business. Long-term strategies and plans, relating to asset management, operational delivery and financing, should be in place and given effect. Investment decision-making should be ongoing and frequently reviewed, clearly linked to long-term goals and the strategies that support them.[394]

A RBP is, therefore, simply a point-in-time snapshot of the regulated business' long-term plans, providing more granular short-term detail to explain and justify proposed expenditure, investment, action and service levels for the next regulatory period.

In that overall long-term planning and delivery context, a regulated business, such as SA Water, should have the information and materials underpinning its RBP readily available to be provided to any and all interested stakeholders and the Commission.

In making its assessment, the Commission is not bound to simply accept a regulated entity's claims regarding expenditure requirements, without testing and assessing those claims (publicly, wherever possible) and, where it considers better information or evidence exists, then it may choose to adopt that better information and evidence.

Furthermore, the regulatory decision-making process can involve issues of discretion, judgement and degree (to the extent permitted under the ESC Act and the WI Act). In such cases, given the range of possible choices, the Commission recognises that different minds, acting reasonably, could make different choices on the same subject matter.[395]

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[393] See section 6(1) of the ESC Act.

[394] Wilson A, *Emerging issues in economic regulation of long-term infrastructure*, unpublished speech at Australian Energy Institute event, Adelaide, 7 June 2022.

[395] Re GasNet Australia (Operations) Pty Ltd [2003] ACompT 6 (23 December 2003) at paragraph 29, and Application by DBNGP (WA) Transmission Pty Ltd (no 3) [2012] ACompT 14 at paragraph 130. Also, see Incenta Economic Consulting, *ESCOSA's Draft Decision on SA Water's operating expenditure for the 2024/25 – 2027/28 – a peer review*, p. 8, and Sapere, *Peer review of operating expenditure chapter in ESCOSA's Draft SA Water Regulatory Determination 2024*, p. 29, 32.

As the Commission observed in the Framework and Approach paper:[396]

> *'During the regulatory determination process, the Commission reviews a sample of projects, programs and initiatives across the business, with a focus on the matters outlined above. It also assesses the scope for efficiencies to be achieved across the business, based on issues identified with the reviewed sample that are likely to apply to the projects, programs and initiatives not reviewed in detail. Having done so, the Commission establishes forward-looking expenditure benchmarks at a level that should allow SA Water, acting as a prudent and efficient business, to meet known and identified obligations and agreed service outcomes.*
>
> *The expenditure benchmarks are a key input into the calculation of the two separate maximum revenue caps; one for water retail services and one for sewerage retail services. SA Water must then manage its business, using risk-based prioritisation decision-making systems, within those maximum revenue caps over the four-year determination period.*
>
> *Overall, the regulatory determination process seeks to provide robust external scrutiny of SA Water's investment decision making processes but, crucially, it does not seek to replace SA Water's operational responsibilities. SA Water must own its decisions and explain its choices to the public and its owner.'*

Therefore, the methodology applied by the Commission in determining maximum revenue caps for direct control water and sewerage retail services, has been informed by all information, materials and submissions available to it at the time of making the draft, and subsequently, final decision.[397] This includes information and submissions from industry and consumers, SA Water's consumer engagement, as well as public and private sources of data, and information contained in SA Water's RBP.[398]

The Commission has also sought and considered additional information and materials from SA Water, some of which is confidential and may not be reported in part or in full in the following chapters.

In addition, the Commission has undertaken its own enquiries to obtain further relevant information and advice to inform and assist it in determining the revenue caps for direct control water and sewerage retail services. [399] This includes obtaining the advice of expert engineering and economic consultants. Reports prepared for the Commission by consultants are publicly available for consideration and review as a part of the release of the final determination. The Commission has referenced this information and advice, where it relates to the Commission's determination of final revenue caps.

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396 Essential Services Commission of South Australia, *SA Water Regulatory Determination 2024, Final Framework and Approach*, p. 4.

397 This approach of including all stakeholders has been part of the Commission's approach to economic regulation for more than two decades. Owens L, *Regulatory Collaboration: SAIIR's Approach to Regulation*, speech presented by Lewis W. Owens at the SA Power Briefing, Adelaide, 27 and 28 April 2000, pp. 1-7.

398 Appendix 1 provides a summary of the process followed by the Commission in making the regulatory determination. Appendix 3 provides a list of the submissions from stakeholders.

399 It is commonly accepted that, in light of the known information asymmetry between a regulator and a regulated business, there can be an incentive and ability for a regulated business to pass on inefficient costs to customers, to not reveal full information about the efficient costs of its regulated activities, and/or to overstate the extent of its costs. Economic regulators are known to make adjustments to a monopoly's proposed costs, for example where the firm may have exaggerated costs or incurred costs that are not necessarily in the long-term interests to consumers, as well as to account for possible future changes in demand and input costs. See Joskow P, 'Regulation of Natural Monopolies', In A Polinsky & S Shavell (eds), *Handbook of Law and Economics*. Volume 2, 2007, pp. 1288-1289, and Decker, p. 86, pp. 104-106.

The following reports were prepared by consultants to inform the draft regulatory determination:

- Sapere Research Group (**Sapere**): demand adjustment mechanism
- Oxford Economics Australia (**OEA**): cost escalation and forecasts
- AtkinsRealis (**Atkins**): capital expenditure review for SAWRD24 and SAWRD20 excluding Information Communications Technology (**ICT**) infrastructure, and
- FTI Consulting (**FTI**): capital expenditure for SAWRD24 relating to ICT infrastructure

The following additional reports were prepared by consultants to inform the final regulatory determination:

- Atkins: capital expenditure review supplementary report
- Sapere: Operating expenditure peer review
- Sapere: Operating expenditure addendum to peer review, and
- Incenta Economic Consulting (**Incenta**): Operating expenditure peer review.

9.3 Revenue caps for direct control water and sewerage retail services for SAWRD24

The Commission's decision on revenue caps for direct control water and sewerage retail services for SAWRD24, is detailed in the following chapters:

- Chapter 10 – Operating expenditure
- Chapter 11 – Capital expenditure
- Chapter 12 – Regulated Asset Base (RAB) and regulatory depreciation
- Chapter 13 – Regulatory rate of return
- Chapter 14 – Tax allowance
- Chapter 15 – Adjustments from SAWRD20
- Chapter 16 – Determination of total revenue caps, and
- Chapter 17 – Revenue caps outcome and comparison.

10 Operating expenditure

Operating expenditure

The Commission's final position is that the prudent and efficient benchmark operating expenditure amounts to be included in the calculation of the revenue caps are as follows:

- $1,603 million ($Dec22) for **water** retail services, which is approximately 1 percent lower than the benchmark set in SAWRD20 and 2 percent lower than that proposed by SA Water in its RBP, and
- $746 million ($Dec22) for **sewerage** retail services, which is approximately 20 percent higher than the benchmark set in SAWRD20 and is in line with that proposed by SA Water in its RBP.

It is noted that the prudent and efficient benchmark operating expenditure amount for SAWRD24 is $2,348 ($Dec22) for direct control water and sewerage retail services. This is approximately 5 percent higher than that set in SAWRD20, but 2 percent lower than that proposed by SA Water in its RBP.

The final position on total operating expenditure is higher ($76 million) than the draft position.

Changes between the Commission's draft and final positions reflect the Commission's consideration of submissions, reports from third-party consultants, new supporting information submitted by SA Water (in response to requests from the Commission) and the requirements of section 6 Ministerial directions.

10.1 Introduction

SA Water's operating expenditure refers to the day-to-day expenditures involved in the delivery of water and sewerage retail services to customers. Through the regulatory determination, the Commission includes **prudent** and **efficient** operating expenditure benchmark amounts for use in the calculation of the revenue caps for SAWRD24 for water and sewerage retail services. Those are at levels that enable SA Water to meet known obligations and service standards when delivering retail services for the four-year period commencing 1 July 2024.

For the purposes of the final determination, the Commission has determined prudent and efficient operating expenditure benchmark amounts with respect to the forecast *real* (inflation-adjusted) costs that would be incurred by a prudent and efficient standalone benchmark entity with the obligations and risks of SA Water. In doing so, it has had regard to a range of evidence. This includes SA Water's previously incurred and expected costs (as set out in SA Water's Regulatory Business Proposal (**RBP**)), submissions (including from SA Water and other stakeholders), information supplied by SA Water in response to information requests issued by the Commission, advice from consultants and information available from other jurisdictions. The Commission is also mindful of the potential for information asymmetry and the role incentive-based regulation plays in incentivising profit and cost and service efficiency.

As explained in more detail in chapter three, the Commission has made its final positions on operating within the applicable statutory framework, having regard to relevant statutory factors set out in the ESC Act and the WI Act. These include the factors set out in section 25 of the ESC Act (the particular circumstances of the regulated industry and the goods and services for which the determination is being made, the costs of making, producing or supplying the goods or services, the costs of complying with laws or regulatory requirements, any relevant interstate and international benchmarks for prices, the return on assets in the regulated industry, costs and return on assets in comparable industries and the financial implications of the determination).

By setting out the operating expenditure benchmark amounts for the four-year regulatory period, the regulatory framework provides SA Water with a financial incentive to find ways to become more efficient over time. For instance, by incurring lower actual operating costs than the benchmark set under the determination, SA Water can retain the benefits of any cost savings during the four-year regulatory period (at the end of the period, the benchmarks will re-set at lower levels, thereby passing the cost-savings benefits back to customers).

To protect against the risk that SA Water may lower service levels to reduce operating expenditure during the regulatory period, the Commission sets service standards, and then monitors, reports and enforces compliance against those standards (as discussed earlier in Chapter 6).

This chapter sets out the Commission's assessment, decisions and reasoning in relation to the final position for prudent and efficient operating expenditure benchmark amounts to be included in the calculation of the revenue caps in respect of the provision of direct control water and sewerage retail services commencing from 1 July 2024.

In undertaking its final determination, the Commission engaged consultants, Sapere Research Group (Sapere) and Incenta Economic Consulting (Incenta), to undertake peer reviews of the Commission's draft determination in relation to operating expenditure.[400]

The chapter outlines:

- background information about the methodology for assessing prudent and efficient operating expenditure (section 10.2)
- a summary of SA Water's proposal for operating expenditure, as outlined in its RBP (section 10.3)
- a summary of the matters raised in consultation to the RBP, including the main themes in stakeholder submissions relating to service levels, sustainability and affordability (section 10.4)
- a recap of the Commission's analysis and draft positions on the prudent and efficient benchmark level of operating expenditure for SAWRD24 (section 10.5 and 10.6)
- a summary of the matters raised in consultation on the draft positions (section 10.7)
- the Commission's further analysis of, and responses to, submissions, information submitted by SA Water and the views of consultants; the further analysis section outlines the Commission's base-step-trend methodology for SAWRD24 (section 10.8), and
- the final position in regard to the prudent and efficient operating expenditure benchmark amounts for SAWRD24 (section 10.9).

10.2 Methodology and context

10.2.1 Categories of expenditure

Consistent with SAWRD20, the relevant classes of operating expenditure under consideration for SAWRD24 are: [401]

[400] Consultant reports are available on the Commission's website at https://www.escosa.sa.gov.au/projects-and-publications/projects/water/sa-water-regulatory-determination-2024.

[401] In Guidance Paper 3, the Commission outlined that ICT-related expenditure should be categorised in SAWRD24 under one of the valid reasons for expenditure from the model above, rather than treated as a separate category as was the case in SAWRD20. This reflects the Commission's view that ICT-related expenditure is primarily an enabler of service delivery, improvement or growth. Essential Services Commission of South Australia, *SA Water Regulatory Determination 2024: Guidance paper 3*, July 2022, p. 9, available at

- **External responsibilities:** expenditure to meet safety, health, service or other legally binding or regulatory standards or obligations.[402]
- **Sustaining services:** expenditure to support the long-term viability of services and sustain delivery of reliable baseline services for existing customers.[403]
- **Enabling growth:** expenditure to support an expanded network to meet increasing demand, either within its current distribution area or as directed by the South Australian Government or permitted by legislation.[404]
- **Improving services:** expenditure to enhance service levels that do not fall into the categories listed above.[405]

In considering whether expenditure is *prudent* and *efficient*, the Commission applies the following general tests (as outlined in chapters 3 and 9, and in Guidance Paper 3).

1. Expenditure on an activity is considered *prudent* where there is a clear justification for that activity.[406] This involves a consideration of whether the expenditure is driven by:
    - a legislative or regulatory obligation, with which SA Water must comply
    - an expectation that the activity will deliver benefits to customers that outweigh the costs, and/or
    - a clear expectation from customers that an outcome should be achieved, and that they value and are willing to pay for that outcome.
2. Expenditure is considered *efficient* where it represents the lowest sustainable (or long-term) cost of achieving the intended outcome.[407]

10.2.2 Information asymmetry and the role for incentive-based frameworks

The approach to assessing prudent and efficient operating expenditure is undertaken from an economic perspective, in order to give effect to the primary objective of protecting the long-term interests of consumers within the applicable statutory framework. The assessment involves methodologies that can both mitigate the risks arising from information asymmetry (between the economic regulator and the regulated business) and establish expenditure benchmarks that incentivise cost and service efficiency.[408]

SA Water will have a better understanding of all facets of its business, including the amount and nature of its operating costs, than the Commission. There can therefore be an incentive and ability to pass on inefficient costs. [409]

https://www.escosa.sa.gov.au/ArticleDocuments/21810/20220714-Water-SAWRD24-GuidancePaper3-AssessingTheRegulatoryBusinessPlan.pdf.aspx?Embed=Y.

[402] Expenditure to achieve compliance with these standards would be reasonable and appropriate in principle. SA Water is not expected to exceed required standards unless this can be achieved at no additional cost to customers. Essential Services Commission of South Australia, *SA Water Regulatory Determination 2024: Guidance paper 3*, pp. 4-9.

[403] Ibid, pp. 4-9.

[404] Ibid, pp. 4-9.

[405] Ibid, pp. 4-9.

[406] Ibid, pp. 1-2.

[407] Ibid, pp. 1-2.

[408] Joskow P, pp. 1227-1348, and Decker C, pp. 86-87.

[409] Joskow P, pp. 1285-1290, and Decker C, pp. 86-90.

As explained by Sapere in a peer review undertaken for the Commission:[410]

> *'As is commonly recognised, a key challenge for any economic regulator in determining the regulated entity's prudent and efficient costs is that the entity will have more information than the regulator. Given this information asymmetry problem and the lack of strong incentives to reveal their efficient costs, regulators have typically relied on a combination of methods including:*
>
> - *using historical observed expenditure as a benchmark*
> - *benchmarking the entity's expenditure against peer organisations*
> - *requiring the entity to propose and justify a level of planned expenditure (or variations to prior expenditure)*
> - *employing industry experts to review the entity's planned expenditure.'*

Incenta, in a report prepared for the Independent Pricing and Regulatory Tribunal (IPART) in 2021, explained that:[411]

> *'…[u]nder a standard application of the building block approach with prices fixed for a period of time regulated firms have a financial incentive to 'talk-up' expenditure requirements. There are several reasons why this can be a low cost option for a business:*
>
> - *Information asymmetry between the business and the regulator means that there is a natural incentive to propose the highest credible forecast possible and put the evidentiary burden on the regulator to prove the forecast is not prudent or efficient.*
> - *The cost to the business is generally low from making an initial ambit claim. This is because making a regulatory determination is a process that permits further opportunities for the firm to influence the regulator. For instance, the business can make a low evidence ambit claim initially, and then respond to the draft determination with robust evidence.*
> - *Regulators may also be reluctant to cut too deeply into the proposed expenditure amount in recognition of the asymmetric consequences of providing insufficient revenue allowances compared to an allowance that is too high…'*

It is accepted regulatory practice for an economic regulator to require a regulated business to justify that its proposed costs are prudent and efficient.[412] SA Water should be able and willing to provide supporting evidence to justify all elements of its operating expenditure proposals, and it should have the information and materials readily available to be provided to stakeholders and the Commission.

Further, identifying new activities is not in itself a justification for an increase in total expenditure. While new activities may be required in the future, with associated new costs, other activities which were previously undertaken may no longer be required, having the effect of offsetting those new costs.

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[410] Sapere Research Group, *Peer review of operating expenditure chapter in ESCOSA's Draft SA Water Regulatory Determination 2024*, p. 5.

[411] Incenta Economic Consulting, *Motivating efficient expenditure and service outcomes for water businesses*, July 2021, p. 17, available at https://www.ipart.nsw.gov.au/sites/default/files/cm9_documents/Consultant-report-by-Incenta-Motivating-efficient-expenditure-and-service-outcomes-for-water-businesses-July-2021.PDF.

[412] The level of justification and information sought by an economic regulator will depend on the nature, specifics and materiality of proposed costs, and the impact that information asymmetry can have on the economic regulator's ability to make decisions that are consistent with its statutory objectives.

In principle, financial incentives can encourage a profit-driven regulated operator to minimise its operating expenditure. By incurring lower actual operating costs than the benchmark set under the determination, SA Water can theoretically retain the benefits of any cost savings during the regulatory period, and, at the end of the period, the benchmarks will re-set at lower levels aligned with actual operating costs, thereby passing cost-savings benefits to customers.[413]

Nevertheless, to the extent that SA Water may not respond to financial incentives, there can be a question of whether the revealed actual operating expenditure is an efficient base year. [414] Where SA Water may not respond to financial incentives to increase profits over time, the Commission needs to consider whether actual historical expenditure has been efficient.

In response to the Commission noting the information asymmetry problems that can arise in natural monopoly contexts, SA Water and its consultant, Stantec, raised concerns.[415,416] However, the economic concept of information asymmetry is a fundamental matter that arises when regulating a natural monopoly entity. It is a key reason why incentive-based regulation is utilised and why a base-step-trend methodology is adopted. It is important to highlight this for stakeholders, to assist them in understanding the fundamental workings of the standard economic regulatory model.

It is apparent from certain stakeholder submissions, including from the Customer Challenge Group (CCG) and responses to YourSAy, that stakeholders generally may have a limited understanding of the incentives of a natural monopoly and the role of incentive-based regulation. This highlights the importance of describing these matters and raising awareness to them, and it is part of the Commission's ongoing function of assisting consumers with information about regulation and regulatory matters.[417]

10.2.3 Contextual considerations

In considering the context for prudent and efficient operating expenditure for SAWRD24, the Commission has had regard to SA Water's operating expenditure performance in SAWRD20 (to date) and how costs have changed between the commencement of SAWRD20 and the final determination for SAWRD24.

As outlined in the draft determination, SA Water's operating expenditure over the period has exceeded the expenditure benchmarks set out for SAWRD20 (Table 10.1). Specifically, as reported at the time of the draft determination, for water retail services, actual annual operating expenditure has been approximately 2 percent ($21 million) higher than benchmark over the period to date, and for sewerage retail services, actual annual operating expenditure has been approximately 5 percent ($23 million) higher than the benchmark set.

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413 Incenta Economic Consulting, *ESCOSA's Draft Decision on SA Water's operating expenditure for the 2024/25 – 2027/28 – a peer review*, pp. 1-20, and Sapere, *Peer review of operating expenditure chapter in ESCOSA's Draft SA Water Regulatory Determination 2024*, pp 1-32.

414 SA Water put forward a submission that suggests it may not be strongly motivated to increase profits. For example, in the context of the rate of the return methodology in Chapter 13, SA Water stated that '*…it did not request a higher rate of return….*'. SA Water, *SA Water's response to ESCOSA's Draft Determination*, p. 109.

415 SA Water, *SA Water's response to ESCOSA's Draft Determination*, p. 51, and Stantec, *Letter – Commission's concerns regarding information provision*, February 2024, pp. 1-2.

416 The letter from Stantec and submission from SA Water state that SA Water has provided, in their view, sufficient supporting information and business cases. However, neither recognises, in any material way, the role for of incentive-based regulation and the importance of the quality of information. Quality of information can relate to the substance of the analysis submitted and the type of information in business cases and in supporting documents.

417 *Essential Services Commission Act 2002*, section 5(d).

Table 10.1: Operating expenditure for SAWRD20 period to date ($Dec22)[418]

	Actual outcomes ($m)	SAWRD20 Benchmark ($m)
Water retail services	1,234	1,213
Sewerage retail services	489	466

SA Water has reported cost escalation due to increased materials and labour costs, labour availability challenges and COVID-19 related disruptions.[419] In response to those pressures, SA Water has reported that, among other activities (including re-prioritising expenditure as well as seeking cost-savings), it reduced its dividend payment to the South Australian Government to support higher operating expenditure.[420]

SA Water's operating expenditure in 2020-21 and 2021-22 may have, at least partially, been impacted by COVID-19 related disruptions.[421] Those impacts are difficult to disentangle from other economy-wide effects and to adjust for when reviewing, considering and assessing historical expenditure data for the purpose of determining prudent and efficient expenditure benchmarks.

The higher operating expenditure in 2020-21 and 2021-22 can also be seen in the recent stabilisation (or uptick) in the measure of total operational expenditure per connection, following a period in which SA Water achieved operational efficiencies since the commencement of economic regulation in 2013 (Figure 10.1).[422] It is noted that the improved efficiency, as measured in total operating expenditure per total connections, which includes both water and sewerage, does not necessarily indicate SA Water is operating at, or near, the efficiency frontier (that is, the operating cost position of the best-performing firms).

As noted in Chapter 3, the Commission's assessment of prudent and efficient operating expenditure for SAWRD24 is taking place in economic circumstances that are different to those existing when SAWRD20 was made. For example, the cost of materials and intermediate inputs (for example, energy-related prices such as oil and electricity, and raw commodity prices such as copper and aluminium) have increased since the time of making SAWRD20, in some cases by amounts well above changes observed in Consumer Price Index (CPI) inflation.[423]

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[418] Based on available information at the time of making the draft determination (representing the first three years of the SAWRD20 regulatory period).

[419] SA Water, *Regulatory Business Plan 2024-28*, p. 41, and SA Water, *SA Water's response to ESCOSA's Draft Determination*, pp. 33-34.

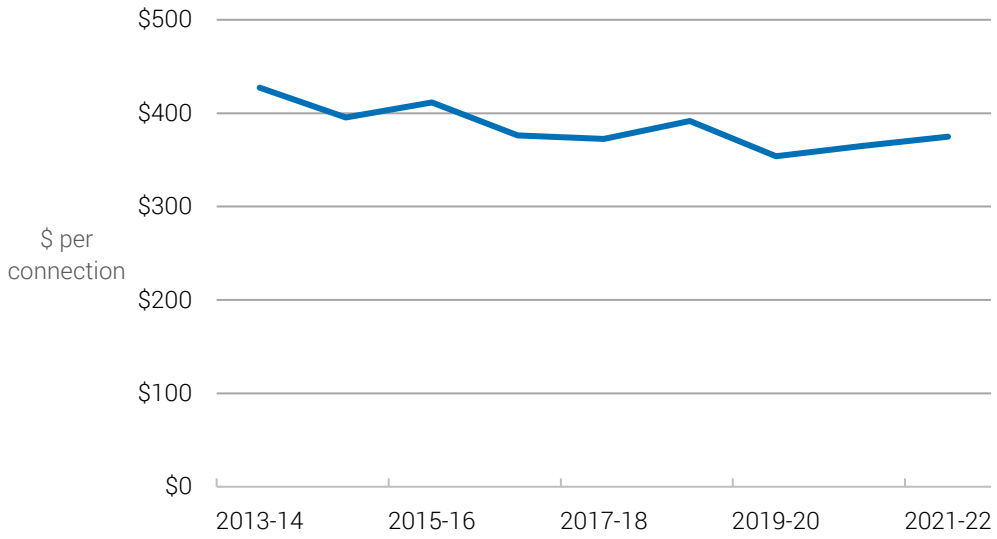
[420] SA Water, *Regulatory Business Plan 2024-28*, p. 41. SA Water's annual dividend payments has averaged approximately $211 million (in nominal terms) between 2013-14 and 2019-20 but has averaged $58 million annually across 2020-21 and 2021-22. Bureau of Meteorology, *National Performance Report 2021-22: Urban Water Utilities.*

[421] SA Water, *Regulatory Business Plan 2024-28*, p. 74. Disruptions could take various forms. This includes negative productivity impacts. That is, COVID-19 related disruptions could mean that SA Water was required to use more labour and materials than usual to deliver the same level of retail services.

[422] Operating expenditure per connection has decreased by approximately 4 percent per year between 2013-14 and 2021-22. The decrease in operating expenditure per connection has been achieved in the face of annual growth in connections of approximately 1 percent per year. The Commission has previously acknowledged that SA Water has managed its operational expenditure within the expenditure benchmarks set out by the Commission in SAWRD13 and SAWRD16. Essential Services Commission of South Australia, *SA Water Regulatory Determination 2020*, pp. 121-122.

[423] Department of Industry, Science and Resources, *Resources and Energy Quarterly*, September 2023, pp. 74-94, 110-122, Reserve Bank of Australia, *Statement on Monetary Policy*, November 2023, p. 52, and Oxford Economics Australia, pp. 1-49.

Figure 10.1: Total operating expenditure per connection, 2013-14 to 2021-22 ($Dec22)



Sources: Australian Bureau of Meteorology, Commission

Lower operating expenditure can typically result from either efficiencies or reduced service levels. During SAWRD20 SA Water's overall service standard performance has been consistent with its historical performance and in line with the standards set by the Commission. As outlined in Chapter 6, the final position is that the existing 22 best endeavours service standards will continue to apply to SA Water during SAWRD24. The Commission has had regard to that position when reviewing, analysing and considering the final position on the level of prudent and efficient operating expenditure for SAWRD24.

There can be inter-relationships between expenditure components such as operating expenditure and capital expenditure. For example, a trade-off could involve choosing between replacing an ageing asset and therefore requiring less maintenance expenditure, compared with undertaking a higher-level ongoing maintenance and repairs instead of replacing the asset. Where possible, the Commission has considered potential trade-offs between capital expenditure and operating expenditure when determining the lowest sustainable total efficient costs of direct control retail services for SAWRD24.

10.3 SA Water's proposal

The following section provides a summary of SA Water's operating expenditure proposals, which can be viewed in more detail in the RBP.[424] The Commission has reviewed SA Water's proposal and understands it to state operating expenditure in December 2022 prices.

In total, SA Water's four-year combined operating expenditure proposal for water and sewerage retail services is for $2,385 million ($Dec22), approximately 7 percent ($149 million) higher than the operating expenditure benchmark set in SAWRD20.

SA Water's proposal for operating expenditure for SAWRD24 comprised three parts:

- a proposal for an efficient base year expenditure ($2,243 million)
- a proposal for a general efficiency applied to that base year ($20 million), and
- a proposal for additional expenditure to be added in regard to new initiatives, programs and projects ($162 million).

Table 10.2 presents SA Water's proposal for total operating expenditure for SAWRD24.

[424] SA Water, *Regulatory Business Plan 2024-28*, pp. 208-259.

Table 10.2: Total operating expenditure proposed for SAWRD24 ($Dec22)

	2024-25 ($m)	2025-26 ($m)	2026-27 ($m)	2027-28 ($m)	Total ($m)
Base year proposal excluding efficiency	560.7	560.7	560.7	560.7	2242.8
Efficiency proposal	5	5	5	5	20
Additional expenditure proposal	24.4	38.0	48.6	51.5	162.4
Total expenditure proposal	**580.1**	**593.7**	**604.3**	**607.2**	**2385.2**

10.3.1.1 Base year proposal

For SAWRD24, SA Water selected financial year 2021-22 as the base year for operating expenditure on the basis that it was the most recent full year that audited statements were available at the time of submitting the RBP, and because the financial data was not impacted by the River Murray floods in 2023.[425]

Table 10.3 presents a build-up of the proposed operating expenditure for the base year.[426] It details expenditure items that SA Water has removed from its actual expenses in 2021-22 and those which it has added (on the basis that, in their opinion, the additions are prudent and/or efficient operating expenditure).[427]

Table 10.3: Proposed total base year operating expenditure excluding efficiencies for SAWRD24 ($Dec22)

Expenditure Item	Total ($m)	Water ($m)	Sewerage ($m)
Reported operating expenditure in accounts	577.6	413.3	164.3
Adjustments and normalisations			
- RD24 cost allocation methodology realignment[428]	-3.7	-20.3	16.7
- Cloud computing[429]	-8.7	-4.3	-4.3
- Leases[430]	21.3	13.9	7.4
- EBA one-off payment[431]	-1.6	-1.2	-0.5
- Adelaide Metro Alliance contract delivery transition[432]	-2.2	-1.2	-1

[425] Ibid, p. 212.
[426] Table 10.3 presents SA Water's base year expenditure proposal against its actual expenditure. Note that SA Water also presents its base year expenditure proposal relative to the Commission's operating expenditure benchmarks for SAWRD20. For more details on SA Water's proposal, see SA Water, *Regulatory Business Plan 2024-28*, pp. 208-260.
[427] Ibid, p. 285.
[428] Ibid, p. 214.
[429] Ibid, p. 215.
[430] Ibid, p. 215.
[431] Ibid, p. 216.
[432] Ibid, p. 216.

Expenditure Item	Total ($m)	Water ($m)	Sewerage ($m)
- Other once off costs[433]	-27.8	-16.3	-11.6
- Water for regional areas[434]	1.1	1.1	0
- RD20 efficiencies[435]	-6.5	-3.2	-3.3
- RD20 asset and investment uplift[436]	11.2	5.8	5.4
Base year excluding efficiency for SAWRD24	**560.7**	**387.6**	**173.1**

As noted above, the proposed base year operating expenditure has additions, including the following items:

- Lease expenses: Under Australian Accounting Standards Board standard number 16, operating leases are required to be recognised on the balance sheet to provide transparency regarding company lease commitments. However, in SAWRD20, leases were treated as operating expenditure and included in the operating expenditure base year. SA Water has proposed to continue this treatment of lease expenses for the purposes of SAWRD24.
- Asset uplift expenditure: This cost category included a wide variety of asset and technology investment programs that SA Water has reported to have been partially delivered, or are scheduled for delivery, post 2021-22. SA Water proposes that these expenditures be added to the base year.[437]
- Servicing of regional areas: SA Water has reported that actual expenditure for regional initiatives was lower than normal in 2021-22 due to external factors, including COVID-19 related disruptions, contractor availability and community approval processes. SA Water proposes that this expenditure be added to the base year.

The proposed expenditure items that SA Water has removed have included the following:

- One-off enterprise bargaining agreement (EBA) payment: During 2021-22, SA Water entered into a new EBA that required a one-off payment to employees. This cost is not ongoing and, as such, SA Water has removed it from the proposed base year.
- Cloud computing costs: While the current accounting standard is to treat these costs as businesses running software as a service (that is, treat them as operating expenditure),[438] SA Water has proposed the capitalisation of these costs, and hence, has proposed that cloud computing costs be excluded from the base year.[439] The capitalisation of cloud-related computing costs is discussed further in Chapter 11.
- Cost allocation methodology: SA Water has adjusted its cost allocation methodology for the treatment of both direct and indirect costs between water and sewerage retail services.
- Other one-off costs: There were several initiatives conducted by SA Water during 2021-22 that have costs that are non-recurring in nature. These range from a $12.9 million reduction due to an

[433] Ibid, p. 216.
[434] Ibid, p. 216.
[435] Ibid, p. 217.
[436] Ibid, p. 217.
[437] Adjustments have been made to the base for asset and information technology investment programs that are partially delivered or are scheduled for delivery after the 2021-22 financial year (as per the RD20 determination timing).
[438] In April 2021, international accounting standards changed, with the International Financial Reporting Standards Interpretations Committee issuing an agenda decision on the configuration or customisation costs for cloud-based technologies.
[439] SA Water, *Regulatory Business Plan 2024-28*, p. 215.

adjustment relating to the transition to the Adelaide Metropolitan Alliance contract, to minor adjustments made including replacing odour control units that saw a reduction of just $0.1 million. A full list of the costs is included in SA Water's RBP.[440]

10.3.1.2 Base year including general efficiency for SAWRD24

SA Water proposed an annual general base efficiency of approximately 0.9 percent for SAWRD24 (Table 10.4). Its efficiency proposal is based on continuing efficiencies (industry-wide frontier shift) only; it did not include catch-up efficiencies.

Table 10.4: Proposed total base year operating expenditure proposed for SAWRD24 including efficiency ($Dec22)

Expenditure Item	Total ($m)	Water ($m)	Sewerage ($m)
Base year excluding efficiency expectation for SAWRD24	560.7	387.6	173.1
General base efficiency for SAWRD24 (annual efficiency for combined water and sewerage of 0.9%)	-5	-2.2	-2.7
Base year including efficiency for SAWRD24	**555.8**	**385.4**	**170.4**

A key aspect of SA Water's proposal is that it claims to be operating efficiently: [441]

> *'SA Water operates efficiently in the interest of keeping customer bills as low as possible. It is also an ESCOSA requirement that SA Water demonstrates that its expenditure represents the lowest sustainable cost for achieving the intended outcome. As detailed in Section 3.5, SA Water's historic costs are shown to be efficient when compared with similar interstate water utilities. For RD24, as part of developing business cases for new expenditure, consideration was given to efficiencies that might be achieved within ongoing operational expenditure.'*

SA Water provided supporting research from KPMG[442] and Stantec.[443] KPMG's research stated that SA Water was at, or close to, the efficiency frontier of comparable water utilities.[444] Stantec's research stated SA Water may have reached a point in which opportunities to find efficiencies have been exhausted.[445]

10.3.1.3 Proposal for additional expenditure

SA Water proposed additional operating expenditure for a range of services in SAWRD24 (Table 10.5).

Key additional expenditure related to operating the Eyre Peninsula Desalination Plant, delivering the Tea Tree Gully Sustainable Sewers program and maintaining the existing (albeit declining) Community Wastewater Management Scheme (CWMS) in that area, meeting legislation relating to superannuation and the security of critical Information Communications Technology (ICT) infrastructure, operating a Purified Recycled Water Demonstration Plant, and operating recreational access to reservoirs. Those projects, programs and initiatives are discussed further in the RBP and in section 10.8.3 of this statement of reasons.

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[440] Ibid, pp. 208-233.
[441] Ibid, p. 234.
[442] SA Water, *Regulatory Business Plan 2024-28,* Appendix 3.2: SA Water Operating cost benchmarking report, June 2022, pp. 1-58.
[443] SA Water, *Regulatory Business Plan 2024-28,* Appendix 3.1: Scope for future efficiencies, March 2023, pp. 1-23.
[444] SA Water, *Regulatory Business Plan 2024-28,* Appendix 3.2: SA Water Operating cost benchmarking report, p. 8.
[445] SA Water, *Regulatory Business Plan 2024-28,* Appendix 3.1: Scope for future efficiencies, p. 23.

Table 10.5: Additional expenditure proposed for SAWRD24 ($Dec22)

	2024-25 ($m)	2025-26 ($m)	2026-27 ($m)	2027-28 ($m)	Total ($m)
Operating expenditure associated with capital expenditure projects					
Eyre Peninsula Desalination Augmentation	0	7.6	14.8	13.5	35.9
TTG Sustainable Sewers Program	3.9	4.9	9.4	9.7	27.9
TTG CWMS	3.6	3.2	2.5	1.8	11.1
Cyber Security	0.7	1.6	3.0	4.2	9.5
Purified Recycled Water Demonstration Plant	1.6	1.6	1.6	1.6	6.4
Additional operating expenditure to the base year					
Recreational Access to Reservoirs	1.7	1.7	1.7	1.7	6.9
Statutory Superannuation Increases	3.0	4.3	4.8	5.3	17.4
Other					
Other[446]	9.8	13.1	10.8	13.7	47.3
Total proposed additional spend	**24.4**	**38.0**	**48.6**	**51.5**	**162.4**

10.4 Consultation on SA Water's proposal

The Commission received several submissions from stakeholders in response to the RBP, with the main themes relating to service levels, sustainability and affordability.

Submissions to the RBP from the Council of the Ageing South Australia (COTA SA), the South Australia Council of Social Services (SACOSS) and Uniting Communities recognised the trade-off between balancing low prices in the short-term with the risk of long-term sustainability and lower service levels, and supported the prioritisation of affordability for SAWRD24.[447] In that context, the submissions noted concerns about the capacity of low-income households to pay higher prices for water and sewerage retail services.[448]

Submissions from SACOSS, the Energy and Water Ombudsman South Australia (EWOSA) and the Environmental Protection Agency (EPA) commented on SA Water's proposed level of operating expenditure for SAWRD24.[449] The submissions put the view, in general terms, that the Commission

[446] SA Water proposed 79 separate initiatives (captured in the 'Other' category) that would require additional expenditure increases above the normalised base. 62 of those operating expenditure initiatives have total expenditure over the four-year SAWRD24 period of less than $1 million each. The Commission sampled several of these projects to review the prudent and efficient nature of the proposed spending, and reviewed the justification provided.

[447] For instance, South Australian Council of Social Service, *Submission to Regulatory Business Plan*, p. 12, 26.

[448] Council of the Ageing South Australia, *Submission to Regulatory Business Plan*, p. 2, Uniting Communities, *Submission to Regulatory Business Plan*, p. 1, 5, and South Australian Council of Social Service, *Submission to Regulatory Business Plan*, pp. 1-2, 26.

[449] Energy and Water Ombudsman South Australia, *Submission to Regulatory Business Plan*, pp. 1-2, South Australian Council of Social Service, *Submission to Regulatory Business Plan*, p. 12, 26 and the Environmental

should carefully assess the prudence and efficiency of SA Water's proposed operating expenditure (including all potential cost savings).[450]

For instance, SACOSS suggested that the Commission should only allow expenditure for which SA Water provided evidence to justify the proposed expenditure was prudent and efficient:[451]

> *'SACOSS is also calling for ESCOSA to carefully examine whether SA Water has identified all possible operating expenditure savings and trade-offs across expenditure categories to ensure that customers pay no more than is necessary for the safe and reliable delivery of water services. ESCOSA must be satisfied that SA Water has provided sufficient evidence to support the need for the proposed operating expenditure step changes. This is particularly important in the context of current and future affordability concerns, as the proposed increased operating expenditure will be fully recovered from consumers in the 2024-28 period.'*

EWOSA supported a higher base-level of operating expenditure on the basis of maintaining service levels over the long term (and reducing the risk of increases in sewerage overflow) and addressing growth in the network.[452]

The EPA supported certain additional expenditure proposed by SA Water.[453,454] This included expenditure for the purposes of major maintenance works and certain capital projects (such as Bolivar and Glenelg Wastewater Treatment Plants),[455] and expenditure associated with SA Water's proposal for a Purified Recycled Water and Demonstration Plant on the basis that it demonstrates and explores climate-independent water sources.[456] In the EPA's view, higher operating expenditure would assist in minimising failure frequency and the duration of interruptions, and would align to SA Water's commitment to meet external obligations.[457]

10.5 Analysis

The following section provides a short, high-level, restatement of the analysis in the draft determination in relation to prudent and efficient operating expenditure benchmark amounts for SAWRD24.

A recap is provided on the basis the further analysis section below outlines the draft positions, matters raised in consultation and the Commission's analysis and final positions.

This reflects the nature and details of the submissions on this expenditure component and the information considered in determining the prudent and efficient operating expenditure benchmark amounts for SAWRD24.

Protection Agency, *Submission to Regulatory Business Plan*, October 2023, pp. 1-9, available at www.escosa.sa.gov.au/projects-and-publications/projects/water/sa-water-regulatory-determination-2024.

450 Energy and Water Ombudsman South Australia, *Submission to Regulatory Business Plan*, pp. 1-2, South Australian Council of Social Service, *Submission to Regulatory Business Plan*, p. 12, 26, and the Environmental Protection Agency, *Submission to Regulatory Business Plan*, pp. 1-9.

451 South Australian Council of Social Service, *Submission to Regulatory Business Plan*, p. 12, 26.

452 Energy and Water Ombudsman South Australia, *Submission to Regulatory Business Plan*, pp. 1-2.

453 Environmental Protection Agency, *Submission to Regulatory Business Plan*, pp. 2-3, 5, 7.

454 The support provided by the EPA was specific to projects and expenditure relating to environmental matters. It did not comment on the costs and benefits of projects. Nor did it outline its consideration of any trade-offs between affordability and long-term financial sustainability.

455 Environmental Protection Agency, *Submission to Regulatory Business Plan*, pp. 2-3.

456 Ibid, p. 7.

457 Ibid, pp. 1-9.

To review the Commission's complete analysis on its draft position, please refer to the draft determination (available on the Commission's website).[458]

10.5.1 Recap of the draft base-step-trend positions for SAWRD24

The Commission established two estimates of a base year expenditure for SAWRD24:

- a bottom-up estimate of expenditure items (which normalised the base year expenditure proposed by SA Water in order to exclude abnormal or non-recurrent expenditures), and
- a top-down estimate (which was derived by taking economic benchmarking submitted by SA Water and highlighting that the data and sample provided by SA Water could, if assessed on an operating expenditure per connection basis, infer an estimate of a base year expenditure).

Those approaches led to estimates of $538 million (annual terms, based on a bottom-up derived estimate) and $542 million (annual terms, based on a top-down derived estimate)[459].

Recognising the limitations in economic benchmarking assessments (including that there are reasons to approach empirical estimates with a degree of caution when considering operating expenditure for major urban water utilities), the Commission based its draft position on the estimate derived from the bottom-up approach.[460]

Table 10.6 below presents the Commission's bottom-up estimate of the annual base year expenditure compared with SA Water's proposed expenditure for its base year.

Table 10.6: Draft position on the bottom-up estimate of the annual efficient base year ($Dec22)

	SA Water Proposal ($m)	Draft Position ($m)	Variance ($m)
Metro Alliance Contract	108.8	108.8	-
Electricity	69.6	69.6	-
External Fees and Charges	66.2	66.2	-
Treatment Plant Contracts	28.2	28.2	-
Net Labour	136.2	132	-4.2
Contracts	61.8	58	-3.8
RD20 Asset Uplift	11.2	0	-11.2
Other Expenditure	80.2	80.2	-

[458] Essential Services Commission of South Australia, *SAWRD24 Draft determination: Statement of Reasons*, pp. 140-172.

[459] As discussed later in the chapter, both the KPMG and Commission benchmarking work, and hence, the Commission's derived top-down estimate (which was a re-working of the KPMG analysis), have limitations including relating to the sample, inflation adjustments and model specification.

[460] Essential Services Commission of South Australia, *SAWRD24 Draft determination: Statement of Reasons*, pp. 140-172, Sapere, *Peer review of operating expenditure chapter in ESCOSA's Draft SA Water Regulatory Determination 2024*, pp 7-8, and Incenta Economic Consulting, *ESCOSA's Draft Decision on SA Water's operating expenditure for the 2024/25 – 2027/28 – a peer review*, pp. 4-5.

Efficiency Adjustments	-6.5	-5.5	1
Total[461]	**555.7**	**537.6**	**-18.2**

Following this, the Commission scrutinised a sample of operating expenditure proposals relating to projects and initiatives (step changes) proposed by SA Water. This included proposed expenditure for an increase in the superannuation guarantee, expenditure for procurement relating to the South Australian Treasurer's Instruction TI-18, expenditure for the City of Tea Tree Gully Sustainable Sewers Program, expenditure for cyber security, expenditure for the proposed Purified Recycled Water Demonstration Plant, and expenditure for the Eyre Peninsula Desalination Plant.

Table 10.7 provides a summary of the difference between the positions reached by the Commission in the draft determination and the additional expenditure amount proposed by SA Water in its RBP.

Table 10.7: Draft position of additional expenditure proposed by SA Water ($Dec22)

	SA Water Proposal ($m)	Draft position SAWRD24 ($m)	Variance ($m)
Superannuation Guarantee	17.4	9.0	-8.4
Procurement Treasurer's Instruction TI-18	1.1	0.0	-1.1
City of Tea Tree Gully Sustainable Sewers Program and City of TTG CWMS	39.0	39.0	-
Cyber Security	9.5	9.5	-
Purified Recycled Water Demonstration Plant	6.4	0.0	-6.4
Eyre Peninsula Desalination Plant.	35.9	25.5	-10.4
Recreational Access to Reservoirs	6.9	6.9	-
Other	46.1	46.1	-
Total	**162.4**	**136.1**	**-26.3**

The Commission then considered the impact of efficiency gains over SAWRD24 and applied target efficiencies to the total expenditure amounts. The Commission's draft position was to apply a 1.5 percent (constant) target efficiency rate to the estimate of operating expenditure under the bottom-up approach. This resulted in a (bottom-up derived) estimate of $2,272 million for the prudent and efficient benchmark operating expenditure for SAWRD24.

The Commission explicitly sought views from stakeholders on the methodologies and processes utilised in the draft determination, including the potential use of benchmarking.[462]

[461] The totals presented in the draft base year expenditure do not account for changes in the handling of efficiency. Therefore, the base years as detailed in both SA Water's proposal and the final position, include an additional $5 million of efficiencies. In the draft position, the $5 million of efficiencies was included in a different step prior to the Commission's efficiency being applied to avoid double counting. For the final, the Commission, in line with Table 10.9, is more explicit that the $5 million is returned to the base year.

[462] Essential Services Commission of South Australia, *SAWRD24 Draft determination: Statement of Reasons*, pp. 140-172.

10.6 Draft position

The Commission's draft position was that the prudent and efficient benchmark operating expenditure amounts to be included in the calculation of the revenue caps were:

- $1,550 million ($Dec22) for water retail services, which is approximately 4 percent lower than the benchmark set in SAWRD20, and 5 percent lower than that proposed by SA Water, and
- $722 million ($Dec22) for sewerage retail services, which is approximately 16 percent higher than the benchmark set in SAWRD20, and 3 percent lower than that proposed by SA Water.

It was noted that the prudent and efficient benchmark operating expenditure amount for SAWRD24 was $2,272 ($Dec22) for direct control water and sewerage retail services, which is approximately 2 percent higher than that set in SAWRD20, but 5 percent lower than that proposed by SA Water.

Table 10.8: Commission draft position ($Dec22)

	2024-25 ($m)	2025-26 ($m)	2026-27 ($m)	2027-28 ($m)	Total ($m)
Operating expenditure	**555.4**	**565.3**	**573.9**	**577.5**	**2271.9**
Operating expenditure – water	377.7	384.9	392.5	395.1	1550.1
Operating expenditure – sewerage	177.6	180.5	181.4	182.3	721.8

10.7 Consultation on draft position

Submissions and results from the engagement YourSAy survey contained mixed views on the draft positions on the prudent and efficient benchmark operating expenditure amounts for SAWRD24.

SACOSS and the South Australian Federation of Residents and Ratepayers (SAFRRA) supported the Commission's draft position and its focus on efficiency.[463] SACOSS suggested the Commission should carefully consider all possible cost savings, and it highlighted the risks of inefficient and imprudent expenditure associated with section 6 Ministerial directions and the sample of operating expenditure items not reviewed by the Commission.[464] Uniting Communities expressed the view that it is critical that in making the regulatory determination the Commission carefully consider affordability and cost of living pressures faced by consumers.[465] In contrast, SA Water and the CCG expressed the view that the operating expenditure in the draft position was insufficient to meet SA Water's service delivery and to accommodate expected growth over the regulatory period.[466]

Several stakeholders (such as the Property Council of Australia, the Urban Development Institute of Australia (UDIA), Regional Development Australia – Barossa, Gawler, Light and Adelaide Plains (RDA), the CCG and the EPA) queried (to varying degrees) whether there was sufficient expenditure in the draft

[463] South Australian Council of Social Service, *Submission to Draft Regulatory Determination*, pp. 19-22 and South Australian Federation of Residents and Ratepayers Associations, pp. 1-2.
[464] South Australian Council of Social Service, *Submission to Draft Regulatory Determination,* pp. 12-17, 19-22.
[465] Uniting Communities, *Submission to Draft Regulatory Determination*, p. 9.
[466] SA Water, *SA Water's response to ESCOSA's Draft Determination*, p. 109, and Customer Challenge Group, pp. 2-3.

determination to accommodate growth.[467] The CCG also queried the sample of projects selected and suggested the Commission re-assess all of SA Water's business cases.[468]

SA Water put forward views relating to elements of the draft position on operating expenditure – that is, on the methodology, transparency and outcomes (further discussed in the analysis section below). While SA Water accepted two minor adjustments in the draft positions, it submitted that the prudent and efficient benchmark operating expenditure for SAWRD24 should be $2,378 million ($Dec22) rather than $2,272 million ($Dec22).[469]

Included in SA Water's submission to the draft determination was information and attachments, some of which were not provided in the RBP or in response to previous information requests.[470] Since its submission to the draft determination in March 2024, the Commission requested from SA Water further information to aid in the verification of SA Water's proposed expenditure. Those information requests and the responses to them have been considered by the Commission when making its final positions on the prudent and efficient benchmark operating expenditure amounts for SAWRD24.

Other stakeholders, such as the Water Services Association of Australia (WSAA), CCG and OTR, put in submissions on specific elements of the draft positions. This included submissions commenting on economic benchmarking and SA Water's proposal for a Purified Recycled Water plant.[471]

10.8 Further Analysis

This section outlines the Commission's assessment, reasoning and positions on the prudent and efficient benchmark level of operating expenditure for SAWRD24. In particular, it reviews, analyses and considers:

- methodological and transparency issues raised by SA Water (section 10.8.1)
- the final base year expenditure for SAWRD24, with a focus on the expenditure items in the draft determination for which the Commission had alternative positions to SA Water (section 10.8.2)
- the final step changes in expenditure included for SAWRD24 (section 10.8.3), and
- the target rate of efficiency to be applied for SAWRD24 (section 10.8.4).

The final positions are outlined in section 10.9.

10.8.1 Methodological and transparency matters

In its submission to the draft determination, SA Water expressed the view:

- the methodology employed by the Commission was:
  - not aligned to Guidance Papers[472]

[467] Urban Development Institute of Australia, pp. 2-5, Regional Development Australia – Barossa, Gawler, Light and Adelaide Plains, pp. 1-4, Property Council of Australia, *Submission to Draft Regulatory Determination*, pp. 1-3, Customer Challenge Group, pp. 2-3, Environment Protection Authority, *Submission to Draft Regulatory Determination*, p. 1, and Samara V, p. 1.
[468] Customer Challenge Group, pp. 2-3.
[469] The submission to the draft determination included a proposal of $2,378 million, which was below SA Water's original proposal of $2,385 million.
[470] This included documentation regarding net labour costs, the SAWRD20 uplift required, the Eyre Peninsula Desalination plant and the efficiency target.
[471] Office of the Technical Regulator, *Submission to Draft Regulatory Determination*, pp. 1-2, Water Services Association of Australia, pp. 1-2, and Customer Challenge Group, pp. 3-4.
[472] SA Water, *SA Water's response to ESCOSA's Draft Determination*, p. 8, 13.

- non-transparent[473]

- the methodology and/or its implementation did not consider:
  - evidence and supporting information[474]
  - cost escalation and growth,[475] and
- the economic benchmarking adopted by the Commission was flawed.[476]

In line with its usual process in reviewing and considering submissions and supporting information, the Commission recognises that the transparency and expression of the draft determination for operating expenditure could have been improved, and the final determination has undertaken to do this. Merit-based matters have also been considered and reviewed through the usual review process.

The Commission provides the following responses to SA Water's views.[477]

- Alignment to Guidance Papers

  The Commission adopted a base step-trend methodology in line with its approach stated in the Guidance Papers. While the Commission's methodology (for the draft position) included estimates for base year expenditure – using both a top-down analysis and a bottom-up analysis – the Commission's draft position was ultimately set out using a form of base-step-trend methodology. This methodology aligns with the Commission's positions as set out in its Guidance Papers.[478]

  Although the Commission based its draft position on the estimate derived from the bottom-up approach, a key deviation from the methodology in the Guidance Papers was the use of a top-down analysis to derive one of two estimates of base year expenditure. However, that deviation (that is, the use of economic benchmarking) was undertaken in order to test and respond to SA Water, which, in its RBP, put the view that it was operating efficiently and submitted to the Commission its own economic benchmarking as supporting evidence.

  In its peer review, Sapere found that:[479]

  > *'Consistent with the Commission's guidance and common practice, SA Water's Regulatory Business Proposal (RBP) and the Commission's determination, follow a form of a 'base-step-trend' approach. Under this approach the prudent and efficient opex for the determination period is based on the normalised actual opex of a 'base' period, with adjustments for trend and step changes.*
  >
  > *In my opinion, the Commission's approach is consistent with the key elements of its guidance and common regulatory practice but has also deviated in some material respects. The key departure relates to the use of the top-down 'comparative benchmarking' approach to determine*

[473] Ibid, p. 9.
[474] Ibid, p. 51.
[475] Ibid, p. 50.
[476] Ibid, p. 51.
[477] Procedural issues raised by SA Water as well as issues related to Ministerial section 6 directions have been discussed in Chapter 3.
[478] Essential Services Commission of South Australia, *SA Water Regulatory Determination 2024: Final Framework and approach,* pp. 1-27, Essential Services Commission of South Australia, *SA Water Regulatory Determination 2024: Guidance Paper 1,* December 2021, pp. 1-11, Essential Services Commission of South Australia, *SA Water Regulatory Determination 2024: Guidance Paper 2,* pp. 1-11, and Essential Services Commission of South Australia, *SA Water Regulatory Determination 2024: Guidance Paper 3,* pp. 1-11.
[479] Sapere Research Group, *Peer review of operating expenditure chapter in ESCOSA's Draft SA Water Regulatory Determination 2024*, pp. i, 11-14.

one of two estimates of base year expenditure and to inform an estimate of 'catch-up' efficiencies…

…I consider it appropriate that the Commission responded to the benchmarking analysis that SA Water presented in its RBP and associated claims of operating efficiently…'

It is accepted practice for an economic regulator to respond to claims and supporting submissions by undertaking further analysis, review and verification. Guidance papers provide a form of general assistance to stakeholders but do not limit the Commission's discretion to perform its legislative functions. It would not be in the long-term interests of consumers for an economic regulator to fail to publicly assess, verify and test claims put by SA Water at various stages of the regulatory process.

- Transparency of analysis and methodology

Regarding transparency, the Commission engaged Sapere and Incenta to undertake peer reviews. Both consultants suggested that they could follow the Commission's method and calculations (subject to minor qualifications) but noted transparency (or explanation) of the operating expenditure analysis could be improved. For example, suggestions included to improve the rounding of expenditure amounts and removing reference to illustrative expenditure amounts.[480]

As stated by Sapere in its peer review:[481]

'…I have been able to replicate the Commission's calculations, subject to some minor qualifications discussed in this review. However, in doing so I needed to seek additional information and clarification from the Commission. Furthermore, in my opinion, the transparency of the Commission's approach and analysis for the draft determination could be improved…'

In its peer review, Incenta stated:[482]

'We consider that what ESCOSA actually did is fairly clear, which was that:

- *In its bottom-up derivation, ESCOSA applied the "base step trend" method as the principal method, with the base year derived from actual expenditure in 2021-22, to which several adjustments were made, and a trend was applied that was based on a determination of potential efficiency gains – this is clear when the draft decision allowances are traced back to the summary of each of the methods, and*
- *as part of its application of the "base step trend" method, ESCOSA applied an assumption about the scope for "catch up" efficiency, which was based, amongst other things, on the results of its re-worked KPMG benchmarking.'*

Incenta caveated this statement above by noting the Commission cited an illustrative total operating expenditure figure and a top-down estimate, and the presentation of these figures may have may have raised questions or confusion on the part of SA Water and CIE.[483]

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480 Sapere Research Group, *Peer review of operating expenditure chapter in ESCOSA's Draft SA Water Regulatory Determination 2024*, p. 11-14, and Incenta Economic Consulting, *ESCOSA's Draft Decision on SA Water's operating expenditure for the 2024/25 – 2027/28 – a peer review*, pp. 1-3.

481 Sapere Research Group, *Peer review of operating expenditure chapter in ESCOSA's Draft SA Water Regulatory Determination 2024*, p. i.

482 Incenta Economic Consulting, *ESCOSA's Draft Decision on SA Water's operating expenditure for the 2024/25 – 2027/28 – a peer review*, pp. 4-5.

483 The draft included an illustrative figure that excluded efficiencies and step changes and was provided to show operating costs rolled forward from SAWRD20. A top-down estimate was presented as part of testing and responding to SA Water, which, in its RBP, put the view that it was operating efficiently and submitted to the Commission its own economic benchmarking as supporting evidence. As discussed later in the chapter,

As mentioned above, the Commission acknowledges stakeholder feedback regarding the transparency and explanation of the methodology and analysis. It has sought to improve these matters for the final determination (in particular in sections 10.8.2, 10.8.3 and 10.8.4 below).

- Evidence and supporting information

In its submission to the draft determination, SA Water expressed the view that the Commission's approach to determining operating expenditure was not always based on facts and evidence and relied on unreliable or untested information. It suggested the Commission did not have regard to section 25 factors in the ESC Act or place sufficient weight on stakeholder views.[484]

The Commission has considered all supporting information, stakeholder submissions and the merits of the economic arguments put forward by SA Water and other stakeholders. The Commission has made its final positions on operating expenditure within the applicable statutory framework, having regard to all relevant factors including section 25 of the ESC Act.

Overall, it appears SA Water's statements regarding facts, evidence and information and section 25 factors are explained by reference to the Commission forming a different assessment than that suggested by SA Water in relation to the economic merits of proposals for prudent and efficient expenditure (see discussion of expenditure further below).[485]

In terms of stakeholder engagement, while SA Water appears to place most weight on certain stakeholder views, such as those from the CCG, the Commission must assess and give weight to the full breadth of information and stakeholder views. There can be a range of views expressed by stakeholders (as has been evident in submissions to the draft determination). A failure to reference an argument or submission does not mean that the Commission did not consider it.

SA Water's position on the matter may also reflect different views in respect to the quality of information and business cases being submitted. Stantec, one of SA Water's consultants, has expressed the view that SA Water's information provision and business cases has been best practice and has suggested limitations in information provision were not of a material scale.[486] The letter from Stantec and submission from SA Water state that SA Water has provided, in their view, sufficient supporting information and business cases.

However, as outlined in the peer review undertaken by Sapere, several operating expenditure proposals were put forward by SA Water with insufficient information to justify proposals.[487]

Neither Stantec nor SA Water recognise, in any material way, the importance of the quality of information and analysis.[488] Further, the amount of expenditure proposals with insufficient information for operating expenditure for the draft determination was in excess of $50 million; for

economic benchmarking is sensitive to the robustness of the underlying cost data, and empirically controlling for relationships between output and inputs, firm-level features and the operating environment is challenging. Sapere, CIE and Incenta noted limitations in KPMG's benchmarking and the Commission's re-working of that benchmarking. For example, see Incenta Economic Consulting, *ESCOSA's Draft Decision on SA Water's operating expenditure for the 2024/25 – 2027/28 – a peer review*, pp. 4-5.

484 SA Water, *SA Water's response to ESCOSA's Draft Determination*, pp 8-13.

485 For example, on pp. 55-56 of the SA Water submission, SA Water claims the Commission has overlooked growth expenditure and does not use an efficient base year expenditure. However, these are examples of matters relating to the economic merits of decisions on how much growth should be allowed for and what is the efficient base year expenditure.

486 Stantec, *Letter – Commission's concerns regarding information provision*, pp. 1-2.

487 Sapere Research Group, *Peer review of operating expenditure chapter in ESCOSA's Draft SA Water Regulatory Determination 2024*, pp. 20-25, and Sapere Research Group, *Addendum to review of operating expenditure chapter in ESCOSA's Draft SA Water Regulatory Determination 2024*, pp. 3-8.

488 Stantec, *Letter – Commission's concerns regarding information provision*, pp. 1-2, and SA Water, *SA Water's response to ESCOSA's Draft Determination*, p. 51.

example, $44 million for asset and technology uplift expenditure and $10 million for the Eyre Peninsula Desalination Plant.[489,490]

A prudent and efficient water utility, with robust long-term strategies and delivery plans in place, should be able and willing to provide supporting evidence to justify all elements of its operating expenditure proposals, and it should have the information and materials readily available to do so.

As outlined by Incenta in a report prepared for IPART in the context of motivating efficient expenditure and service outcomes for regulated entities:[491]

> *'…there is a natural incentive [for a regulated entity] to propose the highest credible forecast possible and put the evidentiary burden on the regulator to prove the forecast is not prudent or efficient…'*
>
> and
>
> *'…the cost to the business is generally low from making an initial ambit claim. This is because making a regulatory determination is a process that permits further opportunities for the firm to influence the regulator. For instance, the business can make a low evidence ambit claim initially, and then respond to the draft determination with robust evidence…'*

- Cost increases and growth

SA Water's submission to the draft determination suggested the Commission's methodology and analysis did not sufficiently consider information and evidence regarding cost increases and growth.

On potential cost increases

There are six matters to clarify in response to SA Water's suggestion.

First, operating expenditure is set in real (inflation-adjusted) terms. The regulatory framework allows SA Water to receive compensation for changes in cost increases as measured through CPI inflation.

Second, the Commission has, in most cases, adopted SA Water's proposed additional operating expenditure proposals for SAWRD24. SA Water's business cases and proposed additional expenditure has been set on the basis of real prices and are reportedly net of expected efficiencies. In this respect, the determination has considered cost increases through the real price effects that are included in SA Water's own set of business cases and projections.

Third, SA Water did not propose, in either the RBP or the submission to the draft determination, a real price effects adjustment (over and above CPI inflation) for base year expenditure for SAWRD24.

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489 Further, this does not include those amounts related to deficient information and business cases related to $6 million for the Purified Recycled Water plant and the $1.1 million for proposed Procurement TI-18 spend. Moreover, this does not include possible deficiencies in business cases not reviewed as part of the sample.

490 The Commission considered a sample of operating and capital expenditure initiatives. There were deficiencies in certain operating expenditure business cases, including in several cases a lack of economic analysis and unreasonable assumptions utilised. Examples include the Purified Recycled Water Demonstration plant and the Eyre Peninsula Desalination Plant. In terms of capital expenditure, in Atkins' review of capital expenditure, it also pointed out potential improvements including that business cases should be more robust. Stantec provided no response or comment in regard to Atkins' review. For example, see AtkinsRealis, *Final Report - SA Water Capex Review 2024*, January 2024, pp. 8-14, and Sapere Research Group, *Peer review of operating expenditure chapter in ESCOSA's Draft SA Water Regulatory Determination 2024*, pp. 20-25.

491 Incenta Economic Consulting, *Motivating efficient expenditure and service outcomes for water businesses*, p. 17.

Fourth, SA Water's statements regarding cost increases appear general in nature and, at times, do not distinguish between costs resulting from growth and changes in project scope and those resulting from input cost increases. Cost changes due to growth and scope changes are different to pure price effects (input cost increases).

Fifth, the Commission has considered the reports from Oxford Economics Australia (OEA) and Donald Cant Watts Corke (DCWC) on commodity prices and potential cost changes.[492] Both reports have advantages in that they provide a summary of historical cost changes for key commodities. However, while each report has projections of costs that may provide subjective information, the projections have limitations that make them insufficient for direct application to SA Water's base year expenditure.[493]

Sixth, while SA Water expressed the view that the prudent and efficient operating expenditure benchmark in the draft determination was lower than the SAWRD20 benchmark (if section 6 Ministerial directions were excluded), the view has limitations, discussed below:

- The Commission sets out positions on the total prudent and efficient benchmark for operating expenditure for water and sewerage retail services; it does not set positions on benchmarks that exclude various items such as section 6 Ministerial directions. Operating expenditure should be viewed in totality as the total benchmark amounts are those which are considered in deriving the maximum revenue caps.
- The Commission, as the statutory decision maker in this matter, reasonably formed the view (and explained its reasons for doing so) that it could not accept, for example, SA Water's RBP proposal for $40 million in SAWRD20 asset uplift expenditure having regard to the limited supporting information and evidence provided.
- Comparisons of prudent and efficient benchmark operating expenditure across regulatory periods should be made with caution; for example, there were several expenditure items allowed for in SAWRD20 which SA Water did not proceed with (such as operating expenditure for the Eyre Peninsula Desalination Plant).

On customer growth

The matter of costs associated with growth is considered in detail in section 10.8.3.

- Economic benchmarking

In the draft determination, in order to consider SA Water's submissions and the benchmarking undertaken for it by KPMG, the Commission utilised two different approaches to estimate a base year level of expenditure. One approach (a 'top-down assessment') utilised benchmarking, while the other approach (a 'bottom-up assessment') utilised SA Water's actual expenditure[494] (normalised to remove non-recurrent expenditure). The Commission invited stakeholders to

[492] Donald Cant Watts Corke, *Predicted Escalation for the Period 2022 – 2028*, August 2022, pp. 1-20, and Oxford Economics Australia, pp. 1-52.

[493] For instance, DCWC's report discusses commodity price cycles and business cycles, but it does not provide any economic theory or framework to support the escalation cycle proposed in the report. The references seem to, in part, be based on interviews with industry professionals. Furthermore, the report does not distinguish macro-economic business cycles (domestic and global) and the global nature (demand-supply balance) of commodities (such as copper, oil, energy, iron ore). The report's labour cost projections are simply SA Water's own escalation schedule, and DCWC's projections of individual commodities appear subjective with no accompanying econometric or forecast model attached. Further, the DCWC report states that 'the average annual escalation rate for the period 2024 to 2028 is expected to revert to the normal Consumer Price Index of 2.50 percent per annum'. Donald Cant Watts Corke, p. 3, 13-17.

[494] The approach uses revealed behaviour in one regulatory period to infer estimates of the prudent and efficient base year of operating expenditure for the next regulatory period.

provide views and submissions in relation to its top-down analysis (economic benchmarking).[495] The Commission also sought third party views on economic benchmarking.

The Commission acknowledges that benchmarking has limitations, and that caution should be applied (as it noted by in the draft determination).

While benchmarking may, in theory, be used to estimate operating expenditure,[496] it is not commonly used in Australian regulatory practice to derive a base year operating expenditure benchmark for major urban water utilities. Benchmarking is typically applied in the context of the base-step-trend methodology as a tool to challenge the efficiency of the base year operating expenditure and to determine the scope for further efficiency gains.

Sapere and Incenta highlighted limitations in both KPMG's benchmarking and the Commission's re-working of that benchmarking.[497] For instance, economic benchmarking is sensitive to the robustness of the underlying cost data, and empirically controlling for relationships between output and inputs, firm-level features and the operating environment is challenging.

Having regard to the views of stakeholders and consultants,[498] the Commission's final position is that, for SAWRD24, it will not derive an empirical estimate of base year expenditure using economic benchmarking. In this regard, the final position maintains the same as the draft – a bottom-up approach will be used to derive a base year expenditure.

In the Commission's view, the matters raised during the SAWRD24 determination process will provide a platform to build on in future research. The Commission thanks SA Water and other submitters for providing responses on the technical material on economic benchmarking.

The Commission intends to undertake further research work on efficiency and benchmarking during the course of SAWRD24. Stakeholders have expressed interest in the area[499] and submissions from consultancies have expressed mixed views on technical elements.[500]

10.8.2 Base year expenditure

For the draft position the Commission adopted a base year of 2021-22 as proposed by SA Water. This was the latest full year of audited actual costs and therefore can serve as a historical benchmark once corrected or normalised for expected expenditure and non-recurrent expenditure. During the

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[495] Essential Services Commission of South Australia, *SAWRD24 Draft determination: Statement of Reasons*, p. 157.

[496] Sapere Research Group, *Peer review of operating expenditure chapter in ESCOSA's Draft SA Water Regulatory Determination 2024*, p. 17. Also, see Decker C, pp. 136-137.

[497] Sapere Research Group, *Peer review of operating expenditure chapter in ESCOSA's Draft SA Water Regulatory Determination 2024*, p. 15-18, and Incenta Economic Consulting, *ESCOSA's Draft Decision on SA Water's operating expenditure for the 2024/25 – 2027/28 – a peer review*, pp. 8-14, and Sapere Research Group, *Addendum to review of operating expenditure chapter in ESCOSA's Draft SA Water Regulatory Determination 2024*, p. 3.

[498] Centre for International Economics, *Review of cost efficiency analysis*, February 2024, pp. 1-25, Incenta Economic Consulting, *ESCOSA's Draft Decision on SA Water's operating expenditure for the 2024/25 – 2027/28 – a peer review*, pp. 1-20, Sapere Research Group, *Peer review of operating expenditure chapter in ESCOSA's Draft SA Water Regulatory Determination 2024*, p. 1-32, Sapere Research Group, *Addendum to review of operating expenditure chapter in ESCOSA's Draft SA Water Regulatory Determination 2024*, pp. 1-8, and SA Water, *SA Water's response to ESCOSA's Draft Determination*, pp. 55-90.

[499] South Australian Federation of Residents and Ratepayers Associations, pp. 1-2.

[500] While Incenta, Sapere and CIE have expressed similar views, there can be differences. Such differences include perspectives on the quality of the NPR data and the economic tools and applications to derive a frontier position. While CIE points to work by Quantonomics, others have noted the limitations in the Quantonomics work (which CIE did not recognise or discuss in any material detail) (for example, see Marsden Jacob Associates, *Icon Water 2023-28 expenditure review, 24 April 2023*, pp. 13 to 22, available at https://www.icrc.act.gov.au/__data/assets/pdf_file/0008/2215466/MJA-public-report-Icon-Water-Stage-2-final-report-April-2023_Redacted.pdf).

normalisation process, SA Water removed costs that, in its view, were not expected to continue and included costs that did not occur within 2021-22 but which it forecast for SAWRD24 would be required.

In the draft determination, the Commission had regard to SA Water's proposal and determined its own, independent, estimate of prudent and efficient base year expenditure. Of note, the Commission's estimate is not a formally binding base year expenditure to which SA Water must adhere. The Commission's estimate of a base year expenditure is a means to determine total, four-year, prudent and efficient benchmark operating expenditure amounts (as required by the Pricing Order, which limits the Commission's decision-making powers such that it may only determine two separate four-year maximum revenue caps for water and sewerage retail services (respectively) – it does not set or fix sub-elements of those revenue caps).

In the draft determination, the Commission's estimate of base year expenditure was $18.2 million per year below SA Water's submissions in its RBP. The key drivers of the difference between the Commission's draft positions and the RBP were the following cost categories:

- SAWRD20 asset uplift expenditures: the Commission's position was $11.2 million per year lower than the RBP submission amount.
- Net labour costs: the Commission's position was $4.2 million per year lower than the RBP submission amount.
- Contract costs: the Commission's position was $2.7 million per year lower than the RBP submission amount.
- Regional water: the Commission's position was $1.1 million per year lower than the RBP submission amount.
- Efficiencies on the base year assumed for 2022-23 and 2023-24: the Commission's position was $1 million per year higher than the RBP submission amount.

Table 10.9 provides a summary of these matters.

Table 10.9: Draft positions on annual cost categories within the base year ($Dec22)

	SA Water Proposal ($m)	Draft Position ($m)	Variance ($m)
Metro Alliance Contract	108.8	108.8	-
Electricity	69.6	69.6	-
External Fees and Charges	66.2	66.2	-
Treatment Plant Contracts	28.2	28.2	-
Net Labour	136.2	132	-4.2
Contracts[501]	61.8	58	-3.8
RD20 Asset Uplift	11.2	0	-11.2
Other Expenditure	85.2	85.2	-

[501] The variance in the positions regarding contract costs includes adjustments made for sludge and waste disposal, maintenance and those made for regional water.

Efficiency Adjustments	-6.5	-5.5	1
Total	**560.7**	**542.6**	**-18.2**

The sections below provide further analysis and discussion of base year expenditure items.

Those items discussed are for those which the Commission and SA Water had alternative positions.

Net labour costs

In the draft determination, the Commission estimated net real labour costs of $132 million ($Dec22) for SAWRD24. This amount was $4.2 million lower than the 2021-22 base year amount in SA Water's RBP proposal.

The Commission considered actual expenditure in 2022-23 to be a better reflection of net labour costs for the forecast period compared with the 2021-22 actual expenditure, given the large decrease in actual expenditure observed between 2021-22 and 2022-23, and because SA Water's net real labour costs appeared, in the Commission's assessment for the draft, to increase by more than private sector measures of the Wage Price Index (**WPI**) over SAWRD20.

Sapere and Incenta, in their peer reviews for the Commission, suggested that there was a case to allow $136.2 million in real net labour costs on the basis that the adjustment in the draft determination may overlap with an efficiency adjustment that would otherwise be adjusted for when setting the efficiency target.[502] CIE also raised this matter in its report prepared for SA Water.[503] Sapere, however, added that the noticeable discrepancy between SA Water's actual labour costs observed in 2021-22 and 2022-23 warranted *'further examination and explanation by SA Water for why the labour costs for SAWRD24 would be higher than the actual amount incurred in 2022-23'*.[504]

In its submission to the draft determination, SA Water proposed that the Commission should allow $136.2 million on the basis that it is consistent with actual 2021-22 expenditure.[505] SA Water expressed the view that taking one year's labour costs in isolation as a reference point can be impacted by, among other factors, vacancy rates and turnover, contract labour costs and other substitute activities.[506] For instance, SA water expressed the view that direct labour costs may, in the short-term, be a substitute with contractor and Metro Alliance costs. Labour market tightness may have led to the decrease in labour costs in 2022-23 but led to increased use of substitute activities.[507]

Having reviewed stakeholder submissions and reports provided by consultants, the Commission has included $136.2 million of real net labour costs in its estimate of the base year level of expenditure. Potential inefficiency may be addressed through the application of an efficiency target on SA Water's base year operating expenditure rather than by adjusting the starting base value.[508]

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[502] Sapere Research Group, *Peer review of operating expenditure chapter in ESCOSA's Draft SA Water Regulatory Determination 2024*, pp. 19-20, and Incenta Economic Consulting, *ESCOSA's Draft Decision on SA Water's operating expenditure for the 2024/25 – 2027/28 – a peer review*, pp. 15-16.

[503] Centre for International Economics, p. 24. CIE pointed to the reduction in net real labour costs in the draft determination, noting it was more akin to adjustments for catch-up efficiency.

[504] Sapere Research Group, *Peer review of operating expenditure chapter in ESCOSA's Draft SA Water Regulatory Determination 2024*, p. 20.

[505] SA Water, *SA Water's response to ESCOSA's Draft Determination*, pp. 60-63, 80-83.

[506] Ibid, pp. 60-63, 80-83.

[507] Ibid, p. 61.

[508] Sapere Research Group, *Peer review of operating expenditure chapter in ESCOSA's Draft SA Water Regulatory Determination 2024*, pp. 19-20, and Incenta Economic Consulting, *ESCOSA's Draft Decision on SA Water's operating expenditure for the 2024/25 – 2027/28 – a peer review*, pp. 15-16.

Contract expenditure

In the draft determination, the Commission noted three cost categories (sludge and waste disposal, maintenance and regional water) appeared to increase sharply in 2021-22. The evidence presented by SA Water in support of those increases was limited and not persuasive. Therefore, the Commission took the draft position that the costs were non-recurrent. The final positions for these cost categories are discussed below.

Sludge and waste disposal

In the draft determination, the Commission noted that expenditure on sludge and waste disposal for water treatment operations increased to almost $1 million in 2021-22, whereas the relevant expenditure had been reported by SA Water at small or negligible levels in 2019-20, 2020-21 and 2022-23. On that basis, and absent further explanatory evidence form SA Water, the Commission's base year operating expenditure estimate did not encompass the $1 million per year of higher-than-average sludge management costs suggested in SA Water's RBP proposal.

In its submission to the draft determination, SA Water stated that sludge removal will continue to be a required area of expenditure throughout the SAWRD24 period.[509] SA Water expressed the view that, notwithstanding observations from disaggregated data reviewed by the Commission, it had accounted for non-recurrent expenditure on sludge and waste disposal for water treatment operations in its aggregate normalisation process (for example, including a downward adjustment to contract costs of $0.76 million[510]).

The Commission sought further information and supporting evidence from SA Water to verify the position put in its submission. SA Water responded by stating that the adjustment had already occurred and the normalisation occurred in a different disaggregated cost category to that which the expenditure had been expensed.

On balance, while SA Water's submission and supporting information did not fully verify how the adjustment was made, the Commission recognises that the normalisation process can involve elements of estimation and allocation across disaggregated cost components, and that the economic regulatory process does not 'set' specific line-item amounts (instead, it sets overall maximum revenue controls only).

The Commission has therefore included in its base year expenditure estimates of an additional annual amount of $1 million of expenditure for sludge and waste disposal for water treatment operations as compared with the position that it took in the draft determination.

In arriving at this final position, the Commission notes Incenta's advice regarding applying adjustments for non-recurrent expenditure. Incenta suggested being cautious adjusting for non-recurrent expenditure items because the goal is to forecast the prudent and efficient expenditure for SAWRD24 and an element of judgement must be exercised.[511]

Maintenance

In the draft determination, the Commission's estimate did not include $1.7 million per year of costs suggested by SA Water in the RBP. The proposed costs in the RBP account for higher-than-average preventative and corrective water distribution maintenance costs which can be seen in SA Water's actual costs in 2021-22.

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[509] SA Water, *SA Water's response to ESCOSA's Draft Determination*, p. 83.
[510] Ibid, pp. 83-84.
[511] Incenta Economic Consulting, *ESCOSA's Draft Decision on SA Water's operating expenditure for the 2024/25 – 2027/28 – a peer review*, pp. 15-16.

As was the case for sludge and waste disposal described above, the Commission's analysis, which revealed a sharp increase in costs in 2021-22, was based on disaggregated level data provided by SA Water to the Commission in the lead up the draft determination. The expenditure trend revealed in that disaggregated data did not support the increase in cost submitted by SA Water.

In its submission to the draft determination, and in response to information requests, SA Water expressed the view that this amount represented a genuine spend requirement for SAWRD24. It suggested that disaggregated data showing a sharp increase reflected the fact that SA Water staff were reporting activities inconsistently under this cost category.[512]

The Commission sought further information from SA Water to verify and evaluate the positions put by SA Water.

The information provided by SA Water in response did not offer sufficient evidence to support this level of expenditure as recurrent efficient expenditure. While the Commission acknowledges that, from time to time, there can be data or cost allocation errors, the response from SA Water does not adequately explain the five-fold increase in corrective and preventative water distribution maintenance costs in 2021-22 compared with 2019-20, 2020-21 and 2022-23.

Additionally, it is not clear from the supporting information provided by SA Water which maintenance categories these costs have been allocated to in years other than 2021-22. For example, when comparing total corrective and preventative maintenance contract costs across water, sewerage and recycled water from 2019-20 to 2022-23, a material cost increase is only incurred in 2021-22.

It is therefore not evident from the information that SA Water provided to the Commission that the costs allocated to water distribution preventative and corrective maintenance in 2021-22 are recurring in nature. The Commission considers that there is insufficient evidence to support SA Water's position that this specific cost category will require the level of expenditure suggested in the RBP on an ongoing basis. This position has been taken having regard to Incenta's advice regarding the need to take care if considering an adjustment for non-recurrent expenditure and exercising judgment to derive a forecast of expenditure.[513]

The Commission's final position is that the base year operating expenditure estimate will not include $1.7 million per year for maintenance contract costs.

Regional water

In the draft determination, the Commission's estimate did not include $1.1 million per year in relation to regional drinking water (which involves maintaining potable water supply for customers in the regional areas of Yunta, Oodnadatta, Maree, Terowie, Marla, Manna Hill and the associated filling station at Peterborough). It reached that position on the basis that SA Water had not provided sufficient information in the RBP, business cases and related information, to demonstrate that this expenditure was not already included in the normalised base level of expenditure.

In its peer review for the Commission, Sapere reviewed SA Water's RBP and supporting information and concurred with the Commission's draft position. Sapere stated that the Commission:[514]

> *… remove[d] an opex adjustment regarding drinking water for regional areas. SA Water had argued for an upward adjustment to the actual expenditure in the base year on the basis that expenditure in the regional areas was abnormally low due to unavoidable factors including the COVID-19 pandemic. The*

[512] SA Water, *SA Water's response to ESCOSA's Draft Determination*, p. 84.
[513] Incenta Economic Consulting, *ESCOSA's Draft Decision on SA Water's operating expenditure for the 2024/25 – 2027/28 – a peer review*, p. 15.
[514] Sapere Research Group, *Peer review of operating expenditure chapter in ESCOSA's Draft SA Water Regulatory Determination 2024*, pp. 20-21.

> *Commission rejected this adjustment on the basis SA Water has not provided sufficient evidence that it did not re-direct the expenditure to other activities in the base year. In my opinion, the Commission's request for additional evidence is reasonable.*

In its submission to the draft determination, SA Water suggested the expenditure related to a section 6 Ministerial direction. SA Water provided details outlining the expenditure related to several ongoing capital expenditure programs that had not been completed prior to 2021-22.

The final position regarding the treatment of expenditure for regional water supply is addressed under the expenditure related to section 6 Ministerial directions. Accordingly, it has not been included in the Commission's estimate of the base year expenditure but instead has been included in the additional expenditure components, which includes section 6 Ministerial directions.

Ongoing operating expenditure incurred by SA Water but not delivered in base year 2021-22

In the draft determination, the Commission found that SA Water's submissions on SAWRD20 asset and technology uplift expenditure had limitations which made those items unlikely to be prudent and efficient expenditure. A key reason for this was that SA Water provided insufficient information to support their inclusion for SAWRD24.

As explained by Sapere in its peer review for the Commission:[515]

> *In its RBP, SA Water proposed adjustments to the base year expenditure 'for asset and information technology investment programs that are partially delivered or are scheduled for delivery after the 2021-22 financial year (as per the RD20 determination timing).' The Commission rejected this proposed adjustment on the basis that SA Water's proposal did not 'provide sufficient information to support inclusion'.*
>
> *In my view, SA Water's rationale for the adjustments is clear. SA Water is arguing that the base year does not capture these additional increases in expenditure that had been planned for RD20 period. However, I concur with the Commission's view that SA Water has provided insufficient information to support the inclusion of the adjustments. For example, it is not clear whether there should be any refinements to the expenditure increases to account for changes since when RD20 was determined and whether the increases in expenditure, which significantly relate to IT costs, would be ongoing.*

Operating expenditure relating to certain ongoing projects / activities[516]

In its submission to the draft determination, SA Water stated that a $4.6 million per year incremental uplift in operating expenditure is required to support additional capital investment projects which was not included in its actual expenditure in 2021-22. SA Water provided further information in its submission, which pointed out that the proposed uplift expenditure related to the following projects:

- growth capacity upgrades
- optimise WWTP performance
- sewer odour reduction
- reduce environmental overflows, and
- investigation and maintenance of major non-pipeline assets.[517]

Having reviewed the additional information in SA Water's submission to the draft determination, the Commission reached the view that it was not sufficiently detailed so as to establish the prudence and

[515] Sapere Research Group, *Peer review of operating expenditure chapter in ESCOSA's Draft SA Water Regulatory Determination 2024*, p. 21.
[516] Referred to by SA Water as 'Asset uplift expenditure.'
[517] SA Water, *SA Water's response to ESCOSA's Draft Determination*, pp. 86-88.

efficiency of the proposed expenditure. For instance, information submitted by SA Water prior, and in response to the draft determination, did not outline:

- the amount of expenditure for these activities that was incurred in 2021-22 and the amount that was forecast for 2023-24, and
- information demonstrating how the expenditure is over and above any additional spend category proposed in SA Water's RBP.

As a result, in April 2024 (subsequent to SA Water providing its submission to the draft determination), the Commission sought from SA Water further information on these matters. In the Commission's view, this expenditure uplift proposal was an example of $16 million of operating expenditure in which SA Water did not provide sufficient information to justify both its proposal and submission.

The Commission notes that, in response to the Commission's April 2024 information request, SA Water provided new information regarding the proposed asset uplifts.[518] The quality of this information was higher than that presented in both the RBP and SA Water's submission to the draft determination.

Following receipt of that information, the Commission re-assessed the totality of information provided by SA Water and verified that $3.56 million was above the 2021-22 actual expenditure for the five projects (see Table 10.10). The Commission notes the information provided by SA Water states these costs are in addition to the step change cost increases included in the SAWRD24 operating expenditure forecasts.

Table 10.10: RD20 Asset uplift costs according to each project ($Dec22)

	Incremental costs above the normalised base year (difference between actual spend in 2021-22 and forecast amount for 2023-24) ($m)
Optimising wastewater treatment	0.71
Sewer odour reduction	0.78
Reduce environmental water flows	0.36
Growth capacity upgrades	1.48
Investigations and maintenance of major non-pipeline assets	0.23
Total	**3.56**

While the provision of this new information did not establish why the operating expenditure will continue in SAWRD24, the information did establish that the base year expenditure does not capture these additional increases in expenditure that had been planned for SAWRD20 and are being incurred in 2022-23 and 2023-24. In general, the totality of information now provides sufficient justification so as to support the inclusion of the incremental expenditure in the base year expenditure.

[518] For example, the list of projects within the RD20 asset uplift had not been provided to the Commission in either SA Water's RBP or in information requests prior to the draft determination.

Sapere's assessment supports the Commission's position. In its Addendum to the peer review, Sapere assessed that:[519]

> *'I have no reason to question the additional information provided by SA Water and in my opinion SA Water has, with one qualification, provided sufficient information to justify the additional proposed opex. My one qualification is that they could be more explicit in describing why these opex costs will continue in the future determination period. For example, it is not clear why higher preventative opex on odour control would not reduce over time as more issues are pro-actively addressed.'*

For the final determination the Commission has included in its operating expenditure estimate an additional (above the draft determination position) $3.56 million for SAWRD20 asset uplift projects, as prudent and efficient expenditure that is incremental to the 2021-22 base year. SA Water's submission argued for $4.6 million of uplift; however, the difference between the actual amount spent in 2021-22 and the amount forecast to be spent in 2023-24 (being the uplift required from the base) was equal to $3.56 million per year.

Operating expenditure relating to certain ongoing technology projects / activities[520]

In its submission to the draft determination, SA Water submitted that $6.6 million per year in technology operating expenditure from SAWRD20 projects should be included as an adjustment to the 2021-22 base year. SA Water stated that those costs are predominately related to software licences and are required for maintaining and upgrading the software applications that underpin SA Water's operations.[521] SA Water stated that the expenditure includes oversight and monitoring of its network infrastructure and assets, supporting operational aspects of the business and improving customer experience.[522]

Similar to the asset uplift expenditure, information submitted prior to the draft determination and in SA Water's submission to the draft determination did not outline:

- the amount of expenditure for these activities that was incurred in 2021-22 and was forecast for 2023-24, and
- information demonstrating how the expenditure is over and above any additional spend category proposed in SA Water's RBP.

As a result, in April 2024 (subsequent to SA Water providing its submission to the draft determination), the Commission sought further information from SA Water relating to the technology uplift.

However, in contrast to the asset uplift matter discussed above, SA Water's response to the information request did not provide detailed information to support the proposed incremental increase in operating expenditure.

In reviewing SA Water's response to the technology uplift proposal, Sapere noted that:[523]

> *'…The additional information is relatively light and, in my opinion, is less than sufficient to justify the proposed amount of the roll-forward of the additional opex into the RD24 period. In forming this opinion, I've considered the following:*

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519 Sapere Research Group, *Addendum to review of operating expenditure chapter in ESCOSA's Draft SA Water Regulatory Determination 2024*, pp. 3-5.
520 Referred to by SA Water as 'Technology uplift expenditure.'
521 SA Water, *SA Water's response to ESCOSA's Draft Determination*, pp. 87-88.
522 Ibid, pp. 87-88.
523 Sapere Research Group, *Addendum to review of operating expenditure chapter in ESCOSA's Draft SA Water Regulatory Determination 2024*, pp. 3-5.

- *The amount of the roll-forward uplift is significant – an annual increase in opex of $6.6 million ($Dec22). Based on information received this relates to the difference between the additional IT opex in for RD20 in 2023/24 ($10.9 million) and in 2021/22 ($4.3 million). Of note, the magnitude of the final additional roll-forward amount ($10.9 million in 2023/24) was not transparent in the SA Water's 2020 RBP (pp. 37-38), which only provided information on the average additional annual opex over the 4 years.*
- *The amount of the roll-forward IT uplift is 67% more than the roll-forward of the SA Water's efficiency target. This uplift is concerning given a common key reason for IT investment is to drive greater efficiency. '*

Having regard to Sapere's evidence along with its own assessment of the information provided, the Commission considers that SA Water has not demonstrated how the $6.6 million additional cost has been calculated, including identification of individual cost items, and why those costs should be regarded as incremental to the 2021-22 base year. Further, in the Commission's view, SA Water's evidence does not clearly demonstrate that these costs are not already included in the additional $18.9 million technology costs forecast over the SAWRD24 period which were included within the Commission's estimate of operating expenditure in the draft determination.

While Stantec has claimed that SA Water's information provision has been best practice and has suggested limitations in information were not material, technology uplift expenditure is a further example of a material item of operating expenditure ($26.4 million in this case) in respect of which, in the Commission's view, SA Water has not provided sufficient information to justify its proposal.

Nevertheless, on balance, the Commission's final position is to increase base year expenditure by an incremental cost of $6.6 million per year for technology uplift. Ultimately, the Commission must make its best forecast of efficient expenditure for SAWRD24, even if SA Water has provided insufficient information. Insofar as this expenditure is currently being incurred and is not captured in the base year expenditure, then there is a case to include the technology uplift expenditure in the base year expenditure.[524]

During SAWRD24, the Commission will investigate SA Water's technology expenditure in greater detail. Ultimately, this form of expenditure should be contributing to efficiency gains over time across SA Water.

Importantly, information provision to the regulator on this area of operating expenditure must be improved for SAWRD28. As explained in the section on information asymmetry and incentives, a prudent and efficient water utility should be able and willing to provide supporting evidence to justify all elements of its operating expenditure proposals, and it should have the information and materials readily available to be provided to stakeholders and the Commission.

Assumption of efficiencies for 2022-23 and 2024 applied to base year expenditure

In the draft determination, the Commission did not adopt in its estimate of base year operating expenditure the two proposed efficiencies put forward by SA Water. Those two efficiencies were titled '*SAWRD20 efficiencies*'[525] and '*General efficiencies to be achieved for the RD24 base*'.

The Commission interpreted the SAWRD20 efficiencies as those that would be reasonably found in the years following the chosen base year (that is, for 2022-23 and 2023-24). The underlying data for the

[524] This position has had regard to Incenta's advice regarding the need to take care if considering an adjustment for non-recurrent expenditure and exercising judgment to derive a forecast of expenditure. Incenta Economic Consulting, *ESCOSA's Draft Decision on SA Water's operating expenditure for the 2024/25 – 2027/28 – a peer review*, p. 15.

[525] This efficiency adjustment included three components: general 0.5 percent efficiencies, an adjustment for electricity and an adjustment for IT savings.

general efficiencies to be achieved for the SAWRD24 base were identified through additional information sought by the Commission.

In the draft determination, the Commission did not adopt SA Water's $6.5 million of 'SAWRD20 Efficiencies' and instead utilised its own estimate of $5.5 million. For example, it was unclear why SA Water had applied an annual 0.5 percent target over a different base year to that which had been proposed in its RBP. Further, the method and reasons for SA Water's derivation of proposed electricity and IT savings did not explain how they were different from the 0.5 percent general efficiencies.

The Commission, in line with the base-step-trend methodology, handles efficiency through the trend component. As such, the Commission did not accept SA Water's proposed adjustment to the base year expenditure for general efficiencies.

The draft position adopted by the Commission applied an annual 0.5 percent to the pre-efficiency normalised base year. This produced the efficiency outcome sought for 2022-23 and 2023-24. In adopting this approach, the Commission avoided double counting by adding back into the base year expenditure SA Water's proposed SAWRD20 efficiency amount and SA Water's proposal for general efficiencies. The draft position is shown in Table 10.11 below.

Table 10.11: Draft position efficiencies for 2022-23 and 2023-24 ($Dec22, millions)

	Base Year ($m)	Water ($m)	Sewerage ($m)
Add in SA Water proposed RD20 efficiencies	6.5	3.2	3.3
Add in SA Water's general efficiencies for RD24	5	2.3	2.7
Remove 0.5 percent of calculated base year	-5.5	-2.7	-2.8
Net effect on the draft normalised base year	**6**	**2.8**	**3.2**

In its submission to the draft determination, SA Water suggested that the Commission had double counted efficiencies, stating that '*[t]he Commission has applied an additional 0.5% efficiency to roll forward the 2021-22 base year, to get to a 2023-24 starting point*'.[526] In this respect, SA Water's submission did not appear to consider that the Commission added in expenditures corresponding to SA Water's SAWRD20 efficiencies and general efficiencies. However, elsewhere in its submission, SA Water appeared to understand and accept the position. For instance, SA Water stated that: *'SA Water notes that ESCOSA has recalculated this efficiency value to be $5.8 million by 2023-24. SA Water accepts this value.'*[527]

Sapere reviewed the Commission's method and it found that *'the Commission has replaced SA Water's $6.5 million of 'RD20 Efficiencies' with its own estimate [of $6 million]'*.[528]

Having had regard to submissions and supporting information, the Commission confirms the methodology adopted in the draft position. The methodology has been applied to the normalised base year expenditure.[529] The final position regarding efficiencies for 2022-23 and 2023-24 are detailed in Table 10.12 below.

[526] SA Water, *SA Water's response to ESCOSA's Draft Determination*, p. 88.
[527] Ibid, p. 88.
[528] Sapere Research Group, *Peer review of operating expenditure chapter in ESCOSA's Draft SA Water Regulatory Determination 2024*, p. 21.
[529] The efficiencies applied to the base by the Commission only incorporated efficiencies that are carrying over from SAWRD20. This being efficiencies (0.5 percent) that would reasonably be found in 2022-23 and 2023-24. Efficiencies to be found during SAWRD24 are handled later in the chapter within the trend section.

Table 10.12: Final position efficiencies for 2022-23 and 2023-24 ($Dec22, millions)

	Base Year ($m)	Water ($m)	Sewerage ($m)
Add in SA Water proposed RD20 efficiencies	6.5	3.2	3.3
Add in SA Water's general efficiencies for RD24	5	2.3	2.7
Remove 0.5 percent of calculated base year	-5.6	-2.8	-2.8
Net effect on the final normalised base year	**5.9**	**2.7**	**3.2**

Transparency of section 6 Ministerial directions relating to base year expenditure

Submissions raised concerns regarding the transparency of how section 6 Ministerial directions are treated and presented in the determination.[530] Consequently, for the final position, the Commission presents base year expenditure both *including* and *excluding* section 6 Ministerial directions relating to base year expenditure.

The presentation of base year expenditure both *including* and *excluding* section 6 Ministerial directions does not impact the total prudent and efficient operating expenditure benchmark amounts included in the maximum revenue caps.

The annual average, inflation-adjusted, net contribution amounts ($Dec22) for SAWRD24 are outlined in Table 10.13. Cost allocations between water and sewerage are informed by information provided by SA Water.

- Emergency Management Services: The costs and South Australian Government contributions for this direction are offsetting, therefore in this regard the net position is zero for the purposes of base year operating expenditure.
- Government Radio Network Services: The costs and South Australian Government contributions for this direction are offsetting, therefore in this regard the net position is zero for the purposes of base year operating expenditure.
- Tea Tree Gully Community Wastewater Management System: SA Water provided evidence that there was $0.17 million of expenditure for this direction within the base year.
- Flushing of Torrens Lake: $0.65 million is considered in the base year to meet the expenditure for the flushing of the Torrens Lake.
- Water Planning and Management Charges Contribution: $32.8 million is considered in the base year to meet the expenditure for the Department for Environment and Water to support water planning and management activities.
- Annual reimbursement of fees paid for valuation roll: $4.8 million is considered in the base year to meet the expenditure to reimburse the Minister for fees paid to the Valuer-General pursuant to section 21(a) of the *Valuation of Land Act 1971.*
- Aboriginal communities serviced by SA Water through a CSO funded by Government: A net contribution of $2.1 million is considered in the base year to meet the expenditure for the provision

[530] South Australian Council of Social Service, *Submission to Draft Regulatory Determination*, pp. 15-17, and SA Water, *SA Water's response to ESCOSA's Draft Determination*, p. 9.

of potable water and wastewater supplies to certain aboriginal communities.[531] A portion of operating expenditure is offset by a CSO provided by the South Australian Government.

Table 10.13: Transparency section 6 adjustments ($Dec22, millions)

	Base Year ($m)	Water ($m)	Sewerage ($m)
Emergency Management Services (*net* contribution)	-	-	-
Government Radio Network Services (*net* contribution)	-	-	-
Tea Tree Gully Community Wastewater Management System	-0.2	-	-0.2
Flushing of Torrens Lake	-0.7	-0.7	-
Water Planning and Management Charges Contribution	-32.7	-32.7	-
Annual reimbursement of fees paid for valuation roll	-4.8	-3.2	-1.6
Aboriginal communities serviced by SA Water through a CSO funded by Government (*net* contribution)	-2.1	-1.6	-0.5
Net effect on the final normalised base year	**-40.4**	**-38.2**	**-2.2**

Note there are other section 6 Ministerial directions discussed in the additional expenditure section of this chapter (such as maintaining potable water supply for SA Water customers in certain regional areas, improving the security and water supply on Kangaroo Island, TTG CWMS, and water and sewerage infrastructure in metropolitan Adelaide).

Final position on the estimated prudent and efficient base year

The Commission's final position regarding the prudent and efficient base year (excluding section 6 Ministerial directions) is $517.5 million as shown in Table 10.14 below.

Including section 6 Ministerial directions the total pre-efficiency base year is $557.9 million. The $557.9 million base year would represent a 0.3 percent increase compared to SA Water's RBP. The increase is due to differences in methodology with respect to efficiencies over the SAWRD24 period (which offsets the position in relating to contract expenditures).

Table 10.14: Final position on SAWRD24 pre-efficiency base year ($Dec22)

	2021-22 Normalised base year ($m)	Water ($m)	Sewerage ($m)
SA Water Proposal	555.8	385.4	170.4
RD20 Asset Uplift	-1.0	-0.5	-0.5
Contract Adjustments	-1.7	-1.7	0.0
Regional Drinking Water	-1.1	-1.1	0.0

[531] The Communities consist of Amata, Davenport, Gerard, Indulkana, Kalka, Kaltjiti, Kanpi, Koonibba, Mimili, Murputja, Nepabunna, Nyapari, Oak Valley, Pipalyatjara, Point Pearce, Pukatja, Raukkan, Umoona, Umuwa, Watinuma, Yatala and Yunyarinyi.

	2021-22 Normalised base year ($m)	Water ($m)	Sewerage ($m)
Re-including SA Water proposed Efficiencies			
RD20 Efficiencies	6.5	3.2	3.3
General Efficiency for RD24	5.0	2.3	2.7
Base year pre-efficiencies	562.8	387.0	175.9
Commission Final RD20 efficiencies	-5.6	-2.8	-2.8
Total Pre-Efficiency Base Year *including* section 6 directions	**557.9**	**384.8**	**173.1**
Section 6 Ministerial directions relating to base year expenditure	-40.4	-38.2	-2.2
Total Pre-Efficiency Base Year *excluding* section 6 directions	**517.5**	**346.7**	**170.9**

The key changes between the draft and final positions on the estimated total prudent and efficient benchmark amounts for the base year reflect changes in SAWRD20 asset uplift, net labour costs and, to a lesser extent, contract expenditures and efficiencies (Table 10.15).

Table 10.15: Changes between draft and final position on the annual base year expenditure

	Draft ($m)	Final ($m)	Variance ($m)
Metro Alliance Contract	108.8	108.8	-
Electricity	69.6	69.6	-
External Fees and Charges	66.2	66.2	-
Treatment Plant Contracts	28.2	28.2	-
Net Labour	132	136.2	4.2
Contracts	58	59.0	1.0
RD20 Asset Uplift	0	10.2	10.2
Other Expenditure	85.2	85.2	-
Efficiency Adjustments	-5.5	-5.6	-0.1
Total Pre-Efficiency Base Year *including* section 6 directions	**542.6**	**557.9**	**15.3**

Section 6 Ministerial directions relating to base year expenditure	-40.4	-40.4	-
Total Pre-Efficiency Base Year *excluding* section 6 directions	**502.2**	**517.5**	**15.3**

10.8.3 Additional spend (step changes)

In the draft determination, the Commission assessed a sample of SA Water's proposed 86 separate expenditure initiatives.[532] The 86 initiatives totalled $162.4 million of additional expenditure across the four-year regulatory period. Based on the sample of projects assessed, the Commission's estimate of expenditure in the draft determination was $26.3 million lower than the amounts proposed by SA Water.

The Commission reached its draft position having formed the view that certain costs and projects submitted by SA Water were inefficient and/or imprudent for SAWRD24 when assessed against other evidence and the statutory and regulatory framework. In particular, the Commission reached the view that there were inefficiencies in certain project costs submitted by SA Water, as well as insufficient information and evidence to support certain proposals.

In its submission to the draft determination, SA Water stated that it *'accepts a reduction of $7.4 million due to 2 adjustments identified by the Commission relating to the Superannuation Guarantee Increase and Eyre Peninsula Desalination operating costs.'* [533] Reflecting this, in SA Water's submission to the draft determination the updated proposal for total additional spend was $155 million for SAWRD24.[534]

Additional expenditure (step changes)

The following sections consider submissions to the draft determination and supporting information.

The Commission has focused its analysis on the sample of projects that were scrutinised for the purposes of the draft determination. Those include:

- the purified recycled water demonstration plant
- superannuation guarantee increases
- the Eyre Peninsula Desalination plant, and
- the small project regarding procurement expenditure associated with the Treasurer's procurement TI-18.

In addition to the sample of projects, this section also includes analysis and discussion of two cost categories:

- Section 6 Ministerial directions, and
- growth and real price effects.

[532] 62 of the initiatives have total expenditure over the four-year SAWRD24 period of less than $1 million each.
[533] SA Water, *SA Water's response to ESCOSA's Draft Determination*, p. 90.
[534] Ibid, p. 90.

Purified Recycled Water Demonstration Plant

In the draft determination, the Commission did not include in its operating expenditure estimate an amount relating to this project, as it was unclear how it was over and above the current level of research and development expenditure in the base year expenditure.

In SA Water's submission to the draft determination, it described the plant as a pilot program to gain regulator and community endorsement.[535] In that respect, the proposal aims to obtain a social licence to underpin consumer support for potential expenditure on purified recycled water in the future. On the business case provided by SA Water, the proposal was, in its view, necessary to generate community support for water for future supply in the metropolitan Adelaide region. SA Water expressed the view that purified recycled water *'…has been identified as a cost-effective and environmentally sustainable option for South Australia"*[536].

Submissions from the CCG and OTR supported the proposal.[537]

In its peer review, however, Sapere assessed the proposal and concluded that:[538]

> *Having reviewed the material provided to the Commission (including the RBP and responses to the RFIs) I have other concerns relating to the proposed project… the business case SA Water supplied is not supported by any economic analysis that suggests purified recycled water would be preferable to alternatives. Importantly, the business case does not consider, potentially much less expensive, alternative options to obtain community support.*
>
> *In my opinion, the information provided on the PRWDP project is insufficient to justify its inclusion for additional expenditure. I expect, it would be prudent, prior to investing in the project, to first conduct analysis that considers alternatives and the economic case for the project.*

Having reviewed submissions and information submitted to the draft determination, Sapere added:[539]

> *… consistent with my original comments, I would have expected – given the significant additional (capital and operating) cost – clearer information on the case for the investment in the PRWDP, an economic analysis that includes all options (in particular) and consideration of alternatives to building community support.*

In the Commission's view, SA Water's submission and supporting information does not provide an economic analysis that has considered all alternatives (including demand management), and the business case does not consider potentially much less expensive alternative options to obtain community support.

While the CCG and OTR supported the proposal,[540] neither outlined why, in their view, this project should proceed without an economic analysis of all options and without considering less expensive options to build community support.

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535 Ibid, pp. 95-97.
536 Ibid, p. 95.
537 Office of the Technical Regulator, *Submission to Draft Regulatory Determination*, pp. 1-2, and Customer Challenge Group, pp. 3-4.
538 Sapere Research Group, *Peer review of operating expenditure chapter in ESCOSA's Draft SA Water Regulatory Determination 2024*, pp. 23-24.
539 Sapere Research Group, *Addendum to review of operating expenditure chapter in ESCOSA's Draft SA Water Regulatory Determination 2024*, pp. 7-8.
540 Office of the Technical Regulator, *Submission to Draft Regulatory Determination*, pp. 1-2, and Customer Challenge Group, pp. 3-4.

The Commission has therefore not included within its final operating expenditure estimate an amount relating to expenditure proposed by SA Water for the operation of a purified recycled water demonstration plant. It is noted, however, that the Commission's position regarding this particular project does not indicate any positions or views regarding the importance and benefits of innovation activities in the water industry more generally and the prospects for future water sources, including the potential for purified recycled water.

Eyre Peninsula Desalination plant

In the draft determination, the Commission's operating expenditure estimate was reached having regard to SA Water's proposals in relation to the Eyre Peninsula Desalination Plant, with three differences as compared to the total expenditure proposed by SA Water. These relate to proving costs, adjustments for cost abatement and lower demand projections. Since publication of the draft determination, a Parliamentary Committee has been convened to consider supply in the region.[541]

In its submission to the draft determination, SA Water did not agree with the Commission's position in relation to proving costs, the reduction in demand and the reduction in pumping costs associated with cost abatement.[542] In relation to the Parliamentary Committee, SA Water's submission to the draft determination noted that there '*… may be carryover (from RD20 to RD24) relating to the Eyre Peninsula Desalination Augmentation project that is experiencing delays due to development approval complexity, and additional stakeholder and government input'.*[543]

Having regard to SA Water's submission, which acknowledged likely changes in the timing of completion, the Commission sought clarification and further information from SA Water. SA Water's response, provided in April 2024, acknowledged a delay in construction and included an updated proposal for operating expenditure.

Further analysis has been undertaken on the new information provided to the Commission. The analysis is discussed below.

Proving costs

In the draft determination, the Commission considered that SA Water's proposed two-year proving period costs should not be operating expenditure for regulatory purposes.

Between the draft and final determinations, the Commission sought clarification and information from SA Water. SA Water confirmed that it had assessed the project according to its capitalisation policy and that, in its view, proving period costs should be treated as operating expenditure.

SA Water stated that:[544]

> *'… the costs relating to the two-year proving period have been deemed operating expenditure… [t]his is due to the need to service existing demand from first water at a 100% capacity of the plant. This differs from the treatment of the proving costs for the Adelaide Desalination Plant (ADP), which were deemed capitalizable by ESCOSA in RD13. The ADP used the proving period to test the plant to ensure the asset was working appropriately but had no immediate requirement to service existing demand.'*

However, despite stating that proving costs should be operating expenditure, SA Water at the same time stated in its submission to the draft determination:[545]

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[541] See Parliament of South Australia Committees available at https://www.parliament.sa.gov.au/en/Committees/Committees-Detail.
[542] SA Water, *SA Water's response to ESCOSA's Draft Determination*, pp.102-106.
[543] Ibid, pp. 33-34.
[544] This is based on information from RFI - RD24232 issued to SA Water.
[545] SA Water, *SA Water's response to ESCOSA's Draft Determination*, pp. 102-103.

'… [t]hese operational costs are incurred during the extended Contractor operations and maintenance proving period. This is a 2-year predetermined span of time during which the plant's maintenance regime and performance is closely monitored and assessed. It serves as a verification phase to ensure that the plant can operate efficiently and meet the expected performance standards.

During this period, any performance issues or inefficiencies that arise can be investigated and addressed to optimise asset lifecycle costs. This also ensures that while the plant is fully operational, it can run reliably with minimal disruptions. Therefore, the costs incurred during this period are an investment into the plant's future operational success.'

In its supporting information, SA Water submitted that proving period costs are common in the construction industry. It stated that:[546]

'The use of a 2 year proving and defects period is not unusual in the construction industry… the length of time is dependent on the agreed delivery model for a project and this can range up to the contractor building and operating the plant for 5 years (plus) before transferring it to the client. The purpose of this is that during this period, damages are applied or warranties are provided if operational deficiencies are found. By including a proving period, SA Water has asked the contractor to prove that the finished technical solution meets the project objectives and the performance expectations of the plant. This is common practice for new greenfield plant builds such as desalination projects or water/wastewater treatment facilities.

By having a proving period, SA Water has mitigated risk to the customer by ensuring the contractor is incentivised to build a robust and sustainable technical solution and enables effective operational training of our people to successfully take over management of the new asset…'

The Commission observes that the reasoning applied by the Commission in relation to the Adelaide Desalination Plant in 2013 appears, on the face of SA Water's submissions, to be equally applicable in this instance. In the Commission's view, while the desalination plant will be servicing customer demand at commencement, the contractor costs planned for the first two years of its operation have the specifically stated purpose of contributing to the verification and optimising of plant performance for a greenfield operation.

In the reviews undertaken by Atkins and Sapere, there were mixed views. While Atkins noted there was a case for the capitalisation of proving period costs,[547] Sapere noted there was support for including proving costs in operating expenditure (although it noted it was a minor matter).[548]

Insofar as these proving period costs are being undertaken to avoid the future risks of plant failure, then irrespective of the fact water is being produced and servicing customer demands at commencement (as was highlighted by SA Water), for regulatory purposes there is a case that the expenditure has a direct economic benefit (that is, a longer-term benefit of avoided major repair costs) and therefore should be capitalised. The potential longer-term benefit of the proving period costs is specifically outlined in SA Water's response to the draft determination (as stated above).

It is worth noting that SA Water has itself acknowledged in its RBP and in its submission that accounting treatments do not need to always be aligned to the treatment for regulatory purposes (for example, treatment of cloud costs).

In summary, the Commission's final position is that the $4.7 million of proving costs will be included in capital expenditure for regulatory purposes for SAWRD24. In the Commission's view, these costs have some degree of longer-term economic benefit. SA Water did not provide any apportionment of proving costs between operating and capital expenditure. In the absence of apportionment information, the

[546] This is based on supporting information submitted by SA Water to the Commission.
[547] AtkinsRealis, *Supplementary Report - SA Water Capex Review*, April 2024, p. 19.
[548] Sapere Research Group, *Addendum to review of operating expenditure chapter in ESCOSA's Draft SA Water Regulatory Determination 2024*, pp. 6-7.

Commission's view is that a majority share of benefit is likely to accrue over the longer-term (on the basis that verification and optimisation reduces the risk of future plant repairs).

Abated costs

In the draft determination, the Commission considered that SA Water's proposal did not provide sufficient evidence to show that it had fully accounted for cost abatement due to the commencement of operations of the Eyre Peninsula Desalination Plant. Prior to the draft determination, SA Water acknowledged $1.1 million in cost reductions from the SA Water proposal in the RBP. However, the Commission estimated $4.3 million of cost abatement for the draft position.

The Commission's interpretation of the materials and supporting information supplied by SA Water in its submission to the draft determination is that SA Water's position appears to be that operating expenditure for the Eyre Peninsula desalination plant should be included on the basis of growth and new customers in the Upper Spencer Gulf.[549]

In the Commission's view, SA Water's proposal for expenditure includes costs associated with issues relating to growth more generally, rather than the operating expenditure for the desalination plant.

In its peer review, Sapere supported the Commission's draft position as being 'not unreasonable'.[550] Further, after reviewing SA Water's submission to the draft determination as well as supporting information, Sapere considered that:[551]

> *'…The cost abatement issue relates to the Commission's downward adjustment to SA Water's proposed opex based on the argument that the use of the Eyre Peninsula Desalination Plant would reduce the need, and therefore cost, associated with supply from existing sources, specifically related to pumping from the River Murray on the Morgan to Whyalla pipeline. In my peer review (pg. 24), I concurred with the Commission's argument.*
>
> *In RFI RD24175, SA Water argues that the pumping would still be utilised for 'Upper Spencer Gulf current demands'. However, it does not explain the lack of cost abatement associated with replacing the sources for those current demands in Upper Spencer Gulf. Unless the current demands of the Upper Spencer Gulf were being met by an (essentially) free resource, which can no longer be used, redirecting the supply to that area should result in some additional cost abatement.'*
>
> *In conclusion, in my opinion, SA Water have not provided adequate information to warrant the Commission not making its proposed adjustment relating to the cost abatement.*

The Commission confirms its draft position in relation to the methodology for calculating the cost abatement. The final position has been determined using the latest available information supplied by SA Water regarding the timing of the project.

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549 In response to the draft determination, SA Water provided somewhat conflicting information. On the one hand, SA Water stated that the Commission *'appears to incorrectly assume that water will no longer need to be extracted from the Uley South bores or the River Murray once the desalination plant is constructed'* and it went on say that water sourced from the River Murray would still be required to meet demands in the greater Eyre Region. However, at the same time, SA Water described River Murray water as not being required further for the Eyre Peninsula and would instead be utilised to provide water to both Upper Spencer Gulf and new customers. See SA Water, *SA Water's response to ESCOSA's Draft Determination*, pp. 102-106.

550 Sapere Research Group, *Peer review of operating expenditure chapter in ESCOSA's Draft SA Water Regulatory Determination 2024*, pp. 24-25.

551 Sapere Research Group, *Addendum to review of operating expenditure chapter in ESCOSA's Draft SA Water Regulatory Determination 2024*, pp. 6-7.

Table 10.16: Operating expenditure cost abatement ($Dec22, millions)

	2024-25		2025-26		2026-27		2027-28	
	Supply (ML/a)	Opex	Supply (ML/a)	Opex	Supply (ML/a)	Opex	Supply (ML/a)	Opex
Difference between SA Water proposal and Commission assessment	0	0	0	-0.28	0	-1.28	0	-1.28
Total difference over four years							**-2.83**	

Demand Adjustment

In SA Water's proposal for the desalination plant, it included annual demand growth forecast for the Eyre Peninsula of 6 percent. In the draft determination, the Commission highlighted that historical usage has been in decline over the past eight years and that ABS data showed that the population had remained relatively unchanged. Taking this information into account, the Commission included a demand growth forecast of approximately 1 percent per year.

In its submission to the draft determination, SA Water requested that the Commission include $1.4 million of costs, an amount which the Commission did not include in the draft determination due to the demand adjustment.[552] SA Water suggested that it is inappropriate for the Commission to utilise population growth as the sole driver of demand.[553] It stated that demand may also be driven by commercial, primary sector and industrial demand and climate factors. Further justification provided by SA Water was that *'the anticipated customer growth is not just associated with this Eyre region. Rather, it corresponds to the escalating demand from customers in the Upper Spencer Gulf (USG).'*[554]

In reviewing submissions and supporting information, the Commission considers there are several limitations in the positions put forward by SA Water.

First, increased demand from regions outside of the Eyre Peninsula are not directly relevant to the prudent and efficient costs of operating the desalination plant, nor should they be handled as a subsection of a project cost. These additional demands should be handled separately via, for example, costs associated with growth more generally (discussed in a separate section on growth and real price effects).

Second, while SA Water claimed increased potential for commercial, industry and primary sector demand for water, neither the business case nor its other submissions provided specific details to support that proposition. SA Water's aggregate water volumes are projected to increase by 0.5 percent per year over SAWRD24, yet its forecast for the Eyre Peninsula is significantly more than that, at 6 percent per year. SA Water did not provide information to support a 6 percent rate of growth over the SAWRD24 period. The Commission's final position is therefore based on historical data on population growth in the region.

[552] SA Water, *SA Water's response to ESCOSA's Draft Determination*, pp. 102-106.
[553] Ibid, pp. 102-106.
[554] Ibid, pp. 102-106.

In its peer review, Sapere considered the Commission's assessment in the draft determination was '*not unreasonable*'.[555] Further, after reviewing SA Water's submission and supporting information to the draft determination as well as requests for information, Sapere stated that:[556]

> *'… SA Water did not provide any additional information and reasoning as to how it arrived at its forecast. In my opinion this is unsatisfactory, particularly given the forecast includes a significant change in trend. Furthermore, SA Water's submission did not provide an interpretive discussion of the information in the figure; for example, there is no discussion/explanation of the inclusion of non-revenue water in the forecast and of what else is included in the '+ proposed development'.*
>
> *In my opinion, SA Water have not provided adequate information to warrant the Commission not making its proposed adjustment.'*

The Commission's estimate for operating expenditure includes only the amount referable to a growth forecast of around 1 percent rather than 6 percent. The Commission's final position was based on a growth forecast detailed below in Table 10.17.

Table 10.17: Operating expenditure demand growth assumptions

	2024-25	2025-26	2026-27	2027-28
	Supply (ML/a)	Supply (ML/a)	Supply (ML/a)	Supply (ML/a)
SA Water Proposal	7,300	8,250	9,160	9,088
Commission final position	7,300	7,373	7,447	7,521
Difference		-877	-1,713	-1,567

Change in Timing

As mentioned above, there have been developments on the timing and approval of the desalination plant since the draft determination was published. SA Water put the view, supported by documentation, that there may be a delay in the construction of the desalination plant.[557] The Commission acknowledges SA Water's response in regard to the timing of the project. It has therefore adjusted its estimates discussed above (for proving costs, cost abatement and demand adjustment) on that basis.

Summary

The Commission's final position for the Eyre Peninsula desalination project is that the operating cost estimate, while based on SA Water's submission, is $8.92 million lower than SA Water's submitted amount (Table 10.18). It should be noted that the costs deemed prudent and efficient by the Commission for additional expenditure are not those that are required for the operation of the plant. It is the additional costs that are required above those currently in the base year expenditure to provide water to Eyre Peninsula customers and to augment the water supply.

[555] Sapere Research Group, *Peer review of operating expenditure chapter in ESCOSA's Draft SA Water Regulatory Determination 2024*, pp. 24-25.
[556] Sapere Research Group, *Addendum to review of operating expenditure chapter in ESCOSA's Draft SA Water Regulatory Determination 2024*, pp. 6-7.
[557] Based on information from RFI RD24232 issued to SA Water.

Table 10.18: Final position on additional operating costs for the Eyre Peninsula Desalination Plant ($Dec22)

	2024-25 ($m)	2025-26 ($m)	2026-27 ($m)	2027-28 ($m)	Total ($m)
SA Water proposal	0	3.99	14.83	13.95	32.78
Commission estimate	**0**	**2.18**	**10.82**	**10.85**	**23.86**

Procurement relating to TI-18

SA Water proposed an uplift in expenditure in order to comply with an external obligation in a Treasurer's Instruction 18, issued pursuant to section 41 of the *Public Finance and Audit Act 1987*.[558] This expenditure proposal included $1.1 million in total additional expenditure above that already in the base year expenditure for procurement. SA Water's proposal is underpinned by $800,000 of systems spending and $300,000 on additional labour costs.

In the draft determination, the Commission found it was unable to assess why SA Water required additional expenditure for procurement due to a lack of explanatory evidence. Accordingly, the Commission deemed this additional expenditure as inefficient on the basis that existing employees and staff can learn, adapt systems and apply a new process within currently available resources.

SA Water stated that, without additional funding for this modification to procurement processes, it would be required to cease activities.[559] SA Water suggested that $1.1 million should be added back in to the forecast operating expenditure.

No stakeholders commented directly on the reduction of costs for procurement detailed in the draft determination by the Commission.

As mentioned at the start of the chapter, simply identifying new activities is not in itself a justification for an increase in total expenditure. While new activities may be required in the future, with associated new costs, other activities which previously took place may no longer be required, offsetting those new costs. In addition, existing systems and processes can be adapted to meet new processes.

It was not demonstrated with sufficient evidence in the RBP or the business case why existing ITC operating and or capital expenditure proposals could not be utilised for any of the required systems upgrade expenditure. Furthermore, there should be scope for SA Water's staff to learn and adapt internal processes and systems to meet new procurement requirements. While there may be a risk of short-term negative productivity in terms of staff labour costs (as the new process requires staff to adjust existing processes and learn), it was not demonstrated with sufficient evidence in the RBP or the business case why a persistent amount of additional labour cost would be required that could not already be found within the existing procurement expenditure amounts in the base year expenditure. Furthermore, neither the business case nor the RBP discuss, in any material manner, the potential benefits; for instance, there may be expected benefits that arise over time (through improved risk management and governance and the reduction or exclusion of outdated internal procurement activities), and those benefits can provide offsetting cost savings.

In summary, the Commission does not consider this proposed expenditure to be prudent and efficient and its estimate of operating expenditure does not encompass an amount referrable to this matter.

[558] SA Water, *SA Water's response to ESCOSA's Draft Determination*, pp. 94-95.
[559] Ibid, pp. 94-95.

Superannuation guarantee

In the draft determination, the Commission accepted SA Water's proposal that an incremental increase in superannuation costs is required in SAWRD24 due to changes in the *Superannuation Guarantee (Administration) Act 1992*. However, the source of SA Water's base labour cost figure of $150.5 million was unclear. Therefore, in its draft position the Commission estimated an efficient superannuation guarantee increase for SAWRD24 using a base year net labour cost figure, excluding superannuation, of $120 million.

In its submission to the draft determination, SA Water submitted that the base labour costs used in the calculation of superannuation should include items deemed ordinary time earnings (the amount paid to employees for an employee's ordinary hours of work) and certain cloud computing costs. It proposed adjusted gross labour costs to be used in the calculation of superannuation of $148.8 million.[560]

The Commission has had regard to the additional information provided in SA Water's response to the draft determination. SA Water highlighted that the net labour number used by the Commission in the draft determination had several accounting adjustments included that are not super applicable.

For the final position the Commission considers that the superannuation guarantee should be calculated based on labour costs measured as ordinary time earnings, but it has not included certain cloud computing costs in this cost category as suggested by SA Water.

The Commission has calculated the superannuation cost increase on a base superannuation applicable labour cost of $146.1 million per annum. This represents SA Water's response to the draft determination less the cloud computing adjustment that had been proposed. The final decision to adopt a higher labour cost, with which to apply the increased superannuation cost, results in additional expenditure of $11 million for SAWRD24. This is a $2 million increase from the draft position.

Table 10.19: Commission methodology for calculating the superannuation guarantee cost increase ($Dec22)

	2024-25	2025-26	2026-27	2027-28
Super applicable labour[561] ($m) (A)	146.1	146.1	146.1	146.1
Superannuation within the base (%) (B)	10%	10%	10%	10%
Increased superannuation guarantee (%) (C)	11.5%	12%	12%	12%
Difference between superannuation guarantee ($m) (D) (C - B)	1.5%	2%	2%	2%
Efficient increase cost due to superannuation ($m) (A * D)	2.2	2.9	2.9	2.9
			Total Additional Expenditure	**11.0**

[560] Ibid, pp.91-93.

[561] The super applicable labour presented to the Commission was net of superannuation costs. As such, the methodology utilised within the final has been modified from that which was undertaken in the draft.

Growth and real price effects

Growth

In response to the draft determination, several stakeholders, including SA Water, CCG, UDIA, RDA, EPA and the Property Council of Australia, as well as an individual submission from Vicky Samara, queried whether the Commission included sufficient expenditure to accommodate growth.[562]

For instance, SA Water stated *'[n]o allowance has been made in the Draft Determination for … customer growth."*[563] CIE reported the Commission omitted output growth.[564] The UDIA advocated *'for growth funding beyond that which was detailed in the SA Water regulatory business proposal*'.[565]

Recognising the matters raised by stakeholders, the Commission has had regard to available information on expected growth and it highlights five key considerations below.

- First, under the base-step-trend methodology, growth is a factor that is partly, or wholly, offset by the rate of target efficiency included in the determination. In this respect, growth can be viewed not necessarily in isolation but as part of the trend change in the base year expenditure for SAWRD24. In terms of step changes in expenditure, these should reflect changes in SA Water's firm-specific efficient costs that are not already captured, for example, in the combination of the trend component (which includes growth).

- Second, SA Water's RBP did not provide an explicit expenditure line amount for output growth for operating expenditure, but it did include growth in the operating expenditure listed by project in its proposed additional spend categories. It defined this additional expenditure as step changes to the base year expenditure.

  SA Water's RBP and its submission to the draft determination provided differing commentary on the matter of growth. Specifically, either SA Water has requested the Commission to add expenditure for growth for which it did not propose in its RBP, or SA Water has included expenditure to accommodate growth in its additional expenditure proposals and is now proposing even further expenditure for growth without providing evidence for material changes in its projections for growth since the RBP.[566]

  While SA Water has claimed the Commission has not demonstrated consideration of projected growth in customer numbers, SA Water itself has provided differing propositions in its submission and RBP and has not quantified the additional growth costs for which it is seeking from the Commission.

- Third, in SA Water's RBP, it proposed additional (step change) expenditure totalling $8.2 million labelled to *'[e]nable growth'*. The Commission utilised that amount in the draft determination. In this respect, the Commission has already allowed for a degree of operating expenditure for growth in the draft determination. The question, in the Commission's view, is whether the degree of operating expenditure is sufficient and whether this expenditure is a firm-specific cost or captures a degree of overlap with the trend component in the base -step-trend methodology.

[562] SA Water, *SA Water's response to ESCOSA's Draft Determination*, pp. 64-65, Urban Development Institute of Australia, pp. 2-5, Regional Development Australia – Barossa, Gawler, Light and Adelaide Plains, pp. 1-4, Property Council of Australia, *Submission to Draft Regulatory Determination*, pp. 1-3, Customer Challenge Group, pp. 2-3, Environment Protection Authority, *Submission to Draft Regulatory Determination*, p. 1, and Samara V, p. 1.
[563] SA Water, *SA Water's response to ESCOSA's Draft Determination*, p. 64.
[564] Centre for International Economics, pp. 1-25.
[565] Urban Development Institute of Australia, pp. 2-5.
[566] CIE provides no comment, analysis or details regarding the degree to which operating expenditure may already be captured in SA Water's proposal in the step change component rather than trend component.

SA Water's consultant, CIE, acknowledges the potential for growth to be addressed in step change expenditure. It outlined that *'[o]pex forecasts should therefore account for forecast growth in connections, less* ***any growth already captured by step change adjustments to avoid double counting****'* [emphasis added].[567] Of note, while CIE claimed that the Commission omitted output growth, it did not recognise step change expenditure that directly or indirectly related to growth.[568]

- Related to the above, there is a question as to the magnitude of additional expenditure currently in the draft determination that is indirectly already addressing the cost associated with growth. Of the additional expenditure proposed by SA Water, as noted by Sapere in its peer review[569] (and also by Atkins in the context of capital expenditure[570]), the categorisation of expenditure by SA Water can involve 'grey' areas.

  For instance, the operating expenditure on the Eyre Peninsula Desalination Plant involves an element of expected growth. As discussed earlier, SA Water's proposal included unsubstantiated forecasts of 6 percent annual growth – yet at the same time, SA Water does not include this project as an 'enable growth' category, but rather a 'sustain services' project. This highlights that categories of additional expenditure, as proposed by SA Water, included in the step change component of the determination may already be accommodating aspects of growth either directly or indirectly.

- Fourth, as mentioned earlier, the Commission's estimate for the draft position did not encompass SA Water's proposed SAWRD20 asset uplift expenditure on the basis that SA Water provided insufficient supporting evidence and justification. One of the expenditure sub-components in this element included some expenditure for growth which was expected in 2022-23 and 2023-24. Following SA Water providing further information and supporting evidence (after being requested by the Commission), the Commission determined for the final position that it would include expenditure on this matter in the base year operating expenditure estimate.

Taking these considerations together, and noting that stakeholders raised the matter of growth, the Commission sought advice from Sapere and Incenta as part of their peer reviews undertaken for the Commission. Both consultants highlighted that the Commission should more explicitly include an amount of prudent and efficient operating expenditure to address growth.[571]

In order to address growth, CIE suggested the Commission should inflate operating expenditure in line with the forecast percentage growth in connections.[572] However, this proposed option can have limitations. Sapere's peer review explained the advantages and limitations of approaches to address growth. It explained:[573]

> *'…There is a question as to how rates of growth should be applied. An approach which has been adopted in other determinations (see Icon Water example above) is to simply inflate the controllable opex by a percentage change in output (e.g. connections). However, in doing so, it is then necessary to then also consider the potential productivity improvements from economies of scale.*

[567] Centre for International Economics, p. 4.
[568] Ibid, pp. 1-25.
[569] Sapere Research Group, *Peer review of operating expenditure chapter in ESCOSA's Draft SA Water Regulatory Determination 2024*, pp. 30-31.
[570] AtkinsRealis, *Final Report - SA Water Capex Review 2024*, p. 24.
[571] Incenta Economic Consulting, *ESCOSA's Draft Decision on SA Water's operating expenditure for the 2024/25 – 2027/28 – a peer review*, Report for ESCOSA, pp. 17-20, and Sapere Research Group, *Peer review of operating expenditure chapter in ESCOSA's Draft SA Water Regulatory Determination 2024*, pp. 30-31.
[572] Centre for International Economics, p. 14.
[573] Sapere Research Group, *Peer review of operating expenditure chapter in ESCOSA's Draft SA Water Regulatory Determination 2024*, pp. 30-31.

An alternative approach (which should more accurately capture the economies of scale) is to explicitly estimate how growth impacts opex by cost category (e.g. energy, chemicals, customer services costs). I expect this could be reasonably easily achieved and it would be good management practice to do so.

Regardless, in estimating the impact of growth are a few matters the Commission may wish to consider, should time permit.

- *There are multiple cost drivers associated with growth, including, for example, number of customers, water consumption and sewage production. Ideally these would be separately modelled.*
- *Growth can have a lagged effect on cost. Whereas growth can have an immediate impact on some variable costs (e.g. pumping and chemicals) and some-semi variable costs (e.g. customer service costs), there can be a more delayed impact on other costs (e.g. network maintenance). In effect, opex in the upcoming period is affected by growth that occurred in a previous period.*
- *The marginal opex of additional output can differ from the average variable operating cost. For example, to serve Adelaide's water supply SA Water uses a mix of sources including pumping from the River Murray and lower-cost local sources. However, any increase in volume will invariably be sourced from the higher cost sources.*
- *Growth may be reflected in proposed projects. For example, some of the projects that SA Water has identified as new opex have been categorised as to 'Enable growth' and that some other projects (e.g. the Eyre Desalination Plant which was classified as 'Sustain Services') have a growth component. In this respect, the Commission has incorporated some element of growth opex already.'*

Given that SA Water did not propose specific additional costs associated with growth that should be adopted by the Commission and there are limitations in simply inflating operating expenditure by expected output growth, a more targeted approach could be adopted. In SAWRD20, the Commission determined a prudent and efficient amount of operating expenditure of $4.2 million ($Dec22) for the four-year period to accommodate 'natural' growth. The determination was informed by SA Water's proposal in SAWRD20 (which was for $4.2 million, $Dec22). Natural growth refers to the necessary growth of expenditure to handle increased customer numbers which could include additional treatment, energy and other cost categories. Adjusting for forecasts of customer connections in SAWRD24, applying this would suggest an amount of $4.8 million of operating expenditure to accommodate natural growth in SAWRD24.[574]

The Commission's final position is to include an additional $4.8 million as a prudent and efficient operating expenditure for 'natural' growth for SAWRD24. This does not include growth expenditure covered under step change projects.

The Commission notes that its position on the costs associated with natural growth has been adopted for the purposes of SAWRD24. However, this methodology for calculating the costs associated with natural growth should not be assumed to apply in future regulatory periods.

[574] For example, in SAWRD20, there was $82.47 ($Dec22) per additional connection allowed for growth. If this amount is applied to the forecast change in connections for SAWRD24, this would suggest a growth amount of $4.8 million for SAWRD24. SA Water has provided forecast changes in connections of 31,762 for water and 26,172 for sewerage. As a form of cross-check, the Commission also calculated a broadly similar aggregate amount for growth informed by volume-based estimates of short-run marginal costs.

Real price effects

Sapere[575] and CIE[576] noted that the Commission should consider any potential real price effects when calculating the trend component in the base-step-trend methodology. Under the base-step-trend methodology, for example, the potential for expected real price effects (input price forecasts specific to the firm) for SAWRD24 can provide a counter force to the expected rate of efficiency over the period.

In its peer review, Sapere reported that:[577]

> *'… neither SA Water nor the Commission made trend adjustments associated with changes in real prices. In my opinion this is reasonable, as I would expect that adjustment for real prices would be only done on exception and where there is evidence that the future prices of inputs are expected to increase at a rate different to inflation.'*

In its submission to the draft determination, SA Water put forward general commentary on cost increases; for instance, it stated that it requests the Commission *'…revisit its analysis and make an appropriate allowance for real cost increases in the projected RD24 costs'* [578] and *'…the allowance for RD24 (excluding a direction from government for Tea Tree Gully) should not be less than, in real terms, than RD20 in recognition of the cost escalation observed by the Commission and stated by SA Water in its RD24 submission'*.[579]

SA Water highlighted cost pressures during the SAWRD20 period and noted forecasts of increased costs put forward by OEA and DCWC.[580] It did not, however, provide a specific proposal for an adjustment to base year expenditure for real price effects over the SAWRD24 period in either its RBP, or in its submission to the draft determination. Furthermore, while SA Water has generally referred to forecasts of commodity and input prices going forward, as presented in reports prepared for it by DCWC and prepared for the Commission by OEA, those reports can have limitations.[581]

Accordingly, the Commission does not consider that there is sufficient evidence that supports it taking the view that future prices over SAWRD24 would be expected to increase at a rate different to CPI inflation and that those prices could apply to a real price effect in the prudent and efficient operating expenditure benchmark. The Commission's final position is in line with its draft position; that is, it does not include an adjustment in relation to real input price effects (over and above what is already captured through CPI inflation).

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575 Sapere Research Group, *Peer review of operating expenditure chapter in ESCOSA's Draft SA Water Regulatory Determination 2024*, pp. 29-30.

576 Centre for International Economics, p. 4. CIE reports limitations in the Commission's assessment, in that it omitted real input price growth. However, apart from stating there is no increase in real input price growth over SAWRD24, the CIE report does not provide accompanying justification and detail for whether and why there should be an increase and what the magnitude should be. Further, while CIE suggested the Commission's approach omitted components, such as real price effects, the CIE report itself omits any reference to SA Water's RBP, its real expenditure proposals, and the fact that SA Water did not make a specific proposal for real price effects to base year expenditure.

577 Sapere Research Group, *Peer review of operating expenditure chapter in ESCOSA's Draft SA Water Regulatory Determination 2024*, pp. 29-30.

578 SA Water, *SA Water's response to ESCOSA's Draft Determination*, p. 63.

579 Ibid, 57.

580 Donald Cant Watts Corke, p. 3, and Oxford Economics Australia, pp. 1-52.

581 For example, the DCWC report states that annual average cost escalation for the period 2024 to 2028 is expected to 2.5 percent, which is in line with expected CPI inflation (and taken at face value, would actually imply a zero aggregate real price effects adjustment for SAWRD24). Other limitations were noted earlier in the chapter. Donald Cant Watts Corke, p. 3.

Section 6 Ministerial directions

As noted in earlier chapters, there have been section 6 Ministerial directions issued in relation to several projects and programs for SAWRD24. All section 6 Ministerial directions on operating expenditure (net of contributions) are included in the following section for transparency (in $Dec22 terms).

For SAWRD28, the Commission expects SA Water to propose operating expenditure that has been normalised of expenditure relating to section 6 Ministerial directions. This will allow greater visibility on base year expenditure.

- Tea Tree Gully Community Wastewater Management

  In the draft determination, the Commission included two separate initiatives for the Tea Tree Gully (TTG) wastewater system. This included operating expenditure for TTG CWMS and the TTG Sustainable Sewers program. The amount included in the draft was $39.7 million for the combined projects (noting that a significant portion of the additional expenditure would be temporary).

  The temporary expenditure includes decommissioning of septic tanks and legacy CWMS assets and the operating expenditure of the legacy CWMS while customers wait to be switched over in line with the delivery of the capital expenditure project.

  The Commission further acknowledged that there would be some marginal expenditure to continue the ongoing service of customers that had been switched from the legacy CWMS but that this line item would require significant review prior to SAWRD28 as these temporary costs should not be directly or indirectly captured within any future base year.

  This expenditure has now been included in section 6 Ministerial direction. The direction states the operating expenditure relating to TTG projects as not to exceed $40.5 million.

- Maintain potable water supply for SA Water customers in certain regional areas

  As discussed earlier, in the draft determination the Commission removed $1.1 million of proposed uplift to the base year expenditure for the purpose of regional water supply.

  This expenditure has now been included in a section 6 Ministerial direction. The section 6 direction for regional water is $2.01 million per year. This is $0.91 million per year higher than SA Water's proposed uplift to the base. The Commission has not reviewed the prudent and efficient nature of the expenditure above the $1.1 million that was assessed earlier as part of the draft determination given SA Water must comply with the amounts specified in the section 6 Ministerial direction.

- Improving the security and water supply on Kangaroo Island

  There has been a section 6 Ministerial direction relating to water supply on Kangaroo Island. The direction is for $3.11 million over the four-year period.

- Flushing the Torrens Lake

  As discussed earlier, annual expenditure for this initiative had previously been considered in the draft determination in the normalised base year. For the final determination, the expenditure has been removed from the base and included in additional expenditure.

  The section 6 Ministerial direction relating to the flushing of the Torrens Lake includes $2.6 million over the four-year period.

- Water and wastewater infrastructure in metropolitan Adelaide (Metropolitan Growth project)

  There has been a section 6 Ministerial direction relating to operating expenditure for the Metropolitan Growth project. The direction is for $0.55 million over the four-year period.

- Water Planning and Management Charges Contribution

  Within the section 6 Ministerial direction there was $130.84 million over SAWRD24. This has been removed from the base year expenditure and included here within the additional expenditure.

- Annual reimbursement of fees paid for valuation roll

  There has been a section 6 Ministerial direction to reimburse the Minister for fees paid to the Valuer-General pursuant to section 21(a) of the *Valuation of Land Act 1971*. The total operating expenditure for the four-year period is $20.75 million.

- Aboriginal communities serviced by SA Water through a CSO funded by Government

  The section 6 Ministerial direction includes both operating expenditure and a CSO for providing water and wastewater services to several communities. The expenditure (net of contributions) for the provision of these services is $8.31 million over SAWRD24.

- Emergency Management Services

  The costs and South Australian Government contributions for this direction are offsetting, therefore in this regard the net position is zero for the purposes of operating expenditure.

- Government Radio Network Services

  The costs and South Australian Government contributions for this direction are offsetting, therefore in this regard the net position is zero for the purposes of operating expenditure.

Table 10.20: Section 6 Ministerial directions ($Dec22, millions)[582]

	2024-25 ($m)	2025-26 ($m)	2026-27 ($m)	2027-28 ($m)	Total ($m)
Tea Tree Gully Community Wastewater Management	10.50	10.35	10.12	9.51	40.48
Upgrading the water supply of SA Water customers in regional areas	2.01	2.01	2.01	2.01	8.03
Improving the security and water supply on Kangaroo Island	0.78	0.78	0.78	0.78	3.11
Flushing of the Torrens Lake	0.65	0.65	0.65	0.65	2.60

[582] Section 6 Ministerial directions are expressed in nominal dollar terms. However, the figures have been converted into real (inflation-adjusted) terms ($Dec22) for the purposes of the regulatory determination. The conversion has been based on CPI inflation forecasts utilised in the regulatory determination (as used in the calculation of the tax allowance). The forecasts are as follows: 3.1 percent for 2024-25, 2.6 percent for 2025-26, 2.55 percent for 2026-27, and 2.50 percent for 2027-28.

Water and wastewater infrastructure in metropolitan Adelaide (Metropolitan Growth)	0.04	0.08	0.17	0.26	0.55
Water Planning	32.75	32.71	32.69	32.68	130.84
Annual Reimbursement	4.91	4.71	4.71	4.71	19.04
Aboriginal Communities (Net)	2.08	2.08	2.08	2.08	8.32
Total	**53.72**	**53.36**	**53.21**	**52.67**	**212.97**

Note that the Commission has had regard to items listed in section 6 Ministerial directions, including items C (Fluoridation services), D (Purchase of renewable energy or carbon offsets for the Adelaide Desalination Plant), I (Environmental Watering Volume) (items C, D and I were not discussed in detail above), in setting out the efficient and prudent benchmark operating expenditure allowance for the SAWRD24 period. Where the directions do not specify dollar values, the Commission has assessed and included efficient expenditure as required under Clause 4.8 of the Pricing Order.

Total additional expenditure (step changes)

The Commission's final position relating to the prudent and efficient additional operational expenditure for SAWRD24 is outlined below in Table 10.21. The additional operational expenditure has had regard to section 6 Ministerial directions, potential growth and real price effects.

Table 10.21: Additional operational expenditure on top of base year expenditure (Step Change) ($Dec22, millions)

	2024-25 ($m)	2025-26 ($m)	2026-27 ($m)	2027-28 ($m)	Total ($m)
Purified Recycled Water Demonstration plant	0	0	0	0	0
Eyre Peninsula Desalination Plant	-	2.18	10.82	10.85	23.86
Procurement Relating to TI-18	0	0	0	0	0
Superannuation Guarantee	2.19	2.92	2.92	2.92	10.96
Natural Growth[583]	1.2	1.2	1.2	1.2	4.8
Other Projects	11.67	19.53	15.15	18.69	65.05
Section 6 directions	53.72	53.36	53.21	52.67	212.97
Total Additional Expenditure Incl. section 6 directions (Step Change)	68.80	79.21	83.32	86.35	317.68
Total Additional Expenditure Excl. section 6 directions	15.08	25.84	30.11	33.68	104.71

[583] Natural growth is separate from growth projects proposed by SA Water which have been included within the 'Other Projects' heading.

10.8.4 Efficiency for SAWRD24

In the draft determination, the Commission applied a simple flat measure of annual efficiency of 1.5 percent (rather than a compounding efficiency target) across the entirety of SA Water's operating expenditure. The Commission's draft position referred to efficiency targets adopted by the ESCV and noted that the target applied was informed by the Commission's economic benchmarking (which, as explained earlier, responded to claims made by SA Water and KPMG's benchmarking study).

In its submission to the draft determination, SA Water (and its consultant, CIE) suggested limitations in the Commission's approach, including that:[584]

- the efficiency target was applied to step change expenditures despite these expenditures already being proposed by SA Water as being 'net of efficiency'
- the efficiency target should only be applied to controllable base year expenditure
- the efficiency target was not applied on a net of growth and real price effects basis
- the efficiency target should not be compared to targets set by the ESCV for water utilities in Victoria
- the efficiency target should not be applied on top of efficiency adjustments already made to expenditure line items in the base year (for example, net real labour costs)
- continuing efficiencies may be challenging to achieve (on the basis of high rates of efficiency at SA Water in the past, claims of a slowing in the rate of efficiency gains under maturing regulatory regimes, and recent reports of slow or negative water sector and market-wide productivity growth), and
- the efficiency target should be set with consideration of achievability (for example, CIE suggested any deviation from the frontier should be recovered over a ten-year period).

In contrast, in submissions to the draft determination, SAFRRA and SACOSS supported the Commission's focus on the efficiency of SA Water's operating expenditure, as did results from the engagement YourSAy survey.[585] Also, Uniting Communities expressed the view that it is critical that in making the regulatory determination the Commission carefully consider affordability and cost of living pressures faced by consumers.[586]

As mentioned above, the Commission sought the views of Incenta and Sapere in regard to the Commission's approach to operating expenditure. Among other factors, those firms suggested that:[587]

- efficiency targets should be set on a net of growth and real price effects basis (in line with stakeholder submissions)
- efficiency targets adopted from the ESCV may not necessarily be appropriate for applicability to SA Water (in line with stakeholder submissions)

[584] SA Water, *SA Water's response to ESCOSA's Draft Determination*, pp. 55-90, and Centre for International Economics, pp. 1-22.

[585] South Australian Council of Social Service, *Submission to Draft Regulatory Determination*, pp. 6-9, 17-22 and South Australian Federation of Residents and Ratepayers Associations, pp. 1-2.

[586] Uniting Communities, *Submission to Draft Regulatory Determination*, p. 9.

[587] Sapere Research Group, *Peer review of operating expenditure chapter in ESCOSA's Draft SA Water Regulatory Determination 2024*, pp. 1-32, Sapere Research Group, *Addendum to review of operating expenditure chapter in ESCOSA's Draft SA Water Regulatory Determination 2024*, pp. 1-8, and Incenta Economic Consulting, *ESCOSA's Draft Decision on SA Water's operating expenditure for the 2024/25 – 2027/28 – a peer review*, pp. 1-20.

- achievability should be assessed carefully (that is, in a situation in which a utility operates some distance from the efficient frontier, it is unclear why customers should bear inefficiency rather than shareholders, a position in line with the AER but counter to the claims made by CIE)
- efficiency adjustments should be avoided on base expenditure items unless analysis can provide a cross-check or reason to make those adjustments (in line with stakeholder submissions)
- the efficiency target adopted by IPART is an annual 0.8 percent (based on an assumption of frontier shift based on long-term Australia-wide multi-factor productivity growth) (not referred to in submissions), and
- SA Water's consultant, CIE, pointed to research that, while having limitations could suggest a range of zero to 6 percent degree of inefficiency in SA Water's base year expenditure. Incenta noted a midpoint of the range could support a flat 1.5 percent (equivalent to a 0.6 percent annual compounding rate).

In the Commission's view:

- The target rate of efficiency should be set considering growth and real price effects (although the challenge is estimating the additional costs of growth that are not already captured in the additional expenditure projects proposed by SA Water – none of the submissions or consultant reports set out proposals or set out analysis on this matter).
- The evidence and supporting information put forward in regard to the position that continuing efficiencies may be challenging to achieve is not sufficiently compelling to justify a low target rate of efficiency.[588] Further, reports of recent low productivity growth should not necessarily drive the setting of benchmark targets.

Having regard to the submissions and advice described above, the Commission will:

- Apply an efficiency target only to base year expenditure (excluding fees and licenses) and to expenditure allowed for natural growth (real price effects for SAWRD24 are assessed as zero)
- Remove the adjustment for efficiency applied to real net labour costs in the base year expenditure (which was discussed in the section on base year expenditure)
- Apply an efficiency target of 2 percent flat (or 0.8 percent annual cumulative), which is broadly in line with IPART's determinations for water (for example, in 2020 for Sydney Water). This avoids concerns raised regarding comparisons to utilities in Victoria and is, arguably, in line with long-

[588] For instance, CIE supports research put forward by Stantec alongside SA Water's RBP, yet Stantec's research has limitations. Stantec stated four supporting points which, in their opinion, highlight that it is unrealistic to expect similar levels of efficiency as historically found by SA Water and that efficiency will be challenging for SA Water to find. Stantec utilised the declining difference between regulated entities operating expenditure proposals and regulated allowances for operating expenditure to, in their opinion, show that the opportunities for operating cost reductions and efficiencies are diminishing. This has limited causality between the observed information and forecast operating efficiencies. For example, this convergence could be explained by regulated entities becoming more experienced in putting forward cost proposals as the period of regulation increases. In addition, Stantec use typical residential bills as an indicator of operating expenditure efficiency; however, there are several cost elements that comprise a residential bill, and as such, many elements, for example, reduced capital expenditure or a lower rate of return, could also explain lowering residential bills over time rather than operating efficiencies. Stantec further claimed that SA Water's efficiencies have slowed after 10 years of regulation, which follows a pattern it claims is evident for Scottish Water. Stantec note, however, that despite Scottish Water's rate of efficiency slowing, Scottish Water still targets between 0.5 and 2 percent per annum.

term multi-factor productivity growth outcomes for the market sector (which are generally in the range of annual 0.5-0.8 percent, depending on the time period utilised).[589]

The information supplied by SA Water, which was produced by Stantec and KPMG, did not provide compelling evidence regarding the level of efficiency at SA Water. Both Incenta and Sapere highlighted the limitations in the KPMG research for which SA Water continued to cite in its submission to the draft determination as a useful measure of operating efficiencies.

Furthermore, SA Water's consultant, CIE, has suggested the possibility of a range from zero to 6 percent inefficiency in SA Water's operating expenditure.[590] This would suggest that the Commission's decision to apply 1.5 percent in the draft could be within this range on the basis of catch up, not to mention continuing efficiencies, which if included could justify a target efficiency rate higher than this.

Overall, the final position is to apply a flat efficiency of 2 percent per annum (annual cumulative rate of 0.8 percent[591]). The rate to be applied in the final position is higher than the rate specified in the draft determination (that is, 2 percent annual compared to 1.5 percent). As a result, the efficiency amount expected over SAWRD24 is, on an annual basis, $1.3 million higher than in the draft determination.

Table 10.22: Final application of efficiency for SAWRD24 ($Dec22, millions)

	Total	Water	Sewerage
Normalised base year (excluding section 6 Ministerial directions) ($m)	517.5	346.6	170.9
External fees and charges ($m)[592]	28.5	19.8	8.9
Adjusted base year expenditure including natural growth ($m)	490.2	327.5	162.5
Efficiency measure (constant, percent)	2%	2%	2%
Efficiency outcome ($m)	**9.8**[593]	**6.6**	**3.3**

[589] For example, see market sector multi-factor productivity growth as reported by the ABS (accessed on 27 May 2024) available at https://www.abs.gov.au/statistics/industry/industry-overview/estimates-industry-multifactor-productivity/latest-release, as well as multifactor productivity growth reported in Sapere Research Group, *Peer review of operating expenditure chapter in ESCOSA's Draft SA Water Regulatory Determination 2024*, pp. 28-29, and Independent Pricing and Regulatory Tribunal, *Review of prices for Sydney Water*, Final report, June 2020, pp. 213-220, available at https://www.ipart.nsw.gov.au/sites/default/files/documents/final-report-review-of-prices-for-sydney-water-june-2020_0.pdf.

[590] Centre for International Economics, pp. 1-25.

[591] The cumulative approach would result in the following total efficiency. A (Base year including natural growth – external fees) * (1+0.8%) + A * (1+0.8%)^2 + A * (1+0.8%)^3 + A * (1+0.8%)^4 = $39.06 million.

[592] The External fees and charges are lower than that which was proposed by SA Water. This is due to the section 6 Ministerial direction adjustments.

[593] May not add due to rounding.

The Commission notes that, while SA Water has claimed its proposed additional expenditure (step change expenditure) is net of efficiency, some of its business cases[594,595] suggested that the efficiency assessments applied to SA Water's proposed expenditure were of a nature relating to project scope – rather than proposing a forecast of efficiency expenditure for the SAWRD24 period. This could suggest, although not adopted as the Commission's final position, a case for including additional expenditure when deriving efficiency estimates (insofar as SA Water's proposals for net of efficiencies were not applied appropriately).

10.9 Final position

The Commission's final position is that the prudent and efficient benchmark operating expenditure amounts to be included in the calculation of the revenue caps are:

- $1,603 million ($Dec22) for water retail services, which is approximately 1 percent lower than the benchmark set in SAWRD20, and 2 percent lower than that proposed by SA Water, and
- $746 million ($Dec22) for sewerage retail services, which is approximately 20 percent higher than the benchmark set in SAWRD20 and is in line with that proposed by SA Water.

It is noted that the prudent and efficient benchmark operating expenditure amount for SAWRD24 is $2,348 ($Dec22) for direct control water and sewerage retail services, which is approximately 5 percent higher than that set in SAWRD20, but 2 percent lower than that proposed by SA Water. The total includes an annual base year (excluding section 6 Ministerial directions) of $517.5 million as well additional expenditure over the four years (including section 6 Ministerial directions) of $317.7 million, and a total efficiency target of $39.2 million.

Table 10.23: Commission final position ($Dec22)

	2024-25 ($m)	2025-26 ($m)	2026-27 ($m)	2027-28 ($m)	Total ($m)
Operating expenditure	**576.5**	**586.9**	**591.0**	**594.0**	**2348.4**
Operating expenditure – water	390.4	398.6	405.7	408.0	1602.8
Operating expenditure – sewerage	186.1	188.4	185.3	186.0	745.7

[594] SA Water stated that within each individual business case the efficiencies were detailed alongside producing a comprehensive spreadsheet collating the information. The Commission performed further analysis of both information sets. When assessing the business cases, the Commission notes that some business cases cited cost reductions that were more equivalent to a change in scope rather than efficiencies found over time, while other business cases stated that the cost efficiencies were expected to be absorbed by current base operating expenditure. Business case 1 is more scope change. Business cases 3 and 123 had descriptions that it would be absorbed.

[595] Within SA Water's total additional expenditure there were 86 total projects proposed. Of these 86 projects, there were only 21 that SA Water had applied efficiencies to. The efficiencies applied were often to smaller projects with total additional proposed expenditure for those 21 projects being 22 percent.

11 Capital expenditure

SAWRD24 Capital Expenditure

The Commission's final position is that the prudent and efficient benchmark net capital expenditure amounts to be included in the calculation of the revenue caps are as follows:

- $1,885 million ($Dec22) for **water** retail services, which is 49 percent higher than the benchmark set for SAWRD20 and 2 percent higher than the RBP proposal from SA Water, and
- $1,414 million ($Dec22) for **sewerage** retail services, which is 129 percent higher than the benchmark set for SAWRD20 and 45 percent higher than the RBP proposal from SA Water.

Of note, $1,387 million of gross capital expenditure has been issued in Ministerial section 6 directions for SAWRD24. The increased capital expenditure raises the risk of underspend or project cost overruns, and these risks are borne by consumers. Stakeholders have raised concerns regarding the expenditure issued in Ministerial section 6 directions and, accordingly, of the costs and risks that are to be borne by consumers.

The Commission plans to monitor activities during SAWRD24 and undertake detailed and ongoing ex-post reviews of expenditure and outcomes. In order to improve transparency of the regulated asset base (**RAB**), the Commission intends to publish materials to allow stakeholders to better review and consider the RAB as part of SAWRD28.

SAWRD20 Capital Expenditure

The Commission's final position is that the prudent and efficient benchmark net capital expenditure amounts to be included in the roll-forward of the RAB, to decide the opening RAB values for SAWRD24, are as follows:[596]

- $1,183 million ($Dec22) for **water** retail services, which is 8 percent lower than the RBP proposal from SA Water and
- $647 million ($Dec22) for **sewerage** retail services, which is 1 percent lower than the RBP proposal from SA Water.

11.1 Introduction

SA Water's capital expenditure is used to upgrade or replace existing assets or build new assets for the supply of water and sewerage retail services. Through the regulatory determination, the Commission decides the **prudent** and **efficient** benchmark net capital expenditure amounts to be added to the RAB, for the regulatory period ahead (SAWRD24) and the regulatory period ending (SAWRD20). The assessment of the former is decided on an ex-ante basis, while the assessment of the latter is decided on an ex-post basis.

Under the building blocks cost methodology, only the prudent and efficient capital expenditure added to the RAB is recovered over time through a return on assets and regulatory depreciation.

[596] Note that SA Water's actual capital expenditure for 2023-24 is not yet known. The Commission has reviewed SA Water's forecasts and has decided a prudent and efficient benchmark net capital expenditure amount for 2023-24 for direct control retail services.

As outlined in Chapters 3 and 10, and in Guidance Paper 3, expenditure on an activity will be considered prudent where there is a clear justification for that activity.[597] Decisions on whether expenditure is prudent have been informed by the Commission's consideration of whether the expenditure is driven by:

- a legislative or regulatory obligation with which SA Water must comply
- an expectation that the activity will deliver benefits to customers that outweigh the costs, and/or
- a clear expectation from customers that an outcome should be achieved, and that they are willing to pay for that outcome.

Expenditure is considered efficient where it is the lowest sustainable (or 'long-term') cost of achieving the intended outcome.[598]

Consistent with SAWRD20, and as previously outlined in Chapter 10, the relevant classes of capital expenditure under consideration are as follows: [599]

- External responsibilities: expenditure to meet safety, health, service or other legally binding or regulatory standards or obligations.[600]
- Sustaining services: expenditure to support the long-term viability of services and sustain delivery of reliable baseline services for existing customers.[601]
- Enabling growth: expenditure to support an expanded network to meet increasing demand, either within its current distribution area or as directed by the South Australian Government or allowed by legislation.[602]
- Improving services: expenditure to enhance service levels that do not fall into the categories listed above.[603]

This chapter outlines the Commission's assessment, positions and reasons in relation to the prudent and efficient benchmark net capital expenditure amounts for the period 1 July 2024 to 30 June 2028 (SAWRD24) and the prudent and efficient benchmark net capital expenditure amounts for the period 1 July 2020 to 30 June 2024 (SAWRD20).

11.2 Approach to the assessment of capital expenditure

The Commission's regulatory approach to capital expenditure is to allow SA Water, as the owner and operator of the water and sewerage assets, the flexibility to manage and prioritise its investment activities for the regulatory period ahead within a total capital expenditure benchmark amount. The Commission does not approve individual capital expenditure projects and/or programs.

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[597] Essential Services Commission of South Australia, *SA Water Regulatory Determination 2024: Guidance paper 3*, pp. 1-2.

[598] Ibid, pp. 1-2.

[599] Ibid, p. 9. In Guidance Paper 3, the Commission outlined that ICT-related expenditure should be categorised in SAWRD24 under one of the valid reasons for expenditure from the model above, rather than treated as a separate category as was the case in SAWRD20. This reflects the Commission's view that ICT-related expenditure is primarily an enabler of service delivery, improvement or growth.

[600] Expenditure to achieve compliance with these standards would be reasonable and appropriate. SA Water is not expected to exceed required standards unless this can be achieved at no added cost to customers. Essential Services Commission of South Australia, *SA Water Regulatory Determination 2024: Guidance paper 3*, pp. 4-9.

[601] Ibid, pp. 4-9.

[602] Ibid, pp. 4-9.

[603] Ibid, pp. 4-9.

The regulatory determination sets out an:

- ex-ante prudent and efficient capital expenditure benchmark amount for SAWRD24, and
- ex-post prudent and efficient capital expenditure benchmark amount for SAWRD20.

Only the prudent and efficient expenditure, as decided by the Commission, is added to the RAB on both an ex-post and ex-ante basis.

The approach to assessing prudent and efficient capital expenditure incorporates the potential for interventions by the economic regulator. For the regulatory period ahead (SAWRD24) and the regulatory period ending (SAWRD20), the Commission determines the prudent and efficient benchmark expenditure amounts added to the RAB. The potential for ex-post regulatory interventions (for example, not including imprudent and/or inefficient capital expenditure in the benchmark capital expenditure amount) can incentivise SA Water to engage in sound long-term asset management and make prudent and efficient capital expenditure decisions.[604]

As outlined in Chapters 9 and 10, the approach adopted by the Commission in assessing prudent and efficient expenditure is undertaken from an economic perspective, in order to give effect to the primary objective of protecting the long-term interests of consumers. The assessment involves methodologies that can help to mitigate the risks arising from information asymmetry (between the economic regulator and the regulated business) and set up expenditure benchmarks to incentivise efficiency.[605]

Given the monopoly retail services being provided and the existence of information asymmetry, a regulated business, such as SA Water, will have greater knowledge of all facets of its business, including the state of its capital assets and the prudent and efficient capital expenditure to sustain services, improve services, enable growth and meet external obligations, than the economic regulator. In light of this information asymmetry, there can be an incentive and ability for a regulated business, such as SA Water, to pass on inefficient costs to customers. Further, there can be an incentive and ability for a regulated business not to reveal full information about the prudent and efficient costs of its regulated activities and to overstate the extent of its capital expenditure.[606]

As explained in Chapter 10, it is well-accepted regulatory practice for an economic regulator, such as the Commission, to challenge, audit and/or otherwise test the information being provided by a regulated business in relation to its incurred capital expenditure and its proposed capital expenditure.[607] Furthermore, given the issues associated with information asymmetry, if a regulated business declines to supply requested information, or provides insufficient information to justify its proposed costs are prudent and efficient, an economic regulator may infer that the information it is querying cannot be justified as prudent and efficient by the regulated business (subject to the reasons for why information was not provided and the nature and circumstance of the information involved).

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[604] The process of an ex-post review is common in regulatory determinations. There are cases where capital expenditure has been determined to be imprudent and/or inefficient on an ex-post basis by an economic regulator. For example, see Independent Pricing and Regulatory Tribunal, *Review of prices for Sydney Water Corporation's water, sewerage, stormwater drainage and other services*, Final report, June 2012, pp. 71-74, available at https://www.ipart.nsw.gov.au/sites/default/files/documents/final_report_-_review_of_prices_for_sydney_water_corporations_water_sewerage_stormwater_drainage_and_other_services_-_june_2012.pdf, and WS Atkins International and Cardno, *Detailed Review of Sydney Water Corporation's Operating and Capital Expenditure*, Final report, November 2011, pp. 121-133, 154-156, available at https://www.ipart.nsw.gov.au/sites/default/files/documents/final_report_-_detailed_review_of_sydney_water_corporations_operating_and_capital_expenditure_-_ws_atkins_international_ltd_-_november_2011_-_website_doc.pdf.

[605] Joskow P, pp. 1227-1348, and Decker C, pp. 86-87.

[606] Joskow P, pp. 1285-1290, and Decker C, pp. 86-90.

[607] Joskow P, pp. 1288-1289, and Decker C, p. 86, pp. 104-106.

The Commission's assessment, positions and reasons on the prudent and efficient benchmark net capital expenditure amounts for SAWRD20 and SAWRD24 has involved:

- examining a representative sample of ex-ante and ex-post projects and programs alongside various decision-making and related capital expenditure documents
- analysing trends in capital expenditure, including SA Water's historical expenditure, and indicators of asset health and service standards
- conducting interviews and meetings with SA Water staff
- undertaking enquiries and analysis and seeking the opinions of third-party experts
- considering the broader economic context for SAWRD24 as well as SA Water's internal systems and processes and how these could impact on delivering capital expenditure on time and at forecast efficient cost, and
- considering submissions and customer engagement activities undertaken by SA Water.

In undertaking its assessment, the Commission engaged consultants, AtkinsRealis (formerly WS Atkins International) (**Atkins**)[608] and FTI Consulting (**FTI**),[609] to provide advice and recommendations. This included obtaining advice from Atkins in response to submissions to the draft determination.[610]

The assessment and decisions on the prudent and efficient benchmark net capital expenditure has been undertaken in the context of the following regulatory expectations:

- SA Water, as a manager of long-life water and sewerage assets, should have long-term strategies and plans, relating to asset management, delivery and financing, in place and given effect. Further, SA Water's capital expenditure decision-making should be ongoing and frequently reviewed, clearly linked to long-term goals, and a regulated entities' strategies should support them.[611]
- SA Water's proposed capital expenditure for SAWRD24 should be a point-in-time snapshot of its long-term plans, providing more granular short-term detail to explain and justify its proposed prudent and efficient level of capital expenditure and actions for the next regulatory period. Further, any variations in proposed capital expenditure between regulatory periods (for example, between SAWRD20 and SAWRD24) should be readily identifiable, transparent and justified with clear supporting evidence.
- Major capital expenditure projects can carry high inherent risks associated with estimating costs, complex contract arrangements, cost escalations and the timeliness of completion. It is important, and considered best practice, for SA Water to evaluate the expected costs and benefits for capital expenditure projects.[612] Where upward cost revisions or project scope changes, it is appropriate for SA Water to re-visit its business cases to assess how expected benefits compare to the revised costs and the impact on the project's viability.[613]

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608 AtkinsRealis, *Final Report - SA Water Capex Review 2024*, pp. 1-108. As noted in Chapter 9, the Commission engaged Atkins to review SA Water's actual capital expenditure for SAWRD20 and SA Water's proposed capital expenditure (excluding technology spending) for SAWRD24.

609 FTI Consulting, *Review of ICT capital expenditure for SA Water*, November 2023, pp. 1-30. As noted in Chapter 9, the Commission engaged FTI to undertake a high-level review of SA Water's proposed ICT capital expenditure for SAWRD24.

610 AtkinsRealis, *Supplementary Report - SA Water Capex Review*, pp. 1-33.

611 Wilson A, *Emerging issues in economic regulation of long-term infrastructure*, unpublished speech at Australian Energy Institute event, Adelaide, 7 June 2022.

612 Infrastructure SA's Project Assurance documentation, including base case templates including costs and benefits, are available on Infrastructure SA's website at https://www.infrastructure.sa.gov.au/resources.

613 South Australian Auditor-General's Department, p. 49.

- For some components of the forecast efficient and prudent costs of providing water and sewerage retail services for SAWRD24, such as operating expenditure and capital expenditure, there can be inter-relationships. For example, a trade-off could involve choosing between replacing an ageing asset and therefore requiring less maintenance expenditure, compared with undertaking a higher-level ongoing maintenance and repairs instead of replacing the asset. Where possible, the Commission has considered potential trade-offs between capital expenditure and operating expenditure when determining the lowest sustainable total efficient costs of direct control retail services for SAWRD24.
- As noted in Chapter 3, and as will be discussed later in the chapter, Ministerial directions under section 6 of the *Public Corporations Act 1993* (PC Act) have been issued in respect of SAWRD24.[614] In particular, the directions issued included capital expenditure relating to Tea Tree Gully Sustainable Sewers ($327 million) (nominal terms), Metropolitan Growth ($1,192 million) (nominal terms), Northern Adelaide Irrigation Scheme (NAIS) ($9 million) (nominal terms) and Kangaroo Island Desalination Plant ($16.3 million) (nominal terms).[615]

The remainder of Chapter 11 is separated into the following sections:

- the assessment, positions and reasons on ex-ante prudent and efficient benchmark net capital expenditure amounts for SAWRD24, and
- the assessment, positions and reasons on ex-post prudent and efficient benchmark net capital expenditure amounts for SAWRD20.

11.3 Ex-ante prudent and efficient capital expenditure for SAWRD24

This section outlines:

- a summary of SA Water's proposal for capital expenditure for SAWRD24 (section 11.3.1)
- a summary of the matters raised in consultation on that proposal (section 11.3.2)
- the Commission's analysis and positions outlined for the draft determination on the prudent and efficient benchmark net capital expenditure amounts for SAWRD24 (section 11.3.3 and 11.3.4)
- a summary of the matters raised in consultation on the draft determination (section 11.3.5)
- the Commission's further analysis (section 11.3.6), and
- the Commission's final position in respect of net capital expenditure for SAWRD24 (section 11.4).

11.3.1 SA Water's proposal

The following section provides a high-level summary of SA Water's proposal for capital expenditure as outlined in its Regulatory Business Proposal (RBP). The proposal can be viewed in more detail in the RBP.[616] The Commission reviewed SA Water's proposal and interpreted it to state capital expenditure in December 2022 dollars.

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[614] The Minister for Housing Infrastructure may issue directions to SA Water under section 6 of the PC Act. Those directions may specify on-going and new requirements that SA Water must deliver during a regulatory period, with associated cost-related requirements or specifications. This is discussed further in Chapters 3 and 4 and Appendix 2.

[615] Ministerial directions under section 6 of the PC Act can be found in the South Australian Government Gazette and are available via the South Australian Legislation website (refer: https://www.legislation.sa.gov.au/lz?path=/c/a/public%20corporations%20act%201993).

[616] SA Water, *Regulatory Business Plan 2024-28*,, pp. 154-206.

SA Water stated in the RBP that it has prioritised capital expenditure to address only high and extreme risks, to manage costs and to keep price increases as low as possible, while at the same time maintaining service standards.[617]

SA Water proposed $2,831 million ($Dec22) in capital expenditure inclusive of capital contributions (Figure 11.1).[618] The proposal was for capital expenditure that was $946 million higher (50 percent) than the prudent and efficient benchmark capital expenditure decided by the Commission for SAWRD20. Furthermore, the proposal was $1,358 million ($Dec22) (92 percent) more than the prudent and efficient capital expenditure decided by the Commission for SAWRD16. Across retail services, approximately two-thirds of SA Water's capital expenditure proposal was for water retail services and one-third is for sewerage retail services.

Of the $2,831 million of gross capital expenditure proposed by SA Water for SAWRD24, approximately $1,160 million (41 percent) was related to five major projects.[619] Those major projects are listed below in Table 11.1 and shown in Figure 11.2 below.

For the purposes of the RBP, SA Water stated its understanding that Ministerial directions under section 6 of the PC Act would be issued in respect of the Northern Metropolitan Growth and the TTG Sustainable Sewers major projects.[620]

Figure 11.1: SA Water's four-year capital expenditure proposal for SAWRD24 ($Dec22, million)[621]



Table 11.1: SA Water's major projects proposal for SAWRD24 as per its RBP ($Dec22) (rounded figures)

Major projects	Total four-year expenditure ($m)
Eyre Peninsula Desalination Augmentation	240
Mount Bold Dam Safety Upgrade	110
Metro Water Quality Improvement	160

[617] Ibid, p. 206.
[618] Ibid, pp. 154-206.
[619] Ibid, p. 8, 70, 168, 188, 197, 191-192.
[620] Ibid, p. 16.
[621] Note that the actual expenditure included in the chart for SAWRD20 is for 1 July 2020 to 30 June 2023. The chart for SAWRD20 includes SA Water's forecast expenditure for 1 July 2023 to 30 June 2024.

Major projects	Total four-year expenditure ($m)
Northern Metropolitan Growth	370
Tea Tree Gully Sustainable Sewers	280
Total	**1,160**

Figure 11.2: SA Water's proposed major projects and other capital expenditure as per its RBP ($Dec22, million)[622]

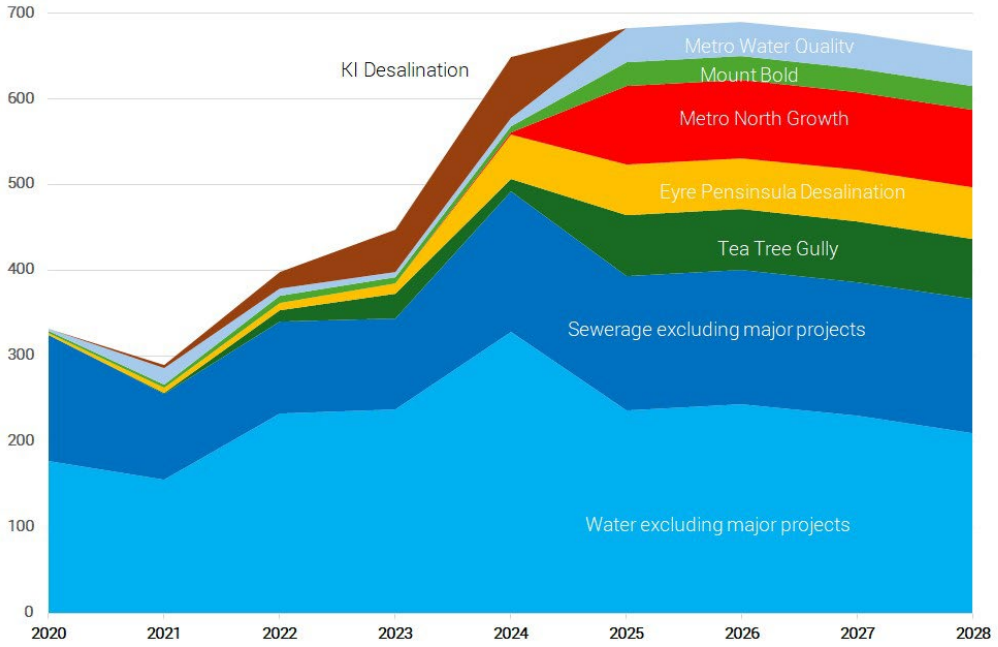


Table 11.2 outlines a summary of capital expenditure according to each of the relevant classes of capital expenditure (explained earlier in section 11.1).[623] SA Water's capital expenditure proposal had a focus on sustaining services, meeting external obligations, and addressing growth in core services.

Table 11.2: SA Water's gross capital expenditure by category, four-year expenditure in dollars and percentage of total

Category of expenditure	Proposal for SAWRD24 $m (Percentage of total)	SAWRD20 $m (Percentage of total)
Sustain services	$1,338 (47%)	$935 (51%)
External responsibilities	$751 (26%)	$493 (27%)
Enable growth	$624 (22%)	$191 (10%)
Improve services	$162 (5%)	$196 (12%)

[622] This figure is based on gross capital expenditure and excludes technology expenditure.
[623] The various classes of capital expenditure are also outlined in Chapter 10.

SA Water proposed to spend $1,338 million (47 percent) of capital expenditure to sustain services, $761 million (26 percent) to meet external obligations, $624 million (22 percent) to enable growth in core services, and $162 million (5 percent) to improve core services. By way of comparison, the amounts incurred in each category for SAWRD20, at the time of the draft determination, are also shown in Table 11.2. The comparison between SAWRD24 and SAWRD20, as shown in Figures 11.3 and 11.4, illustrated the proposed increase in expenditure on sustaining services, enabling growth in core services and meeting external obligations.[624]

Figure 11.3: SA Water's RD24 and RD20 capital expenditure by driver and percent of total

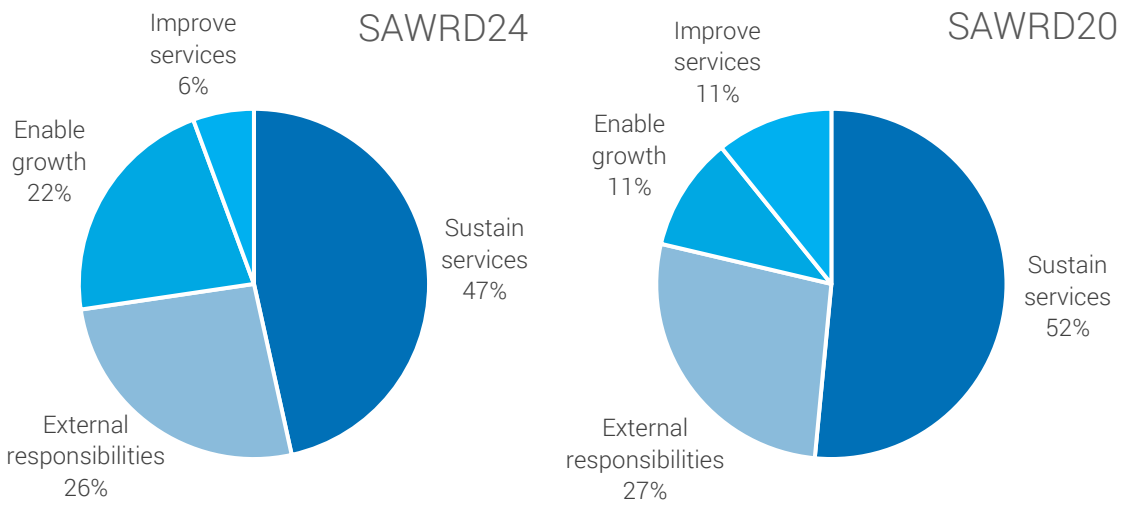
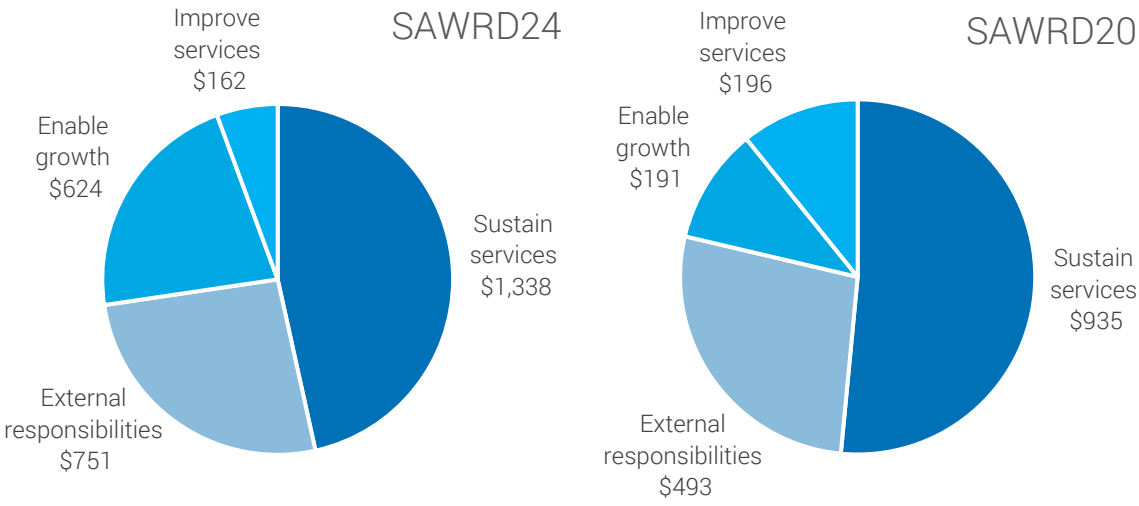


Figure 11.4. SA Water's RD24 and RD20 capital expenditure by driver in millions ($Dec'22)



11.3.2 Consultation on SA Water's proposal

In response to the RBP, stakeholders commented on a range of matters related to SA Water's capital expenditure proposal. Those matters included managing risk, Ministerial directions under section 6 of the PC Act, affordability, regional water supplies, urban growth and individual projects.

[624] SA Water, *Regulatory Business Plan 2024-28*, p. 205.

Submissions made by the Energy and Water Ombudsman South Australia (**EWOSA**), the South Australian Council of Social Service (**SACOSS**) and the Environmental Protection Agency (**EPA**) supported SA Water prioritising capital expenditure to manage risk, comply with external obligations and maintain service levels, while having regard to cost of living and affordability issues.[625]

Submissions from the Council of the Ageing South Australia (**COTA SA**), SACOSS and Uniting Communities recognised the trade-off between balancing affordable prices in the short-term with the risk of long-term sustainability and lower service levels and supported the prioritisation of affordability for SAWRD24.[626] In that context, the submissions noted concerns about the capacity of low-income households to pay higher prices for water and sewerage retail services.[627]

Two submissions raised concern over Ministerial directions under section 6 of the PC Act.[628] As stated by SACOSS:[629]

> *'SACOSS is supportive of the position adopted by both SA Water and the State Government to prioritise affordability, however, we question whether the stated aim to keep costs down is distorted by the expected section 6 Ministerial directions…'*

SACOSS further stated:

> *'…[t]he progression of increasing costs (particularly for large infrastructure projects) to be recovered from South Australia water consumers pursuant to Ministerial directions is extremely worrying. SACOSS has repeatedly raised concerns around the increased use of Ministerial directions, coupled with the practice of Treasurer's Pricing Orders requiring ESCOSA to include these expenditures in the revenue determination. We suggest that this practice compromises the integrity and independence of the regulatory process…'*

SACOSS added:

> *'[w]ith respect to the expected Ministerial directions flagged in RBP24, SACOSS is deeply concerned by the magnitude of the expenditures, and the impact on other discretionary initiatives supported through consumer engagement…'*

In terms of capital expenditure and regional water supplies, four submissions raised issues in relation to regional water aesthetics and supplies, as discussed below.[630]

The Flinders Ranges Council noted disappointment in SA Water's exclusion of proposed capital expenditure to improve regional water aesthetics in Quorn. The Council pointed to support for the capital expenditure on the basis of SA Water's stakeholder engagement activities and research, and it

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[625] For example, stakeholders, such as the Office of the Technical Regulator, Energy and Water Ombudsman South Australia, South Australian Council of Social Service and Uniting Communities, noted support to aspects of SA Water's RBP. See Office of the Technical Regulator, *Submission to Regulatory Business Plan,* p.1, Energy and Water Ombudsman South Australia, *Submission to Regulatory Business Plan,* pp. 1-2, South Australian Council of Social Service, *Submission to Regulatory Business Plan*, p.1, and Uniting Communities, *Submission to Regulatory Business Plan,* p. 5.

[626] For instance, South Australian Council of Social Service, *Submission to Regulatory Business Plan,* p. 12, 26.

[627] Council of the Ageing South Australia, p. 2, Uniting Communities, *Submission to Regulatory Business Plan*, p. 1, 5, and South Australian Council of Social Service, *Submission to Regulatory Business Plan,* pp. 1-2, 26.

[628] Council of the Ageing South Australia, pp. 2-3, and South Australian Council of Social Service, *Submission to Regulatory Business Plan*, pp. 7-15.

[629] South Australian Council of Social Service, *Submission to Regulatory Business Plan*, p. 7, 9. Also, Council of the Ageing South Australia, p. 2, expressed similar views.

[630] Council of the Ageing South Australia, pp. 1-3, Bradley J, p. 1, Flinders Ranges Council, pp. 1-4, and Tatiara District Council, *Submission to Regulatory Business Plan*, pp.1-4.

pointed to various reasons why, in its view, the Commission should specify capital expenditure for this particular initiative.[631] Similar concerns were also raised in a submission from an individual resident.[632]

The Council of the Ageing South Australia (COTA SA) supported analysis into capital expenditure in regional water quality more generally (noting that it understands the cost impact of investing in regional water quality must be carefully weighed against short- and long-term affordability).[633]

In terms of capital expenditure and water supplies more generally, Uniting Communities noted that the RBP did not reference SA Water's development of a 50-year plan for water supply requirements (that is, SA Water's Resilient Water Futures project).[634] EWOSA suggested that SA Water could be more transparent in relation to the nature and type of water sources to be used over the SAWRD24 period.[635]

Three submissions to the RBP commented about the provision for urban growth, particularly for greenfield development in northern Adelaide, and raised questions about who should contribute to the costs of growth.[636] The Property Council of Australia queried how, and to what extent, regulatory mechanisms currently operate to address growth in SA Water's network to accommodate for water and sewerage retail services for greenfield property developments.[637] The City of Playford and City of Salisbury raised concerns about the cost and lack of infrastructure to support demand growth.[638] Villawood Properties queried a perceived lack of information in the RBP relating to infrastructure and its funding sources to service demand growth at the urban fringe.[639] The Tatiara Council suggested that more capital expenditure is needed to accommodate growth and development in Bordertown.[640]

In response to the RBP, the EPA provided details on its engagement with and expectations of SA Water. It provided support and comment on various individual projects and programs but noted potential concern on the amount of capital expenditure focussed on sewerage retail services.[641] In particular, the EPA noted SA Water's sewerage assets are reaching the mid to upper-end of their expected useful life, and the use of ceramic pipe can be prone to tree intrusion and blockages. The EPA is supportive of the capital expenditure to sustain the level of SA Water's wastewater services.[642]

11.3.3 Analysis

The following analysis in section 11.3.3 was undertaken for the draft determination and informed the Commission's draft position in respect of the net capital expenditure for SAWRD24. Note that this section is followed by sections that outline matters raised in consultation on the draft determination and further analysis undertaken by the Commission. The section finishes by summarising the final position in relation to net capital expenditure for SAWRD24.

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631 Flinders Ranges Council, pp. 1-4.
632 Bradley J, p. 1.
633 Council of the Ageing South Australia, pp. 1-3.
634 Uniting Communities, *Submission to Regulatory Business Plan*, p. 3. For more information on SA Water's Resilient Water Futures project, see https://watertalks.sawater.com.au/resilient-water-futures.
635 Energy and Water Ombudsman South Australia, *Submission to Regulatory Business Plan,* p. 2.
636 Property Council of Australia, *Submission to Regulatory Business Plan,* pp. 1-4, Villawood Properties, p. 1, and City of Playford and City of Salisbury, pp. 1-2.
637 Property Council of Australia, *Submission to Regulatory Business Plan*, pp. 1-4.
638 City of Playford and City of Salisbury, pp. 1-2.
639 Villawood Properties, p. 1.
640 Tatiara District Council, *Submission to Regulatory Business Plan*, pp.1-4.
641 Environmental Protection Agency, *Submission to Regulatory Business Plan*, pp. 1-9.
642 Environmental Protection Agency, *Submission to Regulatory Business Plan*, p. 4. For example, Environmental Protection Agency (p. 4) states: *'[t]he EPA understands that SA Water is proposing to spend $21.5 million on network management for addressing odour, as well as $0.5 million in operational costs. The EPA supports the proposed odour management operation and capital program for wastewater networks within RBP 2024 as an approach that begins to address the worst odour cluster locations, as well as wider network odour issues.'*

That analysis of the prudent and efficient benchmark net capital expenditure amounts for SAWRD24 was informed by analysis of SA Water's historical capital expenditure, asset health and service standards, stakeholder submissions including SA Water's RBP, a representative sample of SA Water's proposed projects and programs and expected capital efficiency. In making its draft position, the Commission considered the risks and deliverability of capital expenditure for SAWRD24.

Alongside this, the Commission considered two specific issues that arose during the assessment, those being capital contributions and the treatment of cloud-based computing costs.

The Commission's analysis for the draft determination was structured as follows.

- Section 11.3.3.1 documented the sample of projects and programs reviewed by the Commission and its consultant, Atkins
- Section 11.3.3.2 compared SA Water's proposed capital expenditure against historical trends, considered available indicators of asset health and service standards, reviewed a sample of projects and programs, and considered capital efficiency factors for SAWRD24.
- Section 11.3.3.3 outlined the treatment of capital contributions and cloud-based computing costs for SAWRD24.
- Section 11.3.3.4 summarised a range of inferred estimates of prudent and efficient benchmark net capital expenditure amounts for SAWRD24.
- Section 11.3.3.5 considered risks and the deliverability of capital expenditure for SAWRD24.

11.3.3.1 Sample of projects and programs for SAWRD24

The Commission considered a sample of SA Water's projects and programs for SAWRD24. The draft analysis noted that the Commission does not approve individual capital expenditure projects and/or programs, so a sampling approach is used to inform the Commission of the prudence and efficiency of SA Water's overall approach to asset management.

In selecting the sample, the Commission considered the value of the projects and programs, as well as their service type and category. The sample of projects and programs was selected before starting interviews and information collection.[643] The sample for the ex-ante review accounted for approximately 38 percent of SA Water's SAWRD24 proposed gross (post-efficiency) capital expenditure. The sample included all technology projects and a sample of non-technology related projects and programs.[644]

The approach adopted by the Commission, having regard to advice from its consultants, FTI and Atkins, was to include services and categories of all types and sizes in the sample to be reviewed.

Nevertheless, while the Commission chose a random sample of small and mid-sized projects, the Commission had a focus on major projects for SAWRD24. For the purposes of the draft determination, the Commission chose *not* to review the two projects expected to be issued as Ministerial directions under section 6 of the PC Act (discussed in section 11.3.3.2), as such directions have, in the past, specified expenditure amounts that, under the statutory framework, must be adopted by the Commission within the revenue caps.

Table 11.3 documents the sample of ex-ante projects and/or programs that have been reviewed.

[643] The latter occurred through September 2023, October 2023 and November 2023.

[644] Table 11.3 shows the non-technology sample. However, technology projects were also reviewed. When combined, the total ex-ante sample accounted for approximately 38 percent of SA Water's proposed gross (post-efficiency) capital expenditure.

Table 11.3: Sample of projects for ex-ante review for SAWRD24

Project name	Service type	Category	$m
Water Reticulation Management Reliability	Water	Sustain services	146
Eyre Peninsula Desalination Augmentation	Water	Sustain services	238
Wastewater Treatment Plant RWTP Reliability	Sewerage	Sustain services	58
Adelaide Wastewater Trunk Main Renewal	Sewerage	Sustain services	35
Mount Bold Dam Safety Upgrade	Water	External obligations	110
Milicent EIP	Sewerage	External obligations	49
Summit System Growth	Water	Enable growth	48
Bolivar Wastewater Network	Sewerage	Enable growth	68
Metro Water Quality Improvement (SAWRD20 continuation)	Water	Improve services	162

11.3.3.2 Assessment of historic expenditure, project samples and capital efficiency

The Commission reviewed SA Water's past expenditure according to classes of capital expenditure (sustaining core services, enabling growth in core services, and external obligations and improving core services) in conjunction with reviewing a sample of projects and programs for SAWRD24. This allowed the Commission to consider whether SA Water had been able to make the case for any increases above current expenditure levels.

Sustaining core services expenditure

In the Commission's assessment for the draft determination, the bulk of SA Water's proposed sustaining services capital expenditure for water and sewerage retail services was comparable with earlier expenditures on this category over SAWRD16 and SAWRD20 (excluding major projects such as the Eyre Peninsula Desalination Plant and the Morgan to Whyalla Pipeline) (Figure 11.5).

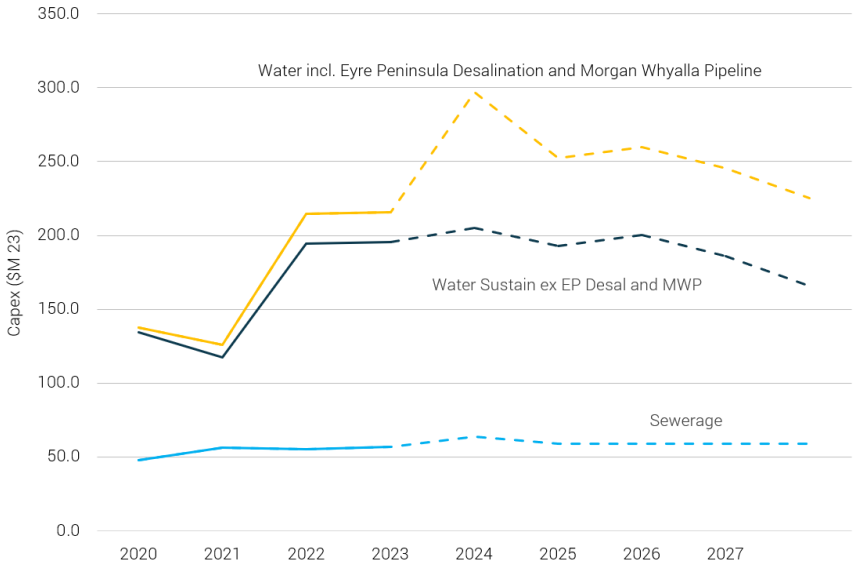
Indicators of asset health performance, including water pipe failures, sewer breaks, and breakdowns and corrective maintenance work orders, did not suggest any significant deterioration (Figure 11.6).[645] In addition, as discussed earlier in Chapter 6, SA Water was maintaining its average level of service to customers.

Together, given the indicators of asset health and service performance, and having regard to SA Water's proposal of sustaining services expenditure, which was in line with previous levels of expenditure (excluding major projects), there was reason for capital expenditure levels to be maintained for SAWRD24 to support sustaining core services. Consistent with this, for the draft determination the Commission considered that submissions from the Office of the Technical Regulator, EWOSA and the EPA supported SA Water maintaining capital expenditure levels to manage risk and meet service levels.[646]

[645] AtkinsRealis, *Final Report - SA Water Capex Review 2024*, pp. 55-69.

[646] Office of the Technical Regulator, *Submission to Regulatory Business Plan*, p.1, Energy and Water Ombudsman South Australia, *Submission to Regulatory Business Plan*, pp. 1-4, and Environmental Protection Agency, *Submission to Regulatory Business Plan*, pp. 1-9.

Figure 11.5: Sustaining core services capital expenditure excluding major projects ($Dec22)[647]



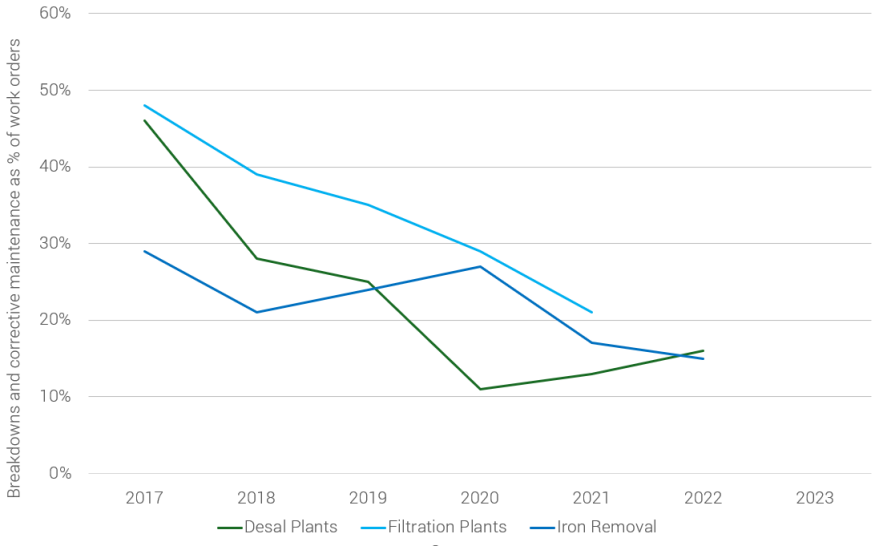
As can be seen in Figure 11.5 above, much of the increase in capital expenditure in sustaining services relates to the Eyre Peninsula Desalination Plant. By way of background, the Eyre Peninsula Desalination Plant was a key investment initiative submitted by SA Water in SAWRD20.[648] The project is to construct and run a desalination plant at Billy Lights Point to address the water supply security issues that exist on the Eyre Peninsula while protecting the natural resources in the area.[649] As noted in Chapter 10, the Eyre Peninsula Desalination Plant was considered prudent and efficient for SAWRD20,[650] but there has been large increases in costs since SAWRD20 on the basis of major design changes, processes involved in site selection and investigations, and the cost of developing the project in a regional and marine area. The project expenditure has increased from $98 million in SAWRD20 to $316 million for SAWRD24.

In its report prepared for the Commission, Atkins commented on specific projects including the following.

- In Atkins' opinion, the capital expenditure on the Eyre Peninsula Desalination Plant was prudent and the amount of capital expenditure was efficient (although Atkins recommended that the total proposed expenditure was inefficient because the total proposed by SA Water included an allowance of approximately $38 million as a form of contingency for unexpected costs). The Commission observed for the draft determination that the project expenditure for the Eyre Peninsula Desalination Plant should not include $38 million as a form of contingency for unexpected costs.[651] The Commission expressed that, it would not be in consumers' long-term interests for them to bear the cost of mitigating risks which SA Water, as a manager of long-term assets, should be able to manage.[652]

[647] AtkinsRealis, *Final Report - SA Water Capex Review 2024*, pp. 61-68.
[648] Essential Services Commission of South Australia, *SA Water Regulatory Determination 2020*, pp. 148-150.
[649] SA Water, *Regulatory Business Plan 2024-28*, p. 70, 168, 174.
[650] Ibid, p. 70, 168, 174.
[651] A project contingency of approximately $15 million, which was included in the business case documentation, was based on an estimate of median risk. AtkinsRealis, *Final Report - SA Water Capex Review 2024,* pp. 34-36.
[652] AtkinsRealis, *Final Report - SA Water Capex Review 2024*, pp. 34-36.

Figure 11.6: Asset health performance, breakdowns and corrective maintenance as a percentage of work orders – water facility maintenance[653]



- In Atkins' opinion, the Morgan to Whyalla pipeline, which is discussed further below, and was an investment initiative in SAWRD20,[654] will continue from SAWRD20 through into SAWRD24, but will continue to be delivered only gradually due to the need for the re-appraisal of options to overcome environmental challenges.[655] Accordingly, Atkins reported that it expects that approximately $36 million from SA Water's current forecasts for SAWRD20 for this project should be included in the SAWRD24 capital expenditure profile.[656]
- In Atkins' opinion, indicators of corrective work orders and breakdowns at desalination plants have seen a slightly increasing trend over the past two years. Acknowledging that membrane replacement is a significant and periodic activity, Atkins reported that it supported SA Water's proposed increase in Adelaide Desalination Plant membrane expenditure.[657]

External obligations and improving services[658]

SA Water's proposal for capital expenditure on external obligations and improving core services for SAWRD24 was largely driven by proposals for two major projects: the Metro Water Quality Improvement project ($162 million) and the Mount Bold Dam Safety Upgrade ($110 million), both of which the Commission reviewed as part of sampling.

By way of background, the Mount Bold Safety Upgrade was a key investment initiative (of $87 million) submitted by SA Water in SAWRD20 with a further $216 million foreshadowed for SAWRD24.[659] The project was for safety upgrades to the Mount Bold Reservoir to address the risks of failure posed by flood conditions and earthquakes, in line with the requirements of the Australian National Committee on Large Dams (ANCOLD) guidelines.[660]

[653] Ibid, pp. 65-66.
[654] Essential Services Commission of South Australia, *SA Water Regulatory Determination 2020*, pp 163-164.
[655] Species of mallee birds were declared as endangered in December 2021.
[656] AtkinsRealis, *Final Report - SA Water Capex Review 2024,* pp. 50-102.
[657] Ibid, pp. 50-102.
[658] For the purposes of this analysis for the draft determination, classes of capital expenditure have been grouped together to account for definitional changes in projects over time.
[659] SA Water, *Regulatory Business Plan 2024-28*, p. 148, 150-152. Also, see AtkinsRealis, *Final Report - SA Water Capex Review 2024,* pp. 87-88.
[660] Ibid, pp. 150-152.

The delivery of the Mount Bold Dam Safety Upgrade in SAWRD20 was affected by unanticipated complexities due to technical issues. Currently, despite various iterations of modelling and analysis, the project options have been (and continue to be) scoped. Accordingly, the Commission's assessment for the draft determination was that there was still more planning and project optioneering to be progressed before the project would be close to the construction phase.[661] Further, given that SA Water still has planning and optioneering to be completed,[662] and the complexities of the project are high (as evidenced by the delays and the need for re-appraisal during SAWRD20), the Commission assessed for the draft determination that a prudent and efficient level of capital expenditure would allow for only project development expenditure in SAWRD24. If the project proceeds faster than expected, SA Water may (under the regulatory framework) recoup the prudent and efficient construction costs as part of a future ex-post review.

The other major project for this class of cost category was for the Metro Water Quality Improvement project. During the SAWRD20 period, SA Water proposed to spend approximately $122 million on switching Metropolitan Adelaide from chlorine to chloramine to reduce health risks and improve aesthetics, and on the addition of ozone disinfection and biological activated carbon at the Happy Valley water treatment plant.[663] In SAWRD20, the Commission assessed that $81 million was a prudent and efficient capital expenditure benchmark amount.[664] However, at the time of the draft determination for SAWRD24, SA Water reported that only $21 million had been spent on the program during the SAWRD20 period, of which at least $7 million was SAWRD16 carryover spend.[665]

Since SAWRD20, SA Water has re-considered its approach to the project. It is now proposing to adopt ozone disinfection and biological activated carbon at the Happy Valley and Barossa water treatment plants.

In the Commission's assessment for the draft determination, it considered that it would be prudent to allow for the installation of the modern treatment technology (ozone disinfection and biological activated carbon) at one, rather than two, water treatment plants. Given that this is a new technology, and there is potential for unanticipated complexities and challenges, including disruptions from construction on existing assets, the Commission assessed for the draft that prudent and efficient capital expenditure would be to trial the technology on the Barossa water treatment plant. [666] This would require expenditure to be approximately $69 million (out of a proposed project budget of approximately $162 million).[667]

Another major project that was part of the external obligations and improving services classification is the TTG Sustainable Sewers program. At the time of publishing this draft determination, no Ministerial directions under section 6 of the PC Act had been issued in respect of SAWRD24.

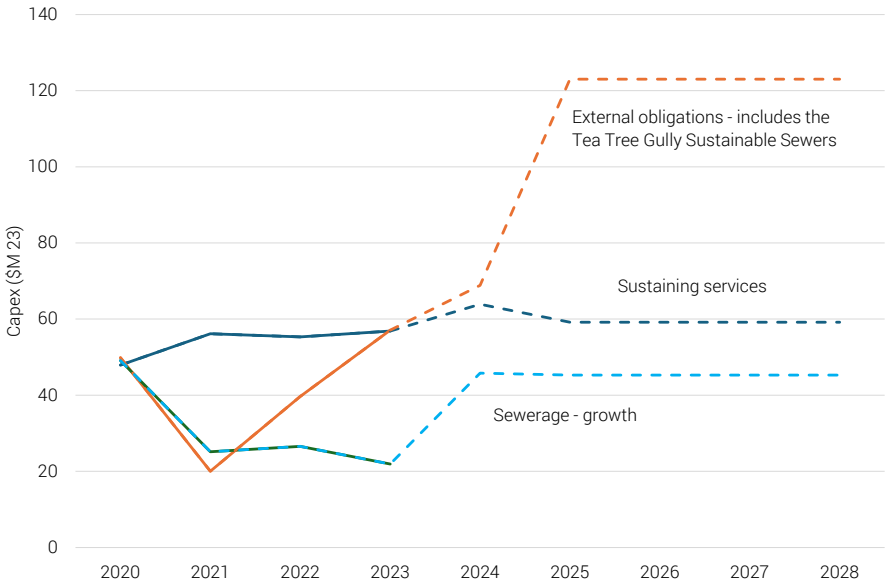
For context, and as noted in Chapter 10, during SAWRD20, SA Water began retailing sewerage services to customers in the TTG area, which had previously been serviced by the City of Tea Tree Gully. This included the management, operation and maintenance of the legacy sewerage system while a replacement system is constructed. SA Water will continue to transition all properties connected to the legacy Community Wastewater Management Scheme (CWMS) to a modern sewer system. This process started in 2021-22 and will continue through SAWRD24 and into the first half of SAWRD28 on SA Water's current estimate. In total, there were approximately 4,700 properties that required

[661] Atkins has recommended re-profiling expenditure on the Mount Bold Safety Upgrade on the basis of past technical complexities of the project and given that SA Water still has planning and optioneering to be completed. AtkinsRealis, *Final Report - SA Water Capex Review 2024,* pp. 87-88, 95-96.
[662] Ibid, pp. 78-85.
[663] Ibid, pp. 86-87.
[664] Essential Services Commission of South Australia, *SA Water Regulatory Determination 2020*, pp. 172-174.
[665] AtkinsRealis, *Final Report - SA Water Capex Review 2024,* pp. 86-87.
[666] Ibid, pp. 78-85.
[667] Ibid, pp. 78-85.

transitioning at the beginning on the project. Currently, there remain approximately 4,150 properties that remain unconverted with approximately 3,000 of these scheduled to occur within SAWRD24. SA Water stated that it required $284 million of capital expenditure for SAWRD24 to continue works that will convert properties to SA Water's sewer standard and to decommission the existing CWMS network, with this activity projected to be completed in the early part of SAWRD28.[668]

Outside of the projects discussed above, the Commission did not observe evidence indicating inefficient or imprudent expenditure proposed by SA Water.[669] When looking at historical expenditures, outside of the Mount Bold Dam Safety Upgrade and the Metro Water Quality project, there was reason for capital expenditure levels to be maintained for SAWRD24 to support external obligations and improve services for SAWRD24. Figure 11.7 presented the expenditure in SAWRD20 on sustaining services, enabling growth and external obligations for sewerage, relative to SA Water's proposed expenditure for SAWRD24.

Figure 11.7: Sewerage capital expenditure proposed by SA Water, by category, sustaining, enabling growth and external obligations, against SAWRD20 outcomes[670]



Enabling growth in services

In the Commission's assessment for the draft determination, SA Water's proposed capital expenditure for SAWRD24 was in line with historical expenditures in this area (when excluding the amounts proposed for the Northern Metropolitan Growth project, and the two network growth projects proposed for Bolivar and Glenelg) (Figure 11.8).

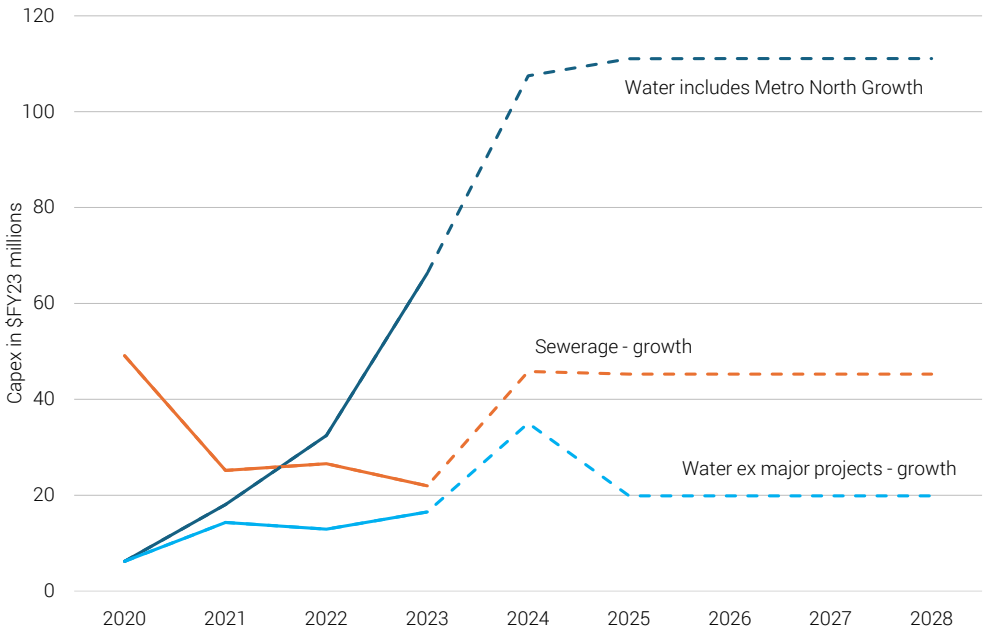
Figure 11.8 displays the size of the Northern Metropolitan Growth project compared to historical expenditure on enabling growth. SA Water proposed $365 million for this project.[671] SA Water stated that growth within the metropolitan north supply zone was occurring at a rate greater than forecast. SA Water proposed this investment to maintain services to existing customers while also meeting new

[668] SA Water, *Regulatory Business Plan 2024-28*, pp. 191-192.
[669] In Atkins' assessment, SA Water's proposal for increased capital expenditure to implement environmental improvement programs was prudent and efficient for the Millicent project. AtkinsRealis, *Final Report - SA Water Capex Review 2024*, pp. 82-85.
[670] Estimates based on Commission's analysis of project-level information.
[671] The project involves duplication of approximately 37 kilometres of water mains, installation of approximately 12 kilometres of new water mains, replacement of approximately 23 kilometres of water mains, new tanks, two new pump stations, an upgrade of two pump stations, and new hydraulically operated control valves at three tank sites. SA Water, *Regulatory Business Plan 2024-28*, p. 198.

growth in the area. In its RBP, SA Water noted that this project was expected to be a Ministerial direction under section 6 of the PC Act.[672] However, at the time of publishing the draft determination, no Ministerial directions under section 6 of the PC Act had been issued in respect of SAWRD24.

In terms of sewerage-related capital expenditure projects, based on a review of business cases and related information, and having regard to the advice from Atkins, the Commission assessed that the two network growth projects for Bolivar and Glenelg were still in their early stages of planning.[673] Accordingly, the Commission assessed that the proposed capital expenditure would not be prudent and efficient. Rather, an amount of capital expenditure that would be prudent and efficient would be lower and would involve spending capital expenditure only once solutions have been more fully developed, and demand was better understood.[674]

Figure 11.8: Growth expenditure, according to water and sewerage[675]



ICT expenditure for SAWRD24

While ICT-related expenditure was not a separate category, the Commission considered SA Water's proposed ICT capital expenditure for SAWRD24 separately.[676] The Commission reviewed business cases and related documentation, interviewed staff from SA Water, and sought advice from FTI.

In FTI's opinion, SA Water's overall proposed ICT capital expenditure for SAWRD24, which was for approximately $170 million for SAWRD24 and included two sizeable projects, was consistent with a prudent service provider acting efficiently. In its view, the overall proposed expenditure on ICT for SAWRD24 was justified and was capable of being delivered by SA Water during the period.[677] In terms of sizeable projects, while FTI assessed that the bill modernisation project should proceed, it suggested that SA Water should maintain a close watch over the project's delivery, given the project was assessed to be complex and only in the planning and preparation stages.[678]

672 SA Water, Regulatory Business Plan 2024-28, p. 198.
673 AtkinsRealis, *Final Report - SA Water Capex Review 2024*, pp. 80-84.
674 Ibid, pp. 80-84.
675 Estimates based on Commission's analysis of project-level information.
676 FTI Consulting, *Review of ICT capital expenditure for SA Water*, pp. 1-33.
677 Ibid, p. 33.
678 Ibid, pp. 18-19.

The Commission has given regard to FTI's advice and recommendations when considering SA Water's capital expenditure program as whole.

Capital efficiency for SAWRD24

The Commission sought advice from Atkins about SA Water's overall capital program and any potential efficiencies going forward. The Commission notes the following recommendations from Atkins for catch-up efficiency and continuing efficiency for SA Water for the SAWRD24 period.

In Atkins' opinion, there were potential improvements and significant efficiencies that SA Water could make, to move them toward the efficient frontier for regulated businesses delivering capital programs. This included more robust early project scoping and planning, optioneering and decision-making, stronger business case development, and greater use of value engineering throughout project and program development. Atkins has recommended around a $111 million of efficiency-savings (of which $86 million is catch up efficiency and $25 million is ongoing efficiencies).[679]

The Commission has given regard to Atkins' recommendations on capital efficiency when considering SA Water's capital expenditure program as whole.

Inferred estimate of *gross* prudent and efficient capital expenditure for SAWRD24

Overall, for the draft determination, the Commission assessment of capital expenditure in the previous sections, which includes capital efficiency of $111 million and was set based on recent expenditure outcomes across most classes of cost categories, could infer an estimate of prudent and efficient benchmark net capital expenditure of $1,937 million for SAWRD24 ($Dec22).[680] Note this inferred estimate did not exclude capital contributions (discussed below). Further, this inferred estimate did not include Ministerial directions under section 6 of the PC Act.

A range of inferred estimates of prudent and efficient benchmark net capital expenditure were discussed.

11.3.3.3 Capital contributions and the treatment of cloud-computing costs

Cash contributions

Cash contributions are netted off the gross amount of prudent and efficient benchmark capital expenditure for SAWRD24. Contributions come from developers and those seeking extensions and augmentations to SA Water's water or sewerage network.

SA Water proposed $10 million of cash contributions for SAWRD24,[681] yet in SAWRD20 there were more than $10 million in contributions annually for water and sewerage retail services as a whole.[682]

For the draft determination, the Commission's assessment of SA Water's cash contribution proposal was that it was inefficient for the purposes of SAWRD24.

The Commission, for the purpose of the draft determination, estimated capital contributions of approximately $57 million for SAWRD24. This was broadly in line with SAWRD20. Further, given the growth schemes and programs planned by SA Water for SAWRD24, the Commission noted in the draft determination that it was reasonable to consider that cash contributions would be earned over the period and these contributions would likely be in line with recent experience.

[679] AtkinsRealis, *Final Report - SA Water Capex Review 2024,* pp. 92-98.
[680] Ibid, pp. 96-97.
[681] SA Water, *Regulatory Business Plan 2024-28*, p. 205.
[682] AtkinsRealis, *Final Report - SA Water Capex Review 2024,* p. 95.

SA Water advised the Commission that it would re-submit estimated capital contributions as part of its submission to the draft determination. It is expected that SA Water would submit its best forecast of the efficient contributions to be recovered by SA Water over the SAWRD24 period, taking into account capital expenditure plans, expected growth and the current excluded retail services.[683]

Cloud computing

SA Water proposed an accounting adjustment for the capitalisation of configuration and customisation cloud-based computing expenditure. While the current accounting standard is to treat these costs as businesses running software as a service (that is, treat them as operating expenditure),[684] SA Water proposed the capitalisation of these costs.

In principle, the Commission's starting position, as expressed in the draft determination, was that, where control of the cloud-based technology rests with SA Water (for example, it has control over installing and running the cloud-based software) then it would be proper to capitalise cloud-based costs. At the same time, where control of the cloud-based technology rests with the vendor (for example, when the cloud vendor controls the installation and ongoing running costs) then it would be proper that cloud-based costs be treated as operating expenditure.

For the draft determination, the Commission noted there does not appear to be a strong consensus position about the regulatory treatment of cloud-based computing costs in Australia,[685] and that no submissions had raised concerns with SA Water's proposal.

For the purposes of this draft determination, the Commission considered that it was prudent and efficient to capitalise cloud-based costs for SAWRD24. However, the Commission outlined that it would expect that for SAWRD28 SA Water's proposal would align its regulatory treatment of cloud-computing costs with accounting standards.

11.3.3.4 Inferred estimates of prudent and efficient net capital expenditure for SAWRD24

For the draft determination, the Commission considered a range of information, including recommendations from FTI and Atkins, SA Water's historical expenditure, indicators of asset health and service standards, stakeholder submissions including SA Water's RBP, a representative sample of SA Water's proposed projects and programs, expected capital contributions, and expected capital efficiency. Taken together, that information inferred a range of estimates for the draft that informed the Commission's assessment of the total four-year prudent and efficient benchmark net capital expenditure amounts for SAWRD24.

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683 Excluded retail services, including property developer contributions, are discussed in Chapter 8.

684 In April 2021, international accounting standards changed, with the International Financial Reporting Standards Interpretations Committee issuing an agenda decision on the configuration or customisation costs for cloud-based technologies. The accounting standard is to treat these costs (known as customisation and configuration costs) as businesses running software as a service.

685 For example, the Essential Services Commission of Victoria recently made a draft decision for Yarra Valley Water in which $5.2 million of cloud-based computing costs were treated as an operating expense, while at the same time showing that it would consider treating cloud-based computing transition costs as a capital expense. Essential Services Commission of Victoria, *Yarra Valley Water Draft Decision*, December 2022, p. 22, available at https://www.esc.vic.gov.au/sites/default/files/documents/C-22-38208%20-%20DDP%20-%20Yarra%20Valley%20Water%20draft%20decision%202023%20water%20price%20review%20December%202022.PDF. FTI Consulting, *GWMWater: Review of expenditure forecasts*, February 2023, p. 17, available at https://www.esc.vic.gov.au/sites/default/files/documents/GWM%20Water%20Review%20of%20Expenditure%20Forecasts%20FINAL%20REPORT.pdf. In a recent draft decision, the AER treated $12.9 million of ElectraNet's cloud-based computing migration costs as capital expenses. Australian Energy Regulator, *Draft decision – ElectraNet transmission determination 2023–28*, September 2022, available from https://www.aer.gov.au/system/files/AER%20-%20ElectraNet%202023-28%20-%20Draft%20Decision%20-%20Overview%20-%20September%202022%20-%20PUBLIC_0.pdf.

A range of inferred estimates were presented.[686]

- An assessment of capital expenditure that included Commission estimates for capital contributions and capital efficiency factors and was set based on recent outcomes inferred an estimate of prudent and efficient benchmark net capital expenditure of $1,880 million for SAWRD24 ($Dec22).[687]
- An assessment of capital expenditure that included Commission estimates for capital contributions and capital efficiency factors, was set based on recent outcomes and also, importantly, included expected Ministerial directions under section 6 of the PC Act, inferred an estimate of prudent and efficient benchmark net capital expenditure of $2,529 million for SAWRD24 ($Dec22).[688]
- An assessment of capital expenditure that utilises SA Water's capital expenditure proposal in the RBP (which includes expected Ministerial directions under section 6 of the PC Act), and applies a project slippage assumption of 80 percent, inferred an estimate of prudent and efficient benchmark net capital expenditure of $2,265 million for SAWRD24 ($Dec22).[689] Note that the project slippage assumption was the same used by credit rating agency, Standard & Poor's, for South Australian Government infrastructure projects.[690] Relatedly, an assessment that applies a project slippage assumption of 88 percent, based on a finding from the Auditor-General, where, on average, over the past five years actual capital expenditure has been 12 percent less than what was budgeted, inferred an estimate of prudent and efficient benchmark net capital expenditure of $2,491 million for SAWRD24 ($Dec22).[691]

11.3.3.5 Deliverability of the capital program

The risks surrounding capital program deliverability (that is, the risk of under or overspend on capital) is, in effect, part of the typical forecast risk involved in setting out a four-year prudent and efficient benchmark expenditure amount: the regulator must have regard to the degree of forecast risk involved and who is best able to manage that risk (being consumers or the regulated business).

For SAWRD24, the Commission outlined in the draft determination that the issue of capital program deliverability was relevant for three main reasons.

First, while SA Water proposed a large capital program for SAWRD24, it had experienced challenges delivering on a much-lower expenditure benchmark amount set out by the Commission for SAWRD20. For example, SA Water's net capital expenditure in SAWRD20 was estimated to be approximately 40 percent (or more than one billion dollars) below its proposal for SAWRD24. In Atkins' opinion, having reviewed SA Water's business cases and related information, SA Water under-scoped some projects and failed to appreciate the risks and complexity of others (for example, locational and technical

686 Atkins has presented more capital expenditure amounts, included as part of its sensitivity analysis (see AtkinsRealis, *Final Report - SA Water Capex Review 2024,* p. 98-102). Scenarios produced by Atkins, once adjusted for the Commission's estimates of capital contributions, are as follows: $1,801 million ($Dec22) (low case), $2,252 million ($Dec22) (low case), $2,529 million ($Dec22) (medium case) and $2,774 million ($Dec22) (high case). Atkins' low and medium estimates of capital expenditure are in line with the range of inferred estimates produced by the Commission.

687 Calculated as $1,937 million minus $57 million.

688 Calculated as $2,586 million minus $57 million.

689 Estimated as simply $2,831 million multiplied by 80 percent.

690 As stated by the Auditor-General: 'Standard & Poor's notes that market capacity constraints will make it difficult for the State [South Australian Government] to spend the full amount budgeted and assumes in its credit opinion report that the State will only spend 80% of its capital program each year.' South Australian Auditor-General's Department, p. 45.

691 South Australian Auditor-General's Department, p. 45. Estimated as simply $2,831 million multiplied by 88 percent.

issues).[692] This situation raised questions regarding whether or not SA Water's internal processes and systems had improved sufficiently since SAWRD20, for SA Water to be capable of delivering, at a prudent and efficient cost, the large gross capital program of $2,831 million ($Dec22) it had proposed.

Second, while the Commission assessed an inferred estimate of a four-year total prudent and efficient benchmark net capital expenditure amount of $1,880 million for SAWRD24 ($Dec22), which was comparable to the outcomes delivered in SAWRD20, the potential inclusion of capital expenditure for the Ministerial directions under section 6 of the PC Act inferred an estimate of a four-year benchmark net capital expenditure amount of $2,529 million for SAWRD24 ($Dec22). Such an amount would be a 34 percent increase on the benchmark amount determined in SAWRD20. This amount of expenditure may be challenging to deliver on, not least given economic conditions in South Australia had been relatively strong (as explained in Chapter 3),[693] with labour market indicators and surveys suggesting there is limited available spare capacity.[694] The Auditor-General has highlighted the risks of a 'heated construction' market.[695] As a whole, this suggested risks of construction cost increases and project slippage due to difficulties securing labour and materials.

Third, SA Water's capital expenditure proposal suggested timing and price risk relating to the amount of project capital expenditure in the initial stages of planning and development. SA Water reported in the RBP a large share (approximately 84 percent) of the total proposed capital expenditure for SAWRD24 had a target cost accuracy of -20 percent to +30 percent or -30 percent to +50 percent (Table 11.4 and Figure 11.9). The wide band of accuracy was not necessarily unexpected in ex-ante economic regulation: it is inevitable that, at the time of an RBP, projects will be at various stages of development, based on the needs emerging from the regulated business's long-term plans. It would not be expected that each project or program would be at a cost category of, say, Class 3 and 4. Nevertheless, the high share of capital expenditure projects in Class 1 and 2 cost categories highlighted timing and price risk associated with SA Water's capital expenditure proposals.

Table 11.4: SA Water's cost estimate classification as per its RBP[696]

Project stage	Project type	Cost estimate target accuracy
Class 1	Planning / budgeting	-30% to +50%
Class 2	Feasibility or options analysis	-20% to +30%
Class 3	Business case / financial approval	-10% to +15%
Class 4	Procurement stage	-5% to +5%

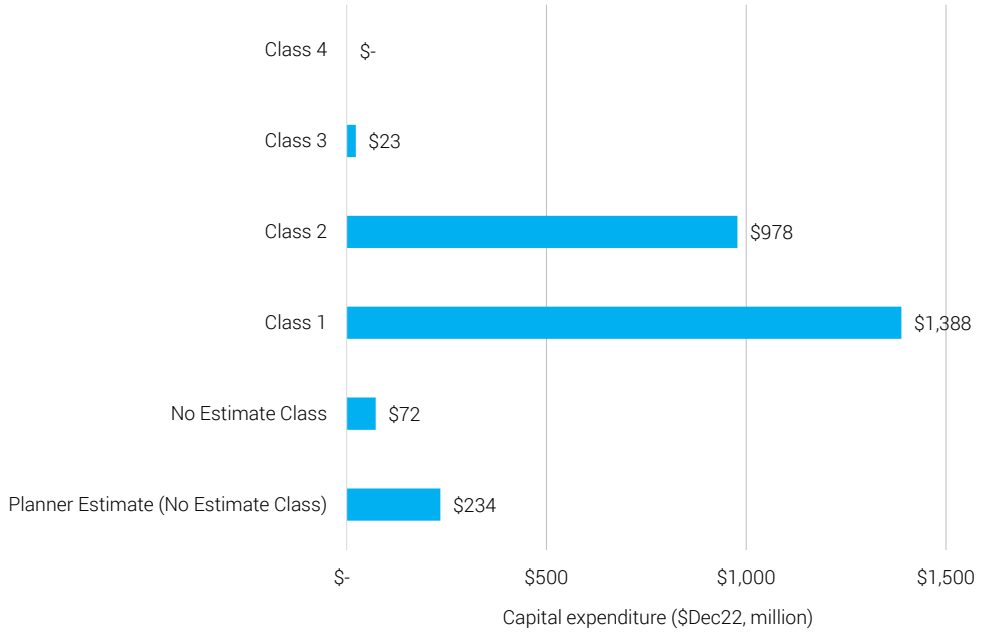
The Commission outlined in the draft determination that the regulatory framework applying to SA Water provides a means for balancing the risks between consumers and the regulated business. The potential for ex-post regulatory interventions by the Commission (for example, by not incorporating imprudent and/or inefficient capital expenditure in the RAB on an ex-post basis) can reduce the incentive for SA Water to pay above-market rates for labour and materials when delivering capital projects and programs. Furthermore, in the Commission's view, the risk of project slippage (for example, underspend) was considered in the assessment of the inferred estimate of a four-year total

[692] AtkinsRealis, *Final Report - SA Water Capex Review 2024,* pp. 9-10, 17-27.
[693] Oxford Economics Australia, pp. 1-2.
[694] See Chapter 3, section 3.3.
[695] South Australian Auditor-General's Department, p. 45.
[696] SA Water, *Regulatory Business Plan 2024-28*, p. 140.

prudent and efficient benchmark net capital expenditure amount of $1,880 million for SAWRD24 ($Dec22).

In the draft determination the Commission acknowledged , based on interviews with SA Water and reviews of available documentation, that the proposed capital expenditure for the Ministerial directions under section 6 of the PC Act will involve activities that SA Water already typically delivers[697] and/or has already commenced.[698] While this situation may suggest less deliverability risk relating to these two major projects, the matter of deliverability should be considered for the capital program as a whole, not necessarily on the basis of any particular individual major projects.

Figure 11.9: SA Water's proposed capital expenditure as per its RBP, according to cost classification ($Dec22)[699]



The Commission noted in the draft determination that it intends to increase monitoring efforts in relation to SA Water's investment activities during SAWRD24, consistent with the Monitoring and Evaluating Performance Framework (MEPF) (refer Chapter 18). Increased monitoring will be important. There is, as mentioned above, a question as to whether or not SA Water's internal processes and systems have improved since SAWRD20, and SA Water's internal processes and systems will be critical in facilitating and allowing for the prudent and efficient delivery of the capital expenditure program.

11.3.4 Draft Position – SAWRD24 Capital Expenditure

On balance, for the draft determination, the Commission determined that a four-year total prudent and efficient benchmark net capital expenditure amount was $1,880 million for SAWRD24 ($Dec22).

Nevertheless, in addition to this prudent and efficient expenditure benchmark amount, the draft position included the capital expenditure for the expected Ministerial directions under section 6 of the PC Act

[697] At the time of the draft determination, the Northern Metropolitan Growth project was planned to involve capital expenditure on investment activities typically delivered by SA Water. For example, as mentioned earlier, this project was understood at the time of the draft to involve duplication of approximately 37 kilometres of water mains, installation of approximately 12 kilometres of new water mains, replacement of approximately 23 kilometres of water mains, new tanks, two new pump stations, an upgrade of two pump stations, and new hydraulically operated control valves at three tank sites. SA Water, *Regulatory Business Plan 2024-28*, p. 198.

[698] SA Water has commenced various activities relating to the Tea Tree Gully Sustainable Sewers program.

[699] AtkinsRealis, *Final Report - SA Water Capex Review 2024*, p. 57. Note the data on cost classifications in Figure 11.9 is assumed to be gross pre-efficiency capital expenditure excluding technology.

that were expected to be issued relating to two major projects: Northern Metropolitan Growth and TTG Sustainable Sewers. As mentioned earlier, for the purposes of the draft determination, the Commission included expenditure for these two major projects in line with SA Water's proposal. In doing so, the Commission did not review, in detail, the prudent and efficient expenditure requirements of these two projects.

The draft position was therefore that the prudent and efficient benchmark net capital expenditure amounts to be included in the calculation of the revenue caps were as follows:

- $1,660 million ($Dec22) for water retail services, which is approximately $393 million higher than the benchmarks set for SAWRD20, but $206 million lower than proposed by SA Water, and
- $869 million ($Dec22) for sewerage retail services, which is approximately $250 million higher than the benchmarks for SAWRD20, but $91 million lower than proposed by SA Water.

Table 11.5: Draft position on ex-ante capital expenditure for 1 July 2024 to 30 June 2028 ($Dec22)

	2024-25 ($m)	2025-26 ($m)	2026-27 ($m)	2027-28 ($m)	Total ($m)
Net capital expenditure – water	366	387	469	438	1,660
Net capital expenditure – sewerage	214	214	218	223	869
Net capital expenditure – total	**579**	**602**	**687**	**660**	**2,529**

11.3.5 Consultation on draft position

In its submission to the draft determination, SA Water put forward a revised proposal for SAWRD24 of net capital expenditure of $2,723 million. While the revised proposal is $98 million (3 percent) lower than SA Water's proposal in its RBP, it is $194 million (8 percent) greater than the Commission's draft position.[700]

SA Water's submission proposed that the Commission re-assess the expenditure amounts associated with various individual projects. Table 11.6 provides a summary.[701]

Table 11.6: SA Water's summary positions on inidividual projects and programs for SAWRD24

Project	Adjustment in draft determination	SA Water's response
Eyre Peninsula Desalination Plant Augmentation	$23 million reduction	SA Water objected to a reduction in expenditure and claimed expenditure should be included according to the 90th percentile risk allowance
Mount Bold Safety Upgrade	$40 million reduction	SA Water acknowledged that the scoping of the project is incomplete, but claimed that this is not a sufficient reason to not go ahead with construction expenditure in the SAWRD24 period
Metro Water Quality Improvement	$93 million reduction	SA Water noted that sequential timing of projects will add value, but it suggested that work on the Happy Valley water treatment plant should occur before the upgrade of

[700] SA Water, *SA Water's response to ESCOSA's Draft Determination*, pp. 22-49.
[701] Ibid, pp. 22-24.

Project	Adjustment in draft determination	SA Water's response
		the Barossa water treatment plant. SA Water suggested a reduction of $52 million instead of $93 million
Bolivar Wastewater Network Growth	$40 million reduction	SA Water noted there is evidence of growth and that the relevant business case is continually developing, but in its view, delivery will take place in the SAWRD24 period
Glenelg Wastewater Network Growth	$19 million reduction	As above, SA Water noted there is evidence of growth and that the relevant business case is continually developing, but in its view, delivery will take place in the SAWRD24 period
Capital efficiencies	$67 million	SA Water indicated that the efficiencies proposed in the draft position are too large relative to other major water utilities. SA Water has suggested 2 percent efficiency over the SAWRD24 period
Capital contributions	$47 million increase	SA Water submitted that the Commission's draft position on capital contributions was an improvement on the RBP

In addition to project-level responses, SA Water also expressed the view that the net capital expenditure amount for SAWRD24 in the draft determination was insufficient on the basis that, if the expected section 6 directions were excluded, then it would have been lower than SAWRD20.[702]

Other stakeholder submissions to the draft determination, including YourSAy engagement survey results, have put forward mixed views.

The key themes of the submissions of other stakeholders were as follows:

- Growth and urban development pressures

  Several stakeholders (such as the Property Council of Australia, the Urban Development Institute of Australia (UDIA), Regional Development Australia – Barossa, Gawler, Light and Adelaide Plains (RDA), the Customer Challenge Group (CCG), EPA and Vicky Samara) queried (to varying degrees) whether there was sufficient net capital expenditure in the draft determination to accommodate growth.[703] Relatedly, a submission from the UDIA suggested increased expenditure for Bolivar and Glenelg wastewater network growth should be included in the final determination.[704]

- Affordability, total capital expenditure and future service risk

  SACOSS raised concerns about the large increase in net capital expenditure and the transparency of section 6 Ministerial directions.[705] In SACOSS's view, where SA Water's total expenditure has been heavily influenced by section 6 Ministerial directions, which have not been assessed for prudence and efficiency, SACOSS does not consider this expenditure to be a transparent or an accurate representation of prudent and efficient expenditure.[706] SACOSS also highlighted

[702] Ibid, pp. 22-23.
[703] Urban Development Institute of Australia, pp. 2-5, Regional Development Australia – Barossa, Gawler, Light and Adelaide Plains, pp. 1-4, Property Council of Australia, *Submission to Draft Regulatory Determination*, pp. 1-3, Customer Challenge Group, pp. 4-5, Environment Protection Authority, *Submission to Draft Regulatory Determination*, p. 1, and Samara V, p. 1.
[704] Urban Development Institute of Australia, pp. 2-5.
[705] South Australian Council of Social Service, *Submission to Draft Regulatory Determination*, pp. 6-8, 12-19, 22-25.
[706] Ibid, pp. 12-17.

deliverability risks associated with section 6 Ministerial directions and the impact of these directions on the RAB, and the long-term costs to consumers over future regulatory periods.[707]

The EPA acknowledged the increase in capital expenditure, stating that the draft determination broadly met its expectations and the regulatory requirements of SA Water, although it also noted the need to manage service and reliability risks.[708] The South Australian Federation of Residents and Ratepayers Associations (SAFRRA) supported the work undertaken by the Commission on reviewing capital expenditure for the draft determination.[709] Uniting Communities expressed the view that it is critical that in making the regulatory determination the Commission carefully consider affordability and cost of living pressures faced by consumers.[710]

In contrast, the OTR pointed to risks relating to intergenerational equity and long-term pressures,[711] while the CCG noted potential service risks as a result of the capital expenditure amount in the draft determination.[712] The UDIA suggested there is insufficient net capital expenditure in the draft determination to fund demand growth and infrastructure maintenance.[713] While the Property Council of Australia highlighted concerns regarding growth, it did not state that the total capital expenditure amount in the draft determination was insufficient.[714]

In addition to the above themes, stakeholder submissions raised other matters. Those include, but are not limited to, suggestions to improve transparency regarding the RAB and section 6 Ministerial directions,[715] commentary on the expenditure associated with individual projects, suggestions to allow additional expenditure for water security in the Tatiara District Council region,[716] and queries regarding the size of the sample of projects included in the Commission's analysis and suggestions to re-assess proposals put forward by SA Water.[717]

11.3.6 Further analysis

The following section extends the analysis undertaken for the Commission's draft position. It addresses the matters raised in submissions and considers all other issues that informed the final position. The section assesses project-level and issue-based matters and finishes by considering the total capital expenditure amount. The section includes a summary of changes between the draft and final positions.

11.3.6.1 Project-level analysis

While the Commission does not approve individual projects and/or programs, stakeholder submissions have raised matters in this respect. The following section responds to matters raised and the merits of expenditure associated with individual projects.

Eyre Peninsula Desalination Augmentation

Submissions raised three matters in relation to the Eyre Peninsula Desalination Augmentation:

- the treatment of project contingency costs

[707] Ibid, pp. 14-15.
[708] Environment Protection Authority, *Submission to Draft Regulatory Determination*, p. 1.
[709] South Australian Federation of Residents and Ratepayers Associations, pp. 1-2.
[710] Uniting Communities, *Submission to Draft Regulatory Determination*, p. 9.
[711] Office of the Technical Regulator, *Submission to Draft Regulatory Determination*, pp. 1-2.
[712] Customer Challenge Group, pp. 3-4.
[713] Urban Development Institute of Australia, pp. 2-5.
[714] Property Council of Australia, *Submission to Draft Regulatory Determination*, pp. 1-3.
[715] South Australian Council of Social Service, *Submission to Draft Regulatory Determination*, pp. 12-19, 22-25.
[716] Tatiara District Council, *Submission to Draft Regulatory Determination*, p. 1.
[717] Customer Challenge Group, p. 3.

- the timing of expenditure given the formation of a parliamentary committee in February 2024, and
- the treatment of proving period costs.

Project contingency costs

In the draft determination, the Commission observed that the project expenditure for the Eyre Peninsula Desalination Augmentation should not include $23 million as a form of contingency for unexpected expenditure at the 90th percentile.[718] In its submission to the draft determination, SA Water did not support the Commission's position. Its view is the 90th percentile risk allowance should be included. SA Water pointed to instructions in the Department of Infrastructure and Transport estimating manual as well as communication from Infrastructure SA (ISA) indicating the use of P90 in capital budgeting of complex major projects by the South Australian public sector.[719]

The Commission has reviewed the submission and supporting evidence provided by SA Water[720] as well as stakeholder submissions,[721] the supplementary report provided by Atkins[722] and the Department of Infrastructure and Transport estimating manual. [723]

On the matter of project risk contingency, Atkins assessed that:[724]

> *'…[t]o us it is clear that P50s are more appropriate than P90s in setting an efficient level of total expenditure. If P90 estimates were used for all projects then the recommended expenditure would be significantly in excess of the central estimate (P50) of expenditure and there would be a c90% chance that the allowance would be too high. We do not agree that the P90 is "the most likely cost" as by definition it is higher than the central estimate (P50)…*
>
> *… [i]f, as indicated in its response, SA Water has carried out a robust probabilistic risk assessment then its P50 estimate should be the appropriate value to use as it represents its central estimate of costs. We consider our interpretation to be consistent with the Estimating Manual guidance that projects be delivered for the P50 value.'*

The Commission assesses prudent and efficient net capital expenditure with reference to a benchmark efficient water and sewerage utility with a similar degree of risk to SA Water. Efficient capital expenditure is included in the RAB and the regulated business derives a return on and of capital. In the Commission's view, it would be inefficient to allow a regulated business to derive returns on and of capital that has been included at the 90th percentile as a matter of project contingency and public sector project planning.

In its submission, ISA acknowledge that regulatory practice accounts for risk sharing between consumers and the regulated business. While the 90th percentile risk allowance may be used for internal public sector planning purposes, a central estimate of cost may be appropriate for regulatory processes.[725] ISA said it is:[726]

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[718] A project contingency of approximately $15 million, which was included in the business case documentation, was based on an estimate of median risk. $23 million was the contingency based on a 90th percentile assessment. Therefore, in the draft determination the Commission referred to the total risk contingency proposed by SA Water of $38 million.

[719] SA Water, *SA Water's response to ESCOSA's Draft Determination*, pp. 33-34, and Infrastructure SA, p. 1.

[720] SA Water, *SA Water's response to ESCOSA's Draft Determination*, pp. 33-34.

[721] Infrastructure SA, p. 1.

[722] AtkinsRealis, *Supplementary Report - SA Water Capex Review*, pp. 1-33.

[723] Department for Infrastructure and Transport, *Estimating Manual. Transport Infrastructure Projects*, version 9, p. 37, available at https://www.dit.sa.gov.au/__data/assets/pdf_file/0003/173532/Estimating_Manual.pdf.

[724] AtkinsRealis, *Supplementary Report - SA Water Capex Review*, p. 16.

[725] Infrastructure SA, p. 1.

[726] Ibid, p. 1.

' …also able to confirm that it is common practice in Government infrastructure development to budget projects at the p90 cost estimate with the p50 risk allowance managed by the project team and the delta between the p50 and p90 allowance having a level of centralised control, such as at CEO, DTF, portfolio or Commonwealth level. This is consistent with the Commonwealth Cost Estimate Guidance Feds Cost Estimation and the NSW Cost Control Framework NSW Cost Estimation. This centralised control does provide some discipline to ensure that any risk allowance is applied to efficient cost pressures from realised inherent or contingent risks. Best practice is clear that any risk allowance should not be applied to changes in scope. It is our understanding that in other regulatory environments regulators expect some sharing of risk between the customer and regulated business and the use of p90 is for internal planning purposes and transitions to p50 on the price approval process.' [emphasis added]

Furthermore, while the Department of Infrastructure and Transport estimating manual is published on the basis of public sector project planning and delivery, rather than that for a private company or a benchmark efficient entity (the benchmark for which the Commission must assess SA Water), and this can lead the manual to consider risk from a public sector perspective and include budgeting at P90 (as stated by ISA above), the manual itself states that '*those responsible for the delivery of projects should aim to deliver the project for the Formal Estimate P50 cost*' and that it should '*…return unspent contingency funds once the identified contingent risks have passed*'.[727]

In summary, the Commission confirms its draft position in respect of the risk contingency amount for the Eyre Peninsula Desalination Augmentation; that is, on an ex-ante basis, a prudent and efficient capital expenditure amount for this project should not include $23 million as a form of contingency for unexpected costs at the 90th percentile, as this would not be in consumers' long-term interests.

Timing of expenditure

The Commission acknowledges that in February 2024 a Parliamentary Committee was formed to inquire into and report on the water supply needs of the Eyre Peninsula, including a focus on the potential location of the plant.[728] This may potentially lead to changes and further developments regarding prudent and efficient capital expenditure on the Eyre Peninsula Desalination Augmentation.

In Atkins' view, noting the formation of the committee, in an environment of uncertainty the Commission should adopt, what it considers is the best forecast of, efficient capital expenditure for 2023-24 and SAWRD24. It noted the regulatory framework sets out an overall capital expenditure benchmark and allows ex-post reviews of expenditure such as for this project.[729]

SA Water's submission noted that there '*… may be carryover (from RD20 to RD24) relating to the Eyre Peninsula Desalination Augmentation project that is experiencing delays due to development approval complexity, and additional stakeholder and government input'.*[730]

Recognising SA Water's response in its submission that acknowledged likely carryover expenditure from SAWRD20 into SAWRD24, the Commission sought clarification and further information from SA Water. SA Water's response, provided in April 2024, acknowledged expected delays. The Commission has determined for the purposes of the final position that $32 million (in nominal terms) ($30 million, $Dec22) of expenditure previously planned for 2023-24 is expected to be spent during SAWRD24.

[727] Department for Infrastructure and Transport, p. 37.
[728] See Parliament of South Australia Committees available at https://www.parliament.sa.gov.au/en/Committees/Committees-Detail.
[729] AtkinsRealis, *Supplementary Report - SA Water Capex Review*, pp. 18-19.
[730] SA Water, *SA Water's response to ESCOSA's Draft Determination*, pp. 34-35.

In summary, the Commission's assessment is that $30 million will be added to the SAWRD24 period but removed from 2023-24 on the basis of updated information and forecasts of efficient expenditure.[731]

Proving costs

In the draft determination, the Commission considered that SA Water's $4.7 million of proposed two-year proving period costs[732] should not be operating expenditure for regulatory purposes, but the Commission did not add those proving period costs to the forecast of capital expenditure for the SAWRD24 period.

Between the draft and final determinations, the Commission sought clarification and information from SA Water. SA Water confirmed that it had assessed the project according to its capitalisation policy and that, in its view, proving period costs should be treated as operating expenditure.

SA Water stated that:[733]

> '*… the costs relating to the two-year proving period have been deemed operating expenditure… [t]his is due to the need to service existing demand from first water at a 100% capacity of the plant. This differs from the treatment of the proving costs for the Adelaide Desalination Plant (ADP), which were deemed capitalizable by ESCOSA in RD13. The ADP used the proving period to test the plant to ensure the asset was working appropriately but had no immediate requirement to service existing demand*.'

However, despite stating that proving costs should be operating expenditure, SA Water at the same time stated in its submission to the draft determination:[734]

> *'… [t]hese operational costs are incurred during the extended Contractor operations and maintenance proving period. This is a 2-year predetermined span of time during which the plant's maintenance regime and performance is closely monitored and assessed. It serves as a verification phase to ensure that the plant can operate efficiently and meet the expected performance standards.*
>
> *During this period, any performance issues or inefficiencies that arise can be investigated and addressed to optimise asset lifecycle costs. This also ensures that while the plant is fully operational, it can run reliably with minimal disruptions. Therefore, the costs incurred during this period are an investment into the plant's future operational success.'*

In its supporting information, SA Water submitted that proving period costs are common in the construction industry. It stated that:[735]

> *'The use of a 2 year proving and defects period is not unusual in the construction industry… the length of time is dependent on the agreed delivery model for a project and this can range up to the contractor building and operating the plant for 5 years (plus) before transferring it to the client. The purpose of this is that during this period, damages are applied or warranties are provided if operational deficiencies are found. By including a proving period, SA Water has asked the contractor to prove that the finished technical solution meets the project objectives and the performance*

[731] The Commission has added the $30 million into financial year 2025-26 on the basis that the total spend on Eyre Peninsula Desalination Augmentation already appears front-loaded, and given the current parliamentary committee formed, it appears likely, in the Commission's view, that approximately $30 million of expenditure will eventually flow through on to 2025-26.

[732] The proving period costs involve a total of 4.2 contractors and one SA Water staff member to operate and maintain the site, establishment, training and systems costs, temporary costs for the contractors (including travel and accommodation), contract administrative cost and risk allowance of 5 percent of variable costs.

[733] This is based on information from RFI - RD24232 issued to SA Water.

[734] SA Water, *SA Water's response to ESCOSA's Draft Determination*, pp. 33-34.

[735] This is based on supporting information submitted by SA Water to the Commission.

expectations of the plant. This is common practice for new greenfield plant builds such as desalination projects or water/wastewater treatment facilities.

By having a proving period, SA Water has mitigated risk to the customer by ensuring the contractor is incentivised to build a robust and sustainable technical solution and enables effective operational training of our people to successfully take over management of the new asset…'

The Commission observes that the reasoning applied by the Commission in relation to the Adelaide Desalination Plant in 2013 appears, on the face of SA Water's submissions, to be equally applicable in this instance. In the Commission's view, while the desalination plant will be servicing customer demand at commencement, the contractor costs planned for the first two years of its operation have the specifically stated purpose of contributing to the verification and optimising of plant performance for a greenfield operation.

In the reviews undertaken by Atkins and Sapere, there were mixed views. While Atkins noted there was a case for the capitalisation of proving period costs,[736] Sapere noted there was support for including proving costs in operating expenditure (although it noted it was a minor matter).[737]

Insofar as these proving period costs are being undertaken to avoid the future risks of plant failure, then irrespective of the fact water is being produced and servicing customer demands at commencement (as was highlighted by SA Water), for regulatory purposes there is a case that the expenditure has a direct economic benefit (that is, a longer-term benefit of avoided major repair costs) and therefore should be capitalised. The potential longer-term benefit of the proving period costs is specifically outlined in SA Water's response to the draft determination (as stated above).[738]

In summary, the Commission's final position is that the $4.7 million of proving costs will be included in capital expenditure for regulatory purposes for SAWRD24. In the Commission's view, these costs have some degree of longer-term economic benefit. SA Water did not provide any apportionment of proving costs between operating and capital expenditure. In the absence of apportionment information, the Commission's view is that a majority share of benefit is likely to accrue over the longer-term (on the basis that verification and optimisation reduces the risk of future plant repairs).

Mount Bold Dam Safety Upgrade

In the draft determination, the Commission observed that the project scoping for the Mount Bold Dam Safety Upgrade required further planning and project optioneering before the project was close to the construction phase. Further, given the complexities of the project are high (as evidenced by the delays and the need for re-appraisal during SAWRD20), the Commission assessed that a prudent and efficient level of capital expenditure would allow only for project development expenditure in SAWRD24.

In its submission to the draft determination, while SA Water acknowledged that a final option for this project had not been defined and that choosing the best option for this complex project would require substantial investigation, modelling and project development, it suggested that this was not a reason to exclude potential construction costs for SAWRD24. SA Water noted the Mount Bold Safety Upgrade project was necessary in order to reduce the safety risks at Mount Bold Dam. It re-iterated its projection of a timeline of construction work beginning towards the end of SAWRD24.[739]

[736] AtkinsRealis, *Supplementary Report - SA Water Capex Review*, p. 19.

[737] Sapere, *Addendum to review of operating expenditure chapter in ESCOSA's Draft SA Water Regulatory Determination 2024*, pp. 5-6.

[738] SA Water acknowledges in its RBP and in its submission to the draft determination that accounting treatments do not need to always be aligned to the treatment for regulatory purposes (for example, treatment of cloud costs).

[739] SA Water, *SA Water's response to ESCOSA's Draft Determination*, pp. 119-120.

Other stakeholders made general submissions in relation to this project. For instance, the OTR reported that:[740]

> *'…[w]hilst it is understood that the delivery of the Mount Bold Dam Safety Upgrade in SAWRD20 has been affected by unanticipated complexities due to technical issues, it is essential that once planning and optioneering are completed; [sic] that construction costs are able to be included in the RD24 to enable progress which enables long term safety.'*

More generally, the CCG expressed a view that SA Water should not defer capital projects otherwise it may increase service risk in future (although the CCG provided no specific supporting information and views in relation to the Mount Bold Dam Safety Upgrade).[741] At the same time, the CCG suggested the Commission should re-assess proposals put forward by SA Water to identify those that may be less efficient to deliver in SAWRD24.[742]

Overall, the Commission has considered SA Water's proposal and submission, stakeholder submissions, advice from Atkins and other available information.

It notes Atkins' view that recommencing optioneering for such a complex project and moving through technical, stakeholder, permitting, procurement and delivery phases by the end of SAWRD24 may not be feasible. Atkins noted that, despite SA Water's submission and the general views of the OTR and CCG, it remained unclear what the project would entail and how much it would cost. Therefore, Atkins did not amend its recommendation on the basis of submissions and supporting information.[743]

It is noted that submissions from the CCG and OTR did not acknowledge the nature and operation of the regulatory framework and SA Water's ability to utilise the framework (for example, via the use of debt or equity, or reprioritisation) if, for instance, planning and optioneering on this project proceeded faster than expected.[744]

The Commission considers that this project is still in very early stages of development, and SA Water's submission acknowledges this, as does Atkins' advice. The submissions and supporting information did not provide compelling information to support consumers' paying construction costs (including returns on and of those costs) during this regulatory period for a project that has not yet been fully developed and scoped.

Accordingly, the Commission's final position is unchanged from its draft position; that is, a prudent and efficient level of capital expenditure would allow for only project development expenditure in SAWRD24. However, as also outlined in the draft position, if the project proceeds faster than expected, SA Water may use debt or equity to fund construction costs and (under the regulatory framework outlined earlier) can recoup the prudent and efficient construction costs as part of an ex-post review.

Metropolitan Water Quality North

In the draft determination, the Commission assessed that it would be prudent for SA Water to undertake improvements in the Barossa water treatment plant during SAWRD24 and, subsequently, apply the lessons learned to the Happy Valley water treatment plant during SAWRD28. In contrast, in its submission, while SA Water acknowledged the rationale for spreading the work across multiple periods, it proposed to undertake upgrades to the Happy Valley water treatment plant first and then continue with upgrades to the Barossa water treatment plant afterward. In SA Water's view, work on the Happy

740 Office of the Technical Regulator, *Submission to Draft Regulatory Determination*, p. 2.
741 Customer Challenge Group, pp. 2-3.
742 Customer Challenge Group, pp. 1-3.
743 AtkinsRealis, *Supplementary Report - SA Water Capex Review*, p. 19.
744 Office of the Technical Regulator, *Submission to Draft Regulatory Determination*, pp. 1-2, and Customer Challenge Group, pp. 1-3.

Valley water treatment plant is at a more advanced design stage and would have a larger impact on customers.[745]

In Atkins' view, however, it is more prudent to undertake improvements at the Barossa water treatment plant as it is a simpler project and has a smaller reach of customers. This would mitigate downside risks if anything went wrong during the construction and implementation phase of the project.[746]

As Atkins stated:[747]

> *'We consider that SA Water has clearly articulated points in favour of rolling out the improvements at Happy Valley before Barossa, based on the scale benefits and stage of design. As such we have strongly considered this proposal. However:*
>
> 1. *When implementing a new treatment type we think it is prudent to implement it at a simpler site first to identify and learn from the key success and risk factors. It will be significantly more complex to implement this solution at Happy Valley and it makes more sense to iron out the challenges and approach at a simpler works where the consequences of any issues are more minor.*
> 2. *We understand that on-site pilot investigations were beginning at Barossa "this year" [at the time of the interviews] so there is no reason to consider that it should not be possible to develop designs and implement the solutions at Barossa within the RD24 period.*
> 3. *The information presented in SA Water's response is not new and does not change our view on this.*
>
> *We have therefore not made any changes to our Report recommendation.'*

While some stakeholders, such as the CCG and the OTR,[748] expressed a view that SA Water should not defer capital projects otherwise it may increase service risk, neither of the submissions provided information in respect of the Metropolitan Water Quality North project.[749] Furthermore, neither of the submissions acknowledged the nature and operation of the regulatory framework and SA Water's ability to utilise the framework (for example, via the use of debt or equity, or reprioritisation) if, for instance, the Barossa project proceeded smoothly and faster than expected, allowing the Happy Valley project to commence earlier.

The Commission has considered SA Water's proposal and submission, stakeholder submissions and advice from Atkins. Overall, the Commission's final position is unchanged from its draft position; that is, given the technology and the risks involved, a prudent and efficient capital expenditure amount for SAWRD24 would be consistent with an approach that involves implementing work on the Barossa water treatment plant in SAWRD24 in order to manage challenges in an approach where the consequences of any issues are more minor.

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[745] SA Water, *SA Water's response to ESCOSA's Draft Determination*, pp. 35-36.
[746] AtkinsRealis, *Supplementary Report - SA Water Capex Review*, pp. 21-22.
[747] Ibid, p. 22.
[748] Office of the Technical Regulator, *Submission to Draft Regulatory Determination*, pp. 1-2, and Customer Challenge Group, pp. 1-3.
[749] Office of the Technical Regulator, *Submission to Draft Regulatory Determination*, pp. 1-2, and Customer Challenge Group, pp. 1-3.

Bolivar and Glenelg Wastewater Network Growth

In the draft determination, the Commission assessed that the growth projects for Bolivar and Glenelg were still in their early stages of planning. It assessed that an amount of capital expenditure that would be prudent and efficient would be lower than was proposed by SA Water and would involve expenditure only after solutions were developed and demand was better understood.

In its submission to the draft determination, SA Water suggested that the lower amount in the Commission's draft position is effectively deferring a portion of capital expenditure, and this could increase service risk. SA Water submitted further information regarding refinements of the capital expenditure proposed including updated projections and data on recent connections.[750]

Submissions from UDIA and RDA supported expenditure for the Glenelg and Bolivar projects.[751] As stated by the UDIA:[752]

> *'The long-term interests of South Australian consumers are not being served by delaying the investment of the Glenelg and Bolivar network growth projects. The current growth trajectory of the state indicates these projects are likely to be needed before the end of the regulatory period, and it is highly likely that the cost of these projects in a future regulatory period will have escalated beyond inflation making future investment proportionally more expensive as well. Future prices will be higher due to the decision to delay these works.'*

Nevertheless, for both projects SA Water did not present updated cost estimates with more mature cost classifications.

While stakeholders, including RDA and the UDIA,[753] put forward support on the basis of growth, neither provided supporting evidence for the specific individual projects. For instance, UDIA expressed the view that there has been underinvestment in growth infrastructure in South Australia more generally.[754] However, the submission did not provide evidence in support of this, nor did it elaborate on whether its view related to the quantum of ex-post capital expenditure allowed for in past determinations or whether its view related to SA Water's decision-making and asset management. More generally, and as noted in the Commission's draft position, data provided by SA Water indicates the health of its assets is broadly either improving or stable.[755]

Further, submissions from SA Water and UDIA did not acknowledge that SA Water, through the regulatory framework, is able to use debt or equity funding, or reprioritisation, and can recover efficient and prudent capital expenditure, if materialised, on an ex-post basis.

In Atkins' view of the Glenelg and Bolivar projects, the additional information provided did not provide sufficient compelling evidence to change its position; that is, in its view, an estimate of prudent and efficient capital expenditure should be based on mature cost estimates and observed practical data.[756]

In regard to the Bolivar growth project, Atkins stated:[757]

> *'SA Water's submission has highlighted that projections have been updated and it provides a high-level overview of the customer connection requests. We agree that based on projections, wastewater*

[750] SA Water, *SA Water's response to ESCOSA's Draft Determination*, pp. 37-41.
[751] Urban Development Institute of Australia, pp. 2-3 and Regional Development Australia – Barossa, Gawler, Light and Adelaide Plains, p. 1.
[752] Urban Development Institute of Australia, p. 3.
[753] Urban Development Institute of Australia, pp. 2-3 and Regional Development Australia – Barossa, Gawler, Light and Adelaide Plains, p. 1.
[754] Urban Development Institute of Australia, p. 3.
[755] AtkinsRealis, *Final Report - SA Water Capex Review 2024,* pp. 66-72.
[756] AtkinsRealis, *Supplementary Report - SA Water Capex Review*, pp. 22-25.
[757] Ibid, p. 24.

network projects will be required to address growth. However, we consider that the level of investment should be determined using more maturely developed estimates and practical data. We consider the recommended phased rate of expenditure to be appropriate….[w]e have therefore not made any changes to our Report recommendation.'

In regard to the Glenelg project, Atkins stated:[758]

> *We have strongly considered the information provided by SA Water and views from stakeholders. We consider it reasonably likely that an expenditure to address the issues set out by SA Water for this program is to be required to service growth. However, given the early stage of development of the projects within the program and the emerging nature of growth (i.e. reliance on projections), it seems unlikely that the rate of expenditure within RD24 will be as high as proposed by SA Water. For these reasons, our initial assessment about the likely level of efficient expenditure in the program during the RD24 period has not changed.*

The Commission has considered SA Water's proposal and submission, stakeholder submissions, advice from Atkins and other available information. On balance, the Commission confirms its draft position; that is, the prudent and efficient capital expenditure amounts for these two projects should be re-profiled relative to the proposals of SA Water. The proposals for these projects are in their very early stages of development and the cost classifications for them, on SA Water's own estimate categories, suggests a wide possible range of outcomes. The final position reflects consideration of these factors.

The Commission's final position should not be viewed as precluding the commencement and completion of the Bolivar and Glenelg Wastewater Network Growth capital projects. Rather, the Commission has sought to align the recovery of revenue from customers to the expected delivery of these projects on the basis of its best forecast of efficient expenditure given the stages of development of the projects. As a principle, customers should not be expected to fund the returns on and of capital in excess of the best forecast of prudent and efficient expenditure for SAWRD24.

Where the Commission's assessment of SA Water's proposals indicated a timing difference between project expenditure and likely delivery and completion, based on the observed maturity of the project, the Commission's benchmarks have been adjusted to align these elements. Insofar as the development of the projects exceed expectations, SA Water has the ability to reprioritise expenditure from within its capital program, and/or use debt and/or equity funding and can recover efficient and prudent capital expenditure, if materialised, on an ex-post basis.

Summit System Growth

In its submission, SA Water put forward a reprofiled capital expenditure for the Summit System Growth project.[759] As outlined by Atkins, the total capital expenditure of $48.4 million for this project has not changed but the planned works occur towards the end of the SAWRD24 period.[760] The Commission confirms its draft position in regard to the total prudent and efficient expenditure for this project.

Provisions for the protection of customers experiencing family violence

SA Water has provided proposed capital expenditure for SAWRD24 to develop its capability to protect customers who are experiencing family violence.[761] SA Water suggested $2.2 million (in nominal terms) (equivalent to $2.1 million, $Dec22[762]) in additional capital expenditure.[763] The Commission has

[758] Ibid, p. 25.
[759] SA Water, *SA Water's response to ESCOSA's Draft Determination*, p. 44.
[760] AtkinsRealis, *Supplementary Report - SA Water Capex Review*, pp. 25-26.
[761] Information provided by SA Water to the Commission.
[762] Note that SA Water provided an estimate of $2.2 million to the Commission. The Commission understands that the estimate is in nominal terms and has converted the amount into $Dec22 price basis.
[763] For further information and discussion see sections 5.3.8.4 to 5.3.8.6 in Chapter 5.

assessed this amount to be prudent and efficient for SAWRD24 for this type of project and has apportioned amounts on a 50:50 basis between water and sewerage retail services.

11.3.6.2 Other issues

Treatment of cloud computing and leases

In the draft determination, the Commission decided to treat cloud-based computing costs as capital expenditure for the purposes of the determination. It also outlined that for SAWRD28 SA Water's proposal should align its regulatory treatment of cloud-computing costs with accounting standards.

In its submission to the draft determination, SA Water sought the reference to SAWRD28 be removed and suggested the Commission acknowledge a review should occur as part of SAWRD28.[764] In relation to lease costs, SA Water supported a review of the treatment as part of SAWRD28.[765]

Ultimately, the Commission will consider these matters in SAWRD28, having regard to regulatory practice and other available information. However, its starting position is that there is a case to align the regulatory treatment of cloud-computing costs with accounting standards for SAWRD28.

Cash contributions

In the draft determination, the Commissioned assessed that SA Water's RBP did not include a prudent and efficient amount of cash contributions.[766] For the purpose of the draft determination, the Commission estimated capital contributions of approximately $57 million for SAWRD24.

In its submission, SA Water provided a revised amount of $57 million, in line with the Commission's estimate. SA Water's submission did not provide any estimates for developer contributions associated with the Metropolitan Growth project.[767]

While several stakeholders including the CCG, UDIA, RDA, EPA and the Property Council of Australia highlighted the issue of growth and capital expenditure,[768] few of those same submissions acknowledged the role and existing framework for, and the contributions of, property developers and those seeking extensions and augmentations to SA Water's water or sewerage infrastructure.[769] SACOSS sought clarity on developer contributions associated with the Metropolitan Growth project.[770]

While there may be a case for additional contributions attributable from the Metropolitan Growth project, the timing and size of these contributions are uncertain. Contributions will be recovered over time and netted off the RAB. This is discussed further below.

Accordingly, the Commission confirms its position of estimated capital contributions of $57 million for SAWRD24 in regard to cash contributions.

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764 SA Water, *SA Water's response to ESCOSA's Draft Determination*, pp. 119-120.

765 Ibid, p. 120.

766 As outlined earlier, cash contributions are netted off the gross amount of prudent and efficient benchmark capital expenditure for SAWRD24. Contributions come from developers and those seeking extensions and augmentations to SA Water's water or sewerage network.

767 SA Water, *SA Water's response to ESCOSA's Draft Determination*, pp. 44-46.

768 Urban Development Institute of Australia, pp. 2-5, Regional Development Australia – Barossa, Gawler, Light and Adelaide Plains, pp. 1-4, Property Council of Australia, *Submission to Draft Regulatory Determination*, pp. 1-3, Customer Challenge Group, pp. 1-3, and Environment Protection Authority, *Submission to Draft Regulatory Determination*, p. 1.

769 Chapter 8 includes a discussion of developer contributions and the current framework in place. RDA briefly discussed developer and augmentation charges. Regional Development Australia – Barossa, Gawler, Light and Adelaide Plains, pp. 1-2.

770 South Australian Council of Social Service, *Submission to Draft Regulatory Determination*, p. 14.

Capital efficiency

In the draft determination, the Commission set out its capital efficiency having regard to SA Water's overall capital program and potential efficiencies going forward. The Commission included $111 million of efficiency-savings (of which $86 million was catch-up efficiency and $25 million ongoing efficiencies). This was informed by research undertaken by Atkins.[771]

In its submission to the draft determination, SA Water expressed the view that the proposed capital efficiencies exceed both those in SAWRD20 and those applied to other Australian water utilities, and it noted that multi-factor productivity growth has been low in recent years. SA Water suggested the final position should adjust capital efficiencies to be 2 percent over the four-year period.[772]

In Atkins' view, the level of catch-up efficiency applied did not appear out of line with other water utilities. It clarified that, in its view, the catch-up efficiency did not mean that SA Water should necessarily be at the efficient frontier, as the efficiency challenge is based on how much closer to the frontier the company can get in a four-year window and did not necessarily mean that it will be at the efficient frontier at the end of the fourth year. Atkins added that the continuing efficiency challenge is consistent with the SAWRD20 challenge and is based on long-term averages of multi-factor productivity growth rather than recent observed outcomes.[773]

The Commission has considered SA Water's proposal and submission, stakeholder submissions and advice from Atkins. Overall, the Commission confirms its position in regard to capital efficiencies being as set out in Table 11.8 below.

Transparency and the regulated asset base

In its submission to the draft determination, SACOSS has suggested that the Commission release more information in the public domain regarding the RAB and the impact of Ministerial section 6 directions.[774]

The Commission acknowledges that there is a case for greater transparency on these matters. Accordingly, it plans to release materials, including information on the RAB, into the public domain during the SAWRD24 period in the form of excel spreadsheet/s. This will allow stakeholders to review and consider the RAB and undertake its own analysis as part of SAWRD28.

Given the size of the Ministerial section 6 directions included in SAWRD24, the publication of information on the RAB will be an important element of promoting transparency, to allow stakeholders to view the size of the directions and its impact on the RAB over time.

The Commission plans to work with SA Water to develop a spreadsheet/s that would be released. However, for the avoidance of doubt, the Commission notes that it will determine the materials to be published, having regard to the input from SA Water. The Commission's intention is that over time stakeholders can provide comment and feedback on whether the information published on the RAB meets their needs.

11.3.6.3 Section 6 Ministerial directions

As mentioned in Chapter 4, section 6 Ministerial directions have been issued in relation to capital expenditure. These are documented in Table 11.7.

[771] AtkinsRealis, *Final Report - SA Water Capex Review 2024,* pp. 92-93.
[772] SA Water, *SA Water's response to ESCOSA's Draft Determination*, pp. 44-46.
[773] AtkinsRealis, *Supplementary Report - SA Water Capex Review*, pp. 26-30.
[774] South Australian Council of Social Service, *Submission to Draft Regulatory Determination*, pp. 15-17, 22-26.

Table 11.7: Section 6 Ministerial directions for SAWRD24

Section 6 Directions	Amounts, $m ($Dec22)[775]	Nominal terms, over SAWRD24, $m (as in Direction)
Northern Adelaide Irrigation Scheme (NAIS)	8.2	9.0
Kangaroo Island Desalination Plant	15.2	16.3
Metropolitan Growth	1,070.1	1,192.0
Tea Tree Gully Sustainable Sewers	293.1	326.9

Section 6 Ministerial directions outline capital expenditure for water and sewerage infrastructure in metropolitan Adelaide (Metropolitan Growth infrastructure project). However, the direction does not specify the allocation of expenditure on sewerage or water. SA Water has advised that the total capital expenditure on this activity should be apportioned 50 percent to sewerage and 50 percent to water. This allocation of expenditure across the Metropolitan Growth project is a change from the time of the RBP and the draft determination where assumptions were that the expenditure would be all related to water.

11.3.6.4 Summary

Taking all the positions put forward above, and including Ministerial section 6 directions, Table 11.8 provides a summary of the key changes since the publication of the draft determination.

The increase in net capital expenditure for the SAWRD24 period, relative to the draft positions, reflects higher expenditure to account for the Eyre Peninsula Desalination Augmentation (due to the expected timing of expenditure and the inclusion of proving period costs), expenditure for family violence provisions, marginally higher efficiencies, and $1,057 million of expenditure for Ministerial section 6 directions.

Table 11.8: Changes between draft and final determination

	2024-25 ($m)	2025-26 ($m)	2026-27 ($m)	2027-28 ($m)	Total ($m)
Gross pre-efficiency, pre section 6 Ministerial directions – amount included in the draft determination					
Water	289.6	320.8	410.6	379.7	1,400.8
Sewerage	154.0	159.0	164.7	170.4	648.1
Total	443.6	479.8	575.3	550.2	2,048.9

[775] Section 6 Ministerial directions are published in nominal dollar terms. However, the figures above (in Table 11.8) have been converted into real (inflation-adjusted) terms ($Dec22) for the purposes of the regulatory determination. The conversion has been based on CPI inflation forecasts utilised in the regulatory determination (as used in the calculation of the tax allowance). The forecasts are as follows: 3.1 percent for 2024-25, 2.6 percent for 2025-26, 2.55 percent for 2026-27, and 2.50 percent for 2027-28.

	2024-25 ($m)	2025-26 ($m)	2026-27 ($m)	2027-28 ($m)	Total ($m)
Add new expenditure:					
EP Desalination (water)	0.0	30.9	2.3	1.5	34.7
Family violence (water and sewerage)	2.1	0.0	0.0	0.0	2.1
Gross pre-efficiency, pre-section 6 directions					
Water	290.7	351.7	413.0	381.2	1,436.6
Sewerage	155.0	159.0	164.7	170.4	649.2
Total	445.7	510.7	577.7	551.6	2,085.7
Catch-up efficiency					
Water	6.5	15.8	19.6	19.1	61.0
Sewerage	3.5	7.2	7.8	8.5	27.0
Continuing efficiency					
Water	1.5	3.5	6.2	7.6	18.7
Sewerage	0.8	1.6	2.5	3.4	8.2
Gross post-efficiency totals					
Water	282.7	332.4	387.2	354.6	1,356.8
Sewerage	150.8	150.3	154.4	158.5	614.0
Total	433.4	482.6	541.6	513.1	1,970.8
Add Ministerial section 6 directions					
NAIS - water[776]	0.0	6.6	0.0	0.0	6.6
Kangaroo Island Desalination - water	15.2	0.0	0.0	0.0	15.2
Metropolitan Growth – (allocated 50% water, 50% sewerage)	277.8	270.7	264.0	257.6	1070.1
TTG - sewerage	72.1	71.8	76.7	72.6	293.1
Total	365.1	349.1	340.7	330.1	1385.0

[776] The draft determination included $1.6 million for NAIS and the final determination has added $6.6 million. This gives a total of $8.2 million ($Dec22), which is equivalent to the $9 million in nominal terms in the section 6 Ministerial direction.

	2024-25 ($m)	2025-26 ($m)	2026-27 ($m)	2027-28 ($m)	Total ($m)
Gross post-efficiency totals plus section 6 directions					
Water	436.8	474.3	519.2	483.4	1913.7
Sewerage	361.8	357.4	363.1	359.9	1442.2
Total	798.5	831.8	882.3	843.2	3355.8
Net capital expenditure totals[777]					
Water	429.6	467.2	512.1	476.2	1885.1
Sewerage	354.6	350.3	356.0	352.7	1413.6
Total	784.2	817.5	868.0	828.9	3298.7

Considerations of total expenditure

In relation to the size of total net capital expenditure for SAWRD24, several stakeholder submissions suggested the amount included was insufficient. For instance, SA Water expressed the view that the total amount included in the draft determination for SAWRD24 would be lower than SAWRD20 if expected section 6 Ministerial directions were excluded.[778]

In terms of other stakeholders, the UDIA suggested that the total capital expenditure amount in the draft determination did not focus on the level of risk. It claimed there has been historical under-investment in growth infrastructure.[779] The OTR pointed to risks relating to intergenerational equity,[780] while the CCG suggested potential service risks due to the capital expenditure amount included in the draft determination and it queried the sample size of projects assessed by the Commission.[781]

Based on the evidence available, a four-year total prudent and efficient benchmark net capital expenditure amount (excluding section 6 Ministerial directions) would be $1,914 million for SAWRD24 ($Dec22).[782]

The Commission notes the following responses to the views put forward by SA Water and other stakeholders.

- A total gross $1,971 million prudent and efficient expenditure amount would be consistent with the recommendations put forward by independent consultant, Atkins.[783] While there can be reasons for increases in capital expenditure to address growth, those increases would need to consider the magnitude and timing of increased capital contributions which can, at least partly, offset this. The issue of developer contributions is discussed further below.

[777] Net capital expenditure totals subtract cash capital contributions (discussed in Section 11.3.6.2) from the Gross post-efficiency totals plus Ministerial section 6 directions.
[778] SA Water, *SA Water's response to ESCOSA's Draft Determination*, pp. 22-23.
[779] Urban Development Institute of Australia, pp. 2-3.
[780] Office of the Technical Regulator, *Submission to Draft Regulatory Determination*, pp. 1-2.
[781] Customer Challenge Group, pp. 2-3.
[782] The four-year total prudent and efficient benchmark gross amount is shown as $1971 million in Table 11.8. Removing $57 million for contributions gives the $1914 million net figure).
[783] AtkinsRealis, *Supplementary Report - SA Water Capex Review*, pp. 32-33.

- Stakeholder submissions provided mixed views on the total amount of capital expenditure for SAWRD24. While SA Water, UDIA, RDA and the CCG suggested higher capital expenditure may be required,[784] other stakeholders, such as SACOSS, Uniting Communities and SAFRRA, raised concerns regarding affordability.[785] The results from the engagement YourSAy survey provided mixed views. Additionally, SACOSS queried how developer contributions would be recovered from growth projects.[786]

- Atkins's review highlighted that asset health indicators provided by SA Water have been stable or improving.[787] This information provided a counterpoint to the suggestions from stakeholders regarding the prospect of increased service risk.[788]

- The Commission has had regard to cost increases and cost efficiencies. The dollar amounts proposed by SA Water in business cases and supporting information was incorporated by the Commission. Those expenditure amounts have been utilised to determine a net amount of $1,914 million above.

- While the CCG suggested that the Commission should evaluate all business cases, rather than a sample, and claimed that drawing conclusions using a sample was 'deficient and unacceptable',[789] the CCG's statement is factually incorrect in respect of the Commission's approach in the draft determination (as the Commission utilised a range of information including asset health indicators, historical trends and reviews of business cases).[790] The CCG's submission also did not recognise or respond to the detailed analysis undertaken for the Commission's draft position. Rather, the CCG appears to put forward several assertions with little, or none, supporting information or evidence.

Risk of deliverability

In the draft determination, the Commission noted three risks surrounding capital program deliverability (that is, the risk of under or overspend on capital). The three risks noted by the Commission were:

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[784] SA Water, *SA Water's response to ESCOSA's Draft Determination*, pp. 114, Urban Development Institute of Australia, pp. 2-5, Customer Challenge Group, pp. 1-5 and Regional Development Australia – Barossa, Gawler, Light and Adelaide Plains, pp. 1-4.

[785] South Australian Council of Social Service, *Submission to Draft Regulatory Determination*, pp. 6-8, 17-19, Uniting Communities, *Submission to Draft Regulatory Determination*, p. 9 and South Australian Federation of Residents and Ratepayers Associations, pp. 1-2.

[786] South Australian Council of Social Service, *Submission to Draft Regulatory Determination*, p. 14.

[787] AtkinsRealis, *Supplementary Report - SA Water Capex Review*, pp. 11-14, and AtkinsRealis, *Final Report - SA Water Capex Review 2024,* pp. 66-72.

[788] SA Water, UDIA, CCG and the OTR did not provide any detailed response or analysis on the matter of asset health and service indicators.

[789] Customer Challenge Group, p. 3.

[790] For instance, the Commission's analysis involved reviewing a sample of projects and combined this with analysis of historical trends in expenditure and other supporting information (such as asset health indicators). However, it did not, as was suggested by the CCG, apply general conclusions from the sample to the wider group of projects. If it did, as was suggested by the CCG, this actually could imply a much lower capital expenditure amount. In terms of choosing a sample of projects, this is common practice among economic regulators, including in the Commission's previous three determinations, and represents a fit-for-purpose approach to reviewing expenditure in a timely manner. For example, samples were used in the following regulatory determinations; Independent Competition and Regulatory Commission, *Regulated Water and Sewerage Services Prices 2023-28*, Final report, May 2023, pp. 41-42, available at https://www.icrc.act.gov.au/__data/assets/pdf_file/0006/2215455/Regulated-water-and-sewerage-services-2023-28-final-report.pdf, Essential Services Commission of South Australia, *SA Water Regulatory Determination 2020*, pp. 112-113, Essential Services Commission of South Australia, *SA Water Regulatory Determination 2016*, p. 4, 91, 121, 125, and Essential Services Commission of South Australia, *SA Water Regulatory Determination 2013*, p. 48.

1. Systems and processes to deliver projects. While SA Water proposed a large capital program for SAWRD24, it had experienced challenges delivering on a much-lower expenditure benchmark amount set out by the Commission for SAWRD20. This situation raised questions regarding whether or not SA Water's internal processes and systems had improved sufficiently since SAWRD20, for SA Water to be capable of delivering, at a prudent and efficient cost, a large capital program.

2. Economic conditions in the construction sector. Insofar as a large capital program in excess of a prudent and efficient amount is progressed, there are risks of construction cost increases and project slippage due to difficulties securing labour and materials.

3. Price and timing risk. The high share of capital expenditure projects in their very early stages of planning highlighted timing and price risk associated with SA Water's capital expenditure proposals.

These three risks have been considered when making the final position for SAWRD24.

As explained earlier, deliverability risk is, in effect, part of the typical forecast risk involved in setting out a four-year prudent and efficient benchmark expenditure amount: the regulator must have regard to the degree of forecast risk involved and who is best able to manage that risk (being consumers or the regulated business).

Overall, the Commission considers $1,914 million would be its forecast for prudent and efficient benchmark capital expenditure for SAWRD24 that balances risk between consumers and SA Water.

The Ministerial section 6 directions issued will increase capital expenditure by $1,385 million for SAWRD24.[791] Consequently, the capital program for SAWRD24 of $3,299 million, including section 6 Ministerial directions, carries high deliverability risks. For example, it would not be in the long-term interests of consumers to pay for the returns on and of capital that is not spent during the period, nor would it be in the long-term interests of consumers to pay for project cost overruns.

Reflecting the higher apparent deliverability risk, the Commission plans to:

- Enhanced monitoring and reporting

  During SAWRD24 this will involve increased information gathering by the Commission from SA Water about how capital expenditure projects and programs are progressing during the period.

  This will also involve the Commission reviewing projects and programs during the period. Including formal and informal information collection and reporting of expenditure outcomes. The Commission (and/or third-party consultants acting on its behalf) may hold periodic interviews with SA Water staff regarding the progress of projects and programs.

  Chapter 18 discusses monitoring activities for SAWRD24 in further detail.

[791] Note the total value of Ministerial section 6 directions is, as outlined earlier, approximately $1,387 million. A figure of $1,385 million is added to $1,914 million (which gives $3,299 million) on the basis that around $1.6 million for NAIS is already included in the $1,914 million figure.

- Undertake a detailed and ongoing ex-post review

  The ex-post review process will involve, among other things, separate reviews of section 6 Ministerial direction expenditure and of other projects and programs expenditure.

  SA Water, as a long-term asset manager, has the flexibility to manage its capital program. However, the $1,385 million of capital expenditure on section 6 Ministerial directions should not be perceived, or utilised, by SA Water as a form of 'buffer fund' in the delivery of other projects and program capital expenditure. For example, the Commission will be monitoring closely the risk of underspend on section 6 Ministerial directions but overspend elsewhere.

  Additionally, the $1,914 million of capital expenditure on other projects and programs should not be perceived, or utilised, by SA Water as a general 'backup fund' for capital expenditure for section 6 Ministerial directions. For instance, if the project scoping, planning and cost estimates turn out to be inadequate for section 6 Ministerial directions, and results in cost overruns and a need for further expenditure, then, subject to the issuance of any further section 6 Ministerial directions, the Commission's initial position is that SA Water can (and should) draw on equity or debt-funding to meet the requirements. The Commission will be monitoring closely the delivery of non-section 6 Ministerial direction capital expenditure.

  Finally, SA Water should not assume that if it outlays capital expenditure during SAWRD24 that this will automatically be included in the RAB. SA Water must only expend prudent and efficient capital expenditure. The ex-post review process may be progressed during and at the end of SAWRD24. The Commission's intention is that it will need to review a larger range of activities, programs and projects than has been the case in the past. It is not in the long-term interests of consumers for imprudent or inefficient capital expenditure to be rolled into the RAB.

Capital contributions from Metropolitan Growth project infrastructure

An area of risk relates to the treatment of capital contributions for SAWRD24.

As highlighted in Chapter 8, charges to developers help to recover the area-specific, development-contingent costs of providing or upgrading water and sewerage networks to serve new development.

As outlined earlier, while there may be a case for the inclusion of developer contributions to be netted off the RAB in relation to the Metropolitan Growth project, the timing and size of the prudent and efficient contributions are uncertain, given the size, nature and timing of this project is uncertain (that is, the potential costs and risks of the project are not completely visible to the Commission at this stage). Consequently, there is insufficient information available for the Commission to incorporate a forecast of prudent and efficient capital contributions for this project. Accordingly, for SAWRD24, capital contributions from the Metropolitan Growth project have not been netted off the RAB.

On the one hand, without recovering contributions, there is a risk that existing customers pay more than is efficient and prudent. On the other hand, it may be the case that contributions would not be expected during SAWRD24 and may only be expected to commence in SAWRD28 once infrastructure has been constructed and put in place. During SAWRD24 the Commission will review how SA Water intends (and has to date) implemented its developer contributions framework in relation to this project.

11.4 Final position – SAWRD24 Capital Expenditure

On balance, for the final determination, the Commission has noted that a four-year total prudent and efficient benchmark net capital expenditure amount (excluding section 6 Ministerial directions) would be $1,914 million for SAWRD24 ($Dec22).

Nevertheless, in addition to this prudent and efficient expenditure benchmark amount, the final position has included the capital expenditure for Ministerial directions under section 6 of the PC Act.

Accordingly, the Commission has determined that a four-year total prudent and efficient benchmark net capital expenditure amount (including Ministerial section 6 directions) is $3,299 million for SAWRD24 ($Dec22).

The Commission's final position is that the prudent and efficient benchmark net capital expenditure amounts to be included in the calculation of the revenue caps are as follows:

- $1,885 million ($Dec22) for water retail services, which is 49 percent higher than the benchmarks set for SAWRD20 and 2 percent higher than the RBP proposal from SA Water, and
- $1,414 million ($Dec22) for sewerage retail services, which is 129 percent higher than the benchmarks for SAWRD20, and 45 percent higher than the RBP proposal from SA Water.

Table 11.9: Final net capital expenditure for SAWRD24

	2024-25 ($m)	2025-26 ($m)	2026-27 ($m)	2027-28 ($m)	Total ($m)
Net capital expenditure – water	430	467	512	476	1,885
Net capital expenditure – sewerage	355	350	356	353	1,414
Net capital expenditure – total	784	817	868	829	3,299

11.5 Ex-post prudent and efficient capital expenditure for SAWRD20

This section outlines:

- a summary of SA Water's capital expenditure outcomes for 1 July 2020 to 30 June 2023 and SA Water's capital expenditure forecast for 1 July 2023 to 30 June 2024 (section 11.5.1)
- a summary of the matters raised in consultation (section 11.5.2)
- the Commission's analysis and positions outlined for the draft determination on the prudent and efficient benchmark net capital expenditure amounts for SAWRD20 (section 11.5.3 and 11.5.4)
- a summary of the matters raised in consultation on the draft determination (section 11.5.5), and
- the Commission's further analysis and its final position for the final determination (section 11.6).

11.5.1 SA Water's outcomes in SAWRD20 and its forecast for 2023-24

SA Water reported actual capital expenditure for the period 1 July 2020 to 30 June 2023 (including an estimate for 2022-23) (of $1,226 million, $Dec22) and proposed a forecast of capital expenditure for 2024-24 of $717 million ($Dec22) (Table 11.10).[792]

[792] At the time of making this draft determination, the 2023-24 capital expenditure proposal remains a forecast based on SA Water's budgeted amounts. The amounts reported (and shown in Table 11.6) are aggregate amounts based on the capital expenditure in SA Water's revenue model, adjusted for inflation. Amounts from the RBP and the revenue model can differ to project-level information (used by Atkins), in part, due to the timing in which the amounts have become available; project-level information can include updated information from activities undertaken throughout 2023.

Table 11.10: SA Water RBP proposal actual capital expenditure ($Dec22)

	2020-21	2021-22	2022-23 (estimate)	2023-24 (forecast)	Total
Net capital expenditure – water	183	281	353	473	1,290
Net capital expenditure – sewerage	116	139	154	244	653

Overall, if including the forecast for 2023-24, SA Water's proposal for the four-year ex-post capital expenditure outcomes was for an increase of over $50 million in excess of the expenditure benchmark set by the Commission in SAWRD20 (approximately 3 percent higher).

As discussed below, actual capital expenditure in SAWRD20 to date has been approximately 15 percent less than the expenditure benchmark set in SAWRD20. Consequently, the increase in the four-year outcome compared to the SAWRD20 benchmark largely reflects SA Water's forecast of a sharp increase in capital expenditure for 2023-24.

Further discussion of expenditure outcomes and project-level information is included in section 11.5.3 below.

11.5.2 Matters raised in consultation

Submissions did not comment on SAWRD20 capital expenditure outcomes to be included in the RAB. However, as mentioned in section 11.3, stakeholders raised general themes relating to affordability, managing risk, Ministerial directions under section 6 of the PC Act, regional water supplies, urban growth and individual projects, all of which primarily relate to the SAWRD24 period (discussed earlier in section 11.3).

11.5.3 Analysis

The following analysis was undertaken for the draft determination and informed the Commission's draft position in respect of the net capital expenditure for SAWRD20. That analysis was on the prudent and efficient benchmark net capital expenditure amounts for SAWRD20 and was informed by a representative sample of capital expenditure projects and programs, business case and related information (for example, project development information, costing information and details regarding the project or program's delivery approach), and interviews with SA Water staff.

11.5.3.1 Sample of projects and programs for SAWRD20

The Commission assessed a sample of SA Water's projects and programs for SAWRD20. In selecting the sample, the Commission considered the value of the projects and programs as well as their service type and category. The sample of projects and programs was selected before starting interviews and information collection.[793] The sample for the ex-post review accounted for approximately 23 percent of SA Water's capital expenditure for the period.[794]

The approach adopted by the Commission, having regard to advice from its consultants, was to include services and categories of all types and sizes; however, the Commission notes that it has focussed, to an extent, on major projects and programs.

Table 11.11 (below) documents the sample of ex-post projects and/or programs that have been reviewed.

[793] The latter occurred through September 2023, October 2023 and November 2023.
[794] AtkinsRealis, *Final Report - SA Water Capex Review 2024*, pp. 17-18.

Table 11.11: Sample of projects for ex-post review[795]

Project name	Service type	Category
Kangaroo Island Desalination Plant	Water	Enable growth
Eyre Peninsula Desalination Augmentation	Water	External obligations
Bolivar Wastewater Treatment Plant Capacity Growth Upgrade	Sewerage	Enable growth
Morgan Whyalla Pipeline No1 Replacement	Water	Sustain services
Asset Program Mains Water Network Water Mains Replacement Metro OP20	Water	Sustain services
Regional Areas Water Quality Improvement Water Treatment Plant	Water	Improve services
Northern Adelaide Irrigation Scheme Infrastructure	Sewerage	External obligations
Asset Program Structures Wastewater Treatment Plant and Bolivar Wastewater Treatment Plant	Sewerage	Sustain services
Major Plant Acquisition	Other	Sustain services

11.5.3.2 Assessment of SA Water's actual expenditure for SAWRD20

Having reviewed the RBP, business cases and other supporting evidence made available by SA Water and the advice provided by Atkins,[796] for the draft determination the Commission assessed that there were material capital expenditure variations in five major projects,[797] as shown in Table 11.12 below. At the overall level, the variance appeared to relate to slippage in the timing of projects (for instance, projects were delivered materially later than planned, delaying capital expenditure) and/or cost overruns.

Table 11.12: Examples of major projects with variances ($Dec22)[798](rounded figures)

Project name	Planned ($m)	Estimate for actual for SAWRD20 ($m)	Estimated variance ($m)
Mount Bold Dam Safety Upgrade	98	26	-72
Kangaroo Island Desalination Plant	53[799]	144	+91
Bolivar Wastewater Treatment Plant Capacity Growth Upgrade	26	49	+23
Eyre Peninsula Desalination Augmentation	98	79	-19

[795] Ibid, pp. 18-20, 20-51.
[796] Ibid, pp. 18-20, 20-51.
[797] Major projects are defined as those of value above $50 million. The five major projects are based on those reviewed as part of the ex-post and/or ex-ante reviews of a sample of projects and programs.
[798] AtkinsRealis, *Final Report - SA Water Capex Review 2024*, pp. 17-18, 31-33, 33-34, 34-36, 38-39, and 87-88.
[799] Total includes contributions from South Australian and Commonwealth Governments.

Project name	Planned ($m)	Estimate for actual for SAWRD20 ($m)	Estimated variance ($m)
Morgan Whyalla Pipeline No1 Replacement	70	56	-14

Atkins' opinion, having reviewed the SA Water information, was that SA Water under-scoped some projects and failed to appreciate the risks and complexity of others (for example, locational and technical issues).[800] It put the view that this may, in part, have been due to the fact that, when SA Water explained those projects in the SAWRD20 process, they were in early stages of preparation and planning.[801] The Commission notes that a similar deliverability risk exists in relation to SA Water's proposed capital program for SAWRD24.

The Commission observed in the draft determination that this is not unusual in ex-ante economic regulation: a regulated business has (or should have) a suite of long-term asset management and delivery plans; those plans will be based on the best evidence of matters such as likely future demand and asset condition; the plans should not be based on, or fixed to, a four-year regulatory period. As such, it is inevitable that, at the time of submitting a RBP, the suite of projects will be at various stages of development, based on the needs emerging from the long-term plans. It would not be expected that each project or program would be at a final stage at the time an RBP is submitted.

Nevertheless, the Commission noted that this did not mean that nascent (or early stage) proposals should be expected or paid for by customers. The full timing and price risk of those proposals should not be borne by customers as SA Water is best placed to manage these risks. SA Water identified different cost classification categories of project readiness. Noting the degree of cost risk associated with those different categories, it would not be in consumers' long-term interests for them to bear the full risk of early-stage projects – and the regulatory determination, through the assessment and setting out of prudent and efficient net capital expenditure benchmarks and the potential for ex-post regulatory, is set accordingly.

In its report, Atkins also identified other potential contributing factors for the variances, such observed increases in infrastructure construction costs in South Australia, which have increased over the past three years,[802] as well as potential impacts from COVID-19-related disruptions (although disentangling these from other economic effects appears difficult based on current evidence).[803]

The under-scoping and under-appreciation of challenges and complexity during SAWRD20 can be seen in several major projects that have been reviewed as part of the ex-post or ex-ante samples.

- In the case of the Mount Bold Dam Safety Upgrade, the complexity involved resulted in project slippage during SAWRD20. Notwithstanding various iterations of modelling and analysis, the project options have been (and continue to be) scoped. As noted previously, there is still more planning and project optioneering to be progressed before the project is close to the construction phase.[804]

[800] AtkinsRealis, *Final Report - SA Water Capex Review 2024*, pp. 9-10, 17-27.
[801] Ibid, pp. 8-20, 20-51.
[802] South Australian Auditor-General's Department, pp. 48-49. Also, see Oxford Economics Australia, pp. 1-2.
[803] AtkinsRealis, *Final Report - SA Water Capex Review 2024,* pp. 27-29. Atkins' opinion is that the underspend by SA Water in 2020-21 and 2021-22 is likely to be only partially, rather than fully, affected by COVID-19 related disruptions.
[804] AtkinsRealis, *Final Report - SA Water Capex Review 2024,* pp. 87-88.

- Cost overruns have been evident for several projects. These included the Kangaroo Island Desalination Plant and, to a lesser extent, the Bolivar Wastewater Treatment Plan Capacity Growth Upgrade.[805] Capital expenditure on the Kangaroo Island Desalination Plant significantly exceeded plans. The original cost and scoping under-estimated the complexity of delivering a project of this sort.[806] In the draft determination the Commission assessed inefficient capital expenditure relating to the removal and relaying of a new pipeline associated with the Kangaroo Island Desalination Plant, and it assessed an expected small amount of capital slippage from 2023-24 into 2024-25.[807]
- In the case of the Eyre Peninsula Desalination Plant, while the variance between planned and incurred expenditure during SAWRD20 was not as large as for the Kangaroo Island Desalination Plant or the Mount Bold Dam Safety Upgrade, the total capital expenditure proposed for the project in SAWRD24 highlights that significant re-scoping of the project has taken place since 2020. The Eyre Peninsula Desalination Plant is an example of a project in which under-scoping and under-appreciation of challenges have led to major re-scoping and cost changes since it was originally proposed (for example, project costs have increased on the basis of design changes, processes involved in site selection and investigations, and an under-appreciation of the cost of developing the project in a regional and marine area).[808]
- In the case of the Morgan to Whyalla pipeline, there was underspending due to the project slipping from the planned expenditure profile. This reflected the need for the re-appraisal of options to, among other factors, overcome environmental challenges (such as risks to local fauna and species of mallee birds).[809] This project will continue through into SAWRD24, but is likely to involve only gradual delivery (given these current challenges).[810]

In contrast to the major projects listed above, SA Water maintained capital expenditure on sustaining services during SAWRD20 (with only a minor underspend). This was considered by the Commission in the draft determination as an indication that it was possible for SA Water to keep a significant part of its capital program on track, despite higher infrastructure construction costs and any potential impacts from COVID-19 related disruptions.[811]

Furthermore, the Commission found in the draft determination that comparator utilities in Australia did not appear to experience the same level of variance as seen in SA Water's performance in 2020-21 and 2021-22. Also, SA Water underspent in 2016-17, which, on one hand may be of limited relevance (if its planning and processes have changed since then), but on the other hand, it could be indicative of a 'year one effect', in which projects do not progress as quickly during the first year of a regulatory period, as assumed in original planning and scoping.[812]

In the RBP, SA Water stated that it expected capital expenditure 'deferrals' to the value of more than $400 million in the SAWRD20 period.[813] However, for the draft determination the Commission assessed that during the period SA Water re-prioritised expenditure across various activities and projects – which it considered was appropriate and typically a standard practice among utilities.[814] The Commission noted in the draft determination that SA Water should be re-prioritising expenditure, on prudent and

[805] Ibid, pp. 33-34, 38-39.
[806] Ibid, pp. 29-31, 46-47.
[807] Ibid, p. 30.
[808] Ibid, pp. 34-36.
[809] Species of mallee birds were declared as endangered in December 2021.
[810] AtkinsRealis, *Final Report - SA Water Capex Review 2024,* pp. 31-33.
[811] Ibid, pp. 8-15, 24-26.
[812] Ibid, pp. 27-29.
[813] SA Water, *Regulatory Business Plan 2024-28*, p. 41, 52, 67, 147, 206. The calculation and concept of deferrals being referred to by SA Water relates to SA Water's delivery plan. AtkinsRealis, *Final Report - SA Water Capex Review 2024,* pp. 9-10, 28-29.
[814] AtkinsRealis, *Final Report - SA Water Capex Review 2024,* pp. 26-27.

efficient basis, within its overall capital benchmark to manage and mitigate risks. Furthermore, despite re-prioritisation of expenditure, SA Water's indicators of asset health performance, including water pipe failures, sewer breaks, and breakdowns and corrective maintenance work orders, did not suggest any significant deterioration in asset health.[815]

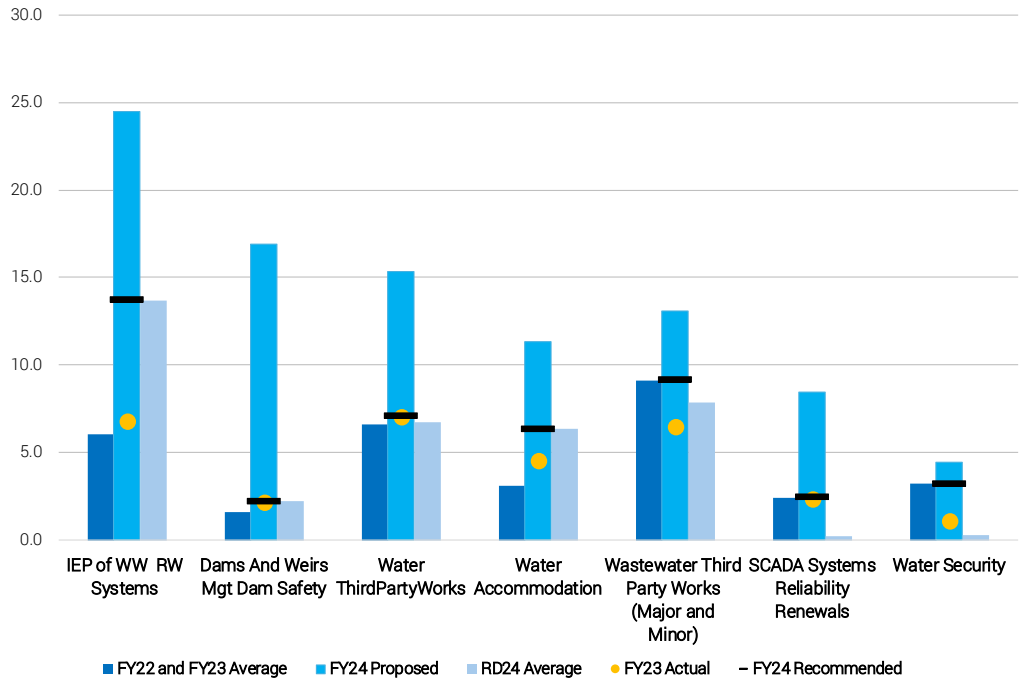
Overall, despite the challenges in scoping, project planning and delivery (noted above), for the draft determination the Commission assessed that SA Water's actual net capital expenditure over 2020-21 to 2022-23 were prudent and efficient for the purposes of the draft determination.

11.5.3.3 Assessment of SA Water's forecast for 2023-24

The Commission's ex-post review for the draft determination considered SA Water's forecast of capital expenditure for 2023-24.

The Commission considered that seven proposed projects had an inefficient forecast. For example, there were seven projects with large forecasts of expenditure for 2023-24 (Figure 11.10).[816]

Figure 11.10: Seven projects with large increases in expenditure proposed by SA Water for 2023-24 ($Dec22)[817]



The expenditure forecast for 2023-24 were considered large when scaled against the following three comparisons: actual expenditure over 2021-22 and 2022-23, SA Water's forecast for SAWRD24, and the amount of actual expenditure seen in 2023-24 to date. Further, within business cases and related documentation, the Commission assessed that there was limited justification for the size of the planned increase in 2023-24.[818]

[815] In terms of non-pipes, breakdowns and corrective maintenance as a proportion of work orders have been improving since 2017. In terms of pipe failures, the annual number of failures during the SAWRD20 period has not been that different to the number observed during SAWRD16. Ibid, pp. 59-60, 66-67.

[816] These included: EIP of WW RW Systems, Dams and Weirs Mgt Dam Safety, Water Third Party Works, Water Accommodation, Wastewater Third Party Works (Major and Minor), SCADA Systems Reliability Renewals, and Water Security.

[817] AtkinsRealis, *Final Report - SA Water Capex Review 2024*, pp. 47-49.

[818] Ibid, pp. 40-42.

In its report, Atkins found approximately $41 million ($Dec22) of inefficient expenditure relating to seven projects with large, proposed increases in expenditure in 2023-24. Atkins stated:[819]

> *'Based on the initial analysis, we have identified several projects that show significant step change increase between FY23 and FY24 as well as forecast 1.5x higher expenditure than the rate of expenditure proposed for RD24. This was done by identifying business cases line items with a step-change that is 75% higher than the actual spend in FY23. Additionally, another flag was added to identify projects with FY24 forecast expenditure that is 1.5 times higher than the rate of expenditure proposed for RD24. For each project that satisfied the two identification flags, we undertook a desktop review for linked business cases as well as individual sub-projects for RD20 to understand the context of the step-change. One of the criteria that was looked at for the identification is the driver of investment. For example, we considered the step-change related to growth projects to be reasonable as SA Water is facing growth demands.*
>
> *After comprehensively reviewing business cases with significant change, we identified seven with a FY24 step change that we thought was outside of the reasonable expenditure trends. Per the information provided, each RD24 business case is linked to multiple RD20 projects. Therefore, in our review we examined each step-change at both the business case and individual project levels. The step-change for each identified business case ranged from 100% to almost 700% increase in FY24 forecast compared to actual FY23 expenditure...'*

In addition, Atkins found approximately $7 million of inefficient expenditure relating to the Northern Adelaide Irrigation Scheme (NAIS) program in 2023-24 (given limited evidence of increased demand, the extent of proposed expenditure was not considered prudent and efficient in 2023-24). Atkins identified $14 million of inefficient expenditure related to the Kangaroo Island Desalination Plant (relating to the removal and relay of pipe).[820]

Additional project expenditure was identified in the Atkins report that, in its view, will take place in SAWRD24 rather than in financial year 2023-24. Atkins recommended 're-profiling' approximately $1.6 million for the NAIS project, approximately $3 million for the Kangaroo Island Desalination Plant, and $36 million for the Morgan to Whyalla Pipeline.[821] By way of background, 're-profiling' relates to instances where the proposed expenditure profile put forward by a regulated business (that is, the proposed timing of the capital expenditure) is considered to be imprudent and/or inefficient. For example, if a monopoly overstates its capital expenditure profile, through imprudent and/or inefficient assumptions about timing, this can lead to inefficient costs being borne by customers.

Having reviewed the RBP, business cases and other supporting evidence made available by SA Water and the advice provided by Atkins, for the draft determination the Commission assessed that the evidence suggested that SA Water's proposal for expenditure in 2023-24 included imprudent and inefficient expenditure.

Overall, for the draft determination the Commission assessed the following.

- There was $41 million of inefficient levels of capital expenditure in 2023-24 associated with seven individual projects. The Commission determined this by reviewing seven projects with high step-changes, calculating the average incurred expenditure in 2021-22 and 2022-23 and calculating the average expenditure forecast for SAWRD24, and then taking the highest of those two figures. That highest figure was then treated as the forecast for each of the seven projects for 2023-24. This led to approximately $41 million being determined to be inefficient.

[819] Ibid, pp. 45-49.
[820] Ibid, 33-34, 39-41.
[821] Ibid, 31-33, 33-34, 39-41.

- There was $14 million of inefficient spend on removing and relaying pipe for the Kangaroo Island Desalination Plant. There was also a small amount ($3 million) of re-profiling between 2023-24 and 2024-25.
- There was $36 million of re-profiling of expenditure for the Morgan to Whyalla Pipeline between 2023-24 and SAWRD24. Atkins' opinion, having reviewed the SA Water information, including the amount of expenditure in 2023-24 to date, was that delays and environmental challenges (such as risks to local fauna and species of mallee birds) would affect the expenditure profile. The Commission considered that $36 million from SA Water's proposal for 2023-24 for the Morgan to Whyalla Pipeline would be spread into the SAWRD24 period.
- There was $7 million of inefficient levels of expenditure for NAIS for 2023-24. The Commission found that there was information to support approximately $1.6 million of NAIS capital expenditure in 2023-24 and approximately $1.6 million in 2024-25, but the rest of the NAIS proposed expenditure ($5.4 million) was considered to be inefficient based on limited customer demand.

11.5.4 Draft position – SAWRD20 Capital Expenditure

The draft position was that the prudent and efficient benchmark net capital expenditure amounts to be included in the roll-forward of the RAB, to decide the opening RAB values for SAWRD24, are as follows:

- $1,194 million ($Dec22) for water retail services, which is 7 percent lower than that proposed by SA Water, and
- $647 million ($Dec22) for sewerage retail services, which is approximately 1 percent lower than that proposed by SA Water.

Table 11.13: Draft position on ex-post capital expenditure for 1 July 2020 to 30 June 2024 ($Dec22)

	2020-21 ($m)	2021-22 ($m)	2022-23 ($m)	2023-24 ($m)	Total ($m)
Net capital expenditure	**299**	**420**	**507**	**615**	**1,841**
Net capital expenditure – water	183	281	353	377	1,194
Net capital expenditure – sewerage	116	139	154	238	647

11.5.5 Consultation on draft

In its submission to the draft determination, SA Water suggested the forecast for 2023-24 should be $51 million higher. It suggested $44 million of adjustments (to a range of projects) on the basis that the expenditure is SA Water's current forecast for 2023-24 and, in some cases, involves contractual obligations. In addition, SA Water suggested that on a legal basis an additional $7 million should be included for NAIS in 2023-24.[822] SA Water did not submit on the expenditure for 2020-21 to 2022-23.

Subsequent to sending the submission to the Commission, SA Water provided information outlining that approximately $32 million (in nominal terms) ($30 million in $Dec22) on the Eyre Peninsula Desalination Augmentation would be deferred from 2023-24 into the SAWRD24 period.

No other submissions commented on the SAWRD20 net capital expenditure amounts.

[822] SA Water, *SA Water's response to ESCOSA's Draft Determination*, pp. 23-30.

11.5.6 Further analysis

The Commission sought advice from Atkins about SA Water's submission and its supporting information regarding small projects and adjustments to the forecast for 2023-24.[823]

In Atkins' opinion, the previous amendments for four projects should be adjusted as follows: a $7.5 million increase to Dams and Weir Safety (due to project works completed and in progress), a $3.1 million increase for water third party works (due to project works completed and in progress), a $4.2 million increase for water accommodation (due to project works completed and in progress), and a $6.1 million increase for SCADA Systems Reliability Renewals (due to project works completed and in progress). However, having reviewed the available supporting information, in Atkins' view, the suggested amendments included for water security, IEP of WW RW Systems and wastewater third party works (major and minor) remain the same as in the original report. In total, Atkins has suggested an additional $20.8 million to be included in the 2023-24 forecast of capital expenditure.[824]

The Commission has given regard to Atkins' recommendations on these capital projects when considering the forecast for capital expenditure in 2023-24.[825]

While SA Water has suggested that the full $9 million on NAIS should be included in 2023-24 on the basis of a 2017 Ministerial section 6 Direction,[826] the Commission's view is contrary to this position. SA Water is not subject to a Ministerial direction to spend on NAIS in 2023-24. The Commission's assessment is that, on efficiency grounds, there is no case for including the full expenditure in 2023-24 as there is not yet sufficient indicators of demand.

The recently issued Ministerial section 6 Direction for SAWRD24 indicates that NAIS spend must be included in SAWRD24. Accordingly, the Commission has removed the $1.6 million that was previously included in the ex-post analysis for the draft determination for 2023-24 (as this spend is now considered, given the directions issued, to be taking place in the upcoming SAWRD24 period). (By way of background, and as discussed above, the section 6 Ministerial direction for NAIS is for $9 million for SAWRD24 (nominal terms) ($8.2 million, $Dec22). Because the draft determination already included approximately $1.6 million ($Dec22) for SAWRD24, the final determination adds another $6.6 million ($Dec22) to the SAWRD24 period (see Table 11.8).)

As expressed earlier, in February 2024 a Parliamentary Committee was formed to inquire into and report on the water supply needs of the Eyre Peninsula. The outcomes of this may lead to changes and further developments regarding prudent and efficient capital expenditure on the Eyre Peninsula Desalination Augmentation. Recognising SA Water's response in its submission that acknowledged likely carryover expenditure from SAWRD20 into SAWRD24 and information provided via request, the Commission has determined for the purposes of the final position that $30 million of expenditure previously planned for 2023-24 is expected to be spent during SAWRD24.

In the draft determination, the Commission provided cross-checks on its assessment to SA Water's forecast for 2023-24. Those cross-checks included, for instance, that some regulators adopt the existing regulatory determination benchmark annual capital expenditure for the final year of the period.[827] This methodology, if applied for the purposes of 2023-24, would produce a capital

[823] AtkinsRealis, *Supplementary Report - SA Water Capex Review*, pp. 8-10.
[824] Ibid, pp. 8-10.
[825] Ibid, pp. 8-10.
[826] SA Water, *SA Water's response to ESCOSA's Draft Determination*, p. 31.
[827] Regulators, such as the Essential Services Commission of Victoria, apply this approach. See Essential Services Commission of Victoria, *2023 Water Price Review*, October 2021 (August 2022 amendment), p. 38, available at https://www.esc.vic.gov.au/sites/default/files/documents/2023%20water%20price%20review%20guidance%20paper%20-%20August%202022%20amendment.pdf.

expenditure benchmark amount for 2023-24 of $467 million ($Dec22). This would be $250 million below SA Water's forecast from the RBP for 2023-24.

Taken together, the Commission has determined that there will be a slight decrease in the net capital expenditure included in 2023-24 on the basis that upward adjustments for several small projects ($20.8 million) have been more than offset by a revision to the timeline of spend on Eyre Peninsula Desalination Augmentation ($30.0 million) and reduced expenditure of $1.6 million on NAIS.

SA Water's response on the timing adjustments has provided information to suggest, in the Commission's view, $20.8 million of the forecast expenditure should be included as prudent and efficient for 2023-24. However, several expenditure items did not have sufficient compelling information to support the forecast for 2023-24 put forward by SA Water. SA Water acknowledged in its submission that some of the planned expenditures can be uneven and determined by the schedules of others. Furthermore, the fact that expenditure for the Eyre Peninsula Desalination Augmentation is estimated to be carried over from SAWRD20 into SAWRD24 provides an illustrative example of how external events and other factors may result in SA Water's original forecast for 2023-24 being inefficient.

Finally, it is important to recognise that the actual outcomes in 2023-24 will be reviewed as part of the ex-post review of capital expenditure in SAWRD28. Should the expenditure be determined as prudent and efficient then it will be added to the RAB in SAWRD28.

Table 11.14: Changes to the forecast for 2023-24 for final position ($Dec22)

	Change to forecast for 2023-24, $m
NAIS	-1.6
Eyre Peninsula Desalination Augmentation	-30.0
Other projects	+20.8

11.6 Final position – SAWRD20 Capital Expenditure

The final position is that the prudent and efficient benchmark net capital expenditure amounts to be included in the roll-forward of the RAB, to decide the opening RAB values for SAWRD24, are as follows:

- $1,183 ($Dec22) for water retail services, which is 8 percent lower than that proposed by SA Water in its RBP, and
- $647 million ($Dec22) for sewerage retail services, which is 1 percent lower than that proposed by SA Water in its RBP.

Table 11.15: Final position on ex-post capital expenditure for 1 July 2020 to 30 June 2024 ($Dec22)

	2020-21 ($m)	2021-22 ($m)	2022-23 ($m)	2023-24 ($m)	Total ($m)
Net capital expenditure	**299**	**420**	**507**	**604**	**1,830**
Net capital expenditure – water	183	281	353	366	1,183
Net capital expenditure – sewerage	116	139	154	238	647

12 Regulated Asset Base and depreciation

Value of the opening Regulated Asset Base (RAB)

The Commission's final position is to apply a roll-forward methodology to the regulated asset base (**RAB**), in order to determine the *opening* RAB values for the commencement of the SAWRD24 period.

The Commission's final position for the opening values of the RAB are as follows:

- the value of the RAB at 1 July 2024 ($Dec22) will be $9,619 million for **water** retail services, and
- the value of the RAB at 1 July 2024 ($Dec22) will be $4,882 million for **sewerage** retail services.

12.1 Introduction

As outlined in Chapter 7, the Commission's final position is to adopt a building blocks cost model to establish separate four-year maximum revenue caps for water and sewerage retail services to apply for SAWRD24. The adoption of a building blocks cost model involves rolling forward SA Water's regulated asset base (**RAB**), to determine the *opening* RAB values for the SAWRD24 period. This opening value, in conjunction with the other components of the building blocks cost model, are used in determining the revenue caps for water and sewerage retail services for the SAWRD24 period.

The application of a roll-forward methodology, under a real rate of return approach, involves adjusting the RAB through the SAWRD20 period for:

- Consumer Price Index (**CPI**) inflation (to recognise the change in the value of the asset due to changes in the rate of inflation)[828]
- allowed prudent and efficient regulatory depreciation (allowed depreciation is converted to an end-of-year value based on the value determined and used in the SAWRD20 determination), and
- prudent and efficient incurred net capital expenditure for the SAWRD20 period.

This chapter documents SA Water's proposal for opening RAB values and outlines the Commission's draft and final positions for the opening values of the RAB for the commencement of the SAWRD24 period, which will apply as at 1 July 2024 for the purposes of establishing the revenue caps for SAWRD24.

[828] CPI inflation indexation means that the value of a utility's investments will not be eroded by the effects of inflation. Because inflation indexation increases the value of the nominal asset base, a benchmark efficient entity can increase debt while maintaining the fixed regulatory 60 percent gearing ratio (discussed in Chapter 13). The increase in debt can generate cash flow that is equivalent to a nominal return. This is a known feature of the real rate of return approach used by regulators in Australia and New Zealand to roll forward the asset base. For example, see New Zealand Commerce Commission, *Input Methodologies (Electricity Distribution and Gas Pipeline Services) – Reasons paper*, December 2010, p. vii, available at https://comcom.govt.nz/__data/assets/pdf_file/0019/62704/EDB-GPB-Input-Methodologies-Reasons-Paper-Dec-2010.pdf.

12.2 SA Water's proposal

SA Water proposed opening RAB values of approximately $9,725 million ($Dec22) and $4,889 million ($Dec22) for water and sewerage retail services, respectively.[829] SA Water calculated the opening RAB values using a roll-forward methodology which used its actual capital expenditure for SAWRD20 (discussed in Chapter 11).

12.3 Consultation on SA Water's proposal

No submissions commented directly on the application of the RAB and depreciation for SAWRD24.

12.4 Analysis

The following analysis was undertaken for the draft determination and informed the Commission's draft position in respect of the RAB.

The Commission's application of the roll-forward methodology was consistent with Principle 5 of the National Water Initiative (NWI) Pricing Principles.[830]

The assumptions used by the Commission in the roll-forward of the RAB included the following:

- Depreciation reflected the allowed regulatory depreciation (converted to an end-of-year value) from the SAWRD20 determination.
- New capital expenditure was recognised in the year it was incurred, rather than on the date that the asset was commissioned.
- The timing of capital expenditure and asset disposals was assumed to occur evenly throughout the year, which, for modelling purposes, was the same as assuming that all annual capital expenditure was incurred at the midpoint of that year.
- Customer contributions and gifted assets associated with capital expenditure were not added to the RAB, reflecting the fact that they were directly funded by specific customers and the South Australian Government (as the case may be). This is consistent with the requirements of NWI Pricing Principles.

The Commission and SA Water utilised the same roll-forward methodology; however, different inputs had been adopted. The main differences for the draft determination were the values used by the Commission for prudent and efficient actual capital expenditure for the SAWRD20 period and the annual CPI inflation, as explained below.

As outlined in Chapter 11, the Commission reviewed, considered and determined, on an ex-post basis, the prudent and efficient benchmark net capital expenditure for SAWRD20, and this had been included in the roll-forward of the RAB. Table 12.1 provides a summary.

[829] Note that SA Water's opening RAB values for the purposes of the draft position were presented in December 2022 dollars. SA Water's opening RAB values were provided to the Commission in March 2022 dollars. However, to make them comparable for use in this chapter, the Commission updated CPI inflation in SA Water's proposed revenue model, such that the opening RAB values were on a December 2022 basis.

[830] NWI Pricing Principles, *Principle 5: Rolling forward asset values after the legacy date*, 2004, clause 19. The application of the roll-forward methodology is consistent with the requirements in the Pricing Order. Pricing Orders are available at https://www.treasury.sa.gov.au/economy,-taxes-and-rebates/economic-regulation.

Table 12.1: 2020-21 to 2023-24 draft net capital expenditure adjustments ($Dec22)

	2020-21	2021-22	2022-23	2023-24	Total
Water					
RBP	183	281	353	472	1,290
Adjustments	0	0	0	-95	-95
Adjusted capex	183	281	353	377	1,194
Sewerage					
RBP	116	139	154	244	653
Adjustments	0	0	0	-6	-6
Adjusted capex	116	139	154	238	647

In terms of the annual CPI inflation used to roll-forward the RAB, SA Water's RBP proposed to use March-to-March 2022 CPI inflation as a proxy for December-to-December 2022 inflation. Its reasoning for the nine-month lag was consistency with its previous submissions and alignment with the CPI inflation used to inflate prices for water and sewerage retail services.

Over the longer term, there is likely to be negligible difference between using inflation calculated on a March-to-March basis versus on a December-to-December basis. However, in the short term there could be some differences. The roll-forward of the RAB using annual December-to-December 2022 CPI inflation provided the opening RAB values in December 2022 prices, which aligned with the approach adopted in SAWRD20 (December-to-December 2018 CPI inflation was used to roll-forward the RAB)[831] and the price basis used to calculate the present value of revenue caps for SAWRD24.

Finally, the application of the roll-forward methodology used allowed regulatory depreciation from SAWRD20. Regulatory depreciation (the return of assets, which accounts for the expected wear and tear over the life of the infrastructure) and the RAB are closely interrelated components of the regulated revenue allowance. Regulatory depreciation is directly affected by the value of the RAB which is, in turn, affected by the way its value is rolled forward over time to reflect remaining asset lives, new capital expenditure and asset disposals.

12.5 Draft position

The Commission's draft position was to apply a roll-forward methodology to the RAB, in order to determine the opening RAB values for the commencement of the SAWRD24 period. The draft position rolled forward the RAB using December 2022 CPI inflation and included prudent and efficient benchmark net capital expenditure for SAWRD20 (as outlined in Chapter 11).

The Commission's draft positions for the opening values of the RAB were as follows:

[831] This approach was selected to align with the original price basis of the RAB values within the 2013 Pricing Order (which were in December 2012 dollars). For instance, see Essential Services Commission of South Australia, *SA Water Regulatory Determination 2020*, p. 234, and Essential Services Commission of South Australia, *SA Water Draft Regulatory Determination 2013*, p. 111, available at https://www.escosa.sa.gov.au/ArticleDocuments/484/130206-SAWatersWaterSewerageRevenue.pdf.aspx?Embed=Y.

- the value of the RAB at 1 July 2024 ($Dec22) will be $9,630 million for water retail services, and
- the value of the RAB at 1 July 2024 ($Dec22) will be $4,882 million for sewerage retail services.

Table 12.2: Draft opening RAB values as at 1 July 2024 ($Dec22)

	Draft position ($m)
Water retail services	9,630
Sewerage retail services	4,882

12.6 Consultation on draft position

SA Water, the South Australian Council of Social Service (SACOSS) and an anonymous stakeholder expressed views on the RAB.[832] Additionally, the Office of the Technical Regulator (OTR), the Environment Protection Authority (EPA) and the Urban Development Institute of Australia (UDIA) expressed views on the reliability of assets going forward,[833] consistent with one of the themes arising from the engagement results from the YourSAy survey.[834]

SA Water's submission sought clarification on the approach used to calculate the return on the RAB.

SACOSS raised several items relating to the RAB in its submission to the draft determination. Specifically, it proposed: [835]

- Further information and analysis on the impact of increased capital expenditure over SAWRD24 on the RAB, as well as historical analysis of the opening and closing RABs from previous regulatory periods.
- An explanation of the revising down of the RAB for SAWRD20 due to the findings of the Inquiry into Water Pricing (completed in 2019) and the Pricing Order in 2020.
- To understand the impact of section 6 Ministerial directions on the RAB over SAWRD20 and SAWRD24.

An anonymous stakeholder submitted that SA Water's asset revaluation in its annual report had reduced the RAB, but the draft determination did not reflect this revaluation.

12.7 Further analysis

The Commission confirms its draft position on the methodology used to determine the opening RAB values for the SAWRD24 period.

The opening value of the RAB for water retail services has decreased from the draft determination, as a result of updated ex-post analysis of the prudent and efficient benchmark net capital expenditure for SAWRD20 (as outlined in Chapter 11). Specifically, the net capital expenditure for 2023-24 has been

[832] SA Water, *SA Water's response to ESCOSA's Draft Determination*, p. 112, South Australian Council of Social Service, *Submission to Draft Regulatory Determination*, pp. 22-25 and Anonymous individual, *Submission to Draft Regulatory Determination,* March 2024, p. 1, available at: https://www.escosa.sa.gov.au/projects-and-publications/projects/water/sa-water-regulatory-determination-2024.

[833] Office of the Technical Regulator, *Submission to Draft Regulatory Determination*, p. 1, Environment Protection Authority, *Submission to Draft Regulatory Determination*, p. 1 and Urban Development Institute of Australia, pp. 1-5.

[834] Chapter 4 outlined the themes from the engagement results from the YourSAy survey.

[835] South Australian Council of Social Service, *Submission to Draft Regulatory Determination*, pp. 15-19, 22-25.

reduced by approximately $11 million. The opening value of the RAB for sewerage retail services remains unchanged from the draft. The Commission's final position on capital expenditure for 2020-21 to 2023-24 can be seen in the Table 12.3.

Table 12.3: 2020-21 to 2023-24 final net capital expenditure adjustments ($Dec22)

	2020-21	2021-22	2022-23	2023-24	Total
Water					
Capital expenditure	183	281	353	366	1,183
Sewerage					
Capital expenditure	116	139	154	238	647

12.7.1 Stakeholder discussion items

As mentioned earlier, SA Water, SACOSS and an anonymous stakeholder have expressed views with respect to the RAB. These items are discussed below.

12.7.1.1 Methodology used to calculate the rate of return on the RAB

SA Water has sought minor clarification on the approach applied by the Commission to calculate the return on the RAB.

In Chapter 16 of the draft determination, the Commission stated that the annual return on the RAB was calculated as:

> *'the product of the real regulatory rate of return (rate of return) and the average value of the RAB for that year, to derive a year end equivalent return on assets, which is then discounted by six months, to recognise that revenue is generated consistently throughout each year, rather than at year end.'*

SA Water noted that the calculation of the RAB in the shared revenue model (for the purposes of determining the return on the RAB) takes the start of year value of the RAB, adds 50 percent of annual capital expenditure, and subtracts 50 percent of annual disposals.[836]

In the draft determination, the Commission described the calculation (quoted above) as using the ***average*** value of the RAB (emphasis added). This is, in practical effect, equivalent to SA Water's observation, which noted the RAB is calculated as the start of year value, plus 50 percent of capital expenditure, minus 50 percent of asset disposals. There has been no change in the methodology used to calculate the return on the RAB from SAWRD20.

12.7.1.2 Greater transparency of the RAB and the impact of section 6 Ministerial directions

In its submission to the draft determination, SACOSS has suggested that the Commission release more information in the public domain regarding the RAB, including the revision down in SAWRD20, and the impact of Ministerial section 6 directions.[837]

The Commission acknowledges that there is a case for greater transparency on these matters. Accordingly, it plans to release materials, including information on the RAB, into the public domain during the SAWRD24 period. This will allow stakeholders to review and consider the RAB and undertake their own analysis as part of SAWRD28.

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[836] SA Water, *SA Water's response to ESCOSA's Draft Determination*, p. 112.
[837] South Australian Council of Social Service, *Submission to Draft Regulatory Determination*, pp. 15-17, 22-26.

Given the Ministerial section 6 directions included in SAWRD24, the publication of information on the RAB will be an important element of promoting transparency, to allow stakeholders to view the quantum of those directions and the impact on the RAB over time.[838]

The Commission plans to work with SA Water when developing the public materials. However, for the avoidance of doubt, the Commission notes that it will determine the materials to be published, having regard to the input from SA Water. The Commission's intention is that over time stakeholders can provide comment and feedback on whether the information published on the RAB meets their needs.

12.7.1.3 The RAB should be reduced

An individual anonymous stakeholder has submitted that the value of the RAB should be reduced. The stakeholder observed that SA Water's 2022-23 Annual Report included a downward revaluation for infrastructure, plant and equipment of $1.9 billion.[839]

For the purposes of SA Water's financial statements, infrastructure assets are calculated using a discounted cash flow model to determine a fair value. Plant and equipment are calculated at cost.[840]

Alternatively, for regulatory purposes, to comply with the NWI Pricing Principles the Commission rolls forward the RAB using the following formula:

$$RAB_t = (RAB_{t-1} + \text{Capital Expenditure}_t - \text{Depreciation}_t - \text{Disposals}_t)$$[841]

Where t equals time.

As such, different methodologies in calculating the value of assets lead to different valuation outcomes.

12.8 Final position

The Commission's final position is to apply a roll-forward methodology to the RAB, as outlined in the draft determination, in order to determine the opening RAB values for the commencement of the SAWRD24 period.

The Commission's final positions for the opening values of the RAB are as follows:

- the value of the RAB at 1 July 2024 ($Dec22) will be $9,619 million for water retail services, and
- the value of the RAB at 1 July 2024 ($Dec22) will be $4,882 million for sewerage retail services.

Table 12.4: Final opening RAB values as at 1 July 2024 ($Dec22)

	Final position ($m)
Water retail services	9,619
Sewerage retail services	4,882

[838] It is noted that the write-down of the RAB for water retail services under the Pricing Order was known at the time of the SAWRD20. It was discussed in the SAWRD20 final determination as being a contributing factor to the RAB being lower than that proposed by SA Water's RBP at the time. Essential Services Commission of South Australia, *SA Water Regulatory Determination 2020*, p. 236.

[839] SA Water, *2022-23 South Australian Water Corporation Annual Report*, September 2023, p. 89, available at https://www.sawater.com.au/__data/assets/pdf_file/0007/770596/2022-23-SA-Water-Annual-Reporr.pdf.

[840] SA Water, *2022-23 South Australian Water Corporation Annual Report*, pp. 90-93.

[841] NWI Pricing Principles, *Principle 5: Rolling forward asset values after the legacy date*, 2004, clause 19.

13 Regulatory rate of return

Regulatory rate of return

The regulatory rate of return, calculated based on market data available as of 20 March 2024, to apply for the purposes of calculating the maximum revenue for water and sewerage retail services for SAWRD24, is:

- 3.61 percent (real, post-tax) for 2024-25
- 3.65 percent (real, post-tax) for 2025-26
- 3.73 percent (real, post-tax) for 2026-27, and
- 3.83 percent (real, post-tax) for 2027-28.

These are the Commission's estimates of the real, post-tax costs of capital required that a benchmark, efficient entity would require to provide water and sewerage retail services. The methodology adopted is consistent with standard economic regulatory practice, the positions put in the draft determination and in SAWRD20, and objective, market-based, data.

The post-tax real WACC is higher than it was for SAWRD20 (the four-year average is 3.70 percent compared with the SAWRD20 four-year average of 2.68 percent). This is largely a result of higher interest rates (which have increased the risk-free rate and cost of debt parameters).

The Commission confirms that the methodology for the rate of return has largely remained the same as SAWRD20, with changes having only minor influence on the rate of return.

Parameter	Change in method from SAWRD20?	Impact from change in method
Gearing	No	N/A
Risk-free rate	No	N/A
Market risk premium	Yes	+8 basis points
Equity beta	No	N/A
Cost of debt	No	N/A
Debt-raising costs	No	N/A
Long-term inflation expectations	Yes	+1 basis point

13.1 Introduction

The regulatory rate of return (**rate of return**) is a measure of the opportunity cost of investment in regulated assets. The Commission determines an estimate of this, with reference to the efficient cost of financing the new and existing regulated assets that would be incurred by a benchmark efficient water and sewerage utility with a similar degree of risk to SA Water.

The rate of return is a key input in calculating the revenue requirement for SA Water. Movements in the rate of return result from changes in economic and market conditions that SA Water cannot mitigate. Those movements can have a significant impact on SA Water's allowed revenues, given the capital-intensive nature of SA Water's regulated business and the fact that the return on regulated assets accounts for a material share of the calculated total efficient costs.

In determining the rate of return, the Commission must estimate the cost of capital carefully. If it is too high, customers would pay too much, and SA Water could be encouraged to over-invest. If too low, SA Water's incentive and ability to invest may be weakened.

In accordance with Clause 5.4 of the Pricing Order,[842] the Commission provided to the Treasurer, on or before 30 March 2024, advice setting out the Commission's calculation of the regulatory rate of return on the regulated asset base (**RAB**) to apply for SAWRD24.

13.2 SA Water's proposal

As outlined in its Regulatory Business Proposal (**RBP**), SA Water's proposed methodology for the rate of return was consistent with the Commission's methodology applied in SAWRD20.[843]

SA Water's proposal was consistent with the Commission's Guidance Paper 3.[844]

13.3 Consultation on SA Water's proposal

Stakeholders did not provide comments on SA Water's proposal on the rate of return methodology.

13.4 Analysis

The following analysis was undertaken for the draft determination and informed the Commission's draft position in respect of the rate of return. Consultation on the draft position and further analysis undertaken by the Commission is outlined later on in the chapter (see sections 13.6 and 13.7).

13.4.1 Methodology

Consistent with previous regulatory determinations, for the purposes of the draft position the Commission determined that it would use a real, post-tax rate of return framework for developing the revenue determination for SAWRD24.

This was applied on the basis of a benchmark efficient water and sewerage utility with a similar degree of risk to SA Water.

[842] Pricing Orders are available at https://www.treasury.sa.gov.au/economy,-taxes-and-rebates/economic-regulation.

[843] SA Water, *Regulatory Business Plan 2024-28*, pp. 263-265.

[844] Essential Services Commission of South Australia, *SA Water Regulatory Determination 2024: Guidance paper 3*, p. 13.

A weighted average cost of capital (**WACC**), which is used to estimate the real, post-tax rate of return, was calculated using the following formula:

$$WACC_{real}^{post-tax} = \frac{1 + \left(k_e \frac{E}{V} + k_d \frac{D}{V}\right)}{1 + i_{exp}} - 1$$

where:

k_e	=	nominal cost of equity
k_d	=	nominal cost of debt
i_{exp}	=	adjustment for expected long-term inflation
E	=	market value of equity
D	=	market value of debt
V	=	market value of the firm (V=E+D)

The use of a real rate of return framework allows SA Water to receive a real return on capital in its allowed cash flows and to receive inflation compensation via indexation of the regulated asset base (**RAB**). The use of a post-tax framework was carried forward from SAWRD20 and is consistent with the Pricing Order.[845]

In the draft determination the Commission set out the real, post-tax vanilla WACC for the rate of return for each year of the four-year regulatory period. The use of a weighted average of debt and equity allowed for the relative risks involved in the overall return. The vanilla formulation reflects expected returns to debt holders pre-tax and expected returns to equity holders post company tax.[846] This approach has been applied consistently over recent regulatory determinations and submissions have not suggested a methodology change.

The Commission's methodology was guided by both NWI Pricing Principles, which state that the rate of return should be developed using the WACC with the cost of equity derived using the capital asset pricing model (**CAPM**),[847] and the Commission's rate of return principles, utilised in both SAWRD16 and SAWRD20 (see Box 13.1 below).[848]

The Commission's rate of return principles are consistent with, and give effect to, the requirements of the *Essential Services Commission Act 2002* (**ESC Act**) and the *Water Industry Act 2012* (**WI Act**) in the determination of the lowest sustainable cost of delivering water and sewerage services and protecting consumers' long-term interests.[849] Stakeholders have not suggested that the principles are no longer applicable or appropriate for the purposes of a regulatory determination to apply to SA Water. For the purposes of the draft position on the rate of return for SAWRD24, the Commission considered that its rate of return methodology was appropriate.

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[845] The Pricing Order specifies that a post-tax rate of return framework should be applied. Pricing Orders are available at https://www.treasury.sa.gov.au/economy,-taxes-and-rebates/economic-regulation.

[846] As the Commission adopts a post-tax vanilla WACC framework, a separate allowance for tax is made as part of the 'tax allowance' building block (see Chapter 14 for more details).

[847] NWI Pricing Principles, Principle 1: Cost recovery for new capital expenditure, 2004, clause 15.

[848] Essential Services Commission of South Australia, *SA Water Regulatory Rate of Return 2016-2020*, March 2015, pp. 21-23, available at https://www.escosa.sa.gov.au/ArticleDocuments/424/20150331-SAWaterRegulatoryRateReturn2016-2020-Rep.pdf.aspx?Embed=Y.

[849] For explanations of how the rate of return principles relate to the statutory framework, see Essential Services Commission of South Australia, *SA Water Regulatory Rate of Return 2016-2020*, p. 23.

The remainder of this analysis section deals with each of the individual parameters and assumptions within the WACC calculation and outlines the positions put forward for the purposes of the draft determination. Note that this section is followed by sections that outline matters raised in consultation on the draft determination and further analysis undertaken by the Commission. The chapter finishes by summarising the final position in relation to all inputs into the calculation of the rate of return to apply for SAWRD24.

Box 13.1: Rate of Return Principles

The Commission's methodology for SAWRD24 has been guided by the following principles for determining the rate of return for a benchmark efficient firm.

The principles are consistent with, and give effect to, the requirements of the ESC Act and WI Act. Explanations of how the principles give effect to the relevant Acts is outlined below each principle.

General principle: The rate of return should reflect the prudent and efficient financing strategy of an incumbent large water and sewerage utility, which minimises expected costs in the long term, on a risk-adjusted basis.

As discussed in the Commission's 2015 review on the rate of return, the rate of return should be based on the expected behaviour of a benchmark efficient entity, not those of SA Water. This is consistent with the promotion of economic efficiency.[850]

Minimising long-term costs is also consistent with the efficiency objective. Importantly, those costs should be considered on a risk-adjusted basis. A low-cost approach that may introduce significant financial risks to the regulated entity may create high costs for consumers in the long run (for example, the risk of financial distress or failure). The probability and consequence of those risks should be taken into account in determining what the prudent and efficient financing strategy is in the long term.[851]

Supporting principle 1: The rate of return should reflect a long-term obligation on the utility to provide reliable and secure water and sewerage services to consumers. It should not solely reflect the new entrant cost of capital.

As discussed in the Commission's 2015 review on the rate of return, the Commission has sought to be as explicit as possible, given the overall context of SAWRD24, in stating that the rate of return should not solely reflect a new entrant's cost, which would be driven largely by prevailing costs of capital. An incumbent regulated business may have legacy costs and it is appropriate for those costs to be recognised, particularly where the business cannot hedge against movements in those costs.[852]

Supporting principle 2: The rate of return should provide an incentive for SA Water to incur prudent and efficient investment in regulated assets and financing costs.

As discussed in the Commission's 2015 review on the rate of return, the Commission is committed to a regulatory approach that delivers incentives for regulated businesses to incur prudent and efficient expenditure, including capital expenditure. Its approach supports levels of capital expenditure at the lowest sustainable cost without compromising service levels.[853]

[850] Ibid, p. 23.
[851] Ibid, p. 23.
[852] Ibid, p. 23.
[853] Ibid, p. 23.

Supporting principle 3: The approach to setting the rate of return should be based on consistent principles over time and should be predictable. It should change only to reflect material changes in evidence or regulatory practice.

As discussed in the Commission's 2015 review on the rate of return, to provide for regulatory certainty and predictability, the Commission committed to not changing the principles and approach to calculating the rate of return in future, unless there is compelling evidence that such a change is required. The Commission acknowledges that there may be occasions where best practice financing or regulatory practice changes in such a way that it is appropriate to reflect that in the methodology for calculating the regulatory rate of return. However, those changes should not occur frequently, and stability of approach should be preferred, to provide certainty to SA Water and consumers. Reducing regulatory risks can lead to lower costs in the long run, and hence lower prices to consumers.[854]

Supporting principle 4: The assumed prudent financing strategy should not depend on the ownership of the regulated business (that is, the approach is indifferent to whether the entity is in Government or private ownership).

As discussed in the Commission's 2015 review on the rate of return, this principle explicitly states that ownership is irrelevant to the methodology for calculating SA Water's rate of return. The risks of providing water and sewerage services are different to the risks faced by the South Australian Government as a whole. Regulated revenues should be set with reference to the risks faced by SA Water, which supports prices remaining cost reflective.[855]

13.4.2 Gearing

For the purposes of the draft determination a gearing ratio of 60 percent was utilised.

The financing of a benchmark efficient water and sewerage utility is made up of debt and equity capital. The gearing ratio is a benchmark measure of the proportion of the RAB that is financed by debt. It was calculated as follows:

$$Gearing = \frac{D}{V} = 1 - \frac{E}{V}$$

where:

E = market value of equity

D = market value of debt

V = market value of the firm (V=E+D)

The level of gearing is inter-related with the credit rating of the benchmark efficient entity due to the effect of leverage risk on these parameters. For example, a firm that is more highly leveraged may have a lower credit rating due to its perceived higher risk.[856]

[854] Ibid, p. 24.
[855] Ibid, p. 24.
[856] Standard & Poor's, *Guide to Credit Rating Essentials: What are credit ratings and how do they work?*, pp. 1-15, available at https://www.spglobal.com/ratings/_division-assets/pdfs/guide_to_credit_rating_essentials_digital.pdf.

A gearing assumption of 60 percent has been applied consistently over time to regulatory determinations applying to SA Water.[857] It has also been applied by other economic regulators to large, regulated water and sewerage utilities in Australia.[858,859]

A gearing ratio of 60 percent corresponds to a credit rating in the BBB investment grade band (for example, BBB+, BBB or BBB-).[860] This has previously been adopted by the Commission and other economic regulators as being representative of a benchmark efficient entity.[861]

The Commission observed that a 60 percent gearing assumption would provide an incentive for a benchmark efficient entity with a similar degree of risk to SA Water to adopt efficient gearing structures and lower the probability of exposing consumers to excessive leverage risk.

13.4.3 Cost of equity

The nominal cost of equity is calculated using the CAPM. This is a model for determining investment returns and is commonly used by economic regulators.[862] According to this model, only systematic risk affects the expected return required by the marginal equity investor (who determines the price of equity).[863] This is because the marginal equity investor would hold a well-diversified portfolio of equities, and a diversification strategy can remove firm-specific risk.

In this respect, the CAPM provides a model for estimating the cost of equity and providing compensation relating to risks outside of the control of the regulated entity, not those within its control. The use of CAPM is also a requirement under NWI Pricing Principles.[864]

The CAPM defines the cost of equity as the sum of the returns on a risk-free asset (the expected rate of return on an asset with practically no risk of default) and a risk premium that reflects the risks associated with equity.

The CAPM formula for the cost of equity is as follows:

$$k_e = R_f + \beta_E(E(R_m) - R_f)$$

[857] Essential Services Commission of South Australia, *SA Water Regulatory Determination 2020*, p. 209, Essential Services Commission of South Australia, *SA Water Regulatory Determination 2016*, p. 121, 125, and Essential Services Commission of South Australia, *SA Water Regulatory Determination 2013*, p. 136.

[858] For example, see Independent Pricing and Regulatory Tribunal, *Review of Prices for Sydney Water*, p. 258, and Independent Competition and Regulatory Commission, pp. 77-78.

[859] The results for, and analysis of, electric utilities support the use of a gearing assumption of 60 percent. See Australian Energy Regulator, *Rate of Return Instrument: Explanatory Statement*, February 2023, p. 84, available at https://www.aer.gov.au/system/files/AER%20-%20Rate%20of%20Return%20Instrument%20-%20Explanatory%20Statement%20-%2024%20February%202023_1.pdf. However, it is noted that a gearing assumption in relation to electric utilities need not mean that the same benchmark is equally applicable to a water and sewerage utility. For example, insofar as water and sewerage utilities may have longer asset lives than electricity networks, this could suggest a lower benchmark gearing assumption.

[860] Ratings agencies can use slightly different labelling and classification systems for credit ratings. The Commission and other Australian economic regulators have adopted the Standard and Poor's classification of the BBB category to reflect the minimum investment grade.

[861] It is typical for Australians economic regulators to pair a 60 percent gearing ratio with a credit rating in the BBB investment grade band. For example, Queensland Competition Authority, *Rate of return review*, July 2023, pp. 26-27, 36, available at https://www.qca.org.au/wp-content/uploads/2020/11/qca_rate-of-return-review_updated-report_2023.pdf.

[862] For example, Australian Energy Regulator, *Rate of Return Instrument: Explanatory Statement*, p. 41.

[863] Systematic risk generally relates to events that cause economic uncertainty that cannot be mitigated, or diversified, through management actions.

[864] NWI Pricing Principles, Principle 1: Cost recovery for new capital expenditure, 2004, clause 15.

where:

k_e	=	nominal cost of equity
R_f	=	nominal risk-free rate
β_E	=	equity beta
$E(R_m)$	=	expected return of the market
$E(R_m) - R_f$	=	market risk premium

The following sections outline each of the cost of equity parameters.

13.4.3.1 Risk-free rate

The draft determination utilised a risk-free rate based on Australian Government Securities (AGS) data published by the RBA at that time (November 2023).

The risk-free rate of return is the expected rate of return on an investment that has minimal risk. The draft determination position calculated the risk-free rate using a 60-day average of the annualised yield of nominal 10-year AGS.

There are three key considerations when estimating the risk-free rate. These are the type of security, the term to maturity, and the period over which time the risk-free rate of interest is estimated.

- Australian Government Securities

  Government default risk is low in Australia, and it is common practice to refer to AGS as risk-free rate assets.[865] Given this, the Commission formed the view that AGS are an appropriate proxy for the risk-free rate. This approach is consistent with that adopted by other economic regulators.[866]

- Term to maturity

  While there can be reasons to adopt a term to maturity for AGS of less than ten years (for example, by applying a 4-year term to maturity to match the length of the regulatory period),[867] the draft determination utilised a 10-year term to maturity on AGS on the basis that it is the longest available term to maturity that is also recognised as having sufficient liquidity. In that regard, the 10-year term to maturity approximates the long-lived nature of water and sewerage assets and also

[865] For instance, Australia's credit rating was confirmed as AAA grade by credit rating agencies Standard and Poor's on 30 January 2023; see Chalmers J, *Australia's AAA credit rating confirmed by S&P*, media release, 30 January 2023, available at https://ministers.treasury.gov.au/ministers/jim-chalmers-2022/media-releases/australias-aaa-credit-rating-confirmed-sp. The Reserve Bank of Australia will refer to AGS as risk-free assets. For example, see Kent C, *The Stance of Monetary Policy in a World of Numerous Tools*, Address to the IFR Australia DCM Roundtable Webinar, 20 October 2020, available at https://www.rba.gov.au/speeches/2020/sp-ag-2020-10-20.html. Further, according to an investor survey, 89 percent of respondents in 2022 calculated risk-free rates using AGS; see Chartered Accountants Australia and New Zealand, *Business Valuation Survey*, August 2022, p.12, available at https://www.charteredaccountantsanz.com/news-and-analysis/insights/research-and-insights/2022-valuation-practice-survey-insights.

[866] For example, see Independent Competition and Regulatory Commission, p. 78.

[867] For example, securities of less than 10-year term to maturity tend to have higher levels of liquidity. Also, investors may value a regulated business as a series of four-year revenue streams (analogous to a four-year government bond that matches the four-year regulatory period).

recognises the limited liquidity of AGS beyond a 10-year term.[868] The majority of Australian economic regulators adopt a 10-year term to maturity on AGS.[869]

- Averaging period

  Historically, research has suggested that few, if any, forecast approaches for financial variables, including bond yields, have been able to consistently improve upon a 'random walk' model. The random walk model assumes that increases and decreases are equally likely over the forecast horizon and therefore a no-change assumption for certain financial variables should be followed.[870]

  Consistent with this, most Australian economic regulators apply the no-change assumption to forecast the risk-free rate over the regulatory horizon (referred to as the 'on the day rate'), though they allow a short-term average of recent observations (typically calculated over a twenty to sixty business day period) to lower the risk that pricing anomalies on any particular day might affect the calculation used in the regulatory determination.[871]

  Previous Commission research from 2019 suggested that there was limited difference in accuracy between selecting an averaging period of between 20 and 60 days (which is the typical range of averaging periods selected by economic regulators).[872] The draft determination utilised an averaging period of 60 days.

13.4.3.2 Market risk premium

The draft determination utilised a market risk premium of 6.3 percent.

The market risk premium reflects the return an investor would expect to earn over and above the risk-free rate (as measured by AGS) by holding a well-diversified portfolio of assets. It is a measure of investors' expectations about how much risk there is in the market and the price that investors place on that risk. The market risk premium parameter is not directly observed because, conceptually, the parameter incorporates expectations of future share market returns.[873]

To estimate the market risk premium for the purposes of SAWRD24, the Commission took the draft position that there is benefit in consulting multiple sources, given the wide range of potential academic approaches to estimating it and a lack of a uniform methodology used by Australian economic regulators.[874]

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[868] Australian Office of Financial Management, *Ultra-long end of the Treasury Bond Market*, Investor Insight Issue 6, January 2021, pp. 1-9, available at https://www.aofm.gov.au/sites/default/files/2021-01-28/AOFM%20Investor%20Insight%20issue%206_V2.pdf.

[869] For example, Australian Energy Regulator, *Rate of Return Instrument: Explanatory Statement*, p. 105.

[870] Duffee G, *Forecasting interest rates*, Chapter 7 in 'Handbook of Economic Forecasting', volume 2A, edited Elliott and Timmermann, 2013, Amsterdam, Elsevier.

[871] For example, Australian Energy Regulator, *Rate of Return Instrument: Explanatory Statement*, pp. 105-130.

[872] Essential Services Commission of South Australia, *SA Water Regulatory Determination 2020: Guidance Paper 7 (technical paper)*, June 2019, pp. 1-17, available at https://www.escosa.sa.gov.au/ArticleDocuments/21676/20190606-SAWRD20-GuidancePaper7-AveragingPeriodRiskFreeCostBorrowing.pdf.aspx?Embed=Y.

[873] For example, Australian Energy Regulator, *Rate of Return Instrument: Explanatory Statement*, pp. 130-132.

[874] For example, researchers from the Federal Reserve Bank of New York have previously (in 2015) estimated twenty prominent models of the market risk premium used by practitioners and featured in academic literature. While those models were estimated in the context of markets in the United States, the research highlights that there can be a wide range of possible methods to estimating this particular type of parameter. See Duarte F and C Rosa, *The Equity Risk Premium: A Review of Models*, Staff Report No 714, February 2015, available at https://www.newyorkfed.org/research/epr/2015/2015_epr_equity-risk-premium. Consistent with the wide range of possible approaches, in Australia a 2022 survey from Chartered Accountants Australia and New Zealand indicated that 41 percent of respondents used their own in-house models to estimate the market risk-

That position is in line with the market risk premiums adopted by other Australian economic regulators (see table 13.1 below). It is also consistent with investor surveys and close to the historic excess returns observed in Australia. Market-implied estimates were considered but not used given their limitations (which are noted in detail later).

Regulatory decisions

The table below shows recent market risk premium decisions made by economic regulators in other jurisdictions. Values have ranged from between 6.0 and 6.5 percent (see Table 13.1). The value for the market risk premium utilised in the draft determination was near the midpoint of this range.

Table 13.1: Market risk premium decisions across jurisdictions[875]

Regulator	Year	Market risk premium (%)
AER[876]	2023	6.2
ERA[877]	2022	6.1
ICRC[878]	2023	6.3
OTTER[879]	2022	6.0
QCA[880]	2022	6.5

Investor surveys

In forming its position in relation to the market risk premium, the Commission considered values taken from investor surveys since 2018, with the most median values estimated for the market risk premium being between 6.0 and 6.3 percent.[881] The most recent available survey, undertaken in June 2022 by Chartered Accountants Australia and New Zealand, indicated that *'most Australian respondents adopted a market risk premium of 6.0 to 6.9%'.*[882]

There are, however, limitations in utilising investor surveys. For example, the raw results are rarely published, and the robustness of survey design is not always transparent.[883] As such, the Commission

premium, 29 percent calculated it from historic observed returns, 58 percent used academic and/or university sources, and 28 percent did not specify. Chartered Accountants Australia and New Zealand, p .13.

875 Note that the Independent Pricing and Regulatory Tribunal calculates the market risk premium as the midpoint of the current market risk premium (based on market-implied estimates from dividend discount models) and historical excess returns. Independent Pricing and Regulatory Tribunal, *Review of Prices for Sydney Water,* p. 258. For the review of Sydney water prices in 2020, this equated to the midpoint of 9.7 percent and 6.0 percent, resulting in a higher market risk premium than other economic regulators. The current market risk premium is influenced by the output from dividend discount models.

876 Australian Energy Regulator, *Rate of Return Instrument: Explanatory Statement*, pp. 130-131.

877 Economic Regulation Authority, *Explanatory statement for the 2022 final gas rate of return instrument*, December 2022, p. 129, available at https://www.erawa.com.au/cproot/23028/2/2022-Final-Gas-Rate-of-Return-Instrument-Explanatory-Statement---To-publish.pdf.

878 Independent Competition and Regulatory Commission, p. 81.

879 Office of the Tasmanian Economic Regulator, *Investigation into TasWater's prices and services for the period 1 July 2022 to 30 June 2026*, Final report, May 2022, p. 76, available at https://www.economicregulator.tas.gov.au/water/pricing/price-determination-investigations/2022-water-and-sewerage-price-determination-investigation.

880 Queensland Competition Authority, *Seqwater bulk water price review 2022-26*, March 2022, p. 64, available at http://www.qca.org.au/wp-content/uploads/2022/04/seqwater-review-qca-final-report.pdf.

881 Australian Energy Regulator, *Rate of Return Instrument: Explanatory Statement*, p. 162.

882 Chartered Accountants Australia and New Zealand, p. 13.

883 Australian Energy Regulator, *Rate of Return Instrument: Explanatory Statement*, p. 154.

considered investor surveys as a form of cross-check to other sources and methods. The results of recent investor surveys supported the use in the draft determination of a market risk premium value of 6.3 percent.

Historical excess returns

The historical excess returns method assumes that it is difficult to improve upon a long-run average of past returns when making long-term forecasts of the additional return investors expect to receive from equities relative to that returned from AGS. It is a transparent and objective method.

Between 1958 and 2022, the arithmetic average of excess equity returns relative to AGS in Australia was 6.6 percent.[884] Despite this value exceeding those indicated by surveys and economic regulatory decisions, it remained close to the draft determination value of 6.3 percent.

For previous regulatory determinations, the Commission used data dating back to 1883 to inform the market risk premium estimate. This represented the longest time period of historical equity returns available. An advantage of using that dataset is that, due to its length, the arithmetic average will be less influenced by any one market cycle or single economic shock, relative to other shorter time periods. However, the measurement of data prior to 1958 has limitations and is not comparable (without adjustment) to data from 1958 onwards. In particular, historical series developed prior to 1958 have typically excluded non-dividend paying shares, thus requiring a subjective adjustment to be made (consequently adding to uncertainty in the market risk premium estimate).[885,886] Research undertaken by the RBA in 2019 reiterated this potential shortcoming.[887] Many Australian economic regulators do not use data from prior to 1958 in their review of historical excess returns.[888]

For SAWRD24, in forming its draft position on the market risk premium, the Commission considered data from 1958 onwards (noting that 1958 marked the beginning of the daily calculation of the Sydney All Ordinaries index). Samples from 1958 onwards are regarded by several economic regulators to be the longest period available of high-quality data[889] and the Commission considered that this sample provided a balance between a large number of historical observations and data quality.

It is important to note that there are limitations of the historical excess returns method that prevent it from being the sole source used to estimate the market risk premium. Limitations include that its estimates may be biased upwards due to structural factors (for example, due to technology change and

[884] Australian Energy Regulator, *Rate of Return Instrument: Explanatory Statement*, p. 159. The underlying data source is a series that has been developed by T Brailsford, J Handley and K Maheswaran.

[885] Brailsford T, Handley J and K Maheswaran, *Re-examination of the historical equity risk premium in Australia*, 2008, Accounting and Finance 48 (2008), pp. 73–97.

[886] For SAWRD20, the Commission provided consideration to the dataset developed by Brailsford, Handley and Maheswaran as well as an alternative dataset developed by NERA Economic Consulting. NERA Economic Consulting had built upon the Brailsford, Handley and Maheswaran data series by making adjustments to some of the older data observations. However, post-1958, both datasets converge, so there is limited benefit in using the NERA Economic Consulting dataset going forward. Economic Regulation Authority, *Explanatory statement for the 2022 final gas rate of return instrument,* p. 134.

[887] Mathews T, *A History of Australian Equities*, RBA Research Discussion Paper, RDP 2019-04, 2019, p. 8, available at https://www.rba.gov.au/publications/rdp/2019/pdf/rdp2019-04.pdf.

[888] For example, the Economic Regulation Authority discontinued using data from prior to 1958. One reason given for doing so was due to the methodological issues associated with the dividend component of total returns. Economic Regulation Authority, *Explanatory statement for the 2022 final gas rate of return instrument,* p. 133.

[889] For example, Queensland Competition Authority, *Rate of return review*, pp. 60-61, and Economic Regulation Authority, *Explanatory statement for the 2022 final gas rate of return instrument,* pp. 133-134. It is noted that the RBA's dataset of historical equity risk premium data was published in 2019; however, to date, this set of data has not been utilised specifically for economic regulatory purposes.

the liberalisation of financial markets)[890] and may be volatile (limiting credibility[891] and their use in forecasting). Also, it is a backward-looking method, yet, as mentioned at the outset, the market risk premium is a forward-looking (expectations) concept.

Below is a summary of the sources used to inform the draft position of the market risk premium.

Table 13.2: Sources used to inform the market risk premium

Sources	Market risk premium
Other economic regulatory decisions	6.0 – 6.5
Key results from investor surveys	6.0 – 6.3
Historical excess returns (since 1958)	6.6
Historical excess returns (since 1988)	6.2
Historical excess returns (since 1883)	6.3
Historical excess returns (since 1937)	6.1
Draft position	**6.3**

Market-implied estimates

In reaching its draft position on the market risk premium, the Commission reviewed market-implied estimates, as published by the Australian Energy Regulator (AER) in February 2023. Market-implied estimates (such as dividend growth models) have the advantage of being forward-looking, in comparison to the backward-looking historical excess return approach. Estimates at that time indicated that two stage and three stage dividend discount models varied between 6 and 10 percent between 2019 and 2021.[892] Recent estimates indicate a range between 5 percent and 5.8 percent.[893]

A key limitation of market-implied estimates is that its output is highly sensitive to (contestable) assumptions made, particularly the long-term growth rate. Dividend growth models add complexity to estimating the market risk premium too.[894]

For these reasons, together with a lack of persuasive new evidence since SAWRD20 to support their use, while the Commission had regard to recent market-implied estimates, along with other market data (including indicators of economic uncertainty, dividends and credit spreads), this particular methodology was not adopted to estimate the market risk premium for SAWRD24.

13.4.3.3 Equity beta

The draft determination utilised an equity beta of 0.67.

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[890] This may be due to survivorship bias and structural changes in financial markets, see Damodaran A, *Equity Risk Premiums (ERP): Determinants, Estimation and Implications – The 2012 Edition*, Stern School of Business, March 2012, p. 24, available at https://pages.stern.nyu.edu/~adamodar/pdfiles/papers/ERP2012.pdf.

[891] This is based on the finding that the realised market risk premium has historically been estimated to be large and volatile, in the context of standard economic models that describe investor behaviour; see Mehra and Prescott, 'The Equity Premium: A puzzle', *Journal of Monetary Economics*, 15, 1985, pp. 145–161, available at https://www.academicwebpages.com/preview/mehra/pdf/The%20Equity%20Premium%20A%20Puzzle.pdf.

[892] Australian Energy Regulator, *Rate of Return Instrument: Explanatory Statement*, p. 160.

[893] Ibid, p. 160.

[894] Ibid, p. 146.

The equity beta parameter measures the riskiness of a firm's returns compared with that of the market. The higher the equity beta, the more exposure to undiversifiable risk inherent to the market, reflecting the impact of economic, geopolitical and financial factors. Utility companies typically have an equity beta less than one, indicating that their returns are less volatile than the overall market. Similarly, regulated entities also will typically have an equity beta less than one, as they are protected from some risks that non-regulated entities are exposed to.[895]

Equity beta for private or government-owned companies, like SA Water, cannot be directly estimated from financial markets. Instead, in deriving this parameter for regulatory purposes, regulators will often select a comparator set of publicly listed companies (from domestic or international markets and/or similar or different industries) that have a similar risk profile to the private or government-owned utility in question and regulators will use those comparator companies to derive an estimate of equity beta.

For water and sewerage companies in Australia, regulators have sometimes used international comparators (for example, from the United Kingdom) and/or domestic comparators from different industries (for example, referencing equity betas set for energy utility companies).[896]

The draft position on the equity beta parameter of 0.67 was within the range of decisions made by economic regulators elsewhere in Australia (presented in Table 13.3). The values outlined in Table 13.3 are similar to those at the time of the last determination for most economic regulators.

Table 13.3: Equity beta decisions across jurisdictions.

Regulator	Year	Industry	Equity β
AER[897]	2023	Energy	0.60
ERA[898]	2022	Gas	0.70
ICRC[899]	2023	Water	0.70
IPART[900]	2020	Water	0.70
OTTER[901]	2022	Water	0.65
QCA[902]	2022	Water	0.77

[895] For example, as noted in Chapter 7, in theory, and assuming full information and no regulatory lags, under a total fixed revenue cap a regulated firm, such as SA Water, is not exposed to volume risk. This reflects that a firm could adjust prices in response to changes in demand to keep revenue constant and within the fixed revenue cap.

[896] For example, Queensland Competition Authority, *Rate of return review*, p. 72, Independent Pricing and Regulatory Tribunal, *Review of Prices for Sydney Water*, p. 258, Essential Services Commission of South Australia, *SA Water Regulatory Determination 2020*, p. 221-223, and Independent Pricing and Regulatory Tribunal, *Estimating equity beta*, Fact Sheet, 1 April 2019, pp. 1-9, available at https://www.ipart.nsw.gov.au/sites/default/files/documents/fact-sheet-estimate-equity-beta-1-april-2019.pdf.

[897] Australian Energy Regulator, *Rate of Return Instrument: Explanatory Statement*, p. 171.

[898] Economic Regulation Authority, *Explanatory statement for the 2022 final gas rate of return instrument,* p. 167.

[899] Independent Competition and Regulatory Commission, p. 83.

[900] Independent Pricing and Regulatory Tribunal, *Review of Prices for Sydney Water*, p. 257.

[901] Office of the Tasmanian Economic Regulator, *Investigation into TasWater's prices and services for the period 1 July 2022 to 30 June 2026,* p. 95.

[902] Queensland Competition Authority, *Seqwater bulk water price review 2022-26*, p. 65.

13.4.4 Cost of debt

The cost of debt is comprised of the cost of debt itself and debt raising costs. The cost of debt is calculated from the yield on a 10-year BBB corporate bond.

$$k_d = Cost\ of\ debt + debt\ raising\ costs$$

where:

k_d = nominal cost of debt

13.4.4.1 Cost of debt

The draft determination utilised a 10-year trailing average approach based on cost of debt data published by the RBA to calculate cost of debt values for each of the four years of the SAWRD24 regulatory period (excluding debt raising costs).

The methodology set out the cost of debt for each year of the four-year regulatory period; it does not involve annual updates to the cost of debt during the regulatory period (consistent with the Pricing Order[903]).

The trailing average approach recognises that a business may not finance all of its debt around the same time, so holding a portfolio of debt with staggered maturity dates and the possibility to use products to hedge interest rate exposure represents a potential efficient debt financing strategy. The trailing average approach aims to be reflective of the debt management approaches of an efficient private benchmark entity.[904] The long tenor of the bonds (a 10-year term to maturity) approximates the long lives of regulated water and sewerage assets.

In practice, the 10-year trailing average approach to the cost of debt assumes that approximately one-tenth of the benchmark efficient entity's total debt is refinanced each year, and that the assumed cost of debt for a single year is the average of long-term financing costs over that year and each of the preceding nine years. This is a common approach among most Australian economic regulators.[905]

A credit rating of BBB is adopted as the benchmark cost of debt. Selecting BBB reflects that the gearing assumption (of 60 percent) points to a credit rating in this band,[906] and that data are publicly available for this particular investment band (estimates of the cost of debt for BBB corporate securities are published by the RBA[907]).[908]

The Commission outlined that it calculated the cost of debt by holding constant the latest available observation over the regulatory period and calculating the trailing average.

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[903] Pricing Orders are available at https://www.treasury.sa.gov.au/economy,-taxes-and-rebates/economic-regulation.

[904] The Australian Energy Regulator has continued its use of the trailing average method, noting that it was unclear whether a benchmark business would find it efficient to increase debt raising significantly beyond 10 percent in a year. AER, *Rate of Return Instrument: Explanatory Statement*, p. 235.

[905] For example, AER, *Rate of Return Instrument: Explanatory Statement*, p. 235. An exception is Economic Regulation Authority, *Explanatory statement for the 2022 final gas rate of return instrument,* pp. 56-95.

[906] Essential Services Commission of South Australia, *SA Water Regulatory Determination 2020*, p. 215.

[907] As published by the RBA in statistical table F3, available at https://www.rba.gov.au/statistics/tables/#interest-rates.

[908] Note that some economic regulators, such as the Australian Energy Regulator and Economic Regulation Authority, will use data on the yields of BBB+ corporate bonds when estimating the benchmark cost of debt, which will typically require interpolation. See Australian Energy Regulator, *Rate of Return Instrument: Explanatory Statement*, p. 194, and Economic Regulation Authority, *Explanatory statement for the 2022 final gas rate of return instrument,* p. 79.

13.4.4.2 Debt-raising costs

The draft determination utilised 12.5 basis points for debt-raising costs.

The debt-raising cost allowance reflects the efficient transaction costs associated with raising debt financing in the corporate bond market (for example, the direct costs of underwriting fees, legal and registry fees and company credit rating fees).[909] These direct financing costs could be reasonably expected for any prudent and efficient utility that issues corporate securities as part of its portfolio of debt. The draft position maintained the Commission's existing estimate for debt-raising costs of 12.5 basis points. This value was within the range of recent regulatory decisions made in other jurisdictions, which have been between 0.08 percent and 0.165 percent (as shown in Table 13.4).

Table 13.4: Debt raising cost decisions across jurisdictions

Regulator	Year	Debt-raising costs (%)
AER[910]	N/A	N/A
ERA[911]	2022	0.165
ESCV[912]	2021	0.15
ICRC[913]	2023	0.108
IPART[914]	2018	0.125
OTTER[915]	2022	0.08
QCA[916]	2023	0.10

13.4.5 Long-term inflation expectations

The draft determination utilised an estimate for long-term inflation expectations using a methodology updated from that used during SAWRD20.

The Commission's WACC methodology requires an estimate of long-term inflation expectations to deflate the nominal rate of return in order to derive a real rate of return.

Economic regulators tend to have varying approaches to estimating long-term inflation expectations, but broadly adopt a similar structure.

A common structure used by economic regulators in Australia (including the Commission) when calculating the estimate, involves the following three key components:

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909 For a detailed explanation of debt-raising costs, see Economic Regulation Authority, *Explanatory statement for the 2022 final gas rate of return instrument,* pp. 193-210.

910 The Australian Energy Regulator provides for a separate debt-raising cost allowance as part of the operating expenditure allowance. Australian Energy Regulator, *Rate of Return Instrument: Explanatory Statement*, p. 47.

911 Economic Regulation Authority, *Explanatory statement for the 2022 final gas rate of return instrument,* p. 207.

912 Essential Services Commission of Victoria, *2023 water price review,* p. 40.

913 Independent Competition and Regulatory Commission, p. 86.

914 Independent Pricing and Regulatory Tribunal, *Review of our WACC method*, February 2018, p. 24, available at https://www.ipart.nsw.gov.au/sites/default/files/documents/final-report-review-of-our-wacc-method-february-2018_0.pdf.

915 Office of the Tasmanian Economic Regulator, *Investigation into TasWater's prices and services for the period 1 July 2022 to 30 June 2026,* p. 76.

916 Queensland Competition Authority, *Rate of return review,* p. 50.

- the term of inflation expectations
- the use of any short-term forecasts (used to infer what might be a reasonable indication of short-term inflation expectations), and
- the length of the time expected for Consumer Price Index (CPI) inflation to return to an anchor point (typically the mid-point of the RBA's target inflation band of between 2 and 3 percent).[917]

The parameter is ultimately calculated as a geometric average of the estimates of inflation expectations for each year of the term.

Term of inflation expectations

The term of inflation expectations refers to the number years for which inflation expectations are being estimated. The draft position was to continue to use a 10-year term.

Many Australian economic regulators[918] have recently adopted a 'term-matching' approach, which is where the term of inflation expectations is equal to the length of the regulatory period (that is, typically four or five years). Common reasoning given for doing so is that it may allow the estimate of long-term inflation expectations to closely match the amount of actual inflation over the period. Although there has been a move by economic regulators towards using a term-matching approach to inflation expectations, it was not clear in the Commission's view that doing so necessarily improves the estimation of the parameter. This can depend on the size and type of macroeconomic shock and the size of the deviation away from the RBA's 2 to 3 percent target band. The Commission previously selected a term of 10 years because that closely aligns with the inflation expectations embedded within the risk-free rate (noting that the risk-free rate is estimated using a 10-year AGS).

Both potential approaches have advantages and disadvantages, and in 2020 the AER noted its position that either term could be valid and reasonable.[919]

Short-term forecast

The Commission uses the latest available RBA forecasts for CPI inflation (which tend to be for the first two years of the regulatory period, 2024-25 and 2025-26).[920] The draft position maintained this approach for SAWRD24, noting it was common practice among other Australian economic regulators.[921] The

[917] Australian Energy Regulator, *Regulatory treatment of inflation*, Final position, pp. 1-110, December 2020, available at https://www.aer.gov.au/system/files/AER%20-%20Final%20position%20paper%20-%20Regulatory%20treatment%20of%20inflation%20-%20December%202020.pdf.

[918] Queensland Competition Authority, *Inflation forecasting*, October 2021, p. 9, available at https://www.qca.org.au/wp-content/uploads/2021/10/inflation-forecasting-final-position-paper-october-2021.pdf.

[919] Australian Energy Regulator, *Regulatory treatment of inflation*, p. 38.

[920] Note that the Commission used the RBA's trimmed mean inflation in SAWRD20. Trimmed mean inflation is a trend measure that removes noise and can be a more appropriate measure of inflation when inflation is not stable between quarters. The Commission adopted this approach in SAWRD20 due to the COVID-19 outbreak at the time, and the temporary introduction of free childcare in June quarter 2020 that was expected to place downward pressure on year-end inflation. As these economic conditions have since subsided, the draft position was to use CPI inflation for SAWRD24.

[921] The Australian Energy Regulator, Essential Services Commission of Victoria, Independent Competition and Regulatory Commission and Queensland Competition Authority all use two years of RBA forecasts in their calculation method. The Independent Pricing and Regulatory Tribunal uses one year of RBA forecasts. See Australian Energy Regulator, *Regulatory treatment of inflation*, pp. 54-55, Independent Competition and Regulatory Commission, pp. 86-87, Queensland Competition Authority, *Inflation forecasting*, pp. 17, Independent Pricing and Regulatory Tribunal, *Review of our WACC method*, pp. 75-76, and Essential Services Commission of Victoria, *South East Water final decision*, June 2023, pp. 31-32, available at https://www.esc.vic.gov.au/water/water-prices-tariffs-and-special-drainage/water-price-reviews/water-price-review-2023/south-east-water-price-review-2023. (Note that the Essential Services Commission of Victoria also gives weight to the bond-breakeven approach in order to estimate long-term inflation expectations).

Commission considers the RBA to be a credible institution (and its forecasts to be robust), while noting that the RBA does not provide CPI inflation forecasts further out than approximately two years into the future.

Glide path

The glide path approach recognises there can be a degree of uncertainty over the timing of the recovery path for inflation, which can affect household, firm and investor expectations about inflation in the short to medium term. At the same time, the glide path approach recognises that most available evidence suggests that the flexible inflation targeting framework pursued by the RBA has anchored long-term inflation expectations within the RBA's two to three percent target band.[922]

For SAWRD20, the Commission adopted a glide path where inflation was not estimated to return to 2.5 percent for seven years (2.5 percent being the midpoint of the RBA's target band), reflecting the large demand and uncertainty shock evident at the onset of the COVID-19 pandemic.[923]

For SAWRD24, the draft position was to adopt a shorter glide path, where CPI inflation was expected to take four years to return to the mid-point of the RBA's inflation target band (rather than seven years). CPI inflation data supported this draft approach, in which inflation has infrequently been above or below 2.5 percent for greater than four years at a time.[924] The adoption of a four-year timeframe was consistent with other recent economic regulatory decisions, with most economic regulators estimating inflation to return to the mid-point of the RBA target band within four to five years.[925]

Alternative methods to estimate long-term inflation expectations

In arriving at its draft position, the Commission considered alternative approaches that could be utilised.

These included market-based approaches (such as the 10-year bond breakeven rate and the 10-year inflation swaps rate), surveys of professional forecasters' long-term inflation expectations, and econometric modelling. However, most economic regulators have acknowledged, and have previously provided evidence for, why these types of approaches have limitations that tend to make them non-preferred options for adoption in regulatory determinations.[926]

- Surveys

  Surveys of professional forecasters' expectations of long-term inflation can be used to set, or inform, estimates of long-term inflation expectations. The use of surveys of market economists' expectations of average annual inflation are considered in central bank research as a useful way to gauge long-term inflation expectations, as they should be less influenced by temporary economic factors or financial market developments, and because professional forecasters are well

[922] Reserve Bank of Australia, *Statement on Monetary Policy*, November 2023, Graph 4.17, p. 53.
[923] Essential Services Commission of South Australia, *SA Water Regulatory Determination 2020*, pp. 223-229.
[924] On only one occasion over the last 30 years has inflation been above, or below, 2.5 percent for greater than approximately four years at a time.
[925] For example, the Australian Energy Regulator, Essential Services Commission of Victoria, Independent Competition and Regulatory Commission and Queensland Competition Authority. This is in line with the International Monetary Fund's inflation forecast for Australia for the upcoming the five-year horizon, in which it expects inflation to be 2.42 percent by the end of 2028. International Monetary Fund, *World Economic Outlook Database*, October 2023, available at: https://www.imf.org/en/Publications/WEO/weo-database/2023/October.
[926] For example, Queensland Competition Authority and the Australian Energy Regulator. Queensland Competition Authority, *Inflation forecasting*, pp. 56-61; Australian Energy Regulator, *Regulatory treatment of inflation*, p. 52. A minority of regulators will use market-implied estimates to inform their long-term inflation expectations decision. For example, Economic Regulation Authority. Economic Regulation Authority, *Explanatory statement for the 2022 final gas rate of return instrument,* p. 214.

informed.[927] A practical issue is that the information in the survey is proprietary, which may restrict replicability and transparency. In SAWRD20, the Commission used surveys of professional forecasters as a guide and cross-check to inform its estimates.[928] Currently, surveys of economists indicate that long-term inflation expectations remain anchored within the RBA's target band.[929]

- Bond-breakeven rate

  The bond-breakeven rate is calculated as the difference in yields between nominal and inflation-indexed bonds. While the approach is a plausible methodology in certain circumstances and is sometimes supported on the basis that investors have large financial resources at stake and strong incentives to form accurate expectations of inflation, there are known time-varying premiums and biases (that is, inflation risk premiums and liquidity premiums).[930] These premiums and biases reduce its applicability for use in Australia as a pure measure of inflation expectations.[931, 932]

  For example, the yield on nominal AGS includes an inflation risk premium which is compensation for bearing inflation risk (that is, higher or lower than long-term expected inflation).[933] This risk premium can account for much of the variation in the bond breakeven rate[934], making it difficult to distinguish between movements due to pure changes in long-term inflation expectations and those associated with the risk premium.

  Regarding liquidity premiums, in 2022-23, annual turnover of nominal AGS was roughly thirty times as large as turnover for inflation-indexed AGS.[935] Investors may therefore demand a liquidity premium (a higher yield on inflation-indexed AGS) to compensate for the risk of market prices moving against them in a substantial way if they try to sell their position. This can downwardly bias the bond breakeven inflation rate.[936]

- Inflation swap rate

  In an inflation swap, one party receives a payment indexed to inflation in exchange for a payment determined by a fixed rate, which is agreed at initiation of the contract but paid at the end. Users of inflation swaps include pension funds (who use them to hedge long-dated inflation-linked obligations) and infrastructure project providers (who use them to hedge their inflation-linked assets or revenues).[937]

  As with the bond-breakeven approach, the key advantage of inflation swaps is that their pricing is determined by markets (where investors should have strong incentives to form accurate expectations for inflation). Nonetheless, there are disadvantages in the use of long-term inflation

[927] Ellis, *Re: Regulatory treatment of inflation – inflation expectations*, 5 July 2017, pp. 1-2, available at https://www.aer.gov.au/system/files/Letter%20from%20the%20RBA%20to%20AER%20-%2025%20July%202017.pdf.
[928] Essential Services Commission of South Australia, *SA Water Regulatory Determination 2020*, pp. 223-231.
[929] Reserve Bank of Australia, *Statement on Monetary Policy*, November 2023, pp. 53-64.
[930] Essential Services Commission of South Australia, *SA Water Regulatory Determination 2020*, pp. 283-289.
[931] Finlay R and S Wende, *Estimating Inflation with a Limited Number of Inflation-indexed Bonds*, 2011, RBA Research Discussion Paper, RDP 2011-01, pp. 1-39, available at https://www.rba.gov.au/publications/rdp/2011/pdf/rdp2011-01.pdf.
[932] Moore A, *Measures of Inflation Expectations in Australia*, 2016, RBA Bulletin, pp 27-28, available at https://www.rba.gov.au/publications/bulletin/2016/dec/pdf/rba-bulletin-2016-12-measures-of-inflation-expectations-in-australia.pdf.
[933] Finlay R and S Wende, pp. 1-39.
[934] Ibid, pp. 15-16. The authors note that their estimates of risk premiums may include liquidity premiums.
[935] Turnover is calculated in value terms and includes all tenors. Data is available from the Australian Office of Financial Management, available at https://www.aofm.gov.au/data-hub.
[936] Moore A, pp. 27-28.
[937] Ibid, pp. 24-26.

swaps. The market for swaps can lack transparency (with prices and quantities not publicly available)[938] and, like the bond breakeven rate, it can include inflation risk premia that can bias the measure.[939] Also, the users of swaps (for example, financial institutions) are subject to various financial regulations and the RBA has previously (in 2016) reported that this can act as a practical liquidity constraint.[940]

- Econometric modelling

  There are econometric models that decompose a nominal bond yield into its various underlying components, including the latent long-term inflation expectation component. Econometric modelling can be complex, brings its own set of model and estimation risks and can lower transparency and replicability. Due to these limitations, the Commission does not develop its own econometric models to estimate long-term inflation expectations.[941]

Given the limitations noted in each of the alternative methods discussed, most economic regulators[942] adopt practical approaches to estimating long-term inflation expectations (as described earlier).

13.5 Draft position

The following table outlines the draft positions for calculating the real, post-tax WACC that were utilised for the purposes of the draft determination.

Table 13.5: Summary of draft positions on regulated rate of return parameters

DRAFT positions	2024-25	2025-26	2026-27	2027-28	4-year average	SAWRD20 4-year average
Nominal risk-free rate (%)	4.47	4.47	4.47	4.47	4.47	0.91
Market risk premium (%)	6.3	6.3	6.3	6.3	6.3	6.0
Equity beta	0.67	0.67	0.67	0.67	0.67	0.67
Post-tax, nominal cost of equity (%)	8.69	8.69	8.69	8.69	8.69	4.93
Nominal cost of debt (excluding debt raising costs) (%)	4.97	5.18	5.46	5.75	5.34	4.60
Debt raising costs (%)	0.125	0.125	0.125	0.125	0.125	0.125

938 Moore A, pp. 28-30.

939 Finlay R and D Olivan, *Extracting information from financial markets*, RBA Bulletin, March quarter 2012, pp. 50-52, available at https://www.rba.gov.au/publications/bulletin/2012/mar/pdf/bu-0312-6.pdf.

940 Moore A, pp. 28-30.

941 The RBA's forecasts of CPI inflation are used in the Commission's calculation of long-term inflation expectations. The RBA's forecasts are guided by a range of information including econometric modelling. It employs, among other things, a suite of single-equation inflation econometric models, it utilises a full-system economic model, and it maintains a dynamic stochastic general equilibrium model. In this respect, while the Commission does not develop its own econometric models to estimate long-term inflation expectations, inflation modelling outputs are considered, at least implicitly, through the Commission's use of the RBA's forecasts. Cassidy N, Rankin E, Read M and C Siebold, *Explaining low inflation using models*, RBA Bulletin, June 2019, pp. 143-166, available at https://www.rba.gov.au/publications/bulletin/2019/jun/pdf/explaining-low-inflation-using-models.pdf.

942 For example, Australian Energy Regulator, *Regulatory treatment of inflation*, pp. 1-110.

DRAFT positions	2024-25	2025-26	2026-27	2027-28	4-year average	SAWRD20 4-year average
Post-tax, nominal cost of debt (%)	5.09	5.30	5.58	5.87	5.46	4.73
Gearing (%)	60	60	60	60	60	60
Post-tax, nominal WACC (%)	**6.53**	**6.66**	**6.82**	**7.00**	**6.75**	**4.81**
Long-term inflation expectations (%)	2.66	2.66	2.66	2.66	2.66	2.07
Post-tax, real WACC (%)	**3.77**	**3.89**	**4.06**	**4.23**	**3.99**	**2.68**

13.6 Consultation on draft position

SA Water, the South Australian Council of Social Service (SACOSS) and SA Water's Customer Challenge Group (CCG) expressed views on the methodology and/or level of the rate of return,[943] while the South Australian Federation of Residents and Ratepayers Associations (SAFRRA) noted recent trends in financing costs.[944]

SA Water's submission proposed three methodological matters with respect to the calculation of the rate of return:[945]

- that the existing (SAWRD20) methodology should be maintained
- that un-adjusted published AGS yield data should be used to estimate the risk-free rate, and
- that the forecast component of the cost of debt trailing average should be calculated using a 12-month average of the latest observed corporate BBB debt yield data.

In addition, SA Water expressed several general views regarding the rate of return. This included a perceived lack of stability of the rate of return outcome over time, the timing for when market data should be utilised when calculating the risk-free rate and cost of debt, and the relative contributions to the maximum revenue cap of individual building block components.[946]

SACOSS submitted that the technical nature of the rate of return topic, combined with only a six-week consultation period, limited the ability of stakeholders to meaningfully engage on the topic.[947] SACOSS also submitted that the Commission should seek independent expert analysis and advice on setting the rate of return for future determinations.[948] The CCG submitted that the rate of return should be reduced.[949]

[943] SA Water, *SA Water's response to ESCOSA's Draft Determination*, pp. 109-111, Customer Challenge Group, p. 2, and South Australian Council of Social Service, *Submission to Draft Regulatory Determination*, pp. 26.
[944] South Australian Federation of Residents and Ratepayers Associations, p. 7.
[945] SA Water, *SA Water's response to ESCOSA's Draft Determination*, pp. 109-111.
[946] SA Water, *SA Water's response to ESCOSA's Draft Determination*, pp. 109-111.
[947] South Australian Council of Social Service, *Submission to Draft Regulatory Determination*, pp. 26.
[948] Ibid, pp. 26.
[949] Customer Challenge Group, p. 2.

13.7 Further analysis

In terms of the use of the ***real, post-tax WACC methodology***, a 60 percent ***gearing ratio***, an ***equity beta*** of 0.67, and 12.5 basis points for ***debt-raising costs***, no stakeholder submissions commented directly on the positions on these components of the draft determination. Moreover, no further relevant information or evidence was submitted by stakeholders and/or has been identified by the Commission that would be sufficient to change these positions.

Accordingly, for the reasons outlined earlier, for the purposes of the final determination the Commission confirms its positions in respect of these components.

13.7.1.1 Risk-free rate

In terms of the ***risk-free rate***, no stakeholders provided evidence refuting or otherwise suggesting that the Commission's use of yields on 10-year AGS and a 60-day averaging approach were not appropriate. Further, no other relevant information or evidence was submitted by stakeholders, and no other relevant information or evidence has been identified by the Commission that would be sufficient to change the draft determination positions on those two matters.

One area of the calculation of the risk-free rate that did receive comment was the conversion of semi-annual yields into annualised yields. By way of background, to estimate the risk-free rate, the draft determination converted published AGS yields into annualised yields. This was undertaken to account for the compounding of investment returns, given that, in Australia, yields on AGS are typically derived from semi-annual rates of return.

In its submission to the draft determination, SA Water expressed the view that yields on AGS published by the RBA are already presented in an annualised form and, as such, it presented a revised proposal for the final determination which involved un-adjusted published AGS yield data being used to estimate the risk-free rate. Put another way, under its revised proposal, there was not a need for the Commission to convert the published data into an effective annual rate.[950]

The Commission has reviewed SA Water's proposal but has determined that it will maintain its current method of annualising published yields on AGS. In considering its position, the Commission notes that the effect of SA Water's proposal for using unadjusted yields on AGS in calculating the real, post-tax WACC would be very small, equating to an annual reduction of approximately two basis points.

The existing approach adopted by the Commission is consistent with the approaches utilised by other economic regulators in Australia including Independent Pricing and Regulatory Tribunal (IPART), Queensland Competition Authority (QCA) and the AER.[951] The Commission's method of calculating an annual effective rate was used by the Commission in both SAWRD16 and SAWRD20.[952] By contrast, SA Water's proposal for change contained no supporting information, evidence or references.[953]

SA Water's submission stated *that 'the Final Determination should therefore maintain the current methodology'*. However, SA Water has proposed to amend the methodology for the risk-free rate.

Given no compelling evidence has been provided to depart from the accepted regulatory approach, and the effect of doing so would be marginal (the average WACC would reduce from 3.70 percent to 3.69 percent), the Commission's position is to maintain the current approach.

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[950] SA Water, *SA Water's response to ESCOSA's Draft Determination*, pp. 109-111.

[951] For instance, Queensland Competition Authority, *Rate of return review,* pp. 108-109, Independent Pricing and Regulatory Tribunal, *Review of our WACC method*, pp. 40-41, and Australian Energy Regulator, *Rate of Return Instrument: Explanatory Statement*, pp. 227-228.

[952] For example, Essential Services Commission of South Australia, *SA Water Regulatory Determination 2020*, p. 218.

[953] SA Water, *SA Water's response to ESCOSA's Draft Determination*, pp. 109-111.

Accordingly, for the reasons outlined in this chapter, the final determination utilises a risk-free rate of 4.15 percent, calculated on the basis set out above.

13.7.1.2 Cost of debt

In terms of the *cost of debt*, no stakeholders provided evidence refuting or otherwise suggesting that the use of yields on 10-year BBB corporate bonds and the use of a 10-year trailing average were not appropriate. Further, no other relevant information or evidence was submitted by stakeholders and no other relevant information or evidence has been identified by the Commission that would be sufficient to change the draft determination positions on those two matters.

However, in its submission to the draft determination, SA Water put forward a proposal that the forecast component of the cost of debt (that is, the forecast of yields for 2024-25 to 2027-28) should be calculated as the average of the latest 12 months of observations (that is, the average of yields over the year to February 2024) rather than use the latest observation.[954]

The Commission has considered SA Water's proposal to revise the cost of debt. The key issue is one of forecast accuracy. In the draft determination, consistent with SAWRD20, the Commission adopted an approach of using the latest observation as the best estimate for the forecast horizon.

Ultimately, there are various known approaches to estimating the cost of debt including approaches the Commission has not adopted.[955] However, the fact that there are possible alternatives, including in how to forecast yields, is not itself a reason to change the method. The Commission has utilised the methodology that it has over time on the basis that it is the preferable methodology given the applicable statutory and regulatory frameworks, and the overall context of regulatory determinations for SA Water. If an alternative methodology is found, through public and evidence-based consideration, to be demonstrably superior, the Commission would look to adopt that alternative. In this instance, SA Water has not provided references or other information in support of the proposal, apart from noting that the cost of debt can be volatile from month to month and that this can impact forecast performance.

Further, adopting the cost of debt estimation methodology proposed by SA Water would, all else equal, increase the real, post-tax WACC by approximately eight basis points (as of 20 March 2024). SA Water's submission to the draft determination stated that the current methodology should be maintained, and it further added that it *'…does not believe that the current economic environment is the time to be making methodology changes that increase the rate of return'*.[956]

Accordingly, there are not sufficient grounds for accepting SA Water's submissions on this matter for SAWRD24.

For the reasons outlined in this chapter, the final determination utilises cost of debt values for each of the next four years (excluding debt raising costs) as follows:

- 4.75 percent for 2024-25
- 4.82 percent for 2025-26
- 4.97 percent for 2026-27, and

[954] Ibid, p. 111.

[955] For instance, rather than utilise the RBA's monthly total BBB corporate cost of debt indicator, the Commission could specifically determine the monthly debt risk premium parameter, and this could be added to the risk-free rate (60-day average of the yield on AGS) to estimate the cost of debt. Other options could include utilising alternative sources of cost of debt data such as from Bloomberg or Refinitive (formerly Thomson Reuters).

[956] SA Water, *SA Water's response to ESCOSA's Draft Determination*, p. 109.

- 5.13 percent for 2027-28.

The table below shows the calculation of the cost of debt. As can be seen in Table 13.6, the cost of debt increases over the regulatory period. This is due to the most recent observation, which is held constant for the regulatory period, being higher than the average corporate BBB yield over the preceding nine years. This is the case for all years of the regulatory period.

Table 13.6: Calculation of 10-year trailing average of corporate BBB rated bond yields

BBB corporate securities yield (%)	2015-16	2016-17	2017-18	2018-19	2019-20	2020-21	2021-22	2022-23	2023-24	2024-25	2025-26	2026-27	2027-28
July	5.01	4.27	4.35	4.58	3.22	2.78	2.52	5.97	6.56	5.95	5.95	5.95	5.95
August	5.07	4.10	4.36	4.38	2.86	2.77	2.75	6.84	6.51	5.95	5.95	5.95	5.95
September	5.32	4.20	4.46	4.53	2.89	2.61	3.17	7.14	6.85	5.95	5.95	5.95	5.95
October	5.28	4.47	4.18	4.52	3.01	2.54	3.81	7.24	7.29	5.95	5.95	5.95	5.95
November	5.41	4.94	4.16	4.69	2.88	2.30	3.74	6.83	6.66	5.95	5.95	5.95	5.95
December	5.45	4.93	4.28	4.63	3.10	2.29	3.81	7.00	5.86	5.95	5.95	5.95	5.95
January	5.57	4.79	4.31	4.53	2.58	2.32	4.06	6.38	5.93	5.95	5.95	5.95	5.95
February	5.57	4.63	4.29	4.32	2.50	3.11	4.70	6.56	5.95	5.95	5.95	5.95	5.95
March	5.23	4.61	4.37	3.94	3.80	3.15	5.42	6.31	5.95	5.95	5.95	5.95	5.95
April	4.97	4.47	4.46	3.93	3.97	3.02	5.96	6.16	5.95	5.95	5.95	5.95	5.95
May	4.79	4.25	4.49	3.68	3.58	3.21	6.21	6.38	5.95	5.95	5.95	5.95	5.95
June	4.65	4.41	4.49	3.42	3.32	3.03	6.89	6.65	5.95	5.95	5.95	5.95	5.95
Annual average	**5.19**	**4.51**	**4.35**	**4.26**	**3.14**	**2.76**	**4.42**	**6.62**	**6.28**	**5.95**	**5.95**	**5.95**	**5.95**
10-year trailing average – 2024-25 (2015-16 to 2024-25)										**4.75**			
10-year trailing average – 2025-26 (2016-17 to 2025-26)											**4.82**		
10-year trailing average – 2026-27 (2017-18 to 2026-27)												**4.97**	
10-year trailing average – 2027-28 (2018-19 to 2027-28)													**5.13**

13.7.1.3 Long-term inflation expectations

In terms of long-term inflation expectations, stakeholder submissions did not comment on the 10-year term of the inflation expectations parameter. Nor did they comment on the short-term forecasts of CPI inflation or the use of a geometric average.

SA Water did, however, submit that the final determination should maintain the current methodology. The Commission has interpreted the submission to mean maintain the methodology applied in SAWRD20, a methodology which assumed a longer glide path period for inflation to return to 2.5 percent.[957]

In the draft determination (and again in Section 13.4.5 of this chapter), the Commission outlined the reasons and evidence to support the change to its methodology for estimating the long-term inflation expectations parameter. A change to the method for estimating this parameter was foreshadowed in Guidance Paper 3 in July 2022.[958]

Notwithstanding that SA Water stated in its submission to the draft determination that the Commission should maintain the current methodology, it did not provide supporting information and/or evidence relating to the calculation of long-term inflation expectations, nor did it explain why this would be a preferable outcome given the applicable statutory and regulatory frameworks, and the overall context of regulatory determinations for SA Water. In addition, no further relevant information has been identified by the Commission that would be sufficient to change the draft position on the outlined methodology.

Accordingly, for the reasons outlined in this chapter, the final determination utilises long-term inflation expectations which are calculated on the basis of the methodology outlined in the draft determination. The calculation of long-term inflation expectations can be seen in Table 13.7.

Table 13.7: Path for long-term inflation expectations

Financial year	Position for SAWRD24 (%)
2024-25	3.10[959] (RBA forecast headline inflation)
2025-26	2.60[960] (RBA forecast headline inflation)
2026-27	2.55 (linear glide path)
2027-28	2.50 (midpoint of the RBA's target band)
2028-29	2.50
2029-30	2.50
2030-31	2.50
2031-32	2.50
2032-33	2.50
2033-34	2.50
Geometric average (%)	**2.57**

The 2.57 percent estimate for long-term inflation expectations is below the 2.66 percent used in the draft determination. The updated estimate reflects the release of updated RBA forecasts of CPI

[957] SA Water, *SA Water's response to ESCOSA's Draft Determination*, p. 109.

[958] The Commission stated: *'The Commission's initial position is that the SAWRD20 approach to the risk-free rate, cost of debt, market risk premium, gearing proportion, and equity beta parameter will be maintained. Long-term inflation expectations is the exception, as an area where the Commission is likely to revisit its approach for SAWRD24 based on its monitoring of current economic developments'*. Essential Services Commission of South Australia, *SA Water Regulatory Determination 2024: Guidance paper 3*, p. 13.

[959] Reserve Bank of Australia, *Statement on Monetary Policy*, February 2024, p. 45, available at https://www.rba.gov.au/publications/smp/2024/feb/pdf/statement-on-monetary-policy-2024-02.pdf.

[960] Ibid, p.45.

inflation for 2024-25 and 2025-26 (published in February 2024).[961] The use of the latest available information is consistent with regulatory practice[962] and can improve forecast accuracy.[963]

A lower estimate of long-term inflation expectations, all things equal, has an upward impact on the rate of return – this provides an offsetting effect to the decrease in government bond yields observed since November 2023, which, all things being equal, has a downward impact on the rate of return.

Had the SAWRD20 approach to estimating long-term inflation expectations been retained for SAWRD24, as appears to have been supported by SA Water, the difference in parameter outcomes would have been negligible (2.58 percent instead of 2.57 percent).

13.7.1.4 Market risk premium

In terms of the market risk premium, stakeholder submissions did not comment on the sources of data and methodologies considered in deriving an estimate of the parameter. Nevertheless, as mentioned earlier, SA Water submitted that the final determination should maintain the current methodology (which the Commission has interpreted to as maintaining the methodology applied in SAWRD20). As was the case with long-term inflation expectations, this implies adopting the method used in SAWRD20, where a market risk premium of 6.0 percent was used.

In its RBP, SA Water stated that it used key parameters and assumptions previously used by the Commission in SAWRD20 to calculate the rate of return for SAWRD24. For the market risk premium, SA Water proposed a 6.0 percent figure, citing this as an 'historic MRP', but it did not elaborate on any assumptions or methodologies that underpin the derivation of this figure.[964]

While Guidance Paper 3 stated that the Commission's *initial* position was that it would maintain its position on the market risk premium parameter,[965] the Commission, having reviewed a range of information, options and evidence (including various time periods), assessed that a market risk premium parameter of 6.3 percent would be the most up to date and appropriate value for the rate of return parameter. SA Water did not provide supporting information and/or a supporting methodology for the market risk premium to remain at 6.0 percent nor did it explain why this would be a preferable outcome given the applicable statutory and regulatory frameworks, and the overall context of regulatory determinations for SA Water.

Accordingly, for the reasons outlined in this chapter, the final determination utilises a market risk premium of 6.3 percent (which adds approximately eight basis points to the real, post-tax WACC).

[961] Ibid, p. 45.

[962] For example, Independent Competition and Regulatory Commission, pp. 86-87, and Essential Services Commission of South Australia, *SA Water Regulatory Determination 2020*, pp. 228-229.

[963] For example, forecast accuracy has previously been discussed and analysed by the Commission in the context of CPI inflation and the risk-free rate. See Essential Services Commission of South Australia, *SA Water Regulatory Determination 2020: Guidance Paper 6 (technical paper)*, June 2019, pp. 1-18, available at https://www.escosa.sa.gov.au/ArticleDocuments/21676/20190606-SAWRD20-GuidancePaper6-InflationForecastingMethodology.pdf.aspx?Embed=Y, and Essential Services Commission of South Australia, *SA Water Regulatory Determination 2020: Guidance Paper 7 (technical paper)*, pp. 1-17.

[964] SA Water, *Regulatory Business Plan 2024-28*, p. 264.

[965] Essential Services Commission of South Australia, *SA Water Regulatory Determination 2024: Guidance paper 3*, p. 13.

13.7.2 General stakeholder discussion items

As noted earlier, SA Water made several general submissions regarding the rate of return. Those included a perceived lack of stability of the rate of return outcome over time, the timing for when market data should be used when calculating the risk-free rate and cost of debt and the relative contributions to the maximum revenue cap of individual building block components.[966]

In terms of other stakeholder views, SACOSS submitted that a six-week consultation period and the technical nature of the rate of return topic limited the ability of stakeholders to meaningfully engage on the topic.[967] The CCG submitted that the rate of return should be reduced.[968]

These items are discussed below.

13.7.2.1 Volatility of the rate of return

SA Water submitted that the rate of return is volatile and it supports rate of return methodologies that lead to stable outcomes over time.[969]

The Commission's rate of return methodology is consistent with its rate of return principles (as outlined in Box 13.1 earlier in the chapter). Those principles are, in turn, consistent with and give effect to the requirements of the ESC Act and the WI Act in the determination of the lowest sustainable cost of delivering water and sewerage services and protecting consumers' long-term interests.[970]

In the Commission's view, a high or low rate of return outcome is not necessarily a reason by itself to change the methodology. Nor are business cycle fluctuations in financial markets.

The methodology adopted for SAWRD24 is similar to that proposed by SA Water in its RBP and it is similar to that adopted by the Commission in both SAWRD16 and SAWRD20. The rate of return is set with reference to the returns that could be expected, in an open market for a benchmark efficient entity facing similar risks to SA Water. The methodology uses market-based data and parameter selections consistent with economic regulatory practice across Australia (as outlined in this chapter).

While consumers may be averse to price volatility, cost reflective maximum revenue caps are an important element of economic regulation and are required under NWI Pricing Principles (and hence required under the Pricing Order). Provided that real returns are cost-reflective, any move away from this approach to arbitrarily low outcomes may weaken incentives for efficient and prudent investment, undermine flexibility (including in how much is returned to shareholders, re-invested or allocated to other expenditure) and increase the risks faced by SA Water including financial risks, and therefore impose costs on consumers in the long-term (intergenerational equity effects).

13.7.2.2 Timing for when market data is adopted

SA Water submitted that the rate of return in the Commission's draft determination (of 3.99 percent) was an increase relative to the 3.23 percent proposed by SA Water in its RBP, and it expressed the view that it did not request a higher rate of return and that part of the increase was due to a change in methodology.[971]

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966 SA Water, *SA Water's response to ESCOSA's Draft Determination*, pp. 109-111.
967 South Australian Council of Social Service, *Submission to Draft Regulatory Determination*, p. 26.
968 Customer Challenge Group, p. 2.
969 SA Water, *SA Water's response to ESCOSA's Draft Determination*, pp. 109-111.
970 For explanations of how the rate of return principles relate to the statutory framework, see Essential Services Commission of South Australia, *SA Water Regulatory Rate of Return 2016-2020*, p. 23.
971 SA Water, *SA Water's response to ESCOSA's Draft Determination*, p. 109.

The majority of the difference between SA Water's RBP proposal and the draft determination related to the use of up-to-date market data. In the draft determination, the Commission used market data as available in November 2023, whereas SA Water used market data from April 2023.

As outlined above, the only changes to the methodology are from utilising a greater number of sources and more up-to-date data to determine the market risk premium, and reducing the length of the glide path and reverting to the use of CPI inflation for the long-term inflation expectations parameter. The change to the market risk premium adds approximately eight basis points to the real, post-tax WACC, and the change to the long-term inflation expectations parameter is negligible.

One interpretation of SA Water's statement regarding the rate of return is that it appears to support its initial rate of return as calculated using market data as of April 2023. However, this position, if adopted, is likely to increase the risk of forecast error, particularly in relation to the risk-free rate.

Previous research prepared for SAWRD20 by the Commission outlined the risks and reasons for this and highlights why it is preferable to adopt the latest market data.[972] Further, adopting market data for the risk-free rate so far in advance of the timing of the final determination would be, if adopted, out of line with common regulatory practice in Australia.[973] As the Commission noted in 2019: [974]

> *'The outlook for bond yields is inherently difficult to predict. There are two well-known reasons for this. First, financial market variables exhibit 'excess volatility' reflecting the importance of frequent changes in investor sentiment due to the continual stream of new information. Second… yields on ten-year CGS have not tended to fluctuate around a stable average level. Rather, domestically and globally, yields have been characterised by long-term trends (such as the period of inflation in the 1970s and the downward trend since then).*
>
> *Research suggests that few, if any, forecast approaches for financial variables, including bond yields, have been able to consistently improve upon the 'random walk' model. The random walk model assumes that increases and decreases are equally likely over the forecast horizon and therefore a no-change assumption should be followed. Consistent with this, most Australian utility regulators apply the no-change assumption to forecast the risk free rate over the regulatory horizon, though, as noted earlier, they use a short-term average of recent observations (typically calculated over a twenty to sixty business day period) to lower the risk that pricing anomalies on any particular day might affect the calculation used in the regulatory determination.'*

The Commission's position, that the most up-to-date market data should be used in calculating the rate of return, remains unchanged from previous regulatory determinations (noting it is subject to requirements in the Pricing Order). The Commission does not support calculating the rate of return based on market data observed 15 months prior to the commencement of the regulatory period.

13.7.2.3 Relative building block contributions to the maximum revenue caps

SA Water submitted that the Commission should have regard to the relative contributions to the maximum revenue cap of individual building block components.[975] In this respect, it appears to suggest that the Commission should, irrespective of the latest market data, have regard to a lower rate of return, as initially proposed by SA Water in its RBP.

In line with the Pricing Order requirements, the Commission sets out the benchmark prudent and efficient amounts for expenditure components and, when combined with other evidence, it determines

[972] Essential Services Commission of South Australia, *SA Water Regulatory Determination 2020: Guidance Paper 7 (technical paper)*, pp. 1-17.
[973] For example, Australian Energy Regulator, *Rate of Return Instrument: Explanatory Statement*, pp. 105-106.
[974] Essential Services Commission of South Australia, *SA Water Regulatory Determination 2020: Guidance Paper 7 (technical paper)*, pp. 5-6.
[975] SA Water, *SA Water's response to ESCOSA's Draft Determination*, pp. 2, 17.

separate maximum revenue caps for water and sewerage retail services. The Commission determines maximum revenue caps and service level requirements on the basis of a benchmark efficient entity facing similar risks to SA Water.

Ultimately, how much capital is returned, in practice, to shareholders, re-invested and/or allocated to expenditure components during the regulatory period is a matter in this case for the Treasurer, Minister for Housing Infrastructure (Minister) and the regulated operator. The same proposition holds true for privately-owned regulated entities: regulatory determinations set overall revenue or price caps, with decisions on practical allocations and requirements remaining a matter for the owners and the business.

13.7.2.4 The technical nature of the rate of return limits stakeholder engagement

SACOSS submitted that the technical nature of the rate of return topic combined with only a six-week consultation period has limited meaningful engagement.[976] It also submitted that the Commission should seek independent expert analysis and advice on setting the rate of return for future determinations.[977]

The Commission recognises that understanding the rate of return methodology requires a certain level of economic expertise, but also acknowledges that it is required to use the WACC and CAPM methodologies under the Pricing Order and NWI Pricing Principles. It is also common regulatory practice in Australia.

The length of the consultation period, including as it relates to the rate of return, will form part of the ex-post project review. The use of expert advice from third parties may be considered for SAWRD28 (noting that expertise in these matters is a core purpose and function of the Commission, established by the Parliament as an expert regulator).

13.7.2.5 The rate of return is too high

The CCG submitted that the rate of return should be reduced.[978]

The Commission's methodology is based on objective, market-based data, and has been informed by common economic regulatory practice and transparent public consultation and consideration of issues raised. The CCG provided no evidence and supporting information for its proposal.

Arbitrarily lowering the rate of return would not be in the long-term interests of consumers, as it could, for instance, weaken the incentives for prudent and efficient investment and undermine the flexibility for a regulated operator.

13.7.2.6 Opportunity to submit on the rate of return methodology

In its submission to the draft determination, SA Water expressed the view that it did not recommend any changes to the rate of return for SAWRD24 as, in its view the Commission was not open to changes that were not related to long-term inflation expectations.[979]

The Commission does not accept that SA Water was not provided the opportunity to make representations about the rate of return methodology to be adopted for SAWRD24 nor that it was not open to methodology changes. Consistent with its Charter of Consultation and Regulatory Practice,

[976] South Australian Council of Social Service, *Submission to Draft Regulatory Determination*, p. 26.
[977] Ibid, p. 26.
[978] Customer Challenge Group, p. 2.
[979] SA Water, *SA Water's response to ESCOSA's Draft Determination*, p, 109.

SA Water had the opportunity to do this in its submission to Guidance Paper 3, at regular meetings[980], as part of its RBP and in response to the draft determination.

The Commission notes, and as stated in Guidance Paper 3, reviewing only long-term inflation expectations was the Commission's *initial* position in relation to rate of return. However, this should not be considered the Commission's only or *final* position on the rate of return methodology. Guidance papers do not limit the Commission's legislative functions and powers as specified in the ESC Act and WI Act.

Guidance Paper 3 was released by the Commission in June 2022. In response, SA Water's submission stated it *'supports the principles outlined in Guideline 3'* and SA Water did not raise matters regarding the initial positions relating to the rate of return methodology.[981]

As evidenced in the draft determination, the Commission reviewed the methodology for long-term inflation expectations as foreshadowed in Guidance Paper 3. In addition, and as outlined earlier, the Commission reviewed the market risk premium and made amendments to the derivation of this parameter. No changes were made to the existing SAWRD20 methodology for deriving any other rate of return parameter (refer Tables 13.8 and 13.9 below).

The Commission's Framework and Approach paper outlined that SA Water ultimately makes decisions about what it includes in the RBP, including the rate of return that is proposed.[982] Inherent in a proposed rate of return is the preferred methodology to be adopted. While the Commission's guidance paper provided an *initial* position, the regulatory process provided SA Water with multiple opportunities to put forward alternative positions.

13.7.3 Summary of final methodology

Table 13.8 shows the Commission's changes to the SAWRD20 WACC methodology and compares this to SA Water's proposed changes (differences are marked in **bold** text). Note that the Commission's final position is the same as its draft position. SA Water's proposed methodology in Table 13.8 highlights the two parameter changes introduced in response to the draft determination, but otherwise maintains its method proposed in its RBP.

If both methodologies were applied to market data available as of 20 March 2024, the Commission's methodology would lead to an annual average rate of return for SAWRD24 of 3.70 percent compared with 3.68 percent resulting from SA Water's proposed methodology.

[980] As part of the determination process, the Commission met regularly with representatives from SA Water regarding matters relating to the determination, including discussing the approach to calculating rate of return. In June 2022, SA Water raised rate of return as an agenda item for discussion with the Commission. Rate of return was further discussed with SA Water at meetings in November 2022 and January 2023. In March 2023, the Commission advised SA Water that it would be considering rate of return matters at its May 2023 Commission meeting. Following this meeting, Commission staff met with SA Water representatives and indicated agreement with the current approach on most rate of return parameters and advised that an update regarding any minor changes would be provided (that is, relating to the market risk premium). The Commission considers this ongoing engagement with SA Water regarding rate of return, following the release of Guidance Paper 3, demonstrates its transparency and willingness to consider additional proposals not related directly to long-term inflation expectations. The Commission's expectation was that these discussions were assisting SA Water consider the proposed rate of return methodology it would put forward as part of its RBP in August 2023.

[981] SA Water, *SA Water's submission to SA Water Regulatory Determination 2024: Guidance paper 3*, p. 1.

[982] Essential Services Commission of South Australia, *SA Water Regulatory Determination 2024: Final Framework and Approach*, September 2021, pp. 1-27.

Table 13.8: SA Water's proposed changes from SAWRD20 and the Commission's final changes from SAWRD20

Parameter	SAWRD20 methodology	SA Water's proposed changes to the SAWRD20 methodology	The Commission's changes to the SAWRD20 methodology
Risk-free rate	Estimated using the yield on 10-year Australian Government Securities. **Published yields are annualised**. A 60-day averaging period to be applied.	Estimated using the yield on 10-year Australian Government Securities. Revised proposal (to draft): **Published yields are not annualised**. A 60-day averaging period to be applied.	No change
Beta	An equity beta of 0.67 to be applied.	No proposed change	No change
Market risk premium	A market risk premium of **6.0%** to be applied.	No proposed change	A market risk premium of **6.3%** to be applied.
Cost of debt	Estimated using a 10-year trailing average of a 10-year BBB rated bond. Use the **latest bond yield observation** for the forecast component of the trailing average.	Estimated using a 10-year trailing average of a 10-year BBB rated bond. Revised proposal (to draft): Use a **12-month average of bond yields** for the forecast component of the trailing average.	No change
Debt-raising costs	Debt-raising costs of 0.125% to be applied.	No proposed change	No change
Gearing	A gearing ratio of 60% to be applied.	No proposed change	No change
Long term inflation expectations	A 10-year term of inflation is adopted, and is calculated as the geometric mean of: ▶ Reserve Bank of Australia **trimmed mean inflation forecasts** for the first two years of the regulatory period ▶ A glide path from the end of year two to 2.5% at year **seven**, and ▶ 2.5% for the remaining **three years**.	No proposed change	A 10-year term of inflation is adopted, and is calculated as the geometric mean of: ▶ Reserve Bank of Australia **Consumer Price Index inflation forecasts** for the first two years of the regulatory period ▶ A glide path from the end of year two to 2.5% at year **four**, and ▶ 2.5% for the remaining **six years**.

The influence of SA Water's proposed changes and that of the Commission's final positions on the real, post-tax WACC, relative to maintaining the SAWRD20 methodology, can be seen in the table below.[983]

Table 13.9: The influence of parameter changes on the WACC, compared with maintaining the SAWRD20 methodology

Parameter	Influence of SA Water's proposed parameter changes on the WACC	Influence of the Commission's parameter changes on the WACC
Risk-free rate	-2 basis points	No change in parameter
Market risk premium	No change in parameter	+8 basis points
Cost of debt	+8 basis points	No change in parameter
Long term inflation expectations	No change in parameter	+1 basis point
Total	**+6 basis points**	**+8 basis points**

13.8 Final position

The following table outlines the final positions utilised in calculating the real, post-tax WACC. The post-tax real WACC is materially higher than it was for SAWRD20 (the four-year average is 3.70 percent compared with the SAWRD20 four-year average of 2.68 percent). This is largely a result of higher interest rates (which have increased the risk-free rate and cost of debt parameters).

Table 13.10: Summary of *final positions* on regulated rate of return parameters

	2024-25	2025-26	2026-27	2027-28	4-year average	SAWRD20 4-year average
Nominal risk-free rate (%)	4.15	4.15	4.15	4.15	4.15	0.91
Market risk premium (%)	6.3	6.3	6.3	6.3	6.3	6.0
Equity beta	0.67	0.67	0.67	0.67	0.67	0.67
Post-tax, nominal cost of equity (%)	8.37	8.37	8.37	8.37	8.37	4.93
Nominal cost of debt (excluding debt raising costs) (%)	4.75	4.82	4.97	5.13	4.92	4.60
Debt raising costs (%)	0.125	0.125	0.125	0.125	0.125	0.125
Post-tax, nominal cost of debt (%)	4.87	4.95	5.09	5.25	5.04	4.73
Gearing (%)	60	60	60	60	60	60

[983] Calculations use market data available as of 20 March 2024.

	2024-25	2025-26	2026-27	2027-28	4-year average	SAWRD20 4-year average
Post-tax, nominal WACC (%)	**6.27**	**6.32**	**6.41**	**6.50**	**6.37**	**4.81**
Long-term inflation expectations (%)	2.57	2.57	2.57	2.57	2.57	2.07
Post-tax, real WACC (%)	**3.61**	**3.65**	**3.73**	**3.83**	**3.70**	**2.68**

14 Tax allowance

Tax allowance

The Commission's final position is that the prudent and efficient benchmark tax allowances for the four-year period commencing 1 July 2024 are:

- $79 million ($Dec22) for **water** retail services and
- $21 million ($Dec22) for **sewerage** retail services.

14.1 Introduction

As outlined in Chapter 7, the building blocks cost model adopted by the Commission for SAWRD24 utilises a post-tax framework.[984] Accordingly, the final determination of the maximum revenue caps that apply to SA Water's direct control retail services for the four-year period commencing 1 July 2024 incorporates prudent and efficient benchmark tax allowances.

This chapter outlines the Commission's assessment, positions and reasons on the prudent and efficient benchmark tax allowance for water and sewerage retail services for SAWRD24.

14.2 SA Water's proposal

In the Regulatory Business Proposal (**RBP**), SA Water's proposed benchmark tax allowance for SAWRD24, across the four-year regulatory period, was approximately $17 million for water retail services and $1 million for sewerage retail services. [985]

SA Water proposed that the following three inputs be adopted for the purpose of calculating the benchmark tax allowance.

- **Gifted assets**: SA Water proposed a change in the treatment of gifted assets for SAWRD24. It proposed that gifted assets should no longer form part of taxable income on the basis of a recent Federal Court of Australia ruling.[986]
- **Gamma**: SA Water proposed a 'gamma' value of 0.5.[987] The value prescribed to imputation credit adjustment is referred to as 'gamma' by economic regulators. It is the parameter used to calculate the effective tax rate.
- **Forecast inflation**: SA Water proposed a Consumer Price Index (**CPI**) inflation forecast for the purposes of calculating a benchmark tax allowance for SAWRD24 based on its proposal for long-term inflation expectations included in its proposal for the real, post-tax rate of return (discussed in Chapter 13).

[984] A post-tax framework is set out as a requirement in the Pricing Order. Clause 5.2.7 of the Pricing Order states that the determination must identify and assign values to any allowance for tax paid (which should be identified separately from the rate of return on the RAB where the weighted average cost of capital is calculated on a post-tax basis). Pricing Orders are available at https://www.treasury.sa.gov.au/economy,-taxes-and-rebates/economic-regulation.

[985] SA Water, *Regulatory Business Plan 2024-28*, p. 269.

[986] Victoria Power Networks Pty Ltd v Commissioner of Taxation [2020] FCAFC 169 (21 October 2020), available at https://www.austlii.edu.au/cgi-bin/viewdoc/au/cases/cth/FCAFC/2020/169.html.

[987] SA Water, *Regulatory Business Plan 2024-28*, p. 264.

14.3 Consultation on SA Water's proposal

No submissions commented directly on the benchmark tax allowance for SAWRD24.

14.4 Analysis

The following analysis was undertaken for the draft determination and informed the Commission's draft position in respect of the tax allowance.

14.4.1 Methodology and inputs

The draft position was to calculate the benchmark tax allowance for SAWRD24 based on the Australian corporate taxation regime methodology, adjusted to reflect the estimated value to equity holders of associated imputation credits (or franking credits). It was calculated as follows:

Tax allowance = (assessable income – deductible costs[988]*) x (effective tax rate)*

Taxable income *Tax rate x (1-gamma)*[989]

The adjustment for imputation credits allows investors to receive credits for tax that has already been paid at the company-level. These credits can be used to offset tax liabilities. The effective tax rate includes this adjustment.

The methodology for calculating the prudent and efficient benchmark tax allowance for SAWRD24 was the same as that adopted in SAWRD20.[990] It allows for tax losses within a retail service segment (that is, within the water retail or sewerage retail businesses) provided that direct control retail services as a whole did not make a tax loss.

As discussed below, the Commission assessed and considered SA Water's proposals relating to the following three inputs.

14.4.1.1 Assessable income - Gifted assets

The draft position was to calculate the prudent and efficient benchmark tax allowance excluding gifted assets as a form of taxable income.[991] The position was made on the basis that gifted assets accounted for a negligible amount (approximately 2 percent) of total assessable income used for the tax calculation, therefore the proposed impact of the methodological change was very minor. It was also consistent with the Federal Court of Australia's 2020 judgment in a similar regulatory matter.[992]

[988] Deductible costs consist of operating expenditure, tax depreciation, and interest deductible. The latter is estimated using the cost of debt for a benchmark efficient entity, as calculated as an input into the real, post-tax rate of return methodology (see Chapter 13).

[989] Gamma is the value prescribed to imputation credits, which is used to offset tax liabilities. Its value lies between zero and one. A higher value for gamma leads to a lower tax allowance.

[990] Essential Services Commission of South Australia, *SA Water Regulatory Determination 2020*, pp. 248-249.

[991] Taxable income was calculated as assessable income minus deductible costs. As shown above, the tax allowance was then calculated by multiplying the resulting taxable income by the effective tax rate.

[992] Victoria Power Networks Pty Ltd v Commissioner of Taxation [2020] FCAFC 169.

14.4.1.2 Effective tax rate - Gamma

The draft position was to adopt a gamma value of 0.50, consistent with SAWRD20 and SA Water's proposal. A gamma value of 0.50 was in line with the values used for gamma by most other economic regulators in Australia.[993]

14.4.1.3 Tax allowance – CPI inflation forecast

The benchmark tax allowance for the SAWRD24 draft determination was calculated in nominal terms in order to reflect the underlying tax regime. However, it was converted into real (inflation-adjusted) terms for the purposes of calculating a prudent and efficient benchmark tax allowance to be included as a building blocks cost model component. CPI inflation forecasts for the SAWRD24 period were utilised in the benchmark tax allowance calculation, in order to convert between nominal and real (inflation-adjusted) dollars.

The draft position was that the CPI inflation forecasts for the purposes of calculating the prudent and efficient benchmark tax allowance were to be based on the Commission's forecasts and glide path used in calculating long-term inflation expectations for the purposes of the post-tax, real rate of return (as discussed and set out in Chapter 13). This approach provided internal consistency across building block cost components. The Commission noted that the forecasts and glide path adopted had a range of supporting evidence, which, in its view, made its application in this circumstance appropriate.[994]

14.4.2 Benchmark tax allowance

The draft position for the prudent and efficient benchmark tax allowance for SAWRD24 was approximately $105 million over four years. This was higher than that allowed in SAWRD20 (for example, where the benchmark tax allowance was approximately $20 million over a similar period).[995]

The draft position for the Commission's prudent and efficient benchmark tax allowance for SAWRD24 was significantly higher than the proposal from SA Water. A key reason for the difference was the rate of return that had been calculated using the standard regulatory approach. The rate of return parameter flows directly through into calculations of assessable income and deductible costs. SA Water's tax proposal in the RBP was calculated based on a lower rate of return parameter, which was calculated based on market information from March 2023, whereas, for the draft position, the Commission calculated the rate of return (as explained in Chapter 13) using the latest market information from November 2023.

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[993] The Economic Regulation Authority, Essential Services Commission of Victoria, and the Independent Competition and Regulatory Commission apply a gamma value of 0.50, while the Australian Energy Regulator, Queensland Competition Authority and the Office of the Tasmanian Economic Regulator apply a gamma value within 10 basis points of 0.50. See Economic Regulation Authority, *Explanatory statement for the 2022 final gas rate of return instrument,* p. 219, Essential Services Commission of Victoria, *2023 water price review*, pp. 47-48, Independent Competition and Regulatory Commission, p. 89, Australian Energy Regulator, *Rate of Return Instrument: Explanatory Statement*, pp. 23-24, Queensland Competition Authority, *Seqwater bulk water price review 2022-26*, p. 65, and Office of the Tasmanian Economic Regulator, *2018 Water and Sewerage Price Determination Investigation*, Final report, May 2018, p. 171, available at https://www.economicregulator.tas.gov.au/Documents/2018%20Water%20and%20Sewerage%20Price%20Determination%20Investigation%20Final%20Report.pdf.

[994] As outlined in Chapter 13, the Commission uses CPI inflation forecasts published by the Reserve Bank of Australia (RBA), and the glide path approach used by the Commission to estimate long-term inflation expectations recognises that most available evidence suggests that the flexible inflation targeting framework pursued by the RBA has anchored long-term inflation expectations within the RBA's two to three percent target band.

[995] Essential Services Commission of South Australia, *SA Water Regulatory Determination 2020*, p. 249.

For the draft determination, Table 14.1 illustrated the benchmark tax allowance and WACC values from previous regulatory determinations, as well as the difference between cost of equity and the cost of debt values.

Table 14.1: Benchmark tax allowance for water and sewerage retail services from previous determinations ($Dec22) and the applicable rate of return

	Average real, post-tax WACC (%)	Average difference between cost of equity and cost of debt (%)	Benchmark tax allowance (water and sewerage) ($m)
SAWRD13[996]	4.50	2.0	131[997]
SAWRD16[998]	4.17	0.0	34
SAWRD20[999]	2.68	0.2	20
SAWRD24 draft position	**3.99**	**3.2**	**105**

While the draft position for the prudent and efficient benchmark tax allowance for SAWRD24 was higher than in both SAWRD20 and SAWRD16, it was lower than in SAWRD13.[1000] A factor that led to the strong increase in SAWRD24 was the higher rate of return. The higher rate of return increased the return on the regulated asset base (RAB), which led to an increase in assessable income, and consequently, taxable income. Furthermore, a high cost of equity, relative to the cost of debt, may also have been a contributing factor.[1001]

[996] Essential Services Commission of South Australia, *SA Water Regulatory Determination 2013*, p. 145, 166.

[997] SAWRD13 involved a three-year regulatory period. For comparison purposes, the prudent and efficient benchmark tax allowance for SAWRD13 has been adjusted to represent a four-year period (in other words, the three-year prudent and efficient benchmark tax allowance has been multiplied by 4/3).

[998] Essential Services Commission of South Australia, *SA Water Regulatory Determination 2016*, p. 126, 137.

[999] Essential Services Commission of South Australia, *SA Water Regulatory Determination 2020*, p. 231, 249.

[1000] The Commission's draft position for the benchmark tax allowance for water retail services represented roughly 78 percent of the overall benchmark tax allowance (with the tax allowance for sewerage retail services making up the remainder). This represented a larger share than for SAWRD20, where the water retail services benchmark tax allowance was only 64 percent of the overall benchmark tax allowance. Nevertheless, the higher benchmark tax allowance share for water remained lower than in SAWRD13 (where it was 85 percent). The variation in the share of the tax allowance between water and sewerage retail services is influenced by the components of assessable income and deductible costs. For example, a contributing factor leading to the tax allowance in SAWRD20 for sewerage retail services representing a greater share of the overall tax allowance than in the SAWRD24 draft determination was due to higher cash and non-cash contributions for sewerage retail services (which contribute to assessable income).

[1001] A high cost of equity can lead to a higher total assessable income. A high cost of debt, however, while still contributing to a high rate of return and consequent assessable income, has the offsetting effect of leading to higher interest deductible expenses, which are subtracted from assessable income to calculate taxable income. The consequence is that the benchmark tax allowance may increase when the difference between the cost of equity and the cost of debt increases. Conversely, the benchmark tax allowance may decrease when the difference between the cost of equity and the cost of debt narrows, or when the cost of debt exceeds the cost of equity. In a period of rising interest rates (as has been the case over the last 24 months), the cost of equity may tend to rise more quickly than the cost of debt. This is because the risk-free rate (which forms part of the cost of equity) is calculated based on current market conditions, while the cost of debt is calculated using a 10-year trailing average approach. (For more information, see Chapter 13 for a detailed discussion regarding the risk-free rate and the cost of debt for SAWRD24.)

14.5 Draft position

The Commission's draft position on the benchmark tax allowance is set out in Table 14.2.

Table 14.2: Draft position on benchmark tax allowances ($Dec22)

	2024-25 ($m)	2025-26 ($m)	2026-27 ($m)	2027-28 ($m)	Total ($m)
Water	22	22	18	19	81
Sewerage	9	7	4	4	23
Total	**31**	**29**	**22**	**23**	**105**

14.6 Consultation on draft position

Stakeholders did not comment on the Commission's position on the benchmark tax allowance in the draft determination.

14.7 Further analysis

The Commission's final position confirms its draft positions in respect of gifted assets, gamma, the CPI inflation forecast, and the methodology used to calculate the benchmark tax allowance.

For SAWRD24, assessable income for water and sewerage retail services combined is $6,935 million, the combined deductible costs are $6,306 million, the corporate tax rate is assumed to be 30 percent, and gamma is 0.50. The nominal tax allowance can be calculated as follows:

(6,935 – 6,306) x (0.3/(1-(0.3(1 - 0.5)) x (1- 0.50) = $111 million

In real terms, the tax allowance is equal to $100 million ($Dec22).

The tax allowance has decreased from the Commission's draft position. This is largely reflective of a decrease in the average WACC from 3.99 percent to 3.70 percent. As mentioned earlier, a lower rate of return decreases the return on the RAB, leading to a decrease in assessable income, and consequently, taxable income.

14.8 Final position

The Commission's final position on the benchmark tax allowance is set out in Table 14.3.

Table 14.3: Final position on benchmark tax allowances ($Dec22)

	2024-25 ($m)	2025-26 ($m)	2026-27 ($m)	2027-28 ($m)	Total ($m)
Water	22	22	17	18	79
Sewerage	8	6	3	3	21
Total	**30**	**28**	**21**	**21**	**100**

15 Adjustments from SAWRD20

Revenue adjustments from SAWRD20

The Commission's final position is that the revenue cap for *water* retail services for SAWRD24 will be reduced by an amount of $32.8 million ($Dec22) as a result of adjustment factors arising in SAWRD20. There are no revenue adjustments arising in relation to the SAWRD20 revenue cap for *sewerage* retail services.

The relevant factors for water retail services arise from the SAWRD20 demand variation adjustment mechanism, shared infrastructure adjustment mechanism and River Murray water licence adjustment mechanism.

15.1 Introduction

For SA Water Regulatory Determination 2020 (**SAWRD20**),[1002] the Commission established four-year maximum revenue caps for SA Water's direct control water and sewerage retail services, which were subject to the following adjustment mechanisms enabling the revenue caps to be adjusted in SAWRD24 to reflect SAWRD20 outcomes.

- A cost pass-through adjustment mechanism: where an event beyond the control of SA Water has had a material impact on its costs of providing water or sewerage retail services during the SAWRD20 period.
- A shared infrastructure adjustment mechanism: to account for revenue earned by SA Water for the provision of non-regulated services that utilise regulated assets which was either different or not forecast at the time of making SAWRD20, limited to 10 percent of that revenue.
- A demand variation adjustment mechanism: to account for any material differences between forecast and actual water and sewerage retail service revenue earned during SAWRD20, due to differences between forecast and actual water sales and sewerage connections.
- A River Murray licence adjustment mechanism: to reflect income derived by SA Water in the SAWRD20 period from the sale of water allocations associated with River Murray water entitlements.
- An intra-period project review mechanism: to allow for the recovery of efficient costs in the SAWRD24 period associated with a pre-determined major capital project, where the project's costs were not incorporated into the revenue caps for SAWRD20 because of a contingency or adverse event.

The intent of the SAWRD20 adjustment mechanisms was discussed earlier in Chapter 7. The form of those mechanisms, as well as a more detailed discussion of their intent, can be found in the SAWRD20 determination.[1003]

[1002] Essential Services Commission of South Australia, *SA Water Regulatory Determination 2020*, pp. 37-56.
[1003] Essential Services Commission of South Australia, *SA Water Regulatory Determination 2020*, pp. 37-56, and Essential Services Commission of South Australia, *SA Water's water and sewerage retail services – 1 July 2020 to 30 June 2024*, pp. 8-19.

The Commission established the adjustment mechanisms for SAWRD20 to meet Pricing Order requirements,[1004] provide flexibility to a revenue-regulated business[1005] and deliver consumer protections.[1006]

This chapter documents SA Water's proposal for revenue adjustments and outlines the Commission's draft and final positions in relation to the revenue adjustments from SAWRD20 to be included in the revenue caps for SAWRD24.

15.2 SA Water's proposal

In its Regulatory Business Proposal (RBP), SA Water submitted proposed revenue adjustments for water retail services from the application of the following:

- the shared infrastructure revenue adjustment mechanism: adjustment of $0.1 million[1007]
- the demand variation adjustment mechanism: adjustment of $38.7 million,[1008] and
- the River Murray water licence adjustment mechanism: adjustment of $1.8 million.[1009]

In respect of the demand adjustment mechanism, SA Water worked with the Commission in reviewing the methodology used for its calculation. While supportive of the proposed methodology, SA Water noted that demand and revenue forecasts (and consequently, the adjustment) would be updated between the draft and final determinations.[1010]

SA Water did not submit any cost pass-through applications in the current period.[1011] Nor did it submit any proposals for the intra-period mechanism for stage two approval of a revenue allowance.[1012]

15.3 Consultation on SA Water's proposal

Submissions did not provide comments on SA Water's proposed revenue adjustments.

15.4 Analysis

The following analysis was undertaken for the draft determination and informed the Commission's draft position in respect of the revenue adjustments from SAWRD20.

1004 As noted in Chapters 3 and 7, the Commission's determination must meet requirements specified in Pricing Orders issued by the Treasurer pursuant to section 35(4) of the Water Industry Act 2012 (WI Act). Pricing Orders are available at https://www.treasury.sa.gov.au/economy,-taxes-and-rebates/economic-regulation.

1005 For example, the cost pass-through adjustment mechanism provides a form of flexibility for a revenue-regulated business, without which it may not be able to account for cost impacts of an unexpected, unpreventable and external event that would cause material disruption. This type of mechanism is discussed further in Chapter 7.

1006 For example, the River Murray water licence adjustment mechanism allows customers to recoup income derived by SA Water from the sale of water allocations associated with River Murray water entitlements. This mechanism is discussed in Chapter 7.

1007 SA Water, *Regulatory Business Plan 2024-28*, pp. 285-286. Based on accompanying calculations provided, the adjustment mechanisms appeared to be presented in March 2022 dollars. The Commission has placed these adjustments into December 2022 dollars.

1008 Ibid, pp. 283-284.

1009 Ibid, p. 285.

1010 Ibid, pp. 283-284.

1011 Ibid, pp. 284-285.

1012 Ibid, pp. 286-287.

The Commission's draft position on the revenue adjustments related only to the shared infrastructure adjustment mechanism, demand variation adjustment mechanism and River Murray water licence adjustment mechanism, as discussed below.

15.4.1 Shared infrastructure adjustment from SAWRD20

The shared infrastructure mechanism was set out in clause 2.12 of the Price Determination for SA Water's water and sewerage retail services: 1 July 2020 – 30 June 2024.[1013]

The shared infrastructure adjustment mechanism accounts for revenue earned by SA Water for the provision of non-regulated services that utilise regulated assets that were either different or not forecast at the time of making SAWRD20, limited to 10 percent of that revenue. The Commission has previously determined that 10 percent of relevant non-regulated revenues can be used as proxy for a gross profit margin earned on the use of water or sewerage retail service infrastructure.

By way of background, for water retail services, when setting its prices at the commencement of the regulatory period, SA Water removes its forecast of 10 percent of relevant non-regulated revenue. Because this share of non-regulated revenues is removed from the prices set by SA Water that water retail customers pay, the Commission's shared infrastructure mechanism relates solely to the calculation of forecast errors and the adjustment to the revenue caps in the subsequent period.[1014]

For water retail services, the shared infrastructure mechanism makes an adjustment to account for the difference between actuals (that is, 10 percent of actual non-regulated revenues during SAWRD20) and forecasts (that is, 10 percent of SA Water's forecast, at the time of commencing SAWRD20, of non-regulated revenues for the SAWRD20 period). This unders/overs methodology was introduced in SAWRD20 with the aim that the revenue adjustment for non-regulated revenues would, over time, reflect actual revenue, not forecast revenue.[1015]

For SAWRD20, SA Water submitted a forecast of approximately $4 million. This represented SA Water's forecast of 10 percent of non-regulated revenue for water retail services.[1016] However, in its RBP, SA Water reported that its actual revenues over SAWRD20 had exceeded this, albeit marginally.[1017] The Commission's analysis established a draft shared infrastructure adjustment for SAWRD24 of $0.2 million, being the difference between the forecast and actual amounts of non-regulated revenues.

Unlike water retail services, for sewerage retail services there was no forecast of revenue made for SAWRD20. Instead, the mechanism allows for 10 percent of the revenue amounts earned during SAWRD20, through the use of SA Water's regulated infrastructure required to provide sewerage retail services but which are not attributable to the provision of sewerage retail services, to be deducted from the revenue cap for sewerage retail services for SAWRD24. SA Water reported to the Commission that it had earned no revenues collected on this basis during SAWRD20. Accordingly, no shared infrastructure adjustment for sewerage retail services for SAWRD24 was included for the purposes of the draft determination.

1013 Essential Services Commission of South Australia, *SA Water's water and sewerage retail services – 1 July 2020 to 30 June 2024*, p. 14.

1014 SA Water's forecast of 10 percent of non-regulated revenues for water retail services is considered by the Commission when calculating the demand variation adjustment mechanism for the period. Further discussion on the demand variation adjustment mechanism can be found in the next section, and in Chapter 7.

1015 Essential Services Commission of South Australia, *SA Water's water and sewerage retail services – 1 July 2020 to 30 June 2024*, pp. 14-15.

1016 Ibid, pp. 14-15.

1017 SA Water, *Regulatory Business Plan 2024-28*, pp. 285-286.

15.4.2 Demand variation adjustment from SAWRD20

The demand variation adjustment mechanism was specified in clauses 2.4 and 2.8 of the Price Determination for SA Water's water and sewerage retail services: 1 July 2020 – 30 June 2024.[1018]

The Commission's final decision in SAWRD20 was to continue the operation of the current demand variation adjustment mechanism, consistent with the requirements of the Pricing Order.[1019] In the final decision, the Commission noted:

> *'SA Water's proposal for the mechanism to apply to drinking water sales (usage) revenue, rather than fixed revenue, is acceptable as it is consistent with the requirements of the Pricing Order, which requires the mechanism to address any 'material variation between forecast and actual rates of **consumption**' (emphasis added).'*[1020]

The Pricing Order applying to SAWRD20 required that the determination:

> '*…must include a mechanism which allows for the adjustment of the total revenue which may be derived where the Commission determines there to be a relevant and material variation between forecast and actual rates of water consumption or sewerage connections. The adjustment mechanism must operate on the basis of efficient costs associated with variations in demand, and so as to promote a stable price path for retail services'.*[1021]

For the draft determination, the methodology was implemented based on variations between actual and forecast prices. It suggested a revenue adjustment amount of approximately $17.7 million due to higher-than-expected demand during the SAWRD20 period.[1022]

For sewerage retail services, and applying the same mechanism methodology, there was no adjustment to be made. This was because the difference between actual revenue and notional revenue did not reach the materiality threshold of one percent.

On reviewing the design and form of the demand variation adjustment mechanism, the Commission acknowledged in the draft determination that there were limitations with the methodology set out in SAWRD20. The Commission's position was informed by research undertaken by Sapere Research Group (Sapere).

In 2022, Sapere was commissioned by the Commission to review the existing form of the demand adjustment mechanism, with the intention to allow the Commission to consider the overall framework and the incentives for the regulated business.[1023] In undertaking its review, Sapere met with both

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1018 Essential Services Commission of South Australia, *SA Water's water and sewerage retail services – 1 July 2020 to 30 June 2024*, pp. 9-10 and pp. 11-12.

1019 Essential Services Commission of South Australia, *SA Water Regulatory Determination 2020*, pp. 37-56.

1020 Ibid, p. 50.

1021 Pricing Orders are available at https://www.treasury.sa.gov.au/economy,-taxes-and-rebates/economic-regulation.

1022 At previous determinations, the Commission had estimated an adjustment for variation in costs to be made to the overall calculation (for example, adjustment costs were estimated at approximately $2 million over a four-year period in SAWRD16). However, the ex-post assessment of the variable costs incurred due to demand variation was made difficult because different sources of water supply (for example, from reservoirs, the Adelaide Desalination Plant and the River Murray) could have significantly different costs, and the mix of supply sources in any given period could not be determined by SA Water based solely on what is most efficient or least cost. Additionally, SA Water did not provide an estimate of such costs. Therefore, for the purposes of the draft determination, there was no adjustment made relating to the variable costs incurred due to demand variation.

1023 Sapere Research Group, *Demand Variation Adjustment Mechanism Review*, p. 1, 26, 30-31.

SA Water and the Commission to collect feedback, and both parties were provided copies of Sapere's draft report for comment. In finalising its research, Sapere had regard to feedback provided.[1024]

Sapere's research found that the mechanism applied in SA Water Regulatory Determination 2016 (SAWRD16) was designed to be calculated based on variations between actual and forecast demand. Whereas the SAWRD20 methodology was designed based on variations between actual and forecast prices, and so the methodology's application captures demand variation only to the extent that it affects average prices.[1025]

As reported by Sapere:[1026]

> *'The current (SAWRD20) mechanisms largely have the effect of adjusting for material variation in average prices, rather than – as specified in the Pricing Order – for material variation in 'water consumption or sewerage connections'. They [SAWRD20 mechanisms] capture demand variation to the extent that it affects average prices. In this regard, the SAWRD16 mechanisms are more closely aligned with the Pricing Order. Another issue (of lesser significance) is that neither the current nor the 2016 mechanisms account for variations in efficient costs associated with variations in demand.'*

Sapere's research also discussed options for the form of the demand variation adjustment mechanism in future regulatory periods including SAWRD24. These were discussed earlier in Chapter 7.

When submitting its RBP, SA Water acknowledged that it had provided input to the Commission's external review of the demand variation adjustment mechanism. SA Water recognised the limitations of the SAWRD20 methodology, and it utilised the SAWRD16 methodology in its RBP.[1027]

Recognising the limitations of the SAWRD20 methodology, the findings of Sapere's research and the input from SA Water (as included in its RBP), the Commission also calculated the demand variation adjustment mechanism via the previous (SAWRD16) methodology. This calculation suggested a revenue adjustment amount of approximately $24.0 million. The higher amount (that is, $24.0 million compared with $17.7 million) reflected that the methodology captured more of the demand variation.[1028]

Together, this resulted in a higher revenue adjustment under the SAWRD16 methodology. A higher revenue adjustment benefits consumers as it is deducted from the revenue cap for water retail services for SAWRD24. This allows a share of the revenue variation attributable to demand to be passed back to customers.

As per the SAWRD20 method, there was no adjustment for sewerage retail services. This was because the materiality threshold of one percent had not been met and forecast revenue exceeded notional revenue.

The Commission's draft position was therefore that it would apply the SAWRD20 methodology but would then apply a further revenue adjustment, such that demand variation would be calculated as if the SAWRD16 methodology had been administered (as seen in Table 15.1).

1024 SA Water, *Regulatory Business Plan 2024-28*, p. 284.
1025 Sapere Research Group, *Demand Variation Adjustment Mechanism Review*, p. i, 26 and pp. 30-31.
1026 Ibid, p. i.
1027 SA Water, *Regulatory Business Plan 2024-28*, pp. 283-284.
1028 The adjustment for the draft (of $24 million) was lower than that proposed by SA Water (approximately $39 million).

Table 15.1: Draft position on the demand adjustments for application in SAWRD24 ($Dec22)

	Adjustment ($m)
SAWRD20 methodology	17.7
Commission's further adjustment	6.3
Total	**24.0**

15.4.3 River Murray water licence adjustment from SAWRD20

The River Murray water licence adjustment mechanism is specified in clause 2.11 of the Price Determination for SA Water's water and sewerage retail services: 1 July 2020 – 30 June 2024.[1029]

The River Murray water licence adjustment mechanism allows water retail services customers to recoup income that has been derived by SA Water from the sale of water allocations associated with River Murray water entitlements which have been paid for by customers.[1030] The income from the sale of water allocations should be returned to customers, taking into account any prudent and efficient costs incurred as a result of selling those allocations, insofar as customers have in previous periods paid for those water entitlements.

The Commission's analysis established a River Murray water licence adjustment for SAWRD24 of $1.8 million for the purposes of the draft determination.[1031]

15.5 Draft position

In summary, the Commission's draft position was that the revenue cap for water retail services for SAWRD24 would be reduced by an amount of $26 million ($Dec22) as a result of adjustment factors arising in SAWRD20. The respective revenue adjustments were as follows:

- the shared infrastructure revenue adjustment mechanism: adjustment of $0.2 million
- the demand variation adjustment mechanism: adjustment of $24.0 million, and
- the River Murray water licence adjustment mechanism: adjustment of $1.8 million.

15.6 Consultation on draft position

In its submission to the draft determination, SA Water submitted updated sales and demand forecasts for 2022-23 and 2023-24, and, in line with the general methodology used for the draft position, updated proposed revenue adjustments for water retail services from the application of the following:[1032,1033]

- the shared infrastructure revenue adjustment mechanism: adjustment of $0.2 million
- the demand variation adjustment mechanism: adjustment of $30.9 million,[1034] and

1029 Essential Services Commission of South Australia, *SA Water's water and sewerage retail services – 1 July 2020 to 30 June 2024*, pp. 13-14.
1030 Essential Services Commission of South Australia, *SA Water Regulatory Determination 2016*, p. 71.
1031 SA Water, *Regulatory Business Plan 2024-28*, p. 285.
1032 SA Water, *SA Water's response to ESCOSA's Draft Determination*, pp. 112-114, and via information requested by the Commission from SA Water.
1033 Values have been adjusted, where necessary, to be in December 2022 dollars.
1034 Following its submission to the draft determination, SA Water provided a final demand adjustment calculation of $30.9 million on April 30, 2024.

- the River Murray water licence adjustment mechanism: adjustment of $1.6 million.

SA Water again supported the methodology used by the Commission to calculate the demand adjustment mechanism.[1035] Applying that methodology has led to an increase in the demand adjustment from the draft position.

Consistent with its RBP, SA Water did not submit any cost pass-through applications in the current period. Nor did it submit any proposals for the intra-period mechanism for stage two approval of a revenue allowance.[1036]

Other stakeholder submissions did not comment on or provide alternatives to the Commission's methodological positions or the revenue adjustments.

15.7 Further analysis

15.7.1 Shared infrastructure adjustment from SAWRD20

For the reasons stated in this chapter, the Commission confirms its methodological position in respect of this component of the revenue adjustment. SA Water, as part of its submission to the draft determination, has provided an updated estimate of nominal income earned for 2022-23. The update represented only a marginal change in income, leading to an unchanged adjustment of $0.2 million.

15.7.2 Demand variation adjustment from SAWRD20

For the reasons stated in this chapter, the Commission confirms its methodological position in respect of this component of the revenue adjustment. The Commission's final position is to apply the SAWRD20 methodology but apply a subsequent adjustment such that demand variation will be calculated as if the SAWRD16 methodology had been administered.

The application of the SAWRD20 mechanism is shown in Table 15.2 below (for water retail services). Note the decrease in the amount calculated between the draft and final determination (from $17.7 million to zero) reflects higher demand for the 2022-23 and 2023-24 periods, which has increased notional water sales.[1037] As a result, the one percent threshold under this methodology has not been met.

Table 15.2: Calculation of the demand variation adjustment for water retail services under the SAWRD20 methodology[1038]

Item	Total (present value, $m)
Actual sales revenue ($Dec18)	1,726.6
Notional water sales ($Dec18)	1,716.8

1035 SA Water, *SA Water's response to ESCOSA's Draft Determination*, p. 113.
1036 Ibid, pp. 113-114.
1037 Also contributing to the decrease is a slight change in the inflation adjustment adopted for the final position. SA Water made a suggested slight application change of the March-to-March CPI inflation.
1038 For the purposes of the ex-post compliance calculation of the demand adjustment mechanism, nominal dollars have been deflated into December 2018 dollars using March-to-March CPI inflation as a proxy (as discussed in Chapter 7). It is a requirement of the Price Determination (clause 2.3) that March-to-March CPI inflation be used as a proxy for the December-to-December change in CPI for each respective year. Essential Services Commission of South Australia, *SA Water's water and sewerage retail services – 1 July 2020 to 30 June 2024*, p. 9.

Item	Total (present value, $m)
[Notional sales revenue calculated as actual usage during SAWRD20 multiplied by forecast average prices]	
Variance in sales attributable to demand ($Dec18) [Actual sales revenue minus notional sales revenue]	9.7
Revenue adjustment for four-year period ($Dec18) [50% of the variance attributable to demand][1039] (Adjustment only applies if: Actual sales revenue/notional water sales – 1 >1%)	0.0
Revenue adjustment for four-year period ($Dec22) [Conversion of revenue adjustment from $Dec18 to $Dec22 dollars]	0.0

The subsequent application of the SAWRD16 mechanism is shown in Table 15.3.[1040]

Table 15.3: Calculation of the demand variation adjustment for water retail services under the SAWRD16 methodology

Item	Total (present value terms)
Actual total revenue (adjusted for rating on abuttal) ($Dec18) ($m)[1041]	2,570.0
Forecast total revenue (adjusted for non-regulated revenue) ($Dec18)[1042]	2,537.8
Notional revenue ($Dec18)	2,511.9

1039 The passing through of 50 percent of the revenue variation is consistent with the risk-sharing percentage adopted in the past two regulatory determinations. Chapter 7 includes further discussion on this topic.

1040 Application of the SAWRD16 methodology includes adjustments relating to SA Water's forecast of 10 percent of relevant non-regulated revenue and an estimate for rating on abuttal customers.

1041 The Commission's understanding is that revenues collected from charges on land (that is, charges collected in the situation where there is no infrastructure in place that connects a retailer's water or sewerage main to a connection point on a customer's land or property, commonly known as rating on abuttal) are included in the total reported actual regulated revenues. However, as these services are not a regulated retail service, the Commission has removed an estimate of these revenues. The estimate has been calculated on the basis of customer numbers published in the Commission's 2015 review into drinking water and sewerage prices and an assumption of one percent annual connection growth from that point onward. For example, the estimated number of water rating on abuttal customers in 2011-12 (published in 2015) was 22,000. A one percent growth rate per year equates to 24,061 customers in 2020-21. The annual supply charge in 2020-21 was $271. When multiplied together, this produces a revenue value of $6.5 million. This number is then subtracted from annual revenues. Essential Services Commission of South Australia, *Inquiry into reform options for SA Water's drinking water and sewerage prices*, Final report, December 2014, p. 67, available at https://www.escosa.sa.gov.au/ArticleDocuments/436/20150128-WaterInquiryReformOptionsSAWatersDrinki.pdf.aspx?Embed=Y.

1042 When setting its prices, SA Water removes from the revenue caps its forecast of 10 percent of relevant non-regulated revenue. The Commission has removed from the maximum revenue cap SA Water's forecast of 10 percent of non-regulated revenues. This allows a comparison of demand and price outcomes over the period against the revenue amount for which consumers' prices were set.

Item	Total (present value terms)
[Notional revenue calculated as forecast usage during SAWRD20 multiplied by actual average prices, plus other actual revenues]	
Additional costs incurred due to variance in demand[1043]	4.1
Variance in sales attributable to demand ($Dec18) ($m) [Actual revenue *minus* notional revenue *minus* additional costs incurred due to variance in demand]	53.9
50% of variance in sales attributable to demand ($Dec18) ($m) [Adjustment only applies if: Actual total revenue/notional revenue – 1 >1%]	27.0
Other adjustment[1044] ($Dec18) ($m) [Notional revenue *minus* forecast revenue (adjustment only applies if notional revenue *minus* forecast revenue >0)]	0.0
Revenue adjustment for four-year period ($Dec18) ($m)	27.0
Revenue adjustment for four-year period ($Dec22) ($m)	**30.9**[1045]

The Commission's final position is to apply the SAWRD20 methodology but apply a further revenue adjustment, such that demand variation would be calculated as if the SAWRD16 methodology had been administered (as seen in Table 15.4).

In deriving its final position, the Commission had regard to the requirements of the Pricing Order applying to SAWRD20, the existing (SAWRD20) and previous (SAWRD16) methodologies for administering the demand variation adjustment mechanisms, advice from the Commission's consultant, Sapere, feedback from SA Water, and all other information available at the time of making the final determination.

1043 SA Water did not submit any additional costs incurred due to a variance in demand as part of its RBP. However, when it provided an updated demand adjustment calculation on 30 April, 2024, it did include a cost of $4.1 million – relating to variable electricity and chemical costs. Notwithstanding the difficulties in estimating the variable costs incurred due to demand variation (in part, due to different sources of water supply), the Commission considers the estimate provided by SA Water for the purposes of the final determination as being reasonable on the basis that it is in line with historical information regarding variable costs previously submitted by SA Water.

1044 The SAWRD16 methodology includes an additional adjustment mechanism that arises if actual revenue would have exceeded the maximum revenue cap if not for the demand (volume) variation. In other words, if notional revenue exceeds forecast revenue. This adjustment mechanism involves 100 percent of any positive variation in revenue not captured by the demand variation adjustment formula. This would include any additional revenue from an increase in the average price due to a variation in demand. Sapere Research Group, *Demand Variation Adjustment Mechanism Review*, pp. 9-11.

1045 The reason why the adjustment is higher than the draft determination ($30.9 million compared with $24.0 million) is largely due to an upward revision for sales for the 2022-23 and 2023-24 periods.

Table 15.4: Demand adjustments for application in SAWRD24 ($Dec22)

	Adjustment ($m)
SAWRD20 methodology	0.0
Commission's further adjustment	30.9
Total adjustment for use in SAWRD24	**30.9**

As was the case for the draft determination, there is no demand variation adjustment for sewerage retail services.

15.7.3 River Murray water licence adjustment from SAWRD20

For the reasons stated in this chapter, the Commission confirms its methodological position in respect of this component of the revenue adjustment.

The Commission's adjustment made for water allocation sales has reduced from a draft position of $1.8 million to a final position of $1.6 million. The small reduction reflects submission of additional data from SA Water. In its RBP it appeared to present gross income; however, in its submission to the draft determination, SA Water has submitted income from sales of water allocations net of costs (for example, transaction costs). Using net income (rather than gross income) is consistent with the mechanism specified in SAWRD20 (and in the approach applied in SAWRD20). Since the RBP, SA Water did not incur, nor forecast, further income from the sale of water allocations over the remainder of the SAWRD20 regulatory period.

15.8 Final position

The Commission's final position is that the maximum revenue cap for water retail services for SAWRD24 will be reduced by the amount of $32.8 million ($Dec22) as a result of adjustment factors arising in SAWRD20. There are no revenue adjustments arising in relation to the SAWRD20 revenue cap for sewerage retail services.

Table 15.5 provides a summary of the various adjustment mechanisms. There were no cost-pass through events or approved intra-period projects during the SAWRD20 period.

Table 15.5: Revenue adjustments for application in SAWRD24 ($Dec22)

	Adjustment ($m)
Shared infrastructure adjustment mechanism	0.2
Demand variation adjustment mechanism	30.9
River Murray adjustment mechanism	1.6
Total	**32.8**

16 Determination of total revenue caps

Final decision – Total revenues

The Commission's final decision is that the total revenue caps for the four-year period commencing 1 July 2024, in present value terms, are as follows:

- $3,524 million ($Dec22) for **water** retail services, which is 21 percent higher than the revenue cap determined in SAWRD20, and
- $1,806 million ($Dec22) for **sewerage** retail services, which is 30 percent higher than the revenue cap determined in SAWRD20.

16.1 Introduction

As outlined in Chapter 7, the final position is that the revenue caps for SAWRD24 are prepared and presented on the basis of a building blocks cost model. This confirms the Commission's draft position.

The Commission's regulatory determination allows SA Water to recover the total efficient cost of providing water and sewerage retail services to customers. The building blocks cost model is the commonly accepted economic approach to estimating efficient costs: it is effectively a build-up of the forecast efficient costs of the regulated firm.

The building blocks cost model sums together each building block (for instance, operating expenditure, return on assets, regulatory depreciation, tax allowance, return on working capital, and any revenue adjustments from previous periods) and it adjusts for non-tariff regulatory revenues (such as payments for community service obligations (**CSO**)). The building blocks cost model is used in this determination to set separate fixed, four-year maximum revenue caps for water and sewerage retail services for the four-year period commencing 1 July 2024.

Revenue amounts are discounted to present value terms as at the commencement of SAWRD24 and expressed in December 2022 dollars.

This chapter summarises the Commission's final position for each of the building block components and the final decision for the total revenue caps for water and sewerage retail services for SAWRD24.

16.2 Building block cost model components

16.2.1 Total revenue caps

The final decision is that the present value of the revenue caps for SAWRD24 are:

- $3,524 million ($Dec22) for water retail services, and
- $1,806 million ($Dec22) for sewerage retail services.

A summary of the revenue caps for SAWRD24 can be found in Table 16.1.

The revenue caps for SAWRD24 represent a 21 percent increase for water retail services from SAWRD20, and a 30 percent increase for sewerage retail services from SAWRD20. The outcome and comparison of revenue caps for water and sewerage retail services for SAWRD24 are further discussed in Chapter 17.

The Commission's assessment is that the revenue caps will provide SA Water with sufficient revenue to fund prudent and efficient operations, finance prudent and efficient investments on a long-term basis, and meet SA Water's applicable health, safety, environmental and customer service standards and obligations over SAWRD24.

Table 16.1: Revenue benchmark final decision ($Dec22)[1046]

	2024-25	2025-26	2026-27	2027-28	Final Revenue Cap	Draft Revenue cap
Pre-tax real WACC (%)	4.18	4.23	4.31	4.40		
Discount factor	0.97973	0.94020	0.90170	0.86407		
Water						
Revenue amounts ($m)	902	962	966	1,000	3,831	3,878
Present value of annual revenue amounts ($m)	884	905	871	864	3,524	3,550
Sewerage						
Revenue amounts ($m)	480	487	486	508	1,961	1,948
Present value of annual revenue amounts ($m)	471	458	438	439	1,806	1,785

16.2.2 Operating expenditure

The discussion in relation to the prudent and efficient operating expenditure benchmark amounts is set out in Chapter 10. Below is a summary of the final position (Table 16.2).

Table 16.2: Operating expenditure ($Dec22)

	2024-25 ($m)	2025-26 ($m)	2026-27 ($m)	2027-28 ($m)	Total ($m)	Present value of total ($m)
Water	390	399	406	408	1,603	1,476
Sewerage	186	188	185	186	746	687

16.2.3 Return on assets

The annual return on the regulated asset base (RAB) is calculated as:

[1046] The discount factors are calculated based on cumulative pre-tax WACC rates, assuming mid-year discounting. The pre-tax WACC is used for discounting because allowed revenues include an allowance for taxation.

- the product of the real regulatory rate of return (**rate of return**) and the average value of the RAB[1047] for that year, to derive a year end equivalent return on assets, which is then
- discounted by six months, to recognise that revenue is generated consistently throughout each year, rather than at year end.

The discussion in relation to the prudent and efficient net capital expenditure benchmark amounts is set out in Chapter 11 and the discussion of the rate of return is set out in Chapter 13. Below is a summary of the final position for the prudent and efficient return on assets (Table 16.3).

Table 16.3: Return on assets ($Dec22)

	2024-25 ($m)	2025-26 ($m)	2026-27 ($m)	2027-28 ($m)	Total ($m)	Present value of total ($m)
Post-tax real WACC (%)	3.61	3.65	3.73	3.83		
Water						
Opening RAB	9,619	9,803	10,019	10,297		
Capital expenditure	430	467	512	476		
Disposals	4	4	3	3		
Depreciation	242	247	230	240		
Closing RAB	9,803	10,019	10,297	10,531		
Average RAB	9,832	10,035	10,273	10,534		
Year-end return on RAB	355	366	383	403		
Return on RAB	349	360	376	396	1,481	1,361

[1047] The average value of the RAB used in the final determination is equal to the opening value of the RAB *plus* 50 percent of capital expenditure *minus* 50 percent of disposals.

	2024-25 ($m)	2025-26 ($m)	2026-27 ($m)	2027-28 ($m)	Total ($m)	Present value of total ($m)
Sewerage						
Opening RAB	4,882	5,078	5,276	5,486		
Capital expenditure	355	350	356	353		
Disposals	2	2	1	1		
Depreciation	157	152	144	151		
Closing RAB	5,078	5,276	5,486	5,687		
Average RAB	5,059	5,253	5,453	5,662		
Year-end return on RAB	183	192	203	217		
Return on RAB	179	188	200	213	780	717

16.2.4 Regulatory depreciation

As mentioned in Chapter 12, water and sewerage assets are depreciated using a straight-line method, noting that different types of assets have different useful lives. Below is a summary of the final position on the prudent and efficient regulatory depreciation amounts (Table 16.4).

Table 16.4: Regulatory depreciation ($Dec22)

	2024-25 ($m)	2025-26 ($m)	2026-27 ($m)	2027-28 ($m)	Total ($m)	Present value of total ($m)
Water	237	243	226	236	942	868
Sewerage	154	149	141	148	593	547

16.2.5 Tax allowance

The discussion in relation to the prudent and efficient benchmark tax allowance is set out in Chapter 14. Below is a summary of the final position (Table 16.5).

Table 16.5: Tax allowance ($Dec22)

	2024-25 ($m)	2025-26 ($m)	2026-27 ($m)	2027-28 ($m)	Total ($m)	Present value of total ($m)
Water	22	22	17	18	79	73
Sewerage	8	6	3	3	21	20

16.2.6 Return on working capital

The working capital allowance addresses the funding cost associated with the mismatch in the timing of SA Water's revenue and expenditure cash flows.

The final position is that the return on working capital is to be derived as a product of the rate of return (discussed in Chapter 13) and the assumed investment in working capital, where working capital is calculated according to the following formula:

$$Working\ Capital = \left(\frac{Lag\ (Days) - Lead\ (Days)}{365}\right)\ x\ Operating\ Expenditure$$

Where:

- 'lag' is the delay by which revenue is received relative to when it is generated (assumed to be evenly throughout the year). SA Water has previously estimated the revenue lag to be 70 days, which incorporates half of the three-month billing cycle, plus the estimated average period between meter reading and customer payment.[1048]
- 'lead' is the delay by which operating expenditures are paid relative to when they are incurred (which is assumed to be evenly throughout the year),[1049] and
- 'operating expenditure' refers to the prudent and efficient operating expenditure benchmark in the determination.

The final position is that the Commission confirms its draft methodology for determining working capital, which is the same as applied in SAWRD20. Below is a summary of the final position on the prudent and efficient return on working capital (Table 16.6).

Table 16.6: Return on working capital ($Dec22)

	2024-25 ($m)	2025-26 ($m)	2026-27 ($m)	2027-28 ($m)	Total ($m)	Present value of total ($m)
Water	2	2	2	2	6	6
Sewerage	1	1	1	1	3	3

16.2.7 Non-tariff regulatory revenue

An important step in the building block process is to subtract the regulated revenue streams that SA Water generates outside of its retail tariffs, as these revenue streams exist to offset operating costs or carry out non-commercial functions. These revenue streams, referred to as non-tariff regulatory revenue, include reimbursements for CSOs[1050] made by the South Australian Government (in relation to both water and sewerage retail services) and revenues from the sale of recycled water (sewerage retail services only).

[1048] The 'lag' was not proposed to be changed by SA Water.
[1049] In the RBP's associated revenue model, SA Water estimated the operating expenditure 'lead' to be 30 days, in line with SAWRD20.
[1050] CSOs refer to an obligation placed on SA Water by the South Australian Government to carry out certain activities that they would not otherwise carry out (as it would be commercially unfavourable).

The majority of the CSO revenue is set in advance (in nominal terms) and is published in the South Australian Government Gazette. There is other CSO revenue included in the final determination which relates to the provision of water and sewerage retail services in Leigh Creek.[1051]

Recycled water is only a small component of non-tariff regulatory revenue (less than 10 percent of total non-tariff revenue). It reflects the sales proceeds associated with water recycling facilities owned and operated by SA Water.

The Commission's final position for non-tariff revenue is $260 million for water retail services (inclusive of revenue adjustments, discussed below), and $168 million for sewerage retail services (both are calculated as the present value over the regulatory period).

16.2.8 Revenue adjustments

As discussed in Chapter 15, SAWRD20 allows for adjustments to be made to the revenue caps in SAWRD24. The final position is for an adjustment of $33 million to be deducted from the SAWRD24 revenue cap for water retail services.

16.3 Final decision

The Commission's final decision is that the present value of revenue caps for SAWRD24 are:

- $3,524 million for water retail services, and
- $1,806 million for sewerage retail services.

The outcome and comparison of revenue caps for water and sewerage retail services for SAWRD24 are further discussed in Chapter 17, including changes in the revenue caps over time and the key drivers of the increase in SAWRD24.

[1051] For the final determination, the CSO revenue includes an allowance for the provision of water and sewerage services to Leigh Creek following the previous cessation of Alinta activities. This relatively small CSO was proposed by SA Water in its RBP.

17 Revenue caps outcome and comparison

This chapter discusses the outcome of the Commission's final determination of the maximum revenue caps to apply to SA Water's direct control water and sewerage retail services for the period 1 July 2024 to 30 June 2028.

The Commission's final decision for the combined revenue caps for water and sewerage retail services are lower than that proposed by SA Water in its regulatory business proposal (**RBP**), on a comparative basis, by less than one percent.

The Commission's assessment is that increases in the revenue caps, compared to SAWRD20, have been driven largely by the increase in the regulatory rate of return (**rate of return**), which has increased from 2.68 percent to 3.70 percent since 2020.

SA Water will set water and sewerage prices in accordance with the final revenue caps and pricing requirements, to apply from 1 July 2024.

Under the legislative framework governing SA Water regulatory determinations, the Commission fixes the maximum revenue that SA Water can recover from customers over the four-year period 1 July 2024 to 30 June 2028. While the Commission does not set prices, the legislative requirements mean SA Water must set its prices to recover no more than the maximum revenue permitted, subject to ancillary revenue adjustment mechanisms included in the determination.

The final revenue caps for SAWRD24 have been calculated as the forecast total efficient costs of providing water and sewerage retail services, based on current interest rates and forecasts of inflation and available observations of expenditure and revenue. The total efficient costs of providing water and sewerage retail services have been determined using the building blocks cost model. The final revenue caps factor in changes to the requirements that apply to SA Water as a result of updates to the Water Retail Code. The cost components have each been outlined in Chapters 10 through to 16. In determining the final revenue caps, the Commission, in line with its Charter of Regulatory Consultation and Regulatory Practice, has had regard to submissions from all stakeholders.[1052]

The final decision is that the revenue caps for the four-year period commencing 1 July 2024, in present value terms, are:

- $3,524 million ($Dec22) for **water** retail services, and
- $1,806 million ($Dec22) for **sewerage** retail services.

The Commission's assessment is that the revenue caps will provide SA Water with sufficient revenue to fund prudent and efficient operations and finance prudent and efficient investments on a long-term basis while meeting SA Water's applicable health, safety, environmental and customer service standards and obligations over SAWRD24. In order to deliver value for money on an ongoing basis, SA Water should ensure it has in place sound long-term asset management, operating and financing strategies. These strategies should support the provision of retail services for current and future customers.

SA Water has responsibility for setting prices for water and sewerage retail services. SA Water has the flexibility to set prices from year to year as it sees fit, but is only allowed to recover revenues over the SAWRD24 period in accordance with the final four-year maximum revenue caps.

[1052] The Commission's approach to consultation and engagement is outlined in a Charter of Consultation and Regulatory Practice, which is available on the Commission website: www.escosa.sa.gov.au/approach/charter-of-consultation-and-regulatory-practice.

The revenue caps set by the Commission are fixed, subject to any adjustment mechanisms in the following regulatory period. SA Water must ensure its revenues do not exceed the caps, expressed as a present value at 1 July 2024, in dollars of December 2022 (inflation-adjusted terms). In setting the caps, the Commission's assessment of SA Water's prudent and efficient expenditure benchmark has been completed in real, December 2022 dollars. The expenditure forecasts also include allowances for growing demand and customer numbers over the regulated period. SA Water will set prices for water and sewerage retail services from time to time as actual current prices for customers, including the effects of inflation. It is therefore important to note that the likely percentage change in prices set by SA Water will not necessarily mirror the percentage change in revenue caps between regulatory periods.

The following sections discuss the key revenue cap drivers for SAWRD24 and provide a comparison to:

- SA Water's regulatory business proposal (**RBP**)
- the Commission's draft regulatory determination, and
- previous regulatory determinations.

17.1 Comparison against SA Water's regulatory business proposal

17.1.1 Revenue outcomes and proposals

Under this final determination, the **revenue caps** for SAWRD24 represent a:

- 1 percent decrease for water retail services compared with SA Water's proposal, and
- 2 percent increase for sewerage retail services compared with SA Water's proposal.

Tables 17.1 and 17.2 compares the final revenue caps for SAWRD24 with an adjusted version of SA Water's proposal.

Table 17.1: Final revenue caps for SAWRD24 compared with an adjusted version of SA Water's proposal, in present value terms ($Dec22)

	SA Water's proposal for SAWRD24[1053] ($m)	Final Determination SAWRD24 ($m)	Variance ($m)	Variance (%)
Total Water	3,569	3,524	-46 ↓	-1% ↓
Total Sewerage	1,771	1,806	35 ↑	2% ↑

[1053] For the purposes of comparison with the final decision, this column has been adjusted to reflect the Commission's final rate of return (calculated as of 20 March 2024) and uses December to December inflation to roll-forward assets in determining the opening RAB value. The same adjustment has also been applied to Table 17.2. As noted in Chapters 10 and 11, the Commission understands that SA Water's proposal stated expenditure in December 2022 dollars.

Table 17.2: Final revenue caps for SAWRD24 compared with an adjusted version of SA Water's proposal, in present value terms ($Dec22)

	SA Water's proposal for SAWRD24 ($m)	Final Determination SAWRD24 ($m)
Total Water	**3,569**	**3,524**
Operating expenditure	1,508	1,476
Return on assets	1,378	1,361
Regulatory depreciation	875	868
Tax allowance	69	73
Return on working capital	6	6
Non-tariff regulatory revenue	-267	-260
Total Sewerage	**1,771**	**1,806**
Operating expenditure	689	687
Return on assets	688	717
Regulatory depreciation	540	547
Tax allowance	17	20
Return on working capital	3	3
Non-tariff regulatory revenue	-165	-168

The Commission has, for the purposes of making a like-for-like comparison, adjusted SA Water's revenue proposal (including for the latest rate of return and the consumer price index (CPI) inflation roll-forward of the RAB), in order to estimate a comparison between the Commission's final determination and SA Water's proposal. Without making an adjustment, any comparisons of revenue caps may be, for example, significantly impacted by the timing of the assessments and the differing rate of return and other assumptions utilised.[1054]

[1054] SA Water's proposal used a rate of return of 3.23% that it calculated in March 2023, and so this would not be an appropriate comparison with the Commission's updated estimate derived as at March 2024.

17.1.2 Expenditure building block outcomes and comparison

The Commission's final position is that the prudent and efficient **expenditure benchmark** amounts to be included in the calculation of the revenue caps are shown in Table 17.3.

Table 17.3: Expenditure benchmarks for SAWRD24 compared with SA Water's proposal ($Dec22)

	SA Water's proposal for SAWRD24 ($m)	Final Determination SAWRD24 ($m)	Variance ($m)	Variance (%)
Operating expenditure	2,385	2,349	-37 ↓	-2 ↓
Net capital expenditure	2,821	3,299	477 ↑	17 ↑
Total expenditure	**5,206**	**5,647**	**441 ↑**	8 ↑

The net capital expenditure benchmarks for SAWRD24 have been impacted by directions issued by the Minister for Housing Infrastructure (**Minister**) under section 6 of the *Public Corporations Act 1993* (**PC Act**).[1055]

The Commission has had regard to and incorporated in its determination of total efficient and prudent expenditure for SAWRD24 the section 6 Ministerial directions. Where the directions do not specify dollar values, the Commission has assessed and included efficient expenditure as required under Clause 4.8 of the Pricing Order. Section 6 Ministerial directions are expressed in nominal dollar terms. However, the figures have been converted into real (inflation-adjusted) terms ($Dec22) by the Commission for the purposes of the regulatory determination.

As outlined in Chapter 11, $1,387 million of capital expenditure has been issued in Ministerial section 6 directions for SAWRD24. $213 million of operating expenditure has also been issued in Ministerial section 6 directions for SAWRD24. Figures 17.1 and 17.2 show operating expenditure and capital expenditure, apportioned between non-section 6 and section 6 spending.

[1055] Section 6 Ministerial directions may specify on-going and new requirements that SA Water must deliver during a regulatory period, with associated cost-related requirements or specifications.

Figure 17.1 Net capital expenditure, by period and process, split by section 6 directions ($Dec22)

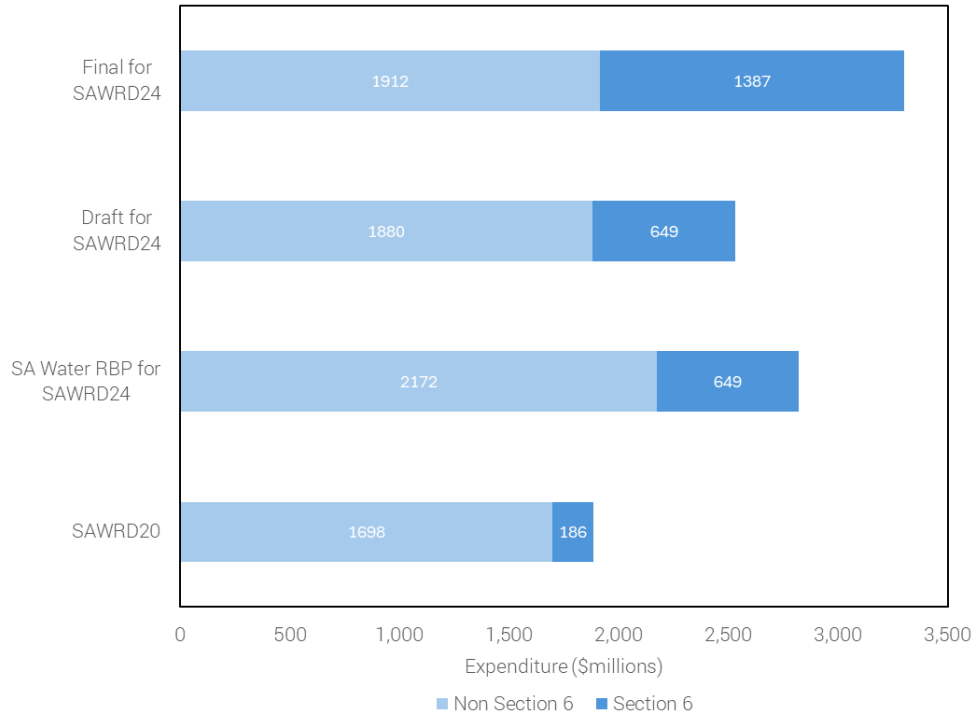
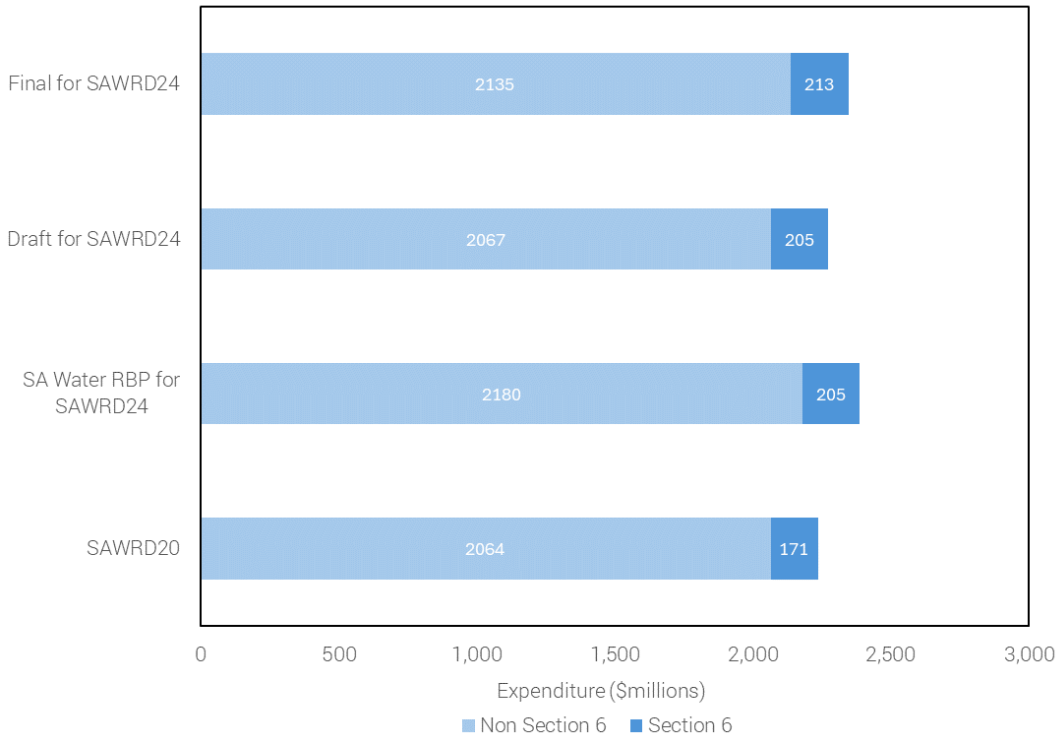


Figure 17.2 Operating expenditure, by period and process, split by section 6 directions ($Dec22)[1056]



1056 In Figure 17.2, estimates and several assumptions have been used for section 6 expenditure and SA Water's RBP. Note there are some section 6 direction activities, for example Fluoridation services, the purchase of renewable energy or carbon offsets and environmental water volume, that are not specified in the chart as section 6 expenditure.

Through submissions, stakeholders expressed interest in the impact that section 6 directions issued under the PC Act may have on SA Water's revenue requirements. In terms of prudent and efficient net capital expenditure, the Commission has undertaken an illustrative sensitivity analysis.

If the Commission adopted a net capital expenditure benchmark for SAWRD24 that *excluded* the section 6 directed expenditure, but held all else equal, it is estimated that in total it would lower revenue caps by slightly more than 2 percent (approximately $114 million) for both water and sewerage retail services. (Note that in this scenario operating expenditure associated with the expected section 6 directions has not been included.)

It is important to emphasise that SA Water is a long-term, asset-intensive business. Water and sewerage assets that are installed during the next four years, may continue to service customers for over 100 years. Over the next four years, customers will pay a portion of the cost to build new water and sewerage assets (for example, funding four years of a 100-year asset). Customers in future periods will also to pay for the cost of those assets until those assets reach end of life.

Overall, the relatively modest reduction in maximum revenue caps (slightly more than 2 percent) in this scenario reflects that the proposed capital expenditure in water and sewerage assets will be recouped over the whole life of the assets. Therefore, the revenue effect in any four-year period can be relatively small compared to the total period of revenue recovery for long-life assets.

17.2 Comparison against the draft regulatory determination

Table 17.4 compares the Commission's final decision for prudent and efficient expenditure benchmark amounts to be included in the calculation of the revenue caps with the draft determination.

Table 17.4: Final expenditure benchmarks for SAWRD24 compared with the draft determination ($Dec22)

	Draft Determination SAWRD24 ($m)	Final Determination SAWRD24 ($m)	Variance ($m)	Variance (%)
Operating expenditure	2,272	2,349	77 ↑	3 ↑
Net capital expenditure	2,529	3,299	770 ↑	30 ↑
Total expenditure	**4,801**	**5,647**	**846 ↑**	18 ↑

Under this final determination, the revenue caps for SAWRD24 represent a:

- 1 percent decrease for water retail services compared with the draft regulatory determination, and
- 1 percent increase for sewerage retail services compared with the draft regulatory determination.

Tables 17.5 and 17.6 compares the final revenue caps for SAWRD24 with the draft regulatory determination.

Table 17.5: Final revenue caps for SAWRD24 compared with the draft revenue caps, in present value terms ($Dec22)

	Draft Determination SAWRD24 ($m)	Final Determination SAWRD24 ($m)	Variance ($m)	Variance (%)
Total Water	3,550	3,524	-26 ↓	-1% ↓
Total Sewerage	1,785	1,806	20 ↑	1% ↑

Table 17.6: Final revenue caps for SAWRD24 compared with the draft revenue caps, in present value terms ($Dec22)

	Draft Determination SAWRD24 ($m)	Final Determination SAWRD24 ($m)	Variance ($m)
Total Water	**3,550**	**3,524**	**-26**
Operating expenditure	1,420	1,476	+55
Return on assets	1,440	1,361	-78
Regulatory depreciation	860	868	+8
Tax allowance	75	73	-2
Return on working capital	6	6	0
Non-tariff regulatory revenue	-251	-260	-9
Total Sewerage	**1,785**	**1,806**	**+20**
Operating expenditure	662	687	+26
Return on assets	728	717	-11
Regulatory depreciation	534	547	+12
Tax allowance	22	20	-2
Return on working capital	3	3	0
Non-tariff regulatory revenue	-163	-168	-4

17.3 Comparison against SAWRD20

The SAWRD24 determination is made in a different economic context to the previous regulatory determination, SA Water Regulatory Determination 2020 (SAWRD20), which occurred in a low interest rate environment. That environment has changed materially, with material uplifts in interest rates which directly flow through into the determination of the regulatory rate of return (rate of return).

During the four-year SAWRD20 period, lower financing costs meant SA Water was able to deliver the same level of water and sewerage retail services for less than was the case in previous regulatory periods. The cost savings in SAWRD20 were passed on to customers through lower bills.

Current financing costs have increased operational costs compared to SAWRD20, returning to levels experienced previously. In addition, higher prices for energy and raw materials are adding to overall cost pressures.

Table 17.7 compares the Commission's final decision for the prudent and efficient expenditure benchmark amounts to be included in the calculation of the revenue caps with SAWRD20.

Table 17.7: Expenditure benchmarks for SAWRD24 compared with SAWRD20 ($Dec22)

	Final SAWRD20 ($m)	Final Determination SAWRD24 ($m)	Variance ($m)	Variance (%)
Operating expenditure	2,237	2,349	112 ↑	5 ↑
Net capital expenditure	1,885	3,299	1,414 ↑	75 ↑
Total expenditure	**4,122**	**5,647**	**1,525 ↑**	**37 ↑**

Of note, $1,387 of the $1,414 million (75 percent) increase in net capital expenditure benchmark compared to SAWRD20 is driven by section 6 Ministerial directions.

Table 17.8: Section 6 Ministerial directions for SAWRD24

Section 6 Directions	Amounts, $m ($Dec22)	Nominal terms, over SAWRD24, $m (as in Direction)
Northern Adelaide Irrigation Scheme (NAIS)	8	9
Kangaroo Island Desalination Plant	15	16
Metropolitan Growth	1070	1192
Tea Tree Gully Sustainable Sewers	293	327
Total section 6 capital expenditure	**1,387**	**1,544**

Under this final determination, the revenue caps for SAWRD24 represent a:

- 21 percent increase for water retail services compared with those determined in SAWRD20, and
- 30 percent increase for sewerage retail services compared with those determined in SAWRD20.

While increased expenditure benchmarks have contributed to additional revenue requirements, the Commission's assessment is that the increases in the revenue caps, compared to SAWRD20, have been driven largely by the increase in the rate of return (refer Box 17.1).

To illustrate the impact of the revenue caps from the higher rate of return, holding all things equal, if the rate of return used in SAWRD20 (2.68 percent) was applied for the purposes of the SAWRD24 determination, it would lead to the following revenue outcomes (refer Table 17.9).

Table 17.9: Comparison of revenue caps for SAWRD24 using SAWRD20 rate of return, in present value terms ($Dec22)

	Final Determination SAWRD24 – 3.70% Rate of Return ($m)	Final Determination SAWRD24 - 2.68% Rate of Return ($m)	Variance ($m)	Variance (%)
Water	3,524	3,162	-362 ↓	-10% ↓
Sewerage	1,806	1,626	-179 ↓	-10% ↓

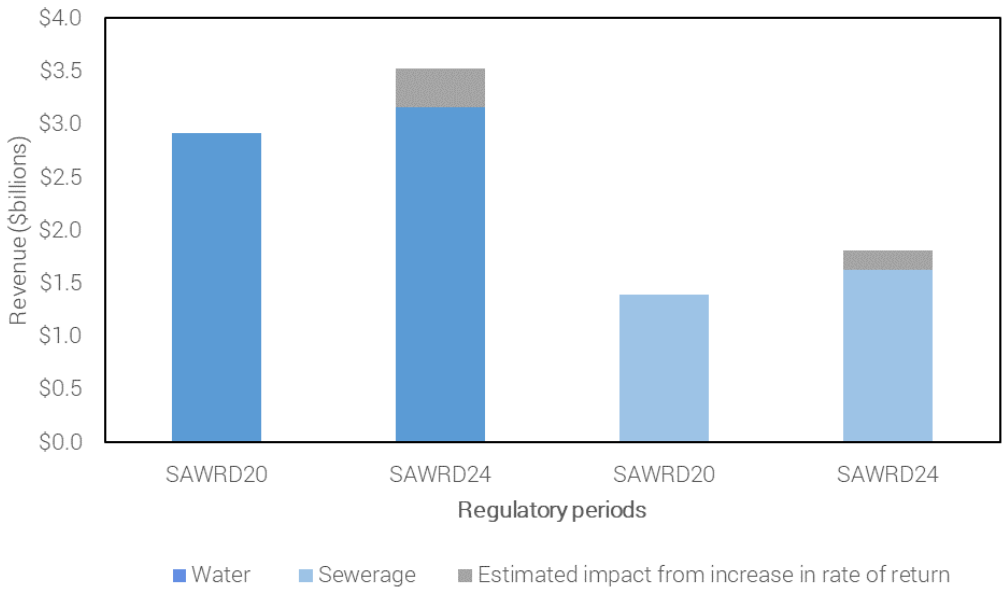
In this scenario, the revenue caps would be 9 percent and 17 percent higher than in SAWRD20 (compared to 21 percent and 30 percent respectively). This is 12 and 13 percentage points below the SAWRD24 final decision (refer Table 17.10).

Table 17.10: Comparison of percentage change in revenue caps for SAWRD24 compared to SAWRD20, using SAWRD24 and SAWRD20 rate of return ($Dec22)

	Final Determination SAWRD24 – 3.70% Rate of Return (%)	Final Determination SAWRD24 - 2.68% Rate of Return (%)	Variance (%)
Water	21%	9%	-12% ↓
Sewerage	30%	17%	-13% ↓

The conclusion may be drawn that the rate of return is the major contributing factor to the increase in the revenue caps, as displayed in Figure 17.3.

Figure 17.3: Revenue amounts across SAWRD20 and SAWRD24 ($Dec22)



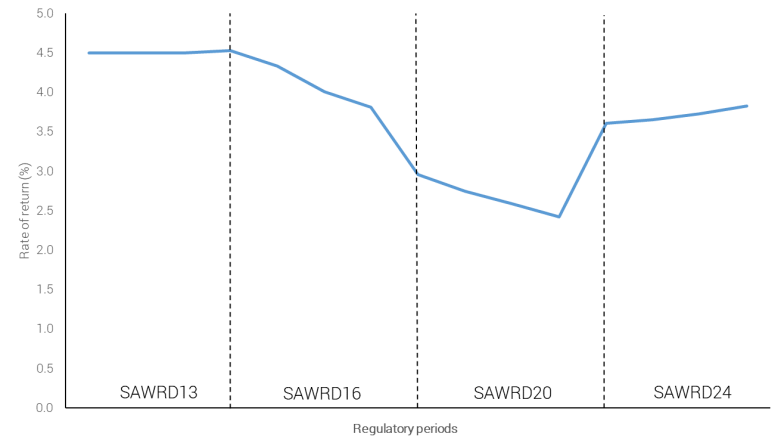
Box 17.1 Key driver - Rate of return

Increased financing costs have resulted in a final decision to set SA Water's allowed average rate of return at 3.70 percent (real, post-tax), calculated as of 20 March 2024. By way of comparison, the average regulatory rate of return (real, post-tax) adopted in previous determinations was:

- 4.5 percent in 2013-16
- 4.17 percent in 2016-20 and
- a low of 2.68 percent in 2020-24.

Figure 17.4 displays the rate of return across previous regulatory determinations. It highlights the fall in financing costs over SAWRD16 and SAWRD20 and the recent increase for SAWRD24.

Figure 17.4: Rate of return across SAWRD13, SAWRD16, SAWRD20 and SAWRD24



In its Regulatory Business Proposal (RBP), SA Water calculated revenue requirements using an average regulatory rate of return (real, post-tax) of 3.23%, calculated in March 2023.

The impact of the rate of return can also be seen in changes in the benchmark tax allowance across regulatory periods, refer Figure 17.5.

Figure 17.5: Benchmark tax allowance across SAWRD13, SAWRD16, SAWRD20 and SAWRD24 ($Dec22)

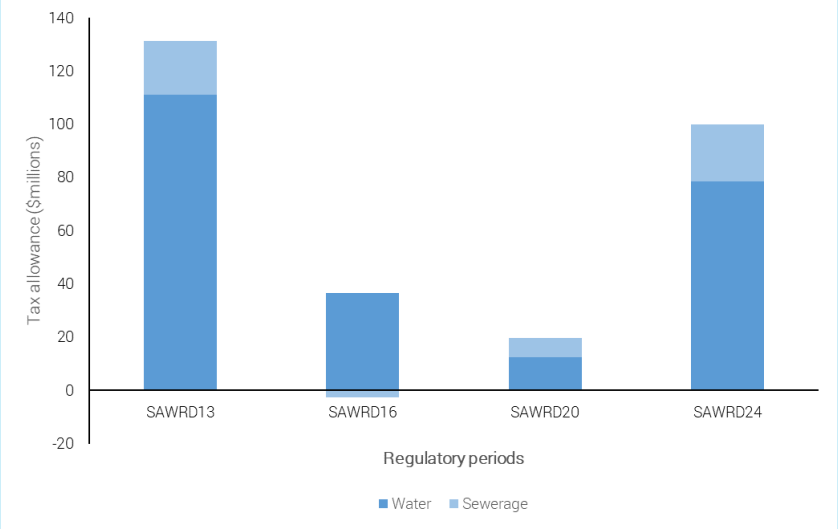


Table 17.11 provides a summary of the key building block cost components, including the amounts incorporated into the revenue caps and the size of the contributors to the percentage increase.

Table 17.11: Revenue caps in SAWRD24 compared with those determined in SAWRD20, in present value terms ($Dec22)

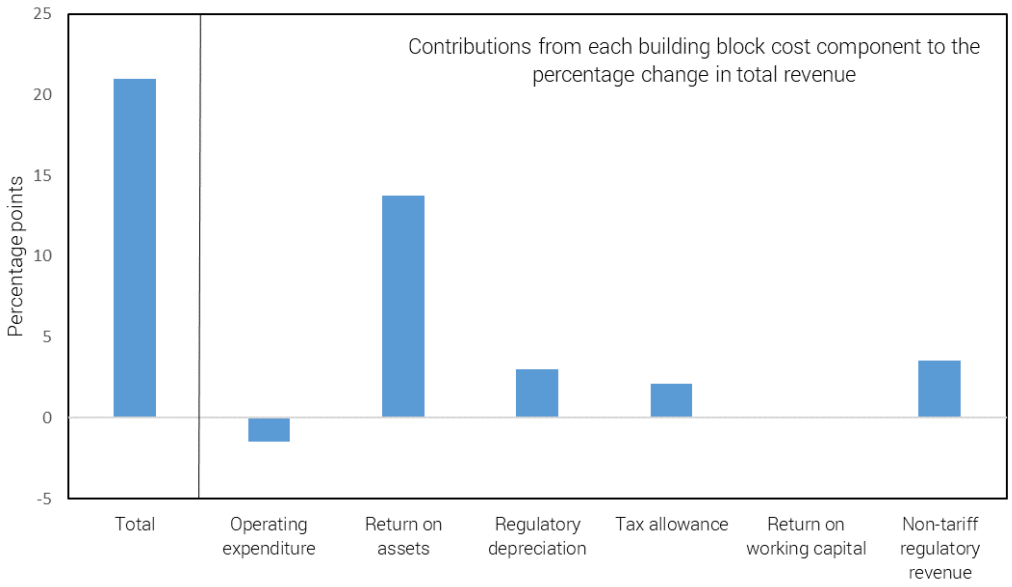
	Final SAWRD20 ($m)	Final SAWRD24 ($m)	Contributions to change from SAWRD20 (%)
Total Water	**2,913**	**3,524**	**+21**
Operating expenditure	1,519	1,476	-1
Return on assets	961	1,361	+14
Regulatory depreciation	780	868	+3
Tax allowance	12	73	+2
Return on working capital	4	6	+0
Non-tariff regulatory revenue	-363	-260	+4
Total Sewerage	**1,393**	**1,806**	**+30**
Operating expenditure	586	687	+7
Return on assets	485	717	+17
Regulatory depreciation	513	547	+2
Tax allowance	7	20	+1
Return on working capital	2	3	+0
Non-tariff regulatory revenue	-199	-168	+2

Figure 17.6 illustrates the contributions of each building block cost component to the change in the water retail services revenue cap between SAWRD20 and SAWRD24. For example, of the 21 percent increase in the total revenue cap for water retail services since SAWRD20, the return on assets[1057] has contributed 14 percentage points.

This indicates that roughly two thirds of the increase in the revenue cap since SAWRD20 has been driven by the return on assets, driven largely by the increase in the rate of return.

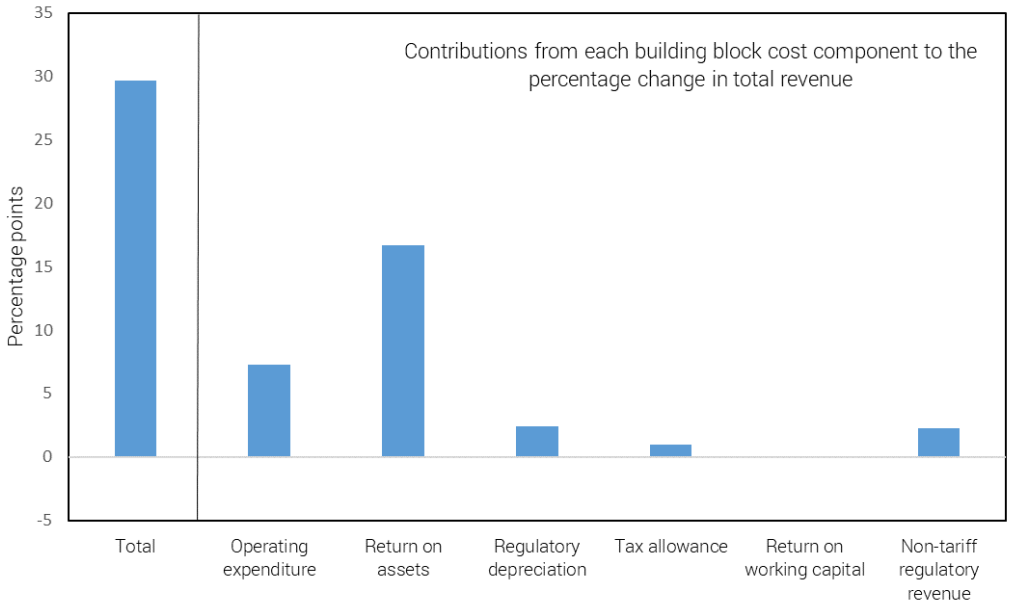
[1057] Return on assets is the annual return SA Water receives on its regulated asset base (RAB). The opening RAB was set by the Treasurer in Pricing Orders issued pursuant to section 35(4) of the WI Act and then subsequently rolled-forward consistent with Principle 5 of the National Water Initiative (NWI) Pricing Principles.

Figure 17.6: Drivers of changes in water revenue caps between SAWRD24 and SAWRD20



For sewerage retail services, the increase in the revenue caps reflects the higher rate of return and benchmark prudent and efficient net capital expenditure and operating expenditure (Figure 17.7). The higher operating costs reflect, in part, that SA Water has modified its cost allocation methodology (re-allocating expenditure to sewerage retail services, away from water retail services) and a large increase in prudent and efficient operating expenditure associated with the Tea Tree Gully (TTG) Sustainable Sewers program. The higher net capital expenditure reflects section 6 Ministerial directions relating to Metropolitan Growth (assumed to be spent 50-50 between sewer and water) and TTG Sustainable Sewers program.

Figure 17.7: Drivers of changes in sewerage revenue caps between SAWRD24 and SAWRD20

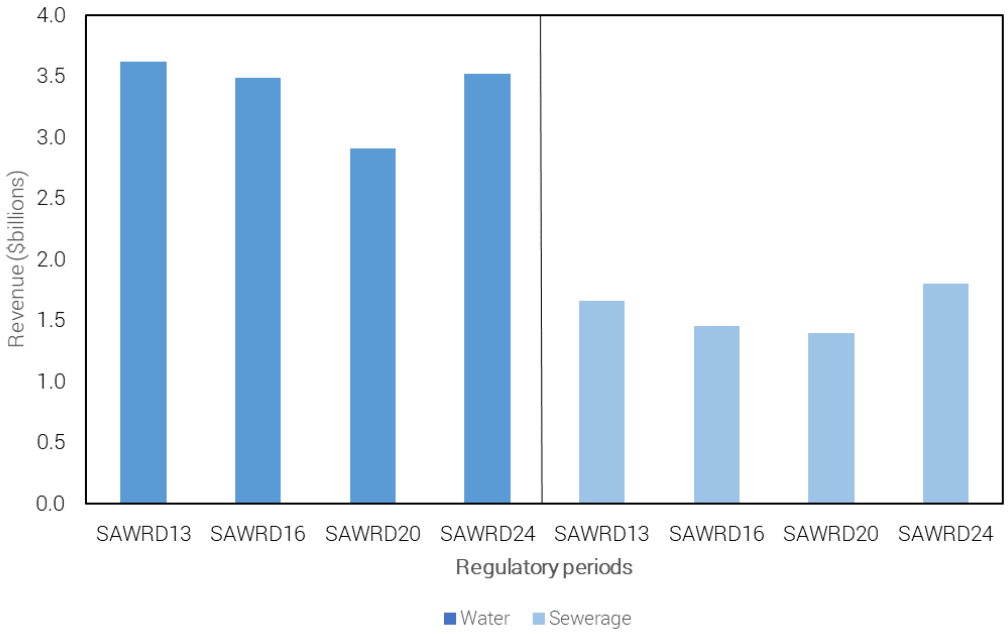


17.4 Comparison against previous determinations

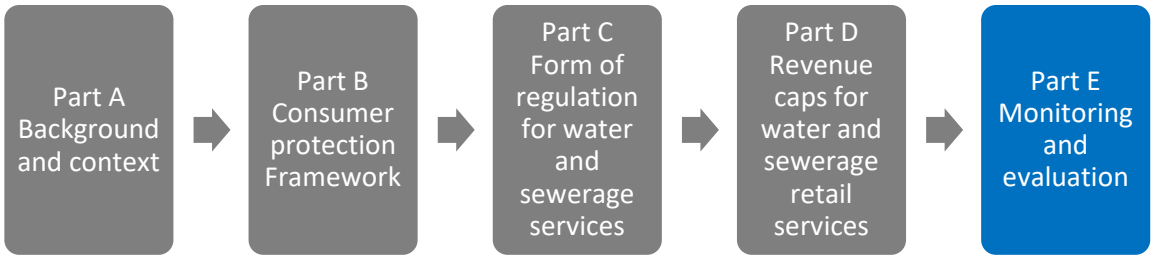
To put the SAWRD24 final determination into context, comparisons can be made against the revenue allowances set out in previous regulatory determinations.

A comparison against SAWRD13 highlights that the current SAWRD24 final determination is not out of the ordinary in terms of the total efficient costs for SA Water for the delivery of water and sewerage retail services (Figure 17.8). The SAWRD24 revenue caps for water and sewerage retail services are approximately 3 percent lower and 9 percent higher than the revenue amounts determined under SAWRD13.

Figure 17.8: Revenue amounts across SAWRD13, SAWRD16, SAWRD20 and SAWRD24, in present value terms ($Dec22)



Part E – Monitoring and evaluation



Part E sets out the Commission's review of, and decision on, the monitoring and evaluating performance framework (MEPF) that applies to SA Water.

Under the MEPF, SA Water is expected to publicly explain its service, expenditure, and investment performance outcomes. To deliver this outcome, SA Water self-publishes performance information and analysis alongside its reporting to the Commission.

The inaugural objectives of the MEPF were to:

- provide all stakeholders with timely information about SA Water's levels of customer service and network reliability
- enable the Commission and other regulators of SA Water to understand the extent to which SA Water is meeting its regulatory obligations and take action where it is not
- provide stakeholders with annual updates on SA Water's progress in delivering the activities, projects, programs and outcomes proposed by SA Water in its 2020-2024 Regulatory Business Proposal (RBP), and
- provide a comprehensive and longer-term view of SA Water's financial and operational performance that can be used as the foundation for SAWRD24 and subsequent regulatory determinations.

18 Monitoring, evaluation and reporting the outcomes achieved in SAWRD24

Final decision - Monitoring and Evaluating Performance Framework

The Commission has decided to retain and strengthen the Monitoring and Evaluating Performance Framework (**MEPF**) that applies to SA Water, for SAWRD24.

The Commission considers that the existing Framework remains appropriate for SAWRD24, subject to some limited areas of amendment to provide better assurance to customers and the Commission on particular areas of SA Water's performance. This includes in relation to governance of SA Water's compliance obligations, governance of data and information, accountability for service standard performance, and operational performance.

Changes to the Framework that will apply to SAWRD24 include:

- SA Water's public reporting requirements will be embedded in the Water Retail Code – Major Retailers
- a new Water Retail Code (Code) requirement will be introduced for SA Water to report annually to the Commission and to the public about how it has applied its best endeavours where it has not met a service standard performance target
- a new Code requirement will be introduced for SA Water to publicly report on operational performance and financial hardship metrics
- a new Code requirement will be introduced for SA Water to submit a Basis of Preparation on the financial and operational performance reporting metrics it submits to the Commission
- a new Code requirement will be introduced for SA Water to publicly communicate and explain any significant data revisions or errors in its published reports, and
- a new licence requirement will be introduced, effective from 1 January 2025, for SA Water to have and adhere to a compliance system based on the international standard ISO 37301:2021 – Compliance Management Systems (as amended from time to time) or another credible compliance standard approved by the Commission in writing.

The Water Regulatory Information Requirements - Major Retailers Water Industry Guideline No. 2 (**Guideline 2**) will be amended to include:

- the broad information to be covered in SA Water's public reports
- new hardship reporting indicators, including:
  - average amount of bill debt for residential customers upon entry into the financial hardship program
  - number of residential customers who exited without successfully completing the financial hardship program, and
  - number of customers outside a hardship program with bill debt.
- expectations in relation to the quality and accuracy of information in public reports
- requirements for SA Water's public reports to include timeseries datasets to enable public comparison and analysis of service standard performance, and
- new and revised definitions.

In conjunction with these changes, the Commission intends to strengthen its communication on SA Water's performance both publicly and directly to SA Water.

18.1 Introduction

The MEPF was introduced in SAWRD20 and outlines public reporting requirements and regulatory expectations that apply to SA Water.[1058] It requires SA Water to account for the long-term commitments made to customers, including under its Regulatory Business Proposal (RBP), and for delivering the outcomes as required under the consumer protections established by the Water Retail Code – Major Retailers (Code).

Public reporting requirements were set based on four focus areas that stakeholders deemed most important: service standards and performance targets, expenditure and revenue outcomes, key investment areas, and long-term asset management and planning. Under the MEPF, the Commission verifies and provides assurance on SA Water's data collection and analysis through assurance statements, reviews, and audits, as required.

The MEPF is based on the Commission's Verified Trust and Accountability (VTA) framework. Under the VTA, there is greater emphasis on licensee accountability and regulatory verification of performance outcomes and long-term trends. A licensee can gain and lose trust based on its own actions, and the Commission can intervene or take regulatory action as required to protect consumers' interests.

18.1.1 SAWRD20

In SAWRD20, stakeholders sought increased public transparency and accountability on SA Water in relation to its expenditure and the extent to which that expenditure delivers the outcomes promised. In SAWRD20, the Commission required SA Water to provide public reports on:

- its performance against the service standards in the Code, on a quarterly basis
- its performance in delivering on network reliability and water aesthetics improvements
- its performance during major service interruptions or significant performance events, shortly after those events, and
- its progress in achieving the outcomes it committed to deliver in its 2020 regulatory business proposal, on an annual basis.

Additionally, SA Water was required to publish:

- an annual public assurance summary statement containing sufficient information to provide assurance to customers and other stakeholders that SA Water complied, and would continue to comply, with the regulatory revenue controls, and
- a public regulatory assurance statement for the entire SAWRD20 regulatory period that demonstrated whether the revenues derived from the actual drinking water and sewerage prices, volumes and customer numbers during the period were at or within the revenue caps.

[1058] Essential Services Commission of South Australia, *SA Water Regulatory Determination 2020 monitoring and evaluating performance*, 2021, available at: https://www.escosa.sa.gov.au/projects-and-publications/projects/water/sa-water-regulatory-determination-2020-monitoring-and-evaluating-performance

18.2 Consultation on Issues Paper and SA Water's Regulatory Business Proposal

The Commission sought feedback on the MEPF through consultation on the SA Water Regulatory Determination 2024 – Water Retail Code and MEPF Issues Paper (**Issues Paper**), released in June 2023.[1059] The Commission received submissions from the Energy and Water Ombudsman South Australia (**EWOSA**), South Australian Council of Social Service (**SACOSS**), South Australian Federation of Residents and Ratepayers (**SAFRRA**), and SA Water. The Commission also received feedback from members of the Commission's Consumer Advisory Committee (**CAC**) members in a workshop held on 29 June 2023.

Submissions indicated that stakeholders are generally satisfied with the established focus areas of reporting. Stakeholders consider that SA Water's reports are easy to understand and include relevant information to help them assess aspects of SA Water's performance and key investments.

SA Water stated that it '*supports the objective to provide customers and stakeholders useful information, in the interest of transparency, accountability and to obtain feedback. However, SA Water also believes that there is an important balance in determining the level of detail and frequency of the information reported, and ensuring information is useful for the intended audience*.'

SA Water recommended the Commission reconsider the frequency (annual) and the duration (30-year horizon) of reporting on long-term asset management and investment planning. It proposed a 15-year time horizon and less-frequent reporting for SAWRD24, citing the lack of strong stakeholder support for the latter.

Stakeholders such as SACOSS, EWOSA, and the CAC sought improved transparency from SA Water in instances when it did not achieve a service standard target. EWOSA supported requiring SA Water to publish a summary of service standard performance that highlights the proportion of service standards achieved and not achieved, and reasons for not achieving targets.[1060]

Stakeholders would like the Commission to provide its independent analysis of SA Water's performance, particularly where it does not meet a service standard or where a compliance issue has been identified. Further, in its submission, EWOSA recommended that the Commission publish an independent assessment where '*a service standard has not been achieved and best endeavours have not been applied, or there is a compliance issue*'.[1061] In its submission, SACOSS suggested the Commission should publish an analysis of SA Water's performance reports, with a focus on implications for consumers.[1062] It noted that '*stakeholders would have a high level of trust in [the Commission's] analysis, and would feel more confident in drawing conclusions*' about SA Water's performance.[1063]

SA Water noted in its submission that it '*has not received any communications from the Commission on RD20 service standard performance relating to the current regulatory period from 2020-21.'* SA Water

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1059 Essential Services Commission of South Australia, *Water retail code and monitoring and evaluating performance framework Issues Paper*, June 2023, available at: https://www.escosa.sa.gov.au/projects-and-publications/projects/water/retail-code-and-monitoring-evaluating-performance-framework.

1060 Energy and Water Ombudsman South Australia, *Submission to the Issues Paper*, July 2023, p. 4, available at: www.escosa.sa.gov.au/ArticleDocuments/21971/20230807-Water-SAWRD24-RetailCodeMEPF-IssuesPaperSubmisison-EWOSA.pdf.aspx?Embed=Y.

1061 Energy and Water Ombudsman South Australia, *Submission to the Issues Paper*, p. 6.

1062 South Australian Council of Social Service, *Submission to the Issues Paper*, July 2023, p. 7, available at: www.escosa.sa.gov.au/ArticleDocuments/21971/20230807-Water-SAWRD24-RetailCodeMEPF-IssuesPaperSubmisison-SACOSS.pdf.aspx?Embed=Y.

1063 South Australian Council of Social Service, *Submission to the Issues Paper*, p. 7.

indicated that it would *'support the Commission formally communicating its views on the Corporation's performance.'* [1064]

Stakeholders including EWOSA, SACOSS, and the CAC would like more detailed reporting from SA Water including disaggregated data, reporting on additional hardship indicators, and timeseries data in SA Water's public reports to be able to better evaluate performance trends over time. For example, EWOSA and SACOSS have sought reporting on average debt levels while entering and exiting a financial hardship program. SACOSS has also recommended including definitions for certain terms in Guideline 2. Some CAC members sought improved access to SA Water's public reports on its website. [1065]

18.3 Draft decision analysis

18.3.1 Implementation of the MEPF and compliance

The Commission considers that the introduction of the MEPF has improved SA Water's accountability and provides customers with additional information about the services they receive. SA Water's public reports provide stakeholders with a reasonable level of insight into its service standard performance and ongoing investment planning and evaluation processes.

SA Water met most of the public reporting requirements set out in the MEPF. It published quarterly reports on service standard performance, an annual report on performance measures, an annual report on key investment areas, and a rolling 30-year asset plan on its website. [1066] SA Water did not satisfy the requirement to publish an annual public assurance summary statement.

Currently, the Commission has limited enforcement powers in this area, as public reporting requirements are not embedded in the Code. Including the public reporting requirements under the MEPF within the Code and Guideline 2 would, through licence obligations to comply with Codes, create a legal obligation for SA Water to report on its performance and in the case of non-compliance provide the Commission with appropriate enforcement powers, if required consistent with the statutory regime and its Enforcement Policy. [1067]

The Commission considered the annual public assurance summary statement and an end-of-period public regulatory assurance statement. It noted that the regulatory determination provides information on SA Water's revenue performance for the four-year period in the subsequent period (for example, see Chapters 15 and 16). The Commission considered that the requirement for SA Water to develop additional assurance statements does not provide sufficient additional value for stakeholders compared to the regulatory effort and cost that would be required by SA Water to develop these statements. It was the Commission's understanding that stakeholders have not sought this information over the period.

The Commission considered that there would be greater value for stakeholders in receiving information from SA Water throughout the period on how it has applied its best endeavours where a service

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1064 SA Water, *Submission to the Issues Paper*, July 2023, p. 9, available at: www.escosa.sa.gov.au/ArticleDocuments/21971/20230807-Water-SAWRD24-RetailCodeMEPF-IssuesPaperSubmisison-SAWater.pdf.aspx?Embed=Y.

1065 The Guideline provides for the collection, allocation and recording of SA Water's business data and covers a range of information requirements specified by the Commission in respect of SA Water's operational and financial performance. Available at: https://www.escosa.sa.gov.au/industry/water/codes-and-guidelines/guidelines.

1066 See public reports on SA Water's website, available at: www.sawater.com.au/about-us/our-publications/our-reports/our-performance-scorecard.

1067 Essential Service Commission of South Australia, *Enforcement policy*, August 2021, available at: www.escosa.sa.gov.au/ArticleDocuments/21734/20210811-Corporate-EnforcementPolicy-V2.6.pdf.aspx?Embed=Y.

standard performance target has been missed. This view is consistent with what the Commission heard from CAC members.

18.3.2 Reporting on long-term asset management and planning

The Commission considered SA Water's feedback on reviewing the frequency and duration of reporting on its long-term asset management and planning.

With regards to the duration of reporting, the Commission considered that the current requirement incentivises SA Water to take a long-term view of asset sustainability, which informs its planning and investment.

There are other examples of other industries undertaking long-term asset planning. For example, Flinders Ports, another entity regulated by the Commission, publishes a 50-year masterplan that outlines its long-term infrastructure plan, and challenges and opportunities for driving further efficiencies.[1068]

The Commission noted past stakeholder appetite for better visibility of SA Water's asset management processes and long-term asset needs. In its submission on the Issues Paper, EWOSA noted the importance of the Key Investment Areas and 30 Year Asset Plan reports for stakeholders when they consider SA Water's RBP.

With regards to the frequency of reporting, the Commission's expectation was that the long-term asset management plan informs SA Water's planning and investment both within a regulatory period and in the lead up to a new regulatory period. At a minimum, this would include an update to SA Water's long-term asset management plan following the Commission's regulatory determination and be in line with the development of SA Water's RBP.

While the Commission acknowledged that there are some costs involved in making this information available to the public, the Commission did not consider these costs to be significant. The Commission noted that SA Water already made this information available to the public during SAWRD20, in accordance with the requirements of the MEPF. The Commission considered that reducing the frequency of reporting would reduce the regulatory burden on SA Water compared with requirements for SAWRD20.

18.3.3 Best endeavours obligations

Under the Code, SA Water must employ best endeavours in complying with various Code obligations, including meeting service standards.[1069] SA Water should be able to satisfy itself, the Commission, and the community that it has the appropriate culture, systems, processes, and controls to demonstrate compliance with that obligation.

SA Water's service standard performance reports include targets and performance data for all service standards both publicly and to the Commission. The reports provide some commentary where service standard performance targets were not met.

Stakeholders indicated that they would like to see an increased level of explanation and accountability from SA Water in relation to its service standard performance, particularly where performance targets are not met.

SA Water previously expressed concerns about the Commission's approach to requiring entities to demonstrate best endeavours where a service standard has not been met. In a letter to the

[1068] Flinders Port Holdings, *50 year Masterplan*, June 2023, available at: https://www.flindersportholdings.com.au/blog/2022/06/30/50-year-masterplan-overview/.

[1069] 'Best endeavours' means to act in good faith and use all reasonable efforts, skill, and resources.

Commission, SA Water noted that since the implementation of the MEPF, it '*is now unable to verify for its customers, Board or owner that it is achieving its service standard obligations in instances where it is not hitting targets for reasons outside of its control*.' During this regulatory period, Commission staff, on a number of occasions, explained the obligations to SA Water in order to clarify the intent of best endeavours obligations. The Commission also published a 'best endeavours' information page on its website.[1070]

There was scope for SA Water to better demonstrate and articulate its best endeavours obligations in SAWRD24 to provide more transparent information about its service standard performance to the public, particularly where performance targets are missed. Providing additional public information was unlikely to create significant additional costs for SA Water and would benefit customers by providing greater insight into and assurance over SA Water's performance.

18.3.4 Data governance

The Commission identified errors in the reporting and information SA Water submitted to the Commission and publishes on its website.

For example, in February 2022, the Commission requested that SA Water provide information about the underlying causes driving the increase in the number of unplanned water service interruptions in 2021-22. Following an investigation, SA Water noted that '*…further analysis also identified a longstanding coding error where water service interruptions have been under-reported since 2012-13*.'

In June 2023, SACOSS raised a concern about whether SA Water was accurately reporting hardship program and payment plan customers in the past few quarters.[1071] In response to a request for information, SA Water advised the Commission that it had been incorrectly reporting hardship and payment plan customer numbers since it started reporting on these indicators. This reporting error impacted both the reporting it submitted to the Commission and published in its quarterly service standard performance reports. SA Water has indicated it is taking steps to correct the error.

The Commission commenced an investigation into this matter, including to determine whether SA Water met its obligations under the Code and if further regulatory or compliance action was warranted in the circumstances.

Data governance issues were also identified in SA Water's internal audit reports in 2018 and 2021. Sound data governance and reporting is an integral part of SA Water gaining trust and providing assurance over its performance to the Commission and customers.

A Basis of Preparation, which explains the systems, processes, and controls SA Water uses for reporting, would help the Commission better understand and assess the assumptions and methodology SA Water uses in its performance reporting. A Basis of Preparation usually includes information and descriptions of how data is measured and collected, the methodology applied, and assumptions made, and explanations of data revisions. The Commission noted that a Basis of Preparation is considered standard practice in the energy sector for entities regulated by the Australian Energy Regulator (**AER**).

The Commission has had regard to the fact that developing a Basis of Preparation may create some costs for SA Water. However, SA Water should already have this information and it would have flexibility to determine the manner and form of the Basis of Preparation. Over time, this approach would help to improve efficiency and reduce regulatory effort by SA Water in responding to the Commission's

[1070] See the 'Best endeavours' information page on the Commission's website, available at: www.escosa.sa.gov.au/approach/best-endeavours.

[1071] South Australian Council of Social Service, *Submission to the Issues Paper*, pp. 8-9.

enquiries. It would also provide the Commission and other stakeholders with the assurance that the data reported by SA Water is robust and fit to be used to assess SA Water's performance.

18.3.5 Compliance systems

Currently, Guideline 1 – Compliance Systems and Reporting (Guideline 1), expects licensees to have, and rigorously adhere to, a sound and robust compliance system based on the Australian Standard on Compliance Programs, AS 37301:2023 (as amended from time to time), or on another credible compliance standard (as approved by the Commission in writing on application by the licensee).

SA Water indicated to the Commission that it had a compliance system. If SA Water already had a compliance system that is based on the Australian Standards, this new licence obligation would impose no additional regulatory burden.

However, inadequate systems and processes can lead to failures in meeting legal and regulatory obligations, including reporting obligations. It is critical that SA Water has in place an effective compliance management system to mitigate its legal and compliance risks.

18.3.6 The Commission's communication on performance

Discussions with stakeholders highlighted scope to improve the Commission's public communication on SA Water's performance.

Currently, the Commission publishes annual performance summaries, including information on the performance targets met and missed.[1072] The Commission sends letters when there are major concerns about SA Water's performance and letters typically do not include broader feedback on performance. The Commission considered that it is important to provide regular feedback to SA Water about its performance in SAWRD24. The Commission also saw value in providing information and improving clarity on how the VTA framework applies to SA Water.

18.3.7 Hardship indicators

Stakeholders including SACOSS, EWOSA, and the CAC supported requiring SA Water to report on additional hardship indicators to help stakeholders understand trends in hardship over time. They noted that the current hardship indicators do not provide information on the extent of hardship experienced and average debt levels at different stages of participating in a financial hardship program. SACOSS noted that the current hardship indicators '*will not provide stakeholders with an understanding of any changing trends in the levels of customer debt over time, which is an important part of the wider context.*'[1073]

SACOSS recommended amending Guideline 2 to include new hardship indicators such as average debt levels upon entry into the hardship program. SACOSS also recommended including definitions for 'water bill debt' and 'successfully exiting the financial hardship program.'

As noted in chapter five, the number of people participating in the hardship program decreased, even though the average amount of bill debt for customers on the hardship program increased. The Commission considered that, with the benefit of observations over time, the current indicators did not provide sufficient information about how early people are receiving assistance or hardship trends. Collecting additional information would help the Commission understand the extent to which customers are experiencing hardship, receiving assistance when they need it, and whether they successfully complete the hardship program and repay their debt.

[1072] Essential Services Commission of South Australia, *SA Water's regulatory performance*, available at: www.escosa.sa.gov.au/industry/water/regulatory-performance/sa-water/sa-water-regulatory-performance.

[1073] South Australian Council of Social Service, *Submission to the Issues Paper*, p. 8.

18.4 Draft decision

To strengthen SA Water's public accountability in relation to its performance reporting, the Commission's draft decision was to add public reporting requirements to the Code and Guideline 2.

Public reporting requirements

The draft Code proposed to set a requirement for SA Water to publish reports in relation to its service standard performance, performance during significant performance events, financial performance, key investment areas, and long-term asset management and investment planning.

The draft Code proposed changing the requirement to publish a long-term asset management plan from an annual requirement to a biennial requirement.

The Commission proposed not to retain the requirement to publish an annual public assurance summary statement and an end-of-period public regulatory assurance statement for SAWRD24. The Commission's determination (Chapters 15 and 16) included a summary of SA Water's revenue earned over the period subject to demand. On balance, the costs of producing the statement appeared to exceed the benefits.

Reporting Significant Performance Events

In relation to performance during major service interruptions and Significant Performance Events, the draft Code proposed requiring SA Water to provide a report to the Commission within three days of the event occurring.

Reporting on best endeavours

To strengthen SA Water's culture and practices around its best endeavours obligations, the draft Code required SA Water to publish an annual 'best endeavours statement' where it has not met an annual service standard target.[1074] It was proposed that this statement would outline the reasons for not meeting the annual service standard target, an assessment of how SA Water considers best endeavours have been applied (to meet the annual service standard), and any actions it is taking to improve performance (if required).

Depending on SA Water's regulatory performance and delivery, the Commission considered requiring SA Water to publish a written Monitoring, Evaluation and Compliance Strategy (MECS). A MECS would set out, ahead of time, how SA Water intends to apply its best endeavours in pursuing performance targets for every service standard. The Commission has been using this approach successfully for SA Power Networks (SAPN) through the Electricity Distribution Code.[1075]

Basis of Preparation

To incentivise SA Water to improve its data governance in SAWRD24, the draft Code proposed requiring SA Water to submit an annual Basis of Preparation on the financial and operational performance reporting metrics required under Guideline 2.

[1074] A new proforma has been included in Guideline 2 for SA Water to report on best endeavours.

[1075] Essential Services Commission of South Australia, *Electricity Distribution Code*, June 2023, available at: https://www.escosa.sa.gov.au/ArticleDocuments/21963/20230626-Electricity-DistributionCode-EDC14.pdf.aspx?Embed=Y.

Reporting errors

The draft Code proposed to outline expectations in relation to the quality of data and information in SA Water's public reports. The draft Code proposed requiring SA Water to communicate and explain errors identified and publish revised information within seven business days.

Compliance systems

To incentivise SA Water to ensure its compliance system meets and complies with the required standard based on the Australian Standard on Compliance Programs, AS 37301:2023, the Commission proposed to elevate the compliance system guidance set out in Guideline 1 to become a condition of SA Water's retail licence.

Commission's communication on SA Water's performance

To improve its public communication on SA Water's performance, the Commission proposed to build on its annual performance summaries in SAWRD24 to include any outcomes of enquiries it makes into SA Water's performance.[1076] The Commission proposed to develop additional information on how it monitors and evaluates SA Water's performance under the VTA framework.

New hardship indicators in Guideline 2

Four new hardship indicators were proposed for inclusion in Guideline 2 to provide more information on the extent of hardship experienced and average debt levels at different stages of participating in a financial hardship program. These indicators were:

- average amount of bill debt for residential customers upon entry into the financial hardship program as at the end of the quarter
- average amount of bill debt for residential customers upon successfully exiting the financial hardship program as at the end of the quarter
- number of residential customers who exited without successfully completing the financial hardship program during the quarter, and
- average amount of bill debt for residential customers upon unsuccessfully exiting the financial hardship program as at the end of the quarter.

In response to stakeholder feedback, the draft decision proposed to amend Guideline 2 and require SA Water to publish timeseries data to allow for comparison of performance over time and to ensure reasonable access to its public reports.

18.5 Consultation on draft decision

The Commission received five submissions on the MEPF from EWOSA, SACOSS, the Office of the Technical Regulator (OTR), SA Federation of Residents and Ratepayers Association (SAFRRA), and SA Water.

EWOSA, SACOSS, and the OTR supported the Commission's proposed monitoring and evaluation regime for RD24, including public reporting requirements being embedded in the Code, a requirement for SA Water to submit an annual Basis of Preparation, the frequency of long-term asset management plans moving from annual to biennial, the provision of time series data, and new hardship indicators.

[1076] Essential Services Commission of South Australia, *SA Water's regulatory performance*, available at: www.escosa.sa.gov.au/industry/water/regulatory-performance/sa-water/sa-water-regulatory-performance

SA Water supported the requirement to submit an annual Basis of Preparation to the Commission. To ensure consistency with other reportable indicators, SA Water proposed to work with the Commission to develop and periodically review data definitions in Guideline 2.[1077] It also suggested that the Commission engage with customers on the new reporting requirements in Guideline 2.

Feedback on specific elements of the draft decision is outlined further below.

18.5.1 Reporting and regulatory oversight

SACOSS expressed support for robust regulatory oversight of SA Water's obligations, particularly the consumer protection obligations under the Code.[1078] It recommended that public reporting on all consumer protection requirements be made mandatory.

SACOSS stated that it considers that the VTA approach is leading to less transparency and accountability and suggested greater Commission oversight and public reporting. It stated, '*SACOSS does not currently have confidence in the veracity of the data published by SA Water over the past regulatory period (since the introduction of the VTA model). We do not believe self-reporting and self-publishing is appropriate and we are calling for greater oversight from ESCOSA, with mandatory reporting and published reports from the Regulator'.*[1079]

The OTR stated that it would welcome greater transparency on performance reporting on customer complaints, sewer network reliability and sewer overflows as the Tea Tree Gully Community Wastewater Management Scheme (TTG CWMS) network is upgraded.[1080]

18.5.2 Timeframes for reporting errors and Significant Performance Events

In relation to reporting errors, SA Water advised that it could not publish revised reporting information within the Commission's proposed timeframe of seven business days.[1081] Noting that investigating reporting errors may involve large datasets, SA Water proposed timeframes be set on a case-by-case basis, depending on the nature of the error.

In relation to reporting on Significant Performance Events, SA Water stated that a 3-day timeframe may not allow enough time for SA Water to analyse and collate relevant information. SA Water proposed to notify the Commission within 24 hours of a Significant Performance Event and suggested that the timeframe be set on a case-by-case basis, depending on the nature of the event. SA Water also sought a more detailed definition of what the Commission considered to comprise a Significant Performance Event.

18.5.3 Compliance systems

SA Water supported the intent of having a compliance system based on Australian Standard AS 37301:2023 as a licence requirement. However, SA Water requested the requirement come into effect by mid-2025. SA Water advised it is implementing a project to improve its compliance systems to align with the International Standard ISO 37301:2021.[1082]

SA Water advised that, '*project milestones to date include developing and rolling out a Corporate Compliance Framework in late 2023 which aligns to ISO 37301:2021. This framework contains a model for*

1077 SA Water, *SA Water's response to ESCOSA's Draft Determination*, p. 115.
1078 South Australian Council of Social Service, *Submission to Draft Regulatory Determination*, p. 7.
1079 Ibid, p. 34.
1080 Office of the Technical Regulator, *Submission to Draft Regulatory Determination*, p. 2.
1081 SA Water, *SA Water's response to ESCOSA's Draft Determination*, p. 116.
1082 Ibid, p. 117.

compliance management based on the ISO's "Plan/Do/Check/Act" methodology – a cycle of continuous improvement'. The project is set to be completed in March 2025.

18.5.4 Hardship indicators

SACOSS sought the Commission's assurance that SA Water's public reporting will include the hardship and debt indicators in Proforma OP2.2 in Guideline 2.

Citing SA Water's incorrect public reporting of customers in a hardship program and customers with flexible payment plans, SACOSS stated that it expects the Commission to ensure SA Water provides the revised data for the 2020-24 period.[1083]

To better understand the level of payment difficulty customers outside of a hardship program experience, SACOSS proposed the inclusion of two additional indicators:

- the number of residential customers in water bill debt (not in a hardship program), and
- the average level of water bill debt for residential customers (not in a hardship program).

SACOSS also suggested including a definition for 'bill debt' in Guideline 2.

SA Water noted that it was unable to measure some of the Commission's proposed hardship indicators without system modifications.[1084] It flagged potential costs for collecting additional information on average bill debt in different stages of the hardship program. SA Water noted it would review Guideline 2 and assess the proposed changes and indicators.

In its response to draft Guideline 2, SA Water later confirmed that it could submit reporting on each additional indicator identified in the draft decision, without additional costs.

18.6 Final decision analysis

18.6.1 Reporting and regulatory oversight

The Commission acknowledges SACOSS's concerns in relation to transparency within the VTA framework. Given that the VTA framework was only adopted on 1 July 2022, the Commission considers additional time is required to determine its effectiveness. A standalone review will be undertaken at a later date.

In its draft decision, the Commission proposed a number of new measures that will strengthen reporting and oversight including mandatory public reporting requirements, new best endeavours reporting, public reporting on data errors, an annual Basis of Preparation, and new hardship reporting metrics.

In response to concerns about data governance, the Commission has instructed SA Water to undertake an independent audit on data quality. The audit will include a review of the methodology, systems, processes, and controls used to collect information under Guideline 2 between 2021 and 2023. The Commission intends to publish the audit findings once the audit has been completed.

1083 South Australian Council of Social Service, *Submission to Draft Regulatory Determination*, p. 34.
1084 SA Water, *SA Water's response to ESCOSA's Draft Determination*, p. 118.

18.6.2 Compliance systems

SA Water advised that due to an ongoing compliance project slated to finish in early 2025, it would not be able to comply with the proposed licence condition of adhering to a compliance system based on the Australian Standard on Compliance Programs, AS 37301:2023.

The expectation for SA Water to have and adhere to a compliance management system based on the Australian Standard, or on another credible compliance standard (as approved by the Commission in writing on application by the licensee), has been in Guideline 1 since 2013.

The Commission understands that SA Water sought to align its compliance management system with the Australian Standard on compliance systems in 2013. Since then, SA Water might have sought to align with the international standard, which the Commission considers is an equivalent and credible system.

18.6.3 Hardship indicators

The Commission's analysis in chapter five found that while the number of customers in a hardship program has decreased over time, average debt has risen. With current hardship indicators, it is difficult to further explore the drivers of these trends, including how early customers receive support for debt management.

SACOSS and EWOSA stated concerns that current hardship indicators are inadequate to understand the extent of hardship experienced by customers and whether they are receiving appropriate support.

In an environment where water bills are expected to increase along with other cost-of-living increases, hardship indicators can provide helpful information about whether customers are receiving timely assistance to manage financial hardship. However, introducing new reporting requirements can also affect costs, which was acknowledged by SA Water in its submission.

The Commission has reconsidered the new hardship metrics proposed in the draft decision, in light of feedback received from SACOSS, EWOSA and SA Water. The Commission considers that a reduced subset of new hardship metrics would allow a better understanding of hardship and debt trends, while minimising the reporting burden and costs for SA Water:

- average bill debt for residential customers upon entry into a financial hardship program
- number of residential customers who exited without successfully completing the financial hardship program, and
- number of residential customers outside a hardship program with bill debt.

For the first two metrics, SA Water has confirmed that it can collect information on the proposed hardship indicators and has placed the reports into production for quarterly reporting. For the third metric, based on the other metrics SA Water has confirmed it can provide reporting for, the Commission anticipates that reporting on this indicator will be feasible.

The Commission sought further information from SA Water on costs associated with the new reporting requirements. It did not identify any specific costs but advised that the new reporting requirements would require diverting operating resources to serve reporting functions.

The Commission acknowledges that the new reporting requirements may create potential costs for SA Water. However, the Commission requires information from entities it regulates to fulfil its obligation to monitor and enforce compliance with and promote improvement in standards and conditions of service and supply under relevant industry regulation Acts. In developing the new reporting requirements, the

Commission has had regard to minimising costs to the extent possible, while still ensuring that the information reported allows the Commission to monitor and enforce compliance as necessary.

The Commission will work with SA Water to establish an appropriate definition of 'bill debt' as part of developing Guideline 2 and will seek to ensure it does not capture debt that may have been charged but is not yet due.

The Commission has reconsidered two of the four metrics proposed in its draft decision, and has determined that they will not be required for SAWRD24:

- *Average bill debt for residential customers upon successfully exiting the financial hardship program* - SA Water has advised that this reporting metric is not necessary as all customers who successfully exit the financial hardship programs have zero debt.
- *Average bill debt for residential customers upon unsuccessfully exiting a financial hardship program* – the Commission considers that this metric will not provide insight into whether or not SA Water is meeting its hardship obligations.

The Commission has considered but not accepted SACOSS' proposal to introduce an indicator on the average amount of debt held by customers *outside* of a hardship program. Reporting against this metric would include customers in a range of circumstances, including those who have not yet entered a hardship program, those that have been unsuccessful in a hardship program and legacy debt. Given this, the Commission's view is that reporting on this metric may not be helpful in determining whether SA Water is providing early and effective assistance to customers experiencing payment difficulties. Hardship trends may also be difficult to interpret from this metric.

18.6.4 Public reporting on TTG CWMS operations

The Commission has considered the OTR's suggestion that SA Water report publicly on its TTG CWMS operations. This matter is also discussed in sections 5.3.9.9 – 5.3.9.11 of the Final Determination.

Clause 33 of the Code requires SA Water to report directly to the public on its performance against applicable service standards. SA Water's public reports provide stakeholders with insight into its performance and operations.

The Commission intends to include a new reporting proforma for TTG CWMS in Guideline No. 2, which will include metrics such as customer complaints, sewer network reliability and sewer overflows. Public reporting of this information would ensure information is available on how SA Water is managing the TTG CWMS as it is decommissioned, and customers are transferred to the interconnected SA Water sewerage network. Having this information publicly available will support SA Water's engagement with TTG CWMS customers, consumer representatives, regulators, and South Australian Government. The Commission's view is that requiring public reporting will have a low-cost impact, given that SA Water already prepares and collects this information for reporting to the Commission.

18.6.5 Section 6 Ministerial directions

As discussed in chapter 11, stakeholders have raised concerns about the impact of section 6 directions on the revenue cap and the fact that these are not assessed for prudence and efficiency by the Commission.

While the Commission does not assess these directions for prudence and efficiency in making its determination on the revenue cap, it expects SA Water to provide full visibility of expenditure it makes pursuant to these directions. The Commission expects SA Water to establish financial reporting that separately records operating and capital expenditure attributable to section 6 directions. This includes a cost allocation methodology that specifies when and how expenditure is to be apportioned between section 6 and non-section 6 projects and programs.

SA Water is expected to keep books and records that correctly record and explain any expenditure pursuant to a section 6 direction, so that this can easily be distinguished from other types of expenditure under the revenue cap. These records must be of a nature that would allow an auditor to conveniently and properly form an opinion on the financial information associated with that expenditure.

The Commission will have regard to SA Water's conformance with those expectations during this regulatory period and may formalise accounting separation requirements if they are not, in the Commission's view, being met.

18.6.6 Other matters

The Commission considered SACOSS' recommendation to make public reporting on operational performance and all consumer protections mandatory.

SA Water already publishes a range of hardship metrics in its quarterly performance reports including:

- number of customers participating in a hardship program
- residential customers that entered into the Customer Assist Program in the quarter
- average bill debt for customers participating in the Customer Assist Program (metro and regional)
- residential customers successfully exiting the Customer Assist Program during the quarter
- number of customers on a flexible payment arrangement (residential and non-residential)
- number of customers receiving concessions (water and sewerage)
- water supply restrictions for failure to pay a water bill, and
- number of unplanned sewer overflow events.

Given SA Water is already reporting several operational reporting metrics, the Commission considers that there would be no additional cost for SA Water in making this reporting a regulatory requirement. The Commission has amended the Code to require SA Water to publicly report on operational performance, including TTG CWMS and financial hardship metrics. Guideline 2 will be updated to provide guidance on which metrics the Commission expects will be included as part of operational performance reporting.

With regards to SA Water's existing public reporting of significant events information, the Commission understands that SA Water currently publishes some information on faults and outages through an interactive map.[1085] The Commission encourages SA Water to provide additional public information through this map to inform customers about the scale of impact and when services will be restored. For example, SA Power Networks publishes a similar map, which provides information such as the cause of the outage, number of customers affected, status of restoration works, and estimated restoration timeframes.[1086]

[1085] See SA Water's website, available at: https://www.sawater.com.au/works-and-faults.
[1086] See SA Power Networks' website, available at: https://outage.apps.sapowernetworks.com.au/OutageReport/OutageMap.

18.7 Final decision

Following consideration of all submissions and for the reasons stated above, the Commission confirms its position in respect of the following components of the draft decision:

- embedding SA Water's public reporting requirements into the Code and Guideline 2 in relation to service standard performance, Significant Performance Events, financial performance, key investment areas, and long-term asset management and planning
- a requirement to submit an annual Basis of Preparation for the financial and operational performance reporting
- a requirement to submit and publish a best endeavours assessment detailing how best endeavours were applied when service standard performance targets are missed, and
- a requirement to publish time-series data in relation to performance.

The Commission has amended its position in relation to reporting errors. The Commission will require that reporting errors be reported within five business days after SA Water becomes aware of it; however, the Commission will determine timeframes for resolving the reporting error on a case-by-case basis, depending on the nature of the error.

The Commission has amended its position in relation to Significant Performance Events. The Commission has included a definition for Significant Performance Events in the Code which should assist SA Water to identify potential events. Due to the wide range of possible events that could be considered a Significant Performance Event the Commission does not consider it to be feasible to create a definition that precisely defines all potential events. SA Water will need to use its judgement, informed by the Commission on what it considers to be a notifiable event. The Commission will require SA Water to notify the Commission of any relevant events within 24 hours of occurrence. The Commission may then, at its discretion, request more information on a particular event, including further information on the extent of the impact on customers and work undertaken by SA Water to resolve the issue.

The Commission has amended its position in relation to introducing a new licence condition to: *implement, maintain, and adhere to a compliance management system based on the international standard ISO 37301:2021 – Compliance Management Systems (as amended from time to time) or on another credible compliance standard or system, as approved by the Commission in writing*. The Commission will provide an additional six months for SA Water to comply with the requirement, with the new licence condition taking effect from 1 January 2025.

To demonstrate compliance with this obligation, the Commission will request that SA Water engage an independent external professional or consultant with expertise in compliance to review and provide assurance to the Commission that its compliance management system is effective. In developing, implementing, and maintaining an effective compliance management system consistent with the relevant Standard, the Commission expects that SA Water will ensure suitably qualified resources will be available to manage its compliance management system.

The Commission has amended its position on public reporting in respect of TTG CWMS operations and the Code will require SA Water to report directly to the public on its performance.

The Commission has amended its position in relation to the new hardship indicators that will be included in Guideline 2. The Commission will now include the following additional indicators:

- average bill debt for residential customers upon entry into a financial hardship program
- number of residential customers who exited without successfully completing the financial hardship program, and
- number of residential customers outside a hardship program with bill debt.

The Commission will work bilaterally with SA Water on the design of reporting templates and definitions in Guideline 2, noting that it consulted with stakeholders more broadly on the substantiative changes to reporting requirements through the draft decision. This includes working with SA Water to develop and periodically review data definitions to consider opportunities for alignment with other reportable indicators (such as those from the NPR).

The Commission will keep SA Water's public reporting requirements under advisement and may seek to vary requirements should additional transparency be required as the regulatory period progresses.

Appendices

- Appendix 1 – Process for making SAWRD24
- Appendix 2 – Legal requirements
- Appendix 3 – Submissions from stakeholders
- Appendix 4 – Cost impacts to SA Water from changes to the Water Retail Code

Appendix 1 Process for making SAWRD24

A1.1 Framework and Approach

Following a public consultation process, the Commission published a Framework and Approach for the SA Water Regulatory Determination 2024 (SAWRD24) in September 2021.[1087]

The Framework and Approach is a governance paper, setting out broad expectations and process considerations. Its intent is to assist SA Water to prepare and submit a Regulatory Business Proposal (RBP) which, under the highest and widest levels of public scrutiny, clearly demonstrates how its proposed investments and revenue requirements will protect consumers' long-term interests and meet regulatory requirements and expectations.

The Framework and Approach outlined the following expectations:

- a continued focus on early and transparent stakeholder and consumer engagement by all parties throughout the process
- SA Water should provide continuous and early visibility of its long-term asset planning, delivery and management, to provide stakeholders with better information on its long-term investment plans (and hence revenue requirements)
- SA Water should clearly and transparently explain how its proposed investments over the four-year regulatory period are prudent and efficient, and how they relate to and impact on its long-term investment plans, and
- SA Water's RBP is to be submitted by July 2023, to allow the Commission to release a Draft Determination by November 2023 and, following a period of public consultation, a Final Determination by May 2024.[1088]

The Framework and Approach was informed by stakeholder feedback, including members of the Commission's Consumer Advisory Committee,[1089] members of the previous Consumer Negotiation Committee,[1090] members of SA Water's Consumer Advisory Groups, and SA Water staff and management.

Consultation began in August 2020, with an independent, external ex-post review of the process used in the current regulatory determination, conducted by Dr Pat Walsh.[1091] The Commission is grateful for the engagement and contributions from all parties to inform the SAWRD24 process.

The Framework and Approach noted that guidance papers on matters of regulatory policy, methodology and practice will be developed and issued, as necessary, throughout the process. Wherever possible, this will include inviting the views of wider stakeholders on draft positions.

1087 The Framework and Approach is available on the Commission's website at www.escosa.sa.gov.au/projects-and-publications/projects/water/sa-water-regulatory-determination-2024-framework-and-approach/sawrd2024.

1088 Note: SA Water's submitted its RBP in August 2023, a delay of six-weeks due to realigning its operational focus to the 2022–23 River Murray flood event in Q2 and Q3 of 2022-23.

1089 Further information on the Consumer Advisory Committee is available on the Commission's website at www.escosa.sa.gov.au/approach/consumer-advisory-committee.

1090 Further information on the Negotiation Committee is available on the Commission's website at www.escosa.sa.gov.au/industry/water/retail-pricing/sa-water-regulatory-determination-2020/negotiation-forum.

1091 Walsh, Dr P, *Stakeholder views regarding the process applied to the SA Water Regulatory Determination 2020*, October 2020, available at: www.escosa.sa.gov.au/news/water-news/water-news-archived/dec20-news-w-sawrd20-furtherinfo2.

A1.2 Guidance Papers

The Commission released three guidance papers, to make clear the Commission's initial positions, principles, requirements, methodology or guidance on matters relevant to the determination. The Commission required SA Water to consider the matters set out in the guidance papers when preparing its RBP. The guidance papers are summarised below.[1092]

A1.2.1 Guidance Paper 1 – The regulatory business plan

Guidance Paper 1 set out the Commission's high-level expectations of the matters to be addressed in SA Water's RBP.

The Commission did not prescribe the manner and form that SA Water's RBP must take. However, the Commission's view is that it expects SA Water to address at least the following matters:

- A clear explanation of how proposed expenditure relates to the core business of SA Water: the provision of drinking water and sewerage services on demand at the lowest sustainable price and meeting required standards of safety, quality and reliability. In simple terms, its RBP needs to explain what needs to be done during the regulatory period, why that should be done during the period (given SA Water's long-term assets and operating context) and why customers should pay for it.
- Demonstration of clear and strong integration between proposed expenditure for the four-year regulatory period and SA Water's long-term asset management, operating and financial strategies.
- Clear explanation of the link between specific expenditure drivers and outcomes for customers.
- Evidence that expenditure proposals have been thoroughly tested with a broad range of stakeholders, including the Customer Challenge Group (CCG), and that customer research and input has informed the development of those proposals.
- Justification as to how proposed expenditures are prudent and efficient.

A1.2.2 Guidance Paper 2 – Stakeholder engagement for the RBP

Guidance Paper 2 set out the Commission's expectations for how SA Water engages with stakeholders to develop its RBP, including that:

- it has engaged in a meaningful and substantial way with an appropriately diverse range of stakeholders
- it has used an appropriately diverse range of channels and methods to engage with stakeholders, and
- stakeholder views and feedback have been carefully considered and incorporated into project design and prioritisation.

A1.2.3 Guidance Paper 3 – Assessing the regulatory business plan

Guidance Paper 3 set out, at a high level, how the Commission will approach the assessment of SA Water's RBP.

[1092] The Guidance Papers are available on the Commission's website at www.escosa.sa.gov.au/industry/water/retail-pricing/sa-water-regulatory-determination-2024/guidance-Papers.

In setting regulated revenues that recover the lowest sustainable costs of providing retail services, the Commission assesses whether SA Water's proposed expenditure for the 2024-28 regulatory period is prudent and efficient.

Broadly speaking, expenditure on an activity will be considered prudent where there is a clear justification for that activity. Decisions on whether expenditure is prudent will be informed by the Commission's consideration of whether the expenditure is driven by:

- a legislative or regulatory obligation, which SA Water must comply with
- an expectation that the activity will deliver benefits to customers that outweigh the costs
- a clear expectation from customers that an outcome should be achieved, and that they are willing to pay for that outcome.

Expenditure is likely to be considered efficient where it represents the lowest sustainable (or 'long-term') cost of achieving the intended outcome. The Commission will set revenues to recover efficient costs only, as this will help deliver the lowest sustainable prices to SA Water's customers.

A1.2.4 Submissions

The Commission received two submissions from SA Water to Guidance Paper 2 and Guidance Paper 3 and has taken those submissions into account in making this Draft Determination.[1093] Submissions are further discussed in Appendix 3 and relevant chapters.

A1.3 Issues paper - Water Retail Code and Monitoring and Evaluating Performance Framework

In June 2023, the Commission released an Issues Paper to seek feedback on the effectiveness of the current Water Retail Code – Major Retailers WRC-MR/03 (Code) and the SA Water Monitoring and Evaluating Performance Framework (MEPF).[1094]

The Code sets out consumer protections (standards and requirements) that apply to the sale and supply of water and sewerage services by SA Water, the only major water retailer in South Australia. It includes obligations relating to customer information, customer service, connections, and retailer supply.

The MEPF establishes the reporting requirements and regulatory expectations that apply to SA Water. Its requirements relate to service standards and performance targets, expenditure and revenue outcomes, key investment areas, and long-term asset management and planning.

In reviewing the Code, the objective is to establish:

- minimum service standards that reflect the level of service quality and reliability that is valued by customers, and
- other consumer protections that respond to the need of consumers to access SA Water's retail services on fair and reasonable terms.

[1093] SA Water's submissions to the Guidance Papers are available on the Commission's website at https://www.escosa.sa.gov.au/industry/water/retail-pricing/sa-water-regulatory-determination-2020/guidance-Papers.

[1094] The Issues Paper is available on the Commission's website at www.escosa.sa.gov.au/projects-and-publications/projects/water/retail-code-and-monitoring-evaluating-performance-framework.

In reviewing the MEPF, the objective is to determine:

- how effectively the monitoring and evaluation framework has been implemented
- whether implementation of the monitoring and evaluation framework has been successful in achieving its original aims of improving transparency of investment planning, and
- whether any amendments need to be made to the monitoring and evaluation framework for SAWRD24.

A1.3.1 Submissions

The Commission received five submissions to the Issues Paper and has taken those submissions into account in making this Draft Determination.[1095] Submissions are further discussed in Appendix 3 and relevant chapters.

A1.4 SA Water's regulatory business proposal

In August 2023, SA Water published and submitted its RBP, titled 'Regulatory Business Plan 2024-28' (available on its website).[1096]

The RBP sets out SA Water's proposed customer service standards, revenues and indicative prices for water and sewerage services for the four-year regulatory period.

A1.4.1 Submissions

The Commission received twelve submissions to SA Water's RBP and has taken those submissions into account in making this Draft Determination.[1097] Submissions are further discussed in Appendix 3 and relevant chapters.

A1.5 Draft regulatory determination

In January 2023, following a detailed independent review and an opportunity for public submissions, the Commission published a proposed revised regulatory framework, including consumer protections, service standards and revenue caps, to apply to SA Water for the period 1 July 2024 to 30 June 2028.[1098] This included:

- a price determination that sets four-year maximum revenue caps for the majority of SA Water's water and sewerage retail services
- a separate price determination that sets out pricing-related provisions in respect of recycled water and other 'excluded' retail services, that are not covered by the maximum revenue cap, and
- service standards, reporting requirements and other customer service obligations as set out in the Water Retail Code - Major Retailers.

1095 Submissions to the Issues Paper are available on the Commission's website at www.escosa.sa.gov.au/projects-and-publications/projects/water/retail-code-and-monitoring-evaluating-performance-framework.

1096 Available at http://www.sawater.com.au/about-us/how-we-operate/planning-for-2024-28.

1097 Submissions to SA Water's RBP are available on the Commission's website at www.escosa.sa.gov.au/projects-and-publications/projects/water/sa-water-regulatory-determination-2024.

1098 The draft regulatory determination is available on the Commission's website at www.escosa.sa.gov.au/projects-and-publications/projects/water/sa-water-regulatory-determination-2024.

A1.5.1 Submissions

The Commission received 17 public submissions to the draft regulatory determination. In addition, the Commission invited people to respond to the draft regulatory determination by completing a survey on the South Australian Government's engagement platform, YourSAy, and 17 responses were received. The Commission has taken those submissions into account in making this final regulatory determination, which are further discussed in Appendix 3 and relevant chapters. [1099]

[1099] Submissions to the draft regulatory determination are available on the Commission's website at www.escosa.sa.gov.au/projects-and-publications/projects/water/sa-water-regulatory-determination-2024.

Appendix 2 Legal requirements

The Commission has made a final regulatory determination in accordance with its primary objective, which is to protect the long-term interests of South Australian consumers with respect to the price, quality and reliability of essential services.

It has also complied with the specific requirements of the *Essential Services Commission Act 2002* and *Water Industry Act 2012* that relate to the making of a price determination, Codes and Rules that will also apply to SA Water.

This appendix explains the statutory framework that applies to the making of this regulatory determination and includes a general description of the elements of the statutory regime governing SA Water's operations that are relevant in the regulatory determination context.

A2.1 Functions and powers of the Commission

The regulatory functions of the Commission are set out in section 5 of the *Essential Services Commission Act 2002* (ESC Act). Functions relevant to the economic regulation of SA Water include:

5 — Functions

The Commission has the following functions:

(a) to regulate prices and perform licensing and other functions under relevant industry regulation Acts;

(b) to monitor and enforce compliance with and promote improvement in standards and conditions of service and supply under relevant industry regulation Acts;

(c) to make, monitor the operation of, and review from time to time, codes and rules relating to the conduct or operations of a regulated industry or regulated entities.

In performing these functions, the following objectives (including the Commission's primary objective when undertaking any function) inform and guide the Commission. They are set out in section 6 of the ESC Act.

6 — Objectives

In performing the Commission's functions, the Commission must —

(a) have as its primary objective protection of the long term interests of South Australian consumers with respect to the price, quality and reliability of essential services; and

(b) at the same time, have regard to the need to —

(i) promote competitive and fair market conduct; and

(ii) prevent misuse of monopoly or market power; and

(iii) facilitate entry into relevant markets; and

(iv) promote economic efficiency; and

(v) ensure consumers benefit from competition and efficiency; and

(vi) facilitate maintenance of the financial viability of regulated industries and the incentive for long term investment; and

(vii) promote consistency in regulation with other jurisdictions.

With regard to the Commission's principal statutory objective, three elements of service delivery are captured – price, quality and reliability – and these are to be interpreted in a context of economic efficiency. That is particularly so in light of the fact that sections 6(b)(iv) and (v) of the ESC Act expressly refer to efficiency considerations.

A2.2 The Commission's price determination powers

A2.2.1 Under the ESC Act

Part 3 of the ESC Act sets out a legislative scheme governing the exercise of the Commission's price determination powers and functions.

Sections 25(1) and 25(2) have the combined effect of empowering the Commission to make price determinations where authorised to do so by a relevant industry regulation Act, which, in this case, is the WI Act.

Section 25(3) provides that a price determination may regulate prices, conditions relating to prices, or price fixing factors in any manner the Commission considers appropriate. Examples include:

(a) fixing a price or the rate of increase, or decrease, in a price

(b) fixing a maximum price, or maximum rate of increase, or minimum rate of decrease, in a maximum price

(c) fixing an average price for specified goods or services, or an average rate of increase or decrease in an average price

(d) specifying pricing policies or principles

(e) specifying an amount determined by reference to a general price index, the cost of production, a rate of return on assets employed, or any other specified factor

(f) specifying an amount determined by reference to quantity, location, period or other specified factor relevant to the supply of goods or services

(g) fixing a maximum average revenue, or maximum rate of increase, or minimum rate of decrease in maximum average revenue, in relation to specified goods or services, or

(h) monitoring the price levels of specified goods and services.

These examples are not exhaustive and the Commission may make a price determination to operate in a manner it considers appropriate, subject to any specific requirements of an industry regulation Act. In the case of the WI Act, certain requirements do exist, as discussed further below.

As well as the general factors set out in section 6 of the ESC Act, section 25(4) specifies additional factors to which the Commission must have regard when exercising its price determination function. They include:

(a) the particular circumstances of the regulated industry and the goods and services for which the determination is being made

(b) the costs of making, producing or supplying the goods or services

(c) the costs of complying with the laws or regulatory requirements

(d) the return on assets in the regulated industry

(e) any relevant interstate and international benchmarks for prices, costs and return on assets on comparable industries

(f) the financial implications of the determination

(g) any factors specified by a relevant industry regulation Act, or by regulation under the Act, and

(h) any other factors that the Commission considers relevant.

Two further statutory imperatives arise under section 25(5) of the ESC Act in relation to price determinations. They are:

(i) wherever possible, the costs of regulation do not exceed the benefits, and

(j) the decision takes into account and clearly articulates any trade-off between costs and service standards.

Finally, section 25(6) provides that subsections 25(3), 25(4) and 25(5) have effect in relation to a regulated industry, subject to the provisions of the relevant industry regulation Act for that industry (in this case, the WI Act).

A2.2.2 Under the WI Act

Section 17 of the *Water Industry Act 2012* (WI Act) declares that the water industry is a regulated industry for the purposes of the ESC Act. Accordingly, the Commission has a general power to regulate prices in the water and sewerage industries.

Specifically, in terms of the price regulation function, the WI Act provides that:

7 — Functions and powers of Commission

(1) The Commission has (in addition to the Commission's functions and powers under the Essential Services Commission Act 2002) —

(a) the licensing, price regulation and other functions and powers conferred by this Act:…

The provisions of the WI Act that confer pricing powers on the Commission are set out in section 35. Consistent with the general discretionary powers under Part 3 of the ESC Act, the price determination power set out in section 35 of the WI Act is discretionary:

35 — Price regulation

(1) Subject to this section, the Commission may make a determination under the Essential Services Commission Act 2002 regulating prices, conditions relating to prices, and price fixing factors for retail services.

A 'retail service' is defined in section 4 of the WI Act to include a service constituted by:

(a) the sale and supply of water to a person for use (and not for resale other than in prescribed circumstances (if any)) where the water is to be conveyed by a reticulated system; or

(b) the sale and supply of sewerage services for the removal of sewage,

(even if the service is not actually used) but does not include any service, or any service of a class, excluded from the ambit of this definition by the regulations.

Accordingly, any operations or services falling outside the scope of the above definition are not subject to price regulation by the Commission.[1100] For example, SA Water's water testing service provided through the Australian Water Quality Centre, is not a retail service and is not subject to price regulation under the WI Act. As is discussed in Chapter 10 and Chapter 11 of this final regulatory determination, SA Water's merchant electricity generation service, provided under the ZCEF initiative, is also not a retail service. In addition, section 5(2) of the WI Act states that services provided, or infrastructure held, by irrigation trusts (as defined in the *Irrigation Act 2009*), the Renmark Irrigation Trust or persons providing irrigation services designated by the WI Minister, are not subject to the provisions of the WI Act.

A2.3 Pricing Orders

The price regulation provisions of the WI Act also include a framework for the Treasurer to issue Pricing Orders. Section 35(4) provides that the Treasurer may issue a Pricing Order that:

(a) sets out any policies or other matters that the Commission must have regard to when making a determination

(b) specifies various parameters, principles or factors that the Commission must adopt or apply in making a determination, and

(c) relates to any other matter that the Treasurer considers to be appropriate in the circumstances.

Pursuant to section 35(3) of the WI Act, the Commission must comply with the requirements of any Pricing Order when making a determination.

On 5 February 2024, the Treasurer issued a Pricing Order pursuant to section 35(4) of the WI Act. The Pricing Order applies to the SAWRD24 regulatory period (1 July 2024 to 30 June 2028).[1101]

The Pricing Order for SAWRD24 requires the Commission to:

(a) adopt or apply the National Water Initiative (NWI) Pricing Principles[1102] (other than those for recovering the costs of water planning and management activities) to the extent they are relevant to the making of SAWRD24

(b) adopt a four-year regulatory period (commencing 1 July 2024) using a revenue cap form of control

(c) adopt separate total revenue cap controls for water retail and sewerage retail services, but not apply revenue caps based on customer class or location

(d) include a mechanism to adjust the total revenue cap if there is any over or under recovery of revenue due to variations between actual and forecast water consumption or sewerage connections (such mechanism to operate on the basis of efficient costs associated with variations in demand, and so as to promote a stable price path)

(e) include an appropriate mechanism that allows for the adjustment of the total revenue cap where there is an event beyond the control of SA Water which has, or will, have a material impact on the cost of provision of a retail service (such mechanism to operate on the basis of efficient costs associated with the event, and so as to promote a stable price path)

[1100] This includes where SA Water imposes a charge on land not connected to its infrastructure pursuant to Regulation 38 of the Water Industry Regulations 2012 as this is not a retail service.

[1101] A complete copy of this Pricing Order (and Pricing Orders previously in effect) are available at https://www.treasury.sa.gov.au/economy,-taxes-and-rebates/economic-regulation.

[1102] Available at: www.dcceew.gov.au/water/policy/policy/nwi/pricing-principles.

(f) allow SA Water to recover the efficient costs of assets acquired (or to be acquired) which are required to support activities that SA Water is required to provide in accordance with a direction under section 6 of the *Public Corporations Act 1993*

(g) adopt specified NWI Pricing Principles

(h) in relation to costs relating to externalities (including water planning and management), allow SA Water to recover such costs as are attributable to and payable by SA Water in accordance with the law, including a direction under section 6 of the *Public Corporations Act 1993*

(i) allow SA Water to recover such costs (less any relevant contributions to such costs that it receives) that are attributable to activities that SA Water is required to provide in accordance with a direction under section 6 of the *Public Corporations Act 1993,* and either specified in that direction, or, if not specified, determined by the Commission to be efficient, and

(j) prepare and provide to the Treasurer, on or before 30 March 2024, separate advice setting out the Commission's calculation of the rate of return on the RAB to apply to the fourth regulatory period (which should be consistent with Principle 1 of the NWI Pricing Principles for the Recovery of Capital Expenditure).

The Pricing Order also sets out the following procedural matters:

(a) the determination must be based on a 'building blocks' approach and must set out all assumptions, methods and values assigned to the various building block components

(b) the determination must identify the assumptions on which it is based, including each of the following parameters:

  (i) the Regulated Asset Base (RAB) is to be rolled forward consistently with Principle 5 of the NWI Pricing Principles for the Recovery of Capital Expenditure

  (ii) the rate of return of the RAB (which should be consistent with Principle 1 of the NWI Pricing Principles for the Recovery of Capital Expenditure)

  (iii) any allowance for working capital (depreciated), including its method of calculation, and any adopted classifications of, or remaining life attributable to, the regulatory assets of which it is based

  (iv) operating expenditure (which should include efficient operational, maintenance and administrative costs)

  (v) the costs of externalities

  (vi) any allowance for tax paid (which should be identified separately from the rate of return on the RAB where the weighted average cost of capital (WACC) is calculated on a post-tax basis)

(c) the determination must identify any areas where the method of calculation of, or monetary value assigned to, any of the parameters set out in (b) above, is likely to change materially between the draft and final determination, including the cause and likely magnitude and direction of the variation, and

(d) the Final Determination must fix a single revenue value for the four-year period (one for sewerage retail services and one for water retail services), subject to the following permitted mechanisms (noting that, as a matter of practice, the Commission adjusts revenue in the subsequent regulatory period in relation to any demand variation or cost pass-through events):

(i) a demand variation adjustment mechanism,

(ii) a cost pass-through mechanism, or

(iii) a new or further direction issued by the Minister for Housing Infrastructure (Minister), under section 6 of the *Public Corporations Act 1993*.

A2.4 Directions under section 6 of the *Public Corporations Act 1993*

The Minister may issue directions to SA Water under the *Public Corporations Act 1993* (section 6 of that Act). Such directions may specify on-going and new requirements that SA Water must deliver during a regulatory period, with associated cost-related requirements or specifications.

In accordance with the Pricing Order issued by the Treasurer on 5 February 2024, which reflects the requirements of Pricing Orders previously in effect, a price determination made by the Commission must take into account the requirements of Ministerial directions, as required.

In particular, the Pricing Orders issued to date have required a price determination to:

> *allow SA Water to recover such costs (less any relevant contributions to such costs that it receives) that are attributable to activities that SA Water is required to provide in accordance with a direction under section 6 of the Public Corporations Act 1993 and are either:*
>
> *a. specified in the relevant direction, or if not specified,*
>
> *b. determined by the Commission to be efficient.*

section 6 directions tend to be relatively specific in terms of the amounts (or total amounts) that SA Water may spend for undertaking on-going or new activities or new capital works and the time period over which those amounts can be spent (that is, the 4-year regulatory period).

As a result of changing circumstances (for example, priorities of SA Water change), the total expenditure amounts specified in a section 6 direction may not actually be spent by SA Water over the relevant regulatory period. Unless a section 6 direction expressly states so, the total expenditure that SA Water is authorised to spend under a section 6 direction for certain activities or new capital works is not enduring past the expiry of the relevant regulatory period. Accordingly, if specified expenditure is not spent in the regulatory period to which the direction specifically refers, it is not automatically carried over into future regulatory periods.

To the extent that SA Water wishes to continue undertaking or expanding activities or capital works previously specified in a section 6 direction in the 2024-28 regulatory period, it may do so. However, the proposed expenditure associated with doing so will be assessed by the Commission outside of the requirements of the Pricing Order. That is, the usual prudence and efficiency assessment of the proposed expenditure by the Commission will be undertaken.

A2.5 Industry licences, codes and rules

The Commission has additional powers to issue licences to entities providing water and sewerage retail services and make industry codes or rules that apply to the conduct or operations of such entities, once licensed.

A2.5.1 Under the ESC Act

Part 4 of the ESC Act provides the Commission with broad powers to make, vary and amend industry codes or rules. Industry codes prescribe the rules of conduct and procedures that must be followed by regulated entities providing essential services. The use of industry codes allows for a high degree of regulatory flexibility while maintaining appropriate scrutiny, accountability and transparency in the

process of their development. Industry codes can cover any number of areas within a regulated industry, from consumer protection to technical matters.

Section 28(3) requires the Commission to consult with the relevant industry Minister, representative bodies and participants in the regulated industry prior to making, varying or revoking a code or rule. Further, section 28(8) requires that any codes or rules be periodically reviewed by the Commission to ensure they continue to be effective. As part of SAWRD24, the Water Retail Code – Major Retailers WRC-MR/03 (**Code**) which currently applies to SA Water is being reviewed (as described in detail in Chapter 5 and 6).

A2.5.2 Under the WI Act

The WI Act requires the Commission to issue SA Water with a non-transferable perpetual licence, which it did on 1 January 2013.[1103] Section 25(1) requires it to make a licence subject to various conditions. While some conditions must be imposed as stand-alone licence conditions, others must be prescribed in industry codes and rules made by the Commission under the ESC Act.[1104]

In issuing licences under section 25(1) of the WI Act, section 25(2) requires the Commission to have regard to the scale and nature of the operations of the water industry entity – determining the scale and nature after consultation with the entity or a person or body nominated by the entity.

In addition, and of relevance to the current review of Code (discussed in Chapter 5 and 6), section 25(5) of the WI Act requires the Commission, in making an industry code, to include provisions to assist customers who may be suffering specified types of hardship relevant to the supply of any services (such provisions to comply with any direction of the WI Minister). This provision operates in conjunction with section 37(1) of the WI Act, which requires the WI Minister to develop and publish a customer hardship policy in respect of residential customers of water industry entities. In summary, the WI Minister's hardship policy must set out:

- the processes that water industry entities must have in place to identify residential customers experiencing payment difficulties due to hardship, and
- the range of processes or programs that a water industry entity should use to assist hardship customers.

The WI Minister published the applicable hardship policy in February 2013 and SA Water has adopted that hardship policy.[1105]

The Code also sets out the service standards that SA Water must use its best endeavours to achieve over the course of each financial year. Services standards are generally set in respect of customer service, responsiveness to service issues, service restoration timeliness and the timeliness of connections.

SA Water must report on:

- its performance against service standards
- the amount of any rebates paid or credited to customers as a result of its failure to meet any service standards
- the reason(s) for any non-compliance with any service standards, and
- how it plans to improve its performance to meet service standards, if required.

[1103] SA Water's retail licence is available at: www.escosa.sa.gov.au/industry/water/licensing/licence-register.
[1104] The Code has been made by the Commission pursuant to the requirements of section 25(1) of the WI Act.
[1105] SA Water's Hardship Policy, available at: https://www.sawater.com.au/__data/assets/pdf_file/0005/288977/hardshippolicy_0818.pdf.

Appendix 3 Submissions from stakeholders

A3.1 Submissions to the framework and approach

The Commission published its framework and approach consultation paper in February 2021. It requested written submissions by 26 March 2021, with four public submissions received, from the following parties:[1106]

- Energy and Water Ombudsman South Australia (EWOSA)
- SA Water
- South Australian Council of Social Service (SACOSS), and
- Uniting Communities.

A3.2 Submissions to guidance papers

The Commission released three guidance papers that covered matters relevant to SAWRD24. Written submissions were received from SA Water to Guidance Paper 2 (Stakeholder engagement for the RBP) and Guidance Paper 3 (Assessing the RBP). No other written submissions were received.[1107]

A3.3 Submissions to the issues paper

The Commission consulted directly with stakeholders following the release of its issues paper on the Water Retail Code and Monitoring and Evaluating Performance Framework. It requested written submissions by 28 July 2023, with five public submissions received, from the following parties:[1108]

- EWOSA
- SA Water
- SACOSS
- South Australian Federation of Residents and Ratepayers Associations (SAFRRA), and
- Zahra Foundation Australia.

[1106] Submissions to the Framework and Approach are available at www.escosa.sa.gov.au/projects-and-publications/projects/water/sa-water-regulatory-determination-2024-framework-and-approach/sawrd2024.

[1107] Submissions to the Guidance Papers are available at www.escosa.sa.gov.au/industry/water/retail-pricing/sa-water-regulatory-determination-2024/guidance-papers.

[1108] Submissions to the Issues Paper are available at www.escosa.sa.gov.au/projects-and-publications/projects/water/retail-code-and-monitoring-evaluating-performance-framework.

A3.4 Submissions to SA Water's regulatory business proposal

The Commission requested submissions from stakeholders on SA Water's regulatory business proposal. Twelve submissions were received, from the following parties:[1109]

- City of Playford and City of Salisbury
- COTA South Australia
- Environmental Protection Authority
- EWOSA
- Flinders Ranges Council
- Jennifer Bradley – Quorn resident
- Office of the Technical Regulator – Infrastructure Branch
- Property Council of Australia
- SACOSS
- Tatiara District Council
- Uniting Communities, and
- Villawood Properties.

A3.5 Submissions to the draft regulatory determination

The Commission consulted directly with stakeholders following the release of the draft regulatory determination. It requested written submissions by 6 March 2024, with 17 public submissions received, from the following parties:[1110]

- Anglicare
- Anonymous submitter
- Environmental Protection Authority
- EWOSA
- Infrastructure SA
- Office of the Technical Regulator – Infrastructure Branch
- Property Council of Australia
- Regional Development Australia
- RD24 Customer Challenge Group
- SA Water

[1109] Submissions to SA Water's RBP are available at www.escosa.sa.gov.au/projects-and-publications/projects/water/sa-water-regulatory-determination-2024.

[1110] Submissions to the draft regulatory determination are available at www.escosa.sa.gov.au/projects-and-publications/projects/water/sa-water-regulatory-determination-2024.

- SACOSS
- SAFRRA
- Tatiara District Council
- Uniting Communities
- Urban Development Institute of Australia
- Vicky Samara – Customer Challenge Group member, and
- Water Services Association of Australia.

The Commission invited people to respond to the draft regulatory determination by completing a survey on the South Australian Government's engagement platform, YourSAy. The survey was open until 6 March 2024 and 17 responses were received.

The Commission thanks all parties for their submissions to the framework and approach, guidance papers, issues paper, regulatory business proposal and draft regulatory determination. All submissions were carefully considered in making this final regulatory determination.

Appendix 4 Cost impacts to SA Water from changes to the Water Retail Code

The Commission has incorporated the net cost impact of changes to the Water Retail Code into the revenue caps that will apply to SA Water for SAWRD24.

This appendix summarises the costs and savings that are estimated to accrue to SA Water over the four-year regulatory period as a result of changes to the Water Retail Code for SAWRD24. Further information about what these costs and savings include and how they were derived can be found in Chapters 5. The net cost impacts have been factored into the revenue caps that will apply to SA Water for SAWRD24.

The costs and savings have been provided by SA Water or derived by the Commission using information provided by SA Water. In relation to costs, in a number of cases, the Commission has had insufficient information to assess the efficiency of SA Water's claims.

The figures include potential costs and savings that could be realised by SA Water as a result of changes to the Water Retail Code to remove the requirement to provide paper bills free of charge. However, the Commission notes that there is some uncertainty around whether SA Water will start charging for paper bills.

A4.1 Cost impacts to SA Water

Table A4.1: Costs and savings to SA Water from changes to the Water Retail Code

Change from RD20	Capex cost	Opex cost	Capex saving	Opex saving
Remove requirement to provide paper bill at no charge	$300,000	$504,000	$0	$1,936,000
Remove requirement to undertake meter read when self-read not accepted	$0	$0	$0	$993,103
Early identification of customers experiencing payment difficulty	$0	$1,268,000	$0	$0
Protections for customers experiencing family violence	$1,900,000	$1,125,250	$0	$0
Ombudsman contact details on bills	$0	$5,000	$0	$0
TOTALS	$2,200,000	$2,902,250	$0	$2,929,103
NET COST TO SA WATER - CAPEX	$2,200,000			
NET COST TO SA WATER - OPEX	-$26,853			



The Essential Services Commission
Level 1, 151 Pirie Street Adelaide SA 5000
GPO Box 2605 Adelaide SA 5001
T 08 8463 4444
E escosa@escosa.sa.gov.au | W www.escosa.sa.gov.au